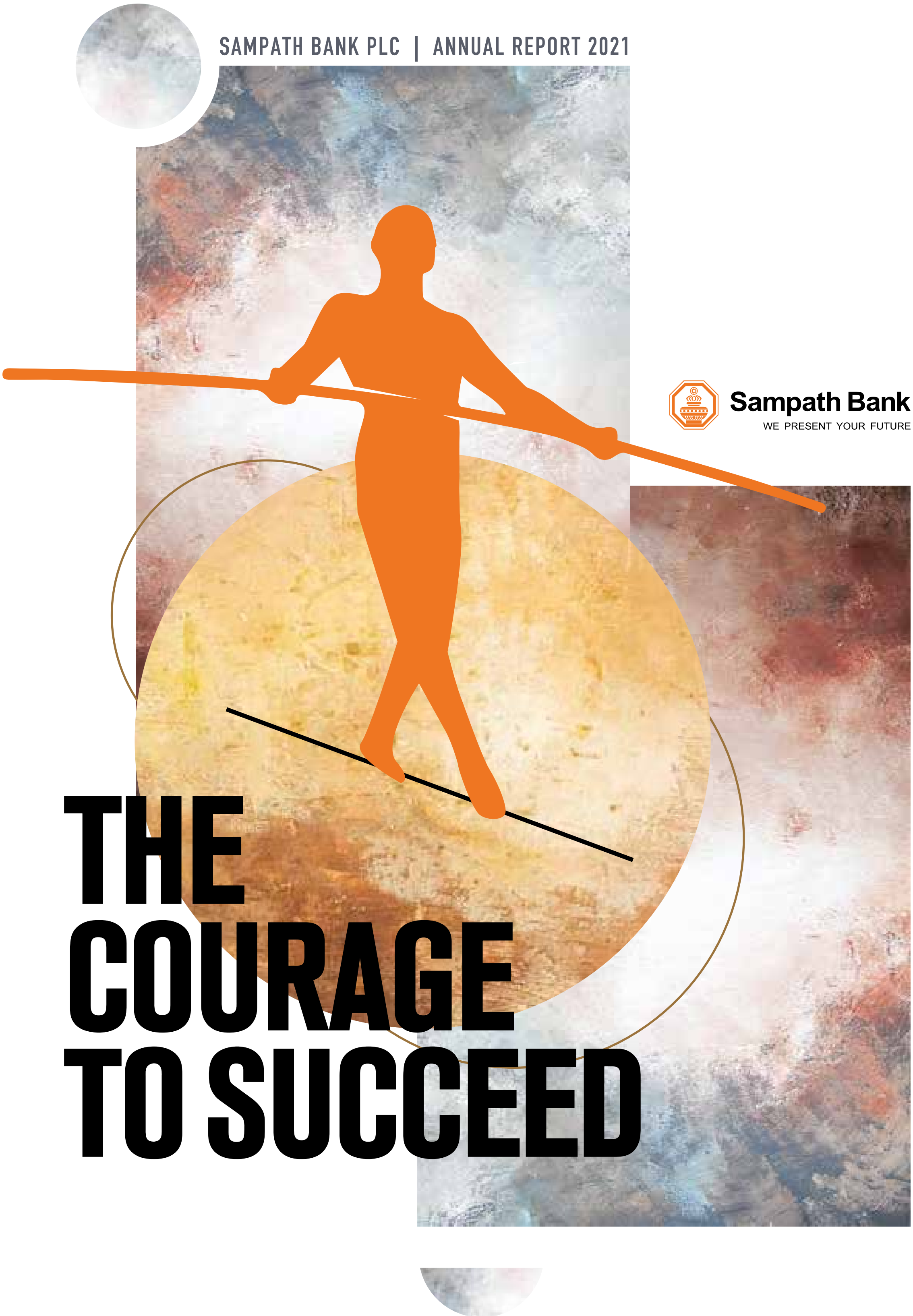
SAMPATH BANK PLC | ANNUAL REPORT 2021



Sampath Bank
WE PRESENT YOUR FUTURE

THE COURAGE TO SUCCEED

THE COURAGE TO SUCCEED

"Courage is not the absence of fear;
It is the decision to succeed in spite of it."

It takes courage to step out in the midst of uncertainty and emerge a stronger and more resilient force – and at Sampath Bank, we are proud of the outstanding achievements we have made during the year under review. With over 3 decades of experience and dedication at our helm, your Bank has successfully faced a challenging year through careful planning, cautious strategies and calculated risks. We would like to thank our business partners, customers and all stakeholders for their trust in our leadership and for giving us the courage to empower a nation and welcome a brand-new era of possibilities for all.

Sampath Bank
WE PRESENT YOUR FUTURE

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GRI 102-48,52

This integrated annual report has been prepared to showcase both financial and non-financial aspects of the Bank's performance, essentially providing a clear and concise account of the steps taken to achieve Sampath Bank's strategic vision, while balancing the expectations of all stakeholders.

In the interest of consistency and in line with global best practices, the Bank has continued to maintain the integrated reporting format, with all key sections shown in the 2020 report included in the 2021 version as well. This current report is the 8th consecutive Integrated Report released by Sampath Bank PLC, since the Bank began its integrated reporting journey in 2014. All previous integrated reports including the most recent one for the financial year 2020 can be viewed or downloaded from the Bank's corporate website - www.sampath.lk. There are no restatements pertaining to these previous reports.

Changes to the 2021 Report

To further enhance the quality of its reporting suite, the Bank has decided to publish a special "Stakeholder Report" in 2021. The Stakeholder Report is a greatly enhanced version of the Supplementary Report published online in previous years. This Stakeholder Report is structured to provide detailed information regarding the interrelationships between stakeholder expectations and the Bank's value creation process, including quantitative and qualitative outcomes generated as a result.

GRI 102-12,54

Reporting Frameworks

Integrated Reporting	Sustainability Reporting	Financial Reporting	Governance, Compliance and Risk Reporting
- International Integrated Reporting Framework of the International Integrated Reporting Council (IIRC)	- Global Reporting Initiative (GRI) Standards - 'In Accordance Comprehensive', issued by Global Sustainability Standards Board - Guidelines on ESG Reporting issued by the Colombo Stock Exchange (CSE) - United Nations Sustainable Development Goals (SDGs)	- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka - Companies Act No. 07 of 2007 - Banking Act No. 30 of 1988 and amendments thereto - Listing Rules of the Colombo Stock Exchange (CSE)	- Code of Best Practice for Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka - Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Central Bank of Sri Lanka and any amendments thereto - Banking Act Direction No. 01 of 2016 on Capital Requirements under Basel III and amendments thereto - Banking Act No. 30 of 1988 and amendments thereto - Companies Act No. 07 of 2007 - Listing Rules of the Colombo Stock Exchange (CSE)

Scope and Boundary

GRI 102-46,50

This report spans the period 1st January 2021 to 31st December 2021 and comprehensively covers Sampath Bank's core business activities for this period. The core business activities included in the report are Consumer Banking and Corporate Banking activities, the Global Business segment as well as Treasury activities. Information in this regard has been obtained through interviews with corporate/senior management from respective business units. Other internal sources of information and relevant external research reports have also been used to prepare this report. All such external sources have been quoted as relevant.

Our Integrated Reporting Boundary

Our Value Creation	Strategy and Business Model	Governance	Material Topics	Opportunities and Risks

Our Financial Reporting Boundary

Sampath Bank's Business Activities	Subsidiaries' Business Activities

Materiality

GRI 102-49

The Materiality determination process is viewed as a critical business tool that facilitates integrated thinking. Premised on this, the principle of Materiality has been applied when assessing what information is to be included in this integrated report. Accordingly, this report focuses particularly on those Topics, opportunities and challenges that have a material impact on Sampath Bank and its ability to be a sustainable business that consistently delivers value to its key stakeholders over the short, medium and long term. A new Material Topic (Employee Health and Safety) was identified in 2021 and incorporated into the 2021 report content. The rationale for this decision and other relevant information are provided on page 29 of this report.

Six Capitals

Sampath Bank's relevance as a bank today and in the future depends on its ability to mobilise capital (inputs) to generate value - outputs for the Bank and outcomes for stakeholders. To demonstrate how this is achieved, this report contains a section detailing how the Bank uses the various forms of capitals to achieve its performance expectations in the short, medium and long term objectives within the context of stakeholder expectations.

Combined Assurance

GRI 102-54,56

This report has been prepared in accordance with the GRI Standards - Comprehensive option. A combined assurance model is used to provide assurance regarding information obtained from the management and from other internal and external sources. Internally, the Bank's Management provides assurances regarding the validity of information, data and statistics contained in the report.

The Bank's external auditors; Messrs Ernst and Young, Chartered Accountants have provided independent assurance reports regarding Sampath Bank's financial statements for the year ended 31st December 2021 as well as the Bank's adherence to the GRI Standards for the same period. These reports are shown on pages 196 to 199 and pages 367 to 368 respectively.

Forward-Looking Statements

The report contains, where applicable or helpful; plans for the future. These statements reflect Sampath Bank's position and beliefs as at the time of writing. However, since the Bank operates in a dynamic environment where uncertainties or new developments could cause actual results or actions to differ from those stated in these forward-looking statements, such statements should not be interpreted as a guarantee of results or of the course of action that will be taken.

GRI 102-51

Our Progress in Sustainability Reporting

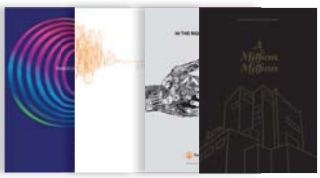
2011
Stand-alone Report
GRI 3.1 Level B
External Assurance Provided

2012
Incorporated in Annual Report
GRI 3.1 Level B
External Assurance Provided

2013
Stand-alone Report
GRI G4 - Comprehensive
External Assurance Provided

2014 - 2016
Integrated Report GRI G4 - Comprehensive
External Assurance Provided

2017 - 2021
Integrated Report GRI Standards - Comprehensive
External Assurance Provided



ABOUT THE REPORT

How to Navigate through this Report (Printed Version)

GRI 102-53

Feedback

To support its commitment towards continuous improvement in the quality of its reporting, Sampath Bank welcomes feedback regarding this report. For this purpose, a Feedback Form is provided on pages 375 and 376 along with relevant instructions to make it easier for readers to express their opinions regarding Sampath Bank's Integrated Annual Report 2021.

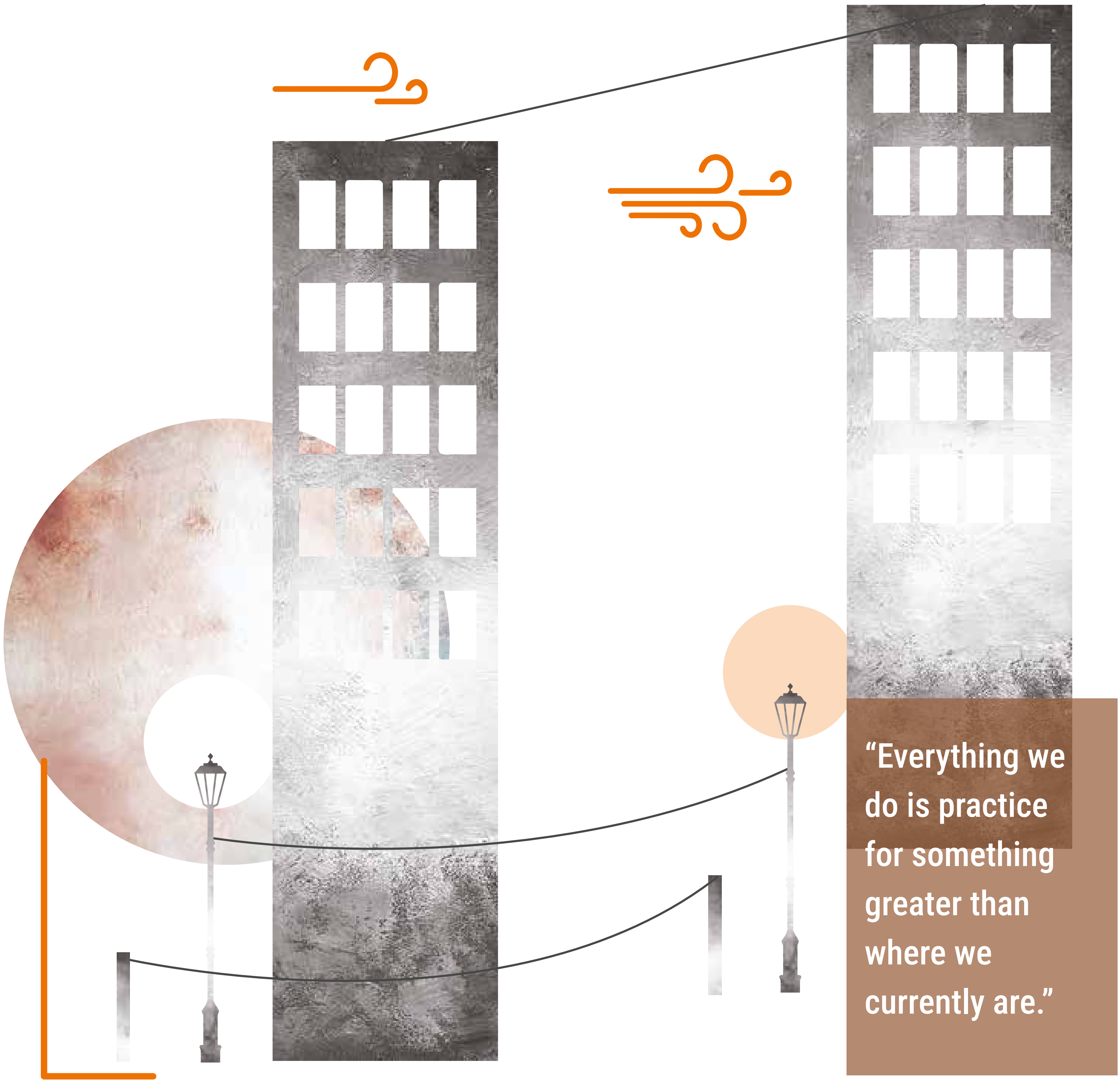
Scan this QR code to view the "Stakeholder Report" published on Sampath Bank's website

www.sampath.lk

PRACTISING FOR SUCCESS

ABOUT US

The success we have achieved has been the result of a steadfast resilience towards providing the best for our stakeholders. Every step along our journey has enabled us to be a source of stability and security in assisting Sri Lankans achieve their own dreams of success.



"Everything we do is practice for something greater than where we currently are."

ABOUT THE BANK

Sampath Bank PLC is among the top tier banking institutions in Sri Lanka. With a customer base exceeding 3 Mn, total assets about Rs 1.2 Tn and a National Long Term Rating of 'AA- (lka) with Stable Outlook' assigned by Fitch Ratings, Sampath Bank is ranked amongst the largest private banks in the country.

Incorporated in 1986 as a licensed commercial bank and listed on the Colombo Stock Exchange a year later, Sampath Bank has dedicated itself to serve the financial needs of Sri Lankans for the past three decades. Driven by the unequivocal commitment to offer nothing but the best banking solutions to every individual and business around the country, Sampath Bank has built a truly unique reputation as the only Bank to have mastered the art of delivering premier, world class banking with a traditional Sri Lankan touch.

What we offer

Consumer Banking

Banking and other financial services to individual customers and small-to medium-sized enterprises.

Corporate Banking

Advanced Banking solutions and corporate advisory services to large corporates, financial institutions and multinational companies.

Treasury Services

Innovative products and services in foreign exchange, money and fixed income markets to clients.

GRI 102-1,2

Key Historical Milestones

2021

- Sampath Bank is declared Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" for the 8th consecutive year at the prestigious World Finance Banking Awards 2021 by UK based World Finance magazine.
- Pioneering "Touchless Cash Withdrawals" from ATMs for the first time in Sri Lanka, and possibly the first time in the region.
- "Touchless Cash Withdrawals" technology receives recognition at the prestigious APICTA. Sampath Bank is the only Sri Lankan bank to be recognised at the APICTA Awards 2021.

2020 Sampath Bank sets a spectacular industry record by exceeding 1 Trillion Rupees worth of Asset base in just 33+ years.

2019 Recognition for ICT excellence at the National ICT Awards and the LankaPay Technovation Awards.

2018 Sampath Bank PLC is rated among the top 1000 World Banks by the UK's "The Banker" magazine in its 50th anniversary edition.

2018 Launch of "Slip-less Banking" for the first time in Sri Lanka.

2017 Launch of the drive-thru ATM.

2016 First bank in Sri Lanka to launch Visa PayWave enabled cards.

2015 Reclaimed the prestigious title of "Sri Lanka's Bank of the Year" for 2015 and won the globally recognised "The Banker Award" conferred by the UK's "The Banker" magazine owned by the prestigious "Financial Times Group".

2014 Selected as the "Best Bank in Sri Lanka - 2014" by the prestigious, Global Business Magazine "The Euromoney", for the second consecutive year.

2013 Pioneered the launch of the "Cardless Cash ATM" in Sri Lanka.

2012 Awarded the "Best Banking Group in Sri Lanka 2012", by the prestigious World Finance Magazine.

2011 Introduced the Super Branch concept offering 365-day banking.

2009 Became the third largest private sector commercial bank in Sri Lanka in terms of total assets.

2004 Awarded A+ (sri) National Rating by Fitch Ratings (Lanka) Limited.

2003 Became the first Bank in Sri Lanka to introduce "one day clearing" for all cheques drawn on any Sampath Bank branch.

2000 Launched the "Sampathnet" internet banking facility.

1999 Sampath Bank was listed under the 300 Best Small Companies in the world by the Forbes Global Magazine.

1997 The DEBIT CARD was introduced in association with CIRRUS and MAESTRO, the first in South Asia.

1989 Uni-banking system was introduced to Sri Lanka.

1988 The first bank in Sri Lanka to operate a multi-point network of ATMs.

OUR VISION AND VALUES

GRI 102-16

Our Vision & Values

The Growing Force in Sri Lankan Financial Services

- Create a learning culture that promotes individual and organisational development as well as promoting innovation and value for customers.
- Treat all internal and external customers the way we would like to be treated.
- Encourage and promote teamwork in all aspects of behaviour.
- Open to feedback and demonstrate an eagerness for personal development.
- Monitor and demonstrate an impressive commitment to results.
- Uncompromising ethical and professional standards of behaviour.

PRODUCT PORTFOLIO

GRI 102-2

Consumer Banking

Current Accounts
- Sampath General Current Account
- Sampath Supreme Current Account
- Sampath Payment Guaranteed Cheques

Savings
- Regular Savings
- Children's Savings
- Teenage Savings
- Ladies Savings
- Senior Citizens' Savings
- Money Market Accounts
- Sampath Dream Planner
  - Sampath Double S
  - Sampath Hit Saver
  - Sampath Pubudu and Sapiri
  - X-SET
  - Ladies 1st
  - Sampath Sanhinda Saver

Term Deposit Accounts
- Regular Deposits
- Flexible Deposits
- Senior Citizens' Deposits
  - Fixed Deposits
  - Certificate of Deposits
  - Sampath ODFD
  - Sampath Sanhinda FD

Foreign Currency Accounts
- Personal Foreign Currency Accounts (PFCA)
- Business Foreign Currency Accounts (BFCA)
- Inward Investment Accounts (IIA)
- Outward Investment Accounts (OIA)
- Sampath EXPAT Accounts
- Sampath Special Deposit Accounts
- Sampath FC Prime Accounts

Loans
- Housing Loans
- Business Loans
- Personal Loans
  - Sevana Housing Loan
  - Sevana Dayada Housing Loan
  - Foreign Currency Housing Loan
  - Factoring Facility
  - Sampath Saviliya
  - Sampath Soorya Loan Facility
  - Sampath Study Smart
  - Sampath Samachara Loan
  - Special Loans for Government Medical Officers
  - ODFD
  - Sampath Soorya Loan Facility

Leasing
- Sampath Leasing

Accounts for Professionals
- Sampath Professional Account

Pawning
- Sampath Randiriya
- Gold Loan

Agent Banking
- MyBank

Gift Vouchers
- Sampath Thilina

Sampath Cards
- Sampath Credit Cards
- Sampath Debit Cards
- Sampath Web Card
  - Sampath Visa Credit Cards
  - Sampath Mastercard Credit Cards
  - Sampath Bank American Express® Credit Cards

Foreign Remittances
- e-Remittance
- RemitWise Self-care App

Relationship Banking
- Platinum Plus

Digital/Electronic Banking
- Internet Banking
- Mobile Banking
- ATM Banking
  - Sampath Vishwa Retail
  - Digital On-boarding
  - PayEasy
  - Chatbot
  - Sampath WePay
  - Sampath Bank App
  - Sampath Slipless Banking
  - Sampath Missed Call Banking
  - Telebanking
  - SMS Alertz
  - SMS Banking
  - Mobile Cash
  - Sampath Cardless Cash
  - Touchless Cash Withdrawal Facility
  - Off-site ATMs
  - Interbank ATM Network
  - Cash Deposit Machines
  - Cheque Deposit Machines

Safety Lockers
- Sampath Safe Deposit Lockers

Clubs and Societies Accounts
- Sampath Samaja

Entrepreneurship Development
- Sampath Saviya

Corporate Banking

Financing	Corporate Credit Corporate Finance Foreign Currency Banking Unit (FCBU)
International Trade	Trade Services Correspondent Banks
Digital Banking	Sampath Vishwa Corporate Payment Gateway Services E-commerce enabled through Evolve Open Banking QR Merchant Biller Sharing Listing as a Biller in Sampath Vishwa, WePay and Payeasy.lk
Sampath Corporate Credit Cards	Sampath Visa Corporate Credit Card Sampath Mastercard Corporate Credit Card Sampath Visa Corporate Fuel Card
Cash Management	Corporate Cash Management Solution
Corporate Investments	Money Market Account

Treasury

- Treasury Bills
- Treasury Bonds
- Spot Contracts
- Forward Exchange Contracts
- Repo and Reverse Repo
- Sri Lanka Development Bonds
- Sri Lanka International Sovereign Bonds

New Offerings

RemitWise Self-care App

The RemitWise self-care app is a first of its kind, was launched for the benefit of senders and receivers of inward remittances. Designed to support the national initiative to encourage more inward remittances to be routed through formal channels, the RemitWise App is available in all three languages and can be activated through a simple self-registration process that requires the users Name, NIC/PP and Mobile number. The app is accessible to both iOS and Android users and can be used by senders and beneficiaries regardless of whether they are Sampath Bank customers or not. Key features of the RemitWise app include; remittance tracking, request money, overseas business promotion/exchange partner locations, loan request, special/emergency notifications, chat option etc.

Touchless Cash Withdrawal Facility

Continuing its rich tradition of industry firsts, Sampath Bank in August 2021 pioneered the Touchless Cash Withdrawals (TCW) across its network of 455 ATMs. A first in Sri Lanka, and possibly the wider South Asian region as well, the TCW concept does away with the need to physically touch the surface of the ATM, thereby serving as an ideal means of withdrawing cash from ATMs during the current global COVID-19 pandemic. The facility is available to Sampath Bank customers and customers of all other banks and allows them to withdraw funds from any Sampath Bank ATM around the island by simply scanning the QR code displayed on the ATM screen using the Sampath WePay app.

Digital On-boarding

In yet another revolutionary move, Sampath Bank launched Digital On-boarding in July 2021 to enable customers to seamlessly open up accounts from anywhere at any time without having to visit a branch. Whilst greatly enhancing the customer convenience and reducing the time spent, the new digital on-boarding facility is seen as a timely solution in the context of the global pandemic. Customers can access the digital on-boarding facility primarily through the newly upgraded Vishwa online banking platform. Apart from this, digital on-boarding for retail customers has also been enabled across other platforms as well. These include; the e-enrollment option available in the Sampath Corporate website and fully digital on-boarding experience across the Bank's entire VTM network - a first for the banking sector. Furthermore, for corporate clients, a dedicated video conferencing feature has been put in place to facilitate the opening of business accounts.

BOARD OF DIRECTORS


1


2

1 **Mr Harsha Amarasekera, PC**
Chairman

2 **Mr Nanda Fernando**
Managing Director

Mr Rushanka Silva 3
Deputy Chairman

Mr Deshal de Mel 4
Senior Independent Director


3


4

Mr Dilip de S Wijeyeratne 5
Director

Ms Aroshi Nanayakkara 6
Director


5


6


7

7 **Dr Sanjiva Weerawarana**
Director


8


9

8 **Mr Vajira Kulatilaka**
Director

9 **Mrs Keshini Jayawardena**
Director

Mr Vinod Hirdaramani 10
Director

Mr Ajantha de Vas Gunasekara 11
Executive Director/
Group Chief Financial Officer


10


11


12

12 **Mr Lasantha Senaratne**
Company Secretary


13

Mr Muditha Walpola 13
Assistant Company Secretary

BOARD OF DIRECTORS

GRI 102-22,23

Mr Harsha Amarasekera, President's Counsel
Chairman
Non-Independent, Non-Executive Director

Qualifications, Skills and Experience:

Mr Amarasekera, President's Counsel is a leading luminary in the legal profession in Sri Lanka with a wide practice in both the Original Courts as well as the Appellate Courts. His fields of expertise include Commercial Law, Business Law, Securities Law, Banking Law and Intellectual Property Law. Mr Amarasekera also has significant experience in arbitration and cross-national disputes.

Mr Amarasekera, was admitted to the Bar in November 1987 and took oaths as a President's Counsel in November 2012.

Appointed to the Board:

18th August 2020 as a Non-Independent, Non-Executive Director and appointed as Chairman on 30th August 2020.

Membership in Board Sub Committees:

Chairman of Board Strategic Planning Committee. Member of Board Nomination Committee, Board Marketing Committee and Board Capital Planning Committee.

Current Appointments:

Chairman of Sampath Bank PLC, CIC Holdings PLC, Swisstek (Ceylon) PLC, Swisstek Aluminum Limited and CIC Agri Businesses (Private) Limited. Deputy Chairman of Vallibel Power Erathna PLC and a Director of Vallibel One PLC, Expolanka Holdings PLC, Chevron Lubricants Lanka PLC, Royal Ceramics Lanka PLC, Ambeon Capital PLC, Amaya Leisure PLC, Galle Face Management Company (Pvt) Ltd, Link Natural Products (Pvt) Ltd, The Hill Club Company Limited, Millennium Airlines (Pvt) Ltd, Millennium Investments Lanka (Pvt) Ltd, Ceylon Hotels Holdings (Pvt) Ltd, Handhuvaru Ocean Holiday Private Limited and Silver Aisle (Pvt) Ltd.

Former Appointments:

Chairman of Asia Capital PLC, Asian Alliance PLC, Chemanex PLC, Bensons (Pvt) Ltd and Director of Keells Food Production PLC, Delmege (Pvt) Ltd and Amana Bank PLC.

Mr Nanda Fernando
Managing Director
Executive Director

Qualifications, Skills and Experience:

Possess 04 decades of experience in Banking and Finance, driving multiple aspects of Banking business, Transactional Banking in Retail and Corporate Banking, among many other key growth areas. He is a Senior Fellow member of the Institute of Bankers of Sri Lanka and holds a Masters of Business Administration specialised in Marketing. He is also a qualified Four Bead Leader Trainer and functions as the Group Advisor to the Scouts Group Committee of S. Thomas' College, Mount Lavinia. He serves as The National Training Commissioner of the Sri Lanka Scout Association currently.

Appointed to the Board:

13th September 2016 as an Executive Director.

Membership in Board Sub Committees:

Member of Board Integrated Risk Management Committee, Board Credit Committee, Board Shareholder Relations Committee, Board Strategic Planning Committee, Board IT Committee, Board Treasury Committee, Board Marketing Committee and Board Capital Planning Committee.

Current Appointments:

Managing Director of Sampath Bank PLC, Director of Lanka Financial Services Bureau Ltd, LankaBangla Finance Limited and a Governing Board Director of the Institute of Bankers of Sri Lanka.

Former Appointments:

Chairman of Bankers' Technical Advisory Committee, which functions under the purview of the Sri Lanka Bankers' Association, a past District Commissioner of the Sri Lanka Scout Association, Director of SC Securities (Pvt) Ltd and Lanka Clear (Pvt) Ltd.

Mr Rushanka Silva
Deputy Chairman
Non-Independent, Non-Executive Director

Qualifications, Skills and Experience:

Dedicated professional with a solid background in Management Accounting, Marketing and Sales. An Associate Member of the Chartered Institute of Management Accountants UK (ACMA). Strategic and creative thinker who has proven his ability to develop strong client relationships quickly and promote teamwork efficiently and a leader with a rich mixture of experience and successes in the business world, having completed his secondary education at Trinity College, Kandy. Holds a Masters of Business Administration from University of Western Sydney, Australia. An alumnus of Harvard Business School (USA).

Appointed to the Board:

1st September 2017 as a Non-Independent, Non-Executive Director and appointed as Deputy Chairman on 24th September 2020.

Membership in Board Sub Committees:

Chairman of Board Shareholder Relations Committee and Board Capital Planning Committee. Member of Board Nomination Committee, Board Credit Committee, Board Treasury Committee, Board Strategic Planning Committee, Board Marketing Committee and Board IT Committee.

Current Appointments:

Deputy Chairman of Sampath Bank PLC and Siyapatha Finance PLC. Chairman of Braybrooke Residential Properties (Pvt) Ltd, Braybrooke Residential Towers (Pvt) Ltd and Indra Hotels and Resorts Kandy (Pvt) Ltd. Managing Director of Indra Traders (Pvt) Ltd, a Director of Indra Motor Spares (Pvt) Ltd, Indra Property Development (Pvt) Ltd and Sampath Centre Limited.

Mr Deshal de Mel
Senior Independent Director
Non-Executive Director

Qualifications, Skills and Experience:

An eminent Economist, earned a degree in Philosophy, Political Science and Economics from the University of Oxford and Masters in International Political Economy from the London School of Economics. His publications can be found in a number of books and journals and also recognised by the World Economic Forum as a 'Young Global Leader' in 2019.

Appointed to the Board:

Previously served on the Board of Directors of Sampath Bank PLC as a Non-Executive Director (2012 - 2017) and re-joined on 26th September 2019 as an Independent, Non-Executive Director. Became Senior Independent Director (SID) on 24th September 2020.

Membership in Board Sub Committees:

Chairman of Board Integrated Risk Management Committee and Board Nomination Committee. Member of Board Audit Committee, Board Human Resources & Remuneration Committee, Board Related Party Transaction Review Committee, Board Shareholder Relations Committee, Board Strategic Planning Committee, Board Marketing Committee and Board Treasury Committee.

Current Appointments:

Senior Independent Director of Sampath Bank PLC, Non-Executive Director of Capital Alliance Investments (Pvt) Ltd, Janashakthi Insurance PLC, TNL Radio Network (Pvt) Ltd and Rehabilitation Centre for the Communication Impaired Ltd. Research Director at Verite Research (Pvt) Ltd.

Former Appointments:

Commission Member of the Securities & Exchange Commission of Sri Lanka, Director of Sri Lankan Airlines, Research Economist of Institute of Policy Studies of Sri Lanka, Chairman and Board Member of SC Securities (Pvt) Ltd, Board Member of Centre for Poverty Analysis (CEPA), Senior Economist of Hayleys Group and Economic Advisor - Ministry of Finance.

Mr Dilip de S Wijeyeratne
Independent, Non-Executive Director

Qualifications, Skills and Experience:

An Associate Member of the Institute of Chartered Accountants of Sri Lanka (ACA), Fellow Member of the Chartered Institute of Management Accountants, UK (FCMA) and a Graduate Member of the Australian Institute of Company Directors (GAICD). A senior finance/banking professional and a principal consultant who provides advisory services to companies globally to expand operations within Middle East, Sri Lanka and Australia.

Appointed to the Board:

13th November 2018 as a Non-Independent, Non-Executive Director and became an Independent Director with effect from 8th August 2019.

Membership of Board Sub Committees:

Chairman of Board Audit Committee and Board Treasury Committee. Member of Board Integrated Risk Management Committee, Board Human Resources & Remuneration Committee, Board Nomination Committee, Board Related Party Transactions Review Committee, Board Strategic Planning Committee and Board Capital Planning Committee.

Current Appointments:

Independent, Non-Executive Director of Sampath Bank PLC, Non-Executive Director of Singer (Sri Lanka) PLC, Regnis (Lanka) PLC, Singer Industries (Ceylon) PLC, Hayleys Fibre PLC and CEO/MD of Third Wave International W.L.L. Bahrain.

Former Appointments:

Head of Finance and Global Market Operations of HSBC Group Bahrain offices and Board member of the Bahrain Asian Traders' Committee of Bahrain Chamber of Commerce.

Ms Aroshi Nanayakkara
Independent, Non-Executive Director

Qualifications, Skills and Experience:

Holds a BSc. in Management from the Massachusetts Institute of Technology (MIT) USA and a MSc. in Management from the London School of Economics (LSE) UK. Holds the ACMA and CGMA qualifications from the Chartered Institute of Management Accountants (CIMA) UK and featured as a 'Game Changer' of CIMA.

A dynamic leader in the fields of Strategic Planning, HR and Risk Management having gathered extensive experience through her 20 plus years in prominent companies.

Commenced her career as a Corporate Banker, first at ABN AMRO Bank NV and later at Deutsche Bank AG Sri Lanka. Moved from banking into the HR sphere by joining Eagle Insurance and the Delmege Group of Companies. She was Group Director Human Resource Development at Delmege while also serving on the Board of Delmege Interior Décor (Pvt) Ltd. Later joined the Brandix Group as Chief Risk Officer overlooking the functions of internal audit and compliance and finally, as CEO of Brandix Hangers (Pvt) Ltd.

Appointed to the Board:

30th May 2019 as a Non-Independent, Non-Executive Director and became an Independent Director with effect from 27th June 2019.

Membership of Board Sub Committees:

Chairperson of Board Human Resources & Remuneration Committee and Board Marketing Committee. Member of Board Credit Committee, Board Strategic Planning Committee, Board IT Committee, Board Treasury Committee and Board Shareholder Relations Committee.

Current Appointments:

Independent, Non-Executive Director of Sampath Bank PLC, CEO of the Global Consulting Company, Senior Vice Chairperson & Board Director of Sri Lanka Institute of Directors, Chair of the Women Directors Forum of the Sri Lanka Institute of Directors, Co-Chair of the Women Corporate Directors (WCD) Sri Lanka Chapter, President 2021/2022 of the Rotary Club of Colombo, Non-Executive Director of Hela Apparel Holdings (Pvt) Ltd, Hela Clothing (Pvt) Ltd, Foundation Garments (Pvt) Ltd, FDN Sourcing (Pvt) Ltd and Asian Hotels & Properties PLC.

BOARD OF DIRECTORS

Dr Sanjiva Weerawarana
Independent, Non-Executive Director

Qualifications, Skills and Experience:

Holds a Ph.D. in Computer Science and currently a Director of WSO2 Lanka (Pvt) Ltd, Lanka Software Foundation and Lanka Data Foundation.

Founder of WSO2 and served as CEO and Chairman respectively.

Worked in IBM Research and focused on innovations in middleware and emerging industry standards. At IBM, he was one of the founders of the Web services platform and he co-authored many Web services specifications, including WSDL, BPEL4WS, WS-Addressing, WS-RF and WS-Eventing.

Committed to open source software development for many years. An elected member of the Apache Software Foundation, the original creator of Apache SOAP and has contributed to Apache Axis, Apache Axis2 and most Apache Web services projects.

In 2003, founded the Lanka Software Foundation (LSF), a non-profit organisation formed with the objective of promoting open source development.

Appointed to the Board:

1st June 2019 as an Independent, Non-Executive Director.

Membership of Board Sub Committees:

Chairman of Board IT Committee. Member of Board Audit Committee, Board Integrated Risk Management Committee, Board Related Party Transactions Review Committee and Board Strategic Planning Committee.

Current Appointments:

Independent, Non-Executive Director of Sampath Bank PLC, CEO/Director of WSO2, Director of Lanka Software Foundation, Lanka Data Foundation and S.A.S. Engineering (Private) Ltd.

Mr Vajira Kulatilaka
Independent, Non-Executive Director

Qualifications, Skills and Experience:

Mr Vajira Kulatilaka holds a BSc. in Civil Engineering with First Class Honours from the University of Moratuwa and a MSc. in Industrial Engineering and Management from the Asian Institute of Technology, Thailand. He is also a Chartered Financial Analyst (CFA) and has obtained Fellow Membership of the Chartered Institute of Management Accountants, UK.

He counts over 37 years of experience in Banking and Finance and Capital Market operations in Sri Lanka. Mr Kulatilaka served as the Director/CEO of the NDB Investment Banking Cluster, where he was adjudged the 'Best Investment Banking CEO Sri Lanka' in 2014 and 2015 by Global Banking and Finance Review in recognition of his contribution to the investment banking field in Sri Lanka.

Appointed to the Board:

25th June 2020 as an Independent, Non-Executive Director.

Membership of Board Sub Committees:

Chairman of Board Related Party Transactions Review Committee and Board Credit Committee. Member of Board Human Resources & Remuneration Committee, Board Strategic Planning Committee, Board IT Committee, Board Treasury Committee and Board Capital Planning Committee.

Current Appointments:

Independent, Non-Executive Director of Sampath Bank PLC, Printcare PLC and Panasian Power PLC.

Former Appointments:

Chairman of the Colombo Stock Exchange, Central Depository System (Pvt) Ltd, South Asian Federation of Exchanges (SAFE) and also as a Council Member of the University of Moratuwa. Director of Resus Energy PLC, Director/CEO of the NDB Capital Holdings Ltd and Executive Director of NDB Zephyr Partners (Pvt) Ltd, NDB Zephyr Partners (Pvt) Ltd - Mauritius, NDB Wealth Management Ltd, NDB Securities (Pvt) Ltd, NDB Capital Ltd - Bangladesh and NDB Investment Bank.

Mrs Keshini Jayawardena
Independent, Non-Executive Director

Qualifications, Skills and Experience:

Mrs Keshini Jayawardena holds a BSc. (Econ) in International Relations from the London School of Economics and Political Science and is a Solicitor of the Supreme Court of England and Wales. She counts over 29 years of experience in Banking with local and foreign bank exposure. Mrs Jayawardena has a strong understanding of the drivers and enablers for an operational excellence culture in organisations. She presently works as a facilitator in the learning and development field specialising in leadership, management skills, diversity and inclusion.

Appointed to the Board:

1st October 2020 as an Independent, Non-Executive Director.

Membership of Board Sub Committees:

Member of Board Nomination Committee, Board Strategic Planning Committee, Board IT Committee, Board Credit Committee and Board Shareholder Relations Committee.

Current Appointments:

Independent, Non-Executive Director of Sampath Bank PLC. Associate Consultant at Bridge Partnership, The Centre for Inclusive Leadership and Kinetik Solutions (UK based consultancies).

Former Appointments:

DGM Leasing, DGM Retail and SME Banking, Chief Operations Officer of Nations Trust Bank and Head of Operations of HSBC Sri Lanka.

Mr Vinod Hirdaramani
Independent, Non-Executive Director

Qualifications, Skills and Experience:

Mr Vinod Hirdaramani was educated at Harrow School in the UK and holds a BA Degree from the Northwestern University in the United States. He is also an Alumnus of the Harvard Business School. Mr Hirdaramani has extensive experience in the field of management, apparel and energy sectors. He joined the Board of Directors of the Hirdaramani Group in 1993. Mr Hirdaramani oversees the functions of the Knit facilities in both Sri Lanka and Vietnam, and is involved in the investments the group made in the renewable energy sector. Mr Hirdaramani also serves as a Director on many subsidiary companies of the Hirdaramani Group, which owns 38 facilities across Sri Lanka, Bangladesh, Vietnam and Ethiopia. He is a Member of the Young Presidents' Organisation, where he served as the past Chapter Chair for the Sri Lanka Chapter.

Appointed to the Board:

16th February 2021 as an Independent, Non-Executive Director.

Membership of Board Sub Committees:

Member of Board Human Resources & Remuneration Committee, Board Strategic Planning Committee and Board Marketing Committee.

Current Appointments:

Independent, Non-Executive Director of Sampath Bank PLC, Executive Director of Hirdaramani Leisure Holdings (Private) Limited, Hirdaramani Apparel Holdings (Private) Limited, Hirdaramani Investment Holdings (Private) Limited, Hirdaramani International Exports (Private) Limited, Hirdaramani (Private) Limited, Hirdaramani Power (Private) Limited, Hirdaramani Mercury Apparel (Private) Limited, HI Fashion Holdings (Private) Limited, C K T Apparel (Private) Limited, Ceylon Knit Trend (Private) Limited, Long Island Clothing Company (Private) Limited, The Island Watch Company (Private) Limited, Rosewood (Private) Limited, Zenith Insurance Brokers (Private) Limited, Union Residencies (Private) Limited, Mandalay (Private) Limited and Vinik (Private) Limited. Non-Executive Director of Renewgen (Private) Limited and Windforce PLC.

Former Appointments:

Executive Director of Hirdaramani Properties (Private) Limited, H One (Private) Limited, Ecotels (Private) Limited, H-Connect (Private) Limited, Chatham Holdings (Private) Limited, Saaraketha Holdings (Private) Limited, Eco Leisure (Private) Limited and H One Bizready (Private) Limited. Non-Executive Director of Gurugoda Hydro (Private) Limited, Daily Life Renewable Energy (Private) Limited, Vidul Mathugeta (Private) Limited, Seguwantvu Wind Power (Private) Limited, Vidatamunai Wind Power (Private) Limited and Nirmalapura Wind Power (Private) Limited.

Mr Ajantha de Vas Gunasekara
Executive Director
Group Chief Financial Officer

Qualifications, Skills and Experience:

Mr Gunasekara is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow Member of Certified Management Accountants of Sri Lanka. He counts over 28 years of post-qualifying experience which includes 21 years at senior corporate management level in Insurance and Banking sectors. He is working at Sampath Bank PLC since July 2013 and currently holds the position of Group Chief Financial Officer.

Appointed to the Board:

29th October 2020 as an Executive Director.

Membership of Board Sub Committees:

Member of Board Strategic Planning Committee.

Current Appointments:

Executive Director and Group Chief Financial Officer of Sampath Bank PLC.

Former Appointments:

Director of Sri Lanka Accounting and Auditing Standards Monitoring Board (SLAASMB), Chief Financial Officer of Hatton National Bank PLC, General Manager Finance & Corporate Services of HNB Assurance PLC, Finance Manager of Asian Alliance Insurance PLC and Accountant of James Finlay & Company (Colombo) Ltd.

CORPORATE MANAGEMENT

Nanda Fernando
Managing Director

Ayodhya Iddawela Perera
Senior Deputy General Manager - Corporate Banking (Managing Director - Designate)

Ajantha de Vas Gunasekara
Executive Director/ Group Chief Financial Officer

Tharaka Ranwala
Senior Deputy General Manager - Group Marketing, Deposit Mobilisation and Digitalisation

Shashi Kandambi Jassim
Senior Deputy General Manager - International Banking

Ajith Salgado
Group Chief Information Officer

Manoj Akmeemana
Senior Deputy General Manager - Credit Control, Credit Administration, Recoveries & Legal

Scan this QR code to view our whole leadership team including Chief Managers and Senior Managers

www.sampath.lk

Thusitha Nakandala
Group Chief Human Resource Officer

Amal Kirihene
Deputy General Manager - Corporate Credit

Sanjaya Gunawardena
Group Chief Strategy Officer

Charitha Jayawickrama
Group Chief Internal Auditor

Deepal De Silva
Deputy General Manager - Operations & Branch Banking

Lalith Weragoda
Group Learning Officer

Rajendra Ranasinghe
Assistant General Manager - Inward Remittance/KPO/BNO

Prassantha De Silva
Assistant General Manager - Treasury

Dulsiri Jayasinghe
Assistant General Manager - FCBU/Corporate Finance

CORPORATE MANAGEMENT

Ananda Wijitha
Assistant General Manager -
Chief Information Security Officer

Pasan Manukith
Assistant General Manager -
Information Technology

Lasantha Senaratne
Company Secretary

Senaka Hewavitharana
Chief Legal Officer

Shiran Kossinna
Assistant General Manager -
Recoveries

Kusal De Silva
Assistant General Manager -
Corporate Finance

Dushyantha Dassanayake
Assistant General Manager -
Information Technology - Systems

Chatura Rudesh
Assistant General Manager -
FCBU

Janaka Jayasuriya
Assistant General Manager -
Branch Banking

Kumari Jayasuriya
Assistant General Manager -
Branch Banking

Halin Hettigoda
Assistant General Manager -
International Banking

Udara Suraweera
Assistant General Manager -
Operations

Kasun Rathnayake
Assistant General Manager -
Group Chief Risk Officer

Darshin Pathinayake
Assistant General Manager -
Card Centre

Thushara Jayathunga
Assistant General Manager -
Information Technology -
Electronic Data Processing

Asanka Liyanage
Assistant General Manager -
Internal Audit

Sachithri Fernando
Assistant General Manager -
Planning

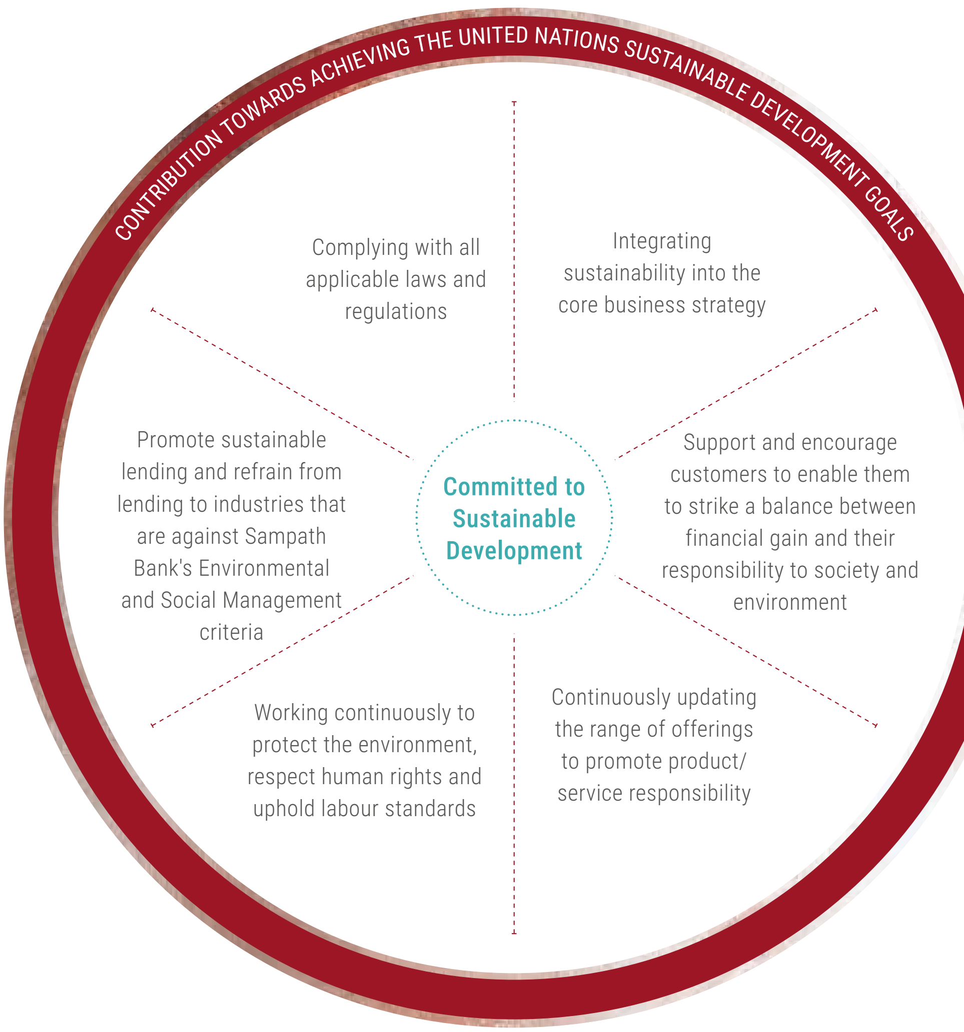
Gayani Jinadasa
Assistant General Manager -
Finance

OUR APPROACH TOWARDS SUSTAINABILITY

Integrated Sustainability Strategy

In line with its corporate promise - 'We present your future', Sampath Bank has committed to contribute positively towards national efforts to address sustainability challenges. To ensure that our measures achieve the desired results, we have adopted a broad-based approach anchored to the United Nations Sustainable Development Goals which form part of the UN's 2030 Vision for a more peaceful and prosperous future. Our sustainability strategy which is founded on the triple-bottom-line principle, serves as the basis of integrating our business goals with key sustainability parameters to add value to people and planet in the process of striving for profitability.

We Serve	We Focus on
Economic Sustainability Produce strong financial results consistently to ensure long term financial stability and continuity of business operations	• Good Governance • Ethical Business Principles • Digital Leadership • Market Share • Productivity and Efficiency
Social Sustainability Deliver solutions to help eliminate persistent socio-economic inequalities	• Socially Responsible Products and Services • Equal Employment Opportunity • Financial Inclusion
Environmental Sustainability Lead by example in the adoption of eco-friendly best practices for the Banking sector	• Digital Solutions • Paperless Operations • Green Lending • Environmental CSR Projects



GRI 413-1

We Create Value for

Investors

Employees

Customers

Suppliers

Community

Government

Key Initiatives/Highlights 2021

1 NO POVERTY
- Livelihood development through the "Sampath Saviya" entrepreneurship development initiative.

2 ZERO HUNGER
- "Wewata Jeewayak" tank restoration programme to facilitate agricultural growing activities in Sri Lanka's dry and intermediary zones.

3 GOOD HEALTH AND WELL-BEING
- "Hope for a Life" programme to uplift national healthcare standards.
- Free medical vouchers to senior citizens through the "Sanhinda Saver" account.

4 QUALITY EDUCATION
- "Education for All" programme to ensure all communities have equal access to high quality primary and secondary education and career guidance.

5 GENDER EQUALITY
- Female representation in leadership roles among the Bank's management teams.
- Female representation in leadership roles is a key aspect in the community development programmes undertaken by the Bank.

6 CLEAN WATER AND SANITATION
- "Wewata Jeewayak" tank restoration programme to restore water related ecosystems.

7 AFFORDABLE AND CLEAN ENERGY
- Promote sustainable lending through financing to renewable energy sector.

8 DECENT WORK AND ECONOMIC GROWTH
- Internship opportunities and career guidance for school leavers and undergraduates.
- All confirmed employees were granted a 10% annual salary increment.

9 INDUSTRY, INNOVATION AND INFRASTRUCTURE
- Pioneered "Touchless Cash Withdrawals" in Sri Lanka.

10 REDUCED INEQUALITIES
- Provide equal opportunities for all employees.
- Zero tolerance of any form of unfair discrimination on the basis of race, gender or disability.
- Ratio of basic salary at the entry level for males and females is 1:1.

11 SUSTAINABLE CITIES AND COMMUNITIES
- Structured housing loan solutions for customers.
- "Save a Plant for Colombo" tree planting programme.

12 RESPONSIBLE CONSUMPTION AND PRODUCTION
- Year-on-year reduction in paper waste attributed to increased digitalisation.
- Wide range of products and services catering to a range of banking needs, also enhancing convenience at affordable prices.

13 CLIMATE ACTION / 15 LIFE ON LAND
- Invest in emission management and energy management projects at the Bank's head office and branch network.
- Biodiversity conservation project.
- Contribution to the Wildlife and Nature Protection Society of Sri Lanka.
- Tree planting programmes including "Gasai Mamai Pubudu Pothai".

16 PEACE AND JUSTICE STRONG INSTITUTIONS
- Implemented the Anti-Bribery and Corruption and Gift Policies applicable to all employees and the Directors.
- Vigilance to ensure that Bank's products are not used in the furtherance of financial crime, such as money laundering, financing of terrorism, fraud and corruption.

17 PARTNERSHIPS FOR THE GOALS
- Strategic partnerships to address the issues on climate change, water, education, community empowerment and entrepreneurship development.

OUR APPROACH TOWARDS SUSTAINABILITY

Participation of Managing Director at the handing over ceremony of Kindagalla Wewa in Bibile.

GRI 102 -18,19,20,21,26,27,28,29,31,33/103-2

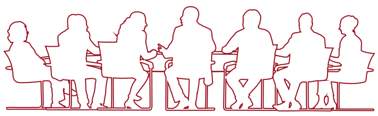
Sustainability Governance

The Sampath Bank Board is the apex body in charge of providing strategic direction and oversight for sustainability matters. Economic, social and environmental sustainability impacts to the business are considered in all decisions made by the Board and its sub-committees. Assisting the Board and its sub-committees in this regard, is the responsibility of the Corporate Social Responsibility Committee which operates under the direction of the Bank's Managing Director. Further, it is the duty of the Corporate Social Responsibility Committee to develop an integrated sustainability strategy to reflect the Bank's commitment towards serving the environmental and social aspects. The Committee also has the authority to provide direction and maintain overall control over all CSR and sustainability related matters.

The responsibility for identifying, planning, implementing and monitoring of these sustainability programmes is vested with the Corporate Sustainability Department. The Corporate Sustainability Department together with the Corporate Social Responsibility Committee reviews the Bank's sustainability agenda on an annual basis, or more often if needed, with the Committee required to seek Board approval prior to implementing any proposed changes or undertaking any new initiatives.

Continuous and ongoing training and awareness is a key pillar of the Bank's overall approach to sustainability governance. In 2021, regardless of the challenges and difficulties experienced due to the COVID-19 pandemic, the Bank leveraged its e-learning platform to proceed with planned awareness initiatives to enhance the Board's collective knowledge on socio-economic and environmental aspects. These training sessions were conducted by both internal and external experts with special focus on selected socio-economic and environmental topics that have become relevant in the current pandemic context. Several of these key sustainability topics were also considered at Board level discussions.

Two-tier Governance Structure for Corporate Sustainability

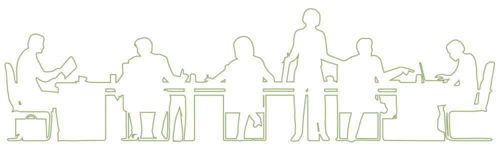


Board of Directors

Managing Director

Corporate Social Responsibility Committee

Executive Director/Group Chief Financial Officer	Group Chief Human Resource Officer (Chairman)	Group Learning Officer	Chief Manager - Marketing



Corporate Sustainability Department

OUR VALUE CREATING BUSINESS MODEL

CAPITALS | INPUTS

Financial Capital

The financial resources obtained from external sources (Equity and Debt Capital) as well as retained profits that together create a foundation to grow and sustain the business

Refer pages 62 to 65 for more information

- Rs 59.6 Bn Market Capitalisation
- Rs 118.8 Bn Equity Capital
- Rs 978.4 Bn Deposit Base

Manufactured Capital

The physical and digital infrastructure that enable the Bank to carry out its core business activities

Refer pages 66 to 67 for more information

- 229 Branches
- 455 ATMs and 483 CDMs
- 206 MyBank Agents
- Digital Banking Solutions (Sampath Vishwa, Sampath WePay)
- IT Infrastructure Development Initiatives
- Correspondent Banks and Exchange Companies

Intellectual Capital

The unique characteristics, systems and processes that safeguard Sampath Bank's reputation and competitive position

Refer pages 68 to 69 for more information

- Brand Strength
- Information Security Architecture
- BCP Framework

Human Capital

The skills, expertise and commitment of Team Sampath that enable the Bank to implement its strategy and achieve corporate objectives

Refer pages 70 to 71 for more information

- 4,013 Employees
- Remuneration and Benefits
- Learning and Development
- Talent Development
- Motivation and Team Spirit
- COVID-19 Support

Social and Relationship Capital

The strength of the relationships with key stakeholders that enables the Bank to maintain its competitive edge

Refer pages 72 to 73 for more information

- Improving Product Relevance
- Product Innovation
- Supporting Customer Digital Adoption
- Customer Engagement
- COVID-19 Relief Measures
- "Wewata Jeewayak" Programme
- "Sampath Saviya" Programme
- "Hope for a Life" Programme
- "Education for All" Initiative

Natural Capital

The contribution made by the Bank to reduce the deterioration of natural resources

Refer pages 74 to 75 for more information

- Environmental and Social Management System (ESMS)
- Resource Efficiency Programmes
- Responsible Lending
- Environmental CSR Programmes

VALUE CREATION PROCESS

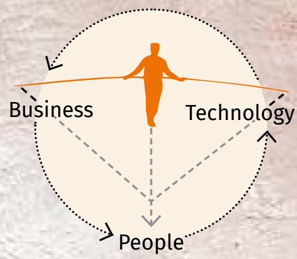
Internal Environment

Vision to be 'The Growing Force in Sri Lankan Financial Services'

Values and Corporate Culture

Strategy

Triple Transformation



Strategic Imperatives

- Growth
- Cost Management
- Risk Mitigation

Strategic Themes for 2021

- Competitive Positioning
- COVID-19 Response
- Digital Leadership
- Customer Experience
- Paperless Operations
- Operational Excellence
- Employee Digital Experience
- Driving a High Performance Culture
- Creating a Future-ready Workforce
- Advancing the Bank's Status as an Employer of Choice
- Community Stewardship

United Nations Sustainable Development Goals

Key Enablers of Value Creation Process

Business Lines

- Corporate Banking
- Consumer Banking
- SME Banking
- Global Banking

Support Functions

- Operational Support
- Legal, Administrative and HR Support
- IT and Data Support
- Other Business Units
- Customer Care Centre

Governance Framework, Compliance and Risk Management

Opportunities and Challenges

External Environment

GRI 102-7

OUTPUTS FOR CAPITALS

Financial Capital

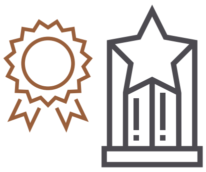
- PAT: Rs 12.5 Bn
- ROE: 11.05%
- EPS: Rs 10.89

Manufactured Capital

- New ATMs: 10
- New Cash Deposit Machines: 18

Intellectual Capital

- Declared Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" for the 8th consecutive year, by the World Finance Banking Awards by UK based World Finance Magazine
- "Most Loved Banking Brand" - LMD Brands Annual 2021
- Top 10 "Most Valuable Brands" - LMD Brands Annual 2021
- Top 5 "Most Respected Entities" in Sri Lanka for 2021 - LMD and Nielsen
- Top 10 "Best Corporate Citizens 2021" - The Ceylon Chamber of Commerce
- APICTA Award for the "Touchless Cash Withdrawals"
- Winner of the Best Digitalised Customer Experience (Omni Channel Experience) - FITIS Digital Excellence Awards 2021



Human Capital

- Revenue per Employee: Rs 26.1 Mn
- Employee Retention: 98.4%
- Staff Promotions: 242
- Online Learning Hours: 98,418
- Investment in Training: Rs 17.1 Mn
- Return to Work Ratio - after maternity leave: 100%

Social and Relationship Capital

- Persons Benefited under the "Wewata Jeewayak" Programme: 4,372
- Persons Trained under the "Sampath Saviya" Programme: 2,263
- Persons Benefited under the "Hope for a Life" Programme: 12,670

Natural Capital

- Solar Power Generation through Branch Network: 340,701 kWh
- Financing of Renewable Energy Projects: Rs 4,550 Mn
- Carbon Footprint of the Bank: 9,263 tCO_2e

VALUE WE CREATE

For Our Bank

- Higher Business Volumes
- Strong Competitive Positioning
- Increased Customer Loyalty
- Higher Customer Satisfaction
- Enhanced Brand Value
- Greater Employee Satisfaction
- Reputation as an Employer of Choice
- Long Term Business Partnerships

For Our Investors and Shareholders

- Net Asset Value per Share: Rs 103.77
- Gross Dividend: Rs 4,864 Mn
- Dividend per Share: Rs 4.25
- Dividend Yield: 8.16%
- Interest Paid on Debentures: Rs 3.4 Bn

For Our People

- Learning and Development Opportunities
- Career Progression
- Recognition Schemes
- Work-life Balance Initiatives
- Competitive Benefits Structure

For Our Customers

- Improve Customer Convenience
- Better Reach and Accessibility
- Debt Moratorium and Other Relief Packages for COVID-19 Affected Businesses and Individuals
- Product Developments to Suit the 'New Normal' Conditions

For Our Local Communities

- 17,542 Beneficiaries from Community Capacity Building Programmes
- Provide Internship Opportunities
- Groom Young Business Leaders
- Facilitate Farmers to Cultivate both Yala and Maha Seasons through the "Wewata Jeewayak" Programme

For Our Environment

- 639 Trees Saved through Slipless Banking and Cash Deposit Machines
- 3,691 Trees Planted through Environmental CSR Projects

For the Government

- Taxes Paid: Rs 9.0 Bn

MATERIAL TOPICS

GRI 102-46,47/103-1,2

"Materiality determination is informed by the risks and opportunities in our immediate operating environment, changes to legal and regulatory frameworks, global trends as well as insights from stakeholder feedback."

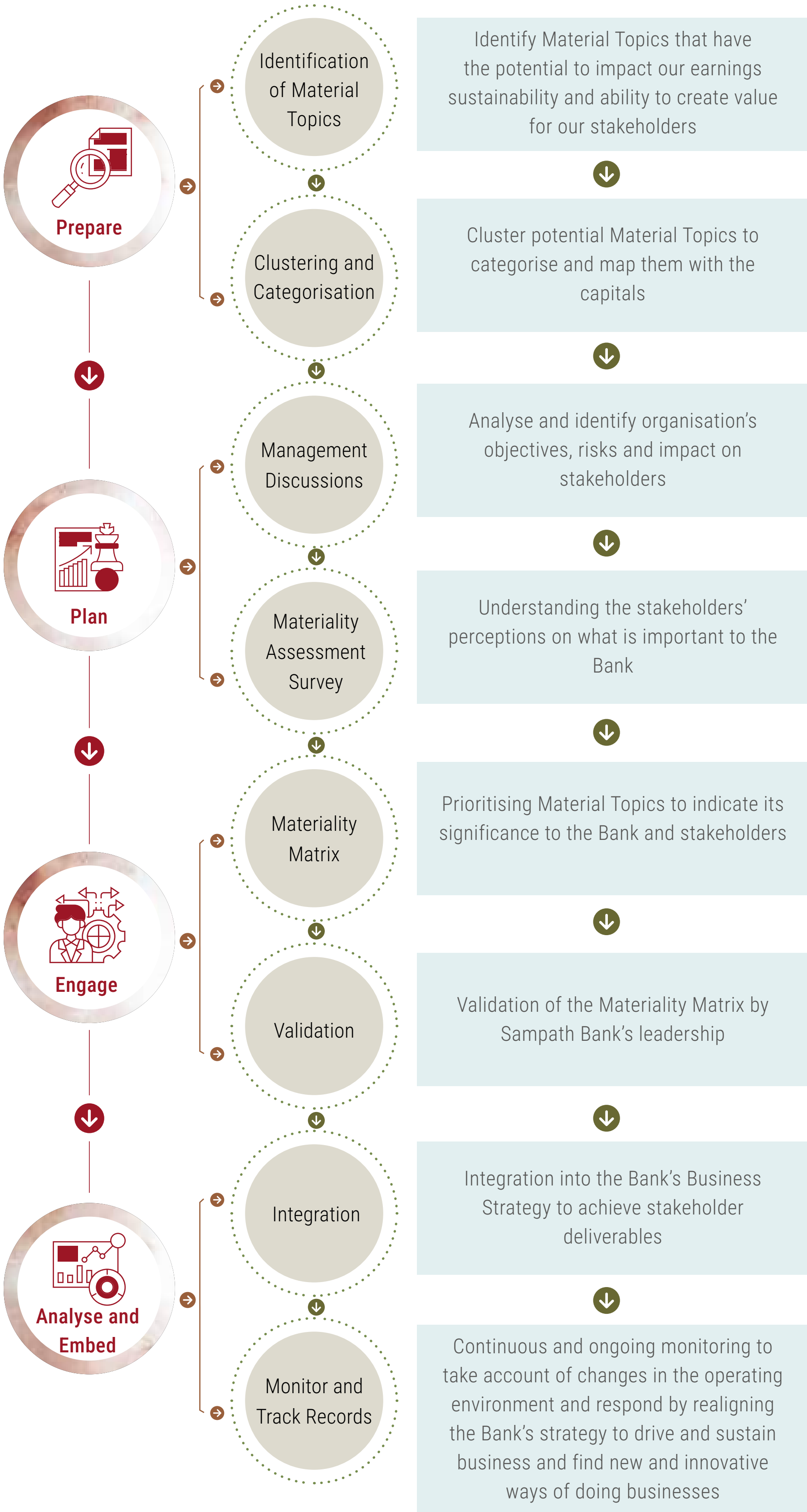
Value Creation

As a bank, we play a key role in the economic activity of individuals, businesses and the nation by helping to create, grow and protect wealth through partnerships in economic development. In doing so, we are mindful that our every action should have a positive impact on society and deliver shareholder value. For this reason, we measure the impact and outcomes of our business activities using a stakeholder scorecard to demonstrate our proactive and ongoing efforts to enhance stakeholder value.

Materiality

The first step in our value creation journey is the determination of Materiality. The concept of Materiality defines why and how certain topics are important for our own business. Materiality determination is informed by the risks and opportunities in our immediate operating environment, changes to legal and regulatory frameworks, global trends as well as insights from stakeholder feedback. This process is further supported by data-driven insights from independent reports, which include assessments of sector specific matters and legal requirements. Materiality of each topic is determined by its significance, the probability of occurrence and the magnitude of its impact. Material Topics are further aligned to GRI indicators, where relevant.

Our Materiality Monitoring Process



Material Topics determined in this way are reassessed on an annual basis by the Bank to ensure we stay on top of issues that could substantially affect the Bank's strategy, business model and ability to access required resources, in order to create value for stakeholders.

A comprehensive broad-based stakeholder survey conducted in 2020 helped to verify and validate the relevance of our existing 21 Material Topics against economic, social and environmental parameters. Accordingly, the following Material Topics reported in the 2020 Annual Report remain applicable for 2021 as well. With the inclusion of Employee Health and Safety, we now consider the following 22 Material Topics;

GRI 102-49

Changes to Material Topics in 2021

"Employee Health and Safety" was a new Material Topic that became relevant in 2021 due to the ongoing impact of COVID-19 pandemic.

As a bank, our employees do not typically face any significant occupational health and safety risks. Therefore, in the past the topic was not considered to be Material in nature and as such, was incorporated as part of the "Employee Relations" Material Topic. However, with the rapid spread of the COVID-19 virus raising concerns regarding human health and wellbeing, the Bank decided to prioritise "Employee Health and Safety" as a Material Topic in 2021.

	Material Topics	Reason for Materiality	Topic Boundary	GRI Relevance	Linked to Strategy through	Page Reference to Management Approach
	Economic Topics					
1	Profitability and financial stability	Profitability and financial stability are seen as the key enablers in creating value for our stakeholders and also for growing our business over the short, medium and long term.	Internal/ External	GRI - 201 203 207	Financial Capital	Page 17 of Stakeholder Report published on Sampath Bank's website
2	COVID-19 pandemic and its impact	In response to the COVID-19 pandemic challenges, the Bank has initiated strategic action on multiple levels by realigning risk fundamentals, strengthening governance frameworks, expanding the use of digital platforms and reforming certain aspects of the business model to enhance the Bank's ability to tackle specific challenges.	Internal/ External	Not Applicable	All Six Capitals	Pages 17 to 37 of Stakeholder Report published on Sampath Bank's website
3	Physical channels	Physical channels such as our branches, ATMs and Cash Deposit Machines are the main sources that connect customers and the Bank.	Internal/ External	GRI - 102-6 202-2	Manufactured Capital	Page 18 of Stakeholder Report published on Sampath Bank's website
4	Digitalisation agenda	Digitalisation agenda supports the Bank's efforts to transform into a world-class digital financial institution.	Internal/ External	Not Applicable	Manufactured Capital	
5	Business continuity planning	Provides a framework for building resilience and the capability to safeguard the interests of key stakeholders, the Bank's reputation, and business activities, in the event of unforeseen disruptions.	Internal/ External	Not Applicable	Intellectual Capital	Pages 19 to 20 of Stakeholder Report published on Sampath Bank's website
6	Corporate brand image/goodwill building	One of the most valuable indicators of Sampath Bank's success as it determines our status quo in the local banking sector based on our ability to consistently honour our promises to our stakeholders.	Internal/ External	Not Applicable	Intellectual Capital	
7	Information security	A solid information security framework helps to build trust and safeguard the Bank's reputation.	Internal/ External	GRI - 418	Intellectual Capital	

MATERIAL TOPICS

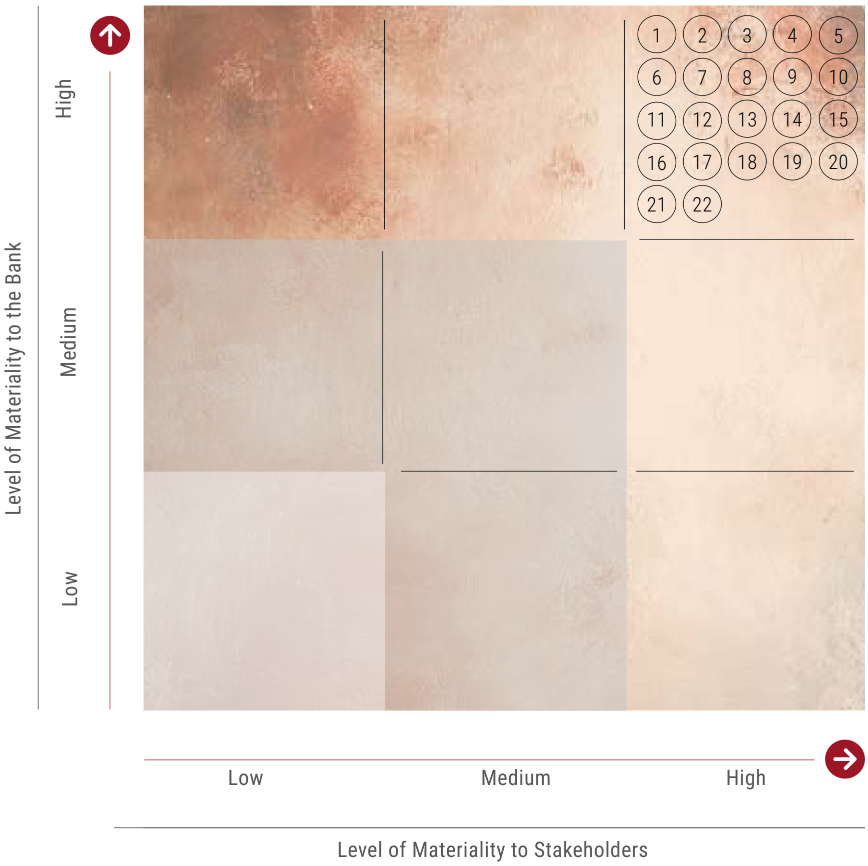
GRI 102-49

	Material Topics	Reason for Materiality	Topic Boundary	GRI Relevance	Linked to Strategy through	Page Reference to Management Approach
	Social Topics					
8	Talent acquisition and management	Safeguards Sampath Bank's competitive edge over peers and helps to realise the Bank's strategy and long term vision.	Internal	GRI - 401 405	Human Capital	Pages 21 to 25 of Stakeholder Report published on Sampath Bank's website
9	Learning and development	Our competitive position, our success as a bank and the continuity of our business, all depend on our people having the required knowledge, skills and capabilities, which can be achieved through continuous and ongoing learning and development.	Internal	GRI - 404	Human Capital	
10	Employee relations	Strong employee relations is the key to securing the commitment of our employees towards the Bank's current and future prospects.	Internal	GRI - 402	Human Capital	
11	Employee engagement	Ensures employees stay motivated, thereby increasing overall employee productivity.	Internal	Not Applicable	Human Capital	
12	Employee Health and Safety	A safe and secure workplace builds employee trust, leading to greater motivation and loyalty.	Internal	GRI - 403	Human Capital	
13	Anti-corruption practices	Protects the Bank's reputation and the legitimacy of the business.	Internal/ External	GRI - 102-17 205	Human Capital	
14	Customer convenience	One of the most important ways in which differentiation can be achieved in the banking business.	Internal/ External	GRI - 102-11	Social and Relationship Capital	Pages 26 to 35 of Stakeholder Report published on Sampath Bank's website
15	Customer health and safety	Making certain that our products and services are not used in the furtherance of financial crime, such as money laundering, financing of terrorism, fraud and corruption.	Internal/ External	GRI - 205-1 416	Social and Relationship Capital	
16	Sales promotions, marketing communication and information availability on Bank's products and services	An important part of how we connect with our customers and differentiate our value proposition from that of peers.	Internal/ External	GRI - 417	Social and Relationship Capital	
17	Customer privacy	Vital in gaining customer trust.	Internal/ External	GRI - 418	Social and Relationship Capital	
18	Complaint management	Effective complaint resolution is a key measurement of customer satisfaction.	Internal/ External	GRI - 418	Social and Relationship Capital	
19	Research and development	Provides the opportunity to identify new and more innovative ways to serve our customers by catering to their diverse needs in a more holistic manner.	Internal/ External	Not Applicable	Social and Relationship Capital	
20	Financial inclusion agenda	Use our expertise as a Bank to offer banking and financial services to individuals thereby reducing poverty and increasing prosperity across the nation.	Internal/ External	GRI - 102-9	Social and Relationship Capital	
21	Community development	Contributes towards uplifting the lives of socially and economically disadvantaged communities across Sri Lanka.	Internal/ External	GRI - 413	Social and Relationship Capital	

	Material Topics	Reason for Materiality	Topic Boundary	GRI Relevance	Linked to Strategy through	Page Reference to Management Approach
	Environmental Topics					
22	Environment protection and conservation	The steps we as an organisation are taking towards the protection and conservation of the natural environment.	Internal/ External	GRI - 102-11 102-29 102-31 302 305 306	Natural Capital	Pages 36 to 37 of Stakeholder Report published on Sampath Bank's website

Materiality Matrix

To ensure all of the above Material Topics, including the newest Material Topic - Employee Health and Safety, are appropriately integrated into the Bank's strategy, we use a Materiality Matrix to prioritise each topic based on its significance to stakeholders and the magnitude of its impact to the Bank.



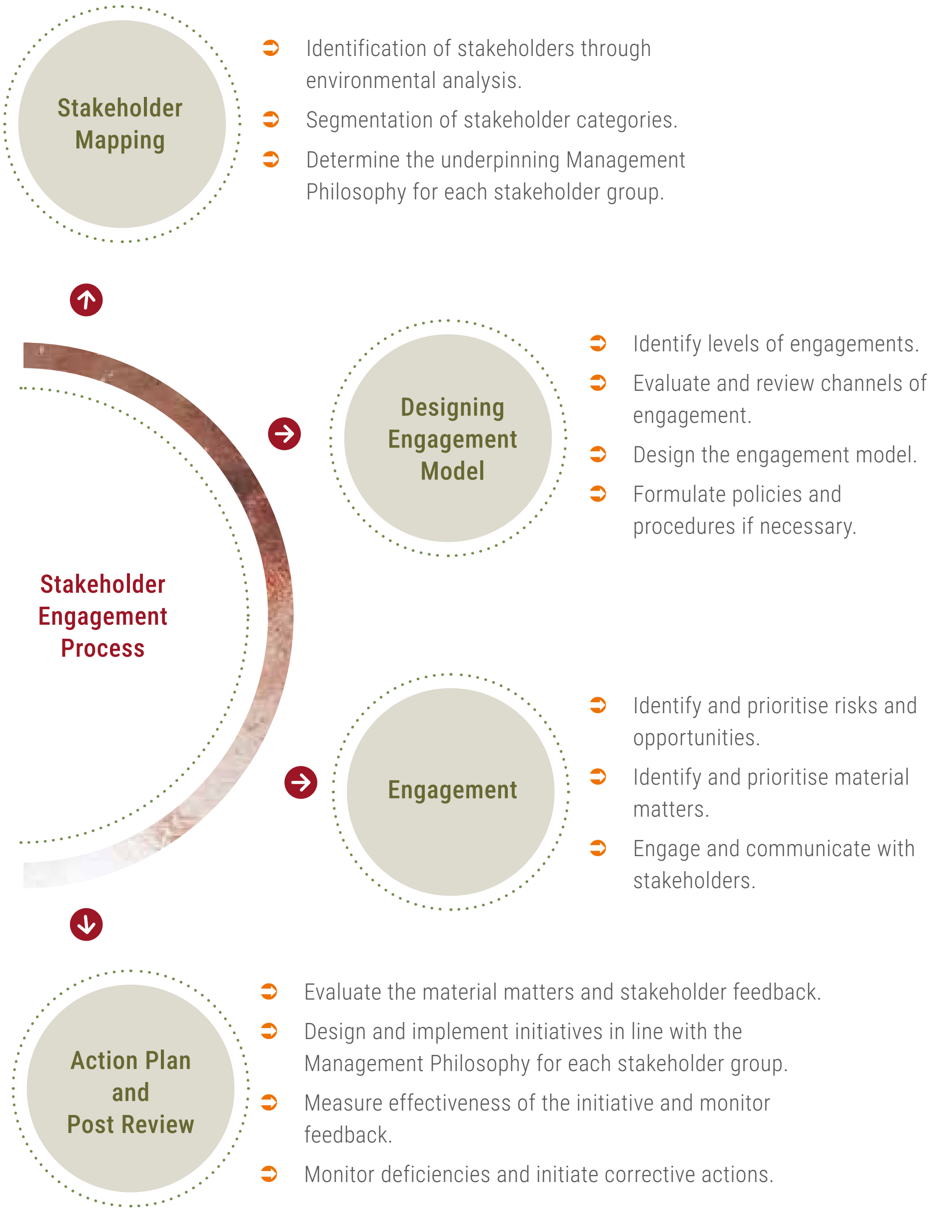
CONNECTING WITH OUR STAKEHOLDERS

GRI 102-33,40,42,43,44

Ongoing and consistent engagement with our diverse stakeholders is crucial to create a clear and positive mutual understanding and to build effective long-term relationships. We believe that being aware of the views and expectations of our stakeholders enables us to identify risks and opportunities, balance different interests and make informed decisions. Moreover, such engagements also provide the opportunity to proactively communicate with our stakeholders and gain valuable feedback on our initiatives.

Our stakeholders are entities or individuals who are substantially related to our core business activities across our value chain at locations where we operate and/or whose actions are expected to significantly affect the Bank's ability to achieve its objectives. On this basis, we have grouped our stakeholders firstly as internal and external. Internal stakeholders refer to our employees who comprise Team Sampath, while external stakeholders consist broadly of our shareholders, investors, customers, suppliers and service providers, regulatory bodies and the wider community.

Underpinned by a specific management philosophy for each stakeholder category, we have designed customised stakeholder engagement solutions to interact with our stakeholders in a meaningful way and on a continuous and ongoing basis. Aside from these routine engagements, we also conduct targeted initiatives to independently review and report on the effectiveness of our engagement strategies. We believe such measures build trust, improves stakeholder satisfaction and helps to sustain long term relationships that contribute towards strengthening our competitive position against peers.



Stakeholder Engagement Mechanism

Shareholders and Other Investors

Management Philosophy: Ensuring long-term shareholder value and upholding the rights of the shareholder and supporting a broader shareholder constituency to ensure their wealth maximisation.

Matters Relevant to the Stakeholder	Our Strategic Response to the Stakeholder	Engagement Mechanism	Engagement Frequency
• Shareholder satisfaction regarding the Bank's financial position • Shareholder views on key governance and policy matters • Development of shareholder communication channels • Return on equity and interest gains • Strategy and business continuity • Financial performance	• Maintaining a consistent bottom line • Ensuring a sustainable return on investment • Engaging in greater transparency in line with the Corporate Governance Codes • Maintaining the Bank's reputation and credibility • Safeguarding asset quality	Shareholder relations forums	Periodically
		General meetings	Annually/Periodically
		Annual Report	Annually
		Interim Financial Statements	Quarterly
		Disclosures and announcements to the CSE	Periodically
		Corporate website	24 hours 7 days
		General correspondence	Regularly
		CSR projects	Regularly

Specific Stakeholder Priorities for 2021:

- Financial resilience, managing liquidity, credit risk, capital adequacy and discretionary costs amidst the pandemic related economic challenges
- Progressive revenue and business growth
- Continuity and sustainability of operations

Our Response:

Financial Capital (pages 62 to 65)

Intellectual Capital (pages 68 to 69)

Social and Relationship Capital (pages 72 to 73)

Community

Management Philosophy: Working in tandem with global and local mandates which safeguard the environment and promote community empowerment.

Matters Relevant to the Stakeholder	Our Strategic Response to the Stakeholder	Engagement Mechanism	Engagement Frequency
• Community capacity building • Community empowerment • Social welfare of communities • Environmental degradation • Preservation of local culture	• Socially-responsive CSR model • Transparency and governance • Community engagement • Employee volunteerism • Become a catalyst for change	Ground-level interactions with community leaders by staff	Regularly
		Interactions with social groups and volunteer organisations	Regularly
		Community and environment grievance handling mechanism	Regularly
		Discussions with government organisations	Regularly
		Discussion with other organisations, community and opinion leaders on community development efforts	Regularly
		Digital media-based forums	Regularly
		CSR projects	Regularly

Specific Stakeholder Priorities for 2021:

- Livelihood development amidst the challenges posed by the COVID-19 pandemic

Our Response:

Social and Relationship Capital (pages 72 to 73)

Natural Capital (pages 74 to 75)

CONNECTING WITH OUR STAKEHOLDERS

Customers

Management Philosophy: Uphold the customers' right to demand a stable and progressive banking environment which provides a superior service platform and promotes customer choice/convenience.

Matters Relevant to the Stakeholder	Our Strategic Response to the Stakeholder
- Customer service - Customer security - Satisfaction on existing products - Brand perception and reputation - Customer convenience - Need for innovations and customised solutions - Communication methods - Special promotions - Timely and relevant information on products and services - Customer touch-points - Customer benefits and rewards - Loyalty recognition	- Effective complaint resolution - Maintain service excellence - Deliver technology-driven banking solutions - Continuous introduction of innovative products which promote greater customer convenience - Effective marketing and communication - Maintaining data security and customer privacy - Promoting island-wide customer inclusiveness - Better market share

Engagement Mechanism	Engagement Frequency
One-on-one feedback from customers who visit the Bank	Regularly
Customer surveys conducted via traditional or non-traditional research techniques	Periodically
Social media interactions	24 hours 7 days
Customer complaint handling mechanism	24 hours 7 days
ATL, BTL and digital communications	Regularly
Correspondence	Regularly
SMS Alerts	24 hours 7 days
Corporate website	24 hours 7 days
Sampath Vishwa (internet banking) portal	24 hours 7 days
Customer Care Centre	24 hours 7 days
CSR projects	Regularly
Feedback forms - paper based/ electronic mediums	Regularly

Specific Stakeholder Priorities for 2021:

- Safe and secure banking experience including contactless solutions
- Special credit facilities and other relief measures for COVID-19 affected businesses and individuals

Our Response:

Manufactured Capital (pages 66 to 67)

Social and Relationship Capital (pages 72 to 73)

Regulatory Bodies

Management Philosophy: Ensure compliance with all legal and regulatory requirements.

Matters Relevant to the Stakeholder	Our Strategic Response to the Stakeholder
- Proper and prompt action on regulatory requirements introduced from time to time - Formulate the Bank's policies in line with the broad objectives of the Central Bank of Sri Lanka and Monetary Board	- Compliance with regulations - Rectification actions on supervisory concerns - On-time submission of statutory returns and statutory payments - Response and contribution at meetings/forums and to initiatives of the regulators - Micro, small and medium entrepreneurs lending and entrepreneurship development - Supporting the non-conventional renewable energy sector - Support to maintain stability in money and foreign exchange markets - Help investors to make better investment decisions

Engagement Mechanism	Engagement Frequency
Policy directives/ circulars, guidelines and operating instructions	Regularly
Meetings and forums	Periodically
Press releases	Regularly
Periodic and one-off returns	Periodically/As and when required
On-site and off-site supervision	Periodically/As and when required
Training programmes	Regularly

Specific Stakeholder Priorities for 2021:

- Compliance with the debt moratorium for COVID-19 affected businesses and individuals

Our Response:

Financial Capital (pages 62 to 65)

Employees

Management Philosophy: Commitment to create a conducive environment for the employees to develop and reach their potential, both professionally and personally.

Matters Relevant to the Stakeholder	Our Strategic Response to the Stakeholder	Engagement Mechanism	Engagement Frequency
• Ethical employment practices • Career development opportunities • Employee communication and feedback • Rewards/recognition • Employee well-being • Work-life balance	• Competitive rewards and benefits to attract and retain best talent in the market • Promote greater diversity and inclusion • Develop from within through training and development • Encourage greater engagement • Performance-based incentives • Effective handling of grievances • Maintain high standards of occupational health and safety • Ensure employees' welfare • Foster a sense of belongingness	Open-door policy	Regularly
		Employee forums	Regularly
		Employee suggestion schemes	Regularly
		Grievance-handling procedure	Regularly
		Employee social committees	Regularly
		Feedback forms	Annually
		Business unit level meetings	Regularly
		Intranet	24 hours 7 days
		Memorandums/Directives	Regularly
		Newsletters	Quarterly
		Training	Regularly
		Get-togethers/Events	Regularly
		Sampath Employee Notification System (SENS) & HR Hotline	24 hours 7 days
		CSR projects	Regularly
		Online groups	Regularly

Specific Stakeholder Priorities for 2021:

- COVID-19 safety protocols in the day to day work environment
- Career progression and long term prospects

Our Response:

Human Capital (pages 70 to 71)

Social and Relationship Capital (pages 72 to 73)

Suppliers and Service Providers

Management Philosophy: Striking the right balance between cost and quality and promoting ethical and transparent sourcing practices.

Matters Relevant to the Stakeholder	Our Strategic Response to the Stakeholder	Engagement Mechanism	Engagement Frequency
• Developing strategic partnerships • Promoting transparent and ethically responsible business practices • Continuous communication with suppliers and service providers • Regular reviews on quality of goods and services	• Engaging in fair and equitable procurement • Supplier risk assessment mechanism • Contractual agreements to promote sustainable procurement • Local sourcing • Registration of multiple suppliers and service providers as a BCP measure • Maintenance of suppliers and service providers register • Developing SME entrepreneurs whilst purchasing goods which meet the Bank's standards at a reasonable cost thus enjoying a win-win situation for both the Bank and the supplier	Interactions through the purchasing policy	Regularly
		Feedback evaluations	As and when required
		Meetings	As and when required
		Visits to supplier workshops/offices	Periodically
		Written communications (letters and e-mails)	Regularly
		Reviews and assessments	Periodically

Specific Stakeholder Priorities for 2021:

- Higher priority for local entrepreneurs
- More emphasis for suppliers offering eco-friendly products and/or adopting environmental best practices across their product development processes

Our Response:

Social and Relationship Capital (pages 72 to 73)

CONNECTING WITH OUR STAKEHOLDERS

GRI 102-13

Memberships of Associations

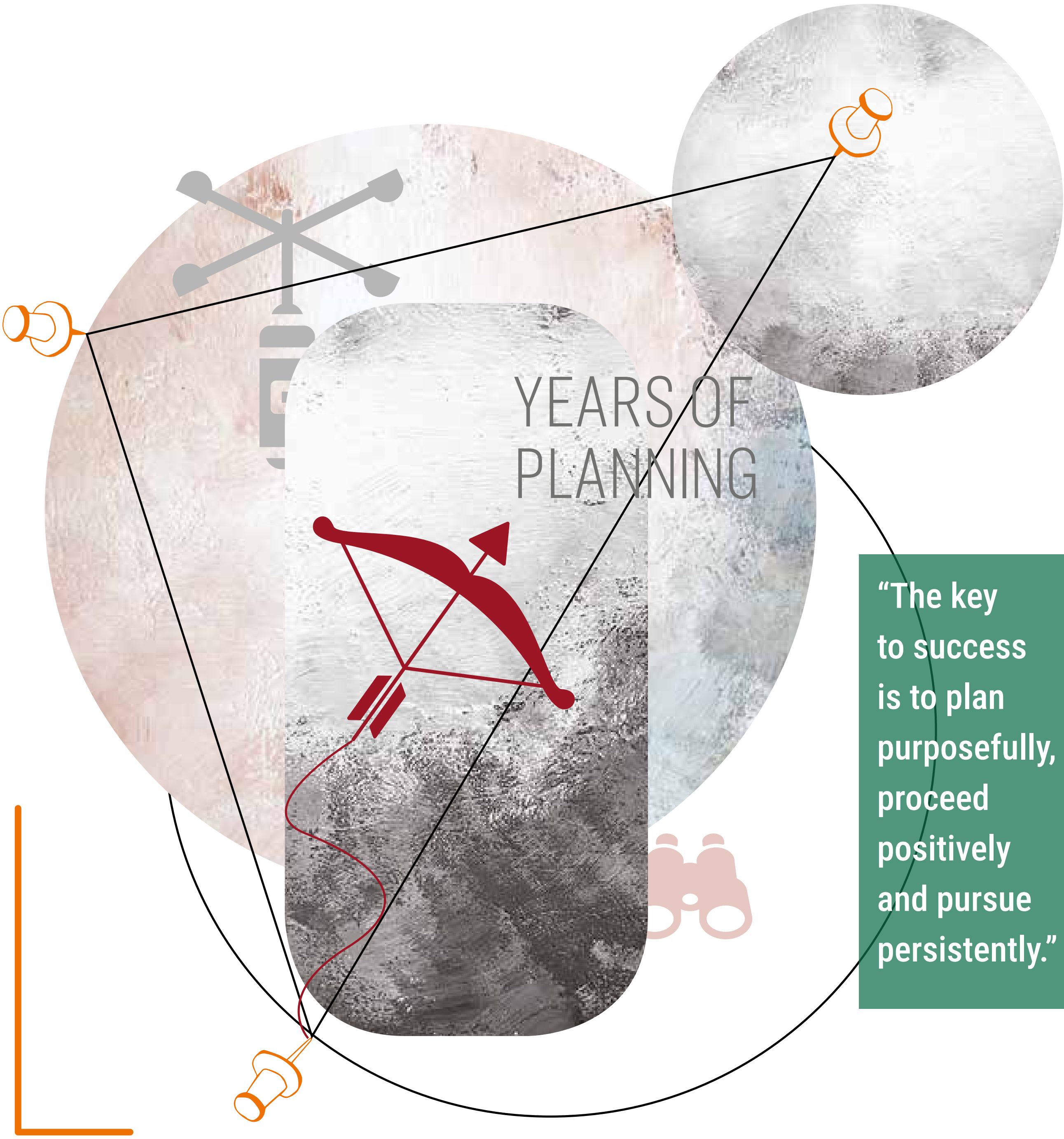
Sampath Bank PLC held membership of the following industry based associations as well as national and international advocacy organisations with the motive of maintaining sustainable relationships with stakeholders and contributing to the betterment of the industry and nation as a whole.

Name of the Association	Membership Status
The American Chamber of Commerce in Sri Lanka	Member
Association of Compliance Officers of Banks, Sri Lanka	Member
Association of Primary Dealers (APD)	Member
Clearing Association of Bankers	Member
CSR Lanka (Guarantee) Limited	Member
Exporters' Association of Sri Lanka	Member
International Chamber of Commerce - ICC Sri Lanka	Member
Italian Business Council	Member
Lanka Clear (Pvt) Ltd	Member
Lanka Financial Services Bureau (LFSB)	Member
Lanka SWIFT User Group (LSUG)	Treasurer and Assistant Treasurer
Leasing Council of Bankers of Sri Lanka	Member
National Chamber of Exporters of Sri Lanka	Member
Payment Card Industry Association of Sri Lanka	Executive Committee Member
Society for Worldwide Interbank Financial Telecommunication (SWIFT)	Member
Sri Lanka Bank's Association (Guarantee) Ltd	Member
Sri Lanka Business & Bio Diversity Platform	Patron Member
Sri Lanka Forex Association (SLFA)	Member
The Association of Banking Sector Risk Professionals - Sri Lanka	Member
The Ceylon Chamber of Commerce	Patron Member
The Employers' Federation of Ceylon	Member
The Financial Ombudsman Sri Lanka (Guarantee) Ltd	Member
The National Chamber of Commerce of Sri Lanka	Member

KEY HIGHLIGHTS

PLANNING FOR SUCCESS

Our dedication to well-planned strategies and timely executions have been the supporting foundations of our success today. Our focus and commitment to reaching for new heights is ensured by the value we place in planning and securing our success for the future.



"The key to success is to plan purposefully, proceed positively and pursue persistently."

FINANCIAL HIGHLIGHTS

GRI 102-7

	Bank			Group		
	2021	2020	Change %	2021	2020	Change %
Profitability (Rs Mn)						
Gross income	104,570	102,339	2.2	113,075	109,208	3.5
Total operating income	58,488	46,213	26.6	64,399	50,066	28.6
Operating expenses & impairment charge	37,753	31,878	18.4	41,279	34,783	18.7
Operating profit before taxes on financial services	20,735	14,335	44.6	23,121	15,284	51.3
Taxes on financial services	3,901	3,163	23.3	4,296	3,394	26.6
Profit before income tax	16,834	11,172	50.7	18,825	11,890	58.3
Income tax expense	4,376	3,147	39.1	4,969	3,447	44.1
Profit for the year	12,457	8,025	55.2	13,856	8,443	64.1
Assets & Liabilities (Rs Mn)						
Deposits from banks and customers	978,368	886,873	10.3	994,740	903,647	10.1
Gross loans & advances	813,106	758,942	7.1	850,570	794,080	7.1
Total equity	118,752	107,549	10.4	127,186	114,415	11.2
Total liabilities	1,081,162	1,002,722	7.8	1,115,447	1,035,271	7.7
Total assets	1,199,913	1,110,271	8.1	1,242,633	1,149,685	8.1
Investor Information						
Net asset value per share (Rs)	103.77	93.98*	10.4	111.14	99.98*	11.2
Market value per share (Rs)	52.10	135.60**	(61.6)			
Earnings per share - Basic/Diluted (Rs)	10.89	7.01*	55.2	12.11	7.38*	64.1
Total dividend per share (Rs)	4.25	2.75*	54.5			
Cash dividend per share (Rs)	4.25	2.75*	54.5			
Dividend cover (Times)	2.56	2.55	0.4			
Dividend payout ratio (%)	39.04	39.21	(0.4)			
Gross dividend (Rs Mn)	4,864	3,147	54.5			
Market capitalisation (Rs Mn)	59,622	51,726	15.3			
Other Ratios						
Dividend yield (%)	8.16	6.08	34.1			
Earnings yield (%)	20.90	15.51	34.8	23.24	16.32	42.4
Price earning ratio (Times)	4.78	6.45	(25.9)	4.30	6.13	(29.9)
Price to book value (Times)	0.50	0.48	4.2	0.47	0.45	4.4
Total impairment on loans as a % of gross loans & advances	6.21	5.10	21.8	6.44	5.24	22.9
Cost of risk (%)	1.61	1.36	18.4	1.72	1.48	16.2
Non-performing loan ratio - Gross (%)	5.09	6.30	(19.2)			
Non-performing loan ratio - Net (%)	1.78	3.45	(48.4)			
CASA ratio (%)	45.7	39.3	16.3	44.9	38.6	16.3
Loans to deposits ratio (%)	83.11	85.58	(2.9)	85.51	87.87	(2.7)
Stage 3 impairment to Stage 3 loans ratio (%)	45.45	40.22	13.0			
Impaired loans (Stage 3) ratio (%)	3.20	3.95	(19.0)			
Liquid assets ratio						
- Domestic Banking Unit (%)	32.47	34.98	(7.2)			
- Off-Shore Banking Unit (%)	30.83	37.60	(18.0)			
Liquidity coverage ratio						
- Rupee (%)	254.89	424.90	(40.0)			
- All currency (%)	213.43	293.37	(27.2)			
Net stable funding ratio (%)	149.92	144.00	4.1			
Fitch Rating	AA- (lka) (Stable)	AA- (lka) (Stable)				

Key Performance Indicators - Bank	2021	2020	2019	2018	2017
Return on average assets (before tax) (%)	1.44	1.09	1.66	2.13	2.29
Return on average assets (after tax) (%)	1.07	0.78	1.20	1.41	1.67
Return on average equity (after tax) (%)	11.05	7.58	11.78	16.02	23.35
Growth in profit (%)	55.23	(28.03)	(8.17)	0.32	32.65
Growth in total assets (%)	8.07	15.37	5.26	14.98	20.74
Cost to income ratio (excluding taxes on financial services) (%)	35.34	43.48	36.91	35.92	42.32
Capital adequacy ratios (Basel III)					
- Common equity Tier I (%)	13.95	13.44	14.22	12.08	10.26
- Total Tier I (%)	13.95	13.44	14.22	12.08	10.26
- Total capital (Tier I + Tier II) (%)	17.02	16.41	18.12	15.73	14.41
Leverage ratio (%)	7.80	6.94	8.12	n/a	n/a

n/a - not applicable

* The net asset value per share, the earnings per share, the dividend per share of the Bank and the Group for the year 2020 have been adjusted to reflect the increased number of shares due to the sub-division.

** Original share price before the sub-division of shares.

Total Assets

Rs 1.20 Tn

Rs 1.11 Tn 2020

8.1%

Gross Loans and Advances

Rs 813 Bn

Rs 759 Bn 2020

7.1 %

Net Asset Value per Share

Rs 103.77

Rs 93.98 2020

10.4%

Earnings per Share

Rs 10.89

Rs 7.01 2020

55.2%

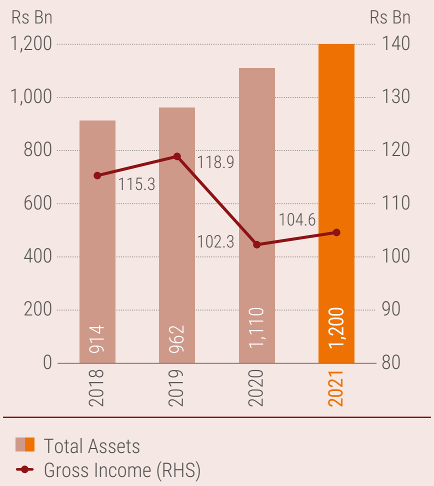
Cost to Income

35.3%

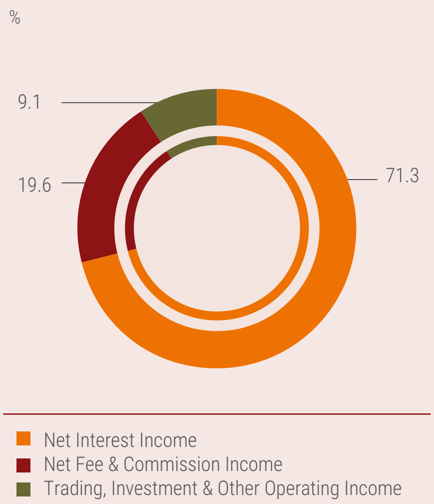
43.5% 2020

820 bps

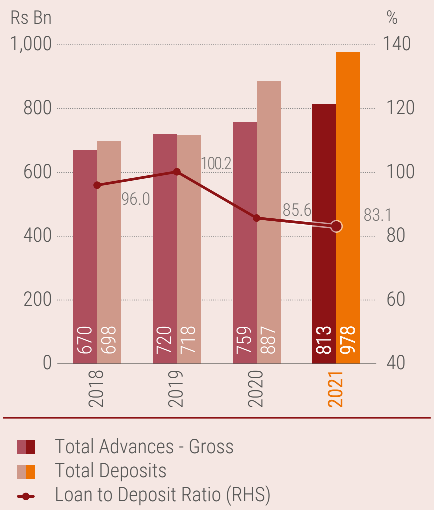
Total Assets & Gross Income



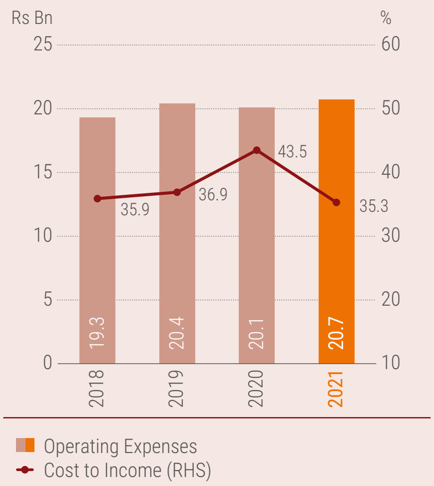
Composition of Total Operating Income 2021



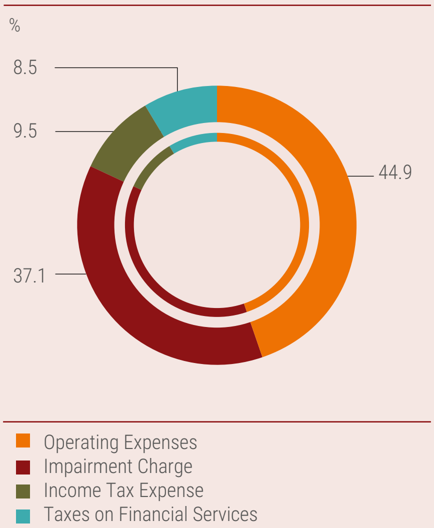
Total Advances & Total Deposits



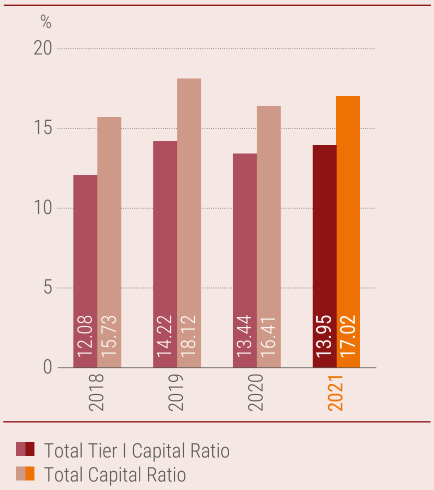
Operating Expenses & Cost to Income



Composition of Total Expenses 2021



Total Tier I Capital & Total Capital

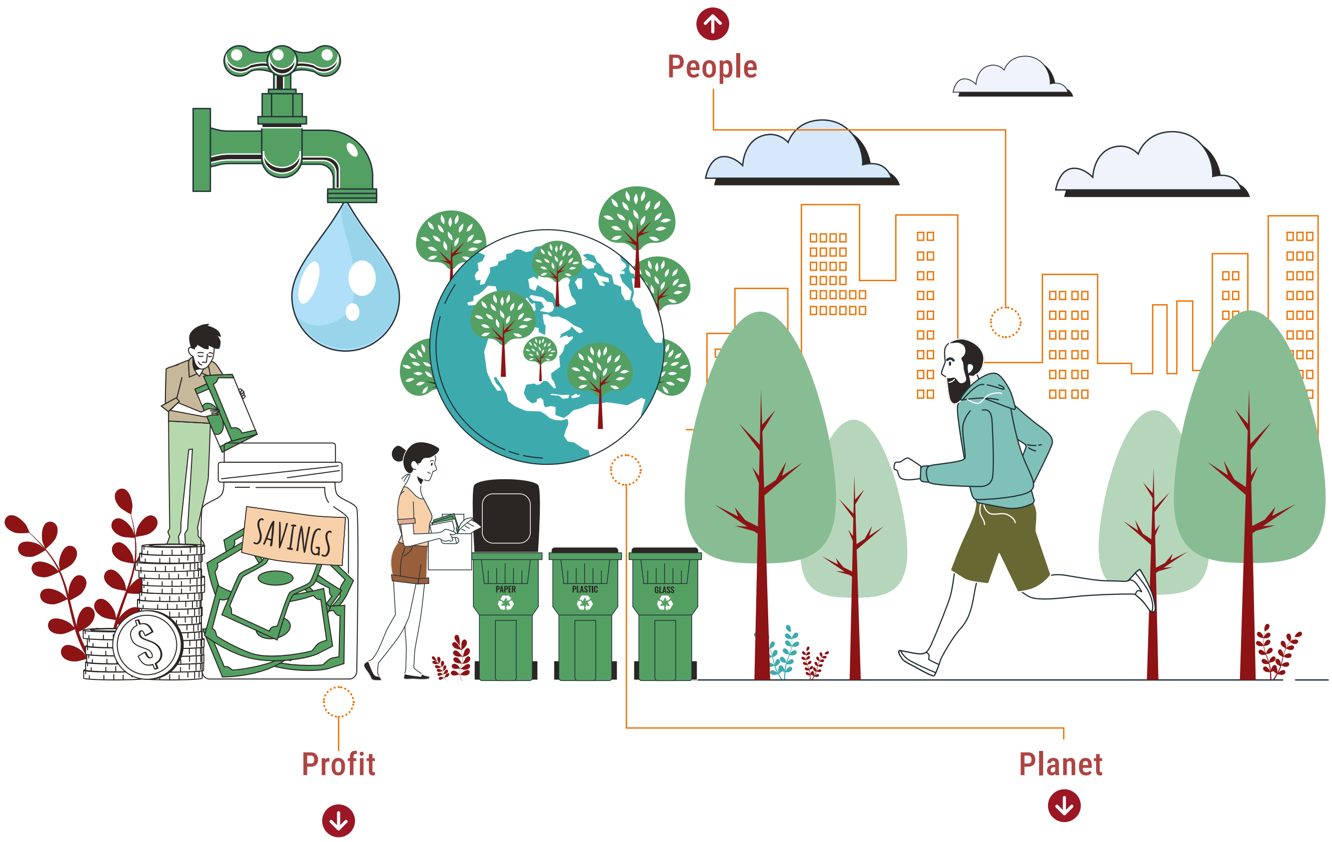


NON-FINANCIAL HIGHLIGHTS

4,372
Beneficiaries from "Wewata Jeewayak" programme

2,263
Persons trained under "Sampath Saviya" programme

503
Internship opportunities provided



Rs 8,501 Mn
Value distributed to providers of capital

Rs 12 Mn
Value distributed to the community

Rs 40,680 Mn
Value distributed to depositors and lenders

Rs 10,432 Mn
Value distributed to the Government

Rs 4,550 Mn
Financing of renewable energy projects

3,691
Trees planted through Environmental CSR programmes

Rs 0.84 Mn
Contribution to the Wildlife and Nature Protection Society

871
Trees saved through paper recycling

639
Trees saved through transactions done via Cash Deposit Machines and Slipless Banking

GRI 102-7

Manufactured Capital

Key Indicator	Measurement	2021	2020
Investment in property, plant and equipment	Rs Mn	466	478
ATMs	Number	455	445
Cash Deposit Machines	Number	483	465
MyBank agents	Number	206	203

Intellectual Capital

Key Indicator	Measurement	2021	2020
Investment in IT software development	Rs Mn	182	199
Rank of "Most Loved Brands" - LMD Brands Annual	Rank	07	10

Human Capital

Key Indicator	Measurement	2021	2020
Total employees	Number	4,013	4,048
Total training hours	Hours	153,282	172,900
Average training hours per employee	Hours	38.2	42.7
Internal staff promotions	Number	242	154
Staff retention ratio	%	98	99
Return to work after maternity leave	%	100	100
Industrial disputes	Number	Nil	Nil
Percentage of employees receiving performance appraisals	%	100	100
Female representation in corporate management	%	21	21
Gender diversity ratio (Male : Female)	Ratio	66:34	66:34
Revenue per employee	Rs Mn	26.1	25.3

Social and Relationship Capital

Key Indicator	Measurement	2021	2020
Persons trained under the "Sampath Saviya" programme	Number	2,263	672
Beneficiaries from the "Wewata Jeewayak" programme	Number	4,372	1,640
Interest on customer deposits	Rs Bn	38.3	47.4
Intern and industrial placements intake	Number	503	481
Total taxes paid	Rs Bn	9.0	10.5

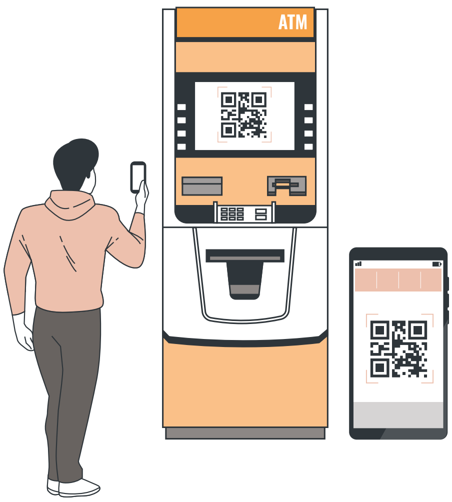
Natural Capital

Key Indicator	Measurement	2021	2020
Carbon footprint of the Bank	tCO_2e	9,263	9,138
Electricity saving through solar power generation	kWh	340,701	251,908
Electricity consumption in Head Office	kWh	2,941,861	3,170,946
Loans disbursed under green lending schemes	Rs Mn	622	555

COVID-19 RESPONSE

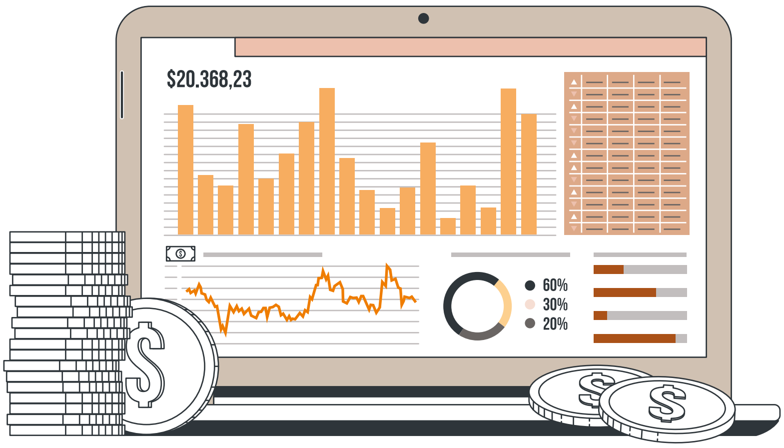
CUSTOMERS

- Extended all mandatory debt relief measures to eligible customers.
- Continued with Bank-led initiatives to support customers not eligible under government relief schemes.
- Launched "Touchless Cash Withdrawals" to facilitate contactless cash withdrawals across the ATM network.
- Introduced Digital On-boarding through Sampath Vishwa, the corporate website and VTM network in order to reduce the number of branch visits.
- Enhanced the transactional capability of Sampath Vishwa Retail and Corporate platforms to encourage customers to do their banking from home.



SHAREHOLDERS

- Held the 35th Annual General Meeting (AGM) virtually using digital tools.
- Payment of dividend on time.
- Deployed cost management initiatives to safeguard the bottom line.
- Focus on strengthening business resilience for the future.



GOVERNMENT

- Compliance with all government directives, including 100% support for the extended debt moratorium programme.
- Aggressive lending to drive the SME sector revival.
- Aligning with the government's endeavour to promote cashless transactions.
- Focus on encouraging the inflow of foreign remittances to the country.

EMPLOYEES

- No retrenchment or pay cuts.
- All monetary emoluments for 2021 were paid on time.
- All employees were granted a 10% salary increment.
- All pregnant employees were released from office and provided work from home assignments until 31st December 2021.
- Creation of a virtual learning environment to ensure the continuity of training and development activities.
- Employee engagement activities were held virtually without interruption.
- Cost of PCR tests and medical expenses of COVID positive employees were covered.
- Special drive to encourage employees to participate in the government-led vaccination programme.

COMMUNITY

- Redesigned the "Sampath Saviya" entrepreneurship development programme to focus specifically on assisting SMEs and micro entrepreneurs affected by the pandemic induced economic slowdown.
- Donation of essential COVID-19 medical equipment to state hospitals around Sri Lanka.

GRI 102-14,23

CHAIRMAN'S MESSAGE

Steered by our vision of being an inclusive, accessible and modern financial services model, the Bank is well positioned to support our country and customers during these uncertain times. Our performance during the 12 months under review amply demonstrates the exceptional resilience, and more significantly, the cogency of strategic vision that guides the Bank in its financial as well as social objectives.

HARSHA AMARASEKERA
Chairman

Dear Valued Stakeholders

As we look back on the exceptionally eventful 12 months of 2021, it is inevitable that the recent domestic and global developments will present even greater challenges to both Bank and country in the future. As a leading national bank, I believe our role in the national economy extends beyond the mere provision of financial services. Sampath Bank aims to be a conduit of economic stimulation and international trade, while contributing to overall financial sector stability through prudent and sustainable banking solutions. This role of specialised financial facilitator has now gained greater prominence as the country faces new headwinds in the backdrop of a downgraded sovereign rating as well as significant foreign exchange limitations.

Steered by our vision of being an inclusive, accessible and modern financial services model, the Bank is well positioned to support our country and customers during these uncertain times. Our performance during the 12 months under review amply demonstrates the exceptional resilience, and more significantly, the cogency of strategic vision that guides the Bank in its financial as well as social objectives. As COVID-19 re-emerged stronger than ever in the middle of the year, and the country suffered from multiple economic challenges, we have proved our mettle with a solid financial performance reinforced by the responsible social conscience that denotes our unique brand of banking.

Defining a New Age

You would be heartened to note that the almost continuous upheaval at ground level did not detract the Bank from its goal of building a new-age financial institution, equipped to master the challenges of the pandemic era. Our transition towards a fin-tech platform gained momentum in 2021, and elevated Sampath Bank to a leading, digitally enabled, financial services provider within the local financial industry. In fact, our advanced IT platforms were instrumental in ensuring uninterrupted operations during the third wave of the pandemic, which resulted in further lockdowns and restrictions. We have also overcome a significant physical barrier in facilitating financial transactions for the public, by introducing "Touchless Cash Withdrawals" at ATMs, for the first time in Sri Lanka.

I am proud to record that the Bank has redefined the future of digital payments in Sri Lanka through Sampath WePay, which converts all cash-based transactions into digital media. We also launched our new Vishwa Portal in October 2021. The portal enables total online banking solutions, including the ability to open remote accounts. At a time when the country struggled to attract inward remittances, we opened up a convenient digital channel through our RemitWise Self-care App - a first of its kind.

I am confident that our digital drive will play a key role in fuelling economic recovery and growth in the next few months, and will be embraced by our customers and their families, as a better and more efficient method of banking.

Economic Hurdles

Although the Omicron variant is spreading rapidly across the globe and global logistical and supply chains are yet to fully recover, the global economic outlook has improved considerably. The World Bank's Global Economic Prospects report of January 2022, which had declared global growth as negative 3.4% in 2020, had forecasted an optimistic 5.5% growth rate for 2021. However, the World Bank presents a number of alternatives beyond 2021, indicating that global economic prospects remain highly uncertain at present.

Meanwhile, the Central Bank of Sri Lanka (CBSL) has forecasted a 4.0% growth for the Sri Lankan economy in 2021. Nevertheless, the World Bank and the International Monetary Fund have adopted a more conservative estimate and forecast Sri Lanka's GDP growth

"I am confident that our digital drive will play a key role in fuelling economic recovery and growth in the next few months, and will be embraced by our customers and their families, as a better and more efficient method of banking."

Profit after Tax

Rs 12.5 Bn

2020 Rs 8.0 Bn

55.2%

CHAIRMAN'S MESSAGE

rate for 2021, at 3.3% and 3.6%, respectively. The National Consumer Price Index (NCPI) hit double digits for the first time in November 2021 since it started to compile from 2014 and the December figure of 14% was the highest record. Interest rates also trended upwards with the Standing Deposit Facility Rate and Standing Lending Facility Rate, which had stood at 4.5% and 5.5%, respectively, at the beginning of the year 2021, rising to 5.0% and 6.0% respectively, in August 2021. The Statutory Reserve Ratio, was increased from 2.0% to 4.0% in August 2021.

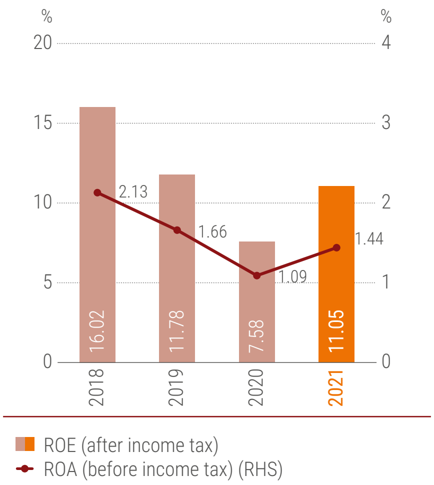
In a more troubling indicator of the economic challenges facing the country, the gross official foreign reserves fell to USD 5.7 Bn by end 2020 and continued to decline, to USD 2.3 Bn by October 2021, although the reserves were increased to USD 3.1 Bn as at 31st December 2021. Against this background, Fitch Ratings downgraded Sri Lanka's sovereign rating to 'CC' from 'CCC' on 17th December 2021, citing a growing risk of debt default in 2022. The rupee weakened by 8.2% against the US Dollar from December 2020 to December 2021 and import restrictions were introduced by the CBSL, together with a rate band of Rs 200 to Rs 203 as the LKR/USD exchange rate from 7th September 2021, to contain the situation.

It is encouraging to note that in spite of the above macro developments, the banking industry has continued to perform steadily during the 12 months of the year. The industry gross loans and advances recorded a growth of 15.3% reaching Rs 10.5 Tn, as at 31st December 2021, and a deposit growth of 13.7% to Rs 12.7 Tn was recorded by end-December 2021. The sector assets grew by 15.4% to Rs 16.9 Tn. The Gross NPL ratio, as at 31st December 2021 was 4.5%, indicating a marginal reduction from 4.9% in 2020, while the Net NPL ratio was 1.7%, down from 2.4% in 2020. The industry CASA improved to 36.6% by December 2021, from 34.5% by end-2020.

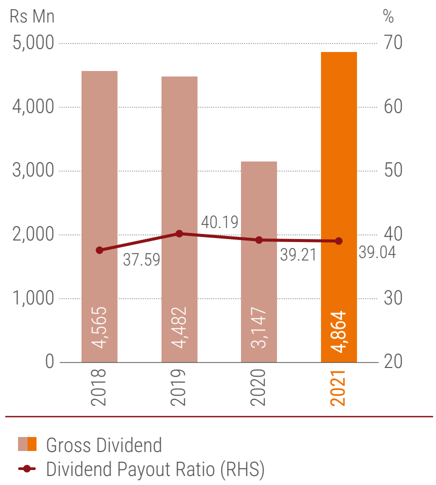
Steady and Stable

Despite the unpredictable economic conditions that prevailed, I am pleased to report that the Sampath Group, consisting of its four fully-owned subsidiaries, reported an exceptional performance. Group profitability came in at

ROE & ROA



Gross Dividend & Dividend Payout Ratio



Rs 13.9 Bn, in comparison to Rs 8.4 Bn in the previous financial year, an increase of 64.1%. Your Bank reported a very satisfactory performance notwithstanding the several challenges and recorded a profit of Rs 12.5 Bn, which is a 55.2% increase from the PAT of the previous year. Further, Siyapatha Finance PLC too, tabled a post-tax profit of Rs 1.1 Bn, which is a considerable year-on-year growth of 167%, in comparison to the previous year's PAT of Rs 409 Mn. It is also noteworthy that this is the highest ever post-tax profit recorded by the company in its 16-year history. Similarly, SC Securities too, recorded an exceptional year registering its highest-ever profits in its 29-year history and posted a PAT of Rs 326 Mn, in comparison to Rs 109 Mn for the previous year, a growth of 199%. The Bank's balance sheet has also grown satisfactorily, while our financial fundamentals remain robust under our rigorous regime of risk management and internal controls. As always, we have maintained all capital ratios well above the regulatory minimum requirements, and as at the end of December 2021, the CET I, Tier I and Total Capital ratios were at 13.95%, 13.95% and 17.02% respectively, compared to 13.44%, 13.44% and 16.41% respectively at the end of 2020. Our Rs 6 Bn, Basel III compliant, listed debentures in April 2021 have also strengthened our Tier II capital, to support the expansion of the loan book, and the credit rating of 'AA- (lka)/Stable', validates our financial stability going forward.

During the year, in order to create more liquidity, the number of ordinary shares of the Bank was increased by way of a sub-division of shares; whereby, one ordinary share was subdivided into three ordinary shares. Consequently, the issued number of ordinary shares was increased from 381,457,985, to 1,144,373,955. This share sub-division was approved at the Extraordinary General Meeting held on 17th March 2021.

The Bank's Return on Average Equity (after tax), increased to 11.05% in 2021 from 7.58% in 2020. The Return on Average Assets (before tax), also increased to 1.44% from 1.09% reported last year. Total assets of the Bank and the Group stood at Rs 1,200 Bn and 1,243 Bn respectively as at end-December 2021. This is a year-on-year growth of 8.1% at both Bank and Group levels. The CASA ratio improved to 45.7% from 39.3% during the year, and the Net Asset Value per Share increased to Rs 103.77, from Rs 93.98 reported in 2020. The EPS also increased to Rs 10.89 from Rs 7.01 reported in the previous year, creating value for our shareholders. In spite of growing COVID-19 obligations, the NPL ratio declined to 5.09% in December 2021, from 6.30% in December 2020, due to stringent monitoring and management of our portfolios.

Given the above performance, the Board was pleased to declare a cash dividend of Rs 4.25 per share, for the year ended 2021, ensuring fair returns for our shareholders.

Responsible Banking

From its inception, Sampath Bank has built a culture of conscience that extends beyond numbers, and to that end we remained true to our corporate ethics at all times. During the third COVID-19 wave in 2021, the Bank assisted its employees and customers to overcome both personal and professional difficulties stemming from disruptions caused by the pandemic. We continued to extend our fullest support towards the government-led moratorium schemes by enabling all eligible customers to benefit from the moratorium extensions announced at various times during 2021. We also participated in the Saubhagya Renaissance scheme and granted Rs 10.5 Bn worth of loans to the affected customers up to end-2021. The Bank also continued to give generously to strategic CSR programmes that address key national priorities in line with the UN Sustainable Development Goals. Our tank restoration project "Wewata Jeewayak", was continued and we commenced restoring the Athawetuna Wewa in Anamaduwa, the Urewa Kuda Wewa in Mahasenpura, Padaviya, and the Pubbiliya Wewa in Kobeigane and the second phase of the Kindagalle tank restoration project at Bibile. We also continued to support "Sampath Saviya", the Entrepreneurship Development Programme, the "Future Business Leaders" Programme, the "Sampath Saviya" Business Start-up Advisory Service and the "Hope for a Life" programme, which addresses emergency needs at national scale and this year, supported the COVID-19 containment drive. The Bank also continued to put its weight behind numerous far-ranging environmental conservation activities.

A Strong Team

The Sampath Bank Board of Directors are the guiding force behind the Bank and represent the strategic vision of the Bank through a diversified selection of skills and expertise second to none. During the year, we continued to focus on ensuring the correct mix of talent on the Board, while accommodating retirements under statutory requirements. In line with shareholder expectations for a multi-talented Board, Mr Vinod Hirdaramani was appointed as an Independent, Non-Executive Director of the Bank following the retirement of Ms Annika Senanayake, who served as an Independent, Non-Executive Director and Mr Ranil Pathirana, who served as a Non-Independent, Non-Executive Director.

"From its inception, Sampath Bank has built a culture of conscience that extends beyond numbers, and to that end we remained true to our corporate ethics at all times."

Outlook and Way Forward

With our steadily expanding digital footprint and the latest capital infusion through the debenture issue, I am confident that the Bank has the infrastructure network and financial capacity to fuel a faster pace of growth in the new financial year. The extensive vaccination programme, coupled with proposed national economic projects and plans to reopen the country for tourism, can be expected to reenergise economic growth in 2022. While adopting a prudent outlook, we are optimistic of sustained growth and rewarding returns for all our stakeholders within this environment. Consistently applying best practices in risk management and internal controls, and having adopted the highest governance standards, supported by the Board Audit Committee and the Board Integrated Risk Management Committee, I am confident of faster growth in 2022 through emerging new market opportunities, as well as our ongoing activities. We will also continue to focus on process optimisation as part of our efficiency drive and leverage group synergies within the Sampath Group, by liaising more closely with our leasing and finance subsidiary Siyapatha, stock broking subsidiary SC Securities and IT subsidiary Sampath Information Technology Solutions, to provide broader and more versatile solutions for our customers.

As we navigate 2022, it is vital we learn from our experiences and apply these lessons in the deployment of operational strategies, to not only facilitate more convenient and safer access to financial services to our customers, but to also enhance our levels of efficiency and productivity in order to build a truly sustainable and resilient business model, which is able withstand external shocks with minimum fallout.

Appreciations

I am grateful for the significant contribution made to the Bank by Mr Ranil Pathirana and Ms Annika Senanayake, who retired from the Board during the year. I am delighted to welcome Mr Vinod Hirdaramani to the Board and have no doubt he will add significant value to the deliberations of the Board. I am also grateful to the other members of the Board for their prudent and considered counsel in successfully steering our strategy through the pitfalls and perils of an uncertain and unpredictable year.

I am grateful to the Managing Director and the Corporate Management for their hard work in driving our strategic blueprint across the Bank's operational administration, and as always, I am fully appreciative of all our staff for their hard work, which has made this year a success.

Our shareholders have remained understanding and supportive, which was a great strength during this difficult period, and I am indebted to them for the unreserved confidence they have, at all times, placed with us.

I look forward to continuing our journey as long-term partners, overcoming all challenges together.

I would also like to express my appreciations to the Central Bank of Sri Lanka, the Monetary Board, Securities and Exchange Commission of Sri Lanka, Colombo Stock Exchange, and the Ministry of Finance for their support during these exceptional and trying times.

HARSHA AMARASEKERA
Chairman

Colombo, Sri Lanka
15th February 2022

GRI 102-10

MANAGING DIRECTOR'S REVIEW

It is very interesting to see the anchoring role played by the local banking sector in creating an enabling environment to fuel growth and support economic stability. Particularly impressive is the fact that the banking sector as a whole has succeeded in driving credit expansion in 2021 notwithstanding the pressure of pandemic related negative headwinds. This I feel speaks volumes regarding the maturity and readiness of the local banking sector to accelerate the country's economic trajectory.

NANDA FERNANDO
Managing Director

As 2021 unfolded, we were once again reminded that the COVID-19 pandemic was far from over. However, having grappled with this scenario for almost a full year, it became abundantly clear that the time had come for a fresh perspective - one that required the world to awaken from its state of denial and accept that the new normal was indeed an absolute certainty that will dictate the course of the global economy at least for some time to come.

Sri Lanka for its part had accepted this reality very early on in 2021, well ahead of many of its regional and western counterparts. In hindsight, I believe it was the tipping point that triggered the resurgence of economic activity seen in the country in 2021. Coupled with strong decisive action by the Central Bank of Sri Lanka to support private sector borrowers and also assist the Bank's to manage the negative effects of COVID-19 related disruptions, the Sri Lankan economy rebounded strongly in 2021 to record a solid GDP growth of 4.4% in real terms for the first nine months of the year, a sharp contrast to the contraction of 3.6% reported in 2020. The fact that all key sectors of the economy recorded significantly improved performances in 2021, offers further proof that the economic revival is solid.

Also commendable is the government's COVID-19 vaccination campaign to ensure effective vaccine deployment and provide equitable access to COVID-19 immunity across the island. In fact, I believe the aggressive country-wide vaccination roll out was partly responsible for speeding-up the overall economic recovery, and also bringing renewed hope for the tourism sector comeback.

"While staying vigilant of the economic rollercoaster around us, Sampath Bank remained quite clear regarding its path for 2021. Simply put, we were determined to move ahead with phase II of our Triple Transformation 2020 (TT2020) agenda - the strategic blueprint for transforming our business and unlocking a new era of growth for the Bank."

ROA (before tax)

1.44%

2020 1.09%

35 bps

It is also very interesting to see the anchoring role played by the local banking sector in creating an enabling environment to fuel growth and support economic stability. Particularly impressive is the fact that the banking sector as a whole has succeeded in driving credit expansion in 2021 notwithstanding the pressure of pandemic related negative headwinds. This I feel speaks volumes regarding the maturity and readiness of the local banking sector to accelerate the country's economic trajectory.

Despite these positive signs however, the fragility of Sri Lanka's economic recovery was brought into question amidst lingering concerns regarding rising inflation, erratic currency fluctuations and the country's rapidly depleting foreign exchange reserves. Inflation as measured by the National Consumer Price Index (NCPI) hit double digits for the first time since records began in 2014, while significant exchange rate volatility observed in the first half of the year saw the Rupee continuing to depreciate against the US Dollar before being brought under control by Central Bank intervention in September 2021. Overall, the Rupee depreciated by Rs 15.25 against USD in 2021 compared to a mere Rs 4.15 in 2020. Meanwhile, government efforts to fulfill scheduled debt obligations, while laudable, did have a domino effect resulting in a progressive erosion of the country's gross official foreign reserves throughout 2021, which finally culminated in the downgrade of Sri Lanka's sovereign rating by many leading global rating agencies in the latter part of 2021.

Strategy and Focus

While staying vigilant of the economic rollercoaster around us, Sampath Bank remained quite clear regarding its path for 2021. Simply put, we were determined to move ahead with phase II of our Triple Transformation 2020 (TT2020) agenda - the strategic blueprint for transforming our business and unlocking a new era of growth for the Bank. In fact, starting with my day one speech to Team Sampath, I regularly stressed the importance of executing planned strategies under phase II outlined under the TT2020 agenda. To recap the work done in 2021, our focus was pivoted on three key aspects; Growth, Cost and Risk.

MANAGING DIRECTOR'S REVIEW

"Sampath Bank has for many years been at the forefront of the digital transformation of the local banking sector. In 2021, we continued to prove our digital prowess by transforming our systems and leveraging on the latest digital technology to swiftly reorient ourselves in response to the rapidly evolving pandemic environment."

Our growth strategies for the year were largely centred on seizing opportunities presented by the low interest rate environment, with special emphasis on driving credit growth across the SME sector and in the green financing domain.

Responding to the heightened demand for working capital from SMEs keen to restart their operations after the COVID induced lull in economic activity, the Bank pushed ahead with its "Diriya" loan scheme - the Bank's flagship product targeting the SME sector.

Our green lending activities gained further traction in 2021 amidst a strong encouragement by the government to increase the proportion of renewable energy in the country's overall energy mix. Marking an important landmark in our support of the renewable energy sector, Sampath Bank structured and invested in what is thought to be the first-ever bond issued by a listed company in Sri Lanka's Power and Energy sector. The instrument designed to raise Rs 750 Mn in capital was tailor-made to suit the unique characteristics and financing needs of LVL Energy Fund PLC.

I am pleased to report that these measures yielded good results as evidenced by the 7.1% year on year expansion in our lending book, which drove up our asset base to Rs 1.2 Tn as at 31st December 2021, a solid 8.1% increase over the previous year.

Deposit mobilisation activities which were redirected towards improving CASA also yielded the desired results as seen by the improvement in the Bank's CASA ratio from 39.3% in 2020 to 45.7% in 2021.

Our trade related operations too gathered momentum in 2021, as we moved quickly and decisively to prioritise the needs of the import sector, specifically importers of essential items such as foods and pharmaceuticals. Meanwhile, capitalising on resurgence in export demand in mid-2021, we seized the opportunity to cater to the working capital and CAPEX requirements of these industries by offering special tailor made pre-shipment financing solutions. I believe our ability to prudently manage the Bank's foreign currency position along with pre-emptive action to procure foreign currency early on in the year, gave Sampath Bank a solid competitive advantage and paved the way for us to expand its captive market share in the trade related space. At the same time, we were able to augment our fee based income, supported in particular by the broad-based diversification of our digital channel architecture.

Our cost reduction strategies delivered excellent results, as demonstrated by the improvement of 820 basis points in our cost-to-income ratio from 43.5% in 2020 to 35.3% in 2021. Our approach to cost reduction was driven primarily through digitalisation and process automation initiatives guaranteed to deliver dual benefits in terms of improved operational efficiencies as well as lower paper usage. A gradual increase in paperless operations over time continues to serve a broader purpose in taking Sampath Bank closer to its goal of becoming a truly sustainable green bank. Beyond this, we also pursued new and more innovative ways to cut costs, which led us to put in a lot of time and effort in 2021 to explore how group synergies can contribute towards achieving our cost reduction objectives.

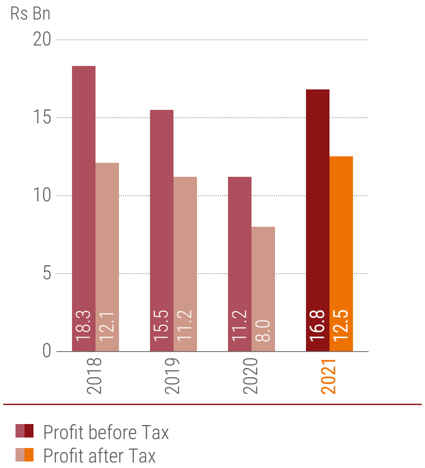
From a risk management perspective, we focused on further strengthening our risk fundamentals to take cognisance of the tenuous and often unpredictable operating environment. From a credit risk perspective, although our current portfolio default rate has been minimal owing to the government-led debt moratorium and payment holidays currently in effect, we continued to monitor the credit risk of our loan portfolio and on a prudent basis reclassified customers to Stage 2 if deemed to be operating in risk elevated industries as measured by pandemic induced risk metrics. Moreover, seeing that there is a good chance that the default in our portfolio could increase when these programmes come to end, an additional management overlay was also provided to safeguard the Bank against the possible credit losses in the future while minimising the impact on portfolio quality over the long term. We also revisited our impairment provisioning against SLDBs/SLISBs amidst the backdrop of Sri Lanka's sovereign rating downgrade in 4Q of 2021.

Delivering Results

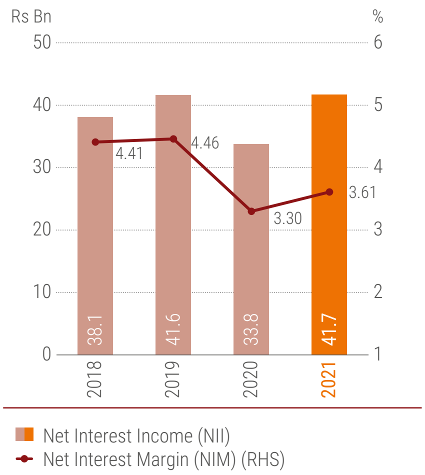
Sampath Bank and the Group produced strong results for the year ended 31st December 2021, despite the challenges caused by the prolonged impact of the COVID-19 pandemic. The Bank reported a Profit after tax (PAT) of Rs 12.5 Bn and Profit before tax (PBT) of Rs 16.8 Bn for the year under review, denoting significant growth of 55.2% and 50.7% respectively compared to 2020. Sampath Group too registered a PAT of Rs 13.9 Bn and a PBT of Rs 18.8 Bn for the year, with a sizable year on year growth of 64.1% and 58.3% respectively at PAT and PBT levels, in comparison to the previous year.

Net interest income (NII) - the main source of income for the Bank touched Rs 41.7 Bn, up by 23.2% from Rs 33.8 Bn reported in 2020. Higher NII in 2021 was largely the result of contraction

Profit before Tax & Profit after Tax



NII & NIM



in interest expenses by 19.1% year on year. Lower interest cost on deposits combined with the expansion in the CASA base by Rs 98.4 Bn year on year led to a contraction in interest expenses. Buttressed by the higher NII, Net interest margin (NIM) too improved from 3.30% in 2020 to 3.61% in 2021.

The Bank's Cost-to-income ratio continued to decline amidst higher total operating income and the success of our cost-saving initiatives. Accordingly, the Cost-to-income ratio (excluding taxes on financial services) decreased to 35.3% in 2021, from 43.5% in 2020.

The impairment charge for the year 2021 increased by 45.0% to Rs 17.1 Bn from Rs 11.8 Bn in the previous financial year.

Total Operating Income

Rs 58.5 Bn

2020 Rs 46.2 Bn

26.6%

This is mainly due to additional impairment provisions made to absorb the potential risk associated with customers affected by the prevailing local and global economic conditions. Also, significant provisions were recognised on other investments due to the increased credit risk of such instruments.

Sampath Bank's liquidity position remained strong, with the liquidity coverage ratio confirming that the Bank has sufficient liquidity buffers. Statutory liquid asset ratio of the Bank's domestic and off-shore banking units was 32.47% and 30.83% respectively as at 31st December 2021, both above the regulatory requirement of 20%.

Sampath Bank's capital position remained strong throughout the year with all capital ratios maintained comfortably above the regulatory minimum requirements. A combination of higher profits and proceeds from the Debenture issue saw Sampath Bank's CET I, Tier I and Total capital ratios increase to 13.95%, 13.95% and 17.02% respectively as at 31st December 2021, compared to 13.44%, 13.44% and 16.41% respectively at the end of 2020. Our debenture issue in April 2021, which helped raise Rs 6 Bn worth of Tier II capital was the 04th consecutive Basel III compliant, listed, rated, unsecured, subordinated, redeemable debentures issued by Sampath Bank in the past 05 years.

Bolstered by higher PAT, the Return on Average Shareholder's Equity (ROE) and Return on Average Assets (ROA) both showed a commendable improvement in 2021. As at 31st December 2021, ROE increased by 347 basis points (bps) to 11.05% from 7.58% reported at the end of the year 2020, while ROA (before tax) increased to 1.44% from the 1.09% reported for 2020.

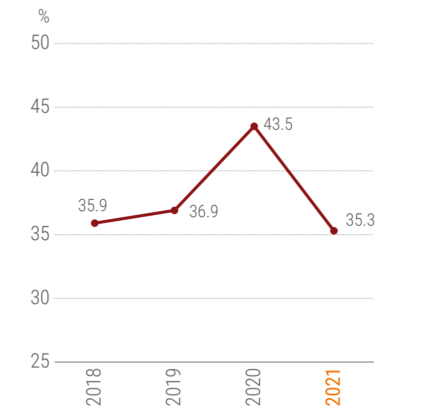
Expediting Our Digital Strategy

As I am sure you are aware, Sampath Bank has for many years been at the forefront of the digital transformation of the local banking sector. In 2021, we continued to prove our digital prowess by transforming our systems and leveraging on the latest digital technology to swiftly reorient ourselves in response to the rapidly evolving pandemic environment. In what is perhaps the most groundbreaking development the local banking industry has witnessed in the recent past, Sampath Bank pioneered "Touchless Cash Withdrawals" (TCW) at ATMs for the first time in Sri Lanka and possibly the first time in the region as well. The key highlight of the TCW technology is its contactless feature that allows users to withdraw cash from an ATM without ever having to physically touch the surface of the machine. Needless to say, being able to perform contactless transactions has become one of the most pressing needs of our time. I am deeply proud of the role Sampath Bank has played in heralding a new era of contactless banking for all Sri Lankans through the TCW technology which was immediately enabled across Sampath Bank's island-wide network of 455 ATMs. Since the roll out of TCW, we have seen a tremendous response from our customers, with a weekly average of 2,200 ATM transactions attributed to the TCW technology.

In parallel, we upgraded digital channel infrastructure to empower customers to perform more and more of their banking activities remotely, thereby minimising trips to the branch. A key achievement in this regard was the rollout of digital on-boarding across multiple platforms, including Sampath Vishwa and through the e-enrollment tab on our corporate website. Our Virtual Teller Network too was enabled to carry out on-boarding, which I believe is another first for the local banking sector. Meanwhile, for corporate clients, a dedicated video conferencing facility was implemented for opening of business accounts. Apart from digital on-boarding,

MANAGING DIRECTOR'S REVIEW

Cost to Income Ratio



we proceeded to further enhance the overall functionality of Sampath Vishwa to give both retail and corporate customers an unrivalled digital experience. In yet another industry first, Sampath Bank launched the RemitWise Self-care App for the benefit of senders and receivers of inward remittances. The RemitWise App was designed in the trilingual format in support of the national initiative to encourage more inward remittances to be routed through formal channels.

Equal emphasis was placed on strengthening backend systems architecture, which saw a series of investments being made to boost the Bank's data storage and archiving capacity and further fortify the Bank's information security systems. Another major investment was the new synergy blade server technology to increase the integration between the Bank's physical and digital systems and enhance the performance of hosted applications. Good progress was made in our ongoing internal digitalisation and process automation agenda, where we undertook some notable functional level initiatives that have helped drive efficiency and lower costs.

Standing by Our Customers

Having been in business for the past 34+ years, Sampath Bank has dedicated itself to supporting its customers through some of their most significant moments. This past year gave us the opportunity to once again renew our commitment to our customers and the broader economy. As always, we took immediate steps to implement the government mandated relief measures to assist COVID-19 affected individuals and businesses. The debt moratorium for COVID-19 affected businesses and individuals in the tourism industry was extended from April to September 2021 as per CBSL Circular No. 04 of 2021 and later extended until 30th June 2022.

In line with the Central Bank directive requesting banks to reschedule existing NPLs of COVID affected businesses as at 15th May 2021, we also proceeded to offer a range of concessions and worked with these customers to draw up mutually acceptable repayment plans.

Levying of fees for cheque returns, stop payments and late payments were discontinued for an extended period in 2021 in line with the directives issued by the CBSL.

Furthermore, considering the widespread job losses and business closures due to the third wave of COVID-19, we reviewed each case and set out individual deferment plans to delay the recovery of capital, interest or both on selected credit facilities.

Over and above these, government mandated moratoriums already granted, the Bank continued with its own efforts to support businesses and individuals affected by the pandemic induced economic downturn. We made sure branches remained open despite the lockdown to facilitate customers' essential banking needs and continued with the deployment of Cash Recycler Machines as mobile units to facilitate cash deposits and withdrawals during pandemic related lockdowns.

Meanwhile, honouring our national responsibility to support Sri Lanka's economic revival, Sampath Bank also actively participated in implementing the Saubhagya Renaissance scheme to eligible customers with approximately Rs 10.5 Bn disbursed under the scheme since 2020.

Not forgetting how important it was to stay connected to our customers during these tough times, we advised our teams to touch base with their customers via phone and focus on providing practical and meaningful advices to individuals and businesses to overcome their difficulties. At a broader level, we relied heavily on digital advertising and social media to reach out to our customers more regularly. A dedicated chatbot was introduced on all social media platforms including Whatsapp, FB Messenger and Viber, to address routine queries from customers as well as to manage general inquiries from potential customers. We also conducted an online customer experience study in the early part of 2021 to ascertain the view of retail and corporate customers regarding the effectiveness of our digital channels, in particular the Sampath Vishwa Retail and Sampath Vishwa Corporate platforms in meeting customer needs during the pandemic.

Caring for Our Employees

Our employees have remained the bedrock of our response to the pandemic. The extraordinary resilience and outstanding commitment they have shown this past year has been an inspiration. In recognition of their remarkable dedication to the Bank, we ensured all salaries and other entitlements were paid in full and on time. All employees were granted a 10% annual salary increment in 2021. We also covered the cost of PCR testing, the cost of intermediary care including ambulatory charges and if required, critical care for COVID positive employees and their immediate family members.

Prioritising the safety of our team, all recommended COVID protocols were observed to enable teams to report to work in-person. We implemented Work from Home arrangements whenever possible and practical. As a policy, all pregnant team members were released from office and were provided Work from Home assignments until 31st December 2021. Whatsapp groups created in the previous year remained active enabling Managers and the HR Department to stay in constant touch with team members,

ROE (after tax)

11.05%

2020 7.58%

347 bps

while the COVID-19 Monitoring Desk set up at the onset of the pandemic also continued to operate, offering 24/7 assistance to employees in addressing any COVID related concerns.

Despite COVID safety measures being top of mind, we took the next steps to put in place a structured mechanism to drive talent development at a middle management level. The existing 'Future Leaders' programme was restructured with 29 high performers from the middle management level on-boarded as the first batch of candidates earmarked for further development through job rotations and special assignments. Taking another major leap in our overall talent development programme, a total of 242 team members were promoted within the twelve months ended 31st December 2021 - the highest number of annual promotions to be made in the Bank's 34+ years history.

At this point, I must applaud the government decision to raise the retirement age for employees. This change will no doubt enable Sampath Bank to retain some of its most senior talents for the benefit of the Bank.

Supporting the Community

Sampath Bank has taken its role as a community steward very seriously, for we have always felt that as a bank, we are ideally placed to make a more impactful change in the lives of underserved communities around Sri Lanka. As such, our commitment to the community has focused on bridging the socioeconomic inequalities that continue to challenge the progress of our nation. The COVID-19 pandemic only served to strengthen this resolve leading us to further deepen our investment in the community in 2021. Premised on this, we expedited our flagship "Wewata Jeewayak" tank restoration initiative to undertake 3 projects - the Athawetunu Wewa in Anamaduwa, the Urewa Kuda Wewa in Mahasenpura, Padaviya and Pubbiliya Wewa in Kobeigane, the 10th, 11th and 12th successive projects since the inception of programme. Further, the Bank also initiated phase II of the Kindagalle tank restoration programme in Bibile. All 4 projects undertaken in 2021, together directly benefits over 4,000 persons.

Our other long standing initiative is the "Sampath Saviya" - Entrepreneurship Development Programme, a targeted initiative that is closely linked to our core business. Our goal through this effort is to provide technical and financial assistance for the development of grass root level MSMEs, which we hope will ultimately lead to greater financial inclusion among unbanked and underbanked communities across Sri Lanka. Given that it was impossible to run the traditional "Sampath Saviya" workshops in 2021 due to pandemic restrictions in place, we adapted to the situation by hosting webinars targeting different segments. The 'Future Business Leaders' programme conducted for undergraduates of the Universities of Ruhuna, Peradeniya and Kelaniya, focused on inculcating entrepreneurial thinking with the aim of motivating youth to be job creators rather than job seekers. The E-seminar for Business Entrepreneurs was a public session to raise awareness among the business community regarding e-commerce platforms. A collaboration between Sampath Bank and Roar Digital, the E-seminar was designed to provide technical support to assist aspiring entrepreneurs. Extending the scope of our "Sampath Saviya" programme, we also launched the "Sampath Saviya" Business Startup Advisory Service to provide specialised business consultancy services for startup entrepreneurs. This was coupled with the launch of the "Biztep" Youth Entrepreneurship Programme in partnership with the Ceylon Entrepreneurs' Club Society Limited. The "Biztep" Youth Entrepreneurship Programme was designed as a structured capacity building initiative to enable youth entrepreneurs to pursue business diversification through innovative and viable business models.

At the same time, through our "Hope for a Life" programme, we made significant donations of essential medical equipment to state hospitals around the country to help in the fight against COVID-19. We also renewed our commitment to the environment by continuing with our long standing programmes and also undertook several new initiatives. I am proud to note that Sampath Bank made its 27th consecutive annual contribution to the Wild Life and Nature Protection Society of Sri Lanka and continued to support efforts by Biodiversity Sri Lanka to restore ten hectares of degraded forest land in the Halgahawala forest reserve in Opatha in the Galle district. One of the new initiatives for 2021 was the "Gasai Mamai Pubudu Pothai" tree planting programme, undertaken in collaboration with the Department of Education and the Department of Agriculture, with the aim of inculcating environmental consciousness among school children.

Awards and Accolades

I am indeed pleased to announce that our progress on all fronts continues to be endorsed by esteemed awarding bodies both locally and internationally. Sampath Bank was declared Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" for the 8th consecutive year, at the prestigious World Finance Banking Awards 2021 hosted by UK-based World Finance magazine. At the LMD Brands Annual rankings, we were placed 7th in the "Most Loved Brands" category, becoming the only bank to make the top 10, while a survey and publication commissioned and conceptualised by LMD and conducted by Nielsen placed Sampath Bank among the Top 5 'Most Respected Entities in Sri Lanka' for the year 2021.

MANAGING DIRECTOR'S REVIEW

Sampath Bank was also the only Sri Lankan bank to receive a nod at the prestigious APICTA Awards 2021, where our "Touchless Cash Withdrawals" was recognised under the "General" category. In further affirmation of our digital leadership, Sampath Bank received commendations at the FITIS Digital Excellence Awards 2021 for broad-based efforts to accelerate digital transformation across the local banking sector and the country as a whole.

Our endeavour to become a more sustainable bank was acknowledged at the Best Corporate Citizen Sustainability Awards 2021 organised by the Ceylon Chamber of Commerce, where Sampath Bank was declared among "Top Ten Best Corporate Citizens". At the same forum, we also clinched the category award for the "Best Corporate Governance Disclosure", while our flagship "Wewata Jeewayak" tank restoration programme was recognised as one of the best projects and rewarded with a Merit Award.

Marching Ahead

Having achieved all that we set out to do in 2021, I feel quite optimistic about the future. While I do admit concerns regarding the pandemic will remain in context for some time to come, Sampath Bank as a whole will approach the future with a much greater purpose in mind - one that seeks to deliver economic prosperity for all Sri Lankans across the country. We will continue to invest in the business to reinforce our product offerings and our distribution channels, while extending our digital leadership with a view to ensuring our customers and the broader economy to confront the future with confidence. We have already set the wheels in motion with the help of an international advisory specialist who has been tasked with drawing up a roadmap and putting in place the key foundational pillars that would significantly augment our current operating model over the next 3 - 5 years. The first phase of our roadmap which we expect to begin rolling out by 1Q 2022 will see a significant expansion of our touch points, making Sampath Bank the undisputed leader in terms of island-wide reach and accessibility, thus creating a scalable platform from which to grow market share over time.

As we begin this new chapter in our onward journey, I believe the forecasted pick-up in the Sri Lankan economy will provide the right backdrop for Sampath Bank to execute its ambitious strategy. Central Bank predictions indicate that economic growth will hit 5%+ in 2022, buoyed by strong domestic trade and consumption as well as robust manufacturing activity and exports together with the steady flow of tourist arrivals that will trigger the long awaited revival of the tourism sector. Needless to say these are welcoming signs that give me reason to believe that our new strategy will pave the way for Sampath Bank to play a significant role in Sri Lanka's post-pandemic economic recovery while accelerating the nation's transition to a more sustainable growth model in the years ahead.

Acknowledgements

Before I sign off, I would like to express my sincere appreciation to all Sampath Bank customers around the country for placing their trust in our brand. To our shareholders and other stakeholders - thank you for the long standing support extended to Sampath Bank.

I wish to thank the Chairman and my colleagues on the Board for their astute leadership and clear judgment that has been instrumental in steering the Bank forward in these uncertain times. I take this opportunity to also thank the Corporate Management team and every single member of Team Sampath for their resilience and commitment towards the Bank. Your actions this past year have proven without a doubt that you are indeed the bedrock of our business.

My appreciation to the officials at the Central Bank of Sri Lanka, the Securities and Exchange Commission of Sri Lanka, the Colombo Stock Exchange and the Ministry of Finance for their advice and support during the year.

Sampath Bank was declared Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" for the 8th consecutive year, at the prestigious World Finance Banking Awards 2021.

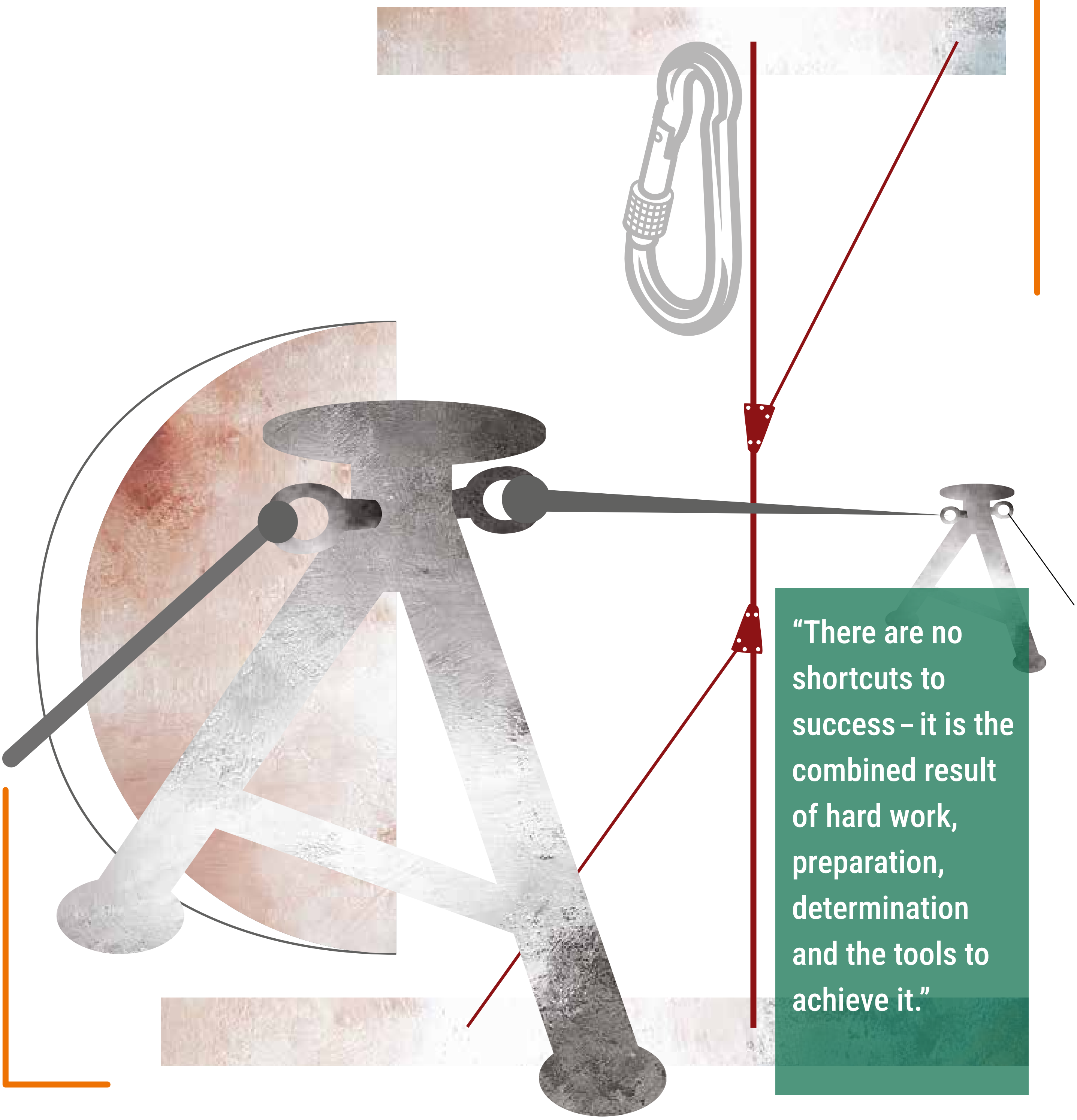
Finally, I want to take a moment to acknowledge the healthcare professionals, the tri-forces and other stakeholders who continue to fight every day to keep our nation and its people safe. Thank you and stay safe.

NANDA FERNANDO
Managing Director

Colombo, Sri Lanka
15th February 2022

PREPARING FOR SUCCESS

This year has seen groundbreaking upgrades across our IT and operation fields that have added immense value to our services. Thanks to the hard work and dedication of our administrative and front-line staff, we have seen one of our most successful periods to date.



"There are no shortcuts to success – it is the combined result of hard work, preparation, determination and the tools to achieve it."

OPERATING ENVIRONMENT

Global Economy

For the second consecutive year, the COVID-19 pandemic dominated global economic activity. For much of the year, nations around the world were seen scrambling to cope with soaring infection rates owing to the Delta variant, while also dealing with trade and production constraints caused by persistent supply chain bottlenecks and ongoing disruptions to global shipping and freight services.

On the other hand, broad-based easing of pandemic related lockdowns by most nations on the back of successful vaccination drives helped boost consumer demand and pushed the global economy to rebound strongly from the start of 2021. Accordingly, global growth is estimated to have surged to 5.5% - its strongest post-recession pace in 80 years.

Growth in 2021 was driven largely by advanced economies where high vaccination rates and sizable fiscal support have helped cushion some of the adverse economic impacts of the pandemic. In contrast, emerging markets and developing economies (EMDEs) appeared to have shown notably more fragile recoveries as a result of slower vaccination progress, ongoing shutdown and more restrained policy responses. For EMDEs, the pace of recovery appears to have been further dampened by tightening of financing conditions.

United States

After recording brisk growth in the first half, economic activity in the US appears to have softened, growing at a moderate pace in the second half of 2021 in the face of a significant slowdown in private consumption and manufacturing production. Other challenges including frequent COVID-19 outbreaks, mounting supply shortages, and rising energy prices were also partly responsible for dampening US economy's growth prospects in the latter part of 2021. Despite the third quarter slowdown however, the U.S. economy is estimated to have expanded by 5.6% in 2021.

Euro Area

The Euro Area reported solid growth in 2021, buttressed by a strong revival in economic activity in the second and third quarters of 2021. While growth in the Euro Area is estimated to have slowed in the fourth quarter owing in part to a sharp resurgence of COVID-19 and other challenges, on an overall basis, the region appears to have done well growing by a robust 5.2% in 2021.

China

Weak consumer spending amidst recurring mobility restrictions related to the pandemic and regulatory curbs on the property and financial sectors saw the performance of China's economy falling below expectations in 2021. Despite this, the Chinese economy is estimated to have grown by 8% in 2021.

Japan

Economic activity in Japan remained subdued for much of 2021. However, a slight uptick was seen towards the end of the year as high vaccination rates facilitated the relaxation of pandemic-control measures, enabling the Japanese economy to end the year with a 1.7% GDP expansion.

Outlook and Prospects for the Global Economy

After the growth spurt seen in 2021, the global growth is projected to taper in 2022 on the back of persistent downside risks due to likely COVID-19 flare-ups, diminished policy support, and lingering supply disruptions. On this basis, it has been forecasted that advanced economies and EMDEs alike will see weaker growth in 2022 and while more notable declarations are expected from EMDEs, advanced economies are expected to exhibit greater resilience against the long term pandemic related impacts.

On a positive note, the intensity of the pandemic too appears to be gradually easing as evidenced by the recent Omicron variant which has seemingly had more muted impacts on economic activity than at the onset.

Regardless, experts suggest that a return to pre-pandemic economic prosperity will be largely predicated on the success of the global vaccination programme. While vaccination has been proceeding at a rapid pace across most advanced economies, EMDEs have been lagging behind in this regard. Going by current estimates, over 75% of people in advanced economies have received at least one vaccine dose compared to only 55% in EMDEs. It is therefore quite likely that this type of uneven distribution will tilt the economic balance in favour of advanced economies in the coming months.

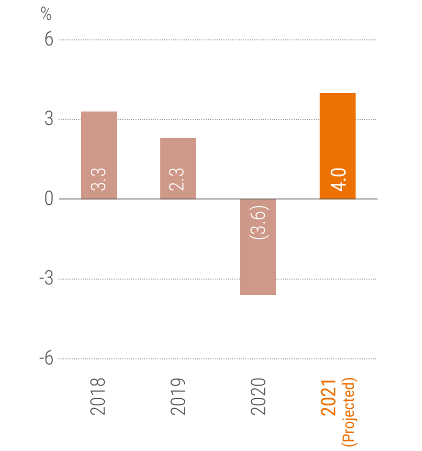
Sri Lankan Economy

The Sri Lankan economy bounced back strongly in 2021, with provisional estimates indicating GDP growth of 4.4% in the first nine months of 2021 in real terms, compared to 3.6% contraction reported in 2020. The broad-based recovery during 2021 comes on the back of decisive action by the Central Bank of Sri Lanka to support private sector borrowers and also assist the Banks to manage the negative effects of COVID-19 related disruptions. Reinforced by these supportive measures, the Sri Lankan economy made gradual headway to record a noteworthy resurgence in economic activity and business confidence. Growth for the year was marked by robust performances across all key sectors of the economy. With improved weather conditions leading to increased growing activity, the agriculture sector as a whole grew by 5.3% in the first nine months of 2021, reflecting a substantial expansion from the previous year. The manufacturing sector, after being severely affected due to pandemic related challenges in 2020, rebounded strongly to produce a 6.8% growth in the first nine months of 2021. The services sector also performed well. Having demonstrated greater resilience in 2020 in the face of pandemic related challenges, the services sector continued to grow steadily to table a 2.7% expansion in real terms in the first nine months of 2021.

Domestic consumption also increased significantly in 2021 following the easing of COVID-19 restrictions. Consumption expenditure, which accounted for 86.9% of the GDP, recorded a growth of 7.3% in the first nine months of 2021.

Amidst this backdrop, the Government continued to prioritise the equitable access to COVID-19 vaccines and ensure effective vaccine deployment across the island with the objective of preventing recurring outbreaks and minimising the threat of transmission. Apart from this immediate goal, the government-led COVID-19 vaccination campaign was also aimed at speeding-up the economic recovery and paving the way for a revival of the tourism sector.

GDP Growth - Sri Lanka

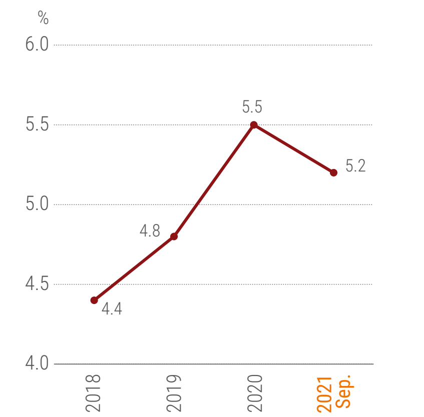


Meanwhile, concerns regarding Sri Lanka's ability to fulfill its external debt service commitments amidst the growing debt burden and the protracted recovery from the pandemic-induced economic shocks, saw country's long term sovereign rating being downgraded in October 2021 by Moody's, followed by Fitch Ratings in December 2021.

Key Economic Indicators for 2021

Unemployment

Unemployment Rate



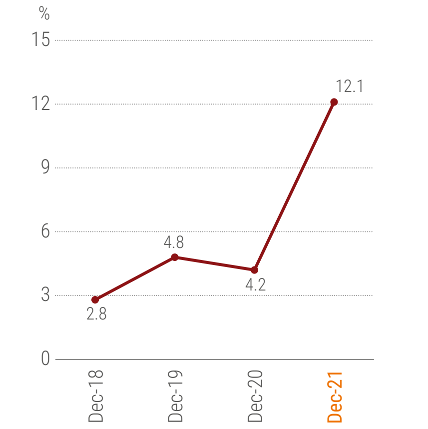
Unemployment, which has remained above 5% for six consecutive quarters since the onset of the pandemic in April 2020, rose to 5.7% in the first quarter of 2021 before declining to 5.1% and 5.2% in the second and third quarters respectively. Meanwhile, labour force participation which showed a marginal increase of 50.9% in the first quarter of 2021 from 50.1% reported in 2020, declined to 49.8% by the end of second quarter owing to ongoing disruptions to the labour market due to the pandemic.

OPERATING ENVIRONMENT

Key Economic Indicators for 2021

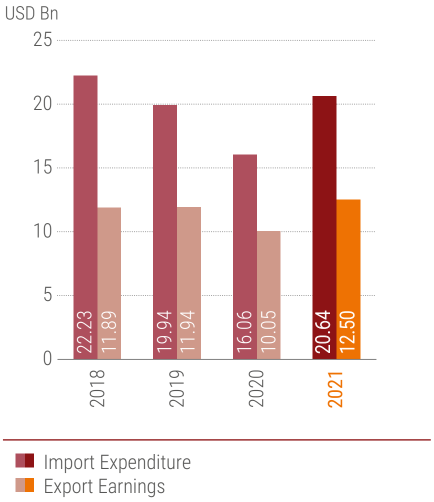
Inflation

Headline Inflation (CCPI)



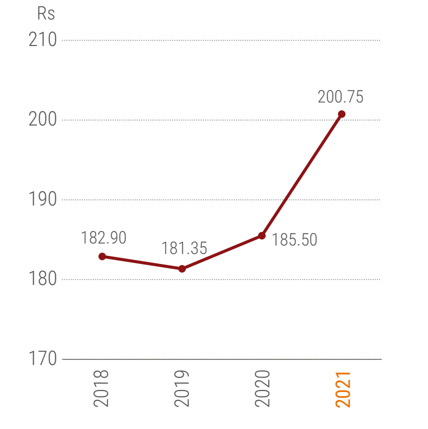
External Sector

Import Expenditure & Export Earnings



Exchange Rate

USD/LKR Movement



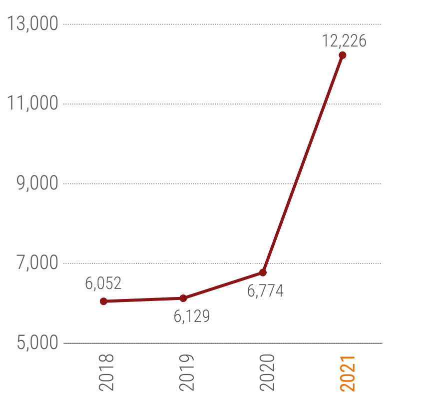
Having remained relatively stable for several quarters, inflation increased sharply from the second quarter of 2021, as price ceilings on several essential commodities, including fuel, were revised upward in line with elevated global prices. Accordingly, headline inflation as measured by the CCPI (2013=100), accelerated during recent months, surpassing the desired benchmark range of 4% - 6% and stood at 12.1% by December 2021.

Sri Lanka's external sector continued to show its resilience in the face of pandemic related challenges. Making a faster-than-expected recovery, the export sector performed well in 2021, with all subsectors, including industrial, agricultural, and mineral exports, showing improved results compared to the previous year. Import expenditure also increased reflecting the combined effect of heightened domestic demand and increased global prices. With import expenditure outpacing export income, the country's trade deficit widened in the first ten months of the year to USD 6.5 Bn compared to USD 6.0 Bn reported in 2020.

The Sri Lankan rupee depreciated noticeably between the period of January - April 2021, mainly due to inadequate inflows to the domestic foreign exchange market alongside large outflows. The exchange rate spiked to Rs 199.50 per USD at end June 2021 from Rs 185.50 per USD at end December 2020. The exchange rate stabilised later in the year following Central Bank's intervention in September 2021 and stayed in the range of Rs 200 - Rs 203 per USD for the remainder of the year. The overall rupee depreciation from December 2020 to December 2021 was 8.2%.

Equity Market

ASPI Index



The equity market tabled an impressive performance for the year ended December 2021 notwithstanding significant volatilities. Driven by domestic investments, average daily turnover during the year 2021 grew by 157.4% to reach Rs 4.9 Bn, from Rs 1.9 Bn recorded in 2020. Foreign participation in the market continued to remain low for the third consecutive year. Meanwhile, ASPI and S&P SL20 index recorded growth of 80.5% and 60.5% respectively, as at end December 2021.

"Amidst challenging global and domestic macroeconomic conditions stemming from the pandemic, the banking sector remained resilient during the period under review."

Industry NPL

4.5%

2020 4.9%

40 bps

Outlook and Prospects for the Sri Lankan Economy

Having bounced back strongly in 2021, it is hoped that economic activity will continue to gather momentum in 2022. As per the 'Six-Month Road Map' announced by the Central Bank on 1st October 2021, the government has committed to introduce several additional measures to complement the initiatives already in place. Collectively, these measures aim to bolster investor confidence and improve the overall business environment, while fostering macroeconomic and financial system stability to ensure economic activity can be maintained at a more sustained pace over the next few years.

Banking Sector Update 2021

Amidst challenging global and domestic macroeconomic conditions stemming from the pandemic, the banking sector remained resilient during the period under review. Assets of the banking sector grew together with increasing profitability. At the same time however, declining foreign currency liquidity and deteriorating credit quality brought pressure on the banking sector.

Asset Base

Bolstered by strong credit appetite mostly in the first half of the year, total assets of the banking sector expanded to Rs 16.9 Tn by end-December 2021 denoting year on year growth of 15.4% from the Rs 14.7 Tn recorded at end 2020.

Funding

The Banking sector expansion continued to be funded primarily through deposit mobilisation activities, with deposits accounting for almost 75% of the sector's total funding mix. The 13.7% growth in the deposit base of the banking sector was attributed mainly to the growth of Rupee deposits.

Moreover, total borrowings of the banking sector increased by Rs 0.5 Tn (28.9%) during the year ended December 2021 mainly due to increased Rupee borrowings.

Asset Quality

Asset quality of the banking sector marginally improved during the year 2021. NPLs increased by Rs 20.0 Bn to Rs 468.1 Bn as at end December 2021 from Rs 448.1 Bn as at end 2020. However, on the back of higher credit growth in 2021, the Gross NPL ratio decreased slightly to 4.5% by end December 2021 from 4.9% at end December 2020. Although there is a potential for NPLs to increase upon cessation of moratorium, it should be noted that most banks have steadily increased their impairment provisions in 2020 and 2021 and have already absorbed a sizable portion of the potential impairment charges on loans under moratorium.

Capital and Liquidity

The Banking sector continued to operate with adequate capital and liquidity buffers to be able to comfortably absorb any adverse shocks. By end September 2021, the sector operated with a Tier I capital ratio of 12.9% and a total capital ratio of 16.2%, both well above the Basel III requirements while the Statutory Liquid Asset Ratio of the banking sector's Domestic Banking Unit (DBU) stood at 33.8% as at end December 2021, well above the minimum regulatory requirement of 20%.

Profitability

Profitability of the Banking sector increased in 2021. The sector reported a Profit before tax of Rs 316.2 Bn for the year 2021, a 35.9% increase over the figure reported in 2020. This increase should be viewed in the context of the immediate operating environment in 2020, which saw the banking sector recording below average profits in that year. Profitability of the banking sector was affected in 2020 due to a combination of factors; the concessions granted by banks to COVID affected customers, the impact of interest rate caps and the low interest rate environment throughout 2020 along with low credit growth and the restrictions imposed on fee based income. Led by higher profits in 2021, banking sector ROA before tax and ROE edged up to 1.6% and 14.5% respectively, by end December 2021 from 1.4% and 11.4% respectively, at end December 2020.

OPERATING ENVIRONMENT

"As per the 'Six-Month Road Map' announced by the Central Bank on 1st October 2021, the government has committed to introduce several additional measures to complement the initiatives already in place."

Banking Sector ROE

14.5%

2020 11.4%

310 bps

Monetary Policy Measures Affecting the Banking Sector in 2021	
1st April 2021	Concessions for lease facilities obtained by businesses and individuals in the passenger transportation sector for a period of six months commencing from 1st April 2021.
1st April 2021	Extended the debt moratorium granted for the tourism sector under Circular No. 08 of 2020 dated 26th August 2020 for a further six months commencing from 1st April 2021.
25th May 2021	Further concessions were granted to the COVID-19 affected businesses and individuals: • Deferment or restructuring of existing credit facilities in performing category. • Concessions for credit facilities in NPL category as at 15th May 2021. • Licensed banks to discontinue charging for cheque returns, stop payments, and late payment fees until 30th June 2021.
19th August 2021	SDFR and SLFR increased by 50 basis points to 5.00% and 6.00% respectively, resulting in the automatic increase in the Bank rate to 9.00%.
19th August 2021	SRR increased by 2.00 percentage points to 4.00% to be effective from the reserve maintenance period commencing from 1st September 2021.
1st September 2021	Concessions granted on deferment or restructuring of existing credit facilities in performing category and credit facilities in NPL category as at 15th May 2021 were extended up to 31st December 2021.
6th September 2021	The Governor of Central Bank of Sri Lanka requested all Heads of Commercial Banks and National Savings Bank to maintain the formally agreed exchange rate range of Rs 200 - Rs 203 to the USD and to ensure the rate does not deteriorate beyond the agreed rate range.
13th September 2021	Extended the debt moratorium granted for the tourism sector under Circular No. 08 of 2020 dated 26th August 2020 for a further nine months commencing from 1st October 2021.

Outlook and Prospects for the Local Banking Sector

Having confirmed its ability to withstand the adverse conditions stemming from the pandemic and continuing to grow despite these impediments, the local banking sector has showcased its capability and readiness to drive Sri Lanka's post-COVID economic revival. However, in doing so, the sector will need to be cautious of the long term downside risks associated with the pandemic-induced economic slowdown. Going forward, liquidity of banks will also need to be strictly monitored, especially given the sizable portion of the sectors' credit portfolio that remains under moratorium as at end-2021.

MANAGEMENT DISCUSSION AND ANALYSIS

Capital Management Reports

FINANCIAL CAPITAL

Value Creation through Financial Capital

Material Topics Influencing the Financial Capital Development Strategy

- Profitability and Financial Stability
- Corporate Brand Image/ Goodwill Building
- Sales Promotions, Marketing Communication and Information Availability on Bank's Products and Services

Strategic Themes for 2021

- COVID-19 Response
- Competitive Positioning
- Operational Excellence

KEY PILLARS	VALUE CREATION HIGHLIGHTS FOR 2021	IMPACT ON OTHER CAPITALS
Profit Asset Base Liquidity Capital Structure	• Rs 104.6 Bn Gross Income (2020: Rs 102.3 Bn) • 35.7% year-on-year increase in Net fee and commission income driven by fees related to loans and advances, credit cards, trade and electronic channels • Cost-to-income ratio: 35.3% (2020: 43.5%) • PBT: Rs 16.8 Bn • PAT: Rs 12.5 Bn • Asset Base: Rs 1.2 Tn • CASA Ratio: 45.7% (2020: 39.3%) • CET I, Tier I and Total capital ratios were at 13.95%, 13.95% and 17.02% respectively (Regulatory requirement: 6.5%, 8% and 12% respectively) • Dividend Payout Ratio: 39.04% (2020: 39.21%)	Strategic allocation of financial resources to develop delivery channels in line with the Bank's expansion strategy will help strengthen market reach Consistent improvement in financial performance over time serves to enhance the Bank's credibility and reputation in the industry Strong financial results will enable the Bank to consistently allocate resources to meet the needs of all key stakeholders Better financial results allow the Bank to increase wealth created for employees by way of above average salaries and benefits, thereby increasing motivation and employee satisfaction, and lowering employee turnover

Contextual Overview

Sampath Bank delivered healthy financial results for the financial year 2021. Even amidst the challenges encountered as a result of the low interest rate environment and the weak credit appetite from the market, Sampath Bank continued to demonstrate its resilience. The agile business model and robust strategies to quickly reorient operations in line with the rapidly evolving external environment coupled with the prudent lending approach produced strong results. This enabled the Bank to once again prove its ability to withstand extreme pressure due to the prolonged economic slowdown caused by the continuation of the COVID-19 pandemic for the second consecutive year.

Please refer pages 56 to 61 of this Annual Report for a more comprehensive coverage of the global and local economic context that set the backdrop for Sampath Bank PLC's performance for the year ended 31st December 2021.

Analysis of the Statement of Profit or Loss

Gross Income

Sampath Bank reported a Gross income of Rs 104.6 Bn in 2021, a marginal 2.2% increase from the Rs 102.3 Bn recorded in the previous year. It should be noted that fee and commission income and other operating income were the primary contributors towards this marginal increase, as the decline in interest income during the year largely offset the contribution made by other revenue sources.

Net Interest Income

Interest income of the Bank fell by 3% to Rs 85.9 Bn in the year under review compared to the previous year. The lower interest rate environment which prevailed for most part of the year and the weak credit demand attributed to the pandemic induced economic downturn were the main reasons for this contraction. Notably however, the decline in interest income from loans and advances was partially offset by interest income from other financial instruments.

Meanwhile, interest expenses for FY 2021 declined by 19.1% compared to the previous year on the back of a strong improvement in CASA. The Bank recorded a 28.2% year on year growth in its overall CASA portfolio, while recording a decline in relatively costly term deposits. This change in the composition of the deposit portfolio coupled with the lower interest rate regime that prevailed for most part of the year contributed towards lowering interest expenses.

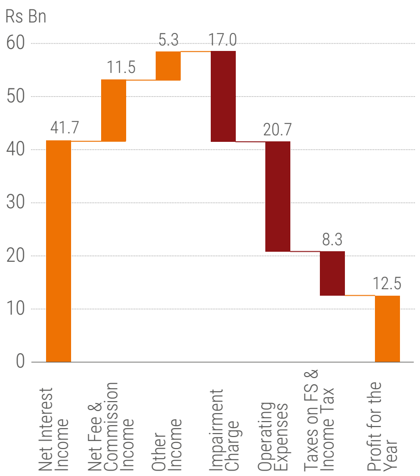
Moreover, with the decrease in interest expenses making up for the decline in interest income, NII recorded a growth of Rs 7.8 Bn and reached Rs 41.7 Bn at the end of 2021. Consequently, the Bank's NIM too reported a healthy increase of 31 bps over the previous year, despite notable pressure on interest income.

Non-Fund Based Income

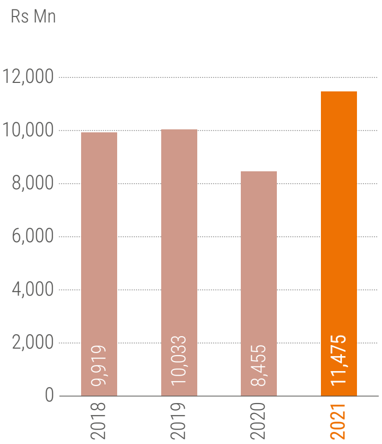
Net fee and commission income, comprising fees related to loans and advances, credit cards, trade and electronic channels, increased to Rs 11.5 Bn in 2021 from Rs 8.5 Bn reported in 2020. This significant year-on-year growth was driven by a strong increase in fee-based revenues generated from trade related transactions, the sizable improvement in credit card business volumes and higher volumes of online transactions made through Sampath Bank's digital products in 2021 compared to last year. Fee and commission income received a further boost following the government decision to gradually ease restrictions on the collection of commissions during the year.

Sampath Bank's net other operating income also recorded a significant growth of 37.5% in 2021, on the back of the depreciation of Rupee

Bank's Performance 2021



Net Fee & Commission Income



against US Dollar. With the Rupee depreciating by 8.2% against US Dollar during the year, the Bank's Net gain from trading increased to Rs 399 Mn from Rs 24.8 Mn recorded in the last year. The net gain on the derecognition of financial assets meanwhile decreased to Rs 150.4 Mn from Rs 423.8 Mn recorded in the previous financial year.

Impairment Charge

The Bank recognised total impairment charge of Rs 17.1 Bn for 2021 compared to Rs 11.8 Bn in 2020, pointing to a 45% increase year-on-year. In the current year, the Bank recognised Rs 12.7 Bn against loans and advances and Rs 3.8 Bn against other financial instruments.

Impairment Charge on Loans and Advances

Over the course of the year, the Bank made a substantial provision after reviewing the prevailing challenging macroeconomic conditions at the global and local levels. Individually Significant Customers were carefully evaluated and appropriate provisioning made considering the severity of the pandemic impact on each customer's business.

As a means of factoring the long-term impact of COVID-19 on the client's ability to repay loans, the Bank reassessed the risk profiles of its customers in order to determine if they should be moved to lifetime expected credit losses (Stage 2) from the 12-month expected credit losses (Stage 1) under collective impairment.

Based on this assessment, customers were transferred to Stage 2 in circumstances where their business models appeared to be affected by the prolonged economic consequences brought on by the pandemic. Meanwhile, the Bank continued to recognise customers operating in risk elevated industries as Stage 2 during 2021 as well. This prudent categorization resulted in the Bank's Stage 2 balance increased by Rs 87 Bn during the year. In addition, the Bank increased the loan loss provision for moratorium loans classified under Stage 1 and Stage 2 as an allowance for overlay in order to capture potential non-payment of loans upon the expiry of moratoriums. The Bank has also assessed the impact of macroeconomic variables that could elevate the credit risk of the loan portfolio and considered the potential impact of these variables in the calculation of provision for impairment. As a result of all the above factors, the Bank's Stage 1 and Stage 2 total provision increased by 23.5% and 91.2% respectively in 2021 from the figures reported in 2020.

Meanwhile, the total impairment provision of Stage 3 loan balances increased marginally by Rs 1.2 Bn in 2021 despite an overall Rs 3.9 Bn decline in Stage 3 loan balances. The annual review of the loss rates and the remeasurement of impairment provision for some Stage 3 customers were the main reasons for the overall increase in impairment provision against Stage 3 customers. These increases together contributed towards higher impairment provision under the expected credit loss model.

FINANCIAL CAPITAL

Net Interest Income

Rs 41.7 Bn

2020 Rs 33.8 Bn

23.2%

Impairment Charge on Other Financial Instruments

In 2021, the Bank further increased the impairment provisions against other financial instruments to reflect current market trends and other applicable macroeconomic conditions. As such, the impairment charge of Rs 3.8 Bn recognised on account of other financial instruments including government securities denominated in foreign currency.

The Bank also provided Rs 574 Mn against the credit related commitments and contingencies, during the year compared to Rs 269 Mn reported in last year.

Operating Expenses

The Bank's operating expenses increased to Rs 20.7 Bn in 2021 from the Rs 20.1 Bn reported in 2020, denoting a marginal 2.8% increase. General price hikes and the increase in deposit insurance premium during the year contributed to the aforementioned increase. Notably however, personnel expenses reported a decline of 6.7% compared to the previous year, primarily due to the amendments to the Bank's own pension fund. The Bank reassessed the pension fund liability taking into consideration the revision of the 'Minimum Retirement Age under the Workers Act No. 28 of 2021'. This reassessment resulted in a net reversal of liability which was immediately reversed to the Statement of Profit or Loss as it is considered as a change to the plan in compliance with the Sri Lanka Accounting Standard 'LKAS 19 - Employee Benefits'.

The Cost to income ratio (excluding the special adjustment described above) dropped significantly by 480 bps and stood at 38.7% for FY 2021 compared to 43.5% in the previous year, led by effective cost saving measures to curb expenses. It should be noted that the Cost to income ratio declined by a further 340 bps to 35.3% after adjusting the pension fund reversal referred above.

Taxation

Total tax expenses for the year under review was Rs 8.3 Bn against the Rs 6.3 Bn recorded for the previous year, reflecting a YoY increase of 31.2%. The increase in VAT on financial services and income tax expense are directly correlated to the increase in profitability for the year. Meanwhile, the reduction in corporate income tax rate by 4% from 28% to 24% had a positive impact on the income tax charge of the year.

In 2020, income tax and deferred tax were calculated at 28%, as the legislation was not substantively enacted at the time of publication of the financial statements in 2020. The rate reduction was subsequently introduced from the year of assessment 2020/21, which led, the Bank to reverse Rs 817 Mn worth of income tax during the current financial year, on account of the previous year rate differential. This was partly offset by the additional deferred tax charge of Rs 725 Mn recognised due to the reversal of deferred tax asset reported as at 31st December 2020.

In the Budget Proposals 2022, the Government has proposed to impose a surcharge tax at the rate of 25%, on individuals or companies with a taxable income over Rs 2,000 Mn for the year of assessment 2020/2021. However, this proposal has not yet been substantively enacted. As such, Sampath Bank and Sampath Group have not recognised any provision in 2021 financial statements against the proposed surcharge tax.

Profitability

Sampath Bank reported a profit before tax (PBT) of Rs 16.8 Bn in FY 2021, up by 50.7% against Rs 11.2 Bn recorded in 2020. Profit after tax (PAT) for the year under review also grew by 55.2% to Rs 12.5 Bn from Rs 8.0 Bn recorded in the previous year.

Return on Equity (ROE) and Return on Assets (ROA)

As a result of the growth recorded in PAT, the Return on Average Shareholders' Equity (after tax) increased by 347 bps to 11.05% as at 31st December 2021 compared to 7.58% reported at the end of the year 2020. Return on Average Assets (before tax) also increased to 1.44% as at 31st December 2021 against the 1.09% reported for 2020.

Review of the Assets and Liabilities

Total Assets

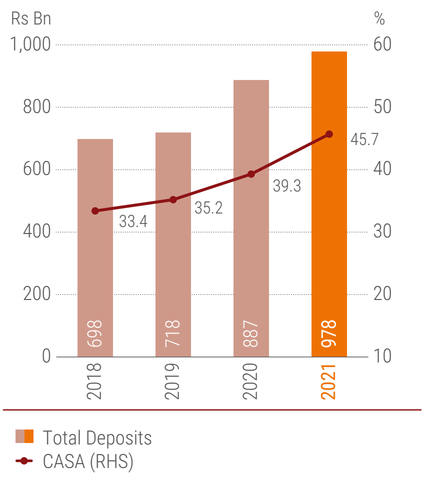
Sampath Bank's total assets reached almost Rs 1.2 Tn at the end of 31st December 2021, up from Rs 1.1 Tn at the end of the preceding year, an increase of Rs 90 Bn (8.1%). The growth recorded in loans and advances and the increase in government debt instruments denominated in local currency were the main contributors to the total asset growth reported above. Balances with the Central Bank of Sri Lanka (CBSL) increased by 131.5% due to the hike in the SRR from 2% to 4% with effect from Q3 2021.

Meanwhile, with the CBSL implementing various controls from time to time throughout the year to avoid excessive volatility in the foreign exchange market, the value of Sampath Bank's derivative financial instruments declined by 36% to Rs 1.4 Bn from Rs 2.2 Bn reported at the end of last year. Cash and cash equivalents also declined by 21.2% to Rs 22.9 Bn as at the end of reporting year from Rs 29.1 Bn reported on 31st December 2020. Likewise, placements with banks and reverse repurchase agreements as at 31st December 2021 too declined by 15.1% and 38.2% respectively from the end-December 2020.

Loan Growth

As in the previous year, weak economic conditions stemming from the pandemic, led to low demand for loans and advances throughout 2021. In the midst of these challenges, the Bank adopted a prudent approach towards granting new loans and reported a growth of Rs 54 Bn for the twelve months ended 31st December 2021, a 7.1% increase over the previous financial year.

Total Deposits & CASA



Liabilities

The Bank's deposit book reported Rs 978 Bn as at 31st December 2021 with a year-on-year growth of 10.3%, driven mainly by current and savings accounts (CASA). Sampath Bank's CASA ratio experienced a significant growth of 640 bps during the year to reach 45.7% at the end of the year. At the same time, low-interest rates experienced currently reduced the attractiveness of term deposits, leading to a 2.2% decline compared to the previous year. Overall, the total deposit portfolio of the Bank grew by Rs 91 Bn to reach Rs 978 Bn at the end of 31st December 2021 compared Rs 887 Bn reported at the end of 31st December 2020.

In April 2021, the Bank raised Rs 6 Bn worth of Tier II capital via a Basel III compliant, listed, rated, unsecured, subordinated, redeemable 7-year debentures with a non-viability conversion. In the meantime, the Bank also settled the debentures issued in 2016. The net increase in these two transactions resulted in a modest 0.7% increase in borrowings from debt security holders. The Bank also proceeded to settle certain foreign currency borrowings during the year.

Due to the increase in retirement age following the new regulation and the increase in discount rate in line with the increase in market rates, the Bank's liability on its pension fund reduced by Rs 4.3 Bn in 2021. Other retirement benefit liabilities too declined due to the change in assumption in line with market interest rates.

Equity

The Bank subdivided its ordinary shares in the proportion 01:03 in March 2021. As a result, the number of issued shares as at the reporting date increased to 1,144,373,955 from 381,457,985 reported on 31st December 2020.

Total equity of the Bank increased by Rs 11 Bn during the year to reach Rs 118.8 Bn at the end of 2021. Higher profit for the year 2021, gains arising from changes in actuarial valuation assumptions on retirement benefit plans and the fair value increase in the foreign investment, together contributed towards the growth in total equity.

Capital Ratios

Sampath Bank maintained all its capital ratios well above the regulatory requirements throughout 2021. As at 31st December 2021, the Bank's CET 1, Tier I and Total capital ratios were at 13.95%, 13.95% and 17.02% compared to 13.44%, 13.44% and 16.41% respectively at the end of 2020. The change in the total capital ratio during 2021 was due to the inclusion of the audited profit for 2021 in the capital calculation and the tier 2 capital infusion by way of the Debenture issue in April 2021. This increase was partly offset by an increase in total Risk-weighted Assets and dividend payout for 2020.

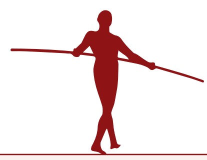
Group Performance

The Sampath Group consists of four fully owned subsidiaries; Sampath Centre Limited, SC Securities (Private) Limited, Siyapatha Finance PLC and Sampath Information Technology Solutions Limited. All four entities reported a resilient performance and posted solid financial results in 2021 notwithstanding pandemic related challenges, enabling the Sampath Group to post strong consolidated results for the year under review. The Group reported PBT of Rs 18.8 Bn and PAT of Rs 13.9 Bn for the FY 2021 compared to Rs 11.9 Bn and Rs 8.4 Bn respectively in the previous year. The total assets of the Group reached Rs 1.24 Tn at the end of the year compared to Rs 1.15 Tn recoded in 2020, showing a growth of 8.1%. Meanwhile, it is noteworthy to mention that the Group took proactive measures to manage the credit risk at each subsidiary level. Consequently, Siyapatha Finance PLC also made a sizable provision as an allowance for overlay against potential losses.

A brief overview of the performance of each Company is given under "Performance of Subsidiaries" on page 91 of this Annual Report.

Dividend

The Board of Directors has recommended a final cash dividend of Rs 4.25 per share for the financial year ended 31st December 2021 subject to the approval of the shareholders at the Annual General Meeting to be held on 30th March 2022. The Dividend Payout Ratio for the year ended 31st December 2021 stood over 39%.



GOALS FOR THE FUTURE

MEDIUM TERM

- Strategically diversify the lending approach to boost interest income.
- Aggressive drive to grow the savings portfolio.
- Implement Bank-wide cost saving initiatives on an ongoing basis.

LONG TERM

- Minimise the maturity mismatch between assets and liabilities.
- Maintain a higher retention rate in savings.
- Leverage on digital technology including RPA and machine learning tools to derive sustainable cost savings over time.

MANUFACTURED CAPITAL

STRATEGIC THEMES FOR 2021

COVID-19 RESPONSE | DIGITAL LEADERSHIP | PAPERLESS OPERATIONS | OPERATIONAL EXCELLENCE

GRI 102-6

Pioneered "Touchless Cash Withdrawals" for the first time in Sri Lanka and possibly the first time in the region

Touchless Cash Withdrawals facility was implemented across Sampath Bank's ATM Network to offer the 24/7-365 day contactless withdrawal facility from anywhere in the country.

Commissioned 5 Digital Centres comprising ATMs, CDMs (Cash Deposit Machines), VTMs (Virtual Teller Machines), and Cheque Deposit Kiosks equipped with the latest fully automated imaging technology to ensure that cheques deposited are processed for immediate clearing.

ACCOLADES

Sampath Bank becomes the only Sri Lankan Bank to receive an APICTA Award in 2021

Sampath Bank's path breaking "Touchless Cash Withdrawal" technology was recognised at the prestigious APICTA Award, under "General" category, where Sampath Bank beat out competitors from 16 countries.

Sampath Bank receives recognition at the FITIS Digital Excellence Awards 2021

Sampath Bank was awarded in two categories - Best Digitalised Customer Experience (Omni Channel Experience) for Sampath Vishwa and Wepay and the Corporate IT Award for overall excellence in creating "anytime anywhere digital customer interactions" and for going the extra mile to sustain new technology and operational capabilities over time.

Introduced Digital On-boarding on multiple platforms

Sampath Vishwa

Sampath Vishwa was upgraded as a complete online banking solution with extended digital experience and remote accounts opening facility.

VTM Network

Digital on-boarding was enabled in the VTM network through non-face to face KYC identification and validation.

www.sampath.lk

Remote Accounts Opening Process through the e-enrollment tab on www.sampath.lk.

Strengthening IT Infrastructure and backend support systems

- Upgraded to a high-speed storage platform
- Investment in Synergy blade server technology to increase the integration between the Bank's physical and digital systems
- Upgraded Debit Card switch
- Investment in Robotic Process Automation
- Investment in Data Science and Predictive Analysis tools

Impact on Other Capitals

Multiple banking channels increase the number of income generating sources to boost the Bank's revenue and profits

Reliability and high resilience of core systems ensure business continuity, in turn having a positive impact on the Bank's reputation and enhance brand equity

Wider choice of channels helps to gain the trust of among diverse customer segments

Sampath Bank and UCSC to develop Blockchain-based shared KYC platform as part of the CBSL's path breaking project set to transform country's financial services landscape and promote financial inclusion

In 2021, Sampath Bank made a quantum leap in qualifying its contribution to the local banking sector by joining hands with the Central Bank of Sri Lanka (CBSL) and the University of Colombo School of Computing (UCSC) to offer its expertise on Blockchain technology in order to develop a shared Know-Your-Customer (KYC) platform. The shared KYC project has been tagged the flagship initiative under the CBSL's 2020 theme "Year of Digital Transactions". This long-awaited initiative is set to promote financial inclusion in Sri Lanka by addressing the difficulties faced by banks and customers in the current KYC data gathering and verification process.

The use of Blockchain technology to share confidential KYC data is expected to significantly enhance the opportunities for businesses to access financial services while also making significant strides to improve digital financial inclusion.

The initial plan involved conducting a Proof of Concept (POC) project in order to evaluate the feasibility of the concept. The POC aims to demonstrate how such a solution would facilitate the sharing of KYC information within Sri Lanka's bank network in a secure and convenient manner by effectively leveraging the unique advantages of Blockchain technology.

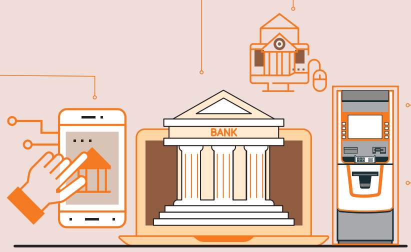
Greater focus on digital banking solutions will result in lowering the use of paper and thereby lessen the Bank's environmental impact

GOALS FOR THE FUTURE

	MEDIUM TERM	LONG TERM
BRANCH NETWORK	Drive the adoption of the digital branch concept among customers.	Leverage technology to simplify the requirement of brick-and-mortar branch model.
ATM/CRM NETWORK	Systematically upgrade ATM/CRM infrastructure on par with global standards.	Improve the functionality of the ATM/CRM.
AGENCY CHANNEL	Triple the island-wide MyBank agent footprint by end 2022.	Replace the existing POS terminal with new App-based solution.
DIGITAL CHANNELS	Dynamically improve the digital on-boarding process to ensure more efficient and convenient customer acquisition.	Increase customer migration towards digital channels by creating a digital payment ecosystem that significantly enhances the customers' overall digital experience.
IT INFRASTRUCTURE	Expand the current API (Application Programming Interface) banking platform to enhance the business.	Leverage on cloud platforms to provide better service.

229 Branches

206 MyBank Agents



5 Digital Banking Centres

455 ATMs

483 Cash Deposit Machines

Scan this QR code for a more comprehensive view of our Manufactured Capital -

Pages 42 to 48 of the "Stakeholder Report" published on Sampath Bank's website

INTELLECTUAL CAPITAL

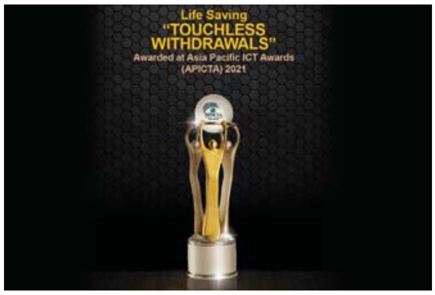
STRATEGIC THEMES FOR 2021

COVID-19 RESPONSE | COMPETITIVE POSITIONING | CUSTOMER EXPERIENCE | OPERATIONAL EXCELLENCE

BRAND ACCOLADES

Sri Lanka's "Best Retail Bank" and "Best Commercial Bank" for the 8th consecutive year (World Finance Banking Awards 2021)

Top 5 "Most Respected Entities in Sri Lanka" (a survey and publication commissioned and conceptualised by LMD and conducted by Nielsen)



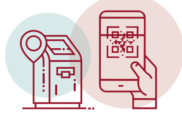
APICTA Award for "Touchless Cash Withdrawals" (Asia Pacific ICT Alliance Awards 2021) - Only Sri Lankan Bank to be recognised at the APICTA Awards 2021

Top 10 Best Corporate Citizens (Best Corporate Citizen Sustainability Awards 2021)

Brand Finance®

- The "Most Loved Banking Brand" (LMD Brands Annual 2021)
- Top 10 "Most Valuable Brands" (LMD Brands Annual 2021)

Brand Building Activities



Touchless Cash Withdrawals from ATMs

වැවට ජීවයක්

"Wewata Jeewayak" Tank Restoration Programme

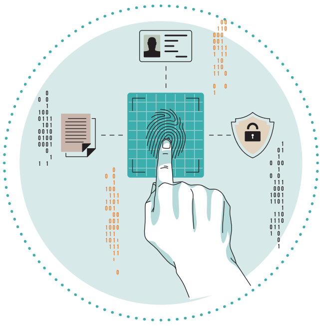
සම්පත් සවිය

"Sampath Saviya" Entrepreneurship Development Programme

Impact on Other Capitals

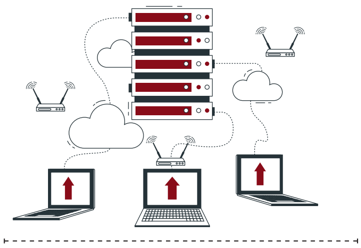
- Strong competitive positioning enables the Bank to consistently improve its financial performance
- Facilitates the provision of required system support to assist the performance efficacy of all delivery channels
- Builds trust among customers, business partners and the community

COMMUNITY STEWARDSHIP



Strengthening Information Security Architecture

- Introduction of routine internal Vulnerability Assessments
- Implementation of Code Review and Penetration Testing process for new technologies
- Roll out of an Incident Response Policy
- Commenced the implementation of Card Account Number (CAN) mechanism for Sampath Cards



BCP Controls

Setting up of alternative Disaster Recovery (DR) sites for all mission critical operations

Creates a solid foundation for employees to carry out their duties efficiently and effectively

GOALS FOR THE FUTURE

	MEDIUM TERM	LONG TERM
BRAND STRENGTH	Reinforce Sampath Bank's unique Brand identity as Sri Lanka's most digitally equipped commercial bank, while retaining its strong traditional values of the country.	To be positioned as a National bank by making the strongest impact towards improving the country's Economic, Social, Environmental indicators.
INFORMATION SECURITY	• Implementation of a Security Information and Event Management (SIEM) solution. • Invest in an EDR (Endpoint Detection and Response) solution.	• Implementation of ISO/IEC 27035. • Implementation of ISO/IEC 22301. • Implementation of ISO/IEC 20000.

Scan this QR code for a more comprehensive view of our Intellectual Capital -

Pages 49 to 51 of the "Stakeholder Report" published on Sampath Bank's website

HUMAN CAPITAL

STRATEGIC THEMES FOR 2021

COVID-19 RESPONSE

DRIVING A HIGH PERFORMANCE CULTURE

EMPLOYEE DIGITAL EXPERIENCE

CREATING A FUTURE-READY WORKFORCE

FURTHER STRENGTHENED THE BANK'S STATUS AS AN EMPLOYER OF CHOICE

Type of Employment

GRI 102-8

Type of Employment	2021			2020		
	Female	Male	Grand Total	Female	Male	Grand Total
Fixed Term Contract	49	33	82	41	22	63
Permanent	1,291	2,566	3,857	1,330	2,562	3,892
Probationers	21	10	31	9	9	18
Trainees	3	40	43	14	61	75
Grand Total	1,364	2,649	4,013	1,394	2,654	4,048

All categories indicated above are on full-time basis.

Average Training Hours

GRI 404-1

Description	2021	2020
Average Training Hours per Employee	38.2	42.7
Average Training Hours per Female	44.7	36.0
Average Training Hours per Male	34.8	46.3

Key Figures for 2021

10% Annual Salary Increment

1,044 Job Rotations

Over 300 team members recognised for their exemplary contribution towards business growth, core values and various other spheres

242 Staff Promotions

29 Extended the "Future Leaders" programme to cover 29 middle management level employees

Introduction of a new leave entitlement for specific purposes

Automation of routine HR processes to facilitate the redeployment of people towards more productive and rewarding roles

Investment in Training Rs 17.1 Mn

Investment in Professional Studies Rs 13.6 Mn

Investment in Training and Professional Studies Rs 30.7 Mn

Payments to Employees Rs 9,543 Mn

Total Learning Hours 153,282

Staff Retention Ratio 98.4%

Impact on Other Capitals

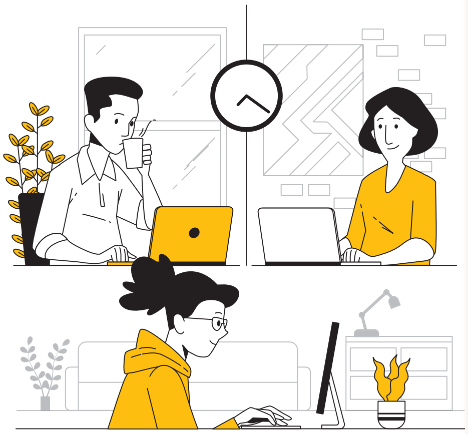
Performance driven culture supports the business strategy to achieve higher financial performance

Learning and development interventions help employees to become more productive through better use of resources

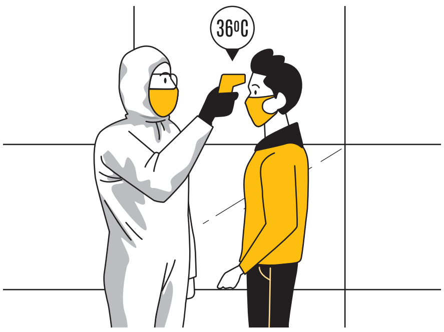
Empowered employees are better equipped to deliver the Bank's value proposition to its customers

OPERATIONAL EXCELLENCE

CUSTOMER EXPERIENCE



58 "virtual branch visits" were conducted by the HR team covering 25% of the branch network



Bank covered the cost of PCR testing, the cost of intermediary care including ambulatory charges and if required, critical care for COVID positive employees and their immediate family members

A highly talented and motivated team enhances the Bank's competitiveness and bring in the competitive edge

GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Expand the pool of internal specialist trainers in selected areas such as Operations, Credit and Recoveries in order to build a cohesive performance driven culture across the Bank.	Augment the Employee Value Proposition by enhancing the employee digital experience.

Scan this QR code for a more comprehensive view of our Human Capital -

Pages 52 to 60 of the "Stakeholder Report" published on Sampath Bank's website

SOCIAL AND RELATIONSHIP CAPITAL

STRATEGIC THEMES FOR 2021

COVID-19 RESPONSE | CUSTOMER EXPERIENCE | DIGITAL LEADERSHIP | COMMUNITY STEWARDSHIP | COMPETITIVE POSITIONING

Customer

New Offerings

Sampath Corporate Fuel Card and Sampath Visa Corporate Credit Card

Digital Banking Initiatives Introduced in 2021 in Response to the New Normal Environment

Digital On-boarding of new retail customers through;

- Sampath Vishwa (personal) online banking platform
- E-enrolment option on the corporate website and
- Sampath Bank VTMs between 8 am to 8 pm

New features enabled on the Sampath Vishwa (corporate) platform:

- CICT Payments, SLPA Vessel Payments, SLPA-Cargo Payments and SLPA-Entry Permit Payments
- Initiate LC application online

"RemitWise" self-care app for e-remittance customers:

- Trilingual format
- Remittance tracking
- Request money
- Partner location
- Loan request
- Chat option

New features enabled on the Sampath Vishwa (personal) platform:

- Quick Transfer option
- Stop Cheques instructions
- Direct Bill Payments/IRD Payments
- CICT Payments, SLPA-Cargo Payments and Entry Permit Payments
- Real Time Loan Settlements (full and partial)
- Recovery of Cash Margin loan charges
- Ability to order cheque books
- User reactivation of dormant accounts
- 30+ Credit Card related functionalities, including;
  - Bill payments via Credit cards
  - Change/update personal information such as mobile number
  - Credit Card Activation Request
  - Block/Unblock Credit cards

Launch of "Touchless Cash Withdrawals" across Sampath Bank's ATM network

Introduction of a dedicated chatbot on all social media platforms including Whatsapp, FB Messenger, Viber, to address routine customer queries

Conducted a customer experience study covering both retail customers and corporates

Extended moratorium and other relief schemes to assist individuals and businesses affected by the COVID-19 pandemic, especially customers in the passenger transport sector and the tourism industry

Community

GRI 203-1,2 /413-1

Community Initiatives

Programme
"Wewata Jeewayak" Tank Restoration Programme
"Sampath Saviya" Entrepreneurship Development Programme
"Hope for a Life" - Programmes to Uplift National Healthcare Standards
"Education for All" - Educational Support and Career Guidance Programmes
Other

Impact on Other Capitals

Enhancing the overall customer experience provides the opportunity for the Bank to grow revenue streams

Insights gained from customers help to prioritise the Bank's investments across physical and digital channels

Feedback from customers helps to build employee capacity by improving the relevance of training activities

OPERATIONAL EXCELLENCE

Number of Beneficiaries	Number of Volunteered Employees Engaged
4,372	102
2,263	148
12,670	207
1,188	557
500	8

Commenced 3 tanks restoration projects under the "Wewata Jeewayak" tank restoration programme (the Athawetunu Wewa in Anamaduwa, the Urewa Kuda Wewa and Feeder Canal in Padaviya and the Pubbiliya Wewa in Kobeigane) and also launched the 2nd phase of Kindagalla Wewa restoration project in Bibile

Conducted a series of webinars and workshops targeting the MSME sector and youth under the "Sampath Saviya" Entrepreneurship Development Programme

Building strong ties with customers and the community enhances Sampath Bank's brand reputation over peers

GOALS FOR THE FUTURE

	MEDIUM TERM	LONG TERM
CUSTOMER	Invest in creating unique solutions to enhance the customers' digital experience.	Diversify the product basket to drive more focused customer segmentation.
COMMUNITY	Deliver sustainable solutions for community grievances through the Socially Responsive CSR Model.	Aim to develop industry leading solutions to make a strong, impactful contribution to the United Nations Sustainable Development Goals.

Sampath Vishwa online banking platform upgraded during the year.

Scan this QR code for a more comprehensive view of our Social and Relationship Capital -

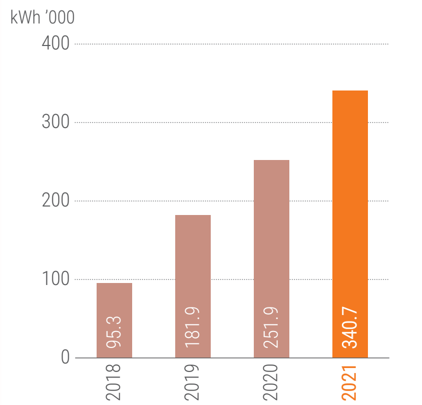
Pages 61 to 71 of the "Stakeholder Report" published on Sampath Bank's website

NATURAL CAPITAL

STRATEGIC THEMES FOR 2021

COMPETITIVE POSITIONING | DIGITAL LEADERSHIP | OPERATIONAL EXCELLENCE | PAPERLESS OPERATIONS

Savings through Solar Power Generated at Branches



"Gasai Mamai Pubudu Pothai" Tree Planting Programme launched in 2021 with the aim of inculcating environmental consciousness among school children.

Key Focus Areas:
- Energy Management
- Waste Management
- Water Management
- GHG Management
- Awareness and Training
- Strategic Partnerships

GRI 306-2

Waste Paper ◄ Savings From ► Digital Products

Paper Recycling	Slipless Banking and Cash Deposit Machines
871 Trees	639 Trees
Oil 89,875 Litres	Oil 65,978 Litres
Electricity 204,844 kWh	Electricity 150,376 kWh
Water 1,627,486 Litres	Water 1,194,738 Litres
Landfill 154 m³	Landfill 113 m³
Reduce GHG emission by 51,211 kg of carbon equivalent	Reduce GHG emission by 37,598 kg of carbon equivalent

Note: Figures confirmed by Neptune Papers (Pvt) Limited.

GRI 305-1,2,3,4,5,7

CARBON CONSCIOUS GHG — RR Environmental Service

Assessment Type	:	Organisational Greenhouse Gas Assessment
Applied Standards	:	ISO 14064 - 1:2018 Fifth assessment report (5AR) of IPCC,2006
The Greenhouse Gas Protocol	:	A Corporate Accounting and Reporting Standard (revised edition), WRI/WBCSD
Reporting Period	:	01.01.2021 - 31.12.2021
Base Year	:	2020

Scope	GHG Emissions (tCO_2e) in 2021			
	Total Emissions	CO_2	N_2O	CH_4
Direct GHG Emissions (Scope 1)	341	339	2	-
Indirect GHG Emissions (Scope 2)	5,391	5,391	-	-
Other Indirect GHG Emissions (Scope 3)	3,531	3,499	24	8
Total GHG Emissions	9,263	9,229	26	8
GHG Emission per Employee	2.3			

	2021	2020	Change
Total GHG Emissions (tCO_2e)	9,263	9,138	125

Note: Figures confirmed by RR Associates (Pvt) Limited.

Impact on Other Capitals

Higher market share in the green financing area will help to drive revenue and profit targets

Provides the opportunity to introduce innovative solutions to update/ replace traditional banking models

Environmental CSR

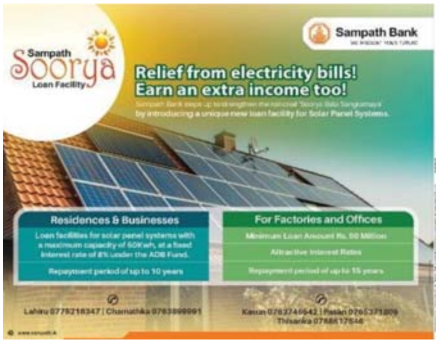
"Gasai Mamai Pubudu Pothai" Tree Planting Programme

Biodiversity Conservation Project

"Save a Plant for Colombo" Tree Planting Programme

Contribution to Wildlife and Nature Protection Society of Sri Lanka

Financing of Renewable Energy Projects in 2021			
Category	Number of Projects	Capacity (Mw)	Loan Value (Rs Mn)
Hydro	06	12.4	684.5
Solar	11	10.7	1,065.1
Wind	01	15.0	2,800.0



Rs 622 Mn Loans disbursed under green lending schemes

Prepared the annual Greenhouse Gas (GHG) emissions inventory report for the 8th consecutive year.

Enhances Sampath Bank's reputation as a bank that prioritises sustainable operations

GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Systematically expand the scope of the Bank's lending model to focus on growing the NCRE portfolio and also promote investment in rooftop solar generation at a residential level.	Pursue partnerships to create sustainable, industry leading solutions to issues such as climate change, waste, water, biodiversity and energy management.

Inaugural event of "Gasai Mamai Pubudu Pothai" at Nagala Sri Piyarathana Junior School, Bibile with the participation of Managing Director.

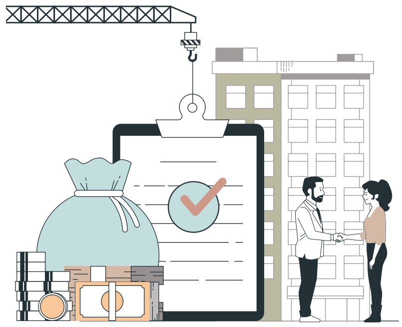
Scan this QR code for a more comprehensive view of our Natural Capital -

Pages 72 to 78 of the "Stakeholder Report" published on Sampath Bank's website

Consumer Banking

Sampath Bank offers a full gamut of mainstream consumer banking solutions from current and savings accounts, and term deposits to loans, leases and pawning facilities as well as credit and debit cards and bancassurance services to cater to the banking needs of individuals and small businesses across Sri Lanka.

Corporate Banking

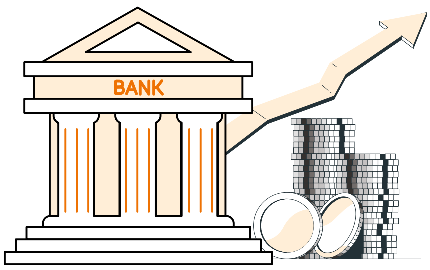


Sampath Bank delivers a range of bespoke corporate banking solutions such as project financing, special credit facilities, foreign currency facilities and advisory services to address the diverse needs of Sri Lanka's corporate sector.

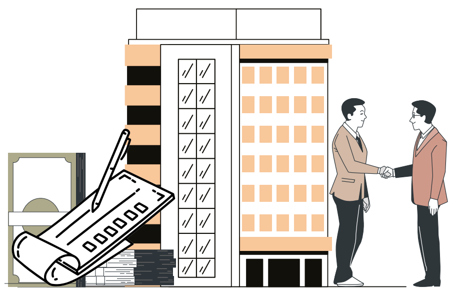
SME Banking

Sampath Bank presents tailor-made solutions to promote the advancement of the local SME sector, which in recent years has been declared the backbone of the national economy.

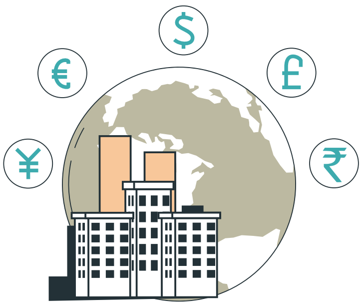
Treasury



Sampath Bank's Treasury is responsible for safeguarding the Bank's Rupee liquidity and managing the Net Open Position of the Bank and also offers a gamut of products and services in foreign exchange, money and fixed income markets to clients.



Global Banking



Sampath Bank plays a vital role in facilitating the foreign currency requirements of both corporates and individuals. Working closely with its partner network of global correspondent banks, Sampath Bank serves as a key facilitator to enable its corporate clientele to engage in International Trade. Also Sampath Bank's Bank Notes Operation contributes towards managing the demand for currency from the market, and the Remittance Operation is geared to increase the inflow of foreign currency to the country.

Operational Support

Operational Support provided by the Sampath Bank's Network Services Centre, the Central Cash Department and the Recoveries Department serve a vital purpose - they create an ecosystem to ensure the Bank's ability to maintain uninterrupted services to customers and also safeguard the continuity of business over time.

MANAGEMENT DISCUSSION AND ANALYSIS

Business Reports

CONSUMER BANKING

Deposit Base

Rs 978 Bn

2020 Rs 887 Bn

10.3 %

CASA

45.7%

2020 39.3%

640 bps

As part of a broader strategy to grow the share of corporate savings, a new Cash Management Solution was launched targeting Corporate and SME customers, catering to their specific requirements thereby attracting substantial CASA volumes in the process.

Deposits

Context and Strategy

Sampath Bank's deposit mobilisation activities continued at a moderate pace in 2021, for the second consecutive year. The Bank continued to adopt a more restrained approach towards mobilising new Rupee deposits, especially in the first half of the year when liquidity levels were high. Promotional activities were also largely curtailed with customer retention being deemed the main focus during this period.

Due to the narrow gap between term deposit and savings rates many customers were seen opting to hold their money in savings, which resulted in a sizable increase in the Bank's retail savings base. Despite all planned promotional campaigns for 2021 being cancelled owing to pandemic related challenges, steady improvements observed in the general savings and senior citizen savings categories. Meanwhile, as part of a broader strategy to grow the share of corporate savings, a new Cash Management Solution was launched targeting Corporate and SME customers catering to their specific requirements thereby attracting substantial CASA volumes in the process.

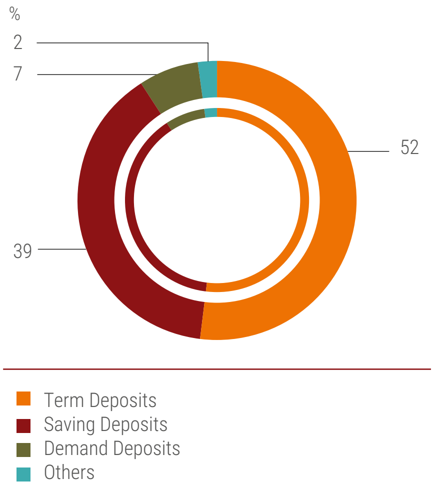
A culmination of these factors saw Sampath Bank's overall savings deposit portfolio growing by 30.0% in 2021 over the figure reported at the end of 2020. Backed by the steady improvement in savings, the Bank's CASA ratio improved significantly from 39.3% in 2020 to 45.7% in 2021.

With the upward revision in the Standing Deposit Facility Rate (SDFR) by 50 basis points in August 2021 creating a conducive environment for attracting term deposits, the Bank resumed its deposit taking activities in earnest in 3Q 2021. Accordingly, term deposit rate structures were revised on par with the 3-month trend in the treasury bill yield curve.

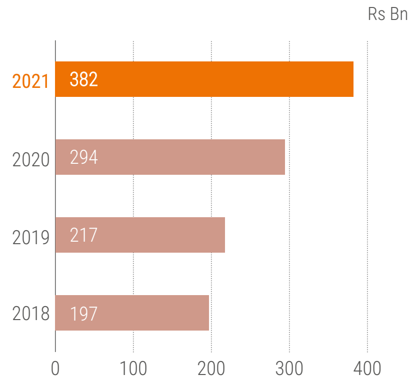
Sampath Bank's foreign currency deposit portfolio also reported good growth in 2021 as the Bank seized the opportunity to grow its foreign currency deposits book on the back of the CBSL's decision to extend the eligibility period for Special Deposit Accounts (SDA) for an additional 12 months until April 2022. Moreover, having identified the importance of raising foreign currency deposits, the Bank introduced focused strategies to attract foreign currency via Special Deposit Accounts including representation at the 'Invest Sri Lanka' Conference held in Dubai in November 2021. These efforts proved highly successful and paved the way for a 23.3% year-on-year growth in the Bank's foreign currency deposit portfolio compared to 2020.

Performance Outcomes

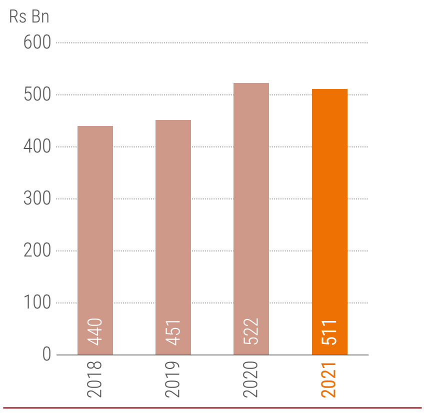
Deposit Mix



Saving Deposits



Term Deposits



GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Grow the foreign currency deposits portfolio.	Maintain a consistent improvement in the CASA ratio.

Loans and Advances

Context and Strategy

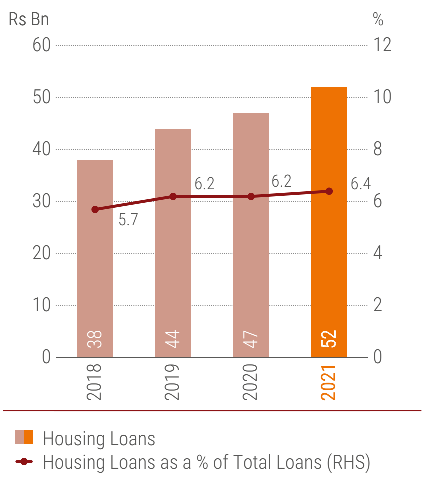
With the revival of general credit appetite on the back of the gradual resumption of the country's economic activity in the early part of 2021 providing a promising start to the year, Sampath Bank seized the opportunity to grow its loan book in the first six months of the current financial year. This was followed by a 2.5% loan growth for the remainder of the year.

Loan growth in the current financial year was driven primarily by housing loans and pawning advances, especially as the ongoing restriction on vehicle imports continues to dampen the demand for leasing. In contrast, the demand for housing loans gathered momentum in 2021. After receiving a significant boost following the announcement of a special low interest housing loan scheme for salaried employees under the Monetary Law Act Order No. 3 of 2020, the demand for housing loans continued to grow for the second successive year. The demand for pawning too gained further traction, as the World's gold prices remained high and interest rates stayed low for most of the current financial year. Amidst this backdrop, the Bank enhanced the pawning advance quanta on three separate instances during 2021. These factors coupled with the competitive pricing strategies adopted by the Bank in the face of the prevailing low interest rates, led to incremental growth in both the housing loan and pawning portfolios during the year. Efforts by the Bank to take advantage of the low interest rate regime to promote Sampath Samachara Pensioners' loans against the monthly pension payments, also proved to be another successful strategy in driving the loan growth for 2021.

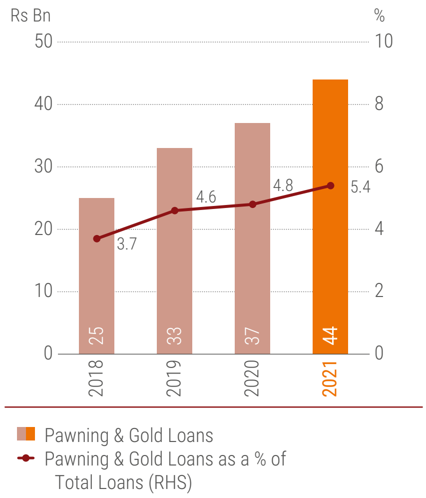
Consequently, on an overall basis, Sampath Bank's loans and advances portfolio grew by 7.1% year on year. However, no significant changes observed in the portfolio mix for 2021 compared to the previous year.

Performance Outcomes

Housing Loans



Pawning & Gold Loans



GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Focus on the mainstream market as the key growth driver.	Diversify the product basket to target niche market segments.

CONSUMER BANKING

Cards

Context and Strategy

The pandemic environment had a dual impact on Sampath Bank's Cards business. On the one hand, with the prolonged impact of COVID-19 continuing to hinder the prospects of the tourism industry, overseas card usage in Sri Lanka was severely limited in 2021. However, any deficit in this regard was largely outweighed by the unprecedented domestic demand for cards. The appetite for Cards in the local market reached an all-time high this year, fuelled by the demand for cashless payment solutions amidst frequent lockdowns and other pandemic related restrictions. The exponential growth in e-commerce was also largely responsible for the heightened card activity in 2021.

Moving quickly to capitalise on potential opportunities, Sampath Bank's programme of special offers was expanded to cover a wider island-wide merchant network. A majority of these retail offers were often coupled with 0% instalment plans. At the same time, the Bank pursued a number of exclusive tie-ups with large e-commerce merchants. The Bank partnered with leading online merchants such as Daraz.lk, BuyAbans, Keells Online and PickMe to focus on driving online sales of electronics, grocery delivery, utilities and clothing. This was done with a view to cementing Sampath Bank's position as a key enabler of e-commerce in Sri Lanka. These efforts were accompanied by more frequent customer reviews to enable proactive limit enhancements for longstanding and credible customers. The fact that the retail transaction volumes for 2021 exceeded pre-COVID debit and credit card volumes, clearly testifies to the success of these multi-pronged approaches.

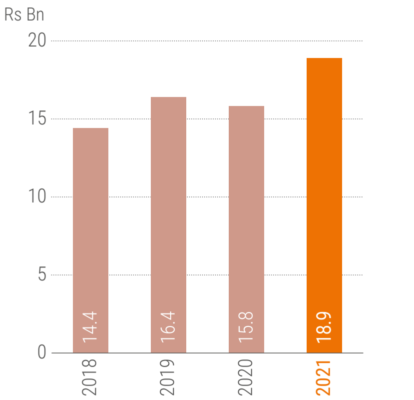
Cognisant of the uncertainty stemming from the pandemic, cross selling among the Bank's existing customer base was perceived as the most prudent strategy for new customer acquisition in 2021. To complement this approach, online registration was introduced through Sampath Vishwa as well as the Sampath Bank corporate website. These strategies produced excellent results leading to strong organic growth in the retail card customer base.

In a bid to secure a larger share of the corporate card market, the Bank launched two new products in partnership with Visa International. The first product - the Sampath Visa Corporate Credit Card is a versatile tool to enable corporates to easily manage business related expenses, while the second product - the Sampath Visa Corporate Fuel Card is specially designed for effective management of fuel related transactions.

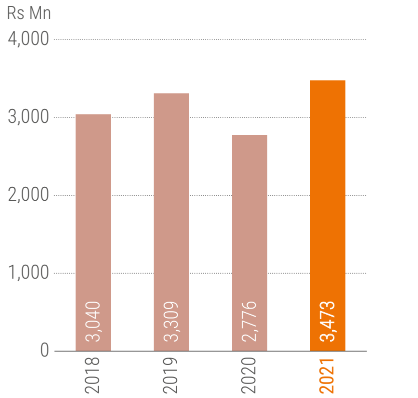
Meanwhile, given the rapid growth in volumes, several important steps were taken to further strengthen backend support and security systems. Both the VRM (Visa Risk Monitoring) system for Visa cards and EMS (Expert Monitoring System) for Mastercard cards were implemented in 2021 in line with the latest global fraud prevention standards. In the latter part of 2021, the Bank also undertook the next phase of the PCI DSS roll out which involves implementing the CAN (Cardholder Account Number) software for enhanced security of cardholder data.

Performance Outcomes

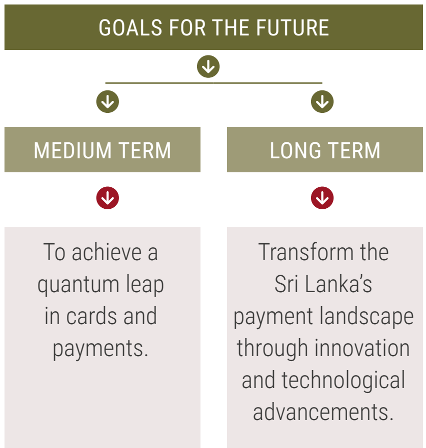
Credit Card Advance Portfolio



Cards Related Commission Income



Award from Daraz for being the #1 brand driving on-site transaction volumes for the 2nd consecutive year.



"In a bid to secure a larger share of the corporate card market, the Bank launched two new products in partnership with Visa International. The first product - the Sampath Visa Corporate Credit Card is a versatile tool to enable corporates to easily manage business related expenses, while the second product - the Sampath Visa Corporate Fuel Card is specially designed for effective management of fuel related transactions."

Bancassurance

The Bancassurance operation maintained a healthy performance for the current financial year, backed by pre-emptive measures to navigate around pandemic related challenges.

With the ongoing restriction on vehicle imports having a telling effect on the main revenue stream of the Bancassurance business, broad based action to tap into alternative revenue sources ensured a consistent flow of business throughout the year.

Furthermore, seeing how the limited vehicle market was having a knock-on effect on increasing the early settlement ratio, the Bank acted swiftly to safeguard the existing portfolio. Multiple customer retention strategies were deployed in this regard. Ties with insurance partners were further strengthened, while the overall partner network was further expanded to enhance the versatility of the Bancassurance value proposition offered to the customer. This was coupled with a series of service augmentation initiatives to minimise the impact to customers due to pandemic related constraints. One of the most notable initiatives is the special insurance loan scheme extended to existing customers. The scheme is offered at a concessionary rate to allow customers to stagger their insurance premium payment to match their cash flow movements over a maximum period of 11 months. The scheme, which was launched in September 2021, had proven to be tremendously popular leading to a sizable portion of the customer base to make use of the facility.

These collective efforts enabled the Bank to maintain an average renewal rate of 95%+ in 2021. Despite stiff competitive pressure, this is a considerable achievement which ensured that Sampath Bank's overall Bancassurance portfolio remained intact with only a marginal decline compared to the figure reported in the previous financial year.

CORPORATE BANKING

Loan Portfolio - Corporate Credit

Rs 224 Bn

2020 Rs 216 Bn

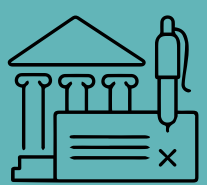
3.6%

Loan Portfolio - Corporate Finance

Rs 89 Bn

2020 Rs 81 Bn

10.2%



The Vishwa payment facilitation framework was further expanded to enable CICT (Colombo International Container Terminal) Payments, SLPA (Sri Lanka Ports Authority) Vessel Payments, SLPA Cargo Payments, and SLPA Entry Permit Payments. With these new additions, Sampath Vishwa becomes the first online banking platform in Sri Lanka to be able to support all trade related payments.

Corporate Credit

Context and Strategy

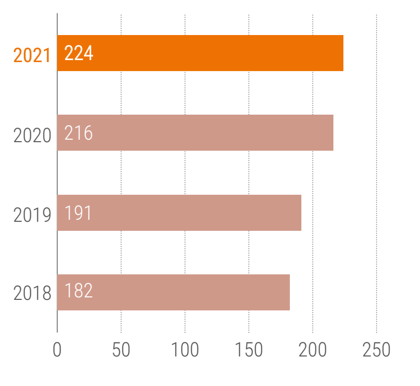
As the pandemic continued to unfold throughout 2021 for the second consecutive year with different sectors affected in various ways, Sampath Bank remained firm in its resolution to help customers to navigate through pandemic related challenges. To assist customers in stressed industries, the Bank continued to offer rescheduling and restructuring plans, while also ensuring that all eligible customers were granted the latest extension of the CBSL's debt moratorium scheme. In light of the fluidity with which the pandemic was progressing and the rapidly changing regulatory frameworks, communications with customers were also further strengthened with a view to understand and respond to their precise needs.

Meanwhile, seeing that the prevailing conditions were creating opportunities for several industries such as trading, FMCG, agriculture exports and healthcare, the Bank leveraged on its superior digital capabilities and highly customer centric approach to develop bespoke solutions in response to specific customer needs. The Sampath Vishwa corporate platform was used as a key enabler to drive customer conversion to digital channels. Additionally, the platform itself was further enhanced in 2021 with some important value additions being incorporated, most notable among them is the introduction of the DIY (Do It Yourself) tab to allow the LC opening process to be initiated by the customer. The Vishwa payment facilitation framework was further expanded to enable CICT (Colombo International Container Terminal) Payments, SLPA (Sri Lanka Ports Authority) Vessel Payments, SLPA Cargo Payments, and SLPA Entry Permit Payments. With these new additions, Sampath Vishwa becomes the first online banking platform in Sri Lanka to be able to support all trade related payments. The Bank also continued to promote IPG integration to assist clients keen to venture into the e-commerce space.

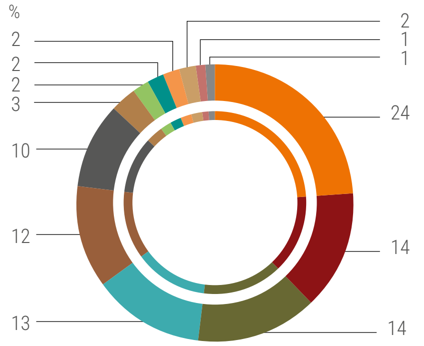
Another significant milestone for 2021 was the launch of cash management solutions to provide corporate clients with a fully-fledged digital solution that undertakes their routine payments and manages their cash reserves at optimum levels.

Performance Outcomes

Loan Portfolio - Corporate Credit



Sector-wise Loan Portfolio - Corporate Credit



- Traders
- Manufacturing
- Financial Services
- Tourism
- Construction
- Agriculture
- Health Care
- Professional, Scientific & Technical Activities
- Infrastructure Development
- Consumption
- Transportation & Storage
- IT & Communication Services
- Others

GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Provide dedicated support to aid in the post-pandemic recovery of all key sectors.	Increase the digital integration to facilitate the creation of customised solutions to satisfy the specific needs of various corporate clients.

"Marking an important landmark in its support to the renewable energy sector, the Bank structured and invested in what is thought to be the first-ever bond issued by a listed company in Sri Lanka's Power and Energy sector."

Corporate Finance

Context and Strategy

On an overall basis, the year 2021 saw Sampath Bank's Corporate Finance loan and investment book record a significant improvement compared to the previous year. Although demand for credit from key sectors remained largely muted in the first half of the year following the resurgence of the pandemic, persistent efforts to grow captive market share in key stronghold markets helped the Bank to expand its project finance portfolio in 2021. In this regard, the Bank's industry-leading digital suite remained the key catalyst in expanding the bandwidth of financial services, while Sampath Bank's long standing reputation as the premier financial specialist for the renewable energy sector was instrumental in deepening the penetration into that sector as well in 2021.

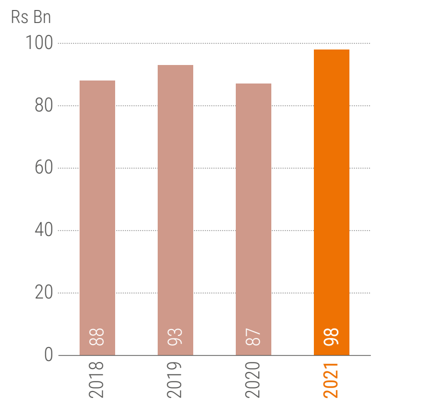
These efforts coupled with the low interest rate regime during the first half of the year enabled the Bank to register a 12.6% increase in its Corporate Finance loan and investment book compared to 2020. The local financial services sector and the renewable energy sector remained the main growth drivers, collectively registering a net growth of 28% in the year under review.

Marking an important landmark in its support to the renewable energy sector, the Bank structured and invested in what is thought to be the first-ever bond issued by a listed company in Sri Lanka's Power and Energy sector. The instrument designed to raise Rs 750 Mn in capital was tailor-made by Sampath Bank's Corporate Finance Department to suit the unique characteristics and financing needs of LVL Energy Fund PLC. The Bank also proceeded to further refine its strategic approaches and strengthen its capacity, in anticipation of a dramatic expansion in the country's renewable energy sector in the coming years on the back of the government led "Soorya Bala Sangramaya (Battle for Solar Energy)" initiative aimed at encouraging SMEs to enter the renewable energy milieu.

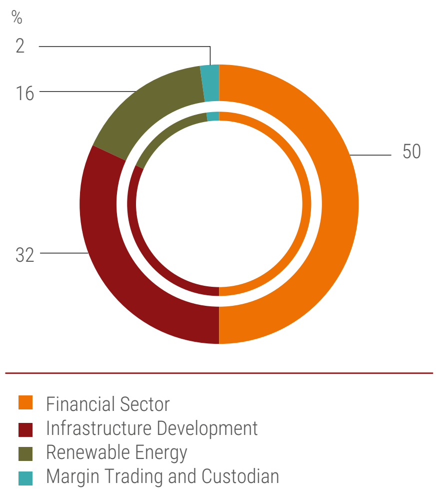
The Bank's Margin Trading and Custodian Services operations too performed exceedingly well in 2021. With Group synergies through SC Securities (Pvt) Ltd continuing to aid in harnessing the revival in trading activity at the Colombo Stock Exchange, the Bank's Margin Trading volumes recorded more than a ten-fold increase compared to the previous year. Leveraging on the rapid acceleration in stock market activity, the Bank expanded its offerings and also supported the capital market operation with the underwriting of the Sarvodaya Development Finance IPO (Initial Public Offering) with NDB Bank as a co-underwriter. Sampath Bank also acted as 'Bankers to the Issue' for several other IPOs and Debenture Issues and investors that took place in 2021, thus giving the issuers convenience of the digitalised services in these transactions.

Performance Outcomes

Loan & Investment Portfolio - Corporate Finance



Sector-wise Loan & Investment Portfolio - Corporate Finance



CORPORATE BANKING

GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Grow the project financing book through market development and product development strategies targeting renewable energy and financial services sectors.	Strengthen advisory services model to offer end to end solutions to enable clients to benefit from capital markets.

"With the resurgence in export demand in mid-2021 reigniting the prospects of the apparel and rubber manufacturing industries, the Bank seized the opportunity to cater to the working capital and CAPEX requirements of these industries. In addition, special tailor made pre-shipment financing solutions were offered to export sector clients to enable them to finance their local overheads."

Foreign Currency Banking Unit

Context and Strategy

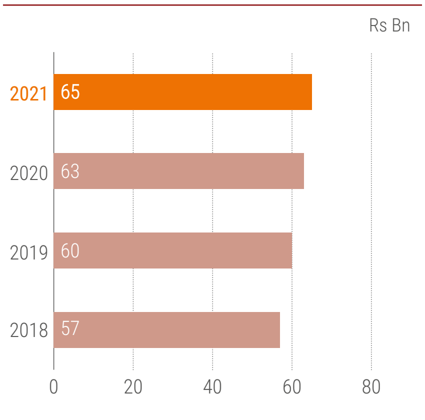
As was the case in 2020, Sampath Bank's Foreign Currency Banking Unit (FCBU) maintained its prudent lending approach in the face of pandemic related challenges that continued to affect a fair amount of export sector industries. Focusing instead on supporting existing customers to sustain their operations through the difficult times, the Bank extended its advisory services to help them to manage their cash flows to ensure business continuity and meet their debt servicing commitments. This approach was largely responsible for safeguarding the asset quality of the Bank's FCBU loan portfolio.

Notably however, with the resurgence in export demand in mid-2021, reigniting the prospects of the apparel and rubber manufacturing industries, the Bank seized the opportunity to cater to the working capital and CAPEX requirements of these industries. In addition, special tailor made pre-shipment financing solutions were offered to export sector clients to enable them to finance their local overheads. These were combined with digital solutions such as the Bulk Authorisation Facility to allow clients to authorise Telegraphic Transfer (TT) requests digitally through Sampath Vishwa. The cash management solutions to assist clients in managing their day-to-day transactions also had a notable impact in enhancing the average transactional volumes routed through the Bank.

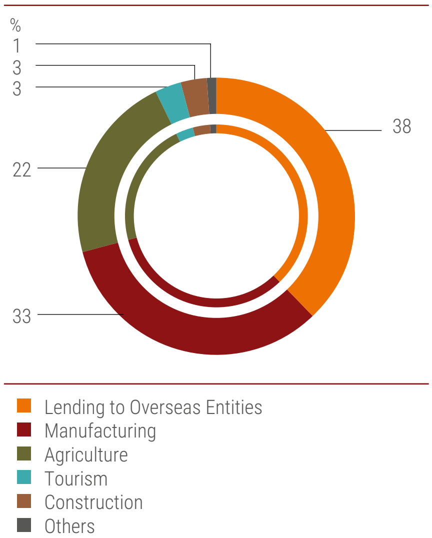
Off-shore lending activities were largely curtailed owing to pandemic related uncertainties affecting global trade and investments.

Performance Outcomes

Loan Portfolio - FCBU



Sector-wise Loan Portfolio - FCBU



GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Offer customised solutions to grow captive market share in the manufacturing export sector.	Pursue low risk funding opportunities to grow the off-shore lending portfolio.

SME BANKING

Context and Strategy

With the broad-based revival of economic activity in early 2021 providing a strong start to the year, Sampath Bank stepped up its efforts to grow the SME lending book. Driven by the low interest rate environment and the Bank's overall liquidity surplus, lending activities for 2021 predominantly focused on supporting the post-COVID recovery of the SME sector.

Responding to the heightened demand for working capital from SMEs keen to restart their operations after the COVID induced hiatus, the Bank targeted high potential sectors under Sampath "Diriya", its flagship product for SMEs. Another notable development was the conscious endeavour to penetrate emerging market segments within the SME sector, a strategy that saw the Bank breaking into new sectors such as E-commerce and IT.

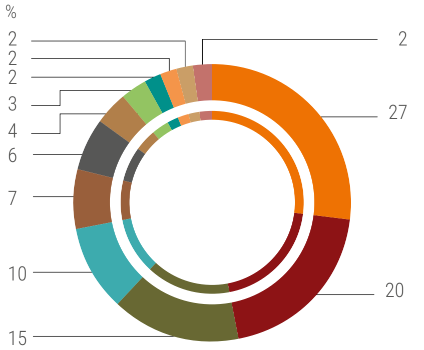
On the other hand, the prudent lending approach adopted in 2020 was maintained in 2021 as well, in order to control new exposures to risk elevated industries that remained under pressure owing to the prolonged impact of the pandemic.

Meanwhile, ongoing efforts to restructure and reschedule facilities to support existing customers in risk elevated industries continued throughout the year. As part of this approach, eligible SME customers of the Bank were granted the extensions of the CBSL's debt moratorium offered to COVID-19 affected businesses.

> "Responding to the heightened demand for working capital from SMEs keen to restart their operations after the COVID induced hiatus, the Bank targeted high potential sectors under Sampath "Diriya", its flagship product for SMEs."

Performance Outcomes

Sector-wise SME Loan Portfolio



- Traders
- Manufacturing
- Construction
- Tourism
- Agriculture
- Consumption
- Infrastructure Development
- Others
- Transportation
- IT & Communication Services
- Financial Services
- Health Care

GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Capitalise on emerging opportunities through targeted solutions that provide first-mover advantage.	Seek out value adding partnerships to augment the SME value proposition.

GLOBAL BANKING

Import Turnover

Rs 345 Bn

2020 Rs 222 Bn

55.8%

Export Turnover

Rs 213 Bn

2020 Rs 173 Bn

23.5%

To expedite processing amidst the volume expansion, the Bank's LC application procedure was digitalised to allow customers to complete initial documentation requirements through the Sampath Vishwa Corporate platform.

International Trade

Context and Strategy

Leaving behind the uncertainties of the previous financial year, Sampath Bank's international trade business made good headway in 2021 marked by strong volume growth in both import and export segments. Advisory services to assist customers to navigate the current economic context coupled with timely strategies to explore potential market opportunities yielded good results, leading to an all-round improvement in the performance of the Bank's International Trade Services Department.

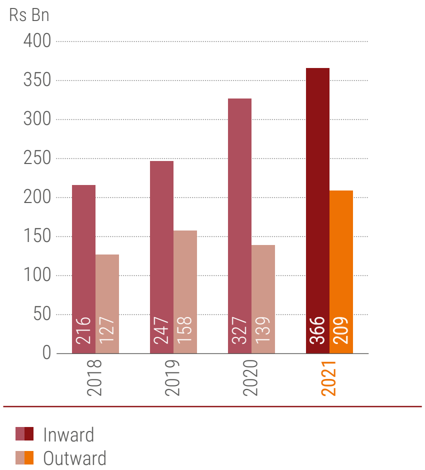
Sampath Bank's total import turnover (Letters of Credit + Collections + Telegraphic Transfers) for 2021 increased by 55.8% in comparison to 2020, driven by a robust growth in the first half of the year. Imports to the country which had been largely suppressed in the previous year due to pandemic related challenges received a significant boost following the government's decision to relax exchange control regulations in June 2021, prompting the Bank to take aggressive action to capture a large share of the import turnover market. The ability to prudently manage the Bank's foreign currency position, also proved to be a strong competitive advantage which paved the way for Sampath Bank to expand its captive market share in the import segment.

Although growing at a slower pace than imports, Sampath Bank's export turnover volumes increased by 23.5% in 2021 over the figure reported in the previous financial year, on the back of the measured yet deliberate recovery of export markets. The Rupee depreciation in 2021 which made Sri Lankan exports more competitive in the global context, also had a positive impact on driving overall export volumes.

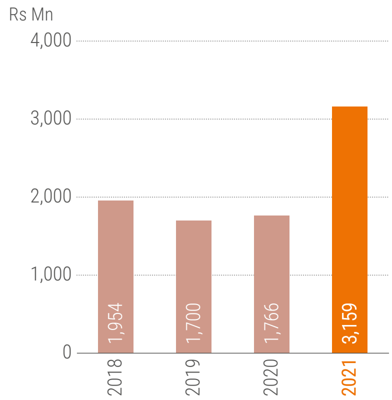
To expedite processing amidst this volume expansion, the Bank's LC application procedure was digitalised to allow customers to complete initial documentation requirements through the Sampath Vishwa Corporate platform.

Performance Outcomes

Inward & Outward TT Volumes



Trade Related Commission Income



GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Capitalise on the post-pandemic economic revival to drive export volumes.	Combine market development and product innovation strategies to grow captive market share in both export and import segments.

Bank Notes Operation

Context and Strategy

As pandemic induced stress on the tourism sector continued to affect the foreign currency circulation within the country for the second year running, access to currency notes remained a major challenge for all banks, including Sampath Bank's Bank Notes Operation (BNO). The BNO experienced a notable decline in currency inflows from all its key channels - Money Changers, the Katunayake Pay Office (KPO) and the Branch network.

Demand as a whole too was somewhat restricted in 2021. Nevertheless, the BNO, having anticipated certain peak demand periods, took early action to source foreign currency from alternative channels. Timely action of this nature proved to be invaluable as it not only gave the Bank a significant competitive edge during these times but also helped in positioning Sampath Bank as the country's #1 foreign currency repatriator in 2021.

Cost control and management remained a key priority in 2021 as well, with the aggressive cost containment measures initiated at the onset of the pandemic in 2020 being reviewed and further strengthened in 2021. Digitalisation and process automation continued to be a big part of the BNO's approach to cost management.

Remittance

Context and Strategy

Sampath Bank's Remittance operation continued as per usual even amidst the pandemic related lockdowns, enabling beneficiaries to receive remittances without any interruption.

In terms of Remittance volumes, the increase in worker remittances to the country during the first few months of 2021, created a highly conducive environment for growth in the first half of the current financial year. The increase in inward remittances is thought to be primarily the result of the mainstream acceptance of digital solutions as a cost effective alternative to remit money during the pandemic. Sri Lanka's accommodative regulatory regime towards inward remittances also provided some impetus towards driving volumes. In particular, the 2021 budget proposal to offer Rs 2/- per US Dollar above the normal exchange rate as an incentive for worker remittances received through formal channels had a positive impact in driving up 1Q volumes. Amidst this backdrop, Sri Lanka recorded remittance inflows of USD 1.86 Bn in 1Q2021 as against USD 1.60 Bn in the corresponding period for 2020, reflecting a 16.25% growth.

In a bid to take advantage of this conducive environment, the Bank further strengthened its presence in all base markets globally and also continued expanding its network of ground partners to secure entry into new geographies. Tie ups with Fin-techs too were pursued in an effort to increase the Bank's global reach. These efforts were coupled with a series of aggressive social media campaigns to reinforce the Bank's value proposition. Moreover, to capture a larger share of the digital market, focused strategies were adopted. The RemitWise self-care app, a first of its kind was launched in the 3Q of 2021 for the benefit of senders and receivers. Designed to support the National initiative to encourage more inward remittances to be routed through formal channels, the RemitWise App offers a range of features and is available in all three languages.

The App is accessible to both iOS and Android users and can be used by senders and beneficiaries regardless of whether they are Sampath Bank customers or not.

The innovative strategies adopted helped Sampath Bank to improve the market share of inward remittances for the remainder of 2021 compared to 2020, despite the country as a whole experiencing a volume drop in inward remittances from mid-2021 as a result of exchange rate volatility and other factors. Overall, the Bank has performed well in 2021 with respect of inward remittances.

GOALS FOR THE FUTURE

MEDIUM TERM	LONG TERM
Differentiate Sampath Bank's Remittance value proposition by combining customised financial solutions together with the widespread use of digital mediums.	Grow captive market share by penetrating into untapped regional markets.

RemitWise

RemitWise Self-care App

QR code to download RemitWise Self-care App

NOSTRO ACCOUNTS, CORRESPONDENT BANKS AND EXCHANGE COMPANIES

GRI 102-4

36 Nostro Accounts

629 Correspondent Banks

121 Exchange Companies

Scan this QR code for a more comprehensive view of our Nostro Accounts, Correspondent Banks and Exchange Companies

www.sampath.lk

TREASURY

Context and Strategy

Amidst passive trading activity in the secondary market for government securities due to the controlled interest rate regime, the Treasury's focus in the first half of the year was centred primarily on cash flow management. The second half of the year presented some challenges due to the combined effect of the upward rate revision and the increase in SRR by 2%. These moves led to a spike in interest rates where a 0.5% hike in the policy rates saw the 91-day treasury bill rates increasing by more than 3% from August 2021 onwards. Although the rates eased off in November and December, the volatility remained, prompting the Treasury to review the earlier decision to diversify the government securities investment portfolio and instead focus more on the shorter tenor options based on the 3 - 6 month yield curve expectations.

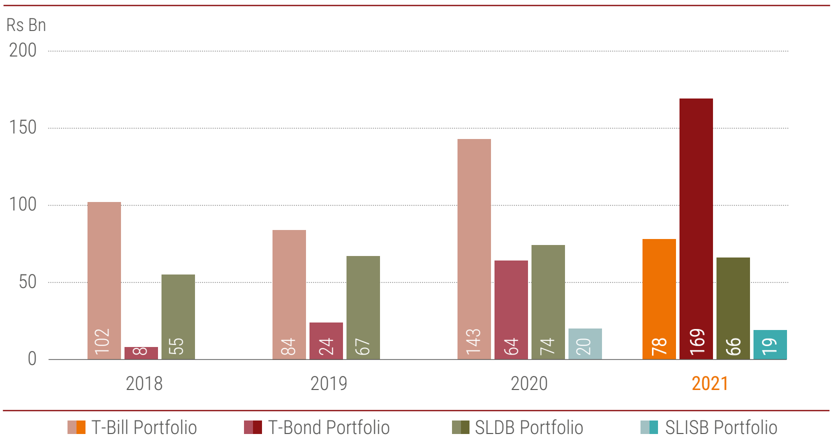
On the foreign exchange liquidity front, the main priority for the Treasury was to manage the Bank's NOP (Net Open Position), especially with the shortage in foreign exchange in the market, to facilitate the import based transactions. For Sampath Bank, the consistent growth in its export related trade services business ensured the Bank's foreign currency liquidity position remained strong throughout 2021. Moreover, pre-emptive action to procure foreign currency also held Sampath Bank in good stead, helping the Bank to step in to meet the demand even after the CBSL's September 2021 decision to impose a ceiling on the LKR spot trading rate which affected the inflows to the market.

Meanwhile, on the back of the high demand for bank notes as well as some exchange rate volatility in the final few months of 2021, the Bank Notes Operation recorded better margins in the current financial year, despite recording a sizable drop in average annual volumes.

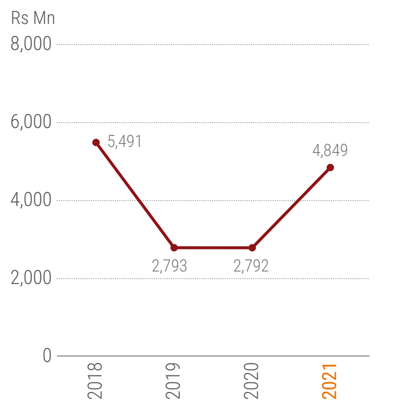
Performance Outcomes

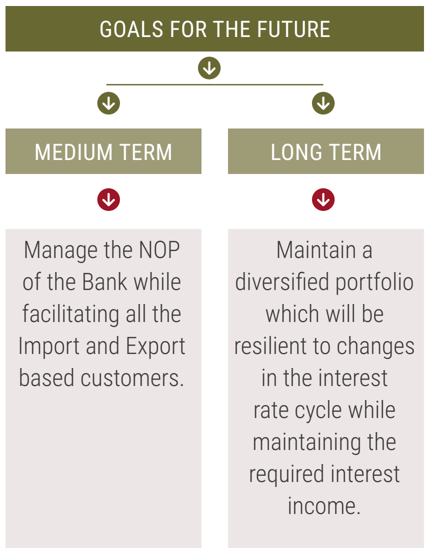
The Fixed Income securities portfolio registered a stable performance, in turn adding a boost to the Bank's NIM, while the government securities portfolio recorded a satisfactory level of capital gains in 2021, albeit lower than what was registered in 2020.

Government Securities Portfolio



Exchange Income





OPERATIONAL SUPPORT

"In addition to the CBSL moratorium schemes, the Bank also took its own steps to restructure and reschedule the portfolios of customers who continued to be affected by negative headwinds caused by the COVID-19 economic impact."

Network Services Centre

As the central unit in charge of managing key back-office functions of the Bank, the Network Services Centre (NSC) plays a vital role in supporting the continuity of the day-to-day Bank operations. In 2021, the NSC was called upon to take necessary steps to minimise disruptions and ensure smooth operations amidst the COVID-19 pandemic environment.

Faced with frequent travel restrictions and other pandemic related issues in 2021, the NSC adopted a decentralised approach to deploy teams across various sites in order to ensure their safety. Teams were rostered, where some were asked to report to their respective workstations, others to selected branches and yet others to work from home. A designated NSC team was also appointed to work at the Bank's DR (Disaster Recovery) site. In order to support the decentralised work environment, transport was arranged for all team members reporting to work while system connectivity and other necessary resources were provided to staff working from home.

In tandem with the expansion of the Bank's digital interfaces amidst the pandemic, the NSC was also entrusted with a number of additional responsibilities in 2021, including functional oversight for facilitating back-office activities of digital branches and handling of MyBank agent payments. Moreover, the number of routine products related reconciliations handled by the NSC also increased.

Given the additional workload, process automation continued to be adopted to streamline the NSC's workflows. The regulatory reporting framework was automated to ensure timely submission of regulatory Returns. The Common Electronic Fund Transfer (CEFT) reconciliation process was also automated to improve accuracy and speed up the reversal of failed transactions, while a series of system modifications were done to automate the data retrieval of inward and outward CEFT transactions to prevent a backlog from building up and slowing down CEFT reconciliation process. Further automation is planned in the coming year, to allow the NSC to take on a bigger role in terms of offering operational support for the Bank's digital journey.

Central Cash Department

Sampath Bank's Central Cash Department (CCD) is the main support arm responsible in overseeing the management of the Bank's daily cash position and also for ensuring the integrity of the Bank's ATM network.

Working to overcome the challenges arising as a result of the pandemic environment in 2021, the CCD proceeded to activate its BCP protocols leading to the creation of split team operations. Accordingly, for much of the year, a senior team was assigned to report to a Bank's DR site, while other team members were directed to work from respective branches closest to their residence. Cash management and forecasting however continued to be managed centrally with limited staff. Amid this backdrop, an automated file transfer system was implemented to eliminate the need for manual data entry in the internal cash movement process.

Meanwhile, seeing as many of its cash loading partners too were affected by the pandemic related challenges, the CCD continued to work closely with these service providers to ensure smooth operations across the Bank's ATM network. On this basis, the Bank was able to maintain ATM network uptime at an average of 95% throughout the year, even during lockdown periods.

Recoveries

The impacts of the April 2019 Easter Sunday terrorist attacks followed by the COVID-19 pandemic in 2020, have prolonged the stress on many key sectors of the economy. Amidst this backdrop, Sampath Bank's Recoveries Department adopted a "Preventive and Reduction approach" to manage infected and non-performing assets.

Multi-pronged action combined with stringent governance, effective and proactive follow up recovery actions helped to manage the existing infected and non-performing asset portfolios. Continuous monitoring of the two-month arrears portfolio and considering probable non-performing customer categories as infected portfolios, helped the Bank to provide sustainable solutions to match the cash flow requirements of the customers.

The higher degree of technological integration to improve monitoring and follow up activities, along with predictive analysis tools to identify early warning signals, also played an important role in managing infected portfolios. As a result, the Bank was able to record a sizable 12.3% reduction in its two months arrears portfolio in 2021, compared to the previous year.

The Bank fully supported and complied with the CBSL initiatives on various moratorium schemes and allowed all eligible customers to benefit from such schemes. In addition to the CBSL moratorium schemes, the Bank also took its own steps to restructure and reschedule the portfolios of customers who continued to be affected by negative headwinds caused by the COVID-19 economic impact.

PERFORMANCE OF SUBSIDIARIES

GRI 102-45

Sampath Centre Limited

Sampath Centre Limited was established in 1996 as the first subsidiary of the Bank. The Company owns and manages the building at No. 110, Sir James Peiris Mawatha, Colombo 02, which houses the Bank's head office. At present, Sampath Bank occupies entire building except 7th, 9th and 10th floors which are still under construction/renovation. Rental income earned by leasing out the building space is the main source of income for Sampath Centre Limited.

The Company made a pre-tax profit of Rs 520 Mn for the year 2021 compared to Rs 227 Mn in 2020, a YoY increase of 129%. This increase is mainly attributed to the fair value gain of Rs 246 Mn and additional rent income of Rs 119 Mn compared to the previous year. The Company registered a post-tax profit of Rs 509 Mn in 2021, a massive 140% increase from the profit of Rs 212 Mn recorded in the previous year. The total asset base of the Company also grew by 9% from Rs 7.2 Bn to Rs 7.9 Bn as at the reporting date.

The main asset of the Company is the building situated in Colombo 02, which has been renovated to include six additional floors, of which four floors were fully completed by end-December 2021. With the aim of upgrading the existing eight floors of the building and bringing them to the same standard as the newly constructed upper floors, the Company has already commenced Phase II of the building expansion project. This second phase is scheduled to be completed by 2024.

SC Securities (Private) Limited

SC Securities (Private) Limited is a fully owned subsidiary of Sampath Bank specialising in providing stock broking services to local and foreign investors. The Company is a licensed member of the Colombo Stock Exchange (CSE) and has been operating in Sri Lanka's capital market since 1992.

The financial year 2021 saw SC Securities produce a remarkable performance to record its highest ever profit in the 29-year history of the Company. Brokerage income increased to Rs 720 Mn in 2021 from Rs 218 Mn reported in 2020, while post-tax profit for the year rose to Rs 326 Mn from Rs 109 Mn reported in the previous year. These achievements are due to combination of the expertise of the Company's investment advisors and research teams as well as strategic decisions taken by the management to take advantage on the positive market sentiments, that led to a record breaking performance in the local equity market.

Despite the economic challenges caused by the COVID-19 pandemic, robust trading throughout the year enabled the CSE to record its best-ever performance in 2021. The All Share Price Index (ASPI) improved by 80.5%. Total market turnover increased to Rs 1,173 Bn in 2021 from Rs 397 Bn reported in 2020, reflecting a year on year growth of 195%, while total market capitalisation reached Rs 5,489 Bn. The turnover to market capitalisation ratio shot up to 21.4% in 2021 from 13.4% in 2020. The expansionary monetary policy adopted by the CBSL, political stability, policy consistency and revival of local manufacturing industries were the key drivers behind this exceptional performance.

Siyapatha Finance PLC

Siyapatha Finance PLC, is a fully owned subsidiary of Sampath Bank PLC. Incorporated in March 2005 as Sampath Leasing & Factoring Limited, the Company's brand presence was rejuvenated in 2013 as a new entrant to the licensed finance company regime.

Siyapatha delivered strong performance for 2021, notwithstanding significant challenges faced by the NBFI (Non-Banking Financial Institutions) sector as a whole due to the COVID-19 pandemic. The NBFI sector's core leasing model remained under pressure for the second consecutive year owing to the vehicle import ban introduced by the government at the onset of the pandemic in 2020 as part of its fiscal control measures aimed at softening the impact of the economic downturn. Additionally, the pandemic induced economic slowdown meant the NBFI sector was forced to contend with limited opportunities for credit expansion, while also dealing with higher NPLs from COVID-19 affected sectors.

Even amidst these challenging circumstances, tactical strategies adopted by the management enabled Siyapatha to table a satisfactory performance for the financial year 2021 with pre-tax and post-tax profits of Rs 1,526 Mn and Rs 1,094 Mn respectively. By prudently leveraging on the low interest rate environment, the Company grew its gross lending portfolio by 6.2% to reach Rs 41 Bn by the year end. However, owing to aforementioned challenges, impairment charges on financial assets increased by Rs 262 Mn (19.3%) compared to the previous year. It should be noted however that this includes the provisions made by the company as management overlay after considering the economic uncertainties.

Sampath Information Technology Solutions Limited

Sampath Information Technology Solutions Limited (SITS) is a fully owned subsidiary of Sampath Bank PLC. The Company specialises in providing end-to-end system integration solutions and consultancy services to support digital transformation of businesses. Managed Services, Software Solutions, and Enterprise Solutions are the key pillars of the SITS's vast proposition. With the right set of skills and the knowledge base to deliver and maintain ICT infrastructure, SITS has over the past fourteen years has time and again proven itself to among the top IT specialists in Sri Lanka.

Despite the economic disruptions and health challenges caused by the COVID-19 pandemic, the Company recorded a robust performance in 2021. Total revenue increased to Rs 1,085 Mn in 2021 from Rs 918 Mn reported in 2020, while post-tax profit grew by 47% year on year to reach Rs 110 Mn for the financial year 2021.

INVESTOR INFORMATION

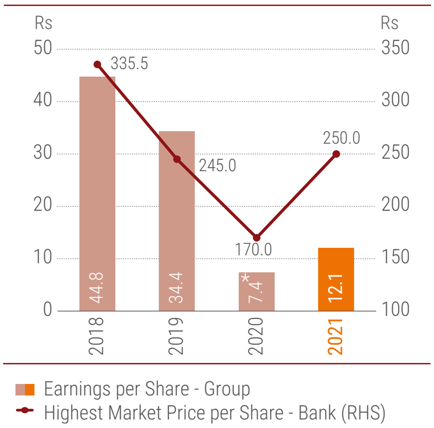
Value Creation for Shareholders

	2021	2020*	Change %
Net asset value per share (Rs)	103.77	93.98	10.42
Group earnings per share - Basic (Rs)	12.11	7.38	64.09
Dividend per share (Rs)	4.25	2.75	54.54
Market price per share as at 31st December (Rs)	52.10	135.60**	(61.58)
Dividend payout ratio (%)	39.04	39.21	(0.43)

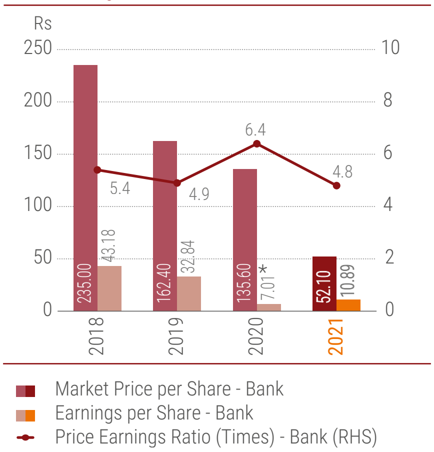
* The number of ordinary shares of the Bank was increased by way of a sub-division of shares; where by one (01) ordinary share was subdivided in to three (03) ordinary shares. Consequently, the issued number of ordinary shares was increased from 381,457,985 ordinary shares to 1,144,373,955 ordinary shares. There was no change to the stated capital subsequent to the said sub-division of shares. **The earnings per share, the dividend per share, the net asset value per share of the Bank and the Group for the year 2020 have been adjusted to reflect the increased number of shares due to the sub-division.**

** Original share price before the sub-division of shares.

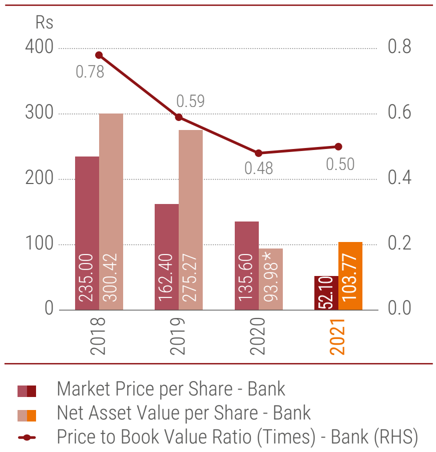
Earnings & Highest Market Price per Share



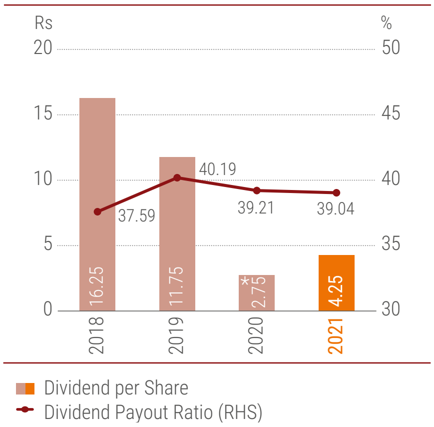
Price Earnings Ratio as at 31st December



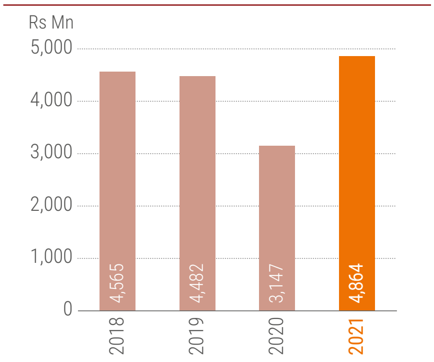
Price to Book Value as at 31st December



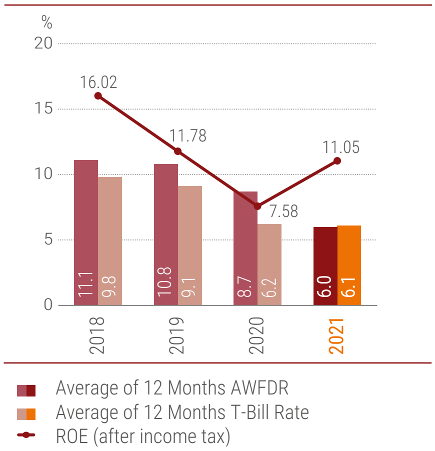
Dividend per Share & Dividend Payout Ratio



Gross Dividend



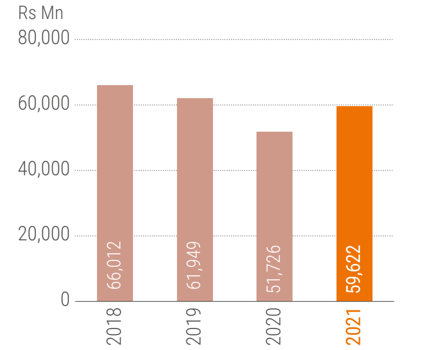
Bank's ROE & Market Interest Rates



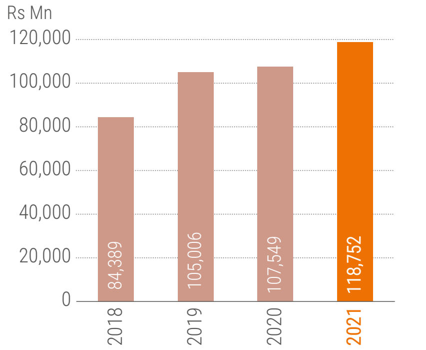
Bank's Market Capitalisation in Comparison to CSE - as at 31st December

	2021	2020	2019	2018	2017	2016
Sampath Bank's market capitalisation (Rs Mn)	59,622	51,726	61,949	66,012	68,577	46,086
Increase/(decrease) % in market capitalisation	15%	(17%)	(6%)	(4%)	49%	8%
CSE market capitalisation (Rs Mn)	5,489,168	2,960,648	2,851,313	2,839,445	2,899,291	2,745,410
As a % of CSE market capitalisation	1.09%	1.75%	2.17%	2.32%	2.37%	1.68%
Market capitalisation rank	21	17	10	9	12	12

Bank's Market Capitalisation



Shareholders' Fund



Analysis of Shareholders

Resident/Non-Resident

	31st December 2021			31st December 2020		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident shareholders	30,310	1,067,392,342	93.27	25,918	321,301,143	84.23
Non-resident shareholders	232	76,981,613	6.73	245	60,156,842	15.77
Total	30,542	1,144,373,955	100.00	26,163	381,457,985	100.00

Individuals/Institutions

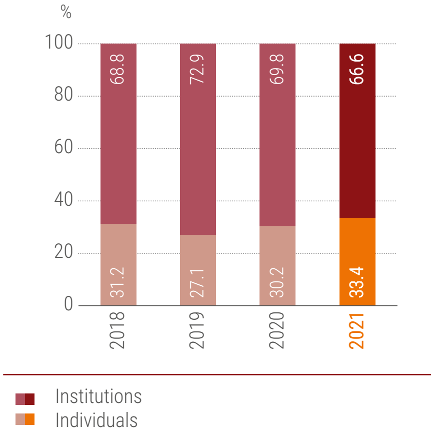
	31st December 2021			31st December 2020		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individuals	29,662	381,929,453	33.37	25,409	115,161,228	30.19
Institutions	880	762,444,502	66.63	754	266,296,757	69.81
Total	30,542	1,144,373,955	100.00	26,163	381,457,985	100.00

Composition of Share Ownership

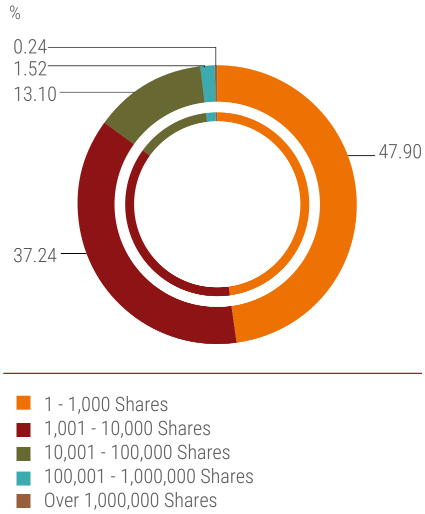
	31st December 2021				31st December 2020			
	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%
1 - 1,000 shares	14,631	47.90	5,549,734	0.49	17,111	65.40	5,111,846	1.34
1,001 - 10,000 shares	11,375	37.24	39,989,989	3.49	7,416	28.35	23,632,370	6.20
10,001 - 100,000 shares	3,997	13.10	111,259,086	9.72	1,463	5.59	36,982,200	9.69
100,001 - 1,000,000 shares	465	1.52	116,076,674	10.14	140	0.54	40,821,820	10.70
Over 1,000,000 shares	74	0.24	871,498,472	76.16	33	0.12	274,909,749	72.07
Total	30,542	100.00	1,144,373,955	100.00	26,163	100.00	381,457,985	100.00

INVESTOR INFORMATION

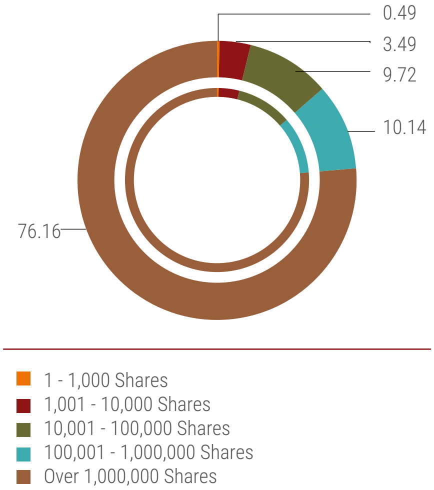
Shareholding of Institutions & Individuals



Composition of Share Ownership 2021 (No. of Shareholders)



Composition of Share Ownership 2021 (No. of Shares)



Share Trading

Market

	2021	2020	2019	2018	2017
No. of transactions	8,131,508	3,070,021	1,197,205	885,657	981,977
No. of shares traded	59,771,688,538	21,348,728,655	9,855,016,003	6,000,737,306	8,468,273,611
Value of shares traded (Rs Mn)	1,173,157	396,882	171,408	200,068	220,591

Bank

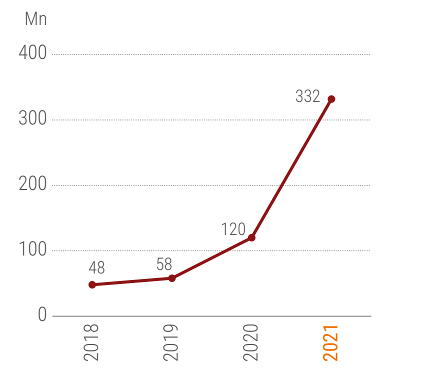
	2021	2020	2019	2018	2017
No. of transactions	159,003	89,358	44,188	29,623	17,547
No. of shares traded	332,368,388	120,322,546	57,548,812	48,444,177	37,726,071
As a % of total shares in issue	29.04	31.54	15.09	17.25	17.37
Average daily turnover (Rs Mn)	110.31	73.79	40.32	56.75	48.94
Value of shares traded (Rs Mn)	26,144.44	15,423.04	9,757.84	13,621.11	11,793.39

Sampath Bank's Share Price Fluctuation

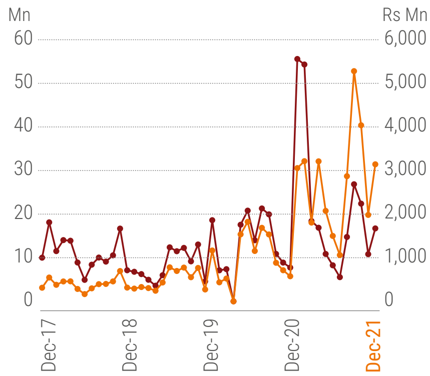
	2021	2020	2019	2018	2017
Lowest market price (Rs)	48.00	96.00	136.00	218.00	253.50
Highest market price (Rs)	250.00*	170.00	245.00	335.50	352.20
Closing price as at 31st December (Rs)	52.10	135.60	162.40	235.00	315.70

* Highest share price of Rs 250.00 reported prior to the sub-division of shares.

Share Trading - Sampath Bank PLC (No. of Shares Traded)

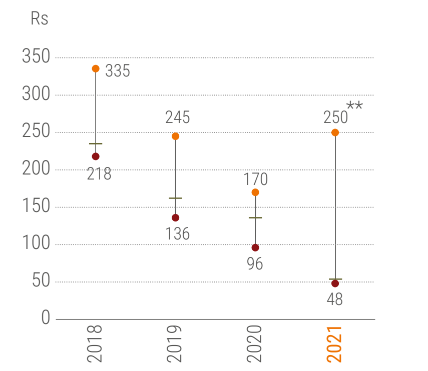


Share Trading - Sampath Bank PLC (Volume Traded & Turnover)



Volume Traded (No. of Shares)
Turnover (RHS)

Bank's Share Price Fluctuation



Highest Market Price
Lowest Market Price
Closing Price as at 31st December

** Original share price before the sub-division of shares.

Sampath Bank PLC - Ordinary Shares

Frequency Distribution of Shareholders as at 31st December 2021

Share Range	Resident				Non-Resident				Total			
	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%
1 - 250	7,364	24.11	629,172	0.05	22	0.07	1,698	0.00	7,386	24.18	630,870	0.05
251 - 500	2,707	8.86	1,021,189	0.09	15	0.05	5,685	0.00	2,722	8.91	1,026,874	0.09
501 - 1,000	4,502	14.74	3,874,305	0.34	21	0.07	17,685	0.00	4,523	14.81	3,891,990	0.34
1,001 - 2,000	3,740	12.25	5,420,591	0.47	16	0.05	25,382	0.00	3,756	12.30	5,445,973	0.47
2,001 - 5,000	4,760	15.59	14,746,470	1.29	23	0.08	77,223	0.01	4,783	15.66	14,823,693	1.30
5,001 - 10,000	2,806	9.19	19,498,242	1.70	30	0.10	222,081	0.02	2,836	9.29	19,720,323	1.72
10,001 - 20,000	2,010	6.58	27,842,440	2.44	34	0.11	485,823	0.04	2,044	6.69	28,328,263	2.48
20,001 - 30,000	716	2.34	17,647,996	1.54	13	0.04	293,160	0.03	729	2.39	17,941,156	1.57
30,001 - 40,000	385	1.26	13,221,943	1.16	8	0.03	287,350	0.02	393	1.29	13,509,293	1.18
40,001 - 50,000	271	0.89	12,255,480	1.07	7	0.02	330,293	0.03	278	0.91	12,585,773	1.10
50,001 - 100,000	541	1.77	38,009,214	3.32	12	0.04	885,387	0.08	553	1.81	38,894,601	3.40
100,001 - 1,000,000	446	1.46	110,255,329	9.63	19	0.06	5,821,345	0.51	465	1.52	116,076,674	10.14
Over 1,000,000	62	0.20	802,969,971	70.17	12	0.04	68,528,501	5.99	74	0.24	871,498,472	76.16
Total	30,310	99.24	1,067,392,342	93.27	232	0.76	76,981,613	6.73	30,542	100.00	1,144,373,955	100.00

INVESTOR INFORMATION

Sampath Bank PLC - Ordinary Shares

Top 20 Shareholders

No.	Shareholder Name	31st December 2021		31st December 2020*	
		No. of Shares	Ratio (%)	No. of Shares	Ratio (%)
1	VALLIBEL ONE PLC	171,117,084	14.95	57,039,028	14.95
2	EMPLOYEES' PROVIDENT FUND	114,123,780	9.97	38,041,260	9.97
3	AYENKA HOLDINGS PRIVATE LIMITED	112,273,166	9.81	20,492,896	5.37
4	MR Y.S.H.I.SILVA **	93,799,287	8.20	31,266,429	8.20
5	ROSEWOOD (PVT) LIMITED-ACCOUNT NO.1	51,595,893	4.51	17,068,459	4.47
6	SENTHILVERL HOLDINGS (PVT) LTD	29,688,375	2.59	359,205	0.09
7	PHANTOM INVESTMENTS (PRIVATE) LIMITED	28,905,259	2.53	-	-
8	AKBAR BROTHERS PVT LTD A/C NO 1	26,355,976	2.30	8,439,541	2.21
9	PHOENIX VENTURES PRIVATE LIMITED	24,909,975	2.18	10,238,263	2.68
10	EMPLOYEES' TRUST FUND BOARD	22,425,477	1.96	6,508,033	1.71
11	DR T.SENTHILVERL	13,975,589	1.22	618,166	0.16
12	SAMPATH BANK PLC ACCOUNT NO 04 (SAMPATH BANK PENSION FUND)	11,546,646	1.01	3,848,882	1.01
13	CITIBANK NEWYORK S/A NORGES BANK ACCOUNT 2	11,464,912	1.00	13,647,677	3.58
14	PEMBERTON ASIAN OPPORTUNITIES FUND	10,000,000	0.87	4,246,166	1.11
15	BBH-TUNDRA SUSTAINABLE FRONTIER FUND ***	9,600,000	0.84	5,200,000	1.36
16	MRS P.D.A.S.BERUWALAGE	8,787,155	0.77	705,543	0.18
17	SSBT-AL MEHWAR COMMERCIAL INVESTMENTS L.L.C.	7,700,925	0.67	2,432,466	0.64
18	MAGNA WEALTH (PVT) LTD ****	7,099,989	0.62	2,703,261	0.71
19	MELLON BANK N.A-ACADIAN FRONTIER MARKETS EQUITY FUND	5,638,359	0.49	2,406,250	0.63
20	MELLON BANK N.A.-UPS GROUP TRUST	4,655,274	0.41	1,551,758	0.41
		765,663,121	66.90	226,813,283	59.46
	Total No. of shares registered	1,144,373,955	100.00	381,457,985	100.00
	Total No. of shares unregistered	-	-	-	-
	Total No. of shares issued	1,144,373,955	100.00	381,457,985	100.00
	Shares held by Directors	2,000,117	0.17	597,452	0.16
	Shares held by Institutions	762,444,502	66.63	266,296,757	69.81
	Balance held by Others	379,929,336	33.20	114,563,776	30.03
	Total No. of shares issued	1,144,373,955	100.00	381,457,985	100.00
	No. of Public shareholders	30,536		26,157	
	% Shares held by Public		90.62		90.64
	% Shares held by Directors and Related Parties		9.38		9.36

* Shareholding as at 31st December 2020 of the top twenty shareholders as at 31st December 2021.

** Mr Rushanka Silva, the Managing Director of Indra Traders (Pvt) Ltd, was appointed as a Non-Executive, Non-Independent Director of the Bank with effect from 1st September 2017. Accordingly, the shareholding of Mr Y S H I Silva, who is the main shareholder of Indra Traders (Pvt) Ltd, has been excluded from the public shareholding of the Bank.

*** SEB AB-TUNDRA SUSTAINABLE FRONTIER FUND has changed its name to BBH-TUNDRA SUSTAINABLE FRONTIER FUND.

**** JINADASA BROTHERS (PVT) LTD has changed its name to MAGNA WEALTH (PVT) LTD.

As at 31st December	2021	2020
No. of public shareholders	30,536	26,157
Percentage of public holding	90.62%	90.64%
Float Adjusted Market Capitalisation	Rs 54 Bn	Rs 47 Bn

The Bank complies with the minimum public holding requirement under option 1 of Listing Rules Section 7.13.1(a).

Dividend Payment Details

Year	Total Dividend Paid (Rs Mn)	Dividend per Share (Rs)	Cash Dividend per Share (Rs)	Scrip Dividend per Share (Rs)	Profit for the Year (Rs Mn)	Dividend Payout Ratio
1988	8.80	0.50	0.50	n/a	27	32.59%
1989	13.10	0.75	0.75	n/a	20	65.50%
1990	8.90	0.50	0.50	n/a	10	89.00%
1991	17.70	0.50	0.50	n/a	41	43.17%
1992	35.40	1.00	1.00	n/a	71	49.86%
1993	35.40	1.00	1.00	n/a	122	29.02%
1994	44.30	1.25	1.25	n/a	172	25.76%
1995	53.10	1.50	1.50	n/a	241	22.03%
1996	53.10	1.50	1.50	n/a	282	18.83%
1997	53.10	1.50	1.50	n/a	322	16.49%
1998	53.10	1.50	1.50	n/a	372	14.27%
1999 (Interim)	116.90	4.00	3.30	n/a	261	54.29%
1999 (Final)	24.80		0.70	n/a		
2000	58.70	1.75	1.75	n/a	402	14.60%
2001	52.14	1.75	1.75	n/a	322	16.19%
2002	88.57	2.00	2.00	n/a	441	20.08%
2003 (Interim)	59.78	2.00	2.00	n/a	561	14.58%
2003 (Final)	21.99					
2004 (Interim)	65.98	2.00	2.00	n/a	621	16.15%
2004 (Final)	34.30					
2005 (Interim)	87.14	2.00	2.00	n/a	821	14.54%
2005 (Final)	32.21					
2006	155.47	2.50	2.50	n/a	1,028	15.12%
2007	206.66	3.00	3.00	n/a	1,052	19.64%
2008	256.65	4.00	4.00	n/a	1,414	18.15%
2009	436.19	6.25	6.25	n/a	2,098	20.79%
2010	1,235.86	8.09	n/a	8.09	3,303	37.42%
2011	1,426.98	9.00	4.50	4.50	3,819	37.37%
2012	1,954.10	12.00	6.00	6.00	5,230	37.36%
2013	1,342.63	8.00	8.00	n/a	3,430	39.13%
2014	1,847.01	11.00	5.00	6.00	4,914	37.59%
2015	2,240.06	13.00	6.00	7.00	6,134	36.52%
2016 (Interim)	2,477.73	18.75	n/a	14.00	9,125	36.85%
2016 (Final)	884.41		4.75	n/a		
2017	4,598.43	17.20	n/a	17.20	12,104	38.00%
2018	4,564.66	16.25	5.00	11.25	12,143	37.59%
2019	4,482.13	11.75	11.75	n/a	11,151	40.19%
2020	3,147.03	2.75*	2.75	n/a	8,025	39.21%
2021 (Proposed)	4,863.59	4.25	4.25	n/a	12,457	39.04%

n/a - not applicable

* Based on the number of shares after the sub-division of shares that took place in March 2021.

Record of Scrip Issues

Year	Issue	Basis/ Proportion	No. of Shares Issued	Consideration per Share (Rs)	Contribution to Stated Capital (Rs Mn)	Reason for Issue
2010	Interim Scrip Dividend for 2010	1 for 120.74	627,596	326.00	204.6	Increase stated capital
2011	Final Scrip Dividend for 2010	1 for 43.39	3,521,294	260.00	915.5	Increase stated capital
2012	Final Scrip Dividend for 2011	1 for 43.06	3,682,039	175.00	644.4	Increase stated capital
2013	Final Scrip Dividend for 2012	1 for 33.12	4,916,007	180.10	885.4	Increase stated capital
2015	Final Scrip Dividend for 2014	1 for 38.14	4,402,402	206.99	911.3	Increase stated capital
2016	Final Scrip Dividend for 2015	1 for 36.91	4,668,414	233.44	1,089.8	Increase stated capital
2017	Interim Scrip Dividend for 2016	1 for 19.22	9,209,419	242.55	2,233.7	Increase stated capital
2018	Final Scrip Dividend for 2017	1 for 19.72	13,551,804	291.93	3,956.1	Increase stated capital
2019	Final Scrip Dividend for 2018	1 for 24.32	11,548,874	235.66	2,721.6	Increase stated capital

INVESTOR INFORMATION

GRI 102-25

Record of Bonus Issues and Subdivisions

Year	Issue	Basis/Proportion	No. of Shares Issued	Reason for Issue
2004	Bonus Issue	1 for 6	7,380,817	Benefit to shareholders
2010	Consolidation and Subdivision	11 for 10	6,888,762	Benefit to shareholders
2010	Subdivision	1 for 1	76,403,986	Benefit to shareholders
2021	Subdivision	3 for 1	762,915,970	Benefit to shareholders

Record of Rights Issues

Year	Issue	Basis/Proportion	No. of Shares Issued	Price per Share (Rs)	Contribution to Stated Capital (Rs Mn)
2005	Rights Issue 2005	1 for 3 held	17,221,907	60.00	1,033.3
2017	Rights Issue 2017	1 for 6 held	31,031,748	245.00	7,602.8
2018	Rights Issue 2018	3 for 13 held	50,128,208	250.00	12,532.1
2019	Rights Issue 2019	7 for 23 held	89,006,863	136.00	12,104.9

Employee Share Option Plan

Capitalised Year	Issue	No. of Shares Issued	Price per Share (Rs)	Contribution to Stated Capital (Rs Mn)	Reason for Issue
2011	ESOP 2010	524,924	80.00	42.0	Benefit for staff members
2012	ESOP 2010	2,200,436	80.00	176.0	Benefit for staff members
2013	ESOP 2010	134,933	80.00	10.8	Benefit for staff members
2014	ESOP 2010	122,648	80.00	9.8	Benefit for staff members

Disclosure of Related Party Transactions as per Section 9 of the CSE Listing Rules

Aggregate monetary values of the transactions carried out by the Bank with the Related Parties did not exceed the following thresholds given in Section 9 of the CSE Listing Rules.

- Non-recurrent related party transactions - 10% of the equity or 5% of the total assets as at 31st December 2021, whichever is lower.
- Recurrent related party transactions - 10% of the gross revenue/income for the year ended 31st December 2021.

Debenture Information

(A) Market Values

Debentures - 2016/2021	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2021	2020	2021	2020	2021	2020
Fixed : 12.75%	n/t	102.12	n/t	100.00	n/t	100.00
Floating	n/t	n/t	n/t	n/t	n/t	n/t

n/t - not traded

Debentures - 2016/2021 were redeemed on 10th June 2021.

Debentures - 2017/2022	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2021	2020	2021	2020	2021	2020
Fixed : 12.50%	n/t	110.75	n/t	106.86	n/t	110.75

n/t - not traded

Debentures - 2018/2023	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2021	2020	2021	2020	2021	2020
Fixed : 12.50%	n/t	n/t	n/t	n/t	n/t	n/t

n/t - not traded

Debentures - 2019/2024	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2021	2020	2021	2020	2021	2020
Fixed : 13.90%	n/t	114.32	n/t	114.32	n/t	114.32

n/t - not traded

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2021	2020	2021	2020	2021	2020
Fixed : 9.00%	n/t	n/a	n/t	n/a	n/t	n/a

n/t - not traded
n/a - not applicable

(B) Interest Rates

Debentures - 2016/2021	2021		2020	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed : 12.75%	12.75%	12.75%	12.75%	12.75%
Floating	Note 1			

Debentures - 2016/2021 were redeemed on 10th June 2021.

Debentures - 2017/2022	2021		2020	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed : 12.50%	12.50%	12.89%	12.50%	12.89%

Debentures - 2018/2023	2021		2020	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed : 12.50%	12.50%	12.89%	12.50%	12.89%

Debentures - 2019/2024	2021		2020	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed : 13.90%	13.90%	13.90%	13.90%	13.90%

Debentures - 2021/2028	2021		2020	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed : 9.00%	9.00%	9.00%	n/a	n/a

n/a - not applicable

Note 1

Debentures - 2016/2021

Floating rate is equivalent to the six month gross Treasury Bill rate plus 1.00% p.a. payable semi-annually.

(C) Interest Rates of Comparable Government Securities

As at 31st December	2021	2020
3 Months Treasury Bill	8.26%	4.69%
6 Months Treasury Bill	8.30%	4.80%
5 Years Treasury Bond	10.69%	6.63%
7 Years Treasury Bond	11.52%	6.98%

(D) Current Yield and Yield to Maturity

Debentures - 2016/2021	Fixed : 12.75%		Floating	
	2021	2020	2021	2020
Current yield	n/t	12.75%	n/t	n/t
Yield to maturity of last trade	n/t	12.44%	n/t	n/t

n/t - not traded

Debentures - 2016/2021 were redeemed on 10th June 2021.

INVESTOR INFORMATION

Debentures - 2017/2022	Fixed : 12.50%	
	2021	2020
Current yield	n/t	11.29%
Yield to maturity of last trade	n/t	7.02%

n/t - not traded

Debentures - 2018/2023	Fixed : 12.50%	
	2021	2020
Current yield	n/t	n/t
Yield to maturity of last trade	n/t	n/t

n/t - not traded

Debentures - 2019/2024	Fixed : 13.90%	
	2021	2020
Current yield	n/t	12.16%
Yield to maturity of last trade	n/t	9.13%

n/t - not traded

Debentures - 2021/2028	Fixed : 9.00%	
	2021	2020
Current yield	n/t	n/a
Yield to maturity of last trade	n/t	n/a

n/t - not traded

n/a - not applicable

(E) Ratios - Bank

	2021	2020
Debt to equity ratio (%)	24.9	37.0
Interest cover (Times)	6.6	4.0
Quick asset ratio (%)	64.1	73.6

Utilisation of Funds Raised via Capital Markets

Funds Raised from Debenture Issue 2021

Objective Number	Objective as per Prospectus	Amount Allocated as per Prospectus	Proposed Date of Utilisation as per Prospectus	Amount Allocated from Proceeds (A)	% of Total Proceeds	Amounts Utilised (B)	% of Utilisation against Allocation (B/A)	Clarification if Not Fully Utilised including where the Funds are Invested
1	To increase the loan portfolio	Rs 6.0 Bn	12.10.2021	Rs 6.0 Bn	100%	Rs 6.0 Bn	100%	Fully utilised
2	To increase the Tier II capital base of the Bank	Rs 6.0 Bn	12.04.2021	Rs 6.0 Bn	100%	Rs 6.0 Bn	100%	Fully utilised

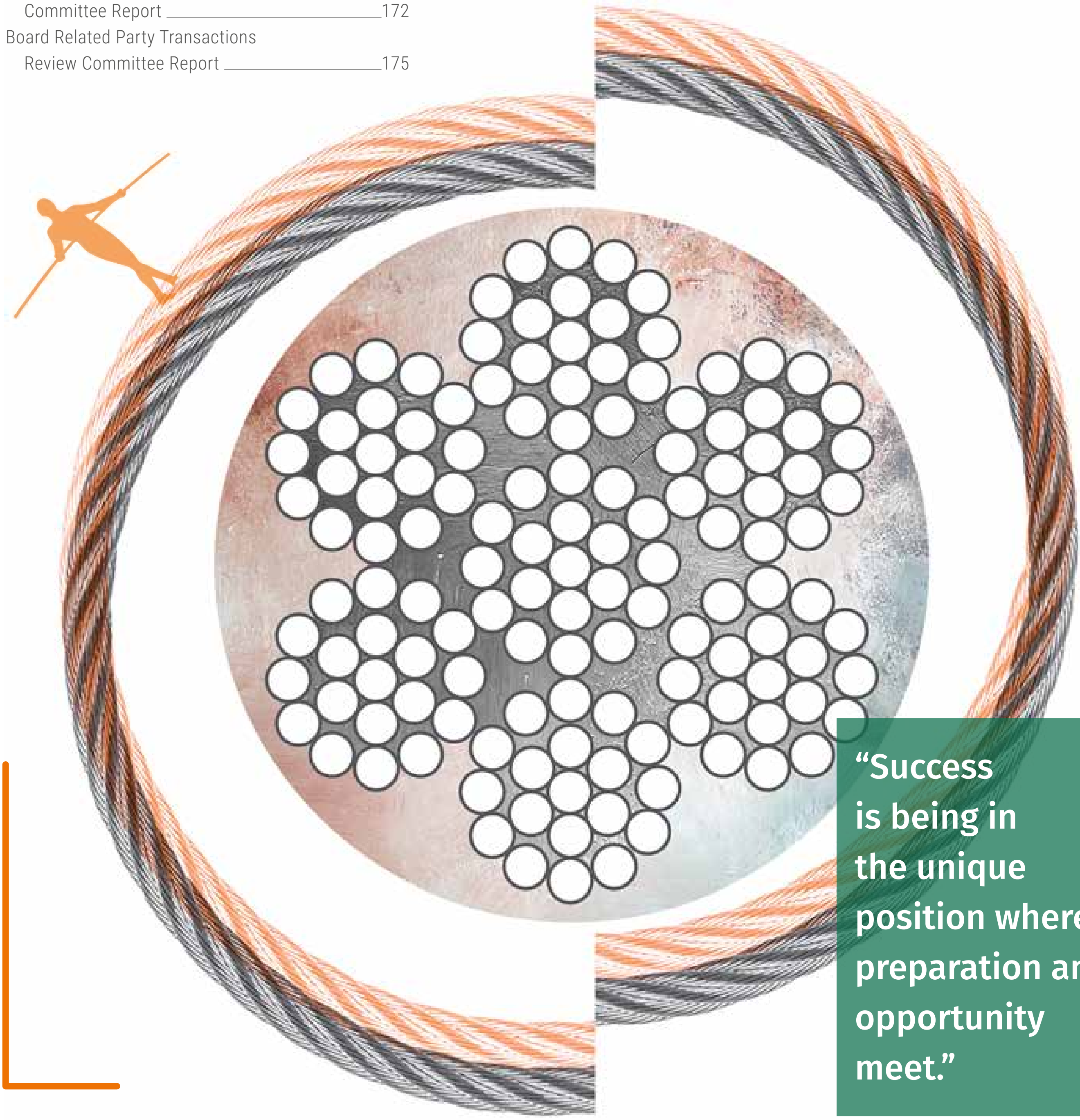
Funds Raised in Previous Years

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

POSITIONING FOR SUCCESS

Committee Reports

Strengthened by the decades of trust and security you have placed with us, our leadership values and governance mechanisms continue to push us to the forefront of excellence, positioning your Bank to take the lead when opportunity presents.



"Success is being in the unique position where preparation and opportunity meet."

RISK MANAGEMENT REPORT

GRI 102-15,30

Overview

Risk Management is an important foundational aspect that underpins the day-to-day management of the Bank's operations and supports the achievement of Sampath Bank's long term strategic objectives. Staying firmly anchored to its core risk principles, the Bank has adopted a precautionary approach to ensure Risk Management activities continue to evolve at a steady pace, largely in response to regulatory requirements as well as best practices and industry trends that emerge both in the local market and global environment.

In this context, the Bank seeks to manage its risk profile carefully in line with the Board approved Risk Appetite Statement that sets out the limit framework for managing its most significant risks. This limit framework plays a vital role in cascading the Bank's risk strategy down across all levels of the business and together with the Bank's Integrated Risk Management (IRM) framework, serve as the foundation for ensuring that all material risks are identified, well understood, accurately measured and proactively managed in order to safeguard the Bank's financial strength and reputation as well as retain the public trust in the Sampath Brand.

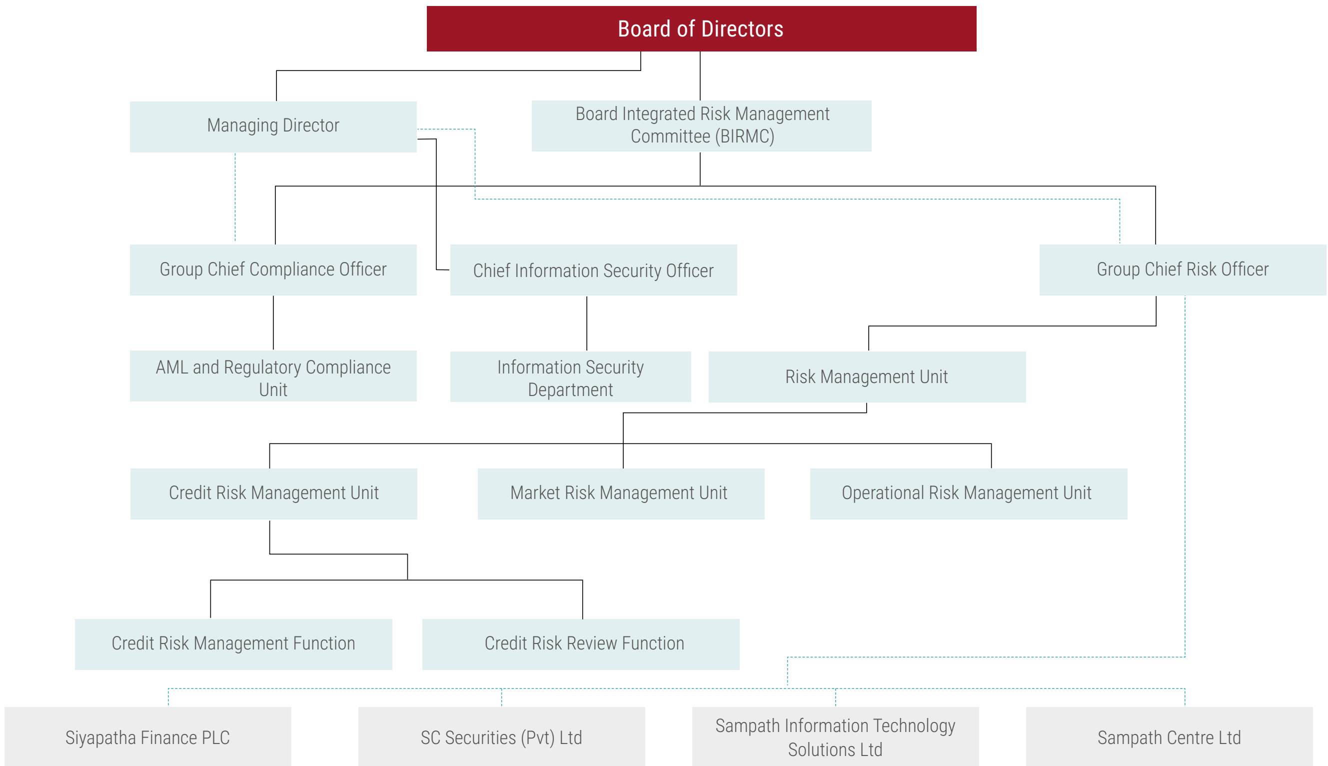
Operating in one of the most dynamic industries, Sampath Bank's risk appetite limits as well as the IRM policies, procedures, controls and reporting principles are regularly reviewed and updated to confirm their validity and compliance to regulatory requirements and industry best practices.

A strong risk culture is also a vital part of Sampath Bank's strategic approach to risk management. The Bank believes that a sound risk culture where every employee is fully aware of his or her responsibility regarding risk management, promotes prudent risk-taking and paves the way for risks to be detected, assessed, reported, and addressed in a timely manner.

Governance and Stewardship of Risk

A key component of the Bank's IRM Framework is the functional structure for the governance and stewardship of risk across the Bank as well as the broader Sampath Group. As per this functional structure, the overall responsibility for risk governance lies with the Bank's Board of Directors. The Board sets the Bank's risk strategy and risk appetite boundaries for all key risk categories. As the ultimate authority responsible for risk management, the Board determines guidelines for the management and control of the Bank's key risks and for ensuring appropriate risk policies and limits are established for all important risk areas. Based on the business model and the strategic objectives of the Bank, the Board has approved risk policies for various risk areas. These risk policies are subject to review and approval by the Board annually.

Functional Structure of the Integrated Risk Management Framework of the Bank/Group



Assisting the Board in its risk management and oversight duties are the several Board-level Committees and Management-level Committees that are responsible for ensuring the proper execution of approved risk policies and guidelines in different risk areas.

Risk Governance Committees

SAMPATH BANK

Board Level Committees

- Board Audit Committee
- Board Human Resources & Remuneration Committee
- Board Nomination Committee
- Board Integrated Risk Management Committee
- Board Related Party Transactions Review Committee
- Board Credit Committee
- Board Strategic Planning Committee
- Board Shareholder Relations Committee
- Board Treasury Committee
- Board Marketing Committee
- Board IT Committee
- Board Capital Planning Committee

Executive Level Committees

- Corporate Management Committee
- Asset & Liability Management Committee (ALCO)
- Investment Committee
- Credit Policy, Risk and Portfolio Review Committee
- IT Steering Committee
- Information Security Committee
- Outsourcing Committee
- Procurement Committee
- Executive Advances Committee
- Risk & Compliance Committee
- Internal Control Over Financial Reporting (ICOFR) Committee
- Advances Committee
- Group Management Committee
- Internal Capital Adequacy Assessment Process (ICAAP) Working Committee
- Sri Lanka Financial Reporting Standards (SLFRS) Committee
- Potential NPA Identification Committee
- Fraud Risk Management Committee
- Dissemination of Regulatory Instructions Committee
- Product Rationalisation Committee
- Data Dissemination Committee

Meanwhile, the day to day stewardship of risk is cascaded down to the operational level via the three-lines-of-defense mechanism that reflects the Bank's belief that "managing risk is everyone's responsibility".

First Line of Defense	Second Line of Defense	Third Line of Defense
Business Lines/Corporate Functions	Risk Management and Controls	Assurance
Ownership for the day-to-day management of risk. Ensure that risks accepted are within the Bank's risk appetite and risk management policies.	Direction for Risk Management and Compliance, facilitating high level of risk awareness throughout the organisation. Independent monitoring of the effective implementation of Risk Management Framework.	Providing independent and objective assurance on the Risk Management processes and practices in place.
Business Heads/ Branch Managers	Risk Management Unit (RMU)/ Compliance Department	Internal/External Audit Function

RISK MANAGEMENT REPORT

As such all business heads and branch managers are deemed the first-line-of-defense and are held accountable for identifying and managing risk and operating within the approved risk policies. The second-line-of-defense comprises the Risk Management Unit (RMU) and the Compliance Department. The RMU monitors all key risks in line with Board approved appetite boundaries and plays a key role in assisting the Board in its routine risk review process. The RMU performs periodic assessments to determine any shift in the individual risk profiles based on new developments or trends in the macroeconomic environment. More frequent need-based assessments are also often carried out in times of uncertainty. Considering the fluidity with which the COVID-19 pandemic was evolving in 2021, more frequent environmental scans were done throughout the year under review to enable appropriate pre-emptive action to be taken. The RMU is also tasked with monitoring new and emerging risks within the Bank's risk universe. Due diligence procedures conducted by the Bank's internal audit teams and external auditors act as the third-line-of-defense in providing independent assurance regarding the overall efficacy of the Bank's risk management framework in meeting its stated objectives.

Key Matters Noted in the Environmental Scans for 2021			
	New Developments/ Trends for 2021	Identified Impact to Sampath Bank in 2021	
		Potential Business Impact	Actions Taken by the Bank to Minimise the Impact
Political	Restriction of non-essential imports for a prolonged period of time	Recovery challenges leading to higher defaults on existing facilities granted to import sector customers	➲ Restructured the existing hardcore facilities ➲ Educated customers to diversify their existing businesses to non-stress sectors ➲ Additional impairment recognised on account of customers identified to be in risk elevated industries
Economic	Exchange rate volatility	Revaluation losses on the FX portfolio	➲ Closely monitored and managed the Net Open Position (NOP) of the Bank so as to maintain benchmark Dollar liquidity levels ➲ Commenced reviewing the revaluation rates for reasonability as against the current market rates
	Increase in interest rates	Mark to Market (MTM) losses on the government securities portfolio	➲ Commenced proactively reviewing the existing Board approved MTM limits ➲ Commenced monitoring the portfolio classifications of government security investments against the BIRMC/BTC guidelines to minimise the impact ➲ Increased the skew towards short term investments to minimise the maturity mismatch
		Negative impact to Bank's overall NIM	➲ Review and repricing of lending rates
	Higher number of risk elevated industries due to stress caused by the pandemic	Recovery challenges leading to higher defaults on existing facilities granted to risk elevated industries	➲ Introduced additional criteria for the pre-credit review of new facilities granted to customers in risk elevated industries ➲ Reviewed appetite limits for all main risk categories ➲ Closely monitored existing portfolios and initiated watch listing procedures to mitigate the risk of default among individually significant customers ➲ More frequent reviews to determine new risk elevated industries

"The RMU performs periodic assessments to determine any shift in the individual risk profiles based on new developments or trends in the macroeconomic environment. More frequent need-based assessments are also often carried out in times of uncertainty. Considering the fluidity with which the COVID-19 pandemic was evolving in 2021, more frequent environmental scans were done throughout the year under review to enable appropriate pre-emptive action to be taken."

Key Matters Noted in the Environmental Scans for 2021

	New Developments/ Trends for 2021	Identified Impact to Sampath Bank in 2021	
		Potential Business Impact	Actions Taken by the Bank to Minimise the Impact
Social	Growing trend favouring the work from home model and the increased use of digital channels	Legal/Compliance challenges owing to disruptions to routine workflow systems	➲ Established clear and well defined workflow systems to ensure seamless migration to work from home ➲ Secured connectivity and devices were provided for critical areas and monitored closely
		Data leakage issues and the increased threat of cyber-attacks	➲ Strengthened the Information Security Department (ISD) ➲ Appointed a Fraud Risk Management Committee (FRMC) ➲ Expanded the scope of the in-house Incident Response Team ➲ Set out clear data classification guidelines to serve as the basis for internal and external communications ➲ Raising awareness among employees and customers regarding potential cyber attacks
Legal/ Regulatory	Debt moratorium and other concessions declared by the government to bring relief to COVID-19 affected businesses and individuals	Deterioration of repayment capacity/ credit worthiness of the customers even after end of moratorium period	➲ Existing facilities were closely monitored ➲ Identified facilities were restructured in a timely manner ➲ Special moratoriums were granted for selected customers who were not covered under CBSL directions ➲ Granted special working capital facilities at concessionary rates
	New and frequent directives/guidelines issued by the CBSL owing to the pandemic	Operational lapses/system issues created due to frequent changes in guidelines	➲ Internal policies/procedures were modified in line with CBSL guidelines ➲ Required system modifications were done ➲ Timely distribution of information on regulatory directives to responsible officers/units through Dissemination of Regulatory Instructions (DRI) Committee, to issue the internal instructions ➲ Increasing staff awareness regarding changes

RISK MANAGEMENT REPORT

Improvements Made to Sampath Bank's Integrated Risk Management Framework in 2021

Given the rapidly changing regulatory environment and the macroeconomic variables arising out of the COVID-19 pandemic environment, ongoing efforts to strengthen Sampath Bank's Integrated Risk Management Framework were expedited in 2021. In particular, pandemic related stress testing was introduced for all major risk categories with all likely macroeconomic variables stressed against the worst case scenario and measured against the Bank's capital. As part of this effort, the Bank sought the assistance of an independent third party specialist to review the existing ICAAP process. The key objective of this ICAAP review was to determine what action, was needed to ensure the Bank is aligned with the pillar I and pillar II capital adequacy requirements stipulated by the CBSL as well as the BASEL guidelines, new developments in the risk horizon, and other industry best practices. Accordingly, the Bank proceeded to implement the recommendations made in the review report, with new risk assessments added under pillar II. Meanwhile, to further strengthen the Bank's overall capital planning process, the scope and membership of the ICAAP Working Committee was expanded.

A comprehensive risk register was also developed to capture 700 risk triggers across 15 different risk categories. Additionally, a Risk Matrix was developed summarising the Risk Register based on the severity of the risk factors. Moreover, seeking to comply with the CBSL's special directive dated 16th June 2021, the Bank also began developing a recovery plan setting out specific actionable initiatives to overcome the impact of potential stress events across all areas of the Bank.

"A comprehensive risk register was also developed to capture 700 risk triggers across 15 different risk categories. Additionally, a Risk Matrix was developed summarising the Risk Register based on the severity of the risk factors."

Capital Planning

Sampath Bank's Capital Planning activities are based on the Basel III capital adequacy framework.

It is facilitated by the Internal Capital Adequacy Assessment Process ("ICAAP") which aims to assess capital requirements on all material risks on a regular basis, based on the attained and expected business levels and ensure that the Bank has adequate capital to cover all the risks the Bank is exposed to. The ICAAP is based on the following principles;

- Appropriate strategies that would ensure the maintenance of adequate capital commensurate with the nature, scope, scale, complexity and risks inherent in the Bank's on-balance sheet and off-balance sheet exposures.
- Capital targets which are consistent with the Bank's risk profile and current operating environment.
- Maintaining adequate capital to support all the risks in the business while ensuring the Bank operates above the minimum regulatory capital ratio.
- Adherence to the Supervisory Review Process under Basel III as determined by CBSL.

Managing Key Risks

Credit Risk

Credit risk is defined as the potential loss arising from the customers' failure to meet contractual obligations as and when they fall due. For banks, Credit risk occur primarily due to their lending activities - granting of loans and advances to individuals, SMEs and corporates.

Credit risk consists of two major components; Default Risk and Credit Concentration (Business) Risk, which together represent the most material risk for a bank.

Key Pillars of Sampath Bank's Credit Risk Management Framework

Credit Risk Appetite Parameters

Credit Quality Parameters

- Credit quality related ratios
- Product-wise NPA
- Provision covers
- Security covers
- Rating grades as a percentage of the total portfolio

Lending Parameters

- Single borrower exposure (individual/group)
- Aggregate exposure
- Top 20 advances
- Sector-wise lending caps
- Sector-wise concentration score (based on the HHI methodology)
- Product-wise concentration score (based on the HHI methodology)
- Related party exposure limits
- Country-wise exposure
- Risk rating grade-wise exposure

Key Control Systems

- Credit Policy and Credit Manual that serves as the foundation for prudent lending
- Comprehensive due diligence and customer screening procedures at the pre-credit evaluation stage, including borrower rating for all obligors
- Independent review by the Risk Management Unit for individual/group exposures in excess of Rs 100 Mn
- Country-wise exposure Risk rating grade-wise exposure
- A clear segregation of duties between loan origination, pre-credit evaluation administration and post-credit monitoring
- Proactive post-credit monitoring and follow up by the Business Units, Risk Management Unit and Recoveries Department
- Effective identification of Early Warning Signals and Watch Listing procedure
- Credit Risk Management Policy and related procedures

Standard Monitoring Protocols

- Top 30 borrower analysis report (Semi-Annually)
- Analysis of risk elevated industries (Quarterly)
- Analysis of sector-wise and product-wise exposures (Monthly)
- Stress testing to determine the impact on the Bank's Balance Sheet (Quarterly)
- Advance portfolio analysis (Semi-Annually)
- Post mortem analysis (Quarterly)
- Condominium sector analysis (Quarterly)
- Analysis of Geographical distribution (Monthly)
- Loan review monitoring process (Ongoing, up to a % of total loan portfolio)

Governance and Oversight

- Branch Managers
- Business Heads Corporate and Consumer Lending
- Head of Recoveries
- Advances Committee
- Executive Advances Committee
- Credit Policy, Risk and Portfolio Review Committee
- Board Credit Committee
- Risk Management Unit
- Board Integrated Risk Management Committee
- Internal Audit Function
- Board of Directors

Credit Risk Management Update for 2021

Stressed macroeconomic conditions in 2021 had an impact on the Credit risk of the Bank. Among the Bank's Corporate Banking customers, importers continued to be stymied by the restriction of non-essential imports, while the ban on the import of chemical fertilisers had a direct impact on some of the agriculture sector customers. At the same time, construction sector customers appeared to be under stress due to the prolonged economic downturn attributed to the pandemic. Amidst this backdrop, the Bank proceeded to mark several categories of imports and the construction sector as risk elevated industries. Similarly following the fertiliser ban in May 2021, the respective sub-sector too was reclassified under risk elevated industries. The ensuing Board decision saw lending to risk elevated industries being curtailed. At the same time, the RMU expanded the scope of its environmental scans to enable real time review of certain pandemic-sensitive industries and sectors in order to dynamically capture sudden adverse changes that may affect the short to medium term prospects of these respective industries or sectors.

The RMU also intensified its monitoring of customers identified under these risk elevated industries. The portfolio stress testing framework was further strengthened with the inclusion of new sector-specific credit risk parameters. The performance of restructured facilities of Stage 2 and 3 customers was also

RISK MANAGEMENT REPORT

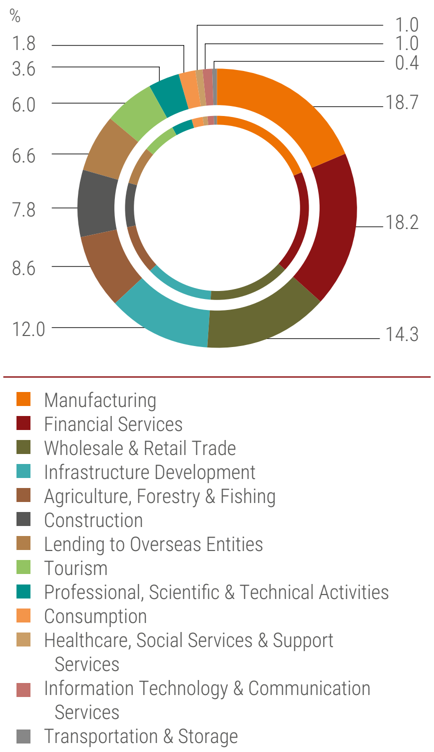
"Following the successful completion of the Credit Rating Model validation process by late 2020, the RMU moved ahead with the full system roll out of the validated Credit Rating Models for all lending products."

monitored more stringently, while maintaining the coverage of overall post credit monitoring against the lending portfolio of more than 30% on a yearly basis. Geographical exposure limits and sector-wise concentration scores in the overall portfolio continued to be strictly monitored and proactively reported to the BIRMC throughout the year. The RMU also undertook an independent quarterly review to assess the repayment capacity of individually significant customers in order to pre-empt the need for impairments. Country exposure limits and single borrower exposure limits for the off-shore portfolio were also revisited. In addition, a comprehensive presentation of the Bank's collective impairment position was made to the BIRMC bi-annually. Furthermore, in a bid to instill greater responsibility for post-credit monitoring at an operational level, the RMU initiated a pilot project to introduce a new digital Early Warning Tool for branches.

Added emphasis was also placed on tightening pre-credit evaluation protocols. Following the successful completion of the Credit Rating Model validation process by late 2020, the RMU moved ahead with the full system roll out of the validated Credit Rating Models for all lending products. Accordingly, with effect from 5th August 2021, all branches were mandated to apply the relevant Credit Rating Models for pre-credit evaluations of both existing and new customers.

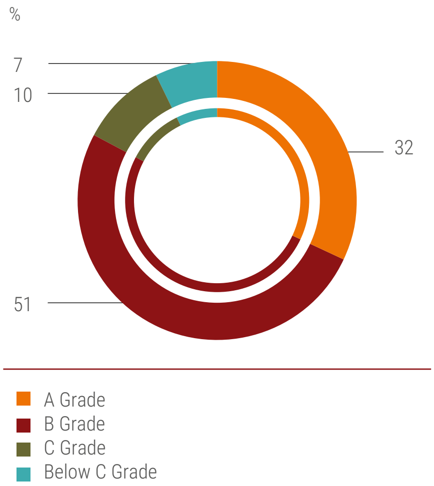
Efforts to promote risk awareness among teams continued throughout the year, supported by ongoing training to enhance the capacity of credit officers. Given the inability to conduct in-person training due to pandemic related restrictions, a series of interactive knowledge sharing sessions was developed and presented on the Bank's e-learning platform. The first step in a broader effort to create a readily accessible knowledge repository on credit related matters for the benefit of all operational teams, the initiative focused on pre-credit risk identification considering the current rapidly changing macroeconomic environment. Alongside these training activities, the RMU also initiated more frequent discussions with regional and branch-level teams.

Sector-wise Distribution of Post Credit Evaluation in 2021
(based on the sample selected by RMU)



A combination of these factors ensured that the credit risk of the Bank's total loan portfolio remained stable and in line with Board approved risk appetite boundaries.

Risk Grade-wise Distribution of Advance Portfolio 2021



Credit Risk Outlook for 2022 and Beyond

The tourism and leisure sectors which have benefited from several extensions of the debt moratorium did not pose any credit risks in 2021, but seeing as the moratorium is scheduled to end in June 2022, it is quite likely that NPAs from this sector will increase in due course. Amidst this backdrop, the RMU will increase its vigilance on macroeconomic activity as part of a more proactive approach to limit the exposure to risk elevated industries and sectors. Hand in hand with this, the Bank's disciplined pre-credit evaluation protocols are expected to create a firm foundation to support high quality lending. Further deepening post-credit monitoring activities will remain the key pivot in safeguarding the quality of the Bank's loan portfolio, going forward. In this regard, the RMU is looking to leverage on AI-based machine learning tools to develop and implement a Behavioural Scorecard model to support both pre-credit evaluation and post-credit monitoring of all customers.

Market Risk

Market risk is defined as an unexpected adverse impact to the Bank's investment or trading portfolios due to changes in market conditions such as interest rate fluctuations, exchange rate volatility and equity market conditions, in turn raising concerns regarding foreign exchange risk, liquidity risk and interest rate risk to the Bank.

Sampath Bank's approach to Market Risk Management is underpinned by the regulatory guidelines for Corporate Governance, the Integrated Risk Management Framework for Licensed Commercial Banks and the BASEL III recommendations.

Key Pillars of Sampath Bank's Market Risk Management Framework

Market Risk Appetite Parameters

Foreign Exchange Rate Risk
- Overnight Aggregate Net Open Position Limit for the Bank Portfolio

Liquidity Risk
- Statutory Liquid Assets Ratio
- Net Loans to Total Assets
- Total Loans to Customer Deposits
- Liquid Assets to Short Term Liabilities
- Bulk Deposits to Total Deposits
- Purchased Funds to Total Assets
- Commitments to Total Loans

Interest Rate Risk
- Tolerance limit for Mark to Market (MTM) losses from "Fair Value Through Profit or Loss - FVTPL" and "Fair Value Through Other Comprehensive Income - FVOCI" portfolios

Equity Risk
- Limit for Mark to Market (MTM) losses from Equity (Shares) portfolio

Key Control Systems
- Market Risk Management Policy
- ALCO Policy
- Investment Policy
- Liquidity Management Policy including Liquidity Contingency Funding Plan
- Treasury Policy and procedure guideline for Treasury Operations
- Code of Conduct for Treasury Operations
- Treasury Manual

Standard Monitoring Protocols
- Monitoring of Board-approved limit framework for Market Risk Management and escalating all exceptions to the approving authorities (Continuous and Ongoing)
- Assessment of Foreign Exchange Risk, Liquidity Risk, Interest Rate Risk and Equity Risk (Continuous and Ongoing)
- Applying risk measurement techniques such as Stress Testing, Present Value Basis Points (PVBP), Scenario Analysis, Value at Risk and Sensitivity Analysis for Market Risk exposures (Continuous and Ongoing)
- Monitoring the market developments and trends (Continuous and Ongoing)

Governance and Oversight
- Asset and Liability Management Committee
- Investment Committee
- Board Treasury Committee
- Risk Management Unit
- Board Integrated Risk Management Committee
- Board of Directors

RISK MANAGEMENT REPORT

"Digital tools were implemented to enable the RMU to maintain real time monitoring of market conditions and support active reporting of all key market risks. This enabled the management to be provided with daily updates of the potential foreign exchange risks, liquidity risks and interest rate risks relating to treasury activities."

Market Risk Management Update for 2021

Economic uncertainty surrounding the COVID-19 pandemic made the overall management of market risk more challenging in 2021, prompting more proactive monitoring and increased market vigilance of market activity.

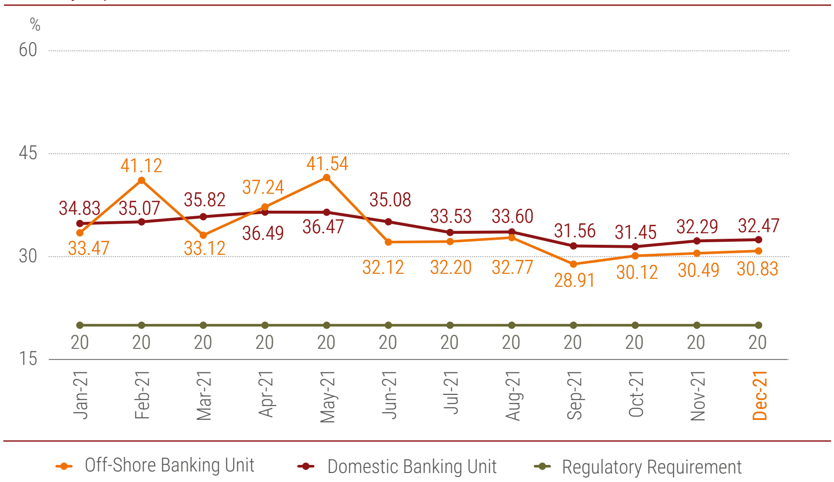
Digital tools were implemented to enable the RMU to maintain real time monitoring of market conditions and support active reporting of all key market risks. This enabled the management to be provided with daily updates of the potential foreign exchange risks, liquidity risks and interest rate risks relating to treasury activities. Moreover, using the advanced functionality of new monitoring software, a comprehensive market risk dashboard was created to enable more frequent reporting of key risk indicators to the BIRMC.

Given the fluidity of the market conditions, the RMU proceeded to review its limit papers, including VaR (Value at Risk) limits, PVBP (Present Value Basis Point) limits and MTM Loss limits on a quarterly basis, while the VaR model validation process will be handed over to a suitable party with the required ability.

Furthermore, as per the recommendations made by the CBSL, the RMU continued to perform multiple stress tests to assess the impact on the Bank's Liquidity Coverage Ratio (LCR) and capital position due to varying outflow scenarios. These findings along with a year-on-year comparison of the Bank's liquidity ratios (LCR/NSFR) and capital adequacy ratios were presented to the BIRMC on a quarterly basis. In addition, Statutory Liquid Assets Ratio (SLAR) was stressed under two different stress scenarios and the findings were presented to the ALCO on a monthly basis.

Taking steps to document the learnings from this year as a point of reference for the future, the RMU began compiling a historical database of all risk limit exposures and other key risk metrics.

Statutory Liquid Assets Ratio 2021



Market Risk Outlook for 2022 and Beyond

With the pandemic set to continue for the foreseeable future, interest rates, exchange rates and the equity market are all likely to remain unpredictable at least in the short to medium term time frame. The Bank will thus focus on further strengthening its market risk management framework. In this context, implementing the findings from the VaR model validation process will be a major priority, in particular the adoption of rate tolerance limits for treasury activities relating to foreign exchange transactions and investments in government securities.

Operational Risk

Operational risk is defined as the loss resulting from inadequate or failed internal processes, people and systems or external events. It includes legal risk which is the risk arising from non-compliance of statutory and/or regulatory provisions that have the potential to affect the Bank's current performance or future prospects, or both.

Operational Risk Management Update for 2021

The unprecedented challenges associated with the macroeconomic environment has caused operational risk to be brought to the forefront like never before. With the continuity

Key Pillars of Sampath Bank's Operational Risk Management Framework

Operational Risk Appetite Parameters

- Internal Frauds
- External Frauds
- Employment Practice and Work Place Safety
- Clients, Products and Business Practices
- Damages to Physical Assets
- Business Disruption and System Failures
- Execution Delivery and Process Management

Key Control Systems

- Operational Risk Management Policy
- Internal Policies, Procedures, Directives, and System Specifications along with MOUs, Service Level Agreements and Non-Disclosure Agreements to effectively manage relationships with external service providers
- Internal IT controls and global best practices for information security
- Policy on mapping Bank's activities against the Basel Business Guidelines
- Legal Risk Management Policy
- Model Risk Management Policy
- Anti-fraud Policy

Governance and Oversight

- Branch Managers
- Business/Department Heads
- IT Department
- Risk Management Unit
- Information Security Department
- Board Integrated Risk Management Committee
- Internal Audit Function
- Board of Directors

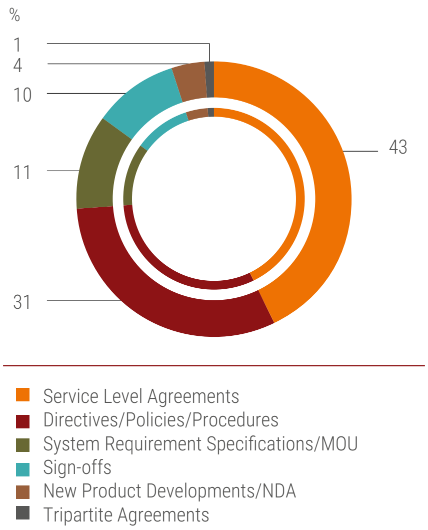
of business operations amidst pandemic constraints becoming the main priority, broad based action was taken to provide an uninterrupted service to customers while at the same time ensuring the safety of staff and minimising the virus spread among employees.

Further expanding on the BCP measures taken in 2020, a dedicated team was appointed in 2021 to work full time at a fully-fledged DR site with all recommended COVID safety protocols implemented for their safety. In parallel, a special vaccination campaign was rolled out for the benefit of all Sampath Bank employees.

From an operational risk monitoring perspective in general, new Key Risk Indicators (KRI) covering a range of topics including legal and compliance aspects were incorporated to the existing list. Operational Risk now has a total of 23 KRIs including IT Risk. At the same time, the VaR calculation for operational risk was tested with the aim of establishing specific VaR limits in the future.

The RCSA (Risk and Control Self-Assessment) programme which was carried out on selected few departments in 2020, was rolled out across all departments in 2021. The results of the RCSA process were collated by the RMU and reported to the BIRMC for evaluation and further action, where needed.

Operational Risk Review 2021



The Board also appointed a Fraud Risk Management Committee (FRMC) to focus on monitoring and mitigation of fraud risk at all levels of the Bank and improve the risk awareness culture among operational teams. As per their mandate, the FRMC meets quarterly to review loss events and suspected events, and determine instances that call for a fraud investigation audit.

Operational Risk Outlook for 2022 and Beyond

As long as the pandemic remains in play, it is anticipated that the level of operational risk will continue to remain a concern for the Bank. While the Bank will be largely safeguarded by the ongoing risk mitigation strategies and monitoring mechanisms implemented over the past 12 - 18 months, further strengthening of these systems will be critical in building resilience for the future. As such going forward, the RMU will focus on gathering data to determine appropriate VaR limits for operational risk to quantify the maximum benchmark value of risk the Bank is willing to take in certain operational aspects.

RISK MANAGEMENT REPORT

Cyber/Information Security Risk

Cyber/information security risk is typically associated with the higher dependence on digital technology. Cyber-attacks and/or data breaches can result in substantial financial losses as well as cause significant reputational damage leading to the erosion of customer trust, competitive advantage and future prospects of the Bank.

Key Control Systems

- Information Security Management Policy Framework

Standard Monitoring Protocols

- Monitoring user login activity on the PAM (Privileged Access Management) platform and across all critical databases (Continuous and Ongoing)
- Vulnerability assessments (Quarterly)
- External Penetration Test (Annually)
- Information security risk assessment (Annually)
- Incident reports generated by the Incident Response Team (as needed)
- ISO 27001:2013 Information Security Systems Surveillance Audit (Annually)

Governance and Oversight

- Incident Response Team
- Chief Information Security Officer
- Information Security Committee
- Data Dissemination Committee
- Risk Management Unit
- Board Integrated Risk Management Committee
- Board IT Committee
- Board of Directors

Cyber/Information Security Risk Management Update for 2021

With the pandemic environment prompting the Bank to expedite its digitalisation strategy, the internal cyber/information security architecture was further strengthened under the supervision of the Information Security Department. Please refer to the Intellectual Capital Report on pages 68 and 69 for more details on the measures taken in 2021.

In view of the significant increase in digital transaction volumes, new KRIs covering credit and debit card frauds, internal frauds etc. were also incorporated into the risk monitoring framework.

Meanwhile, the Bank has implemented a data classification process for storing of physical and digital data. Further the same process was adapted for data sharing within the Bank and outside, using emails and physical form. Also, monitoring mechanisms are in place to assess, if the approved procedures are being continuously followed by all team members.

Additionally, steps have been taken to implement a Data Loss Prevention (DPL) System in near future to monitor and prevent data leakages.

Moreover, the RMU's role in cyber/information security monitoring further increased in 2021. Accordingly, the new product development process now requires the mandatory sign of the RMU prior to be submitted to the BIRMC and the Board for review.

Cyber/Information Security Risk Outlook for 2022 and Beyond

With digitalisation recognised as a key strategic thrust area for growth, the focus on cyber/information security will feature prominently in the Bank's future agenda. Please refer to the Intellectual Capital Report on pages 68 and 69 for more details on the proposed future action on the cyber/information security landscape.

COMPLIANCE REPORT

The Compliance Department remains a fundamental pillar that supports the management of compliance risk based on the principles of integrity, transparency, confidentiality and regulatory compliance. The Bank's Compliance Department functions independently to oversee and improve Bank-wide and Group-wide compliance. In this regard, the Compliance Department's eight-point model serves as the basis of monitoring and reporting on compliance at all levels of the business.

Key Highlights for 2021

Regulatory Interaction and Coordination

The Compliance Department coordinated the onsite statutory examination of CBSL for 2021 with quarterly progress reports made available in a timely manner despite the challenges posed by the pandemic.

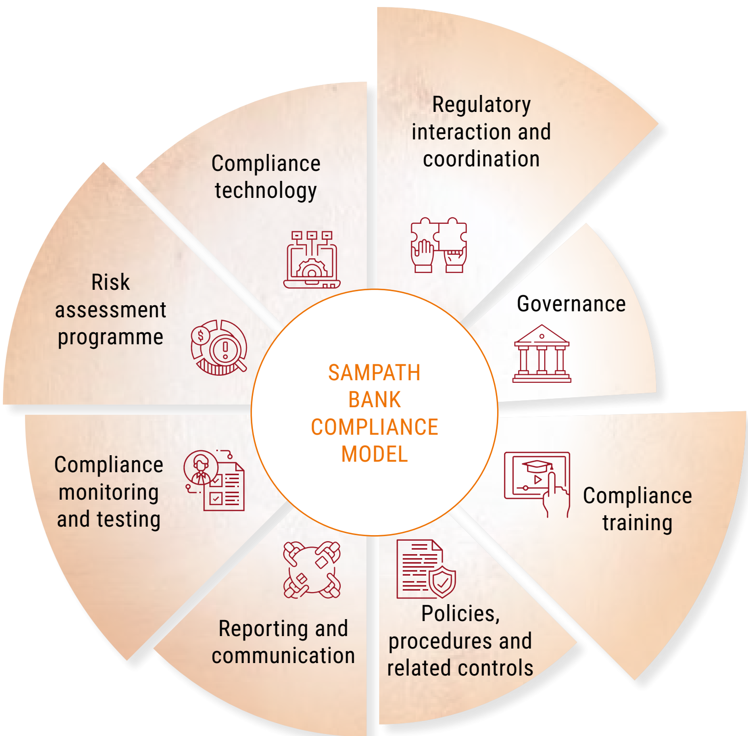
Compliance Training

Training activities for 2021 was primarily focused on AML (anti-money-laundering) with special emphasis on capacity building among frontliners. Foreign Exchange Regulations was another important training topic for the year, especially with several new directives being implemented as the pandemic progressed.

To educate staff on these changes amidst the pandemic environment in 2021, several online training sessions were conducted while recorded sessions were made available in "Vidvan" - the Bank's e-learning platform.

Policies, Procedures and Related Controls

Amidst frequent regulatory changes owing to the pandemic, the Compliance Department revisited the Bank's policy and procedure framework with special emphasis on strengthening the information security and AML policies to take account of the increase in digital transaction volumes owing to the pandemic.



Working closely with the HR Department, the Compliance Department also contributed towards the formulation of an Anti-Bribery and Corruption (ABC) Policy for the Bank.

Compliance Monitoring and Testing

The Compliance Department continued testing Statutory Returns on a sample basis. The routine reporting programme also continued throughout the year with reports on statutory and regulatory requirements submitted to the Board on a quarterly basis.

Risk Assessment Programme

In line with the Bank's Risk Based Approach (RBA), compliance risk assessments were conducted in 2021 covering all branches, departments, new products and subsidiaries. Concerns raised through the RBA process were shared with the relevant branch/department/product owner for appropriate action and follow up audits performed to assess the efficacy of these corrective measures.

Compliance Technology

The Bank undertook two new projects in 2021 to facilitate more efficient regulatory reporting. New technology in the form of the ITRS (International Transaction Reporting System) was commissioned to capture and report on all FX transactions to the CBSL. Form I and Form II reporting will be facilitated through ITRS in future.

The Bank also began working with SITS, the Group's IT-based subsidiary to develop a system to integrate with the Financial Intelligence Unit's (FIU) new 'goAML' platform to comply with the fortnightly reporting requirement. With much of the development work already completed, the new system is expected to go live in the first quarter of 2022. Once in place, the system will allow the Bank to report cash transactions, electronic fund transfers and international fund transfers exceeding Rs 1 Mn or its equivalent in foreign currency to the FIU through the 'goAML' system.

CORPORATE GOVERNANCE

Dear Stakeholders

At Sampath Bank, the commitment to excellence in Corporate Governance has always emanated from the top, with the Board taking full responsibility for ensuring good governance prevails at all times. All members of the Board recognise the importance of good corporate governance and its role in achieving the Bank's strategic objectives and improving accountability and transparency to all stakeholders.

Board Effectiveness

Being one of the leading Banks in Sri Lanka, it is imperative that Sampath Bank continues to be led by a competent and effective Board with the right knowledge, skills and experience and the ability to challenge, motivate and support the business. During the course of the year, there were certain changes to the composition of the Sampath Bank Board, where Mr Ranil Pathirana and Ms Annika Senanayake relinquished their positions on the Sampath Bank Board with effect from 1st January 2021, having completed their respective nine-year term as Non-Executive Directors. To fill such vacancies on the Board, veteran industrialist and alumnus of the Harvard Business School, Mr Vinod Hirdaramani was appointed to the Board as an Independent, Non-Executive Director with effect from 16th February 2021. I believe the Bank can greatly benefit from his expertise in industry and commerce and I am certain that his networks and vast experience in dealing with other countries will be crucial in managing the Country risk associated with our off-shore lending portfolio. Since his appointment, Mr Hirdaramani has been actively involved in several Board Committees, including the Board Marketing Committee, Board Strategic Planning Committee and the Board Human Resources and Remuneration Committee.

Succession Planning

The Board maintains a well-defined succession plan for the Bank's Key Management Personnel (KMP), which serves as the basis of developing the Bank's talent pipeline at a senior level. Further, the Board appointed several new Assistant General Managers to give them the opportunity to sharpen their leadership skills in readiness for the future challenges.

Best Practices

As part of the ongoing efforts to augment the foundational elements of the Bank's governance framework, the Board revisited key policies and procedures including the Related Party Transactions review process during 2021. In addition, an automated solution was developed by the Bank's IT team to monitor daily share trading activities by Directors and Key Management Personnel of the Bank.

Meanwhile as we continued to deal with the COVID-19 pandemic for the second consecutive year, we used our experience and the lessons learned, to further deepen the Bank-wide integration of good governance practices.

Group Synergy

A Group Management Committee (GMC) is in place to promote greater symbiosis between the Bank and its subsidiaries. The GMC was given a clear mandate to ensure that Group strategic ambitions, operating principles, culture and values are effectively cascaded down and adopted by all subsidiaries.

The GMC comprises the Managing Directors and other key personnel of all subsidiary companies as well as the Group Officers of Sampath Bank. The Committee is Chaired by Mr Nanda Fernando - Managing Director of Sampath Bank PLC who is tasked with keeping the Board apprised of the work carried out by the GMC. The GMC generally meets once a month, or more often when required, to discuss aspects such as financial reporting, cost control, risk management, compliance, business resilience etc. among Group Companies to optimise benefits to the Group.

Board Declaration

On behalf of the Board, I wish to declare that the Bank and Team Sampath, including the Board of Directors, Corporate Management and employees have complied with the principles of good governance as set out by the regulatory frameworks applicable for licensed commercial banks, including the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (CBSL) and its amendments, the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), the Listing Rules of the Colombo Stock Exchange as well as Bank's internal policy guidelines, best practices and all other applicable regulations.

HARSHA AMARASEKERA
Chairman

Colombo, Sri Lanka
15th February 2022

Overview

Excellence in Corporate Governance is viewed as a key catalyst in maintaining Sampath Bank's leadership position within the highly competitive local banking sector in which the Bank operates. For the Bank, the pursuit of excellence in Corporate Governance is anchored to the unequivocal commitment to comply with all statutory requirements in addition to benchmarking good governance best practices.

Corporate Governance Framework

Sampath Bank has a solid Corporate Governance Framework that forms the basis of how the Bank is managed both at a functional level on a day to day basis as well as strategically over time. The Governance Framework combines regulatory requirements and voluntary codes and best practices, which together are enshrined in the Bank's internal frameworks to provide the foundation for building trust among stakeholders and reinforcing the Bank's standing in the local banking industry.

Governance Structure

Regulatory Requirements

- The Companies Act No. 7 of 2007
- The Banking Act No. 30 of 1988 and its amendments
- The Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and its amendments
- The Anti-Money Laundering Laws and Regulations and Financial Transaction Reporting Act No. 6 of 2006 and its amendments
- The Listing Rules of the Colombo Stock Exchange
- The Securities and Exchange Commission of Sri Lanka Act No. 36 of 1987 and its amendments thereto, as repealed by the Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021
- The Inland Revenue Act No. 24 of 2017 and its amendments
- The Shop and Office Employees Act No. 19 of 1954 and its amendments
- The Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- The Foreign Exchange Act No. 12 of 2017 and its regulations
- All other applicable regulations

Internal Frameworks

- Articles of Association
- Board-approved Terms of Reference (TOR) of Board Sub Committees
- Board-approved policy frameworks for governance, risk, compliance and operational areas
- Codes of Conduct for Bank Employees, Key Management Personnel and Directors

Voluntary Codes and Best Practices

- The Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka
- Global Reporting Initiative (GRI) Standards issued by the Global Sustainability Standards Board
- Integrated Reporting Framework issued by the International Integrated Reporting Council (IIRC)
- ISO 27001 Information Security Management
- United Nations Global Compact (UNGC) Sustainability Principles
- International Labour Organisation (ILO) Convention for Social and Labour issues inducing Human Rights
- United Nations Sustainable Development Goals (SDG)

Sampath Bank Corporate Governance Framework

CORPORATE GOVERNANCE

GRI 102-17,26

The Board

The Sampath Bank Board ("the Board") has the overall responsibility for the management and oversight of the Bank and its activities. As such the Board is held accountable to shareholders and other stakeholders, to ensure that the Bank is managed in a safe and sound manner.

As the highest governing body of the Bank, the Board provides strategic and entrepreneurial leadership and sets the appropriate values and standards to align with the Bank's strategic vision and promote the principles of good governance. For this reason, several matters are expressly reserved for Board approval. These are summarised below;

Risk, Capital and Liquidity Planning

- Changes relating to the Bank's capital structure
- Approval of the annual capital plan
- Approval of risk appetite and liquidity risk appetite

Financial Results and Dividends

- Approval of interim and annual financial statements, dividend and any significant change in accounting policies or practices

Strategy

- Approval of the Bank's strategy, medium-term and short-term plans
- Reviewing delivery of the strategy and measure performance against the plan
- Major capital projects, investments, acquisitions, mergers or disposals

Board Membership

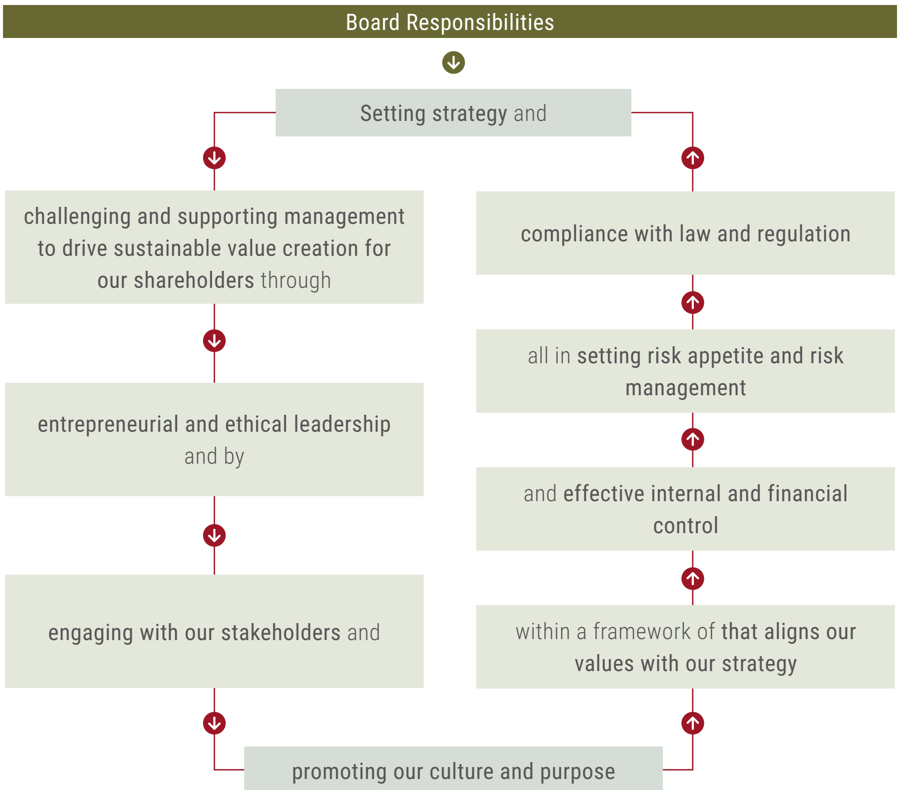
- Board appointments and removals
- Establishment of Board Sub Committees and their membership
- Succession planning for key positions on the Board

Remuneration

- Approval of the framework for determining the policy and specific remuneration of the Directors

Corporate Governance

- Approval of principal regulatory filings
- Approval of the Terms of Reference (TOR) and membership of Board Sub Committees
- Approval of Board and Board Sub Committees performance evaluation process
- Approval of Corporate Governance Framework
- Approval of division of responsibilities between the Chairman and Managing Director
- Appointment (or removal) of Company Secretary and Key Management Personnel



Board's Role in Promoting Ethics and Integrity

A leading example to promulgate the culture of ethics and integrity at all levels across the Bank, the Board has established several mechanisms, including the Code of Conduct which applies to the Board of Directors, Corporate Management and to all employees. The code is designed to foster a culture of ethics that priorities compliance with laws, regulations as well as adherence to the Bank's internal policies. In addition, the Customer Charter, the Whistle Blowing Policy and the Procedure for Dealing with Related Party Transactions, the Policy on Managing Conflict of Interest, the Policy on Communication, the Policy on Fitness and Propriety of Directors and Other Relevant Officers, also offer guidance to ensure Directors and employees to carry out their duties in accordance with the highest standards of integrity and fairness at all times.

GRI 102-22,24

Board Composition

The composition of the Board is governed by Sampath Bank's Articles of Association, the requirements of the Banking Act No. 30 of 1988 and its amendments as well as the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka and all other regulations applicable for the Director Boards of Licensed Commercial Banks.

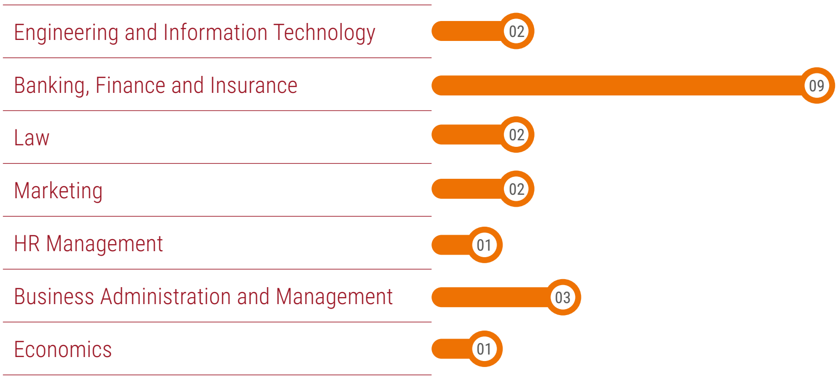
Based on these guidelines, Board diversity is considered from a number of aspects, including but not limited to gender, age, educational background, professional experience, skills and knowledge. Greater diversity at a Board level is seen as an essential element in supporting the Bank's strategic objectives and promoting sustainable growth over time.

Sampath Bank's current Board which consists of Eleven (11) Directors represents a strong balance of skills, experience and diversity of perspectives to complement the needs of the Bank and ensure that obligations to stakeholders are understood and appropriately met.

Non-Executive Directors

A majority of the Sampath Bank Board consists of Non-Executive Directors. The Non-Executive Directors (including the Independent Non-Executive Directors) provide a wide range of expertise and experience and bring independent judgement on issues relating to the strategy development and risk management processes through their contribution at Board and Board Sub Committee meetings.

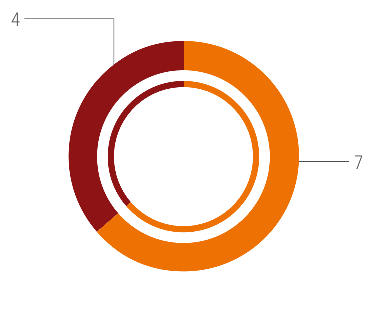
Board of Directors' Industry/Background Experience



Age Diversity

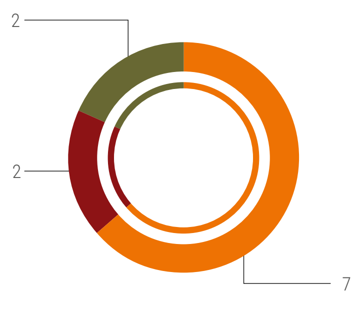
25-45 Years
46-55 Years
56-69 Years

Board Independence



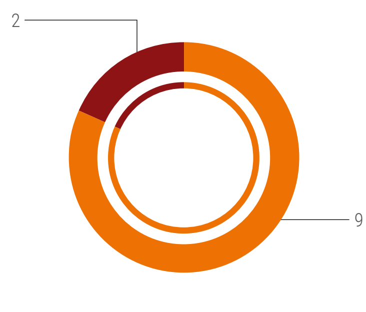
Independent Directors
Non-Independent Directors

Board Tenure



0-2 Years
3-4 Years
5-9 Years

Gender Representation



Male
Female

CORPORATE GOVERNANCE

Chairman of the Board and Managing Director

The roles of the Chairman of the Board and that of the Managing Director/CEO of the Bank are distinctly different and have been clearly segregated in the interest of independence, accountability and responsibility.

The Chairman of the Sampath Bank Board is Mr Harsha Amarasekera, who takes the lead in ensuring the Board exercises its fiduciary duties in an effective and efficient manner. It is the responsibility of the Chairman to ensure all Directors receive accurate, clear and timely information regarding Board related matters.

The Chairman is also required to demonstrate objective judgement and promote a culture of openness to encourage constructive challenge and active debate between all Directors.

The Board has delegated the management of the Bank's day-to-day operations to Sampath Bank's Managing Director - Mr Nanda Fernando. Mr Fernando, assisted by the Corporate Management team, is responsible for managing day-to-day operations and the coordination of overall business operations of the Bank in line with the strategic direction outlined by the Board.

GRI 102-22

Board Meetings

Board meetings are held at least once in every month, or more often when needed. All Board members are encouraged to participate for both regular and ad hoc Board meetings as an essential requirement.

A total of Sixteen (16) scheduled Board meetings were held in 2021, out of which, Fifteen (15) were conducted as virtual meetings, where the Directors participated in the respective meetings, through secured digital communication platforms and the active participation of Directors by engaging in different Board matters were evident.

Directors' Attendance at Board and Mandatory Board Sub Committee Meetings

Director	Classification	Board Meetings	Board Audit Committee	Board HR and Remuneration Committee	Board Nomination Committee	Board Integrated Risk Management Committee	Board Related Party Transactions Review Committee
Mr Harsha Amarasekera	NID/NED	16/16	-	-	08/08	-	-
Mr Rushanka Silva	NID/NED	16/16	-	-	08/08	-	-
Mr Deshal de Mel	IND/NED	16/16	15/15	14/15	08/08	08/08	04/04
Mr Dilip de S Wijeyeratne	IND/NED	16/16	15/15	15/15	05/05	08/08	03/04
Ms Aroshi Nanayakkara	IND/NED	16/16	-	15/15	-	-	-
Dr Sanjiva Weerawarana	IND/NED	15/16	12/15	-	-	07/08	03/04
Mr Vajira Kulatilaka	IND/NED	16/16	-	15/15	-	-	04/04
Mrs Keshini Jayawardena	IND/NED	15/16	-	-	07/07	-	-
Mr Vinod Hirdaramani*	IND/NED	14/14	-	13/13	-	-	-
Mr Nanda Fernando	ED	16/16	-	-	-	08/08	-
Mr Ajantha de Vas Gunasekara	ED	16/16	-	-	-	-	-
Total Meetings		16	15	15	08	08	04

** Appointed w.e.f. 16.02.2021*






Board Focus for 2021

At the beginning of the year, the Board spent a considerable amount of time deliberating the mechanics for a sub-division of shares that would increase the affordability of the Sampath Bank share in the market. Board approval was granted in January 2021 for a 1:3 sub-division of a share which resulted the number of shares in issue to increase from 381,457,985 to 1,144,373,955.

The Debenture issue was another important matter reviewed by the Board in the first quarter of the financial year. Board approval was granted initially to issue 50 million BASEL III compliant, Tier II, listed, rated, unsecured, subordinated, redeemable seven-year debentures with a non-viability conversion of Rs 100/- each and to issue up to a further 10 million of such debentures in the event of an over-subscription of the initial issue.

The pandemic impact remained a topic of frequent discussion at many of the Board meetings in 2021. The effectiveness of the robustness of the Bank's risk management mechanism and the efficacy of the capital management and liquidity strategies were carefully scrutinised in light of the extension of the government-led debt moratorium scheme for individuals and businesses affected by the prolonged impact of the COVID-19 pandemic. The Board further revisited the Bank's impairment provisioning methodologies on an ongoing basis in interest of greater prudence. Further, as the pandemic continued to unfold throughout the year, the Board paid stringent attention to further strengthening the Bank's business continuity processes and reviewed the practicality of maintaining the work from home model for an extended period of time.

Another area that received Board attention in 2021 was the Bank's digital agenda. On a related note, the Board spent a considerable amount of its time to understand the potential information security risks arising from digitalisation and increased remote access.

Other routine Board matters such as the review of the revolving 3-year strategic plan and 2021 budget presented by the Corporate Management was also actively debated before being approved at the Board meetings.





CORPORATE GOVERNANCE

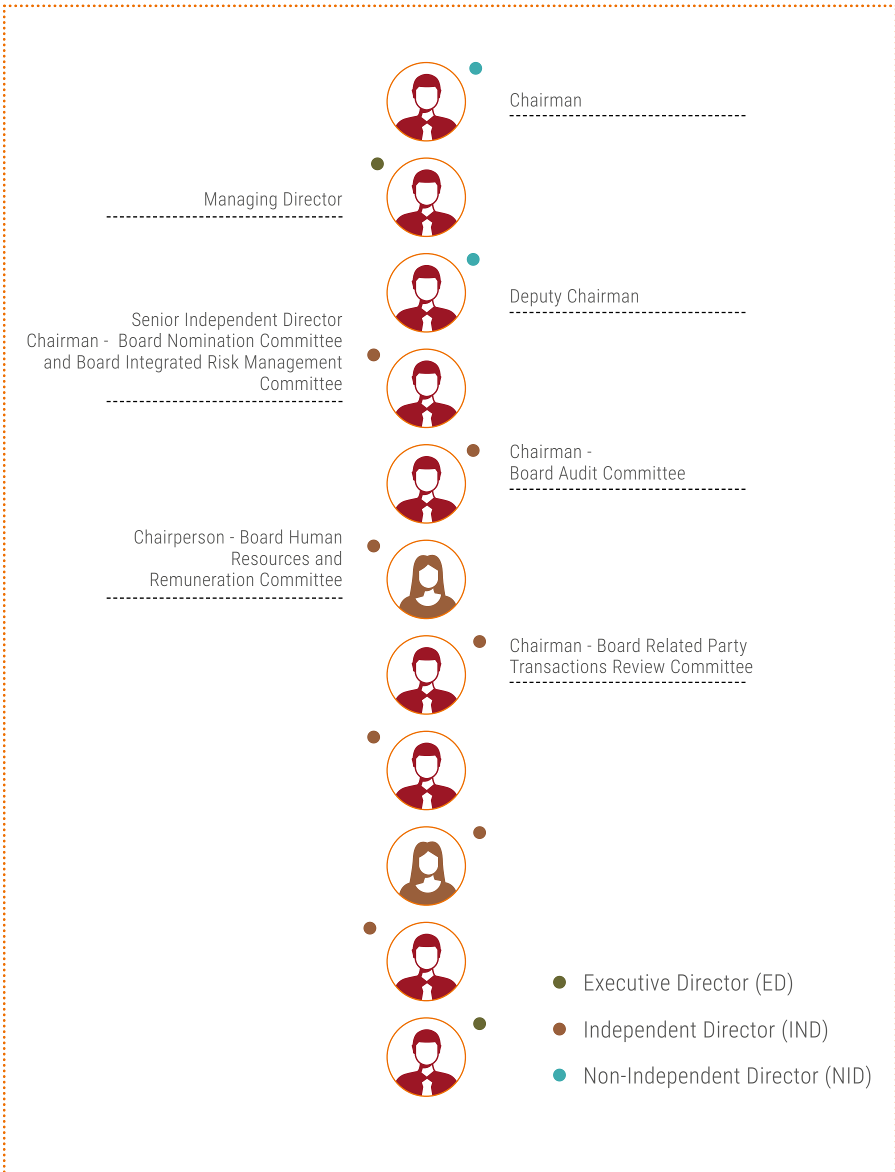
GRI 102-22

Board Sub Committees

The Board delegates certain governance responsibilities to Board Sub Committees, which operate within a clearly defined Terms of Reference. The Chair of the respective Committees are responsible for the effective operations of that Committee and the fulfillment of their duties as per the Terms of References approved by the Board. The Terms of Reference of the Board Sub Committees are regularly reviewed by the Board to ensure they remain aligned with Sampath Bank's corporate values and vision.

Attendance at Board Sub Committee meetings is required for all Committee members, while the Committee Chair is responsible for keeping the Board apprised of any relevant developments discussed at Committee meetings. The Board Sub Committees appointed by the Board are as follows;

- Board Audit Committee
- Board Human Resources and Remuneration Committee
- Board Nomination Committee
- Board Integrated Risk Management Committee
- Board Related Party Transactions Review Committee
- Board Credit Committee
- Board Strategic Planning Committee
- Board Shareholder Relations Committee
- Board Treasury Committee
- Board Marketing Committee
- Board IT Committee
- Board Capital Planning Committee



"Excellence in Corporate Governance is viewed as a key catalyst in maintaining Sampath Bank's leadership position within the highly competitive local banking sector in which the Bank operates. For the Bank, the pursuit of excellence in Corporate Governance is anchored to the unequivocal commitment to comply with all statutory requirements in addition to benchmarking good governance best practices."

Training for Directors

All Directors are provided necessary training to keep them updated on the latest developments regarding applicable regulatory requirements and other best practices to enhance their awareness of good governance principles. Every newly appointed Director receives a briefing on his/her legal and other responsibilities as a Director of a listed entity and duties as a member of the Board. He/she also receives a comprehensive induction package detailing the statutory and regulatory obligations of a Director, governance structure, policies, procedures and codes of the Bank, terms of reference of Board Sub Committees and charter of responsibilities.

Training provided to Directors in 2021 focused on three broad areas; Anti-Money Laundering (AML) regulations, Director's Responsibilities for share trading and the importance of IT security. All training sessions were conducted using digital mediums. Meanwhile, several knowledge sharing communications were carried out during the year to apprise the Directors on the latest regulations and governance requirements applicable to the Bank and thus far the covered topics range from Statutory requirements governing dealings by Directors, disclosure requirements of Directors, applicable regulations and special provisions of Related Party Transactions and on Banking Secrecy.

During the year under review, several Directors have also participated in webinars and online panel discussions to further develop and refresh their knowledge and skills in specific disciplines.

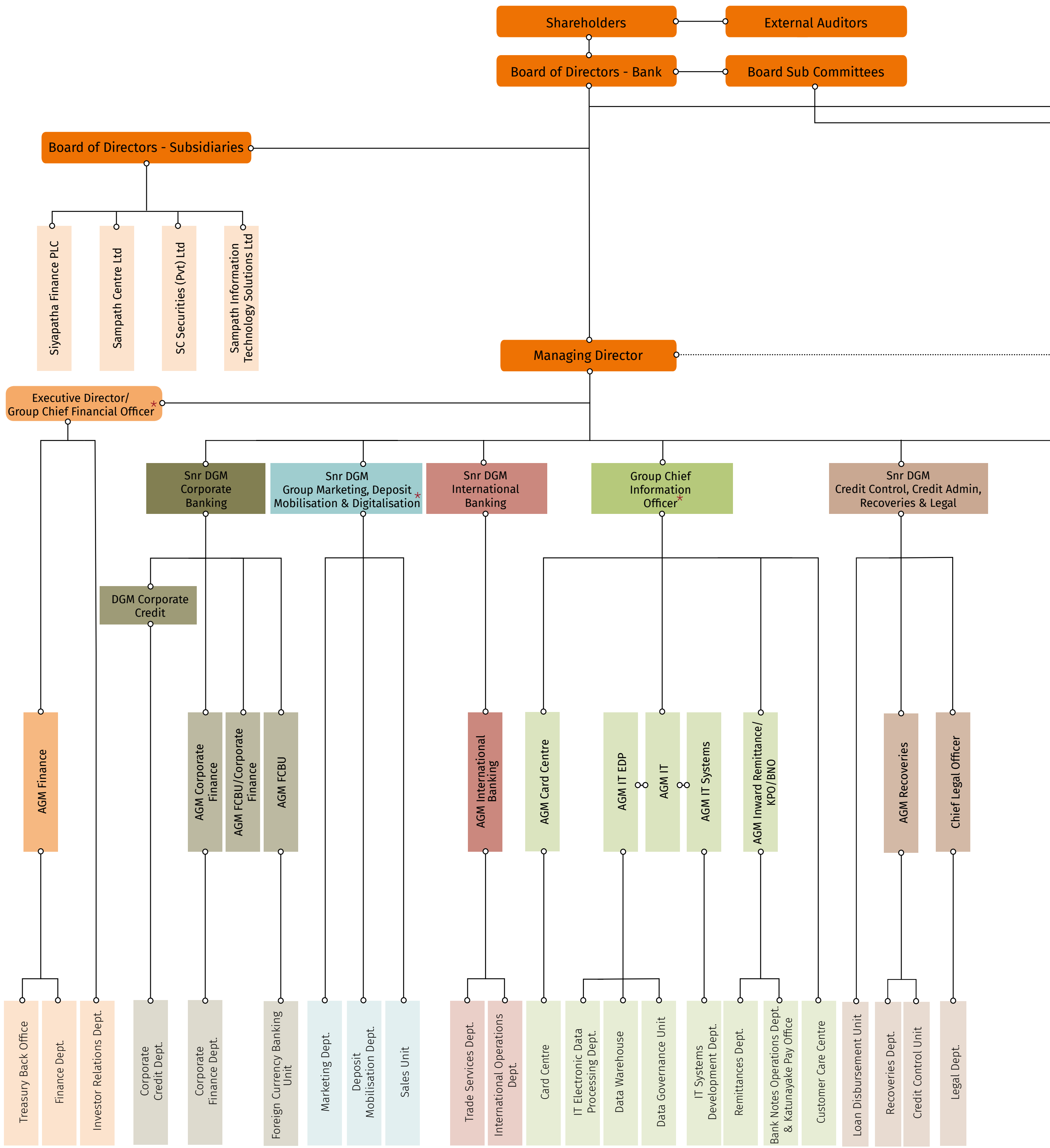
NANDA FERNANDO
Managing Director

Colombo, Sri Lanka
15th February 2022

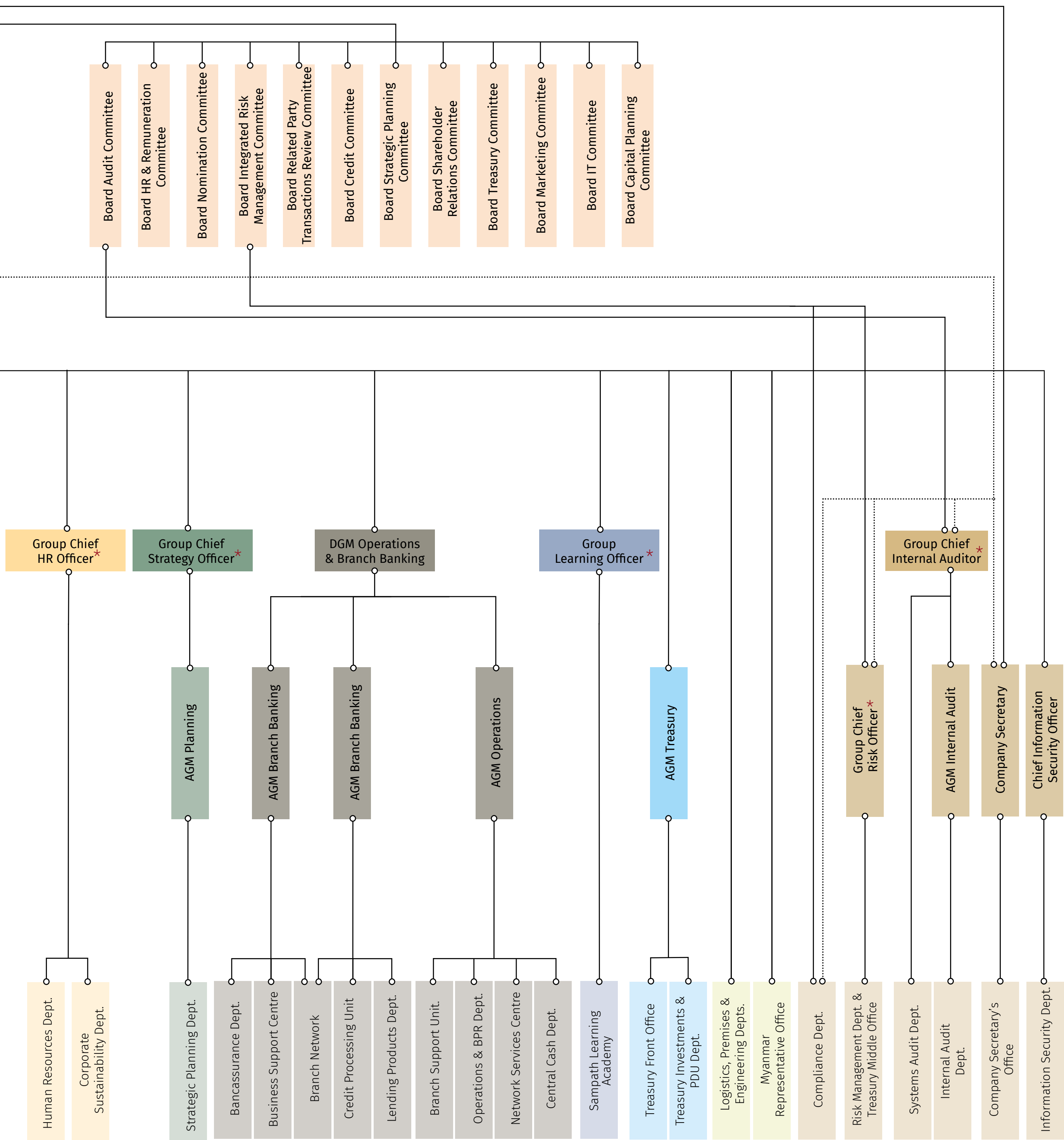
CORPORATE GOVERNANCE

GRI 102-18,19,20

Governance Structure



* Group officers provide group-level functional oversight for subsidiaries also.

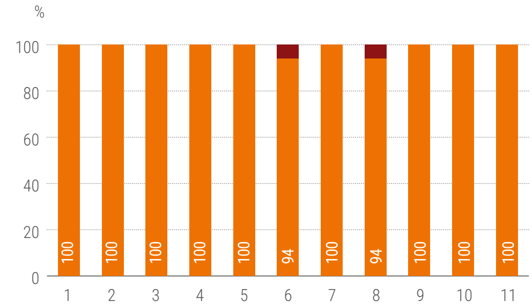

Board Audit Committee
Board HR & Remuneration Committee
Board Nomination Committee
Board Integrated Risk Management Committee
Board Related Party Transactions Review Committee
Board Credit Committee
Board Strategic Planning Committee
Board Shareholder Relations Committee
Board Treasury Committee
Board Marketing Committee
Board IT Committee
Board Capital Planning Committee
Group Chief HR Officer*
Group Chief Strategy Officer*
DGM Operations & Branch Banking
Group Learning Officer*
Group Chief Internal Auditor*
AGM Planning
AGM Branch Banking
AGM Branch Banking
AGM Operations
AGM Treasury
Group Chief Risk Officer*
AGM Internal Audit
Company Secretary
Chief Information Security Officer
Human Resources Dept.
Corporate Sustainability Dept.
Strategic Planning Dept.
Bancassurance Dept.
Business Support Centre
Branch Network
Credit Processing Unit
Lending Products Dept.
Branch Support Unit.
Operations & BPR Dept.
Network Services Centre
Central Cash Dept.
Sampath Learning Academy
Treasury Front Office
Treasury Investments & PDU Dept.
Logistics, Premises & Engineering Depts.
Myanmar Representative Office
Compliance Dept.
Risk Management Dept. & Treasury Middle Office
Systems Audit Dept.
Internal Audit Dept.
Company Secretary's Office
Information Security Dept.

CORPORATE GOVERNANCE

The Code of Best Practice on Corporate Governance 2017 Issued by the Institute of Chartered Accountants of Sri Lanka (ICASL CODE - "the Code")

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
		SECTION 1 - THE COMPANY (THE BANK)	
	A	DIRECTORS	
	A.1	THE BOARD	
(1)	A.1	Effective Board	
		The Board of Directors, until 15th February 2021 comprised Ten (10) Directors and the composition of the Board increased to Eleven (11) Directors w.e.f. 16th February 2021, out of which Nine (09) including the Chairman, functioned in a Non-Executive capacity during the year under review. The Managing Director (MD) and the Group Chief Financial Officer (GCFO), who are members of the Corporate Management, are the only Two (02) Executive Directors of the Bank. The day-to-day running of the organisation has been delegated to the Managing Director. The Board has appointed Board Sub Committees to assist in discharging its collective duties and to provide a conducive business environment for the effective performance of the Bank. The Board is closely involved in developing strategy and setting the short, medium and long-term goals of the Bank and regularly monitors performance against pre-determined Key Performance Indicators (KPIs), which include both quantitative and qualitative measures, on a regular basis. In line with the Code, the Board met Sixteen (16) times during the year 2021, to ensure the effectiveness of discharging its duties.	✓

Attendance as a Percentage at Board Meetings During 2021



1.	Mr Harsha Amarasekera	16/16
2.	Mr Rushanka Silva	16/16
3.	Mr Deshal de Mel	16/16
4.	Mr Dilip de S Wijeyeratne	16/16
5.	Ms Aroshi Nanayakkara	16/16
6.	Dr Sanjiva Weerawarana	15/16
7.	Mr Vajira Kulatilaka	16/16
8.	Mrs Keshini Jayawardena	15/16
9.	Mr Vinod Hirdaramani*	14/14
10.	Mr Nanda Fernando	16/16
11.	Mr Ajantha de Vas Gunasekara	16/16

* Appointed w.e.f. 16.02.2021

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(2)	A.1.1	Regular Meetings	
		Board meetings are held monthly whilst special Board meetings are convened as and when required. During 2021 the Board held Sixteen (16) scheduled meetings. In addition, the following Board Sub Committees met regularly during the year:	✓

1. Board Audit Committee	7. Board Strategic Planning Committee
2. Board Human Resources & Remuneration Committee	8. Board Shareholder Relations Committee
3. Board Nomination Committee	9. Board Treasury Committee
4. Board Integrated Risk Management Committee	10. Board Marketing Committee
5. Board Related Party Transactions Review Committee	11. Board IT Committee
6. Board Credit Committee	12. Board Capital Planning Committee

The meeting calendar detailing all Board and Board Sub Committee meetings for the ensuing year, is prepared well in advance and circulated to all Board Members.

All Board members use iPads to access Board Papers via secure connections and are able to join meetings even through remote access, such as video conferencing, use of online meeting platforms such as Microsoft Teams, etc. Details of Board Meetings, Mandatory Board Sub Committee Meetings and attendance are given on page 118 of this report.

In 2021, the majority of the Board and Board Sub Committee Meetings were conducted virtually, enabling the smooth functioning of the Board in view of COVID-19 pandemic.

GRI 102-30

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
		BOARD'S RESPONSIBILITIES: TO PROVIDE ENTREPRENEURIAL LEADERSHIP WITHIN A FRAMEWORK OF EFFECTIVE CONTROLS, STRENGTHENING THE SAFETY AND SOUNDNESS OF THE BANK	
(3)	A.1.2	**Ensure the Formulation and Implementation of Sound Business Strategy**	
		The Board is responsible for developing the strategic plan, establishing policies and for monitoring performance against agreed goals and KPIs. During the year, the Board reviewed the progress of the Strategic Plan 2021-2023 and re-aligned strategies based on proposals of the Corporate Management where necessary and approved the strategic plan for the period 2022 to 2024.	✓
(4)	A.1.2	**The Board has appointed a Chairman who is a Non-Independent Non-Executive Director and a Senior Independent Director**	✓
(5)	A.1.2	**Ensure that the Chief Executive Officer (CEO)/Managing Director (MD) and the Management Team possess the relevant Skills, Experience and Knowledge to Implement the Strategy**	
		The Managing Director and the Corporate Management team possess the necessary skills, knowledge and experience required to implement the strategy of the Bank.	✓
(6)	A.1.2	**Ensure the availability of an Effective Succession Strategy for the CEO/MD and KMPs**	
		The Board Nomination Committee undertakes the responsibility of adopting an effective succession strategy with regard to the MD and KMPs, in support of which, a Board-approved Procedure for Selection and Appointment of CEO and KMPs is in place.	✓
(7)	A.1.2	**Approval of Budgets and Major Capital Expenditure**	
		The Board is responsible for reviewing and approving major capital expenditure budgets based on a formal procedure. The budgets for the ensuing year are approved by the Board along with the revolving Strategic Plan for the ensuing year. At the quarterly review of the Strategic and Budget Plan for 2021-2023, the compliance with the cost budgets was also reviewed.	✓
(8)	A.1.2	**Determining the Matters Expressly Reserved to the Board and those Delegated to the Management**	
		A Board-approved formal schedule of matters specifically reserved to the Board for its decision, is in place. Further, the Board has a process of delegating authority to the management in line with the provisions of the Bank's Memorandum and Articles of Association, where necessary.	✓
(9)	A.1.2	**Ensure Effective Systems to Secure Integrity of Information, Internal Controls, Business Continuity and Risk Management**	
		The Board Audit Committee reviews Internal Audit reports submitted by the Internal Audit Department and monitors the follow up actions. Based on the assessment of Internal Control Over Financial Reporting (ICOFR) for 2021, the Directors confirmed that the Bank's ICOFR procedure is effective. A descriptive account of the measures taken in this regard is contained in the Board Audit Committee Report given on pages 166 to 168.	✓
		A Board-approved, annually-reviewed Business Continuity Plan (BCP) is in place. The Disaster Recovery (DR) Drill for the year 2021 was carried out in compliance with the requirements of said Business Continuity Plan. The Bank established a Task Force in order to implement proper BCP arrangements in response to the COVID-19 pandemic situation in the country. The situation was reviewed regularly by the Task Force and appropriate BCP strategies were implemented accordingly.	✓
		An independent Risk Management Unit is in place, headed by the Group Chief Risk Officer who functionally reports to the Board Integrated Risk Management Committee. The Risk Management Unit is tasked with the responsibility of assessing and mitigating various risks encountered by the Bank and the Group in carrying out their respective businesses.	✓

CORPORATE GOVERNANCE

GRI 102- 21,27,29,30,31,32

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
		The Bank has implemented several Tiers of Firewalls and other systems to secure Databases and Applications. In addition, the Bank Information Security Unit conducts routine Vulnerability Assessments and Code Reviews to the Software Development Life Cycle to ensure the integrity of Information. The Bank also obtains the services of an external party to conduct quarterly Vulnerability Assessments and Annual Penetration Tests to identify vulnerabilities to identify possible threats and take necessary preventive actions accordingly. In 2021, the Bank began conducting Privilege Access review using Privilege Access Management (PAM) reports. Risk Assessments were also initiated for all departments and Branches to identify their related information security risks and formulate risk treatment plans. The Bank formed an "Incident Response Team (IRT)" to take immediate actions in the event of a security breach to ensure business continuity and Information Security.	
(10)	A.1.2	Ensure Compliance with Laws, Regulations and Ethical Standards	
		An independent Compliance function is in place, headed by the Group Chief Compliance Officer (GCCO) who functionally reports to the Board Integrated Risk Management Committee. The Committee is tasked with ensuring the Bank's compliance with laws and regulations.	✓
		In order to ensure that ethical standards are followed, the Board-approved Policy on Managing Conflicts of Interest, the Whistle Blowing Policy, the Procedure on Dealing with Related Party Transactions, the Customer Charter, the Codes of Conduct for Employees, the Key Management Personnel and the Code of Conduct and Governance Requirements for Directors have been implemented Bank-wide and as appropriate.	✓
(11)	A.1.2	Ensure all Stakeholder Interests are Considered in Corporate Decisions	
		The Articles of Association of the Bank requires the Directors to make decisions, taking into account the interest of all stakeholders including customers, shareholders, employees, the community, etc. Additionally, the Customer Charter, the Bank's HR Policy manual, the Policy on Managing Conflicts of Interest, the Board Shareholder Relations Committee as well as the Board Related Party Transactions Review Committee are in place in order to uphold the interests of these key stakeholders.	✓
(12)	A.1.2	Recognising Sustainable Business Development and Consider the Need for Adopting "Integrated Reporting"	
		The Board of Directors, both individually and collectively comply with best practices on economic, environmental and social topics whilst ensuring that the interest of all shareholder groups are considered when taking decisions.	✓
(13)	A.1.2	Ensure that the Company's Values and Standards are set with Emphasis on Adopting Appropriate Accounting Policies and Fostering Compliance with Financial Regulations	
		The Board Audit Committee and the Board respectively review and approve the Bank's accounting policies annually or sooner if required, to ensure that they are in line with the business model of the Bank and evolving international and local accounting standards and industry best practices.	✓
(14)	A.1.2	Establish a Process of Monitoring and Evaluation on Strategy Implementation, Budgets, Plans and Related Risks	
		The Board Strategic Planning Committee ensures that the revolving Strategic Plan relevant for the current year is reviewed on a periodic basis, in order to facilitate strategic realignment wherever and whenever deemed necessary or appropriate. The Strategic Plan for 2021-2023 was duly reviewed by this Committee quarterly in this manner. The Terms of Reference of the Board Integrated Risk Management Committee requires the Risk Management Unit to analyse and submit to the Board for the it's information, consideration and appropriate action, the Risks arising out of strategies. This is done to support the Board in approving the revolving Strategic Plan. The Board considered the risks highlighted by the Risk Management Unit as risks arising out of strategies prior to approving the Revolving Strategic Plan for 2022-2024.	✓

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(15)	A.1.2	**Ensuring that a Process is Established for Corporate Reporting on Annual and Quarterly Basis**	
		Annual Audited Financial Statements and Quarterly Financial Statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable Accounting Standards.	✓
(16)	A.1.2	**Fulfil such other Board Functions as are Vital, given the Scale, Nature and Complexity of the Business Concerned**	
		The Board is committed to fulfil its functions in line with the laws, regulations and good governance practices adopted by the Bank.	✓
(17)	A.1.3	**Availability of a procedure for Directors to obtain Independent Professional Advice at the Bank's Expense**	
		A Board-approved policy is in place, enabling Directors to seek and obtain independent professional advice.	✓
(18)	A.1.4 (a)	**Directors' Access to Advice and Services of the Company Secretary and the Appointment and Removal of the Company Secretary**	
		As per the Board-approved policy providing Directors access to advice and services of the Company Secretary, all Directors have the opportunity to obtain the advice and services of the Company Secretary who is a KMP responsible for ensuring follow-up of Board procedures, compliance with relevant rules and regulations, directions and statutes. The Articles of Association of the Bank specify that the appointment and removal of the Company Secretary shall be by way of a Board resolution.	✓
(19)	A.1.4 (b)	**Insurance Cover for Board of Directors and KMPs**	
		An insurance policy is in place to cover the Board of Directors and KMPs of the Bank.	✓
(20)	A.1.5	**Independent Judgement of Board of Directors**	
		Directors exercise independent judgement in the effective discharge of their duties and responsibilities on matters relating to the Board including strategy, performance, resource allocation, risk management, compliance and standard of business conduct.	✓
(21)	A.1.6	**Dedicate Adequate Time and Effort to Matters of the Board and the Company**	
		Dates of regular Board meetings and Board Sub Committee meetings are scheduled well in advance and the relevant papers are circulated generally seven days prior to the meeting. There is provision to circulate urgent papers closer to the meeting on an exceptional basis. Every Director has dedicated adequate time and effort to matters pertaining to the Board and the Bank. These Directors who are also members of the Board Sub Committees have satisfactorily discharged their duties and responsibilities towards the affairs of the Bank. The attendance at meetings of the Board and its mandatory Sub Committees is given on page 118.	✓

CORPORATE GOVERNANCE

GRI 102-22,23,27

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(22)	A.1.7	**One-Third of the Directors can call for a Resolution to be Presented to the Board where they feel it is in the Best Interest of the Company to do so**	
		A Board approved procedure is in place to permit any Director to suggest and include any matter in the Board and/or in a Sub-committee meeting agenda.	✓
(23)	A.1.8	**Training for Directors**	
		The Company Secretary, in consultation with the Chairman, recommends Directors to attend training sessions/ seminars. During the year 2021, the Directors attended the following training programmes focusing on both general aspects of directorship and matters specific to the industry. - The AmCham SL Law Review 06/Insolvency liquidation and Winding up - "Beyond Basics: Excellence in Corporate Governance" - New Developments on Anti Money Laundering (AML) and Director's responsibility - Statutory Requirements Governing Share Dealings by Directors - "Insights to Serve Better 2021" - Cyber Security Awareness Programme - ICRA Lanka Board Room Brief - 2Q Update The Board being the highest governance body identifies the significance of developing and enhancing its collective knowledge on economic, environmental and social topics. The annual self-assessment by Directors also covers aspects on training to identify training needs for Directors. In addition, a formal Induction Programme is conducted for the newly appointed Directors. Additionally, the Board encourages knowledge sharing amongst the Directors. A dedicated knowledge sharing platform under the theme "Towards a Governance Culture" is in place to keep the Board apprised of key developments of Corporate Governance. The Directors are also informed on the important information on shareholders, including the movements in shareholding positions of the Bank's major shareholders.	✓
	A.2	DIVISION OF RESPONSIBILITIES BETWEEN CHAIRMAN AND MANAGING DIRECTOR (MD)	
(24)	A.2	**Conducting the Business of the Board Separately to the Executive Responsibilities of the Management of the Company**	
		The positions of the Chairman and the CEO/MD have been separated in line with best practices in order to maintain a balance of power and authority. The Chairman is a Non-Executive Director whilst the CEO/MD serves as an Executive Director.	✓
	A.3	CHAIRMAN'S ROLE	
(25)	A.3	**Chairman's Role in Preserving Good Corporate Governance**	
		The Chairman's functions and responsibilities are specified in the Code, the Continuing Listing Requirements of the CSE and the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks in Sri Lanka. These have been documented and duly approved by the Board.	✓

GRI 102-22

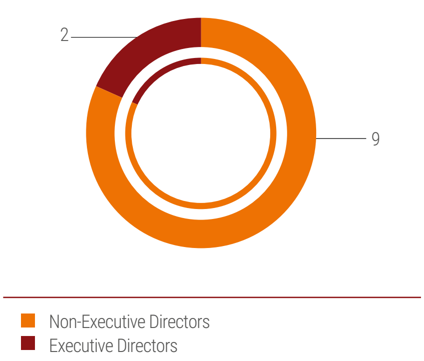
	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(26)	A.3.1	**Conduct Board Proceedings in a Proper Manner**	
		The routine agenda for Board Meetings is developed by the Chairman in consultation with all other Directors including the CEO/MD and the Company Secretary. These items include but are not limited to discussions on strategy, the Bank's performance, Industry Performance, Financials, Resource allocation, Risk Management and Compliance.	✓
		Board proceedings are conducted according to the agenda. The papers for discussion and the agenda are generally circulated seven days prior to the meeting by uploading the same via a secure link. All Directors have been provided with iPads to enable them to access the current as well as the past Board papers via this secure link.	✓
		The Code of Conduct and Governance Requirements for Directors and the Terms of Reference of each Board Sub Committee spell out the Directors' duties and responsibilities and the standard of care expected of them. These documents too have been uploaded as "Shared Documents" providing easy and prompt access via the said secure link to Directors.	✓
		All Directors make effective contributions at meetings for the benefit of the Bank, offering their views, concerns and advice based on their respective field of expertise and their professional experience.	✓
		All Directors have access to the management to seek information for discussions at Board Meetings. Board papers are quite informative and any further information required by Directors are provided by the management, upon request. All Directors have the liberty to request inclusion of matters of concern in the agenda as per the Board-approved procedure to enable Directors to include matters and proposals in the agenda.	✓
		Board's composition being Nine (09) Non-Executive Directors and Two (02) Executive Directors, the required balance and independence in judgements is ensured and maintained.	✓
		The Minutes of Board Meetings and Board Sub Committee Meetings carry various concerns raised and views expressed by Directors individually in the deliberations as precisely as possible.	✓
		The Board is aware of its responsibility towards all stakeholders of the Bank and are in control of the affairs of the Bank.	✓
	A.4	FINANCIAL ACUMEN	
(27)	A.4	**Availability of Financial Acumen and Knowledge to offer Guidance on Matters of Finance**	
		Financial acumen has been a key attribute in the careers of the following Directors who have held senior positions related to finance in leading financial institutions: - Mr Harsha Amarasekera - Mr Nanda Fernando - Mr Rushanka Silva - Mr Deshal de Mel - Mr Dilip de S Wijeyeratne - Ms Aroshi Nanayakkara - Mr Vajira Kulatilaka - Mrs Keshini Jayawardena - Mr Ajantha de Vas Gunasekara	✓

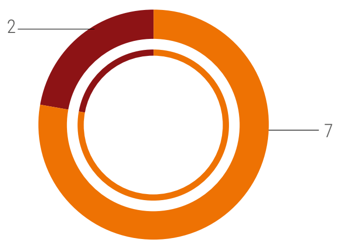
CORPORATE GOVERNANCE

GRI 102-22

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	A.5	BOARD BALANCE	
(28)	A.5.1	Non-Executive Directors of Sufficient Calibre and Number	
		As prescribed by the Code, a majority of the Board consisted of Non-Executive Directors. The composition of Non-Executive Directors remained at Eight (08) until 15th February 2021. This requirement was further strengthened with the appointment of another Non-Executive Director to the Board w.e.f. 16th February 2021, which in turn increased the total number of Non-Executive Directors to Nine (09) including the Chairman. Both the MD and the GCFO functioned as Executive Directors.	✓
		The Non-Executive Directors are professionals/academics/business leaders, holding/having held senior positions in their respective fields who are deemed to be of sufficient and appropriate calibre. As the majority of the Board comprises Non-Executive Directors, their opinions and views carry significant weight in the Board decisions.	✓
		The Chairman is a President's Counsel, and is an eminent legal practitioner in Sri Lanka with a wide practice in both the Commercial Courts as well as the Appellate Courts. The MD is a Senior Fellow Member of the Institute of Bankers of Sri Lanka (IBSL). One Director holds a PhD in Computer Science. Six Directors including the MD, hold Masters' Degrees in Business Administration, International Political Economy, Industrial Engineering, Applied Mathematics and Computer Science and Management. Six Directors hold Bachelor's degrees in Arts, International Relations, Civil Engineering, Management, Philosophy, Political Science and Economics and Applied Mathematics and Computer Science. Two Directors are Fellow Members and Two Directors are Associate Members of the Chartered Institute of Management Accountants, UK. One Director is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka as well as a Fellow Member of Certified Management Accountants of Sri Lanka, whilst one Director is an Associate Member of the Institute of Chartered Accountants of Sri Lanka and another Director is a Chartered Financial Analyst.	✓

Executive Directors & Non-Executive Directors



	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(29)	A.5.2	Two-Thirds of the Non-Executive Directors should be Independent	
		During the year under review, until 15th February 2021, Six (06) out of Eight (08) Non-Executive Directors were Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with their ability to exercise their unfettered and independent judgement, and w.e.f 16th February 2021 the composition of Independent Non-Executive Directors increased to Seven (07), thereby meeting the criteria of both, the Code as well as of the Banking Act Direction No. 11 of 2007 Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (CBSL), and complying with the regulatory requirements. Independence of Non-Executive Directors  	✓
(30)	A.5.3	Independence of Non-Executive Directors	
		Seven (07) of the Non-Executive Directors were independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgement.	✓
(31)	A.5.4	Annual Declarations have been obtained from each Non-Executive Director as to the status of Independence/ Non-Independence for the year 2021	✓
(32)	A.5.5	Annual Evaluation of Independence	
		The Board carried out the annual evaluation of independence of the Directors based on the submission of the annual declarations. Based on these declarations, the following Directors were deemed to be independent as at 31st December 2021: - Mr Deshal de Mel - Mr Dilip de S Wijeyeratne - Ms Aroshi Nanayakkara - Dr Sanjiva Weerawarana - Mr Vajira Kulatilaka - Mrs Keshini Jayawardena - Mr Vinod Hirdaramani	✓

CORPORATE GOVERNANCE

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(33)	A.5.6	Alternate Directors	
		As per the Board-approved policy, the appointment of Alternate Directors to represent Directors at meetings can be done where necessary subject to regulatory requirements/approvals. There were no alternate Directors appointed during the year 2021.	✓
(34)	A 5.7 (a)	Appointment of Senior Independent Director (SID)	
		Since the Chairman of the Bank, Mr Harsha Amarasekera, is a Non-Independent Director, Mr Deshal de Mel has been appointed as the SID of the Board to ensure the independent element in decision making.	✓
(35)	A 5.7 (b)	Meetings with the Senior Independent Director	
		The SID held Two (02) meetings with the Non-Executive Directors and One (01) meeting with the Executive Directors during the year 2021.	✓
(36)	A.5.8	The SID is available for the Non-Executive Directors for Confidential Discussions and Represents all Shareholders at Meetings	✓
(37)	A.5.9	Chairman to hold at least One Meeting with Non-Executive Directors, without Executive Directors being Present	✓
(38)	A.5.10	Recording of Directors' Concerns in Board Minutes	
		Board Minutes are prepared in order to record any concerns of the Board as a whole or those of individual Directors regarding matters placed for their approval/guidance/action. These Minutes are circulated and formally approved at Board meetings. In the process of minuting the proceedings of a meeting, the concerns raised by each Director are clearly recorded together with the responses of the others.	✓
	A.6	SUPPLY OF RELEVANT INFORMATION	
(39)	A.6	Provision of Appropriate and Timely Information	
		The management provides comprehensive information including both quantitative and qualitative information for the monthly Board Meetings. The Directors also have free and open access to Management at all levels to obtain further information or clarify any concerns they may have. As described above, they also have the right to seek independent professional advice at the Company's expense, in support of which a Board-approved policy is in place.	✓
(40)	A.6.1	Chairman to Ensure all Directors are Properly Briefed on Issues Arising at Board Meetings	
		All Directors are promptly and adequately briefed on matters arising at Board meetings through comprehensive Board Papers. Additionally, the relevant members of the Management team are on standby for further clarifications as may be required by Directors or will make presentations at Board meetings where necessary. Any Director who was unable to attend a meeting is updated on proceedings prior to the next meeting through: ➲ Formally documented minutes of meetings; ➲ A separate document on matters arising out of minutes highlighting the items which need to be completed and need follow-up actions of the previous meetings (This is taken up immediately after confirmation of minutes); ➲ Archived minutes and Board papers accessible electronically at the convenience of the Directors.	✓
(41)	A.6.2	Board Papers and Agenda to be Circulated Seven Days Prior to Meetings	
		As described above, Board papers which comprises the agenda gets circulated generally seven days prior to the meeting. Adequate provisions are in place for circulation of urgent papers and/or papers on highly sensitive matters with a shorter notice and also for approval of matters by circulation, but such instances are the exception and not the rule. Further, minutes of Board meetings are generally provided within the stipulated period.	✓

GRI 102-24,27,28

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	A.7	APPOINTMENTS TO THE BOARD	
(42)	A.7.1	**Formal and Transparent Procedure for New Appointments through an Established Nomination Committee**	
		The Board has established a Board Nomination Committee whose Terms of Reference complies with the specimen given in the Code and with the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks. Membership of the Board Nomination Committee is given on page 171 of the Annual Report. New Directors (both Executive and Non-Executive) are appointed by the Board upon consideration of recommendations by the Board Nomination Committee in terms of the Board-approved Policy on Selection, Nomination, Appointment and Election of Directors which is in place to support this process.	✓
(43)	A.7.2	**Annually Assess Board Composition**	
		The Board, on the recommendation of the Board Nomination Committee, considers the requirement of additional skills, knowledge and expertise to the Board as and when required. Further the Board annually assesses its composition to ascertain whether the combined knowledge and experience of the Board matches the strategic demands facing the Bank.	✓
(44)	A.7.3	**Disclosure of Information to Shareholders upon Appointment of New Directors**	
		All new appointments to the Board are communicated to the shareholders via the Colombo Stock Exchange, together with brief resumes of such Directors. Such announcements set out the fields of the respective Director's expertise, his/her directorships in other companies, the number of shares he/she holds in the Bank, whether he/she is appointed as an Executive Director or a Non-Executive Director, and whether as an Independent Director or as a Non-Independent Director. Accordingly, the appointment of Mr Vinod Hirdaramani was announced to the public during the year under review. The profiles of the current Directors are given on pages 12 to 17 in this Annual Report.	✓
	A.8	RE-ELECTION	
(45)	A.8	**All Directors should Submit Themselves for Re-Election at Regular Intervals**	
		As per the Articles of Association of the Bank, one-third of the Directors retire at each Annual General Meeting and offer themselves for re-election. Such Directors who retire are those who held office for the longest period since their last election/appointment. In accordance with this provision, the following Directors retire and offer themselves for re-election at the 36th Annual General Meeting: ➲ Mr Rushanka Silva ➲ Mr Dilip de S Wijeyeratne ➲ Mr Vajira Kulatilaka Following Directors were re-elected at the 35th Annual General Meeting: ➲ Mr Deshal de Mel ➲ Ms Aroshi Nanayakkara ➲ Dr Sanjiva Weerawarana A brief resume of each Director standing for re-election is given on pages 12 to 17 in this Annual Report to enable shareholders to make an informed decision.	✓
(46)	A.8.1	**Non-Executive Directors are Appointed for Specified Terms Subject to Re-Election**	
		Non-Executive Directors are appointed with the approval of the Central Bank of Sri Lanka (CBSL) and stand for election at the immediately succeeding Annual General Meetings in terms of Articles of Association of the Bank. This is in compliance with the requirements of the Code as well as the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks.	✓

CORPORATE GOVERNANCE

GRI 102-28

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(47)	A.8.2	**All Directors including Chairman to be Subject to Election at First Opportunity after Appointment and Re-Election in line with the requirements of the Articles of Association**	
		All Directors stand for election by shareholders at Annual General Meetings immediately following their appointments. Mr Vajira Kulatilaka, Mr Harsha Amarasekera, Mrs Keshini Jayawardena, Mr Ajantha de Vas Gunasekara and Mr Vinod Hirdaramani who were appointed to the Board w.e.f. 25th June 2020, 18th August 2020, 01st October 2020, 29th October 2020 and 16th February 2021 respectively, were elected by the shareholders at the 35th Annual General Meeting held on 30th March 2021.	✓
(48)	A.8.3	**Resignation of a Director**	
		In the event that a Director wishes to resign from his/her position as a Director, he/she is expected to provide a written communication to the Board, tendering his/her resignation along with reasons for such resignation. Such requests would be duly tabled at the immediately succeeding Board Meeting. No Directors tendered resignations during the year under review.	✓
	A.9	APPRAISAL OF BOARD PERFORMANCE	
(49)	A.9.1	**Annual Assessment of Board and Sub Committee Performance**	
		Each Director of the Board annually appraises the Board's own performance to ensure that the Board is discharging its responsibilities satisfactorily. This process requires each Director to fill a Board Performance Evaluation Form in line with the provisions of the relevant section of the Code. The responses are reviewed by the Company Secretary who compiles a report which is submitted for discussion at a Board Meeting. The same process is followed for all Board Sub Committees.	✓
(50)	A.9.2	**Annual Self-evaluation of Board and Sub Committee Performance**	
		The Board undertakes an annual self-evaluation of its own performance and the responses are retained by the Company Secretary.	✓
(51)	A.9.3	**Process to Review Directors' Performance at the Time of Re-Election**	
		A Self Review process to ascertain the extent of the contribution, participation and engagement of each Director is followed simultaneously with the Board Performance Evaluation by the Directors.	✓
(52)	A.9.4	**Disclosure of the Method of Appraisal of the Board and Board Sub Committee Performance**	
		As explained in A.9.1, A.9.2 and A.9.3 above.	✓
	A.10	DISCLOSURE OF INFORMATION IN RESPECT OF DIRECTORS **Shareholders should be kept advised of relevant details in respect of Directors**	
(53)	A.10.1	**Annual Report Discloses the Following Information Relating to Directors:**	
		➲ Name, qualifications, expertise in relevant functional areas, material business interests and a brief profile of each Director is given on pages 12 to 17.	✓
		➲ Each Director's Executive/Non-Executive and Independence/Non-Independence status is given on pages 12 to 17.	✓
		➲ Related Party Transactions are given on pages 292 to 295.	✓
		➲ Names of companies and other entities in which each Director concerned serves as a Board member are given on pages 12 to 17.	✓
		➲ Membership of Directors in Board Mandatory Sub Committees are given on pages 166 to 176 and their attendance at Board Meetings and Board Sub Committee meetings are given on page 118.	✓

GRI 102-35,36

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	A.11	APPRAISAL OF CHIEF EXECUTIVE OFFICER (CEO)/MANAGING DIRECTOR (MD)	
		The Board should at least annually, assess the performance of the CEO	
(54)	A.11.1	**Set Reasonable Financial and Non-Financial Targets to be Met by the CEO/MD**	
		The Board at the beginning of 2021, discussed and set financial and non-financial targets to be achieved during the year by the MD with reference to the short, medium and long-term objectives of the Bank.	✓
(55)	A.11.2	**Evaluate Performance of the CEO/MD with Reference to Targets**	
		The performance evaluation of the MD for 2020 was carried out by the Board Human Resources and Remuneration Committee with reference to targets and goals achieved by the Bank which were reported to the Board. The Board expressed its satisfaction at the MD's level of performance during 2020.	✓
	B	DIRECTORS' REMUNERATION	
	B.1	REMUNERATION PROCEDURE	
(56)	B.1.1	**Appointment of a Remuneration Committee**	
		The Board has established a Board Human Resources and Remuneration Committee (the Committee) to develop policies and recommend remuneration for the Directors, CEO/MD and KMPs respectively for approval by the Board, in line with the Terms of Reference of this Committee which is substantially in compliance with Schedule C of the Code and other regulatory guidelines and the Committee held Fifteen (15) meetings during the year under review. Further information regarding the Committee is given in the Board Human Resources and Remuneration Committee Report on pages 169 and 170.	✓
(57)	B.1.2 & B.1.3	**Remuneration Committee to Comprise Exclusively of Non-Executive Directors, of whom the Majority should be Independent whilst the Chairperson of the Committee should be an Independent Director**	
		The Committee's composition during the year under review was as follows: ➲ Ms Aroshi Nanayakkara (Chairperson) (IND/NED) ➲ Mr Dilip de S Wijeyeratne (IND/NED) ➲ Mr Deshal de Mel (IND/NED) ➲ Mr Vajira Kulatilaka (IND/NED) ➲ Mr Vinod Hirdaramani (w.e.f. 25.02.2021) (IND/NED) (IND - Independent Director, NED - Non-Executive Director)	✓
(58)	B.1.4	**Remuneration for Non-Executive Directors**	
		Remuneration of Non-Executive Directors is determined by the Board as a whole, in accordance with the Board-approved Policy on Directors' Remuneration set out under the Articles of Association of the Bank.	✓
(59)	B.1.5	**Remuneration of Executive Directors**	
		The Board-approved Reward Management Policy for KMPs is in place and governs the remuneration of the Executive Directors including the Executive Directors who are KMPs.	✓
	B.2	THE LEVEL AND MAKEUP OF REMUNERATION	
(60)	B.2.1 & B.2.2	**Remuneration for Executive Directors should Attract, Retain and Motivate**	
		Remuneration for Executive Directors is determined by the Committee and is designed to attract, retain and motivate Executive Directors.	✓

CORPORATE GOVERNANCE

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(61)	B.2.3	Positioning Company Remuneration Levels Relative to Other Companies	
		The Committee, where necessary, reviews the Bank's remuneration levels vis-à-vis industry standards and other corporate benchmarks.	✓
(62)	B.2.4	Sensitivity of the Remuneration Committee to Remuneration and Employment Conditions	
		When considering employee incentives, the Committee is mindful of the comparative employment conditions and considers the nature and extent of responsibility, the work volume and the level of performance against the pre-determined targets.	✓
(63)	B.2.5	Performance Related Elements of Remuneration for Executive Directors	
		An extremely challenging, but transparent performance related elements are part of the remuneration applicable for Executive Directors. It has been designed in this manner enable Executive Directors to align their interest with that of the Bank and main stakeholders and to provide such Directors appropriate incentives to perform at the highest level. These performance related elements are approved by the Board considering the recommendations made by the Committee.	✓
(64)	B.2.6	Share Option Schemes	
		No share option scheme was implemented or introduced during 2021.	✓
(65)	B.2.7	Designing Schemes of Performance Related Remuneration	
		Team based performance related remuneration has been in force in the Bank since 2016 and applies to all employees. However, under this scheme, no performance related remuneration is granted in the retrospect.	✓
(66)	B.2.8	Early Termination of Employment of Directors	
		No Contract for Services has been entered into by the Bank with its Non-Executive Directors. The term of a Director (whether Executive or Non-Executive) would come to an end in the circumstances set out in the Board-approved Procedure for Selection, Nomination and Appointment of Directors. No compensation is payable by the Bank to its Non-Executive Directors on "early termination" of term for any reason whatsoever. This is supported by the Board-approved Directors' Remuneration Policy which is in place. The terms of employment of the Executive Directors who are employees of the Bank including the MD, are governed by their respective Contracts of Employment.	✓
(67)	B.2.9	Dealing with Early Termination	
		As stated in B 2.8 above, the Bank has not adopted a policy or a practice to grant compensation to Non-Executive Directors whose term is prematurely terminated for any reason whatsoever.	✓
(68)	B.2.10	Levels of Remuneration for Non-Executive Directors	
		The Board as a whole determines the levels of remuneration for Non-Executive Directors taking into account, the time, commitment and responsibilities of their role and market practices. Remuneration for Non-Executive Directors does not include share option schemes. A Board-approved policy on Directors' Remuneration is in place, setting out the Bank's policy and principles with regard to remuneration for the Non-Executive Directors.	✓
	B.3	DISCLOSURE OF REMUNERATION	
(69)	B.3.1	Composition of Board Human Resource and Remuneration Committee, Remuneration Policy and Disclosure of Aggregate Remuneration Paid to Directors	
		➲ The composition of the Committee and its report is given on pages 169 and 170.	✓
		➲ The aggregate remuneration to Executive and Non-Executive Directors is given in Note 47.3.1 to the Financial Statements on page 292.	✓

GRI 102-21,33

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	C	RELATIONS WITH SHAREHOLDERS	
	C.1	CONSTRUCTIVE USE OF THE ANNUAL GENERAL MEETING (AGM) AND CONDUCT OF GENERAL MEETINGS	
(70)	C.1.1	Constructive Use of the AGM & Other General Meetings	
		The Annual General Meeting is the main forum for contact between shareholders and the Board. The 35th AGM was live streamed from the Bank's Head Office to shareholders without any disruptions, via "Zoom" video communications app, in line with the guidelines issued by the Ministry of Health. The Annual Report, together with the Notice of the AGM and the other papers related thereto, are duly circulated to all shareholders, 15 working days prior to the AGM.	✓
(71)	C.1.2	Adoption of Separate Resolution and Count of all Proxy Votes Lodged	
		Separate resolutions are proposed and adopted on each substantial issue at the AGM, particularly relating to the adoption of the Annual Report of the Board of Directors and the Accounts. All proxy votes lodged, together with the votes of shareholders who participated at the AGM are considered for each resolution. Any votes withheld are not considered in determining the number of votes for and against each resolution.	✓
(72)	C.1.3	To Ensure that all Valid Proxy Appointments Received for General Meetings are Properly Recorded and Counted	
		The Bank duly maintains a register where the Proxies received are registered. The register is closed after the deadline for Proxies to be lodged as per the Notice of Meeting and the number of votes received for and against each resolution is announced at the relevant General Meeting. At the meeting, for adoption of each resolution, the Chairman, in addition to the details of the Proxies registered, calls for a vote in line with the established practices followed by the announcement as to whether the resolution is carried or not.	✓
(73)	C.1.4	Availability of Mandatory Board Sub Committee Chairpersons and Senior Independent Director at the AGM	✓
(74)	C.1.5	Circulation of Notice of AGM and Related Documents to Shareholders	
		Notice of the AGM and other related documents are circulated to shareholders at least 15 working days prior to the meeting in accordance with the regulations.	✓
(75)	C.1.5	Summary of Procedures Governing Voting at the AGM	
		A summary of the procedure governing voting at the AGM is provided in the Form of Proxy, which is circulated to shareholders 15 working days prior to the AGM.	✓
	C.2	COMMUNICATION WITH SHAREHOLDERS To implement effective communication with shareholders	
(76)	C.2.1	A Channel to be Available to Reach all Shareholders of the Company for Timely Dissemination of Information	
		The Bank posts on its website (www.sampath.lk) copies of Annual Reports, Interim Financial Statements and all other material information relating to the Bank. These are posted on the website as soon as possible and practical upon releasing the same to the Colombo Stock Exchange. All public disclosures (immediate or otherwise) promptly reach the shareholders through the Market Announcements made by the Bank. The Bank aims to provide fair and transparent disclosures with emphasis on the integrity, accuracy, timeliness and relevance of the information provided. In addition, the Board has appointed a Sub Committee on Shareholder Relations tasked with identifying and addressing the shareholders' concerns. Sampath Bank is the first listed entity in Sri Lanka to form such a Committee. Additionally, the AGM also serves as a platform for the Bank to engage its shareholders. Sampath Bank has a proud history of well attended AGMs where shareholders take an active role in exercising their rights.	✓
(77)	C.2.2	Policy and Methodology for Communication with Shareholders	
		A Board-approved Policy on Communication is in place, in which the provisions for communicating with shareholders are specifically addressed.	✓

CORPORATE GOVERNANCE

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(78)	C.2.3	Implementation of the Policy and Methodology for Communication with Shareholders	
		The mechanism to Implement the said Policy on Communication is clearly stated under the "Policy Implementation Mechanism" which spells out the responsibilities of different officers/categories of officers, with regard to communication with different categories of stakeholders.	✓
(79)	C.2.4 & C.2.6	Contact Person in Relation to Shareholder Matters The Company should disclose the contact person for such communication	
		Shareholders are duly notified that any communication/correspondence with the Bank should be through the Company Secretary. They may provide their comments and suggestions to the Directors or Management through the Company Secretary. The contact numbers of the Company Secretary are provided in the Annual Report. Additionally, shareholders are at liberty even to communicate directly with any of the Board Members. They may, at any time, direct questions to and request for publicly available information from the Directors or management of the Bank.	✓
(80)	C.2.5	Process to Make all Directors Aware of Major Issues and Concerns of Shareholders	
		The Company Secretary takes appropriate actions based on the concerns/requests received by the shareholders.	✓
(81)	C.2.7	Process of Responding to Shareholder Matters	
		As stated in C.2.5.	✓
	C.3	MAJOR AND MATERIAL TRANSACTIONS Disclosures to shareholders in terms of the Companies Act and Regulations issued under the Securities and Exchange Commission of Sri Lanka Act	
(82)	C.3.1 & C.3.2	Disclosure of Major Transactions	
		The Bank's Procedure on Related Party Transactions provides for mandatory public disclosure of any major Related Party Transaction or a series of such transactions the Bank is about to engage in, of which the value is greater than One Third of the assets of the Bank, requiring the approval of the shareholders by an Ordinary Resolution therefore. Further, in terms of Section 185 of the Companies Act, any major transaction proposed to be entered into by the Bank too requires approval of the shareholders by virtue of a special resolution, when the due notice to the public would be given through market announcements. During the year under review, the Bank did not engage in or commit any "Major Transaction" which materially affected the Bank's net asset base, warranting neither such disclosure nor such approval by the shareholders.	✓
	D	ACCOUNTABILITY AND AUDIT	
(83)	D.1	FINANCIAL AND BUSINESS REPORTING (THE ANNUAL REPORT) The Bank's Annual Report aims to present a balanced and an understandable assessment of its financial position, performance, business model, governance structure, risk management, internal controls as well as the challenges, opportunities and future prospects	
		The Bank's position and prospects have been discussed in detail in the following sections of this Annual Report. ➲ Chairman's Message is given on pages 44 to 47. ➲ Managing Director's Review is given on pages 48 to 54. ➲ Management Discussion and Analysis are given on pages 55 to 100.	✓

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(84)	D.1.1	**Board's Responsibility in Financial Reporting**	
		A true and fair, balanced and understandable Financial Statements prepared in accordance with the relevant accounting standards, laws and regulations are given on pages 200 to 340 in this Annual Report.	✓
(85)	D.1.2	**Interim Reports, Price-Sensitive Public Reports, Regulatory Reports and Statutory Information Requirements**	
		Interim reports for each quarter were published within the timelines stipulated by the relevant regulatory authorities. The information included in the interim reports would enable shareholders to gain an understanding of the state of affairs of the Bank. Reports required by the regulators including the Central Bank of Sri Lanka, the Department of Inland Revenue, the Registrar of Companies and the Colombo Stock Exchange were all filed in a timely manner in compliance with the relevant statutory requirements and these provided sufficient information for the user to obtain a balanced assessment of the Bank`s operations.	✓
(86)	D.1.3	**Declaration made by the Managing Director and Chief Financial Officer in Maintaining Accurate Financial Records in Compliance with the Appropriate Accounting Standards**	
		The Managing Director's and the Group Chief Financial Officer's Responsibility Statement is given on page 193 of this Annual Report.	✓
(87)	D.1.4	**Declaration in Annual Report of the Board of Directors on the Affairs of the Company**	
		The Annual Report of the Board of Directors on the Affairs of the Company on pages 179 to 189 contains the declarations as required by the Code.	✓
(88)	D.1.5	**Responsibilities of the Board for the Preparation and Presentation of Financial Statements and Statement by the Auditors about their Reporting Responsibilities**	
		The Statement of Directors' Responsibility for Financial Reporting and Report of the Auditors which includes a statement about their reporting responsibilities are provided on pages 194 to 195 and 196 to 199 respectively.	✓
(89)	D.1.6	**Inclusion of a Management Discussion and Analysis**	
		The Management Discussion and Analysis contained in pages 55 to 100 covers the information specified in the Code which include the following: ➲ Business model ➲ Industry structure and developments ➲ Opportunities and threats ➲ Risk Management ➲ Internal Control Systems and their adequacy ➲ Governance ➲ Stakeholder Relationships ➲ Social and environmental protection activities carried out by the Company ➲ Financial performance ➲ Investment in Physical and Intellectual Capital ➲ Material developments in Human Resources, Industrial Relations and prospects for the future	✓
(90)	D.1.7	**Notify Shareholders in case Net Assets of the Bank Fall Below 50%**	
		This situation did not arise during the year under review. However, in the event the need arises the Bank would have duly notified the shareholders in line with applicable laws.	✓

CORPORATE GOVERNANCE

GRI 102-25,29,30,31,32

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
(91)	D.1.8	Related Party Transactions	
		A Board-approved and formally documented process is in place for identifying and dealing with Related Party Transactions, identifying Related Parties and such transactions and includes a mechanism to ensure that no favourable treatment is granted to said parties in order to prevent the Bank from granting favourable treatment to Related Parties. Further, to prevent any conflict of interest in this regard, a Board approved Policy on Managing Conflicts of Interest is also in place. An effective and comprehensive system of Internal Control for identifying, recording and disclosing Related Party Transactions too is in place. In addition, a procedure has been issued explaining the methodology to be followed in granting accommodation to Directors or to close relations of Directors, or to concerns in which Directors may have substantial interest. Directors and KMPs are required to submit declarations disclosing their transactions with the Bank and the Group as and when required. All Related Party Transactions as defined by the Sri Lanka Accounting Standards - LKAS 24 (Related Party Transactions) are disclosed in Note 47 to the Financial Statements on pages 292 to 295.	✓
	D.2	RISK MANAGEMENT AND INTERNAL CONTROL	
(92)	D.2.1	Board's Responsibility to Monitor the Company's Risk Management and Internal Control System	
		The Board of Directors is responsible for the adequacy and effectiveness of the internal control mechanism in place at the Bank. In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank.	✓
(93)	D.2.2	Confirmation by the Directors on Carrying out a Robust Assessment of the Principle Risks faced by the Bank	
		The Board Integrated Risk Management Committee is responsible for assessing all risks including credit, market, liquidity, operational and strategic risks to the Bank on a regular basis through appropriate risk indicators and management information. The Board Integrated Risk Management Committee Report is given on pages 172 to 174.	✓
(94)	D.2.3	Need for an Internal Audit Function	
		The Bank has established an Internal Audit function headed by the Group Chief Internal Auditor who is independent and reports directly to the Board Audit Committee. The Board Audit Committee exercises oversight over the same. The Board Audit Committee reviews the Internal Audit function at regular intervals.	✓
(95)	D.2.4	Review of the Process and Effectiveness of Risk Management and Internal Control by the Audit Committee	
		The Board is responsible for formulating and implementing appropriate and adequate Internal Control Systems. The Board Audit Committee has responsibility to the Board to ensure that the system of Internal Controls is sufficient and effective. A Separate Risk Committee is in place to monitor the overall risk of the Bank.	✓
(96)	D.2.5	The Statement of Internal Control	
		Directors' Statement on Internal Control over Financial Reporting is given on pages 190 to 191.	✓

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	D.3	AUDIT COMMITTEE (the Committee)	
(97)	D.3	BOARD AUDIT COMMITTEE (the Committee) Arrangements for Selection and Application of Accounting Policies, Financial Reporting and Internal Control Principles	
		Since 1997, the Bank has established the Board Audit Committee in keeping with practices of good governance. The principal responsibilities of the Board Audit Committee include oversight over Financial Reporting, Internal Controls and monitoring Auditor Independence. The duties of the Board Audit Committee include gaining assurance on control over financial processes, integrity of the Bank's financial reports, monitoring performance, objectivity and independence of the External Auditors and reviewing the work of the Internal Audit function. The Board Audit Committee Report is given on pages 166 to 168 in the Annual Report.	✓
(98)	D.3.1	Composition of the Board Audit Committee	
		During the year under review, the Board Audit Committee, comprised of Three (03) Independent, Non-Executive Directors. The Committee is chaired by an Independent Non-Executive Director who has current and relevant experience in financial reporting and control. Members are selected to provide a broad set of financial, commercial and other relevant experience to meet the Committee's objectives. The Group Chief Internal Auditor regularly attends the Board Audit Committee meetings. The Managing Director and the Executive Director/Group Chief Financial Officer, the consultant to the Board Audit Committee and the External Auditor also attend these meetings by invitation.	✓
(99)	D.3.2	Terms of Reference	
		The Terms of Reference of the Board Audit Committee complies with the Code of Best Practice on Corporate Governance issued by the ICASL as well as the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by CBSL and the Listing Rules issued by the Colombo Stock Exchange. A Board-approved Audit Committee Charter and a Group Internal Audit Activity Charter are in place.	✓
		Review of External Audit Function and Relationship with External Auditors	
		The Board Audit Committee has a key oversight role in relation to the External Auditors, Messrs. Ernst & Young, whose primary relationship is with the Committee. The Bank's Auditor Independence Policy aims to ensures that the independence and objectivity of the External Auditors is not impaired. The Board Audit Committee is responsible for recommending to the Board, the appointment/re-appointment of the External Auditors and reviewing the nature, scope and results of the annual External Audit. The audit fee is also recommended by the Committee to the Board, based on the assessment of the effectiveness and the independence of the External Auditors.	✓
(100)	D.3.3	Disclosures	
		The Board Audit Committee Report given on pages 166 to 168 and the Annual Report of the Board of Directors on the Affairs of the Company given on pages 179 to 189 provides the following disclosures: ➲ The names of the members of the Board Audit Committee; ➲ The number of meetings held and the members' attendance (page 118); ➲ The scope and how its responsibilities are discharged; ➲ How the Committee has assessed the effectiveness of the external audit process and the approach taken to the appointment or reappointment of the external auditor; ➲ Provision of non-audit services by the external auditor; ➲ Basis of determination of the independence of the auditors.	✓

CORPORATE GOVERNANCE

➲ GRI 102-16,25,26

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	D.4	RELATED PARTY TRANSACTIONS REVIEW COMMITTEE (the Committee) The Board has Established the Board Related Party Transactions Review Committee in Compliance with the Listing Rules issued by the Colombo Stock Exchange	
(101)	D.4.1	The Bank identifies “Related Parties” and “Related Party Transactions” as defined in LKAS 24 and as per the Banking Act Direction No. 11 of 2007 issued by CBSL.	✓
(102)	D.4.2	Composition of the Board Related Party Transactions Review Committee	
		During the year under review, the Board Related Party Transactions Review Committee comprised Four (04) Independent, Non-Executive Directors, including the Committee Chairman. The composition of the Board Related Party Transactions Review Committee and its report is given on pages 175 to 176.	✓
(103)	D.4.3	Duties of the Board Related Party Transactions Review Committee	
		The Board-approved and formally documented Terms of Reference for the Committee is based on the Code of Best Practice on Corporate Governance 2017, the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and the Listing Rules of the Colombo Stock Exchange. The role and responsibilities of the Committee is given on pages 175 to 176. A procedure is in place to monitor the Related Party transactions of the Bank in line with the Terms of Reference of the Committee.	✓
	D.5	CODE OF BUSINESS CONDUCT AND ETHICS	
(104)	D.5.1	Code of Business Conduct and Ethics for Directors and Staff	
		The Code of Conduct and Governance Requirements for Directors, the Code of Conduct for Key Management Personnel and the Code of Conduct for other employees are in place to ensure compliance with the provisions of the Code of Conduct and Ethics. In addition, Policy on Anti Bribery Corruption and Policy on Accepting and Presenting of Gifts and Favours are in place to ensure the Bank's commitment towards anti-corruption practices. The Board is not aware of any material violations of any of the provisions of the Code of Conduct and Ethics/ Standard of Conduct by any Director or KMP of the Bank.	✓
(105)	D.5.2	Ensure that Material and Price Sensitive Information are Promptly Identified and Reported	
		A process is in place for the prompt disclosure of price sensitive and material information by the Company Secretary in terms of the relevant regulatory requirements. As per the Board-approved Policy on Communication, the responsibility of making market announcements of price sensitive information lies with the Company Secretary.	✓
(106)	D.5.3	Policy and Process for Monitoring and Disclosure of Share Purchase	
		A process is in place to monitor the share transactions of the Directors and KMPs on a timely manner.	✓
(107)	D.5.4	Chairman’s Affirmation in the Bank’s Annual Report with Regard to Introduction of a Bank-wide Code of Conduct and Ethics, the Status of Compliance with same and his Awareness of any Violations thereof	
		Chairman’s affirmation on Corporate Governance is given on page 114 of this Annual Report.	✓
	D.6	CORPORATE GOVERNANCE DISCLOSURES	
(108)	D.6.1	The Corporate Governance Report given on pages 114 to 165 provides information regarding Corporate Governance practices in the Bank which are in compliance with the: ➲ Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka; ➲ Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the CBSL; ➲ Requirements of Section 7.6 of the Listing rules of the Colombo Stock Exchange.	✓

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
		SECTION 2 - SHAREHOLDERS	
	E	INSTITUTIONAL INVESTORS	
	E.1	SHAREHOLDER VOTING	
(109)	E.1	**Bank's Responsibility to Encourage the Institutional Investors to use their Vote**	
		The Bank's Institutional Investors as well as other Investors have throughout exercised their votes enthusiastically, expressing their candid preferences and are encouraged to express their views freely. The Bank has a history of active shareholder involvement and participation at general meetings.	✓
(110)	E.1.1	**Regular and Structured Dialogue with Shareholders**	
		The Bank prides itself of being the first listed company which has taken the initiative to form a Board Sub Committee on Shareholder Relations, with the objective of maintaining a solid and fruitful dialogue with shareholders and to ensure the views of shareholders are communicated to the Board, where necessary.	✓
	E.2	EVALUATION OF GOVERNANCE DISCLOSURES	
(111)	E.2	**Encourage Institutional Investors to give Due Weight to Relevant Governance Arrangements**	
		Institutional investors are kept apprised of the Bank's governance practices through the Annual Report and any new initiatives are highlighted at general meetings to ensure that due weightage is given to good corporate governance.	✓
	F	OTHER INVESTORS	
	F.1	INVESTING/DIVESTING DECISION	
(112)	F.1	**Individual Shareholders are Encouraged to carry out their own Analysis or Seek Independent Advice**	
		The Annual Report contains sufficient information for individual shareholders as well as all potential investors to carry out their own analysis. This, together with the interim financial statements published each quarter, provide sufficient information to enable individual shareholders to make informed judgements regarding the performance of the Bank. Additionally, a separate part of the Bank's website is dedicated to Investor Relations which provides relevant information online to all investors. Shareholders can contact the Company Secretary for further information if required. Apart from the above, Circulars to Shareholders issued from time to time too, point out to the shareholders the importance of seeking independent advice prior to making any particular investment.	✓
	F.2	SHAREHOLDER VOTING	
(113)	F.2	**Encourage Shareholders to Participate and Vote at the General Meetings**	
		It is a tradition at the Bank to encourage individual shareholders to participate and vote at any General Meeting. Additionally, they are encouraged to participate in the Bank's affairs by submitting proposals through Stakeholder Feedback Forms. The 35th AGM was live streamed from the Bank's Head Office to shareholders without any disruptions, enabling shareholders to interact with the proceedings of the meeting and vote on resolutions on each agenda item remotely via "eBallot", a leading global online voting platform, in order to ensure the shareholder interest.	✓

CORPORATE GOVERNANCE

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	G	INTERNET OF THINGS AND CYBER SECURITY	
(114)	G.1	**Process to Identify How the External IT Devices could Connect to the Organisation's Network**	
		Authorised Officers perform risk assessments to determine whether information processing systems require equipment identification, (e.g. attaching identifiers that indicate which networks the device is allowed to access). Additional physical access controls are also implemented to maintain the security of the identifier. The use of non-authorised modems or any other remote access solutions are strictly prohibited unless written approval has been obtained. All the devices connected/attached to the Bank's infrastructure are authorised by Network Access Controller (NAC). Any device which is not authorised by NAC will not be able to access the network. Only legitimate devices are authorised by network administrators. Access points into the Bank's ecosystem are regularly assessed with any changes formally approved. Remote access is granted to users with a justifiable business requirement.	✓
(115)	G.2	**Appointment of a Chief Information Security Officer (CISO)**	
		The Bank has appointed a Chief Information Security Officer (CISO), who reports directly to the Managing Director. The CISO is tasked with determining the Bank's sensitivity and risk appetite towards information security threats at any given time.	✓
(116)	G.3	**Allocation of Adequate Time on the Board Meeting Agenda for Discussion on Cyber Risk Management**	
		The Board IT Committee has been established to provide oversight for all IT related matters, including to review and recommend the IT strategic plan, policies, expenditure and budgets and IT security requirements of the Bank. Based on the requirement, adequate time is allocated during the Board Meetings to discuss "Cyber Risk" in detail. The Information Security Committee (ISC), is a management level cross functional committee that has been formed. The ISC is tasked with providing oversight for both strategic and operational aspects of Information Security and reporting such matters to the Board Integrated Risk Management Committee (BIRMC) on a quarterly basis.	✓
(117)	G.4	**Independent Periodic Review on the Effectiveness of the Cyber Security Risk Management and the Scope and Frequency of the Review**	
		The Bank has obtained the recertification of ISO 27001:2013 for the period from 2019-2022. The annual internal audit and a surveillance audit which are mandatory requirements to continue with the ISO 27001 Certification, were carried out during the course of 2021 by an independent third-party. In addition, the Bank conducts periodic Cyber Security Drills to build Information Security Awareness among the staff members. A Bank wide Information Security Risk Assessment was conducted in 2021 with the support of an independent third-party.	✓
(118)	G.5	**Disclosure of the Process to Identify and Manage Cyber Security Risks**	
		The required disclosure is made on pages 102 to 112 in this Annual Report.	✓

GRI 102-26,27,28,29,30,31,32

	ICASL Code Reference	Principle, Compliance and Implementation	Complied
	H	ENVIRONMENT, SOCIETY AND GOVERNANCE (ESG)	
	H.1	ESG REPORTING	
(119)	H.1.1	**Provision of Information in Relation to ESG Factors, Effects of ESG Issues to the Business and How Risks and Opportunities Pertaining to ESG are Recognised, Managed, Measured and Reported**	
		Underpinned by its Strategic Sustainability Framework (pages 22 to 25), Sampath Bank has implemented an Environmental and Social Risk Management System (ESMS) with the aim of managing the environmental risks associated with the Bank's business and thereby reducing the Bank's environmental footprint. The Corporate Sustainability Department is tasked with conducting environmental impact assessments to complement the ESMS. In addition, all employees are encouraged to adopt the Environmental Pledge. Further, with the motive of managing the environmental footprint, the Bank conducts regular training and awareness building initiatives to ensure staff have adequate knowledge to understand the purpose, application and intended objectives. In this regard, staff capacity building on environmental social due diligence is conducted by the Sampath Learning Academy on periodic basis in collaboration with Corporate Sustainability Department. The members of the Board, and Board Sub Committees, with the view of identifying and managing the social, economic, environmental topics and their impacts, may from time to time call for comprehensive analysis reports over the respective fields from both external and internal resource persons to be in line with the adequate due diligence.	✓
(120)	H.1.2	**Environment Factors**	
		Natural Capital report is given on pages 74 to 75.	✓
(121)	H.1.3	**Social Factors**	
		Social and Relationship Capital report is given on pages 72 to 73.	✓
(122)	H.1.4	**Governance**	
		Corporate Governance Report is given on pages 114 to 165.	✓
(123)	H.1.5	**Board's Role on ESG Factors**	
		The Board reviews the ESG factors where necessary to enhance the ESG related areas.	✓

CORPORATE GOVERNANCE

GRI 102-16,21,26,33

The Banking Act Direction No. 11 of 2007 and Subsequent Amendments thereto on Corporate Governance for Licensed Commercial Banks in Sri Lanka Issued by the Central Bank of Sri Lanka (CBSL)

	CBSL Section	Principle, Compliance and Implementation	Complied
	3(1)	RESPONSIBILITIES OF THE BOARD	
		The Board has strengthened the safety and the soundness of the Bank in the following manner.	
(1)	3(1)(i)(a)	**Setting Strategic Objectives and Corporate Values**	
		The Bank's strategic objectives and corporate values are determined by the Board and are given on page 9 of the Annual Report. These are communicated to all levels of staff through regular briefing sessions and reinforced by the Corporate Management Team.	✓
(2)	3(1)(i)(b)	**Overall Business Strategy including Risk Policy and Management**	
		The Bank's strategy is set by the Board in consultation with the Corporate Management. Based on this, the revolving Strategic Plan for the period 2021-2023 was approved by the Board and was successfully implemented with regular reviews. The revolving Strategic Plan for the period 2022-2024 too was duly approved by the Board. In addition, the Risk Management framework and mechanisms have also been approved by the Board in line with the Strategic Plan. Measurable goals for the Bank as a whole have been set with performance measured against these goals on a monthly and quarterly basis.	✓
(3)	3(1)(i)(c)	**Risk Management**	
		The Board has appointed a Board Integrated Risk Management Committee tasked with recommending the Bank's risk policies, defining the risk appetite, identifying principal risks, setting governance structures, and implementing systems to measure, monitor and manage the principal risks. The following reports provide further insights in this regard. ➲ Risk Management Report is on pages 102 to 112. ➲ Board Integrated Risk Management Committee Report is on pages 172 to 174. A mechanism/process to identify and mitigate the risks arising out of new strategies is in place at Board level.	✓
(4)	3(1)(i)(d)	**Communication with all Stakeholders**	
		A Board-approved Communication policy is in place as the basis for communicating with all stakeholders, including depositors, creditors, shareholders and borrowers.	✓
(5)	3(1)(i)(e)	**Internal Control System**	
		The Board is tasked with reviewing the adequacy and the integrity of the Bank's internal control systems and management information systems. Accordingly, the Board Audit Committee reviews Internal Audit reports submitted by the Internal Audit Department and monitors follow up action based on the assessment of Internal Control Over Financial Reporting (ICOFR). The Board of Directors concluded that the Bank's Internal Control Over Financial Reporting is effective.	✓
(6)	3(1)(i)(e)	**Management Information Systems**	
		The Board has established a valid process through the Board Audit Committee, where the Internal Audit Department is entrusted to review the adequacy, integrity and accuracy of all financial and non-financial information. This process is continuously being improved.	✓
(7)	3(1)(i)(f)	**Key Management Personnel**	
		The Board has identified members of the Corporate Management, the Assistant Company Secretary and the Group Chief Compliance Officer as Key Management Personnel being "Officers Performing Executive Functions of Licensed Commercial Banks (LCBs)" as required by the relevant regulations imposed by the CBSL for the LCBs. All appointments of designated Key Management Personnel (KMPs) are recommended by the Board Nomination Committee and approved by the Board.	✓
(8)	3(1)(i)(g)	**Define Areas of Authority and Key Responsibilities for Directors and Key Management Personnel**	
		Areas of authority and key responsibilities have been defined for Directors and KMPs through the Code of Conduct and Governance Requirement for Directors and the relevant Position Description of the KMPs respectively.	✓

GRI 102-25

	CBSL Section	Principle, Compliance and Implementation	Complied
(9)	3(1)(i)(h)	Oversight of Affairs of the Bank by Key Management Personnel	
		KMPs make regular presentations to the Board on matters under their respective purviews and are regularly called in by the Board to explain matters relating to their areas when need arises.	✓
(10)	3(1)(i)(i)	Assesses Effectiveness of own Governance Practices including Selection and Nomination of Directors and KMPs, Management of Conflict of Interest and Determination of Weaknesses	
		The effectiveness of the Board's own governance practices, including the Policy on Selection, Nomination, Appointment and Election of Directors, Procedure on Selection and Appointment of CEO and KMP and the Policy on Managing Conflicts of Interest are reviewed by the Board on a periodic basis. Implementation of changes required are discussed and determined by the Board following the submission of annual self-evaluations.	✓
(11)	3(1)(i)(j)	Succession Plan for Key Management Personnel	
		The Bank has an appropriate succession plan for Key Management Personnel aligned to the Bank's strategic objectives.	✓
(12)	3(1)(i)(k)	Regular Meetings with Key Management Personnel	
		KMPs are called upon as and when need to attend meetings of the Board and its Sub Committees to review policy and other matters relating to their areas. Progress towards corporate objectives is a regular agenda item at the Board Meetings and the KMPs are often involved in Board level discussions on the same.	✓
(13)	3(1)(i)(l)	Regulatory Environment and Maintaining an Effective Relationship with Regulator	
		Directors are briefed on developments in the regulatory environment at Board Meetings to ensure that their knowledge is updated regularly to facilitate the effective discharge of their responsibilities. The Bank has always maintained an effective relationship with the regulators. Further, the MD or his nominee attended the CEO/MD forums on Governance organised by CBSL during the year 2021.	✓
(14)	3(1)(i)(m)	Hiring and Oversight of External Auditors	
		The Board Audit Committee carries out necessary due diligence regarding the hiring of the External Auditors and makes recommendations to the Board. The appointment of the External Auditor is made at the AGM. Oversight of the External Auditors is carried out by the Board Audit Committee (BAC) and the Board is briefed of any concerns in this regard if a necessity arises. To ensure greater independence of the BAC, the independent consultant who has been appointed to the Committee continues to provide advice and services to this Committee.	✓
(15)	3(1)(ii)	Appointment of Chairman and CEO/MD and their Functions and Responsibilities	
		The Board has appointed the Chairman and the CEO/MD and has approved their respective functions and responsibilities, in order to maintain the balance of power between the two roles.	✓
(16)	3(1)(iii)	Board Meetings	
		Regular Board Meetings are held and special meetings are scheduled if the need arises. The Board met Sixteen (16) times during 2021. The Bank has minimised obtaining approval via circular resolutions and it is done only on an exceptional basis.	✓
(17)	3(1)(iv)	Arrangements for Directors to include Proposals in the Agenda	
		A Board-approved procedure is in place to enable all Directors to include matters and proposals in the agenda. Monthly meetings are scheduled and informed to the Board at the beginning of each calendar year to enable submission of proposals in the agenda for regular meetings where such matters and proposals relate to the promotion of business and the management of risk of the Bank.	✓
(18)	3(1)(v)	Notice of Meetings	
		Notice of Meetings for the regular Board Meetings are circulated among the Directors generally seven days prior to the meeting, providing Directors an opportunity to get prepared and attend the same.	✓

CORPORATE GOVERNANCE

GRI 102-25

	CBSL Section	Principle, Compliance and Implementation	Complied
(19)	3(1)(vi)	Directors' Attendance	
		The Directors are apprised of their attendance in accordance with the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks. Details of the Directors' attendance is set out on page 118. All Directors have attended at least two-thirds of the total number of Board meetings during the year under review.	✓
(20)	3(1)(vii)	Company Secretary	
		The Board has appointed the Company Secretary, who is an Attorney-at-Law of the Supreme Court of Sri Lanka, who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988. The Company Secretary's primary responsibilities are to provide the secretarial services to the Board and shareholders and to carry out other functions specified in the statutes and other regulations.	✓
(21)	3(1)(viii)	Directors' Access to Advice and Services of the Company Secretary	
		All members of the Board have the opportunity to obtain advice and services of the Company Secretary with regard to the compliance with relevant rules, regulations, directions and statutes. Further, a Board-approved policy is in place to facilitate this requirement.	✓
(22)	3(1)(ix)	Maintenance of Board Minutes	
		The Company Secretary maintains the Minutes of the Board Meetings and circulates the same amongst all Board Members. Additionally, the Directors have access to the past Board papers and Minutes through the secure electronic link via iPads. Further, a Board-approved procedure is in place to facilitate this requirement.	✓
(23)	3(1)(x)	Minutes to be in Sufficient Detail and Accessible as a Reference for Regulators and Supervisory Authorities	
		The detailed minutes of the meetings include: ➲ A summary of data and information used by the Board in its deliberations; ➲ The matters considered by the Board Members; ➲ The fact-finding discussions and the issues of contention or dissent; ➲ The testimonies and confirmations of relevant executives which indicates compliance with the Board's strategies and policies and adherence to relevant laws and regulations; ➲ Matters regarding the risks to which the Bank is exposed and an overview of the risk management measures adopted; ➲ The decisions of Board/Board Sub Committees and Board resolutions.	✓
(24)	3(1)(xi)	Directors' Ability to Seek Independent Professional Advice	
		In addition to the Board-approved Policy on Enabling Directors to Seek Advice and Services of Company Secretary, the Bank has adopted a Board-approved Policy for Directors' Access to Independent Professional Advice to allow the Board to seek such advice when deemed necessary.	✓
(25)	3(1)(xii)	Dealing with Conflicts of Interest	
		The Directors are conscious of their obligation to deal with situations where there is a conflict of interest in accordance with the Bank's Policy on Managing Conflicts of Interest and the Banking Act Direction No. 11 of 2007. As per the policy, where there is deemed to be a conflict of interest, the respective Directors refrain from participating in the discussions, voicing their opinion and approving the same. Additionally, the Director concerned is not counted in the quorum in such instances. The Bank also maintains registers of Directors' and KMPs' Interests which are regularly updated in line with the regulatory requirements. In addition, Policy on Anti Bribery Corruption and Policy on Accepting and Presenting of Gifts and Favours are in place to ensure the Bank's commitment towards anti-corruption practices.	✓

	CBSL Section	Principle, Compliance and Implementation	Complied
(26)	3(1)(xiii)	Formal Schedule of Matters Reserved for Board's Decision	
		The Board has an approved schedule of matters specifically reserved for its decision to ensure that the direction and control of the Bank is within its authority.	✓
(27)	3(1)(xiv)	Inform Central Bank if there are Solvency Issues Prior to Taking any Decision or Action	
		If such a situation arises, the Bank will duly inform the Director of Bank Supervision of the CBSL. However, such a situation did not arise during the year 2021. As per the Bank's Code of Conduct and Governance Requirements for Directors, the Directors are compelled to inform the Director of Bank Supervision of the CBSL and make necessary public and other disclosures upon the occurrence of such an event.	✓
(28)	3(1)(xv)	Compliance with Capital Adequacy	
		The Board monitors capital adequacy and other prudential measures vis-à-vis regulatory requirement on a quarterly basis. In addition, the Bank has established defined risk appetite and also considers industry benchmarks in evaluating its capital adequacy requirements. During the year under review, the Bank was in compliance with the minimum capital requirements.	✓
(29)	3(1)(xvi)	Publish Corporate Governance Report in Annual Report	
		The Board publishes the Corporate Governance Report in the Bank's Annual Report. This report is given on pages 114 to 165.	✓
(30)	3(1)(xvii)	Self-Assessment of Directors	
		The Board has adopted a scheme of self-assessment to be undertaken by each Director annually, the records of which are maintained with the Company Secretary. The assessments are compiled by the Company Secretary and submitted to the Board of Directors for discussion.	✓
	3(2)	BOARD COMPOSITION	
(31)	3(2)(i)	Number of Directors	
		As per the CBSL Direction on Corporate Governance for Licensed Commercial Banks, the number of Directors should not be less than Seven (07) or more than Thirteen (13). The Board of Directors, until 15th February 2021 comprised Ten (10) Directors and the composition of the Board increased to Eleven (11) Directors w.e.f. 16th February 2021, complying with this provision.	✓
(32)	3(2)(ii)	Period of Service of a Director	
		As per the Banking Act Direction No. 11 of 2007 on Corporate Governance, the period of service of a Director excluding the CEO is limited to Nine (09) years. During the year under review, there were no Directors, whose tenure of service has exceeded nine years on the Board.	✓
(33)	3(2)(iii)	Appointment of an Employee as a Director	
		The Board comprises of Two (02) Executive Directors, complying with the prescribed requirement of the CBSL Direction which limits the number of Executive Directors to 1/3 of the Board.	✓
(34)	3(2)(iv)	Independent Non-Executive Directors	
		The Board, until 15th February 2021 comprised of Six (06) Independent Non-Executive Directors and the composition of the Board increased to Seven (07) Independent Non-Executive Directors w.e.f. 16th February 2021, which complies with the prescribed requirement.	✓
(35)	3(2)(v)	Alternate Directors	
		Alternate Directors are appointed based on the Board-approved policy. However, there were no alternate Directors appointed during the year 2021.	✓

CORPORATE GOVERNANCE

	CBSL Section	Principle, Compliance and Implementation	Complied
(36)	3(2)(vi)	Criteria for Non-Executive Directors	
		Non-Executive Directors are persons with credible track record who have necessary skills and experience to bring an independent judgment to bear on issues of strategy, performance and resources. The profiles of the Non-Executive Directors are detailed on pages 12 to 17. The Board has approved a procedure to appoint Directors which includes the appointment of Independent Directors.	✓
(37)	3(2)(vii)	More than half the quorum of Board Meetings to comprise Non-Executive Directors	
		This requirement is strictly observed and the attendance of the Board members at the meetings for the year 2021 evidencing compliance with the requirement.	✓
(38)	3(2)(viii)	Identify Independent Non-Executive Directors in Communications and Disclose the Categories of Directors in Annual Report	
		The Independent Non-Executive Directors are expressly identified as such in all corporate communications that disclose the names of Directors of the Bank. The composition of the Board, by category of Directors, including the names of the Chairman, Executive/Non-Executive Directors and Independent/Non-Independent Directors are given on page 118 of the Corporate Governance Report.	✓
(39)	3(2)(ix)	Appointments to the Board	
		The Board has established a Board Nomination Committee. Accordingly, new Directors including the Executive Directors are appointed by the Board upon consideration of recommendations by the Board Nomination Committee, following a formal, considered and transparent procedure. Further a procedure is in place for the orderly succession of appointments to the Board.	✓
(40)	3(2)(x)	Election of Directors Filling Casual Vacancies	
		In accordance with the provisions in the Articles of Association and the CBSL Direction, Directors appointed to the Board after the last AGM will stand for election by the shareholders at the subsequent AGM. During the year under review, Mr Vinod Hirdaramani who was appointed to the Board w.e.f. 16th February 2021, was elected by shareholders at the 35th AGM held on 30th March 2021.	✓
(41)	3(2)(xi)	Communication of Reasons for Removal or Resignation of Director	
		Resignations of Directors and the reasons for same are informed to the regulatory authorities as per the requirements of the CSE Listing Rules and the Companies Act No. 07 of 2007 together with a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders. There were no resignations of Directors during the year under review.	✓
(42)	3(2)(xii)	Prohibition of Directors or Employees of a Bank becoming a Director at another Bank	
		The Board and the Board Nomination Committee take into account this requirement in their deliberations when considering appointments of Directors. The Employee Code of Conduct prohibits employees to be elected/nominated as a Director of another bank.	✓
	3(3)	CRITERIA TO ASSESS FITNESS AND PROPRIETY OF DIRECTORS	
(43)	3(3)(i)	Age of Director should not Exceed 70 years	
		There were no Directors who reached seventy years of age during the year under review.	✓
(44)	3(3)(ii)	Directors should not hold Directorships of more than 20 Companies	
		The Directors do not hold directorships of more than Twenty (20) companies/entities/institutions inclusive of Subsidiary Companies of the Bank.	✓
(45)	3(3)(iii)	Cooling-off period when appointing Directors or CEO	
		None of the Directors were appointed to the Board during the period under review, as detailed in the provisions of the cooling-off period of the direction.	✓

	CBSL Section	Principle, Compliance and Implementation	Complied
	3(4)	MANAGEMENT FUNCTIONS DELEGATED BY THE BOARD	
(46)	3(4)(i)	**All Directors to Understand and Study Delegation Arrangements**	
		The Board consciously delegates authority to perform different functions as it deems fit, to appropriate officers.	✓
(47)	3(4)(ii)	**Extent of Delegation should not Hinder Board's Ability to Discharge its Functions**	
		The Board delegates authority to the Management to carry out certain duties from time to time, to an extent that such delegation does not hinder the Board's ability to discharge its functions within the provisions of the Bank's Articles of Association. The management, who carries out duties on behalf of the Board under the authorities delegated to them, report to the Board regularly on such matters attended by them.	✓
(48)	3(4)(iii)	**Review Delegation Arrangements Periodically to Ensure Relevance to Operations of the Bank**	
		The Board reviews and approves the delegation arrangements which are in place, as and when required, and ensures that the extent of delegation addresses the needs of the Bank whilst enabling the Board to discharge its functions effectively.	✓
	3(5)	THE CHAIRMAN AND CHIEF EXECUTIVE OFFICER/MANAGING DIRECTOR	
(49)	3(5)(i)	**Separation of Roles**	
		The roles of the Chairman and CEO/MD are separate and their respective duties are documented and approved by the Board.	✓
(50)	3(5)(ii)	**Non-Executive Chairman and Appointment of a Senior Independent Director**	
		The Chairman is a Non-Executive, Non-Independent Director, hence the Board has appointed Mr Deshal de Mel as the Senior Independent Director (SID). This has been disclosed in the Annual Report, and a Board-approved Terms of Reference of the SID is in place to ensure the independent element in decision making.	✓
(51)	3(5)(iii)	**Disclosure of the Identity of the Chairman and CEO/MD and any Relationships, (if any) among the Board Members**	
		The identity of the Chairman and CEO/MD are disclosed in the Annual Report on pages 12 to 17. There is no material financial, business or family relationships between the Chairman, CEO/MD and other members of the Board as disclosed on pages 12 to 17 and in Note 47 to the Financial Statements given on pages 292 to 295. Above disclosures are made as per the annual declarations and the register of Directors' Interests which is updated regularly.	✓
(52)	3(5)(iv)	**Chairman to: (a) Provide Leadership to the Board; (b) Ensure that the Board Works Effectively and Discharges its Responsibilities; (c) Ensure that all Key and Appropriate Issues are Discussed by the Board in a Timely Manner**	
		The Chairman leads the Board ensuring that it works effectively and discharges its responsibilities. All key and appropriate issues are discussed by the Board in a timely manner. These are assessed annually by the Board, through the Performance Evaluation of the Board of Directors.	✓
(53)	3(5)(v)	**Chairman's Responsibility for Agenda**	
		The Company Secretary draws up the agenda for the meetings in consultation with the Chairman.	✓
(54)	3(5)(vi)	**Ensure that Directors are Properly Briefed and Provided with Adequate Information**	
		The Chairman ensures that the Board is adequately briefed and informed regarding the matters arising at Board meetings. The following procedures are in place to ensure the same: ➲ Agenda and Board papers are circulated with adequate time for the Directors to go through the same; ➲ Relevant members of the Management team are available for explanations and clarifications if required; ➲ Management information is provided in agreed formats on a regular basis to enable Directors to assess the performance and stability of the Bank.	✓

CORPORATE GOVERNANCE

	CBSL Section	Principle, Compliance and Implementation	Complied
(55)	3(5)(vii)	Encourage Active Participation by all Directors and Lead in Acting in the Interests of the Bank	
		The Chairman encourages all Directors to make a full and active contribution in the best interest of the Bank. This is evident from the responses in the self-evaluation forms submitted by each Director at the year end.	✓
(56)	3(5)(viii)	Encourage Participation of Non-Executive Directors and Relationships between Non-Executive and Executive Directors	
		The Chairman facilitates the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors. Nine (09) out of the Eleven (11) members of the Board are Non-Executive Directors, thus creating a conducive environment for active participation by the Non-Executive Directors. All Non-Executive Directors participate in Sub Committees of the Board, ensuring further opportunity for active participation. The Executive and Non-Executive Directors actively participate at Board Meetings.	✓
(57)	3(5)(ix)	Refrain from Direct Supervision of Key Management Personnel and Executive Duties	
		The Chairman does not get involved in the supervision of KMPs or any other executive duties.	✓
(58)	3(5)(x)	Ensure Effective Communication with Shareholders	
		The Chairman ensures that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board. The Bank historically has active shareholder participation at its General Meetings. The Board Shareholder Relations Committee has been established to ensure that there is effective communication with shareholders.	✓
(59)	3(5)(xi)	CEO/MD Functions as the Apex Executive in Charge of the Day-to-Day Operations	
		The responsibility of day-to-day operations of the Bank have been delegated to the CEO/MD.	✓
	3(6)	BOARD-APPOINTED COMMITTEES	
(60)	3(6)(i)	Establishing Board Sub Committees, their Functions and Reporting	
		Twelve (12) Board Sub Committees have been established by the Board with oversight by the respective Chairpersons and written Terms of Reference for each. The Company Secretary or his nominee serves as the Secretary to all Sub Committees and maintains Minutes and records. The reports of the following Mandatory Sub Committees are included in the Annual Report: ➲ Board Audit Committee on pages 166 to 168; ➲ Board Human Resources & Remuneration Committee on pages 169 to 170; ➲ Board Nomination Committee on page 171; ➲ Board Integrated Risk Management Committee on pages 172 to 174; ➲ Board Related Party Transactions Review Committee on pages 175 to 176. The Chairpersons of the above Sub Committees were present at the 35th AGM to clarify any matters that may be referred to them by the Chairman.	✓
	3(6)(ii)	Board Audit Committee (BAC)	
(61)	3(6)(ii)(a)	Chairman to be an Independent Non-Executive Director with Qualifications and Experience in Accountancy and/ or Audit	
		The Chairman of the Board Audit Committee is an Independent Non-Executive Director who is an Associate Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow Member of the Chartered Institute of Management Accountants, UK.	✓
(62)	3(6)(ii)(b)	Committee to Comprise Solely of Non-Executive Directors	
		All the members of the Board Audit Committee are Non-Executive Directors.	✓

	CBSL Section	Principle, Compliance and Implementation	Complied
(63)	3(6)(ii)(c)	Functions of the Board Audit Committee	
		In accordance with the Terms of Reference, the Board Audit Committee has made the following recommendations on matters in connection with: • the appointment of the External Auditor for audit services to be provided in compliance with the relevant statutes; • the implementation of the Central Bank guidelines issued to Auditors from time to time; • the application of the relevant accounting standards; • the service period, audit fee and any resignation or dismissal of the Auditor. The BAC ensures that the service period of the engagement of the External Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	✓
(64)	3(6)(ii)(d)	Review and Monitor External Auditors' Independence and Objectivity and the Effectiveness of the Audit Processes	
		The Board Audit Committee obtains representations from the External Auditors on their independence to ensure that the audit is carried out in accordance with the applicable standards and best practices.	✓
(65)	3(6)(ii)(e)	Provision of Non-Audit Services by the External Auditor	
		A Board-approved policy on "Engagement of External Auditors for Non-Audit Services" is in place. When such services are intended to be obtained from External Auditor, prior approval is sought from the BAC in accordance with the regulations.	✓
(66)	3(6)(ii)(f)	Determine the Nature and Scope of Audit with the External Auditors	
		The Board Audit Committee discussed and finalised with the External Auditors, the nature and scope of the audit to ensure that it includes: • an assessment of the Bank's compliance with the relevant Directions in relation to Corporate Governance and Internal Controls Over Financial Reporting; • the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations. As all audits within the group are carried out by the same External Auditor, there was no requirement to discuss arrangements for coordinating activities with other auditors.	✓
(67)	3(6)(ii)(g)	Review Financial Information of the Bank	
		The Board Audit Committee reviews the financial information of the Bank, in order to monitor the integrity of its Financial Statements, Annual Report, Accounts and Quarterly Reports prepared for disclosure, and the significant financial reporting judgments contained therein. The review focuses on the following: • Major judgemental areas; • Any changes in accounting policies and practices; • Significant adjustments arising from the audit; • The going concern assumption; • The compliance with relevant accounting standards and other legal requirements. The BAC makes recommendations to the Board on the above on a quarterly basis.	✓

CORPORATE GOVERNANCE

	CBSL Section	Principle, Compliance and Implementation	Complied
(68)	3(6)(ii)(h)	**Discussions with External Auditor on Interim and Final Audits**	
		The Board Audit Committee discusses issues, problems and reservations (if any) arising from the interim and final audits with the External Auditors. The BAC met the External Auditors in the absence of key management personnel of the Bank on Two (02) occasions during the year 2021.	✓
(69)	3(6)(ii)(i)	**Review of Management Letter and Bank's Response**	
		The Board Audit Committee has reviewed the External Auditors' Management Letter and the Management's responses thereto.	✓
(70)	3(6)(ii)(j)	**Review of Internal Audit Function**	
		The Board Audit Committee has oversight of the Internal Audit function and has the following responsibilities with regard to the same: - Review of the adequacy of the scope, functions and resources of the Internal Audit Department, and ensuring that the Department has the necessary authority to carry out its work; - Reviewing the Internal Audit programme and results of the audits ensuring that appropriate actions are taken on the recommendations of the Internal Audit Department; - Reviewing the performance appraisals of the Head and senior staff members of the Internal Audit Department; - Recommending any appointment or termination of the Head and senior staff members of the Internal Audit Department; - Ensuring that the Board Audit Committee is apprised of resignations of senior staff members of the Internal Audit Department including the Group Chief Internal Auditor, and providing an opportunity to the resigning senior staff members to submit reasons for resigning; - Ensuring that the Internal Audit function is independent of other activities it audits and that it is performed with impartiality, proficiency and due professional care.	✓
(71)	3(6)(ii)(k)	**Internal Investigations**	
		The Board Audit Committee has reviewed the major findings of internal investigations during the year and management's responses thereto. It has also ensured that the recommendations of such investigations have been implemented.	✓
(72)	3(6)(ii)(l)	**Attendees at Meetings of the Board Audit Committee**	
		The Group Chief Internal Auditor attends Board Audit Committee meetings regularly. The Managing Director, the Executive Director/Group Chief Financial Officer, the consultant to the BAC and the External Auditors also attend these meetings by invitation. Other Board members may also attend meetings upon the invitation of the BAC. The Board Audit Committee met the External Auditors without the Executive Management being present on Two (02) occasions during the year 2021, in compliance with the requirement.	✓
(73)	3(6)(ii)(m)	**Explicit Authority, Resources and Access to Information**	
		The Board Audit Committee has: - explicit authority to investigate into any matter within its terms of reference; - the resources which it needs to do so; - full access to information; and - authority to obtain external professional advice and to invite outsiders with relevant experience to attend, if necessary.	✓

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	CBSL Section	Principle, Compliance and Implementation	Complied
(74)	3(6)(ii)(n)	Regular Meetings	
		The Board Audit Committee has regular meetings in compliance with its Terms of Reference and schedules additional meetings when required. Accordingly, the BAC met Fifteen (15) times during the year under review. This includes the meetings of the BAC with the External Auditors and the meetings of the Committee with the Internal Auditors. Members of the Board Audit Committee are served with due notice of issues to be discussed. The conclusions of the BAC deliberations are recorded in the minutes of the meetings maintained by the Company Secretary or his nominee.	✓
(75)	3(6)(ii)(o)	Disclosures	
		The Report of the Board Audit Committee is given on pages 166 to 168. The report includes the following: ➲ Details of the activities of the Board Audit Committee; ➲ Number of Board Audit Committee meetings held during the year; ➲ Details of attendance of each individual Director at such meetings is given on page 118.	✓
(76)	3(6)(ii)(p)	Maintain Minutes of Meetings	
		The Company Secretary shall be the Secretary to the Committee and in the absence of the Company Secretary, his nominee or the Group Chief Internal Auditor (GCIA) shall act as the Secretary to the Committee and maintain minutes of the BAC meetings.	✓
(77)	3(6)(ii)(q)	Whistle Blowing Policy and Relationship with External Auditor	
		The Bank has a Board-approved Whistle Blowing Policy where a whistleblower may, in confidence, raise concerns about possible improprieties in financial reporting, internal control or other matters. The Company Secretary and the Group Chief Internal Auditor takes appropriate actions for all communications received in his/her office in this regard, including anonymous communications, to the Chairman of the Board Audit Committee who addresses the issue in an appropriate manner. The Policy creates an environment of utmost confidentiality, trust and protection to all stakeholders who report irregularities in good faith and ensure that they will not be penalised or suffer any adverse treatment for doing so. Further, all employees are encouraged to blow the whistle to report on any form of suspected breaches relating to anti-corruption and/or bribery under the Policy on Anti Bribery and Corruption. The Board Audit Committee is the key representative body for overseeing the Bank's relations with the External Auditors and meets the External Auditors on a regular basis to discharge this function.	✓
	3(6)(iii)	Board Human Resources and Remuneration Committee (BHRRC)	
(78)	3(6)(iii)(a)	Policy to Determine the Remuneration of Directors, CEO/MD and KMPs	
		A Board-approved policy to determine the Directors' remuneration and a Board-approved Policy on Reward Management for KMPs are in place. The term "Reward Management" includes salaries and other staff benefits offered by the Bank. Further, the CEO/MD is considered as a KMP of the Bank.	✓
(79)	3(6)(iii)(b)	Goals and Targets for the Directors, CEO/MD and KMPs	
		Goals and targets of the CEO/MD and KMPs for the year 2021 were documented and approved by the BHRRC upon reviewing the Objective Settings for the year under review. The Board approved Terms of Reference of each Board Sub Committee elaborate the collective goals and targets of the Directors whereas Sub-committee wise targets are assigned to Directors based on the Terms of References of respective Sub-committees.	✓

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	CBSL Section	Principle, Compliance and Implementation	Complied
(80)	3(6)(iii)(c)	**Evaluation of the Performance of the CEO/MD and KMPs against the Set Targets and Goals and Determine the Basis for Revising Remuneration**	
		The performance evaluations of the CEO/MD and KMPs for the year ended 2020 were carried out during the year 2021. Performance evaluations of the CEO/MD and KMPs for the year ended 31st December 2021 will be reviewed by the Committee during the year 2022.	✓
(81)	3(6)(iii)(d)	**CEO/MD shall be Present at Meetings, except when Matters Relating to the CEO/MD are being Discussed**	
		CEO/MD attends BHRRC meetings by invitation. However, he was not present at meetings when matters relating to him were discussed during the year.	✓
	3(6)(iv)	**Board Nomination Committee (BNC)**	
(82)	3(6)(iv)(a)	**Implement a Procedure to Appoint Directors, CEO/MD and KMPs**	
		The BNC has implemented a Board-approved Policy on Selection, Nomination, Appointment and Election of Directors and a Board-approved Procedure on Selection and Appointment of CEO/MD and KMPs, in accordance with the requirement.	✓
(83)	3(6)(iv)(b)	**Recommend the Re-election of Directors**	
		The BNC makes recommendations regarding the re-election of current Directors who retire by rotation in terms of Article 87 of the Bank's Articles of Association taking into account, inter-alia, the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.	✓
(84)	3(6)(iv)(c)	**Eligibility Criteria for Appointments to Key Managerial Positions including the CEO/MD**	
		The BNC has set the eligibility criteria to be considered, including qualifications, experience and key attributes, for the appointment or promotion to key managerial positions as well as the position of CEO/MD. The BNC considers the applicable statutes and guidelines in setting the relevant criteria.	✓
(85)	3(6)(iv)(d)	**Fit and Proper Criteria for Directors, CEO/MD and KMPs**	
		The Bank obtains declarations and affidavits from Directors, CEO/MD and KMPs, as and when required and these are submitted to CBSL to determine that they are fit and proper persons to hold office as specified in the criteria given in Banking Act Direction No. 11 of 2007 and as set out in the statutes.	✓
(86)	3(6)(iv)(e)	**Succession Plan for Retiring Directors, CEO/MD and KMPs**	
		Board-approved policy covering Succession Planning for retiring Directors and CEO/MD is in place. In addition, Succession Plan for the KMPs is in place in line with the requirements.	✓
(87)	3(6)(iv)(f)	**Committee Chairman and Other Members**	
		The BNC is chaired by an Independent Non-Executive Director. The Committee comprises of Five (05) members out of which Three (03) members are Independent, Non-Executive Directors. The MD attends meetings by invitation where necessary.	✓
	3(6)(v)	**Board Integrated Risk Management Committee (BIRMC)**	
(88)	3(6)(v)(a)	**Composition of BIRMC**	
		The BIRMC comprises Three (03) Non-Executive Directors and the Managing Director. The Group Chief Risk Officer and the Group Chief Compliance Officer serves the BIRMC as non-Board representatives. Other KMPs supervising credit, market, liquidity, operational, strategic risks, etc. are invited to attend the meetings on a regular basis.	✓

GRI 102-30

	CBSL Section	Principle, Compliance and Implementation	Complied
(89)	3(6)(v)(b)	Risk Assessment of the Bank, Subsidiary Companies and Associate Companies	
		All major risks such as Credit Risk, Market Risk, Liquidity Risk, Compliance Risk and Operational Risk are assessed by the Risk Management Unit and the reports are submitted to the BIRMC for review and action if any, through the Group Chief Risk Officer (GCRO). Monthly risk assessments covering all major risks of subsidiary companies are submitted to the BIRMC by the Risk Management Unit to facilitate monthly risk reviews. Based on the recommendations of the BIRMC, the Board has approved the policies on Credit Risk Management, Market Risk Management and Operational Risk Management which provides a framework for management and assessment of risks. Accordingly, quarterly information on pre-established risk indicators are reviewed by the BIRMC. The BIRMC has a process to assess and evaluate all risks of the Bank and the findings and issues are submitted for the Board's review and action, if any. The BIRMC evaluates the risk management of Subsidiary companies both at the Bank level and Group level.	✓
(90)	3(6)(v)(c)	Review the Adequacy and Effectiveness of Management Level Committees	
		BIRMC reviews the adequacy and the effectiveness of all management level committees including the Credit Policy, Risk and Portfolio Review Committee and the Assets-Liability Committee (ALCO) to address specific risks and to manage those risks within the laid down limits specified by the BIRMC as required by the Direction.	✓
(91)	3(6)(v)(d)	Corrective Action to Mitigate Specific Risks Exceeding Prudential Levels	
		BIRMC takes prompt corrective action to mitigate the effects of specific risks in case such risks are at levels beyond the prudent risk levels decided by BIRMC based on the Bank's policies and regulatory and supervisory requirements. The Key Risk Indicators of the Bank are approved by the BIRMC and the Board on a regular basis.	✓
(92)	3(6)(v)(e)	Frequency of Meetings	
		The BIRMC has regular meetings in compliance with its Terms of Reference and schedules additional meetings when required. The agenda covers matters pertaining to all aspects of risk management including updated Business Continuity Plans. The BIRMC met Eight (08) times during the year.	✓
(93)	3(6)(v)(f)	Officers Responsible for Failure to Identify Specific Risks or Implement Corrective Action	
		BIRMC refers such instances, if any, to the Human Resource department in order to take prompt corrective actions as directed by the Director of Bank Supervision of the CBSL in respect of the officers identified to be responsible for failure to identify specific risks.	✓
(94)	3(6)(v)(g)	Risk Assessment Report to Board	
		The Company Secretary submits summarised report of the high priority risks to the Board on a monthly basis, upon the confirmations of the respective departments, i.e. Risk, Compliance and the Information Security Department.	✓

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	CBSL Section	Principle, Compliance and Implementation	Complied
(95)	3(6)(v)(h)	Compliance Function	
		An Independent Compliance Department has been established to assess the Bank's compliance with laws, regulations and regulatory guidelines. In addition, the Compliance Department assesses the Bank's compliance with internal controls and approved policies on all areas of business operations. This function is headed by a dedicated Group Chief Compliance Officer (GCCO) who functionally reports to the BIRMC and is responsible for escalating the level of compliance of the Bank and the Group with Regulations, Laws and Internal Controls. To accomplish this responsibility the GCCO submits following reports to BIRMC and/or to the Board: • Summary of non-complied incidents with regard to statutory payments and mandatory reporting requirements; • Monthly compliance report; • Quarterly Report on Compliance Risk Assessment based on Key Performance Indicators (KPI); • Related Party Transactions review report. In addition to the above, following Anti-Money Laundering (AML) and Combating the Financing of Terrorism (CFT) reports are submitted to the Board: • Annual report on overall Money Laundering and Terrorist Financing risk assessment of the Bank; • Report on exposure of Politically Exposed Persons (PEPs); • Quarterly report on Money Laundering and Terrorist Financing risk assessment.	✓
	3(7)	RELATED PARTY TRANSACTIONS	
(96)	3(7)(i)	Categories of Related Parties and Avoidance of Conflict of Interest	
		A duly approved documented process is in place for the identification of and dealing with categories of Related Parties and their transactions in order for the Bank to avoid any conflict of interest that may arise from any transaction with the relevant parties. Further, Directors and the KMPs are individually requested to declare their transactions with the Bank on a periodic basis. The avoidance of conflict of interest is further supported by the Board-approved Policy on Managing Conflicts of Interest.	✓
(97)	3(7)(ii)	Related Party Transactions Covered by Direction	
		Related Party Transactions covered for the purpose of the above process with Directors and Key Management Personnel includes the following: • The grant of any type of accommodation, as defined in the Monetary Board's Directions on maximum amount of accommodation pursuant to Section 47 of the Banking Act No. 30 of 1988; • The creation of any liabilities of the Bank in the form of deposits, borrowings and investments; • The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank; • The creation or maintenance of reporting lines and information flows between the Bank and any Related Parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such Related Parties.	✓
(98)	3(7)(iii)	Monitoring of Related Party Transactions Defined as More Favourable Treatment	
		The Bank has implemented a proactive system to ensure that no favourable treatment is offered to Related Parties than that accorded to other customers, in line with the requirement.	✓

	CBSL Section	Principle, Compliance and Implementation	Complied
(99)	3(7)(iv)	Granting Accommodation to a Director or Close Relation of a Director	
		Principles of the Direction are followed when granting accommodations to Directors or close relations of a Director.	✓
(100)	3(7)(v)	Accommodation Granted to a Person or a Close Relation of a Person or to any Concern in which the Person has Substantial Interest, who Subsequently are Appointed as Directors of the Bank	
		The Procedure on Related Party Transactions and the Directive on Monitoring Accommodation Granted to an Individual/Close Relations of an Individual or Concerns in which an Individual has a Substantial Interest when such Individual is Subsequently Appointed as a Director or when a Director Acquires a Substantial Interest are in place to address the said requirement.	✓
(101)	3(7)(vi)	Favourable Treatment (Waiver of Fees and/or Commissions) or Accommodation to Bank Employees or their Close Relations	
		No favourable treatment/accommodation is provided to Bank employees other than those provided under the scheme of staff benefits in terms of the operating instructions issued by the Bank from time to time governing the same and as per the Board-approved Policy on Reward Management for Key Management Personnel. Employees of the Bank are informed through operational circulars to refrain from granting favourable treatment to employees or their close relations or to any concern in which an employee or close relation has a substantial interest except as provided in the Bank's Operational Guidelines and Directives.	✓
(102)	3(7)(vii)	Remission of Accommodation Subject to Monetary Board Approval	
		The situation has not arisen in the Bank during the year under review and necessary operating instructions as stated above have been issued to prevent non-compliance with this requirement.	✓
	3(8)	DISCLOSURES	
(103)	3(8)(i)	Publish Annual and Quarterly Financial Statements	
		Annual audited Financial Statements and quarterly Financial Statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable Accounting Standards.	✓
	3(8)(ii)	Disclosures in Annual Report	
(104)	3(8)(ii)(a)	A Statement to the Effect that the Annual Audited Financial Statements have been Prepared in line with Applicable Accounting Standards and Regulatory Requirements, Inclusive of Specific Disclosures	
		A statement to this effect is included in the following: ➲ Annual Report of the Board of Directors on the Affairs of the Company given on pages 179 to 189.	✓
(105)	3(8)(ii)(b)	Report by the Board on the Bank's Internal Control Mechanism	
		The Annual Report includes the following reports where the Board confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements: ➲ Directors' Statement on Internal Control over Financial Reporting given on pages 190 to 191.	✓
(106)	3(8)(ii)(c)	External Auditor's Certification on Effectiveness of the Internal Control Mechanism Referred in 3(8)(ii)(b)	
		The Board has obtained an assurance report issued by the Auditors under 'Sri Lanka Standard on Assurance Engagements SLSAE 3050' on the effectiveness of Internal Controls Over Financial Reporting which is published on page 192.	✓

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	CBSL Section	Principle, Compliance and Implementation	Complied
(107)	3(8)(ii)(d)	**Details of Directors**	
		Details of Directors are given on pages 12 to 17.	✓
		Directors' interests in contracts with the Company are given below; (Including Executive Directors)	

Category	Amount Rs 000
Loans	54,399
Deposits	171,325
Credit cards	6,013
Debentures	5,000
Interest & other income	4,012
Interest expense	10,056
Share based payments	
Cash dividend	5,500
Aggregate value of remuneration/fee paid by the Bank	170,762
Post employment benefits paid	8,030

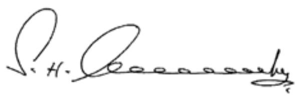
	CBSL Section	Principle, Compliance and Implementation	Complied
(108)	3(8)(ii)(e)	**Net Accommodation Granted to each Category of Related Parties and as a Percentage of the Bank's Regulatory Capital**	
		Related Party Transactions are given in Note 47 to the Financial Statements on pages 292 to 295.	✓
		Net accommodation granted to Related Parties are given below;	

Category of related party transaction	As a % of regulatory capital of the Bank	Amount Rs 000
Directors and close family members	0.10	132,118
KMP & close family members	0.18	234,151
Subsidiaries	6.15	7,807,883
Shareholders owning material interest in the Bank	-	-
Concerns in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	11.33	14,382,033

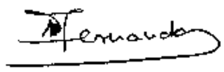
	CBSL Section	Principle, Compliance and Implementation	Complied
(109)	3(8)(ii)(f)	Aggregate Values of Remuneration Paid to, and Transactions with KMPs	
		(see table below)	✓

Nature of transaction	Amount Rs 000
Short-term employment benefits	454,629
Post-employment benefits	33,766
Loans & advances including credit cards	234,676
Deposits & investments	441,934
Interest income	11,183
Interest expense	16,015
Share based payments	
Cash dividend paid	4,443

	CBSL Section	Principle, Compliance and Implementation	Complied
		The remuneration paid to, and transactions with Executive Directors are included in 3(8)(ii)(d) above.	
(110)	3(8)(ii)(g)	External Auditor's Certification of Compliance	
		The findings presented in the Factual Findings Report of External Auditors, addressed to the Board are consistent with the matters disclosed above and did not identify any inconsistencies to those reported by the Board. The recommendations made by the Auditors where relevant will be taken into consideration.	✓
(111)	3(8)(ii)(h)	Report Confirming Compliance with Prudential Requirements, Regulations, Laws and Internal Controls	
		The Statement of Directors' Responsibility for Financial Reporting given on pages 194 to 195 clearly sets out details regarding compliance with prudential requirements, regulations, laws and internal controls. There were no instances of material non-compliance to report on corrective action taken during the year.	✓
(112)	3(8)(ii)(i)	Measures Taken to Rectify Non-Compliant Issues	
		There were no lapses inviting supervisory concerns in the Bank's Risk Management System or non-compliance with these directions that have been pointed out by the Director of Bank Supervision of the CBSL required to be disclosed by the Bank during the year under review.	✓



HARSHA AMARASEKERA
Chairman



NANDA FERNANDO
Managing Director

Colombo, Sri Lanka
15th February 2022

CORPORATE GOVERNANCE

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Section 7.6 of the Listing Rules of the Colombo Stock Exchange

Listing Rule Reference	Disclosure Requirement	Section/Reference
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	List of Directors who served during the year under review is given on page 118 of the Corporate Governance Framework and profiles of the present Directors of the Bank are given on pages 12 to 17.
7.6 (ii)	Principal activities of the Entity and its Subsidiaries during the year and any changes therein.	The Annual Report of the Board of Directors on the Affairs of the Company on pages 179 to 189 contains the Principal Business Activities of the Bank and its Subsidiaries.
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting shares and the percentage of such shares held.	Investor Information on pages 92 to 100 contains the List of Top 20 Shareholders of the Bank as at 31st December 2021.
7.6 (iv)	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement.	Details of the Public Shareholding and the Float Adjusted Market Capitalisation is included in the Investor Information on page 96.
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year.	The Annual Report of the Board of Directors on the Affairs of the Company on pages 179 to 189 contains the Director's holding and Chief Executive Officer's (CEO/MD) holding in shares of the Bank.
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	The Risk Management Report on pages 102 to 112 contains the information pertaining to material foreseeable risk factors of the Bank.
7.6 (vii)	Details of material issues pertaining to employees and industrial relations of the Entity.	During the year under review, there were no material issues relating to employees and industrial relations pertaining to the Bank.
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 29 to the Financial Statements on pages 260 to 267 contains the details of the Property, Plant and Equipment of the Bank.
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 41 to the Financial Statements on page 285 contains the details of the Stated Capital of the Bank.
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Investor Information on pages 92 to 100 contains the Frequency Distribution of Shareholders.
7.6 (xi)	Ratios and market price information: **Equity:** Dividend per share, Dividend payout, Net asset value per share, Market value per share (highest and lowest values recorded during the financial year and value as at the end of financial year).	Investor Information on pages 92 to 100 contains the required information which are relevant to the Bank.
	Debt: Interest rate of comparable government security, Debt/equity ratio, Interest cover, Quick asset ratio, Market prices & yield during the year (highest price, lowest price, last traded price), any changes in credit rating (for the Entity or any other instrument issued by the Entity), if applicable.	Investor Information on pages 92 to 100 contains the required information which are relevant to the Bank. The Annual Report of the Board of Directors on the Affairs of the Company on pages 179 to 189 contains the credit rating assigned for the Bank as well as for the subordinated debentures issued by the Bank.

Listing Rule Reference	Disclosure Requirement	Section/Reference
7.6 (xii)	Significant changes in the Entity's or its Subsidiaries' fixed assets and the market value of land, if the value differs substantially from the book value.	Note 29 to the Financial Statements on pages 260 to 267 contains the details of the Property, Plant and Equipment of the Bank.
7.6 (xiii)	If during the financial year the Entity has raised funds through an Initial Public Offering and/or a further issue of Securities (as applicable); ➲ the manner in which the funds of such issue/s have been utilised in conformity with the format provided by the Exchange from time to time; ➲ if any shares or debentures have been issued, the number, class and consideration received and the reason for the issue; and, ➲ any material change in the use of funds raised through an issue of Securities.	Investor Information on pages 92 to 100 contains the details of utilisation of funds raised via capital markets.
7.6 (xiv)	(a) Information in respect of Employee Share Option Schemes (ESOS) ➲ The number of options granted to each category of employees during the financial year. ➲ Total number of options vested but not exercised by each category of employees during the financial year. ➲ Total number of options exercised by each category of employees and the total number of shares arising therefrom during the financial year. ➲ Options cancelled during the financial year and the reasons for such cancellation. ➲ The exercise price. ➲ A declaration by the Directors of the Entity confirming that the Entity or any of its Subsidiaries has not, directly or indirectly, provided funds for the ESOS.	Not applicable as the Bank does not have Employee Share Option Schemes at present. Further, details disclosed in Investor Information on pages 92 to 100 contains the details of the previous Employee Share Option Schemes of the Bank.
	(b) Information in respect of Employee Share Purchase Schemes (ESPS) ➲ The total number of shares issued under the ESPS during the financial year. ➲ The number of shares issued to each category of employees during the financial year. ➲ The price at which the shares were issued to the employees. ➲ A declaration by the Directors of the Entity confirming that the entity or any of its Subsidiaries has not, directly or indirectly, provided funds for the ESPS.	Not applicable as the Bank does not have Employee Share Purchase Schemes.

CORPORATE GOVERNANCE

Listing Rule Reference	Disclosure Requirement	Section/Reference
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Rules.	
	7.10.3 Disclosures Relating to Directors	
	a. The Board shall make a determination annually as to the independence or non-independence of each Non-Executive Director based on such declaration and other information available to the Board and shall set out in the annual report the names of Directors determined to be 'Independent'.	Disclosures relating to Directors are included in the Annual Report of the Board of Directors on the Affairs of the Company on pages 179 to 189. Profiles of Directors of the Bank are given on pages 12 to 17.
	b. In the event a Director does not qualify as 'Independent' against any of the criteria set out below but if the Board, taking account all the circumstances, is of the opinion that the Director is nevertheless 'Independent', the Board shall specify the criteria not met and the basis for its determination in the annual report.	
	c. In addition to disclosures relating to the independence of a Director set out above, the Board shall publish in its annual report a brief resume of each Director on its Board which includes information on the nature of his/her expertise in relevant functional areas.	
	d. Upon appointment of a new Director to its Board, the Bank shall forthwith provide to the Exchange a brief resume of such Director for dissemination to the public. Such resume shall include information on the matters itemised in paragraphs (a), (b) and (c) above.	A market Disclosure was made to the Colombo Stock Exchange upon the appointment of Mr Vinod Hirdaramani as a Independent Non-Executive, during the year.
	7.10.5 Remuneration Committee 7.10.5.c Disclosure in the Annual Report	
	➲ The annual report should set out the names of Directors (or persons in the Parent Company's committee in the case of a group company) comprising the Remuneration Committee, contain a statement of the remuneration policy and set out the aggregate remuneration paid to Executive and Non-Executive Directors.	The composition of the Board Human Resources and Remuneration Committee is given on pages 169 to 170. The aggregate remuneration to Executive and Non-Executive Directors are given on Note 47.3.1 to the Financial Statements on page 292.
	7.10.6 Audit Committee 7.10.6.c Disclosure in the Annual Report	
	➲ The names of the Directors (or persons in the Parent Company's committee in the case of a group company) comprising the Audit Committee should be disclosed in the annual report. The committee shall make a determination of the independence of the auditors and shall disclose the basis for such determination in the annual report.	The composition of the Board Audit Committee is given on pages 166 to 168.
	➲ The annual report shall contain a report by the Audit Committee, setting out the manner of compliance by the Entity in relation to the above, during the period to which the annual report relates.	The Committee through their annual evaluation assessed the level of independence of the External Auditors.

Listing Rule Reference	Disclosure Requirement	Section/Reference
7.6 (xvi)	Related Party Transactions exceeding 10% of the Equity or 5% of the Total Assets of the Entity as per Audited Financial Statements, whichever is lower. Details of investments in a Related Party and/or amounts due from a Related Party to be set out separately. The details shall include, as a minimum: the date of the transaction, the name of the Related Party, the relationship between the Entity and the Related Party, the amount of the transaction and terms of the transaction, the rationale for entering into the transaction.	None of the transactions carried out by the Bank with Related parties have exceeded the aggregate monetary value of 10% of the shareholders' Equity of the Bank or 5% of the Total Assets of the Bank as at 31st December 2021. The same has been disclosed in the Investor Information on pages 92 to 100.

BOARD AUDIT COMMITTEE REPORT

The Board Audit Committee (the Committee), appointed by the Board of Directors (the Board), comprises Three (03) Independent, Non-Executive Directors, who conduct Committee proceedings in accordance with the Committee's Terms of Reference approved by the Board.

The Committee's composition during the year under review was as follows:

Mr Dilip de S Wijeyeratne
Chairman (IND/NED)

Dr Sanjiva Weerawarana
(IND/NED)

Mr Deshal de Mel
(IND/NED)

(IND - Independent Director and NED - Non-Executive Director)

The Chairman of the Committee, Mr Dilip de S Wijeyeratne, is an Associate Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow Member of the Chartered Institute of Management Accountants, UK and counts many years of experience in the Financial Services industry.

Brief profiles of the members of the Committee are given on pages 12 to 17 of the Annual Report. The Company Secretary of the Bank functioned as the Secretary to the Committee. In the absence of the Company Secretary, his nominee or the Group Chief Internal Auditor (GCIA) functioned as the Secretary to the Committee during the year under review.

Mrs Ranjani Joseph, Partner, Messrs KPMG, Chartered Accountants, serves the Committee in the capacity of Consultant and is invited to attend the meetings.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The establishment, role and functions of the Board Audit Committee are regulated by the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka, the Rules on Corporate Governance as per Section 7.10 of Listing Rules issued by the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

MEETINGS

The Committee met on Fifteen (15) occasions during the year 2021. Attendance by the Committee members at these meetings is given in the table on page 118 of the Annual Report. The Group Chief Internal Auditor attended these meetings regularly while the Managing Director, Executive Director/Group Chief Financial Officer, the Consultant to the Board Audit Committee and the External Auditors also attended these meetings by invitation. Four of these meetings were held to consider and recommend to the Board of Directors, the Bank's Quarterly and Annual Financial Statements. The Committee held Two (02) meetings with the External Auditor; Messrs Ernst & Young independently, without the presence of executive management, to discuss the progress and conclusion of the Audit.

The Committee submits its minutes and reports on its activities to the Board regularly and also assists the Board in its general oversight of financial reporting, internal controls and functions relating to internal and external audits.

DUTIES OF THE COMMITTEE

The Committee is responsible for:

1. Reviewing financial information, in order to monitor the integrity of the Financial Statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure.

2. Reporting to the Board on the quality, appropriateness and acceptability of the Bank's accounting policies and practices.

3. Assessing the reasonableness of the underlying assumptions based on which estimates and judgments are made when preparing the Financial Statements.

4. Reviewing accounting and financial reporting, risk management processes and regulatory compliance requirements.

5. Reviewing the Financial Statements (including quarterly interim statements) prior to publication to ensure constant and continuous compliance with statutory provisions, accounting standards and accounting policies.

6. Reviewing Internal Audit reports and liaising with the Bank's Corporate Management to ensure that precautionary measures are taken to minimise and control weaknesses, procedure violations, frauds and errors.

7. Assessing the independence and reviewing the adequacy of the scope, functions and resources of the Internal Audit Department, including the appointment of the Group Chief Internal Auditor and the performance of the Head and senior staff members of the Internal Audit Department.

8. Overseeing the appointment, compensation, resignation and dismissal of the External Auditors, including review of the External Audit function, its cost and effectiveness and monitoring of the External Auditors' independence, to ensure that the engagement of the Audit Partner shall not exceed five years and that the particular Audit Partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.

9. Reviewing the effectiveness of the Bank's system of Internal Control Over Financial Reporting to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial Statements for external purposes are in accordance with applicable accounting standards and regulatory requirements.

10. Engaging Independent Advisors for specialised functions where it deems necessary.

ACTIVITIES FOR 2021

COVID-19 Outbreak

The unprecedented impact of COVID-19 related disruptions, prompted the Sri Lankan government to impose strategic lockdowns for an extended period of time, while the Central Bank of Sri Lanka (CBSL) requested Commercial and Specialised Banks to extend the debt moratorium to bring relief to affected businesses and individuals. The Bank acting in conformity with these regulatory Directives, further continued to strengthen its internal controls over financial reporting process to ensure that the impact on COVID-19 moratorium on interest income and impairment provisions were accurately captured. Accordingly, the Bank has recognised additional impairment provisions as management overlay by using stress testing techniques and judgment to ensure that the potential impact to its loan book is adequately covered in the financial statements.

The risk landscape of the banking industry changed with more focus given to rapid digitalisation, cyber resilience, data security, Anti-Money Laundering (AML) and Customer Due Diligence (CDD). In this regard, additional steps were taken to further strengthen the cyber security processes during the year under review.

The Board Audit Committee continues to proactively assess the implications on the internal controls over financial reporting due to the emerging trends in the market and the agility and robustness of the Internal Audit function when working remotely according to the new audit plans.

Financial Reporting

As part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, the Committee reviewed and discussed with the Management and the External Auditors, the Quarterly and the Annual Financial Statements of the Bank, prior to their release. The review considered several factors including the quality, appropriateness and acceptability of current accounting policies and practices, the clarity of existing disclosures and the extent of compliance with financial reporting standards, such as that specified under the Companies Act No. 7 of 2007, the Banking Act No. 30 of 1988 and any other relevant financial and governance reporting requirements.

To facilitate the review, the Committee considered reports from the Executive Director/Group Chief Financial Officer and reports from the External Auditors on the outcome of the Annual Audit.

As described above, the Committee also assessed the uncertainties resulting from the COVID-19 pandemic along with the CBSL measures on extending moratorium to all affected business segments to determine their impact on the Financial Statements of the Bank.

External Auditors

The Committee reviewed and monitored the independence and objectivity of the External Auditors and also assessed the effectiveness of their audit process vis-à-vis relevant professional and regulatory requirements. To ensure that the Auditors had the independence to discuss and express their opinions on any matter, they were granted a further opportunity to meet the Audit Committee separately, without the presence of executive management. The Committee discussed with the Auditors' their audit plan, scope and the methodology they propose to adopt in conducting the annual audit, prior to its commencement. There was no limitation of scope and the Management has fully provided all information and explanations requested by the Auditors.

The Committee ensured that the lead Audit Partner was rotated every five years in accordance with the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks in Sri Lanka.

The Committee has recommended to the Board that Messrs Ernst and Young, Chartered Accountants, be re-appointed for the financial year ending 31st December 2022, subject to the approval of shareholders at the next Annual General Meeting.

The Committee reviewed the Letter of Representation issued to the External Auditors by the Board.

Financial Statements were reviewed with the External Auditor, who is responsible for expressing an opinion on its conformity with the Sri Lanka Accounting Standards. The Committee also met the Auditors to review the Management Letter with the responses from the Management.

In line with the regulatory requirement, the Committee approved the policy in place on Non-Audit Services provided by the External Auditors.

Internal Control Over Financial Reporting (ICOFR)

The Bank is required to comply with Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 and assess the effectiveness of Internal Control Over Financial Reporting. The Committee assessed the effectiveness of the Bank's Internal Control Over Financial Reporting as of 31st December 2021 based on the criteria set out in the Guidance for Directors of Banks under "The Directors' Statement of Internal Control", issued by the CA Sri Lanka in 2010.

The Internal Controls Over Financial Reporting Steering Committee comprising the Group Chief Internal Auditor (Chairperson), Executive Director/Group Chief Financial Officer, Group Chief Risk Officer, Chief Information Security Officer and Group Chief Compliance Officer, assisted the Internal Audit Department in conducting its evaluations on the Internal Control Over Financial Reporting and Management Information Systems. The assessment is based on processes documented by the respective process owners and appropriate recommendations were made

BOARD AUDIT COMMITTEE REPORT

GRI 102-33,34

where necessary through the audit testing carried out from time to time, to ensure the design effectiveness and the operating effectiveness of the Internal Controls and the Management Information Systems on an ongoing basis. Additionally, more emphasis was given to the changes made into the control environment due to the pandemic.

Based on the assessments carried out by the Internal Auditors and External Auditors, the Board has concluded that, as of 31st December 2021, the Bank's Internal Control Over Financial Reporting is effective. The Directors' Statement on the Bank's Internal Control Over Financial Reporting is provided on pages 190 to 191.

The Bank's External Auditors have audited the effectiveness of the Bank's Internal Control Over Financial Reporting and have reported to the Board that nothing has come to their attention that causes them to believe that the financial reporting was inconsistent with their understanding of the processes adopted by the Board in the review of the design and effectiveness of the internal control system of the Bank. The External Auditors' Report on the Bank's Internal Control Over Financial Reporting is provided on page 192.

Internal Audit

As the pandemic continued to evolve, hybrid office working models with hybrid talent development is the way to adapt into the new normal. The ability to adapt, reskill and resume new roles through agile audit planning reshaped the internal audit function.

During the year, the Board Audit Committee continued to fulfill its mandate to monitor and review the scope, extent and effectiveness of the activities of the Bank's Internal Audit Department, including review of the progress made on Audit activities and achievements against the Bank's Audit Plan. The Committee reviewed the Internal Audit Plan and monitored its implementation through regular communication with the Group Chief Internal Auditor.

The Committee further reviewed all major findings revealed through audit investigations and potential fraud monitoring activities carried out during the year.

All Internal Audit reports were made available to External Auditors as well.

The Committee also reviewed the resource requirements of the Internal Audit Department. The performance evaluation of the Group Chief Internal Auditor and the senior staff members of the Internal Audit Department for the year 2021 will be carried out by the Committee during the first quarter of 2022.

Annual Corporate Governance Report

As required by Section 3(8)(ii)(g) of the Banking Act Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka, the Annual Corporate Governance Report for 2021 is provided on pages 146 to 161. The External Auditors of the Bank have performed procedures set out in Sri Lanka Related Services Practice Statement 4750 issued by the CA Sri Lanka (SLRSPS 4750), to meet the compliance requirement of the said Corporate Governance directive. Their findings are presented in their report dated 15th February 2022 addressed to the Board, are consistent with the matters disclosed above and any inconsistencies to those reported by the Board on pages 146 to 161 have not been identified.

Whistleblowing

The Bank's Whistleblowing Policy continued to be implemented as a component of the Corporate Fraud Risk Management Framework. The Policy allows any team member who has a legitimate concern on an existing or potential "wrong doing" by any person within the Bank to come forward voluntarily and bring such concern to the notice of the Chairman of the Board Audit Committee through the Company Secretary or Group Chief Internal Auditor. Concerns raised are investigated and the identity of the person raising the concern is kept confidential. Anonymous complaints too are covered under the Whistleblowing Policy and investigated as per the standard procedure. The Whistleblowing Policy was reviewed by the Committee during the year 2021 with recommendations made to further strengthen the policy as a communication channel to raise any genuine concerns.

REPORTING TO THE BOARD

The Minutes of the Committee meetings were tabled at Board meetings thereby providing the Board members with access to the deliberations of the Committee.

PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice from time to time on matters within its purview. During the year, several consultations were sought with various professionals, on matters under the Committee's purview.

BOARD AUDIT COMMITTEE EVALUATION

The annual self-evaluation of the Committee was conducted by the members of the Committee at year end and concluded that its performance was effective.

On behalf of the Board Audit Committee,

DILIP DE S WIJEYERATNE
Chairman - Board Audit Committee

Colombo, Sri Lanka
15th February 2022

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

GRI 102-35,36

The Board Human Resources and Remuneration Committee (the Committee) comprises Five (05) Non-Executive Directors.

The Committee's composition during the year under review was as follows:

Ms Aroshi Nanayakkara
Chairperson (IND/NED)

Mr Dilip de S Wijeyeratne
(IND/NED)

Mr Deshal de Mel
(IND/NED)

Mr Vajira Kulatilaka
(IND/NED)

Mr Vinod Hirdaramani
(IND/NED) (w.e.f. 25.02.2021)

(IND - Independent Director and NED - Non-Executive Director)

(w.e.f. - with effect from)

Brief profiles of the members are given on pages 12 to 17 of the Annual Report.

MEETINGS

During the year under review, Fifteen (15) meetings were held. The attendance of the members at these meetings is given on page 118 of this Report. The Managing Director (MD) and the Group Chief Human Resource Officer (GCHRO) as well as other executive staff also attended meetings by invitation to assist in the Committee's deliberations.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role and functions of the Committee are defined by the provisions of the Banking Act Direction No. 11 of 2007 on Corporate Governance issued by the Central Bank of Sri Lanka (the Directive), the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka and any other applicable regulations.

DUTIES OF THE COMMITTEE

The Committee focuses on the following key activities in discharging its responsibilities:

1. Formulating remuneration policies (salaries, allowances and other financial payments) relating to Directors, CEO/MD and Key Management Personnel (KMP) of the Bank and submitting the same for the approval of the Board. (Vide Direction 3(6)(iii)(a) of the Directive).
2. Identifying goals and targets for the Directors, CEO/MD and Key Management Personnel (KMP) and submitting the same for the approval of the Board. (Vide clause 3(6)(iii)(b) of the Directive).
3. Evaluating the performance of the CEO/MD and Key Management Personnel against set targets and goals periodically and submitting the same to the Board, together with recommendations for the revision of remuneration, benefits and other performance-based incentives. (Vide clause 3(6)(iii)(c) of the Directive).
4. Recommending to the Board such amendments to its scope as may, in its view be desired, to achieve better corporate governance objectives.
5. Advising the KMP heading the Human Resources Department of the Bank with regard to revision of salaries of Bank staff and of any major organisational changes needed for the Bank's purpose.
6. Recommending and keeping under review, the Human Resources Strategy including key HR Objectives, Plans and workforce requirements in line with the overall annual/medium term strategic objectives of the Bank and monitoring implementation of the same.
7. Reviewing, commenting and reporting to the Board on the HR related development plans, talent retention and career development for potential successors.
8. Monitoring and making all necessary recommendations to the Board on ethical standards to be adopted with regard to human capital and ensuring that the management has institutionalised a process to ensure compliance with these standards.
9. Keeping the provisions of the Bank's Pension Plan under review.
10. Reviewing the Terms of Reference (TOR) of the Committee periodically, and ensuring that it reflects the best practices of the industry at all times.
11. Assessing the performance of the Committee based on the requirements.

ACTIVITIES FOR 2021

The Committee continued to discharge its responsibilities in compliance with its TOR. Accordingly, the Human Resources related policies and procedures, strategic HR initiatives, team engagement and support activities and people development programmes were reviewed with the objective of enhancing the team's capabilities and commitment. The Committee also reviewed the organisational structure and recommend appropriate changes and kept abreast of the dynamic changes that were required during the year in order to respond to the challenges posed by the COVID-19 pandemic.

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

The performance appraisals of the MD and Key Management Personnel were completed after reviewing the targets in compliance with the Action Plan of the Bank. Based on this, remuneration and salary structures were reviewed and finalised.

The Committee also undertook to review and revise the Employee Recognition Scheme in line with the Bank's strategic ambitions for the next 3-5 year time frame. To further support this, the Committee approved the roll out of a new Performance-based bonus scheme together with the Executive Leadership Development Programme to develop the second tier of leaders among the Bank's executive cadre.

The Committee also identified the female work force of the Bank as a focus area and put together a high level cross functional team to identify specific initiatives required to build a female leadership pipeline for the Bank.

To strengthen the Bank's approach to talent acquisition and management, the Committee undertook to review and revamp the existing Internship Programme, leading to the introduction of the Sampath Graduate Development Programme.

The Committee authorised the 25 Years' Service Awards 2020 to be held virtually for the second consecutive year amidst ongoing pandemic related challenges.

At the invitation of BHRRC, an HR diagnostic study was conducted during the year by Messrs Deloitte - India. Further, the Committee approved the purchase of a new HRIS system to manage the future HR requirements of the Bank and to enhance the productivity and workflow of the HR Department. The Committee also engaged with Mercer India Consulting to develop a best-in-class Performance Management System in order to realise the strategic objectives and future growth potential of the Bank.

REPORTING TO THE BOARD

The Minutes of the Committee meetings were tabled at Board meetings thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted by the members of the Committee at year end and concluded that its performance was effective.

On behalf of the Board Human Resources and Remuneration Committee,

AROSHI NANAYAKKARA
Chairperson - Board Human Resources and Remuneration Committee

Colombo, Sri Lanka
15th February 2022

BOARD NOMINATION COMMITTEE REPORT

GRI 102-24

The Board Nomination Committee (the Committee) comprises Five (05) Non-Executive Directors.

The Committee's composition during the year under review was as follows:

Mr Deshal de Mel
Chairman (IND/NED)

Mr Rushanka Silva
(NID/NED)

Mr Harsha Amarasekera
(NID/NED)

Mrs Keshini Jayawardena
(IND/NED) (w.e.f. 27.01.2021)

Mr Dilip de S Wijeyeratne
(IND/NED) (w.e.f 25.02.2021)

(IND - Independent Director, NID - Non-Independent Director and NED - Non-Executive Director)

(w.e.f. - with effect from)

Brief profiles of the members are given on pages 12 to 17 of the Annual Report.

MEETINGS

During the year under review, Eight (08) Committee meetings were held. The attendance of the members at these meetings is given on page 118 of this Report. The Managing Director (MD) attends meetings by invitation, to assist the Committee's deliberations.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE COMMITTEE

The role and functions of the Committee are defined by the provisions of Banking Act Direction No. 11 of 2007 on Corporate Governance issued by the Central Bank of Sri Lanka (the Directive), the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka and any other applicable regulations.

DUTIES OF THE COMMITTEE

The Committee focuses on the following key activities in discharging its responsibilities.

1. Implementing a procedure to select/ appoint new Directors, CEO/MD and Key Management Personnel. (Vide Direction 3(6)(iv)(a) of the Directive).
2. Consider and recommend the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities. (Vide Direction 3(6)(iv)(b) of the Directive).
3. Set the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion for the positions of CEO/MD and the key management positions. (Vide Direction 3(6)(iv)(c) of the Directive).
4. Ensuring that Directors, CEO/MD and Key Management Personnel are fit and proper persons to hold office as stated in the criteria specified under Statutory and Regulatory requirements. (Vide Direction 3(6)(iv)(d) of the Directive).
5. Consider and recommend from time to time, the requirements of additional/ new expertise and the succession arrangements for retiring Directors and Key Management Personnel. (Vide Direction 3(6)(iv)(e) of the Directive).
6. Review the Terms of Reference (TOR) of the Committee periodically, to ensure that it reflects the best practices of the industry at all times.
7. Assess the performance of the Committee annually.

ACTIVITIES FOR 2021

The Committee continued to discharge its responsibilities in compliance with its TOR.

Key highlights for the year included the review of the Policy on Selection, Nomination, Appointment and Election of Directors and the Committee undertook a thorough process to identify and assess suitable candidates to fill the vacancies created at Board level. Accordingly, having considered the required expertise and experience on the Board, the committee made recommendation to the Board in respect of the appointment of Mr Vinod Hirdaramani.

The Committee also reviewed the procedure for selection and appointment of CEO/ MD and Key Management Personnel. The profiles of the members of the Corporate Management were also updated and tabled to the Board. Accordingly, having considered the relevant skills, knowledge and experience of candidates, the Committee made recommendations to the Board in respect of key promotions and position changes to the corporate management focusing the succession plan of the Bank. The Board Nomination Committee also ensured the compliance with the Corporate Governance requirements in the conduct of all affairs in the Committee.

REPORTING TO THE BOARD

The Minutes of the Committee meetings were tabled at Board meetings thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted by the members of the Committee at year end and concluded that its performance was effective.

On behalf of the Board Nomination Committee,

DESHAL DE MEL
Chairman - Board Nomination Committee

Colombo, Sri Lanka
15th February 2022

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

GRI 102-30

The Board Integrated Risk Management Committee (the Committee) comprises Three (03) Non-Executive Directors, One (01) Executive Director and Two (02) members from the Management.

The Committee's composition during the year under review was as follows:

Board Representatives:

Mr Deshal de Mel
(Chairman) (IND/NED)

Mr Dilip de S Wijeyeratne
(IND/NED)

Dr Sanjiva Weerawarana
(IND/NED)

Mr Nanda Fernando
(ED)

(IND - Independent Director, NED - Non-Executive Director and ED - Executive Director)

Management Representatives:

Mr Kasun Ratnayake
(Group Chief Risk Officer)

Mr Sudharshana Jayasekera
(Group Chief Compliance Officer)

Brief profiles of the members are given on pages 12 to 17 of the Annual Report.

MEETINGS

During the year under review, Eight (08) Committee meetings were held. The attendance of the members at each of these meetings is given on page 118 of this Report.

Key Management Personnel (KMP) in charge of Information Security, Credit, Market, Liquidity, Operational, Strategic Risks and Anti-Money Laundering also attended meetings of the Committee, by invitation to assist in the Committee's deliberations.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role and functions of the Committee are defined by the provisions of the Banking Act Direction No. 11 of 2007 on Corporate Governance issued by the Central Bank of Sri Lanka (the Directive) and any other applicable regulations.

DUTIES OF THE COMMITTEE

The Committee focuses on the following key activities in discharging its responsibilities.

1. Assessing all risks faced by the Bank including Credit, Market, Liquidity, Operational and Strategic Risks on a monthly basis through appropriate risk indicators and management information. In case of subsidiary companies, risk management is done both on a Bank basis and Group basis. (Vide clause 3(6)(v)(b) of the Directive).
2. Reviewing the adequacy and effectiveness of all management level committees such as the Credit Policy, Risk & Portfolio Review Committee, ALCO (Asset & Liability Management Committee) and Risk & Compliance Committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the Committee. (Vide clause 3(6)(v)(c) of the Directive).
3. Taking prompt corrective action to mitigate the effects of specific risks in case such risks are at levels beyond the prudent levels decided by the Committee on the basis of the Bank's policies and regulatory, supervisory requirements. (Vide clause 3(6)(v)(d) of the Directive).
4. Assessing all aspects of Risk Management and Compliance across the Bank including updated Business Continuity Plans. (Vide clause 3(6)(v)(e) of the Directive).
5. Referring to Bank's Disciplinary Committee regarding the officers responsible for failure to identify specific risks and taking prompt corrective action as recommended by the Committee and/or as directed by the Director of Bank Supervision, for the purpose of implementing corrective measures against such officers, in compliance with clause 3(6)(v)(f) of the Directive.
6. Submitting a report on high priority risks to the Main Board on a monthly basis, in compliance with clause 3(6)(v)(g) of the Directive.
7. Establishing a compliance function and appointing a dedicated Compliance Officer selected from Key Management Personnel who functionally reports to the Committee periodically to assess the Bank's compliance with the laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. (Vide clause 3(6)(v)(h) of the Directive).
8. Recommending all policies relating to Risk Management and all other areas for Board approval.
9. Setting-up risk appetite/tolerance limits of the Bank at enterprise and strategic business unit levels.
10. Maintaining continued awareness of any changes in the Bank's risk profile.
11. Ensuring the existence of clear and independent reporting lines, responsibilities for the overall business activities and risk management functions.
12. Cultivating a proactive risk management culture within the Bank.
13. Periodically reviewing the risk exposures of the Bank to be in line with the Bank's objectives, business strategies and risk appetite.
14. Reviewing and formulating the strategy and methodology for allocation of risk/economic capital, including Internal Capital Adequacy Assessment Process (ICAAP) and recommending the same for Board approval.
15. Ensuring the adequacy of tools, systems and resources for the successful management of risk and compliance functions within the Bank

and recommending the financial budget for the provision of adequate tools and systems to support the risk management functions.

16. Reviewing and approving risk related public disclosures to be made under CBSL directives.
17. Engaging with external and independent reviewers for validation of risk measurement methodologies and outputs as and when required.
18. Monitoring controls relating to “Information Security” and reviewing the progress of the “Information Security Committee” (ISC) on a quarterly basis.
19. Performing any other activity within the scope of risk related functions that is deemed by the Committee to be required, which will serve to enhance its or the risk function’s efficiency and effectiveness.
20. Reviewing the Terms of Reference (TOR) of the Committee periodically, to ensure that it reflects the best practices of the industry at all times.
21. Annually assess the performance of the Committee.

ACTIVITIES FOR 2021

The Committee discharged its responsibilities in compliance with its TOR and to enable this, the Committee received regular reports on the Bank’s performance against Key Risk Indicators (KRIs) from the Risk Management Department and Key Performance Indicators (KPIs) from the Compliance Department. The reports and the relevant background information have been reviewed in depth and necessary risk mitigation measures have been initiated where necessary, in order to maintain the Bank’s exposure to risk within its risk appetite limits and to facilitate compliance with regulatory requirements, while facilitating the achievement of sound business results.

The work of the Committee was supported by the Risk Management Department, Compliance Department and Information Security Department of the Bank, headed by the Group Chief Risk Officer, the Group Chief Compliance Officer and the Chief Information Security Officer respectively, in discharging its responsibilities. The governance structure for the management of risk of the Bank is set out in the Risk Management Report given on pages 102 to 112 of the Annual Report.

The Risk Appetite of the Bank in all key risk areas, namely, Credit Risk, Market Risk, Liquidity Risk and Operational Risk have been defined and approved by the Board on the recommendation of the Committee. Regular reports have been provided to the Committee on the actual performance of the identified risk areas.

The Committee actively encouraged all the participants in the Committee meetings to comprehensively review all risks as well as to undertake analyses going beyond the requirements of the regulations. This year, the Bank’s operations were subject to a unique risk environment in the context of the COVID-19 pandemic. Accordingly, risk models were re-visited and the risk outlook had to be considered through an unconventional framework.

The Committee undertook the following specific activities during the year:

1. The Committee along with Risk Management Department took several measures in responding to the COVID-19 pandemic, including Work from Home arrangements for staff, strengthening of Disaster Recovery sites under Business Continuity Planning, adherence to safety instructions issued by Health Authorities to ensure staff health and safety, providing uninterrupted customer service through ATMs, Cash and Cheque Deposit Machines in branches closed due to lockdown and strengthening of Bank’s digital channels.
2. Regularly reviewed the Risk elevated industries in the context of the COVID-19 pandemic.
3. Assessed the impact of the COVID-19 lockdown and moratorium measures on the Bank’s NPA levels, liquidity, capital adequacy and other key parameters by using a range of additional stress tests.
4. Actions were taken to mitigate enhanced Cyber Risk with the increased adoption of digital channels, i.e. conduct periodic internal and external vulnerability assessments, timely patch upgrades/ update databases, applications, middleware and operating systems, strengthen the security measures by introducing an OTP/mandatory use of strong passwords.
5. Live implementation has been completed in Credit Rating Models to assess the efficacy of the models in determining the credit quality of borrowers. Further action was taken to enhance the rating models based on the validation results/ recommendations provided by the consultants.
6. The Bank’s Credit Risk Appetite/ Operational Risk Appetite/Market Risk Appetite limits were reviewed.
7. The Bank’s PVBP, VaR limits and MTM limits were reviewed and implemented Rate Tolerance limits for FX related transactions.
8. Supported the development of a rating-based ECL model for the Bank.
9. Involvement in the development of an Early Warning System to enable branches to proactively access information regarding potential default customers under their purview.
10. Tightened monitoring of top 30 exposures for selected high risk sectors, particularly considering pandemic related stresses. The findings of detailed sector-wise and borrower-wise portfolio analysis were assessed and mitigative actions were prescribed by the Committee.
11. A comprehensive Risk Register was developed based on several risk factors identified for the Bank.
12. The Internal Capital Adequacy Assessment Process (ICAAP) was reviewed and further strengthened with the assistance of external consultants and was subsequently submitted to the CBSL.

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

13. Reviewed and enhanced the Bank's liquidity contingency plan.
14. The Bank's operational risk framework was further strengthened with the addition of new KRIs covering information technology.
15. The Risk and Control Self-Assessment (RCSA) process was reviewed and further expanded in the year 2022.
16. Increased risk awareness levels of the Committee members and key management by arranging discussions with external experts including sessions on macroeconomic outlook and banking sector risk.
17. Regular reviews of compliance risk, particularly in the context of AML concerns and proactive monitoring and reporting of suspicious transactions.
18. Considering the volatile market conditions, the Committee has recommended and stipulated new parameters relating to market risk. New investment guidelines including portfolio limits and tenor limits were introduced for government securities investments, developing a better risk-reward balance in a dynamic market environment. A comprehensive Market Risk Dashboard was introduced as part of this initiative.
19. Information Security Status reports submitted by the Information Security Department/IT Department were reviewed. Steps were taken to enhance the efficiency of monitoring and to mitigate/avoid possible risks arising from the IT systems in respect of Credit, Market, Liquidity, Operational and Strategic Risks of the Bank.
20. Implemented Data Dissemination Committee to ensure better Data Governance.
21. Implemented Fraud Risk Management Committee to support a fraud risk free culture.

REPORTING TO THE BOARD

The Minutes of the Committee meetings were tabled at Board meetings thereby providing the Board members with access to the deliberations of the Committee. The risk assessments were typically submitted to the Board within an adequate time period from each Board Integrated Risk Management Committee meeting.

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE EVALUATION

The annual self-evaluation of the Committee was conducted by the members of the Committee at year end and concluded that its performance was effective.

On behalf of the Board Integrated Risk Management Committee,

DESHAL DE MEL
Chairman - Board Integrated Risk Management Committee

Colombo, Sri Lanka
15th February 2022

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

GRI 102-25

The Board Related Party Transactions Review Committee (the Committee) comprises Four (04) Non-Executive Directors.

The Committee's composition during the year under review was as follows:

Mr Vajira Kulatilaka
Chairman (IND/NED)

Mr Deshal de Mel
(IND/NED)

Dr Sanjiva Weerawarana
(IND/NED)

Mr Dilip de S Wijeyeratne
(IND/NED)

(IND - Independent Director, NED - Non-Executive Director)

Brief profiles of the members are given on pages 12 to 17 of the Annual Report.

MEETINGS

During the year under review, Four (04) Committee meetings were held. The attendance of the members at these meetings is given on page 118 of this Report. The Managing Director (MD) and other Key Management Personnel (KMP) attended meetings by invitation, to assist the Committee's deliberations.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE COMMITTEE

The role, functions and the composition of the Committee are defined by the provisions of Code of Best Practices issued by the Securities & Exchange Commission of Sri Lanka (the "SEC Code"), Section 9 of the Listing Rules of the Colombo Stock Exchange (the "CSE Rules"), Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and the Banking Act Direction No. 11 of 2007 issued by the Central Bank of Sri Lanka (the "Directive").

DUTIES OF THE COMMITTEE

The Committee focuses on the following key activities in discharging its responsibilities.

1. Taking all necessary steps to avoid any conflicts of interest that may arise from any transaction conducted by the Bank with any category deemed as "Related Parties" as authorised by the Board. (Vide clause 2(7)(i) and 3(7)(i) of the Directive).
2. Ensuring that the transactions with related parties are identified by the respective authorities in line with the regulatory requirements. (Vide clause 3(7)(ii) of the Directive).
3. Maintaining the Board approved standards to ensure that the Bank does not engage in transactions with related parties in a manner that would grant such parties a "More Favourable Treatment" than that accorded to other constituents of the Bank carrying on the same business. (Vide clause 3(7)(iii) of the Directive).
4. Ensuring that the Bank shall not grant any accommodation to any of its Directors or to a close relation of such Director or to any concern in which the person has a substantial interest unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation and to ensure all regulations pertaining to such accommodations are followed. (Vide clause 3(7)(iv), (v), (vi) and (vii) of the Directive).
5. Ensuring that there is an adequately effective and efficient system in place to capture information which is relevant to its review function.
6. Obtaining professional and expert advice from qualified persons, where such advice is necessary for the performance of the review function.
7. Periodically reviewing the Terms of Reference (TOR) of the Committee to ensure that it reflects the best practices of the industry at all times.
8. Assessing the performance of the Committee annually.
9. Recommending to the Board such amendments to its scope as may, in its view be applicable, to achieve better compliance with regulatory requirements.

ACTIVITIES FOR 2021

The Committee discharged its responsibilities in compliance with its TOR, for which purpose the Committee reviewed the relevant Related Party Transactions quarterly or as and when required and communicated its observations to the Board. These are published in the Note 47 to the Financial Statements.

The Committee undertook to further strengthen the existing procedure for handling of Related Party Transactions (RPT) by improving the dissemination of information to all relevant stakeholders and obtaining their acknowledgements that they have read and understood the applicable regulatory requirements relating to identifying, capturing and reporting of RPT. To further complement these efforts, the process of capturing Related Parties of the Bank was also further enhanced.

During the year, the Committee obtained independent legal, financial and technical advice with regard to dealing with related party transactions, with the intention of expediting its decision making process.

Further, the Committee continued to provide oversight for raising awareness among the Bank's staff regarding Related Party Transactions with a series of training programmes conducted across various departments/business units.

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

REPORTING TO THE BOARD

The Minutes of the Committee meetings were tabled at Board meetings thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted by the members of the Committee at year end and concluded that its performance was effective.

On behalf of the Board Related Party Transactions Review Committee,

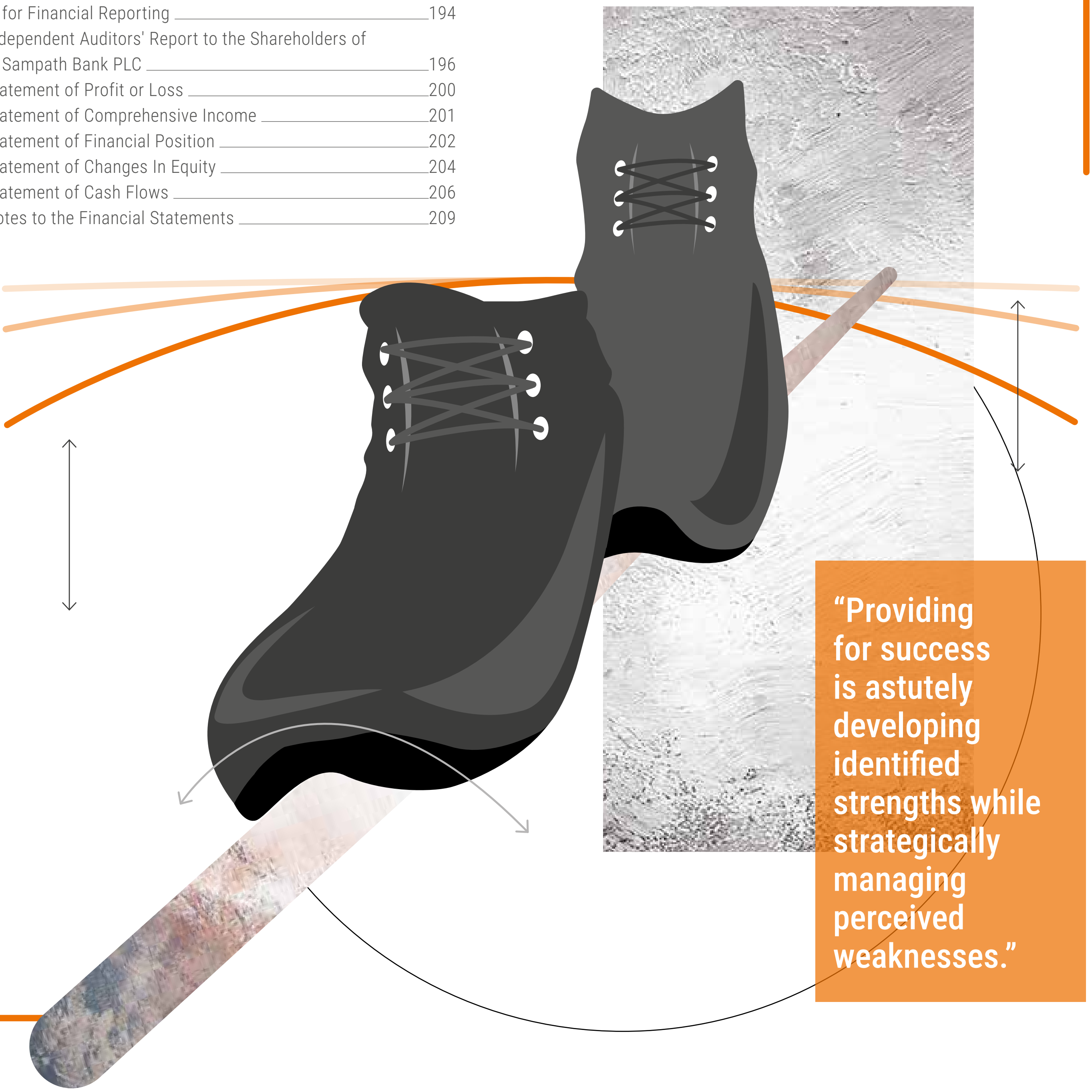
VAJIRA KULATILAKA
Chairman - Board Related Party Transactions Review Committee

Colombo, Sri Lanka
15th February 2022

FINANCIAL INFORMATION

PROVIDING FOR SUCCESS

Investing in consistent performance across all our sectors has been one of Sampath Bank's most successful strategies. Developing on our strengths and providing for challenges has been our assurance for ensuring long-term growth and sustained value.



"Providing for success is astutely developing identified strengths while strategically managing perceived weaknesses."

FINANCIAL CALENDAR

Financial Calendar - 2021	
2020 Annual Report and Audited Financial Statements signed on	15th February 2021
35th Annual General Meeting held on	30th March 2021
Rs 2.75 per share Final Cash Dividend for 2020 distributed on	23rd April 2021
2021 Annual Report and Audited Financial Statements signed on	15th February 2022
36th Annual General Meeting to be held on	30th March 2022
Rs 4.25 per share Final Cash Dividend for 2021 distributable on or before	25th April 2022*

Interim Financial Statements published in terms of Rule 7.4 of the Colombo Stock Exchange (CSE) and as per the requirements of the Central Bank of Sri Lanka:

	Colombo Stock Exchange	Newspapers (as required by CBSL)		
		English	Sinhala	Tamil
2020 4th Quarter interim results released on	16th February 2021	25th February 2021	02nd March 2021	02nd March 2021
2021 1st Quarter interim results released on	12th May 2021	25th May 2021	25th May 2021	25th May 2021
2021 2nd Quarter interim results released on	13th August 2021	24th August 2021	25th August 2021	25th August 2021
2021 3rd Quarter interim results released on	12th November 2021	24th November 2021	25th November 2021	25th November 2021

Proposed Financial Calendar - 2022	
2022 Annual Report and Audited Financial Statements to be signed in	February 2023
37th Annual General Meeting to be held in	March 2023
Final dividend for 2022 payable in	April 2023**

Interim Financial Statements to be published in terms of Rule 7.4 of the Colombo Stock Exchange and as per the requirements of the Central Bank of Sri Lanka:

	Colombo Stock Exchange	Newspapers (as required by CBSL)		
		English	Sinhala	Tamil
2021 4th Quarter interim results to be released on or before	17th February 2022	31st March 2022	31st March 2022	31st March 2022
2022 1st Quarter interim results to be released on or before	13th May 2022	31st May 2022	31st May 2022	31st May 2022
2022 2nd Quarter interim results to be released on or before	15th August 2022	31st August 2022	31st August 2022	31st August 2022
2022 3rd Quarter interim results to be released on or before	15th November 2022	30th November 2022	30th November 2022	30th November 2022
2022 4th Quarter interim results to be released on or before	28th February 2023	31st March 2023	31st March 2023	31st March 2023

* Subject to confirmation by Shareholders

** Subject to confirmation by Directors and Shareholders

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

1 GENERAL

The Board of Directors of Sampath Bank PLC have pleasure in presenting its Annual Report on the State of Affairs of the Company to the members of Sampath Bank PLC ("the Bank") for the financial year ended 31st December 2021, together with the audited Financial Statements of the Bank, Consolidated Financial Statements of the Group for that year and the Auditors' Report on those Financial Statements, prepared in compliance with the requirements of the Companies Act No. 7 of 2007 and the Banking Act No. 30 of 1988 and its amendments. The Financial Statements have been reviewed and recommended by the Board Audit Committee and were approved by the Board of Directors on 15th February 2022.

This report also includes all other relevant information required by the Companies Act No. 7 of 2007, Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and subsequent amendments thereto, the Listing Rules of the Colombo Stock Exchange and is also guided by the recommended best practices on Corporate Governance.

This report was approved by the Board of Directors on 15th February 2022. The appropriate number of copies of the Annual Report will be submitted to the Central Bank of Sri Lanka, Colombo Stock Exchange, Registrar of Companies, Securities and Exchange Commission of Sri Lanka and to the Sri Lanka Accounting and Auditing Standards Monitoring Board within the statutory deadlines.

The Bank is a Licensed Commercial Bank registered under the Banking Act No. 30 of 1988 ("Banking Act") and was incorporated as a Public Limited Liability Company in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982, initially as "Investment and Credit Bank Limited", which was subsequently changed to Sampath Bank Limited. The Company was re-registered as per the requirements of the Companies Act No. 7 of 2007 ("Companies Act") on 28th April 2008 under the name "Sampath Bank PLC" with the Registrar General of Companies. The re-registration number of the Bank is PQ 144.

The ordinary shares of the Bank are listed on the Main Board of the Colombo Stock Exchange. The Bank's Basel III Compliant rated unsecured subordinated redeemable debentures are also listed on the Colombo Stock Exchange.

The Bank has been assigned a National Long Term Rating of 'AA- (lka) with Stable outlook' by Fitch Ratings Lanka Limited. The subordinated debentures have been assigned a rating of 'A (lka)'.

The Registered Office as well as the Head Office of the Bank is located at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka.

2 VISION, VALUES AND CORPORATE CONDUCT

The Bank's Vision and Values are given on page 9 of the Annual Report. The business activities of the Bank are conducted at a high level of ethical standards in achieving its Vision.

3 PRINCIPAL BUSINESS ACTIVITIES

The principal business activities of the Bank and the Group during the year are given below as required by the Section 168 (1)(a) of the Companies Act.

3.1 The Bank

The principal activities of the Bank include accepting deposits, corporate and retail banking, project financing, trade financing, treasury and investment services, issuance of local and international credit and debit cards, off-shore banking, resident and non-resident foreign currency operations, electronic banking services such as telephone banking, internet banking, mobile banking, payment gateway, money remittance facilities, pawning, gold loans, leasing, factoring, hire purchase, travel related services and dealing in Government Securities etc.

3.2 Subsidiaries

The Bank owned four subsidiaries as at 31st December 2021.The names of the subsidiaries and their principal business activities are as tabulated below:

Entity	Principal Business Activities
Sampath Centre Limited	Renting of commercial property
SC Securities (Pvt) Ltd	Stock broking
Siyapatha Finance PLC	Granting lease, hire purchase, factoring, other loan facilities and accepting deposits
Sampath Information Technology Solutions Limited	Software development, renting of IT equipment, IT resource outsourcing and consultancy

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

4 CHANGES TO THE GROUP STRUCTURE

There were no changes to the Group structure during the year under review.

5 REVIEW OF OPERATIONS

A review of the financial and operational performance of the Bank and the Group together with important events that took place during the year 2021 as required by the Section 168(1)(a) of the Companies Act are contained in the Chairman's Message (pages 44 to 47), the Managing Director's Review (pages 48 to 54), and Management Discussion and Analysis (pages 55 to 100). These reports form an integral part of the Annual Report of the Board of Directors. No new branches were opened during the year.

6 FUTURE DEVELOPMENTS

The Bank will focus on a business expansion driven through its existing Branch Network, concentrating mainly on its core banking operations to increase its market share and profitability. This will be further supplemented by more vigorous efforts to expand the Bank's digital channels and focus on innovative product development, process improvements and staff development, all aimed at fulfilling the rapidly changing customer needs amidst challenging market conditions and also to maximise the value created for all the stakeholders. As required under Section 168(1)(a) of the Companies Act, an overview of the future development of the Bank and the Group is given in the Chairman's Message (pages 44 to 47), the Managing Director's Review (pages 48 to 54) and Management Discussion and Analysis (pages 55 to 100). These reports form an integral part of the Annual Report of the Board of Directors.

7 FINANCIAL STATEMENTS

The Financial Statements of the Group and the Bank have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 7 of 2007, the Banking Act No. 30 of 1988 and regulatory requirements inclusive of specific disclosures. As required by Section 168(1)(b) of the Companies Act, the aforementioned Financial Statements for the year ended 31st December 2021 have been duly signed by the Executive Director/Group Chief Financial Officer, three more Directors of the Bank and the Company Secretary. These Financial Statements which are given on pages 200 to 340 form an integral part of this Annual Report of the Board of Directors.

8 DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Directors are responsible for the preparation of Financial Statements of the Group and the Bank to reflect a true and fair view of its state of affairs. The Directors are of the view that these Financial Statements appearing on pages 200 to 340 have been prepared in conformity with the requirements of the Sri Lanka Accounting Standards, Companies Act, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, the Banking Act and amendments thereto, the Listing Rules of the Colombo Stock Exchange and the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (CBSL). The Statement of Directors' Responsibility for Financial Reporting is given on pages 194 to 195 which forms an integral part of the Annual Report of the Board of Directors.

9 AUDITORS' REPORT

The Bank's External Auditors, Messrs Ernst & Young, Chartered Accountants carried out the audit on the Financial Statements of the Group and the Bank for the year ended 31st December 2021 and their report on those Financial Statements, as required by Section 168(1)(c) of the Companies Act is given on pages 196 to 199.

10 SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies adopted in the preparation of the Financial Statements are given on pages 209 to 340 as required by Section 168(1)(d) of the Companies Act.

11 FINANCIAL RESULTS AND APPROPRIATIONS

11.1 Income

The gross income of the Group for 2021 was Rs 113,075,143,000/- (2020: Rs 109,207,964,000/-) whilst the Bank's gross income was Rs 104,570,303,000/- (2020: Rs 102,338,976,000/-). An analysis of the gross income is given in Note 6 to the Financial Statements.

11.2 Profit and Appropriations

The Group's profit before tax and profit after tax have increased by 58.3% and 64.1% respectively in 2021 compared to 2020. The Bank's profit before tax and profit after tax for the year too recorded a growth of 50.7% and 55.2% respectively over 2020. Group's Total Comprehensive Income (net of tax) for the year was Rs 15,904,773,000/- (2020: Rs 7,419,543,000/-) whilst the Bank has recorded a Total Comprehensive Income (net of tax) of Rs 14,336,764,000/- (2020: Rs 7,004,536,000/-). A detailed breakdown of the profits and appropriations of the Bank is given below:

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Profit for the year after payment of all operating expenses and provision for depreciation and contingencies	16,833,944	11,171,887
Less: Income tax expense	4,376,447	3,146,740
Net profit after taxation	12,457,497	8,025,147
Other comprehensive income (OCI)		
Actuarial gain/(loss) on defined benefit plans	2,804,233	(2,848,521)
Deferred tax effect including the effect of rate change on the opening balance	(878,809)	797,586
	14,382,921	5,974,212
Realised gain (net of tax) from derecognition of equity instruments at fair value through other comprehensive income	7,098	-
Unappropriated balance brought forward from previous year	4,188,723	6,106,642
	18,578,742	12,080,854
Appropriations		
Transfer to Statutory Reserve Fund	(625,000)	(410,000)
Transfer to General Reserve	(6,000,000)	(3,000,000)
Dividend		
Final cash dividend - 2019 (Rs 11.75 per share)	-	(4,482,131)
Final cash dividend - 2020 (Rs 2.75 per share)*	(3,147,028)	-
Unappropriated balance carried forward	8,806,714	4,188,723
Proposed dividend		
Final cash dividend - 2020 (Rs 2.75 per share)*	-	3,147,028
Final cash dividend - 2021 (Rs 4.25 per share)	4,863,589	-

* Final cash dividend for the year 2020 was paid based on the new number of shares (1,144,373,955 shares) at Rs 2.75 per share as a result of the sub-division of shares (01:03) which was approved by the shareholders at the Extra-ordinary General Meeting held on 17th March 2021. However, there was no change to the total dividend paid, Rs 3,147,028,376.25.

12 TAXATION

As per the Inland Revenue Act No. 10 of 2021, the income tax rate applicable on the Bank's domestic operations and off-shore operations of the off-shore banking unit is 24%. Since the proposed tax rate change from 28% to 24% was not enacted as at 31st December 2020, the Bank calculated both income tax and deferred tax liabilities/ assets at 28% as at the year end 2020. However, the said amendment was subsequently enacted on 13th May 2021 with retrospective effect from the Year of Assessment 2020/2021. The impact on the income tax expense for the year ended 31st December 2020 and on the deferred tax liabilities/assets as at 31st December 2020 has been considered in the tax expense for the year ended 31st December 2021.

The Bank is also liable for VAT on Financial Services at 15% (2020: 15%) and Crop Insurance Levy at 1% (2020: 1%) for the year ended 31st December 2021.

The Group has provided deferred taxation on all known temporary differences under the liability method, as permitted by the Sri Lanka Accounting Standard - LKAS 12 (Income Taxes).

Surcharge Tax Introduced Under Government Budget Proposals 2022

In the Budget Proposals 2022, the Government has proposed to impose a surcharge tax at the rate of 25%, on individuals or companies with a taxable income over Rs 2,000 Mn for the year of assessment 2020/2021. However, this proposal has not yet been substantively enacted. As such, Sampath Bank and Sampath Group have not recognised any liability in 2021 financial statements against the proposed surcharge tax. The relevant disclosure is made in Note 16.1.4 to the Financial Statements.

13 DIVIDEND

The Directors have recommended a final Cash Dividend of Rs 4.25 per share for the financial year ended 31st December 2021, to be paid at a total cost of Rs 4,863,589,308.75. The said dividend is subject to approval of the shareholders at the Annual General Meeting to be held on 30th March 2022.

The Board of Directors was satisfied that the Bank would meet the solvency test immediately after the payment of final dividend proposed, in terms of the Section 31(3) of the Companies Act. The Board provided the Statement of Solvency to the Auditors and obtained a Certificate of Solvency from the Auditors in respect of the dividend payment conforming to the statutory provision.

Further details are given in Note 18 to the Financial Statements.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

14 RESERVES

A summary of the Group's reserves is given below.

As at 31st December	2021 Rs 000	2020 Rs 000
Statutory Reserve Fund	5,315,000	4,635,000
Revaluation Reserve	6,293,636	5,962,392
FVOCI Reserve	1,618,637	1,838,203
General Reserve	52,468,905	46,455,786
Retained Earnings	13,866,847	7,900,780
Non-controlling Interest	-	-
Total	79,563,025	66,792,161

15 CAPITAL EXPENDITURE

The total capital expenditure on acquisition of property, plant and equipment and intangible assets of the Group and the Bank amounted to Rs 1,871,560,000/- and Rs 648,056,000/- respectively (2020 Group: Rs 1,643,024,000/- and Bank: Rs 677,694,000/-). Details are given in Notes 29 and 30 to the Financial Statements.

16 CAPITAL COMMITMENTS

The capital expenditure approved and contracted for, as at the reporting date is given in Note 45.3 to the Financial Statements.

17 PROPERTY, PLANT AND EQUIPMENT (PPE)

Details of property, plant and equipment are given on Note 29 to the Financial Statements.

18 MARKET VALUE OF FREEHOLD PROPERTIES

The Group applies the Revaluation model set out under the Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) to the entire class of freehold lands and buildings. Such properties are revalued every three years or more frequently if the fair values are substantially different from the carrying values. Accordingly, all freehold lands and buildings of the Group were revalued as at the end of 2019 by professionally qualified independent valuers. The results of the revaluation were brought into the Financial Statements to ensure that the carrying amount of such properties reflects the market prices prevailing at that time. Based on the revaluations carried out on a sample basis this year, the Group concluded that the changes in market values are not significant. Accordingly, the Group did not revalue its freehold lands and buildings during the current financial year for consolidated accounting purposes. The Directors are of the view that the last revalued prices reflect the current market values of such properties as at 31st December 2021.

However, Sampath Centre Limited (a fully owned subsidiary of the Bank) which owns the property at No. 110, Sir James Peiris Mawatha, Colombo 2, which houses the Bank's head office, carried out a revaluation of the property as they consider it as an Investment Property in its standalone financial statements prepared as at 31st December 2021. There was no significant change between the previous year revaluation gain and the current year revaluation gain pertaining to this property.

19 STATED CAPITAL, DEBENTURES AND BONDS

19.1 Stated Capital - Bank

The Stated Capital of the Bank as at 31st December 2021 amounted to Rs 47,622,493,065.44 consisting of 1,144,373,955 ordinary voting shares (2020: Rs 47,622,493,065.44 consisting of 381,457,985 ordinary voting shares). The number of ordinary shares of the Bank was increased by way of a sub-division of shares; whereby One (01) ordinary share was subdivided in to Three (03) ordinary shares. Consequently, the issued number of ordinary shares were increased from 381,457,985 ordinary shares to 1,144,373,955 ordinary shares. There was no change to the stated capital subsequent to the said sub-division of shares.

The details of the shares issued are given in Note 41.1 to the Financial Statements.

19.2 Debt Capital - Bank

The Bank has issued rated, unsecured, subordinated, redeemable debentures to the value of Rs 26,500,000,000/- as at 31st December 2021 (2020: Rs 26,500,000,000/-), which are listed on the Colombo Stock Exchange. All of the above debentures outstanding as at 31st December 2021 have an option for conversion to ordinary voting shares of the Bank, solely if instructed by the Central Bank of Sri Lanka to do so in compliance with Basel III requirements.

The details of the debentures outstanding as at 31st December 2021 are given in Note 37.1 to the Financial Statements. These debentures qualify for the Tier II Capital of the Bank.

The Bank has issued a deep discounted zero coupon bond with a maturity value of Rs 3,458,108,968 for 20 years. The present paid up value of this bond is Rs 3,010,473,000/- (2020: Rs 2,758,032,000/-) and this forms part of the Tier II Capital. The above Bond was issued in August 2003 and will mature in August 2023. The details are given in Note 37.2 to the Financial Statements.

19.3 Issue of Shares and Debt Capital - Subsidiaries

The Subsidiaries of the Bank did not make any share or debenture issues during the year other than those mentioned below.

Siyapatha Finance PLC increased its stated capital by Rs 700,000,000/- by way of a Rights Issue during the year. Siyapatha Finance PLC also issued 2,035,594 ordinary voting shares by way of a scrip dividend during the year (2020: 2,899,663) and as a result, its stated capital increased by Rs 123,214,459/- (2020: Rs 142,959,197/-). Accordingly, as at 31st December 2021, Siyapatha Finance PLC's stated capital stood at Rs 2,346,095,311/- in comparison to Rs 1,522,880,852/- as at 31st December 2020. Further, Siyapatha Finance PLC has issued Rs 1,500,000,000/- (2020: Rs 2,000,000,000/-) worth of debentures during the year under review.

Sampath Centre Ltd too issued 177,734 ordinary voting shares by way of a scrip dividend during the year (2020: 283,767). As a result, its stated capital increased by Rs 22,938,340/- (2020: Rs 35,391,402/-) from Rs 454,224,561/- as at 31st December 2020 to Rs 477,162,901/- as at 31st December 2021.

SC Securities (Pvt) Ltd issued 358,861 ordinary voting shares by way of a scrip dividend during the year (2020: nil). As a result, its stated capital increased by Rs 6,423,601/- (2020: nil) from Rs 127,200,020/- as at 31st December 2020 to Rs 133,623,621/- as at 31st December 2021.

20 SHARE INFORMATION

Information relating to earnings, dividend, net assets and market value per share are given in the Financial Highlights on pages 38 and 39. Information on the trading of the shares and movement in the number of shares of the Bank is given in the Investor Information section on pages 92 to 100.

21 SHAREHOLDING

There were 30,542 registered ordinary shareholders as at 31st December 2021 (2020: 26,163). Information on the distribution of shareholding and the respective percentages are given on pages 93 to 95 of the Annual Report. Details of top twenty shareholders, percentages of their holdings and percentage holding of the public too are given in the Investor Information section on page 96.

22 EQUITABLE TREATMENT TO SHAREHOLDERS

The Bank has at all times ensured that all shareholders are treated fairly and equitably.

23 THE BOARD OF DIRECTORS

The Board of Directors of the Bank as at 31st December 2021 comprises eleven (2020: twelve) members with wide financial and commercial knowledge and experience. The names of the Directors of the Bank during the period of 1st January 2021 to 31st December 2021 are given below as per Section 168(1)(h) of the Companies Act. Their profiles in brief are given on pages 12 to 17 of the Annual Report. In accordance with the Listing Rules of Colombo Stock Exchange and Corporate Governance Rules of Banking Act Direction No. 11 of 2007 issued by the Central Bank of Sri Lanka (CBSL), the classification of Directors into Executive (ED), Non-Executive (NED) and Independent (IND), Non-Independent (NID) are stated against the names.

24 CHANGES IN DIRECTORATE

In terms of Section 168(1)(h) of the Companies Act, the Bank has disclosed the names of the persons holding office as Directors of the Bank by the end of the accounting period and the names of any persons who were appointed to hold office as Directors of the Bank during the accounting period. Mr Vinod Hirdaramani was appointed to the Board in 2021.

25 RETIREMENT AND RE-ELECTION/ RE-APPOINTMENT OF DIRECTORS

In terms of Articles No. 86 and 87 of the Articles of Association of the Company, Mr Rushanka Silva, Mr Dilip de S Wijeyeratne and Mr Vajira Kulatilaka retire by rotation and being eligible, offer themselves for re-election on the unanimous recommendation of the Board Nomination Committee and approval of the Board of Directors.

During the year under review, Mr Vinod Hirdaramani was appointed with effect from 16th February 2021, to fill up the casual vacancy in the Board and was elected by the shareholders at the 35th Annual General Meeting, in terms of Article 93 of the Articles of Association of the Bank, with the unanimous recommendation of the Board Nomination Committee and approval of the Board.

Sections 210 and 211 of the Companies Act do not apply to the Bank, in view of the more stringent provision contained in Section 3(3)(i) of Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks, which restricts the age of a Director of a Licensed Commercial Bank to 70 years.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Name of the Director	Classification	Remarks
Mr Harsha Amarasekera	NID/NED	Director since 18.08.2020, Chairman since 30.08.2020
Mr Rushanka Silva	NID/NED	Director since 01.09.2017, Deputy Chairman since 24.09.2020
Mr Deshal de Mel	IND/NED	Independent Director from 01.01.2012 to 30.06.2017 and re-appointed since 26.09.2019. Senior Independent Director since 24.09.2020
Mr Dilip de S Wijeyeratne	IND/NED	Director since 13.11.2018, Independent Director since 08.08.2019
Ms Aroshi Nanayakkara	IND/NED	Director since 30.05.2019, Independent Director since 27.06.2019
Dr Sanjiva Weerawarana	IND/NED	Independent Director since 01.06.2019
Mr Vajira Kulatilaka	IND/NED	Independent Director since 25.06.2020
Mrs Keshini Jayawardena	IND/NED	Independent Director since 01.10.2020
Mr Vinod Hirdaramani	IND/NED	Independent Director since 16.02.2021
Mr Nanda Fernando	ED	Managing Director since 13.09.2016
Mr Ajantha de Vas Gunasekara	ED	Executive Director since 29.10.2020

26 LIST OF DIRECTORS OF THE SUBSIDIARIES OF THE BANK

Names of the Directors of Subsidiary companies as at 31st December 2021 are as follows:

26.1 Siyapatha Finance PLC

Mr P S Cumaranatunga (Chairman)

Mr Y S H R S Silva (Deputy Chairman)

Mr H M A Seneviratne (Managing Director)

Mr J Selvaratnam

Mr J H Gunawardena

Mr D Sooriyaarachchi

Mr W S C Perera

Ms H S R Ranatunga

Mr M D B Boyagoda

26.2 Sampath Centre Limited

Mr I W Senanayake (Chairman)

Mr S G Wijesinha

Mr R Samaranayake

Mr S P Kannangara

Mr Y S H R S Silva

Mr P P De Silva

26.3 SC Securities (Private) Limited

Mr S G Wijesinha (Chairman)

Mr R Samaranayake

Mr S N Kulatilake

Mr W M P L De Alwis

26.4 Sampath Information Technology Solutions Limited

Mr R Samaranayake (Chairman)

Mr M V Indrasoma

Mr M A Salgado

Mr W S C Perera

27 REGISTER OF DIRECTORS AND SECRETARIES

As required under Section 223(1) of the Companies Act, the Bank maintains a Register of Directors and Secretaries which contains the name, surname, former name (if any), residential address, business, occupation, dates of appointment and dates of resignation (if applicable) of each Director and the Company Secretary.

28 BOARD SUB COMMITTEES

The Board, while assuming the overall responsibility and accountability for the management oversight of the Bank, has also appointed Board Sub Committees to ensure that the activities of the Bank at all times are conducted with the highest ethical standards and the best interests of all its stakeholders. The Board has formed twelve Board Sub Committees including four mandatory Board Sub Committees as required by the Banking Act Direction No. 11 of 2007 and one mandatory Board Sub Committee as required by Section 9 of the Listing Rules of the Colombo Stock Exchange. The composition of these five mandatory Board Sub Committees as at 31st December 2021 were as follows:

28.1 Board Audit Committee

Mr Dilip de S Wijeyeratne (Chairman)

Dr Sanjiva Weerawarana

Mr Deshal de Mel

Mrs Ranjani Joseph (Consultant to the Committee)

28.2 Board Human Resources and Remuneration Committee

Ms Aroshi Nanayakkara (Chairperson)

Mr Dilip de S Wijeyeratne

Mr Deshal de Mel

Mr Vajira Kulatilaka

Mr Vinod Hirdaramani (w.e.f. 25.02.2021)

28.3 Board Nomination Committee

Mr Deshal de Mel (Chairman)

Mr Rushanka Silva

Mr Harsha Amarasekera

Mrs Keshini Jayawardena (w.e.f. 27.01.2021)

Mr Dilip de S Wijeyeratne (w.e.f. 25.02.2021)

28.4 Board Integrated Risk Management Committee

Mr Deshal de Mel (Chairman)

Mr Dilip de S Wijeyeratne

Dr Sanjiva Weerawarana

Mr Nanda Fernando

28.5 Board Related Party Transactions Review Committee

Mr Vajira Kulatilaka (Chairman)

Mr Deshal de Mel

Dr Sanjiva Weerawarana

Mr Dilip de S Wijeyeratne

Apart from the above five mandatory Board Sub Committees, the Board has also appointed the following seven non-mandatory Board Sub Committees.

28.6 Board Credit Committee

Mr Vajira Kulatilaka (Chairman)

Mr Rushanka Silva

Ms Aroshi Nanayakkara

Mrs Keshini Jayawardena

Mr Nanda Fernando

Mr Janakan Selvaratnam (Consultant to the Committee)

28.7 Board Strategic Planning Committee

Mr Harsha Amarasekera (Chairman)

Mr Rushanka Silva

Mr Dilip de S Wijeyeratne

Ms Aroshi Nanayakkara

Dr Sanjiva Weerawarana

Mr Deshal de Mel

Mr Vajira Kulatilaka

Mrs Keshini Jayawardena

Mr Vinod Hirdaramani (w.e.f. 25.02.2021)

Mr Nanda Fernando

Mr Ajantha de Vas Gunasekara

28.8 Board Shareholder Relations Committee

Mr Rushanka Silva (Chairman)

Ms Aroshi Nanayakkara

Mr Deshal de Mel

Mrs Keshini Jayawardena

Mr Nanda Fernando

28.9 Board Treasury Committee

Mr Dilip de S Wijeyeratne (Chairman)

Mr Rushanka Silva

Ms Aroshi Nanayakkara

Mr Deshal de Mel

Mr Vajira Kulatilaka

Mr Nanda Fernando

28.10 Board Marketing Committee

Ms Aroshi Nanayakkara (Chairperson)

Mr Rushanka Silva

Mr Deshal de Mel

Mr Harsha Amarasekera

Mr Vinod Hirdaramani (w.e.f. 25.02.2021)

Mr Nanda Fernando

28.11 Board IT Committee

Dr Sanjiva Weerawarana (Chairman)

Mr Rushanka Silva

Ms Aroshi Nanayakkara

Mr Vajira Kulatilaka

Mrs Keshini Jayawardena

Mr Nanda Fernando

28.12 Board Capital Planning Committee

Mr Rushanka Silva (Chairman)

Mr Dilip de S Wijeyeratne

Mr Vajira Kulatilaka

Mr Harsha Amarasekera

Mr Nanda Fernando

29 DIRECTORS' MEETINGS

The details of Directors' meetings which comprise Board meetings and the mandatory Board Sub Committee meetings along with the attendance of Directors at these meetings are given in the Corporate Governance Report on page 118 of the Annual Report.

30 DIRECTORS' INTEREST REGISTER AND DIRECTORS' INTEREST IN CONTRACTS OR PROPOSED CONTRACTS

The Bank maintains the Directors' Interest Register as required under the provisions of Section 168(1)(e) of the Companies Act. The Directors of the Bank have made necessary declarations of their respective interests in contracts or proposed contracts, in terms of the Sections 192(1) and 192(2) of the Companies Act. These interests have been recorded in the Directors' Interest Register which is available for inspection in terms of the Companies Act. The particulars of the Directors' Interest in Contracts are given on page 189 of the Annual Report and form an integral part of the Annual Report of the Board of Directors. As a practice and in terms of Corporate Governance, Directors have refrained from voting on matters in which they have a material interest. The Directors have no direct or indirect interest in contracts or proposed contracts with the Bank other than those disclosed.

31 RELATED PARTY TRANSACTIONS

Directors have also disclosed transactions if any, that could be classified as Related Party Transactions in terms of Sri Lanka Accounting Standards - LKAS 24 (Related Party Disclosures) which is adopted in preparation of the Financial Statements. Those transactions disclosed by the Directors are given in Note 47 to the Financial Statements which form an integral part of the Annual Report of the Board of Directors.

The Bank has complied with the requirement of the Code of Best Practice 2017 issued by the Institute of Chartered Accountants of Sri Lanka, the Listing Rules of the Colombo Stock Exchange (CSE) and with all disclosure requirements stipulated thereunder.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

32 DIRECTORS' INTEREST IN ORDINARY SHARES AND DEBENTURES

The shareholdings of Directors as at 31st December 2021 were as follows:

Name of Director	No. of Shares as at 31st December 2021	No. of Shares as at 31st December 2020
Mr Harsha Amarasekera	-	-
Mr Rushanka Silva	-	-
Mr Deshal de Mel	-	-
Mr Dilip de S Wijeyeratne	-	-
Ms Aroshi Nanayakkara	-	-
Dr Sanjiva Weerawarana	-	-
Mr Vajira Kulatilaka	-	-
Mrs Keshini Jayawardena	-	-
Mr Vinod Hirdaramani	281,129	n/a
Mr Nanda Fernando	1,718,988	572,996
Mr Ajantha de Vas Gunasekara	-	-

n/a - not applicable

Mr Nanda Fernando holds 50,000 of Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion (2021/2028) issued by the Bank.

33 DIRECTORS' INTEREST IN SHARES AND DEBENTURES OF SUBSIDIARIES

Mr Rushanka Silva holds one share each at Siyapatha Finance PLC and Sampath Centre Limited.

34 DIRECTORS' REMUNERATION

As required under the Section 168 (1)(f) of the Companies Act, details of Directors' emoluments and other benefits paid in respect of the Group and the Bank during the financial year under review are given in Note 47.3.1 to the Financial Statements.

35 OUR TEAM MEMBERS

The Bank believes that in a rapidly changing environment, its real potential rests on the strength and capabilities of its team members. All efforts are directed at building a motivated and competent team in order to grow and achieve results as projected in the Bank's Strategic Plan and Budget. As at 31st December 2021, the number of employees on the payroll of the Bank was 4,013 (2020: 4,048).

36 ESOPs

The Bank did not initiate or establish any Employee Share Ownership/Option Plans during the year.

37 ENVIRONMENTAL PROTECTION

To the best knowledge of the Board, the Bank has not engaged in any activity that is harmful or hazardous to the environment. The Directors also confirm that to the best of their knowledge and belief, the Bank has complied with the relevant environmental laws and regulations.

38 STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government, other regulatory bodies and related to the employees have been paid on a timely basis.

39 OUTSTANDING LITIGATION

In the opinion of the Directors who in consultation with the Bank's lawyers have established that litigation currently pending against the Bank will not have a material impact on the reported financial results or the future operations of the Bank. Details of litigation pending against the Bank are given in Note 45.5 to the Financial Statements.

40 EVENTS AFTER THE REPORTING PERIOD

No circumstances have arisen since the Statement of Financial Position date, which would require adjustments to, or disclosure in, the accounts, except those disclosed in Note 49 to the Financial Statements.

41 GOING CONCERN

The Directors, after making necessary inquiries and reviews including reviews of the budget for the ensuing year, capital expenditure requirements, future prospects and risks, cash flows and such other matters required to be addressed under the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the CBSL, are satisfied that the Bank has adequate resources to continue operations into the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

42 DONATIONS

As required by the Section 168(1)(g) of the Companies Act, information pertaining to donations made by the Bank during the year are given below. During the year, the Bank made donations to the value of Rs 802,000/- (2020: Rs 9,702,000/-) based on the resolution passed at the last Annual General Meeting. Out of the aforementioned sum, the donations made by the Bank to the Government amounted to Rs nil (2020: Rs 9,402,000/-). The Bank does not make donations for political purposes.

43 SIGNIFICANT SHAREHOLDINGS IN OTHER ORGANISATIONS

The Bank continues to hold 9.47% shareholding in LankaBangla Finance Limited in Bangladesh. Details are given in Note 27.5 to the Financial Statements.

44 RISK MANAGEMENT AND INTERNAL CONTROL

44.1 Material Foreseeable Risk Factors

The Bank has an ongoing process in place to identify, evaluate and manage the risks that are faced by the Bank. This process is detailed in the Risk Management Report on pages 102 to 112. The Directors regularly review the above mentioned process through the Board Integrated Risk Management Committee.

44.2 Internal Controls

The Directors of the Bank have taken reasonable steps to safeguard the assets of the Group and the Bank and to prevent and detect frauds and any other irregularities. For this purpose, the Directors have instituted effective and comprehensive systems of internal controls for identifying, recording, evaluating and managing the significant risks faced by the Bank/ Group throughout the year and it is being regularly reviewed by the Board of Directors.

This comprises internal reviews, internal audit and the whole system of financial and other controls required to carry on the operations in an orderly manner, safeguard the assets, prevent and detect frauds and other irregularities and secure, as far as practicable, the accuracy and reliability of the records.

45 CORPORATE GOVERNANCE

The Directors of the Bank are committed towards maintaining an effective Corporate Governance Framework and implementing processes required to ensure that the Bank is compliant with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017, the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the CBSL and Requirements of Section 7.6 of the Listing Rules of the Colombo Stock Exchange. These details are captured in the Corporate Governance Report on pages 114 to 165 of this Annual Report.

As required by Section 3(8)(ii)(g) of the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks, issued by the CBSL, the Board of Directors confirm that all the findings of the "Factual Findings Report" of auditors issued under "Sri Lanka Related Services Practice Statement 4750" have been incorporated in the annual Corporate Governance Report on pages 146 to 161 of this Annual Report. Further, as required by Section 3(8)(ii)(h) of the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks, issued by the CBSL, the Board of Directors confirm that the Bank is compliant with prudential requirements, regulations, laws and internal controls and measures have been taken to rectify any material non-compliances.

46 AUDITORS

The Auditors of the Bank during the year were Messrs Ernst & Young, Chartered Accountants. They also function as the Auditors for the Bank's Subsidiary companies namely, Sampath Centre Limited, SC Securities (Private) Limited, Siyapatha Finance PLC and Sampath Information Technology Solutions Limited. Audit fees paid to Messrs Ernst & Young for the year ended 31st December 2021 by the Group and the Bank amounted to Rs 15,682,000/- (2020: Rs 14,513,000/-) and Rs 12,595,000/- (2020: Rs 11,660,000/-) respectively.

The Group and the Bank paid Rs 4,804,000/- (2020: Rs 4,825,000/-) and Rs 3,378,000/- (2020: Rs 3,152,000/-) respectively to Messrs Ernst & Young as audit related fees and expenses. In addition, they were paid Rs 10,579,000/- (2020: Rs 16,754,000/-) and Rs 6,938,000/- (2020: Rs 12,648,000/-) by the Group and the Bank respectively for permitted non-audit related services including tax consultancy services. Details of the audit fees paid are given on Note 15.1 to the Financial Statements.

Based on the declaration provided by Messrs Ernst & Young and as far as the Directors are aware, the Auditors do not have any relationship with or interest with the Bank that in our judgment, may reasonably be thought to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by the Institute of Chartered Accountants of Sri Lanka, applicable on the date of this report.

The retiring Auditors, Messrs Ernst & Young, have expressed their willingness to continue in office. They come up for re-election at the Annual General Meeting, with the recommendation of the Board Audit Committee and the Board of Directors. In accordance with the Companies Act, a resolution proposing the re-appointment of Messrs Ernst & Young, Chartered Accountants, as Auditors is being proposed at the Annual General Meeting.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

47 NOTICE OF MEETING

The 36th Annual General Meeting of Sampath Bank PLC will be held at the “Board Room” of the Bank on 14th Floor, Sampath Bank PLC, at No. 110, Sir James Peiris Mawatha, Colombo 02 to be convened through an “online virtual” platform by using “audio-visual” tools on 30th March 2022.

As required by Section 168(1)(k) of the Companies Act, the Board of Directors hereby acknowledge the contents of this report.

For and on behalf of the Board of Directors,

HARSHA AMARASEKERA
Chairman

DESHAL DE MEL
Senior Independent Director

NANDA FERNANDO
Managing Director

LASANTHA SENARATNE
Company Secretary

Colombo, Sri Lanka
15th February 2022

DIRECTORS' INTEREST IN CONTRACTS WITH THE BANK

Related party disclosures as required by the Sri Lanka Accounting Standard – LKAS 24 (Related Party Disclosures) are detailed in Note 47 to the Financial Statements. In addition, the Bank carries out transactions in the ordinary course of business in an arm's length basis with entities where the Chairman or Director of the Bank is the Chairman or a Director of such entities as detailed below.

Company	Relationship	Nature of the Facility	Current Limit Rs 000	Balance Outstanding as at 31st December 2021 Rs 000	Balance Outstanding as at 31st December 2020 Rs 000
Mr Harsha Amarasekera					
Vallibel One PLC	Non Executive Director	Deposits		30,450	332
		Loans & advances	500,000	-	1,328
CIC Agri Businesses (Pvt) Ltd	Non Executive Chairman	Deposits		-	3,254
		Loans & advances	2,520,000	2,470,605	660,000
		Indirect facilities		48,950	185,763
CIC Holdings PLC	Non Executive Chairman	Deposits		125,084	43,617
		Loans & advances	1,500,000	360,000	1,000,000
		Indirect facilities		-	-
Link Natural Products (Pvt) Ltd	Non Executive Director	Deposits		71,238	951
Millennium Airlines (Pvt) Ltd	Non Executive Director	Deposits		114	106
Swisstek Aluminium Ltd	Non Executive Chairman	Deposits		21,820	-
		Loans & advances	25,000	-	-
		Indirect facilities	250,000	237,869	-
Mr Rushanka Silva					
Indra Motor Spares (Pvt) Ltd	Director	Deposits		7	11
Indra Property Development (Pvt) Ltd	Director	Deposits		157	157
Mr Dilip de S Wijeyeratne					
Singer (Sri Lanka) PLC	Independent Non Executive Director	Loans & advances	3,800,000	3,744,070	2,576,133
		Indirect facilities	2,000,000	1,946,872	1,104,963
Regnis (Lanka) PLC	Independent Non Executive Director	Deposits		29	-
		Loans & advances	280,000	16,346	142,094
		Indirect facilities		229,857	161,728
Ms Aroshi Nanayakkara					
Foundation Garments (Pvt) Ltd	Independent Non Executive Director	Deposits		55,397	46,812
		Loans & advances	1,506,000	1,455,812	1,307,049
Hela Apparel Holdings (Pvt) Ltd	Independent Non Executive Director	Deposits		819	790
Hela Clothing (Pvt) Ltd	Independent Non Executive Director	Deposits		23,019	54,714
		Loans & advances	400,000	397,284	294,945
FDN Sourcing (Pvt) Ltd	Independent Non Executive Director	Deposits		5,456	3,378
Dr Sanjiva Weerawarana					
Lanka Software Foundation	Director	Deposits		16,513	2,960
Mr Deshal de Mel					
Verite Research (Pvt) Ltd	Research Director	Deposits		1,330	1,902
Janashakthi Insurance PLC	Non Executive Director	Deposits		68,186	n/a
		Debentures issued by the Bank		420,000	n/a
TNL Radio Network (Pvt) Ltd	Director	Deposits		763	8,171
Mr Vajira Kulatilaka					
Printcare PLC	Independent Non Executive Director	Deposits		496	85
Panasian Power PLC	Independent Non Executive Director	Deposits		9,874	n/a
		Loans & advances	99,830	99,830	n/a
Mr Vinod Hirdaramani					
Ceylon Knit Trend (Pvt) Ltd	Executive Director	Deposits		462,253	18,177*
Hi Fashion Holdings (Pvt) Ltd	Executive Director	Deposits		-	535*
		Loans & advances		-	20,675*
Hirdaramani International Exports (Pvt) Ltd	Executive Director	Deposits		2,271,975	308,523*
		Loans & advances	430,000	430,000	-
Long Island Clothing Company (Pvt) Ltd	Executive Director	Deposits		39,234	n/a
		Loans & advances	140,150	59,878	n/a
		Indirect facilities		3,978	n/a
Rosewood (Pvt) Ltd	Executive Director	Deposits		40,387	21*
Windforce PLC	Non Executive Director	Deposits		71,652	53,767*
		Indirect facilities		-	30,000*
Mr Nanda Fernando					
Institute of Bankers of Sri Lanka	Director	Deposits		239,173	339,319

n/a - not applicable

* Mr Ranil Pathirana who was a Non-Executive Director of the Bank retired from the Board of Directors with effect from 1st January 2021. He held directorships in these entities as at 31st December 2020 and accordingly comparative figures have been disclosed against these entities.

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

RESPONSIBILITY

The report on Internal Control Over Financial Reporting is presented by the Board of Directors of Sampath Bank PLC in line with section 3(8)(ii)(b) of Banking Act Direction No. 11 of 2007.

The Board of Directors ("the Board") is responsible for the implementation of an adequate and effective internal control mechanism at Sampath Bank PLC ("the Bank"). In doing so, the Board has ensured that the system in place is designed to manage the Bank's key areas of risk within an acceptable risk profile, to achieve the business objectives of the Bank.

In the light of the foregoing, the system of internal controls can only provide reasonable and not absolute assurance against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of Internal Control Over Financial Reporting, in line with the regulatory guidelines and to capture changes in the business environment as and when needed. The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

The process is regularly reviewed by the Board and is in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued by CA Sri Lanka.

In 2021, the Board has assessed the Internal Control Over Financial Reporting, taking into account, principles for the assessment of the internal control system as given in the said guidance. Based on this assessment, the Board is of the view that the system of Internal Control Over Financial Reporting currently in place, is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

KEY FEATURES OF THE PROCESS ADOPTED IN APPLYING AND REVIEWING THE DESIGN AND EFFECTIVENESS OF THE INTERNAL CONTROL SYSTEM OVER FINANCIAL REPORTING

The key mechanisms that have been established to review the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- Establishment of Board Sub Committees to assist the Board in ensuring the effectiveness of Bank's day-to-day operations and to ensure that all such operations are carried out in accordance with the corporate objectives, strategies and the annual budget as well as the policies and the business direction approved by the Board.

- The Bank's Internal Audit Department is tasked with verifying compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures. This helps to highlight significant findings of non-compliance. Audits are carried out according to the annual audit plan which is reviewed and approved by the Board Audit Committee. Audits are carried out on all units and branches, to provide an independent and objective reports. The frequency of these audits are determined by the level of risk assessed. The pandemic situation has called for a revised approach in executing the internal audit plan. Accordingly, online monitoring was introduced through data analysis on selected processes using Computer Aided Audit Techniques/Tools (CAAT). Key processes continued to be monitored centrally, while thematic audits were done covering the entire Branch Network.

  In addition, the cyber security and data security measures were also monitored through appropriate audit techniques and tools. Through these initiatives, all controls were tested on an ongoing basis with significant findings identified by the Internal Audit Department submitted to the Board Audit Committee for review at their periodic meetings.

- The Board Audit Committee reviews internal control issues identified by the Internal Audit Department, the External Auditors, Regulatory Authorities and the Management; and evaluates the adequacy and effectiveness of the risk management and internal control systems. It is also the responsibility of the Board Audit Committee to review the internal audit function with regard to the scope of audits and the quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities carried out by the Board Audit Committee during the year under review are set out in the Board Audit Committee Report on pages 166 to 168.

- In assessing the Internal Control Over Financial Reporting, identified officers of the Bank were assigned to collate all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn, are checked and verified by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis. The Internal Audit Department also refers significant issues (if any) to the "Internal Control Over Financial Reporting Steering Committee" before submitting their final report on Internal Control Over Financial Reporting to the Board Audit Committee and the External Auditors. Sampath Bank adopted the new Sri Lanka Accounting Standards comprising LKAS and SLFRS in 2012. The processes and procedures initially adopted with regard to the aforementioned Accounting Standards were further strengthened during the years 2013 to 2021 based on the feedback received from the External Auditors, the Internal Audit Department, the Board Audit Committee and the regulators. The Bank has documented procedures pertaining to these new requirements in order to update the relevant procedure manuals as and when necessary. The Board has also recognised the need to introduce an automated financial reporting process to proactively comply with the requirements of recognition, measurement, classification and disclosure of the financial instruments. The Bank successfully implemented Robotic Process Automation (RPA) in 2019 which has eliminated manual intervention in calculating impairment provisions to a greater extent. Further, the Credit Risk Management Unit independently reviews the Individually Significant loan impairment process at each reporting date. The Management continues to review various options available to increase the degree of automation in the financial reporting process. The assessment does not include subsidiary companies of the Bank.

- In 2021, the Bank further strengthened its internal control processes to ensure that the impact of the COVID-19 debt moratorium on interest income and impairment provisions was accurately captured in its financial reporting. The Management also ensured that all critical reconciliations were performed without interruption during the lockdown periods.
- To ensure business continuity, protect workers and continue to serve customers during the COVID-19 pandemic, the Bank had to move certain areas of its operations online. However, this was done with all required measures to protect the Bank and its customers.
- The comments made by the External Auditors in connection with Internal Control System Over Financial Reporting in previous years, were reviewed during the year and appropriate steps were taken in 2021 to address any matters raised. The recommendations made by the External Auditors in 2021 in connection with the Internal Control System Over Financial Reporting will be dealt with in the future.

CONFIRMATION

Based on the above processes, the Board confirms that the financial reporting system of the Bank is fully competent to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes, in accordance with relevant accounting principles and regulatory requirements of the Central Bank of Sri Lanka.

REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

The External Auditors, Messrs Ernst & Young, after reviewing the Directors' Statement on Internal Control Over Financial Reporting included in the Annual Report of the Bank for the year ended 31st December 2021, have confirmed to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the Internal Control Over Financial Reporting. The External Auditor's Report on the Statement of Internal Control Over Financial Reporting is given on page 192 of this Annual Report.

By order of the Board,

DILIP DE S WIJEYERATNE
Chairman - Board Audit Committee

HARSHA AMARASEKERA
Chairman

DESHAL DE MEL
Senior Independent Director

NANDA FERNANDO
Managing Director

LASANTHA SENARATNE
Company Secretary

Colombo, Sri Lanka
15th February 2022

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF SAMPATH BANK PLC

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Ernst & Young
Chartered Accountants
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Colombo 10, Sri Lanka

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Report on the Directors' Statement on Internal Control

We were engaged by the Board of Directors of Sampath Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2021.

Management's responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with the independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our responsibilities and compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the institute of Charted Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of work performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

15 February 2022
Colombo

MANAGING DIRECTOR'S AND GROUP CHIEF FINANCIAL OFFICER'S RESPONSIBILITY STATEMENT

The Financial Statements of Sampath Bank PLC ("the Bank") and the Consolidated Financial Statements of the Bank and its Subsidiaries ("the Group") as at 31st December 2021 have been prepared in compliance with the requirements of the following:

- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka,
- Companies Act No. 7 of 2007 (Companies Act),
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995,
- Banking Act No. 30 of 1988 and amendments thereto and Directions, Determinations, Orders and Guidelines issued by the Central Bank of Sri Lanka (CBSL),
- The Listing Rules of the Colombo Stock Exchange (CSE),
- The Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka; and Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 on Corporate Governance issued by the CBSL.

The Group presents its financial results to its shareholders on a quarterly basis. The formats used in the preparation of the Financial Statements and disclosures made, comply with the formats prescribed by the Central Bank of Sri Lanka, which are also in compliance with the disclosure requirements of the Sri Lanka Accounting Standard - LKAS 1 (Presentation of Financial Statements). The Accounting Policies used in the preparation of the Financial Statements are appropriate and are consistently applied by the Group. The significant accounting policies and estimates that involve a high degree of judgment and complexity were discussed with the Board Audit Committee and External Auditors. Comparative information has been restated wherever necessary to comply with the current presentation. The Board of Directors and the Management of the Bank accept responsibility for the integrity and objectivity of these Financial Statements. We confirm that to the best of our knowledge, the Financial Statements give a true and fair view of the assets, liabilities, financial position, results of the operations and the cash flows of the Group. We have reasonable grounds to believe that the Bank and the Group have adequate resources to continue in operational existence for the foreseeable future. Accordingly, we continue to adopt the Going Concern basis in preparing the Financial Statements even after considering the potential implications of the COVID-19 pandemic on Bank's operations and future financial performance.

The estimates and judgments relating to the Financial Statements were made on a prudent and reasonable basis; in order to ensure that the Financial Statements reflect in a true and fair manner, the form and substance of transactions and that the Bank's state of affairs are reasonably presented. To ensure this, the Bank and all of its Subsidiaries have taken proper and sufficient care in installing a system of internal controls and procedures for safeguarding assets, preventing and detecting frauds and/or errors as well as other irregularities which are reviewed, evaluated and updated on an ongoing basis. Our Internal Auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures were consistently followed. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal control and accounting.

We confirm that, as of 31st December 2021 the Bank's Internal Controls Over Financial Reporting are adequate and effective and complies with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 on Corporate Governance (Internal Control Over Financial Reporting - ICOFR) issued by the Central Bank of Sri Lanka. The Annual Report of the Directors on pages 179 to 189 briefly covers the Group's Internal Control Over Financial Reporting. In addition, the Directors' Statement on Internal Control Over Financial Reporting is also provided on pages 190 to 191. The Bank's External Auditors, Messrs Ernst & Young, have audited the effectiveness of the Bank's Internal Controls Over Financial Reporting and have given an unqualified opinion on page 192 of this Annual Report.

The Financial Statements of the Group were audited by Messrs Ernst & Young, Chartered Accountants, the independent External Auditors. Their report is given on pages 196 to 199 of this Annual Report. The Board Audit Committee of the Bank meets periodically with the Internal Auditors and the independent External Auditors to review the manner in which these auditors are performing their responsibilities and to discuss issues relating to auditing, internal controls and financial reporting. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Board Audit Committee to discuss any matter of substance. The Board Audit Committee report is given on pages 166 to 168.

The Board Audit Committee approves the audit and non-audit services provided by Messrs Ernst & Young, in order to ensure that the provision of such services does not impair Messrs Ernst & Young's independence.

We confirm that to the best of our knowledge:

- The Group has complied with all applicable laws, regulations and prudential requirements;
- There are no material non-compliances; and
- There is no material litigation that is pending against the Group other than those disclosed in Note 45.5 to the Financial Statements in the Annual Report

NANDA FERNANDO
Managing Director

AJANTHA DE VAS GUNASEKARA
Executive Director/Group Chief Financial Officer

Colombo, Sri Lanka
15th February 2022

STATEMENT OF DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The responsibilities of the Directors in relation to the Financial Statements of Sampath Bank PLC ("the Bank") and the Consolidated Financial Statements of the Bank and its Subsidiaries ("the Group") are set out in the following Statement. The responsibility of the Auditors in relation to the Financial Statements is set out in the Report of the External Auditors; Messrs Ernst & Young is given on pages 196 to 199.

In terms of Sections 150(1), 151, 152 and 153(1) and (2) of the Companies Act No. 7 of 2007 (Companies Act), the Directors of the Bank are responsible for ensuring that the Bank and the Group keep proper books of accounts of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank and the Group as at end of each financial year and of the financial performance of the Bank and the Group for each financial year and place them before a General Meeting. The Financial Statements comprise of the Statement of Financial Position as at end of the financial year, the Statement of Profit or Loss, the Statement of Comprehensive Income, the Statement of Cash Flows, the Statement of Changes in Equity for the financial year ended and Notes thereto.

The Financial Statements are prepared under the supervision of the Executive Director/ Group Chief Financial Officer who is a senior member of the Corporate Management as well as an Executive Director of the Bank. The Directors confirm that the Financial Statements of the Bank and the Group give a true and fair view of:

1. The state of affairs of the Bank and the Group as at 31st December 2021 and
2. The financial performance of the Bank and the Group for the financial year ended 31st December 2021.

The Financial Statements of the Bank and the Group have been certified by the Executive Director/Group Chief Financial Officer, the officer responsible for their preparation, as required by the Companies Act. The Accounts have been circulated and reviewed by the Board Audit Committee and the Board of Directors. Further, the Financial Statements of the Bank and the Group have been signed by three Directors and the Company Secretary in conformity with the requirements of the Companies Act. In preparing these Financial Statements, the Directors ensure that:

1. The appropriate accounting policies have been selected and applied in a consistent manner and material departures, if any, have been disclosed and explained;
2. The Financial Statements are presented in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) and are consistent with the underlying books of accounts;
3. Reasonable and prudent judgments and estimates have been made so that the form and substance of transactions are properly reflected;
4. The Financial Statements provide the information required by the Companies Act, Banking Act No. 30 of 1988 (Banking Act) and the Listing Rules of the Colombo Stock Exchange; and
5. The companies within the Group maintain sufficient accounting records to disclose the financial position of the Group with reasonable accuracy.

The Directors are also required to ensure that the Bank and the Group have adequate resources to continue in operation to justify applying the Going Concern basis in preparing these Financial Statements. This year too, the Directors considered the potential implications of the COVID-19 pandemic on the Group's business, operations and financial performance.

Financial Statements for the year 2021, prepared and presented in this Annual Report are consistent with the underlying books of accounts and are in conformity with the requirements of the Sri Lanka Accounting Standards, the Companies Act, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, the Banking Act together with its amendments, the Listing Rules of the Colombo Stock Exchange (CSE) and the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). Further, these Financial Statements comply with the prescribed format issued by the Central Bank of Sri Lanka (CBSL) for the preparation of annual Financial Statements of Licensed Commercial Banks. The Directors confirm that the financial reporting system of the Bank and the Group has been designed to provide reasonable assurance regarding the reliability of financial reporting and the Directors accept responsibility for the integrity and objectivity of the Financial Statements published in this Annual Report. The Directors confirm that in preparing the Financial Statements given on pages 200 to 340, appropriate accounting policies have been selected and applied on a consistent basis in line with the financial reporting framework, while reasonable and prudent judgments have been made so that the form and substance of transactions are properly reflected.

The Directors have taken appropriate steps to ensure that the Bank and the Group maintain proper books of accounts and review the financial reporting system directly at their regular meetings and also through the Board Audit Committee. The Report of the Board Audit Committee is given on pages 166 to 168. The Board of Directors also approves the Interim Financial Statements prior to their release, following the review and recommendation made by the Board Audit Committee.

The Directors have taken all reasonable steps open to them to safeguard the assets of the Bank and the Group and to prevent and detect frauds and any other irregularities. For this purpose, the Directors have instituted effective and comprehensive systems of internal controls for identifying, recording, evaluating and managing the significant risks faced by the Bank throughout the year and is under regular review of the Board of Directors. This comprises internal reviews, Internal Audit and the whole system of financial and other controls required to carry on the operations in an orderly manner, safeguard the assets, prevent and detect frauds and other irregularities and secure as far as practicable, the accuracy and reliability of the records.

Based on their assessment of Internal Control Over Financial Reporting (ICOFR), in compliance with Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 on Corporate Governance for the Licensed Commercial Banks, the Directors have concluded that, as of 31st December 2021, the Group's Internal Controls Over Financial Reporting are effective. The Directors' Statement on Internal Control Over Financial Reporting and Annual Report of the Board of Directors on the Affairs of the Company are provided on pages 190 and 191 and pages 179 to 189 respectively of this Annual Report. The Independent Assurance Report on the "Directors Statement on Internal Control Over Financial Reporting" issued by the Bank's External Auditors; Messrs Ernst & Young is given on page 192 of this Annual Report.

As required by Section 56(2) of the Companies Act, the Directors have made an assessment of the Solvency of the Bank, immediately after the payment of the proposed final cash dividend of Rs 4.25 per share for the year 2021 and confirm that the Bank satisfies the Solvency Test as required by Section 57 of the Companies Act. The Directors have also obtained the Certificate of Solvency from the External Auditors.

Messrs Ernst & Young, have been provided with every opportunity to undertake the inspections they considered appropriate. They have examined the Financial Statements made available to them by the Directors together with all financial records, related data, minutes of the Shareholders' Meetings, Directors' Meetings, Board Audit Committee Meetings and other Board Sub Committee Meetings and have expressed their opinion as reported by them in the Annual Report on pages 196 to 199.

The Directors have ensured that this Annual Report has been published in accordance with the timelines required by the Sections 166(1) and 167(1) of the Companies Act. Printed copies of this Annual Report have been made available to every shareholder of the Bank, who has expressed the desire to receive such a copy. For the benefit of other shareholders and the many stakeholders of the Bank, the digital version of the Annual Report has been uploaded to the Investor Relations section of the Bank's website (https://www.sampath.lk/en/investor-relations/annual-reports). The digital version of the Sampath Bank PLC Annual Report 2021 has also been uploaded to the CSE website within the stipulated period of time as required by the Sectiosn 7.5(a) and (b) of the Listing Rules of the CSE.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank and the Group, all contributions, levies and taxes payable on behalf of and in respect of the employees of the Bank and the Group and all other known statutory dues as were due and payable by the Bank and the Group as at reporting date, have been paid or, where relevant, provided for, except as specified in Note 45 to the Financial Statements covering contingent liabilities. The Directors confirm that based on their assessment, the accounting controls are adequate and nothing has come to their attention to indicate any breakdown in the functioning of these controls that may result in material loss to the Bank. The Directors also confirm that the Bank has adequate resources to continue in operational existence and continue as a Going Concern for the foreseeable future.

The Directors are of the view that they have discharged their responsibilities as set out in the above statement.

By order of the Board,

LASANTHA SENARATNE
Company Secretary

Colombo, Sri Lanka
15th February 2022

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF SAMPATH BANK PLC

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Report on the audit of the financial statements

Opinion

We have audited the financial statements of Sampath Bank PLC ("the Bank") and the consolidated financial statements of the Bank and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 December 2021, and the statement of profit or loss, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Bank and the Group gives a true and fair view of the financial position of the Bank and the Group as at 31 December 2021, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key audit matter
Provision for credit impairment on financial assets carried at amortised cost and debt instruments carried at fair value through other comprehensive income Provision for credit impairment on financial assets carried at amortised cost and debt instruments carried at fair value through other comprehensive income as stated in Notes 25.2, 26.3, 27.3 & 27.4 respectively is in accordance with the accounting policies described in Note 3.4.6.	We assessed the alignment of the Bank's provision for credit impairment computations and underlying methodology including consideration of COVID 19 impacts and related industry responses with its accounting policies, based on the best available information up to the date of our report. Our audit procedures included amongst others the following: • We evaluated the design, implementation and operating effectiveness of controls over estimation of impairment, which included assessing the level of oversight, review and approval of provision for credit impairment policies and procedures by the Board and management. • We checked the completeness and accuracy of the underlying data used in the impairment computation by agreeing details to relevant source documents and accounting records of the Bank. We also checked the underlying calculations.

Key audit matter	How our audit addressed the key audit matter
This was a key audit matter due to: • materiality of the reported provision for credit impairment which involved complex calculations; and • degree of management judgement, significance of assumptions and level of estimation uncertainty associated with its measurement. Key areas of significant judgements, estimates and assumptions used by management in the assessment of the provision for credit impairment included the following; • management overlays to incorporate the probable ongoing impacts of COVID-19 and related industry responses such as government stimulus packages and debt moratorium relief measures granted by the Bank; • the incorporation of forward-looking information to reflect current and anticipated future external factors, including judgments related to the ongoing impact of COVID-19, both in the multiple economic scenarios and the probability weighting determined for each of these scenarios.	• In addition to the above, the following procedures were performed: For loans and advances assessed on an individual basis for impairment: - We assessed the reasonableness and timeliness of Management's internal assessments of credit quality based on the borrower's particular circumstances. - We evaluated the reasonableness of key inputs used in the provision for credit impairment made with particular focus on the ongoing impact of COVID-19. Such evaluations were carried out considering value and timing of cash flow forecasts, elevated risk industries, status of recovery action and collateral values. For financial assets assessed on a collective basis for impairment: - We tested the key calculations used in the provision for credit impairment. - We assessed whether judgements, estimates and assumptions used by the Management in the underlying methodology and the management overlays were reasonable. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios. • We assessed the adequacy of the related financial statement disclosures set out in notes 25 & 51.2.
Information Technology (IT) systems and controls over financial reporting A significant part of the Bank's financial reporting process is primarily reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets. Accordingly, IT systems and related internal controls over financial reporting was considered a key audit matter.	Our audit procedures included the following: • We obtained an understanding of the internal control environment of the processes relating to financial reporting and related disclosures. • We identified and test checked relevant controls of key IT systems related to the Bank's financial reporting process. • We involved our internal specialized resources to evaluate the design and operating effectiveness of IT controls, including those related to user access and change management. • We checked key source data of the reports used to generate key disclosures for accuracy and completeness, including review of the general ledger reconciliations. • We also obtained a high-level understanding, primarily through inquiry, of the cybersecurity risks affecting the bank and the actions taken to address these risks. Further, we checked changes if any have been made to security monitoring procedures, given the increase in remote workers including the bank's monitoring on remote workers activities.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF SAMPATH BANK PLC

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Other information included in the Bank's 2021 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

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- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Bank.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1884.

15 February 2022
Colombo

STATEMENT OF PROFIT OR LOSS

For the year ended 31st December	Note	Bank 2021 Rs 000	Bank 2020 Rs 000	Bank Change %	Group 2021 Rs 000	Group 2020 Rs 000	Group Change %
Gross income	6	104,570,303	102,338,976	2.2	113,075,143	109,207,964	3.5
Interest income		85,986,952	88,628,336	(3.0)	92,427,928	94,647,361	(2.3)
Less: Interest expense		44,317,761	54,804,918	(19.1)	46,909,728	57,820,028	(18.9)
Net interest income	7	41,669,191	33,823,418	23.2	45,518,200	36,827,333	23.6
Fee & commission income		13,239,648	9,775,379	35.4	14,236,984	10,270,563	38.6
Less: Fee & commission expense		1,764,995	1,320,583	33.7	1,765,975	1,321,437	33.6
Net fee & commission income	8	11,474,653	8,454,796	35.7	12,471,009	8,949,126	39.4
Net gain from trading	9	399,243	24,787	1,510.7	399,243	24,787	1,510.7
Net gain on derecognition of financial assets	10	150,413	423,814	(64.5)	150,413	423,814	(64.5)
Net other operating income	11	4,794,047	3,486,660	37.5	5,860,575	3,841,439	52.6
Total operating income		58,487,547	46,213,475	26.6	64,399,440	50,066,499	28.6
Less: Impairment charge	12	17,084,814	11,782,701	45.0	18,559,200	13,200,926	40.6
Net operating income		41,402,733	34,430,774	20.2	45,840,240	36,865,573	24.3
Less: Operating expenses							
Personnel expenses	13	9,542,996	10,233,008	(6.7)	10,916,278	11,227,349	(2.8)
Depreciation & amortisation expenses	14	2,454,371	2,454,105	-	2,491,340	2,518,453	(1.1)
Other operating expenses	15	8,670,697	7,408,346	17.0	9,311,739	7,835,911	18.8
Total operating expenses		20,668,064	20,095,459	2.8	22,719,357	21,581,713	5.3
Operating profit before taxes on financial services		20,734,669	14,335,315	44.6	23,120,883	15,283,860	51.3
Less: Value added tax on financial services		3,900,725	3,163,428	23.3	4,295,777	3,394,281	26.6
Profit before income tax		16,833,944	11,171,887	50.7	18,825,106	11,889,579	58.3
Less: Income tax expense	16	4,376,447	3,146,740	39.1	4,968,645	3,447,063	44.1
Profit for the year		12,457,497	8,025,147	55.2	13,856,461	8,442,516	64.1
Attributable to:							
Equity holders of the Bank		12,457,497	8,025,147	55.2	13,856,461	8,442,516	64.1
Non-controlling interest					-	-	-
		12,457,497	8,025,147	55.2	13,856,461	8,442,516	64.1
Earnings per share: Basic/Diluted (Rs)	17	10.89	7.01	55.2	12.11	7.38	64.1
Dividend per share	18						
Dividend per share: Gross (Rs)		4.25*	2.75				

* Based on proposed dividend which is to be approved at the Annual General Meeting.

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Bank Change %	Group 2021 Rs 000	Group 2020 Rs 000	Group Change %
Profit for the year	12,457,497	8,025,147	55.2	13,856,461	8,442,516	64.1
Other comprehensive income						
Items that will be reclassified to profit or loss:						
Debt instruments at fair value through other comprehensive income:						
Loss arising on re-measurement	(1,381,203)	(8,030)	(17,100.5)	(1,381,203)	(8,030)	(17,100.5)
Reclassification to profit or loss	(30,313)	(179,418)	83.1	(30,313)	(179,418)	83.1
Changes in impairment for expected credit losses	34,373	19,527	76.0	34,373	19,527	76.0
Deferred tax effect including the effect of rate change on the opening balance	325,010	47,018	591.2	325,010	47,018	591.2
Net other comprehensive income to be reclassified to profit or loss	(1,052,133)	(120,903)	(770.2)	(1,052,133)	(120,903)	(770.2)
Items that will not be reclassified to profit or loss:						
Equity instruments at fair value through other comprehensive income:						
Gain arising on re-measurement	670,639	1,555,933	(56.9)	670,639	1,555,933	(56.9)
Exchange difference in translation	290,118	42,994	574.8	290,118	42,994	574.8
Deferred tax effect including the effect of rate change on the opening balance	(121,092)	(447,700)	73.0	(121,092)	(447,700)	73.0
	839,665	1,151,227	(27.1)	839,665	1,151,227	(27.1)
Actuarial gain/(loss) on defined benefit plans	2,804,233	(2,848,521)	198.4	2,810,748	(2,851,802)	198.6
Deferred tax effect including the effect of rate change on the opening balance	(878,809)	797,586	(210.2)	(881,212)	798,505	(210.4)
	1,925,424	(2,050,935)	193.9	1,929,536	(2,053,297)	194.0
Deferred tax effect of rate change on the opening balance						
Revaluation surplus on property, plant & equipment	166,311	-	100.0	331,244	-	100.0
	166,311	-	100.0	331,244	-	100.0
Net other comprehensive income not to be reclassified to profit or loss	2,931,400	(899,708)	425.8	3,100,445	(902,070)	443.7
Other comprehensive income net of tax	1,879,267	(1,020,611)	284.1	2,048,312	(1,022,973)	300.2
Total comprehensive income for the year net of tax	14,336,764	7,004,536	104.7	15,904,773	7,419,543	114.4
Attributable to:						
Equity holders of the Bank	14,336,764	7,004,536	104.7	15,904,773	7,419,543	114.4
Non-controlling interest				-	-	-
	14,336,764	7,004,536	104.7	15,904,773	7,419,543	114.4

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

STATEMENT OF FINANCIAL POSITION

As at 31st December	Note	Bank 2021 Rs 000	Bank 2020 Rs 000	Bank Change %	Group 2021 Rs 000	Group 2020 Rs 000	Group Change %
ASSETS							
Cash & cash equivalents	20	22,882,999	29,053,585	(21.2)	23,027,588	29,218,921	(21.2)
Balances with Central Bank of Sri Lanka	21	30,874,556	13,335,178	131.5	30,874,556	13,335,178	131.5
Placements with banks	22	2,739,514	3,228,166	(15.1)	2,739,514	3,228,166	(15.1)
Reverse repurchase agreements		2,752,011	4,450,557	(38.2)	4,861,922	6,231,719	(22.0)
Derivative financial instruments	23	1,399,119	2,186,515	(36.0)	1,399,119	2,186,515	(36.0)
Financial assets recognised through profit or loss - measured at fair value	24	3,907,704	9,313,628	(58.0)	3,907,704	9,313,628	(58.0)
Financial assets at amortised cost							
- loans & advances	25	762,588,294	720,215,247	5.9	795,804,353	752,437,782	5.8
- debt & other instruments	26	293,766,967	275,091,572	6.8	294,667,208	275,125,717	7.1
Financial assets - fair value through other comprehensive income	27	43,004,145	24,237,803	77.4	43,004,201	24,237,859	77.4
Investment in subsidiaries	28	3,503,350	3,350,774	4.6	-	-	-
Property, plant & equipment	29	7,817,923	8,126,285	(3.8)	16,337,516	15,891,415	2.8
Intangible assets	30	544,916	753,615	(27.7)	567,681	791,689	(28.3)
Right-of-use assets	31	3,265,318	3,280,166	(0.5)	3,031,790	2,905,661	4.3
Current tax receivables	39	-	-	-	4,177	42,883	(90.3)
Deferred tax assets	32	6,157,958	4,634,040	32.9	6,242,982	4,653,496	34.2
Other assets	33	14,708,621	9,013,993	63.2	16,162,339	10,084,799	60.3
Total Assets		1,199,913,395	1,110,271,124	8.1	1,242,632,650	1,149,685,428	8.1
LIABILITIES							
Due to banks	34	23,653,247	35,085,204	(32.6)	31,532,293	42,905,046	(26.5)
Derivative financial instruments	23	607,923	2,030,947	(70.1)	607,923	2,030,947	(70.1)
Securities sold under repurchase agreements		4,157,662	3,399,896	22.3	4,157,662	2,306,896	80.2
Financial liabilities at amortised cost							
- due to depositors	35	977,945,952	885,724,901	10.4	994,317,574	902,498,739	10.2
- due to other borrowers	36	14,434,115	15,489,793	(6.8)	14,434,115	15,489,793	(6.8)
- due to debt securities holders	37	31,006,592	30,790,007	0.7	37,274,207	37,078,483	0.5
Retirement benefit obligation	38	2,573,127	6,871,592	(62.6)	2,706,462	6,988,658	(61.3)
Dividend payable		148,032	121,270	22.1	148,032	121,270	22.1
Current tax liabilities	39	7,524,844	4,674,756	61.0	8,375,511	4,792,904	74.7
Deferred tax liabilities	32	-	-	-	979,815	1,485,302	(34.0)
Other liabilities	40	19,110,242	18,533,954	3.1	20,913,538	19,572,736	6.9
Total Liabilities		1,081,161,736	1,002,722,320	7.8	1,115,447,132	1,035,270,774	7.7

As at 31st December	Note	Bank			Group		
		2021 Rs 000	2020 Rs 000	Change %	2021 Rs 000	2020 Rs 000	Change %
EQUITY							
Stated capital	41	47,622,493	47,622,493	-	47,622,493	47,622,493	-
Reserves							
Statutory reserve fund	42	5,075,000	4,450,000	14.0	5,315,000	4,635,000	14.7
Other reserves	43	57,247,452	51,287,588	11.6	60,381,178	54,256,381	11.3
Retained earnings	44	8,806,714	4,188,723	110.2	13,866,847	7,900,780	75.5
Total equity attributable to equity holders of the Bank		118,751,659	107,548,804	10.4	127,185,518	114,414,654	11.2
Non-controlling interest					-	-	-
Total Equity		118,751,659	107,548,804	10.4	127,185,518	114,414,654	11.2
Total Liabilities & Equity		1,199,913,395	1,110,271,124	8.1	1,242,632,650	1,149,685,428	8.1
Commitments & contingencies	45	392,079,682	482,405,749	(18.7)	389,844,633	477,967,519	(18.4)
Net asset value per share (Rs)	46	103.77	93.98	10.4	111.14	99.98	11.2

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

AJANTHA DE VAS GUNASEKARA
Executive Director/Group Chief Financial Officer

The Board of Directors is responsible for these Financial Statements.
Approved and signed for and on behalf of the Board,

HARSHA AMARASEKERA
Chairman

NANDA FERNANDO
Managing Director

RUSHANKA SILVA
Deputy Chairman

LASANTHA SENARATNE
Company Secretary

15th February 2022
Colombo, Sri Lanka

STATEMENT OF CHANGES IN EQUITY

Bank	Stated Capital (Note 41) Rs 000	Statutory Reserve Fund (Note 42) Rs 000	Other Reserves: Revaluation Reserve (Note 43.1) Rs 000	Other Reserves: FVOCI Reserve (Note 43.2) Rs 000	Other Reserves: General Reserve (Note 43.3) Rs 000	Retained Earnings (Note 44) Rs 000	Total Equity Rs 000
Balance as at 1st January 2020	47,622,493	4,040,000	2,993,599	807,879	43,435,171	6,106,642	105,005,784
Total comprehensive income for the year 2020							
Profit for the year	-	-	-	-	-	8,025,147	8,025,147
Other comprehensive income	-	-	-	1,030,324	-	(2,050,935)	(1,020,611)
Total comprehensive income for the year 2020	-	-	-	1,030,324	-	5,974,212	7,004,536
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2019: cash	-	-	-	-	-	(4,482,131)	(4,482,131)
Unclaimed dividend adjustments	-	-	-	-	20,615	-	20,615
Total contributions by and distributions to equity holders	-	-	-	-	20,615	(4,482,131)	(4,461,516)
Transfer to reserves during the year	-	410,000	-	-	3,000,000	(3,410,000)	-
Balance as at 31st December 2020	47,622,493	4,450,000	2,993,599	1,838,203	46,455,786	4,188,723	107,548,804
Balance as at 1st January 2021	47,622,493	4,450,000	2,993,599	1,838,203	46,455,786	4,188,723	107,548,804
Total comprehensive income for the year 2021							
Profit for the year	-	-	-	-	-	12,457,497	12,457,497
Other comprehensive income	-	-	166,311	(212,468)	-	1,925,424	1,879,267
Total comprehensive income for the year 2021	-	-	166,311	(212,468)	-	14,382,921	14,336,764
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2020: cash	-	-	-	-	-	(3,147,028)	(3,147,028)
Unclaimed dividend adjustments	-	-	-	-	13,119	-	13,119
Total contributions by and distributions to equity holders	-	-	-	-	13,119	(3,147,028)	(3,133,909)
Realised gain (net of tax) from derecognition of equity instruments at FVOCI	-	-	-	(7,098)	-	7,098	-
Transfer to reserves during the year	-	625,000	-	-	6,000,000	(6,625,000)	-
Balance as at 31st December 2021	47,622,493	5,075,000	3,159,910	1,618,637	52,468,905	8,806,714	118,751,659

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

Group	Stated Capital	Statutory Reserve Fund	Other Reserves: Revaluation Reserve	Other Reserves: FVOCI Reserve	Other Reserves: General Reserve	Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non - Controlling Interest	Total Equity
	(Note 41)	(Note 42)	(Note 43.1)	(Note 43.2)	(Note 43.3)	(Note 44)			
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2020	47,622,493	4,204,000	5,962,392	807,879	43,435,171	9,424,692	111,456,627	-	111,456,627
Total comprehensive income for the year 2020									
Profit for the year	-	-	-	-	-	8,442,516	8,442,516	-	8,442,516
Other comprehensive income	-	-	-	1,030,324	-	(2,053,297)	(1,022,973)	-	(1,022,973)
Total comprehensive income for the year 2020	-	-	-	1,030,324	-	6,389,219	7,419,543	-	7,419,543
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2019: cash	-	-	-	-	-	(4,482,131)	(4,482,131)	-	(4,482,131)
Unclaimed dividend adjustments	-	-	-	-	20,615	-	20,615	-	20,615
Total contributions by and distributions to equity holders	-	-	-	-	20,615	(4,482,131)	(4,461,516)	-	(4,461,516)
Transfer to reserves during the year	-	431,000	-	-	3,000,000	(3,431,000)	-	-	-
Balance as at 31st December 2020	47,622,493	4,635,000	5,962,392	1,838,203	46,455,786	7,900,780	114,414,654	-	114,414,654
Balance as at 1st January 2021	47,622,493	4,635,000	5,962,392	1,838,203	46,455,786	7,900,780	114,414,654	-	114,414,654
Total comprehensive income for the year 2021									
Profit for the year	-	-	-	-	-	13,856,461	13,856,461	-	13,856,461
Other comprehensive income	-	-	331,244	(212,468)	-	1,929,536	2,048,312	-	2,048,312
Total comprehensive income for the year 2021	-	-	331,244	(212,468)	-	15,785,997	15,904,773	-	15,904,773
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2020: cash	-	-	-	-	-	(3,147,028)	(3,147,028)	-	(3,147,028)
Unclaimed dividend adjustments	-	-	-	-	13,119	-	13,119	-	13,119
Total contributions by and distributions to equity holders	-	-	-	-	13,119	(3,147,028)	(3,133,909)	-	(3,133,909)
Realised gain (net of tax) from derecognition of equity instruments at FVOCI	-	-	-	(7,098)	-	7,098	-	-	-
Transfer to reserves during the year	-	680,000	-	-	6,000,000	(6,680,000)	-	-	-
Balance as at 31st December 2021	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	13,866,847	127,185,518	-	127,185,518

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

For the year ended 31st December	Note	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Cash flows from operating activities					
Interest receipts		76,866,422	74,588,809	83,392,263	80,545,049
Interest payments		(43,695,551)	(55,753,681)	(46,500,115)	(58,652,321)
Net commission receipts		11,414,982	8,393,149	12,411,338	8,887,479
Cash payments to employees		(9,612,570)	(8,798,333)	(10,953,167)	(9,764,068)
Taxes on financial services		(4,840,804)	(3,335,901)	(5,259,880)	(3,566,754)
Receipts from other operating activities		4,461,914	3,167,486	5,684,449	3,722,591
Cash payments to other operating activities		(8,050,975)	(7,290,842)	(8,258,051)	(7,451,105)
Operating profit before changes in operating assets & liabilities (Note A)		26,543,418	10,970,687	30,516,837	13,720,871
(Increase)/decrease in operating assets					
Balances with Central Bank of Sri Lanka		(17,539,378)	17,693,092	(17,539,378)	17,693,092
Financial assets at amortised cost - loans & advances		(48,013,349)	(27,967,061)	(50,589,257)	(31,806,939)
Other assets		(8,726,819)	(2,787,091)	(9,125,486)	(3,184,906)
		(74,279,546)	(13,061,060)	(77,254,121)	(17,298,753)
Increase/(decrease) in operating liabilities					
Due to banks		(11,746,505)	(16,030,070)	(11,697,688)	(19,825,490)
Re-purchase agreements		782,781	(12,987,979)	1,875,781	(14,066,979)
Financial liabilities at amortised cost - due to depositors		91,784,741	169,317,597	91,609,991	173,112,538
Financial liabilities at amortised cost - due to other borrowers		(918,591)	9,767,293	(918,591)	9,767,293
Other liabilities		(412,389)	1,385,374	(364,703)	1,503,883
		79,490,037	151,452,215	80,504,790	150,491,245
Net cash generated from operating activities before income tax		31,753,909	149,361,842	33,767,506	146,913,363
Income tax paid	39.1	(3,558,857)	(6,398,923)	(3,788,355)	(6,924,116)
Net cash generated from operating activities		28,195,052	142,962,919	29,979,151	139,989,247
Cash flows from investing activities					
Purchase of property, plant & equipment	29.1 & 29.2	(466,451)	(478,387)	(1,679,810)	(1,441,076)
Proceeds from disposal of property, plant & equipment		9,716	3,465	46,931	5,110
Net cash flow from reverse repurchase agreements		1,700,000	(4,450,000)	1,371,251	(3,926,770)
Net cash flow from financial assets - FVPL		5,282,016	2,187,141	5,282,016	2,187,141
Net cash flow from debt instruments at amortised cost		(18,252,662)	(114,313,448)	(19,118,758)	(114,332,293)
Net cash flow from financial assets - FVOCI		(18,772,514)	(5,185,084)	(18,772,514)	(5,185,084)
Purchase of intangible assets	30	(181,605)	(199,307)	(191,750)	(201,948)
Dividend received from financial assets		174,368	66,529	174,608	66,849
Dividend received from subsidiaries		5,123	4,828	-	-
Investment in subsidiaries		-	(700,000)	-	-
Net cash used in investing activities		(30,502,009)	(123,064,263)	(32,888,026)	(122,828,071)
Cash flows from financing activities					
Proceeds from the issue of debentures	37.1	6,000,000	-	7,500,000	2,000,000
Redemption of debentures	37.1	(6,000,000)	(7,000,000)	(7,078,010)	(7,000,000)
Proceeds from securitisation		-	-	(447,110)	447,110
Dividend paid		(3,147,028)	(4,482,131)	(3,147,028)	(4,482,131)
Repayment of principal portion of lease liabilities		(1,335,139)	(1,065,454)	(728,618)	(742,788)
Net cash used in financing activities		(4,482,167)	(12,547,585)	(3,900,766)	(9,777,809)
Net cash (used)/generated during the year		(6,789,124)	7,351,071	(6,809,641)	7,383,367
Cash & cash equivalents at the beginning of the year		31,944,412	24,593,341	32,108,832	24,725,465
Cash & cash equivalents at the end of the year (Note B)		25,155,288	31,944,412	25,299,191	32,108,832

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

NOTE (A) RECONCILIATION OF OPERATING PROFIT BEFORE CHANGES IN OPERATING ASSETS AND LIABILITIES

For the year ended 31st December	Note	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Profit before income tax		16,833,944	11,171,887	18,825,106	11,889,579
Interest income accrued on impaired loans & advances	7.1	(3,009,971)	(3,333,638)	(3,027,412)	(3,348,278)
Net (gain)/loss from trading	9				
Forward exchange contract revaluation loss/(gain)		(635,628)	103,117	(635,628)	103,117
Net mark to market loss/(gain) - government & equity securities		238,326	(123,145)	238,326	(123,145)
Dividend income		(1,941)	(4,759)	(1,941)	(4,759)
Net gain on derecognition of financial assets	10				
Financial assets - FVPL		(114,418)	(243,977)	(114,418)	(243,977)
Financial assets - FVOCI		(30,313)	(179,418)	(30,313)	(179,418)
Financial assets - amortised cost		(5,682)	(419)	(5,682)	(419)
Net other operating income	11				
Dividend income from financial assets FVOCI		(172,427)	(118,497)	(172,667)	(118,817)
Dividend income from subsidiaries		(157,699)	(201,926)	-	-
(Profit)/loss on disposal of property, plant & equipment		(2,007)	1,249	(3,459)	(31)
Net impairment charge	12	17,084,814	11,782,701	18,559,200	13,200,926
Personnel expenses					
(Reversal)/charge on gratuity & pension	13	(891,364)	827,262	(858,679)	855,867
Other non-cash personnel expenses		344,679	312,296	358,130	312,297
Depreciation & amortisation expenses	14				
Depreciation of property, plant & equipment		767,104	812,854	1,190,237	1,245,729
Amortisation of intangible assets		390,304	440,811	415,758	465,582
Amortisation of right-of-use assets		1,296,963	1,200,440	885,345	807,142
Accrual for interest & commission income		(8,017,707)	(12,749,960)	(7,915,400)	(12,798,105)
Accrual for interest expense		622,210	(948,763)	409,613	(832,293)
Other accruals & non-cash income/expense		2,004,231	2,222,572	2,400,721	2,489,874
Operating profit before changes in operating assets/liabilities		26,543,418	10,970,687	30,516,837	13,720,871

NOTE (B) RECONCILIATION OF CASH & CASH EQUIVALENTS

As at 31st December	Note	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Local currency in hand	20	19,308,886	17,787,093	19,443,575	17,906,374
Foreign currency in hand	20	692,285	208,750	692,285	208,750
Balances with local banks	20	341,803	262,333	351,723	308,403
Balances with foreign banks	20	2,137,788	8,048,369	2,137,788	8,048,369
Money at call and short notice	20	500,418	2,783,404	500,418	2,783,404
Placements less than three months	22	2,739,907	3,228,613	2,739,907	3,228,613
Unfavourable balances with local & foreign banks	34.2	(565,799)	(374,150)	(566,505)	(375,081)
Cash & cash equivalents at the end of the year		25,155,288	31,944,412	25,299,191	32,108,832

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

NOTE (C) RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

	Bank		Group		
	Debentures (Note 37.1) Rs 000	Finance Lease Liability (Note 31.1) Rs 000	Debentures (Note 37.1) Rs 000	Finance Lease Liability (Note 31.1) Rs 000	Securitisation (Note 37) Rs 000
Balance as at 1st January 2020	35,115,290	4,423,702	38,844,827	3,449,043	-
Cash flows from financing activities					
Proceeds from the issue of debentures/securitisation	-	-	2,000,000	-	447,110
Redemption of debentures	(7,000,000)	-	(7,000,000)	-	-
Repayment of principal portion of lease liabilities	-	(1,065,454)	-	(742,788)	-
Non cash changes					
Additions during the year	-	421,387	-	504,537	-
Net accrual/payment of interest	(83,315)	-	27,700	-	814
Balance as at 31st December 2020	28,031,975	3,779,635	33,872,527	3,210,792	447,924
Balance as at 1st January 2021	28,031,975	3,779,635	33,872,527	3,210,792	447,924
Cash flows from financing activities					
Proceeds from the issue of debentures	6,000,000	-	7,500,000	-	-
Redemption of debentures/securitisation	(6,000,000)	-	(7,078,010)	-	(447,110)
Repayment of principal portion of lease liabilities	-	(1,335,139)	-	(728,618)	-
Non cash changes					
Additions during the year	-	1,282,115	-	1,011,474	-
Net accrual/payment of interest	(35,856)	-	(30,783)	-	(814)
Balance as at 31st December 2021	27,996,119	3,726,611	34,263,734	3,493,648	-

The Notes to the Financial Statements from pages 209 to 340 form an integral part of these Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1 REPORTING ENTITY

1.1 General

Sampath Bank PLC ('The Bank'), is a domiciled, public limited liability company incorporated in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982. It is a Licensed Commercial Bank registered under the Banking Act No. 30 of 1988 (Banking Act) and amendments thereto. The Bank was re-registered with the Registrar General of Companies as per the requirements of the Companies Act No. 7 of 2007 (Companies Act) on 28th April 2008 under the name of Sampath Bank PLC. The registered office of the Bank is located at No. 110, Sir James Peiris Mawatha, Colombo 02. The shares of the Bank have a primary listing on the Colombo Stock Exchange (CSE). The unsecured subordinated debentures of the Bank are also listed on the CSE. The staff strength of the Bank as at 31st December 2021 was 4,013 (2020: 4,048).

1.2 Consolidated Financial Statements

The Consolidated Financial Statements of the Bank as at and for the year ended 31st December 2021 comprise the Bank (Parent Company) and its Subsidiaries (together referred to as the "Group" and individually as "Group entities"). The subsidiaries of the Bank as at 31st December 2021 were Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.

Sampath Bank PLC is the ultimate parent of the Group.

The Financial Statements of all companies in the Group have a common financial year which ends on 31st December.

1.3 Principal Activities and Nature of Operations

1.3.1 Bank

The Bank provides a comprehensive range of financial services encompassing accepting deposits, corporate and retail banking, project financing, trade finance, treasury and investment services, issuing of credit cards and debit cards, off-shore banking, resident and non-resident foreign currency operations, electronic banking services such as: telephone banking, internet banking, mobile banking and money remittance facilities, pawning, leasing, factoring, travel related services and dealing in government securities etc.

1.3.2 Subsidiaries

Ownership of subsidiaries as of 31st December 2021 and 31st December 2020 is given in Note 28 to the Financial Statements. There were no significant changes in the nature of the principal activities of the Group during the financial year under review.

2 BASIS OF PREPARATION

2.1 Statement of Compliance

The Consolidated Financial Statements of the Group and the Separate Financial Statements of the Bank, which comprise the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 7 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto and provide appropriate disclosures as required by the Listing Rules of the CSE.

The formats used in the preparation and presentation of the Financial Statements and the disclosures made therein also comply with the specified formats prescribed by the CBSL in the Circular No. 02 of 2019 on "Publication of Annual and Quarterly Financial Statements and Other Disclosures by Licensed Banks". The Bank also publish annual and quarterly financial information and other disclosures in the Press and the Website in compliance with Section 4.2 of the aforementioned Circular.

2.2 Responsibility for Financial Statements

The Board of Directors is responsible for the Financial Statements of the Group and the Bank as per Sri Lanka Accounting Standards and the provisions of the Companies Act No. 7 of 2007.

The Board of Directors acknowledges their responsibility for financial statements as set out in the "Annual Report of the Board of Directors on the Affairs of the Company" (pages 179 to 189), "Statement of Directors' Responsibility for Financial Reporting" (pages 194 to 195) and the certification on the Statement of Financial Position on page 203.

2.3 Approval of Financial Statements by Directors

The Financial Statements of the Group as at and for the year ended 31st December 2021 were authorised for issue by the Board of Directors in accordance with the resolution of the Board of Directors on 15th February 2022.

2.4 Basis of Measurement

The Financial Statements of the Group have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value (Note 23)
- Financial assets held at fair value through other comprehensive income (FVOCI) are measured at fair value (Note 27)
- Financial assets recognised through profit or loss (FVPL) are measured at fair value (Note 24)
- Land and buildings which are measured at cost at the time of acquisition subsequently measured at revalued amounts, which are the fair values at the date of revaluation (Note 29)
- Liabilities for defined benefit obligations are recognised at the present value of the defined benefit obligation less the fair value of the plan assets (Note 38)

2.5 Functional and Presentation Currency

The Financial Statements of the Group are presented in Sri Lankan Rupees (Rs), which is the currency of the primary economic environment in which Sampath Bank PLC operates. Financial information presented in Sri Lankan Rupees has been rounded to the nearest thousand unless indicated otherwise. There was no change in the Group's presentation and functional currency during the year under review.

NOTES TO THE FINANCIAL STATEMENTS

2.6 Presentation of Financial Statements

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements.

An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Note 52 to the Financial Statements.

2.7 Materiality and Aggregation

In compliance with Sri Lanka Accounting Standard - LKAS 1 (Presentation of Financial Statements), each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial. Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by an Accounting Standard.

2.8 Comparative Information

The comparative information is re-classified wherever necessary to conform to the current year's classification in order to provide a better presentation. The details of such reclassifications are presented in Note 53 to the Financial Statements.

2.9 Statement of Cash Flows

The Statement of Cash Flows has been prepared by using the direct method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months), money at call and short notice, net of unfavourable local & foreign bank balances.

2.10 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Group in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Group are as follows:

2.10.1 Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. With the COVID - 19 pandemic continuing for the second consecutive year, it is likely that the uncertainties created by the pandemic will remain for a prolonged period of time. The Directors have considered the potential downsides that the COVID-19 pandemic could bring to the business operations of the Group, in making this assessment. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Group. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.10.2 Impairment Losses on Loans and Advances

The measurement of impairment losses under Sri Lanka Accounting Standards - SLFRS 9 (Financial Instruments) across all categories of financial assets requires judgement. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine the expected credit loss on such loans and advances.

The expected credit loss (ECL) calculation under SLFRS 9 requires management to make judgments and estimates with regard to the following.

- The Group's criteria for assessing if there has been a significant increase in credit risk and so impairment for financial assets should be measured on a lifetime ECL basis
- Development of ECL models, including various formulas and the choice of inputs
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL model

It has been the Group's policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgments are discussed in detail under Note 3.4.6 to the Financial Statements.

In response to the ongoing COVID-19 pandemic and the Group's expectations of economic impacts, key assumptions used in the Group's calculation of ECL have been revised. The economic scenarios and forward-looking macroeconomic assumptions underpinning the collective provision calculation are outlined in Note 3.4.6.7, while the impact on changing the weightages of different macro- economic scenarios during the year are given in Note 51.2.1(e). As at the reporting date, the expected impacts of COVID-19 have been captured via the modelled outcome as well as a separate management overlay reflecting the considerable uncertainty remaining in the modelled outcome given the unprecedented impacts of COVID-19. Although the credit model inputs and assumptions, including forward-looking macroeconomic assumptions were revised in response to the COVID-19 pandemic, the fundamental credit model mechanics and methodology underpinning the Group's calculation of ECL have remained consistent with prior periods.

The Group continued to extend the moratorium for eligible borrowers as directed by the Central Bank of Sri Lanka during the year 2021. All individually significant customers who were under moratorium for a prolonged period of time have been classified at least under stage 2 on a prudent basis when calculating the impairment provisions. Furthermore, a case-by-case analysis has been conducted on the most significant exposures and have been classified as stage 3 when the circumstances demand so. The exposures which are not individually significant have been moved to stage 2 based on the industry risk of the underlying borrowers.

The additional provisions booked as an allowance for overlay for moratorium loans as at 31st December 2020 were further increased during the year covering both individually significant and other loans and advances. This is over and above the impairment provisions derived from the Bank's impairment model after classifying these loans into stages as per the Bank's classification criteria for moratorium loans.

A breakdown of the loans and advances of the Bank/Group classified under stage 2 is given in Note 51.2.1(f). Sensitivity of the individually significant loan impairment to recovery cash flows is given in Note 51.2.1(c) while sensitivity of collective impairment provision to the staging of the loans and advances is disclosed in Note 51.2.1(d).

2.10.3 Impairment of Other Financial Assets

The Group reviews its debt securities classified as FVOCI/amortised cost at each reporting date. Objective evidence that a debt security held at FVOCI/ amortised cost is impaired/having an increased credit risk includes, among other things, significant financial difficulty of the issuer, a breach of contract such as a default or delinquency in interest or principal payments etc. Management judgement has been involved in determining whether there is significant increase in credit risk of these instruments or these instruments are impaired as at the reporting date.

Equity instruments classified as FVOCI are not subjective for impairment assessment.

2.10.4 Fair Value of Financial Instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instruments is described in more detail in Note 3.4.10.

The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is given in Note 50.4 and 50.6.

2.10.5 Financial Assets and Liabilities Classification

The Group's accounting policies provide scope for assets and liabilities to be classified, at inception into different accounting categories. The classification of financial instruments is given in Note 19, 'Analysis of Financial Instruments by Measurement Basis'. COVID-19 pandemic has resulted in significant volatility in the financial markets. However, the Group did not require to reclassify any of its financial assets during the years ended 31st December 2021 and 2020 as a result of the significant volatility created by the pandemic.

2.10.6 Taxation

The Group is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The details of deferred tax computation is given in Note 32 to the Financial Statements.

2.10.7 Defined Benefit Plans

The cost of the defined benefit plans and the present value of their obligations are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, future salary increases, mortality rates and possible future pension increases if any. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases and pension increases are based on expected future inflation rate and expected future salary increase rates of the Group.

2.10.8 Fair Value of Property, Plant and Equipment

The freehold land and buildings of the Group are reflected at fair value at the date of revaluation less any accumulated depreciation and impairment losses. The Group engages independent valuation specialists to determine fair value of freehold lands and buildings in terms of the Sri Lanka Accounting Standard-SLFRS 13, (Fair Value Measurement). The details of freehold land and buildings, including methods of valuation are given in Note 29.3 and 29.4 to the Financial Statements. The Group has not revalued

NOTES TO THE FINANCIAL STATEMENTS

its freehold lands and buildings during this year for consolidated accounting purposes, on the basis that changes in property prices were not significant since the date of the last revaluation.

2.10.9 Useful Lifetime of the Property, Plant and Equipment

The Group reviews the residual values, useful lives and methods of depreciation of property, plant and equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.10.10 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Details of commitments and contingencies are given in Note 45.

2.10.11 Classification of Investment Properties

Management requires using its judgment to determine whether a property qualifies as an investment property. The Group has developed criteria so it can exercise its judgment consistently. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Group are accounted for as investment properties. On the other hand, a property that is used for operations or in the process of providing services or for administrative purposes and which do not directly generate cash flows as a standalone asset are accounted for as property, plant and equipment. The Group assesses on an annual basis, the accounting classification of its properties taking into consideration the current use of such properties. Currently the Group does not have any investment property.

2.10.12 SLFRS 16 – Leases

The Group uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. It also uses judgement in the determination of the discount rate in the calculation of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease. As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate to measure the lease liability. The incremental borrowing rate is the rate of interest that the Group would have to pay, to borrow an amount similar to the value of the lease asset, over a similar term and with similar security in similar economic environment. Further, the Group applies judgement in evaluating whether it is reasonably certain to renew or terminate the lease at the end of the lease term. That is, it considers all relevant factors that create an economic benefit for it to exercise, either the renewal or termination option.

3 GENERAL ACCOUNTING POLICIES

3.1 Basis of Consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its subsidiaries in terms of the Sri Lanka Accounting Standard - SLFRS 10 (Consolidated Financial Statements). The Bank's Financial Statements comprise the amalgamation of the Financial Statements of the Domestic Banking Unit and the Off-Shore Banking Unit.

3.2 Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Sri Lanka Accounting Standard-SLFRS 3 (Business Combinations).

The Group measures goodwill as the fair value of the consideration transferred including the recognised amount of any non-controlling interest in the acquiree, less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. When excess is negative, a bargain purchase gain is recognised immediately in profit or loss, if controlling power is acquired.

The changes in parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions. The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

3.3 Foreign Currency Transactions and Balances

All foreign currency transactions are translated into the functional currency, which is Sri Lankan Rupees, using the exchange rates prevailing at the dates of the transactions were affected.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to Sri Lankan Rupees using the spot foreign exchange rate ruling at that date and all differences arising on non-trading activities are taken to 'Other operating income' in the Statement of Profit or Loss. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the rate of exchange prevailing at the end of the reporting period.

Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rates as at the dates of the initial transactions. Non- monetary items in foreign currency measured at fair value are translated using the exchange rates at the date when the fair value was determined.

Foreign exchange differences arising on the settlement or reporting of monetary items at rates different from those which were initially recorded are dealt with in the Statement of Profit or Loss. However, foreign currency differences arising on equity instruments classified as fair value through other comprehensive income, financial liabilities designated as a hedge of a net investment in a foreign operation, or qualifying cash flow hedges are recognised in other comprehensive income.

Forward exchange contracts are valued at the forward market rates ruling on the reporting date. Resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss under 'Net gain/loss from trading'.

3.4 Financial Instruments - Initial Recognition, Classification and Subsequent Measurement

3.4.1 Date of Recognition

Financial assets and liabilities, with the exception of loans and advances to customers and balances due to customers, are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognises balances due to depositors when funds are transferred to the Group.

3.4.2 Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments, as described in Notes 3.4.3.1(a) and 3.4.3.1(b). Financial instruments are initially measured at their fair value.

Except in the case of financial assets and financial liabilities recorded at FVPL, transaction costs are added to, or subtracted from, this amount.

Trade receivables are measured at the transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the Group accounts for the Day 1 profit or loss, as described below.

3.4.2.1 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group recognises the difference between the transaction price and fair value ('Day 1' profit or loss) in the Statement of Profit or Loss over the tenor of the financial instrument using the effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

The “Day 1 loss” arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is deferred and amortised using Effective Interest Rates (EIR) in “Interest income” and “Personnel expenses” over the remaining service period of the employees or tenure of the loan whichever is shorter.

3.4.3 Measurement Categories of Financial Assets and Liabilities

The Group classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortised cost, as explained in Note 3.4.3.1
- FVOCI as explained in Notes 3.4.3.5 and 3.4.3.6
- FVPL

The Group classifies and measures its derivative and trading portfolio at FVPL as explained in Notes 3.4.3.2 and 3.4.3.3. The Group may designate financial instruments at FVPL, if so doing eliminates or significantly reduces measurement or recognition inconsistencies, as explained in Note 3.4.3.4.

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortised cost or at FVPL when they are held for trading, derivative instruments or the fair value designation is applied, as explained in Notes 3.4.3.2, 3.4.3.3, 3.4.3.4 and 3.4.3.7.

3.4.3.1 Loans and advances to customers, debt and other securities, reverse repurchase agreements

The Group only measures loans and advances to customers, debt and other securities and reverse repurchase agreements at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective of collecting contractual cash flows
- The contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below.

3.4.3.1.(a) Business model assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Group's business model is not assessed on an instrument-by instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)

NOTES TO THE FINANCIAL STATEMENTS

The expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.4.3.1(b) The SPPI test

As a second step of its classification process the Group assesses the contractual terms of financial instruments to identify whether they meet the SPPI test. 'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Group applies judgment and considers relevant factors such as the currency in which the financial asset is denominated and the period for which the interest rate is set. In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

3.4.3.2 Derivatives recorded at fair value through profit or loss

A derivative is a financial instrument or other contract with all three of the following characteristics:

- Its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract (i.e. the 'underlying').
- It requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts expected to have a similar response to changes in market factors.
- It is settled at a future date.

The Group enters into derivative transactions with various counterparties. These include interest rate swaps, cross-currency swaps, forward exchange contracts etc. Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. The notional amount and fair value of such derivatives are disclosed separately in Note 23. Changes in the fair value of derivatives are included in net gain/(loss) from trading unless hedge accounting is applied. The Group has not applied hedge accounting for any of its derivatives during the years ended 31st December 2021 and 2020.

3.4.3.2(a) Embedded derivatives

An embedded derivative is a component of a hybrid instrument that also includes a non-derivative host contract with the effect that some of the cash flows of the combined instrument vary in a way, similar to a stand-alone derivative.

An embedded derivative causes some or all of the cash flows that otherwise would be required by the contract to be modified according to a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract. A derivative that is attached to a financial instrument, but is contractually transferable independently of that instrument, or has a different counterparty from that instrument, is not an embedded derivative, but a separate financial instrument.

Derivatives embedded in liabilities and non-financial host contacts, are treated as separate derivatives and recorded at fair value if they meet the definition of a derivative (as defined above), their economic characteristics and risks are not closely related to those of the host contract, and the host contract is not itself held for trading or designated at FVPL. The embedded derivatives separated from the host were carried at fair value in the trading portfolio with changes in fair value recognised in the income statement. Derivatives embedded in financial assets are no longer separated. Instead, they are classified based on the business model and SPPI assessments as outlined in Notes 3.4.3.1(a) and 3.4.3.1(b).

3.4.3.3 Financial assets or financial liabilities held for trading

The Group classifies financial assets or financial liabilities as held for trading when they have been purchased or issued primarily for short-term profit making through trading activities or form part of a portfolio of financial instruments that are managed together, for which there is evidence of a recent pattern of short-term profit taking. Held-for-trading assets and liabilities are recorded and measured in the statement of financial position at fair value. Changes in fair value are recognised in net trading income. Interest income from financial assets held for trading is recorded under net interest income while dividend income is recorded in net trading income when the right to payment has been established. Included in this classification are debt securities and equity investments that have been acquired principally for the purpose of selling or repurchasing in the near term. The Group does not have any financial liabilities classified as held for trading as at 31st December 2021.

3.4.3.4 Financial assets and financial liabilities designated at fair value through profit or loss

Financial assets and financial liabilities in this category are those that are not held for trading and have been either designated by management upon initial recognition or are mandatorily required to be measured at fair value under SLFRS 9. Management only designates an instrument at FVPL upon initial recognition when one of the following criteria are met. Such designation is determined on an instrument-by-instrument basis:

- The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on them on a different basis

  Or
- The liabilities are part of a group of financial liabilities which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy

  Or
- The liabilities containing one or more embedded derivatives, unless they do not significantly modify the cash flows that would otherwise be required by the contract, or it is clear with little or no analysis when a similar instrument is first considered that separation of the embedded derivative(s) is prohibited

Financial assets and financial liabilities at FVPL are recorded in the statement of financial position at fair value. Changes in fair value are recorded in profit or loss with the exception of movements in fair value of liabilities designated at FVPL due to changes in the Group's own credit risk. Such changes in fair value are recorded in the "Own credit reserve" through OCI and do not get recycled to the profit or loss. Interest earned or incurred on instruments designated at FVPL is accrued in interest income or interest expense, respectively, using the EIR, taking into account any discount/ premium and qualifying transaction costs being integral parts of the instrument.

3.4.3.5 Debt instruments at FVOCI

The Group applies this category for debt instruments when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets
- The contractual terms of the financial asset meet the SPPI test

These instruments largely comprise government securities.

FVOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income and foreign exchange gains and losses are recognised in profit or loss in the same manner as for financial assets measured at amortised cost.

The ECL calculation for debt instruments at FVOCI is explained in Note 3.4.6.5. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

3.4.3.6 Equity instruments at FVOCI

Upon initial recognition, the Group occasionally elects to classify irrevocably some of its equity investments at FVOCI when they meet the definition of equity under Sri Lanka Accounting Standard - LKAS 32 (Financial Instruments: Presentation) and are not held for trading. Such classification is determined on an instrument-by instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

3.4.3.7 Securities sold under repurchase agreements, due to banks, due to depositors, other borrowers and debt securities holders

After initial measurement, securities sold under repurchase agreements, due to banks, due to depositors, due to other borrowers and due to debt securities holders are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue of funds and costs that are an integral part of the EIR. The Group does not have compound financial instruments which contains both liability and equity components and require separation as at the date of the issue.

3.4.3.8 Financial guarantees, letters of credit and undrawn loan commitments

The Group issues financial guarantees, letters of credit and loan commitments. Financial guarantees are initially recognised in the financial statements at fair value, being the premium received. Subsequent to initial recognition, the Group's liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the income statement and the ECL provision.

The premium received is recognised in the income statement under net fees and commission income on a straight line basis over the life of the guarantee.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Group is required to provide a loan with pre-specified terms to the customer. Similar to financial guarantee contracts, these contracts are within the scope of the ECL requirements.

The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded in the statement of financial position. The nominal values of these instruments are disclosed in Note 45, while the corresponding ECL is disclosed under Note 40, "Other liabilities".

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3.4.4 Reclassification of Financial Assets and Liabilities

The Group does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Group may acquire, dispose of, or terminates a business line (change in business model). When the Group reclassifies its financial assets it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains, losses (including impairment gains or losses) or interest. Financial liabilities are never reclassified.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in profit or loss.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the amortised cost measurement category, the financial asset is reclassified at its fair value at the reclassification date. However, the cumulative gain or loss previously recognised in other comprehensive income is removed from equity and adjusted against the fair value of the financial asset at the reclassification date. As a result, the financial asset is measured at the reclassification date as if it had always been measured at amortised cost. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the fair value through other comprehensive income measurement category, the financial asset continues to be measured at fair value.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the fair value through profit or loss measurement category, the financial asset continues to be measured at fair value. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.

The Group did not reclassify any of its financial assets in 2021.

3.4.5 Derecognition of Financial Assets and Liabilities

3.4.5.1 Derecognition due to substantial modification of terms and conditions

The Group derecognises a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognised loans are classified as stage 1 for ECL measurement purposes, unless the new loan is deemed to be credit impaired at the date of inception.

When assessing whether or not to derecognise a loan to a customer, amongst others, the Group considers the following factors:

- Change in currency of the loan
- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original EIR, the Group records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

3.4.5.2 Derecognition other than for substantial modification

3.4.5.2(a) Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Group also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Group has transferred the financial asset if, and only if, either:

- The Group has transferred its contractual rights to receive cash flows from the financial asset

  Or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement

Pass-through arrangements are transactions whereby the Group retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Group has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short term advances with the right to full recovery of the amount lent plus accrued interest at market rates

- The Group cannot sell or pledge the original asset other than as security to the eventual recipients
- The Group has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Group is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients

A transfer only qualifies for derecognition if either:

- The Group has transferred substantially all the risks and rewards of the asset

  Or
- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Group considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Group has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Group's continuing involvement, in which case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Group could be required to pay.

3.4.5.2.(b) Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

3.4.6 Impairment Allowance for Financial Assets

3.4.6.1 Overview of the ECL principles

The Group has been recording impairment (expected credit losses) for all loans, debt & other financial instruments not held at FVPL, together with loan commitments, financial guarantee contracts, letter of credit and acceptances. Equity instruments are not subject to impairment under SLFRS 9.

The ECL impairment is based on the credit losses expected to arise over the life of the asset [the lifetime expected credit loss or (LTECL)], when there is a significant increase in credit risk since origination. In all other instances, the impairment is based on the 12 months' expected credit loss (12mECL). The Group's policies for determining if there has been a significant increase in credit risk are set out in Note 3.4.6.1(b).

The 12mECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments. The policy for grouping financial assets measured on a collective basis is explained in Note 3.4.6.4. The details of individual assessment of ECLs are given in Note 3.4.6.3.

The Group has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. This is further explained in Note 3.4.6.1.(b). Based on the above process, the Group categorises its loans into 'stage 1', 'stage 2', 'stage 3' and 'originated credit impaired', as described below:

- Stage 1: When loans are first recognised, the Group recognises an impairment based on 12mECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from stage 2.
- Stage 2: When a loan has shown a significant increase in credit risk since origination, the Group records an impairment for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from stage 3.
- Stage 3: Loans considered credit-impaired [as outlined in Note 3.4.6.1(a)]. The Group records an impairment for the LTECLs.
- Originated credit impaired: Originated credit impaired assets are financial assets that are credit impaired on initial recognition. They are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses. The Group did not have originated credit impaired loans as at 31st December 2021 and 2020.

For financial assets for which the Group has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

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3.4.6.1(a) Definition of default and cure

The Group considers a financial instrument as defaulted and therefore stage 3 (credit- impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as stage 3 for ECL calculations or whether stage 2 is appropriate.

Such events include:

- Customer's Internal Risk Rating (CIRR) is below C + or any down grading of the CIRR by two notches or more from the previous year
- Reasonable and supportable forecasts of future economic conditions show a direct negative impact on the performance of a customer/group of customers
- A significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/ group of customers
- The value of collateral is significantly reduced and/or realisability of collateral is doubtful
- The borrower is subject to litigation that significantly affects the performance of the credit facility
- Frequent changes in the Board of Directors and Senior Management of an institutional customer
- Delay in commencement of business operations/projects by more than two years from the originally agreed date
- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants etc.
- The borrower is deceased/insolvent
- Bank is unable to contact or find the borrower
- A fall of 50% or more in the turnover and/or profit before tax of the borrower when compared to the previous year, for two consecutive years
- Erosion of net-worth of the borrower by more than 25% (other than due to changes in equity structure and dividend policy) when compared to the previous financial year

It is the Group's policy to consider a financial instrument as 'cured' and therefore re- classified out of stage 3 when none of the material default criteria have been presented and the borrower is no longer considered as non-performing in accordance with the Directives of the Central Bank.

Once cured, the decision whether to classify an asset as stage 2 or stage 1 largely depends on the days past due, at the time of the cure. The corresponding reduction in ECL is recognised under "Impairment charge/reversal" in Note 12 to the financial statements.

The Group's criterion for 'cure' for rescheduled/restructured loans is more stringent than ordinary loans and is explained in Note 3.4.6.11.

3.4.6.1(b) Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in credit risk since initial recognition. The Group considers an exposure to have a significantly increased credit risk when it is past due for more than 30 days.

The Group also applies secondary qualitative methods for triggering a significant increase in credit risk, such as restructuring of an asset while the asset is less than 30 days past due. Further, rescheduled loans will remain in stage 2 for at least one year from the date of reschedulement even if such loans become less than 30 days past due. In certain cases, the Group may also consider that events explained in Note 3.4.6.1(a) are significant increase in credit risk as opposed to a default, for customers who are considered as individually significant.

Since March 2020, The Group is focused on supporting customers who are experiencing financial difficulties because of the COVID-19 pandemic and has offered a range of industry-wide financial assistance measures including the debt moratorium initiated by the Central Bank of Sri Lanka. All individually significant customers who were under moratorium for a prolonged period of time have been classified at least under Stage 2 on a prudent basis when calculating the impairment provisions. Furthermore, a case-by-case analysis has been conducted on the most significant exposures and have been classified as stage 3 when the circumstances demand so. The exposures which are not individually significant have been moved to stage 2 based on the industry risk of the underlying borrowers. The Group has identified industries such as tourism, apparel, vehicle imports, construction (including condominiums), agriculture including agri-chemicals, transport and storing etc. as industries carrying an increased credit risk. Accordingly, exposures outstanding from the borrowers operating in these industries have been classified as stage 2. An analysis of the loans classified under stage 2 is given in Note 51.2.1 (f).

3.4.6.2 The calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and the worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received for selling the asset.

Key elements of the ECL calculations are outlined below:

- PD - The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio. The concept of PD is further explained in Note 3.4.6.4(a).
- EAD - The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments. The EAD is further explained in Note 3.4.6.4(b).
- LGD - The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including the realisation of any collateral. It is usually expressed as a percentage of the EAD. The LGD is further explained in Note 3.4.6.4(c).

With the exception of credit cards and other revolving facilities, for which the treatment is separately set out in Note 3.4.6.6, the maximum period for which the credit losses are determined is the contractual life of a financial instrument unless the Group has the legal right to call it earlier.

3.4.6.3 Calculation of ECLs for individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired, moves in to a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment. The criteria used to determine whether individually significant customer is in default is discussed in Note 3.4.6.1(a).

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. In determining the expected future cash flows, the Group takes in to account the base case, the best case and the worst case scenarios considering various modes of settlement of the impaired credit facilities. The impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re- assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate. Interest on impaired assets continues to be recognised through the unwinding of the discount.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flows to service debt obligations;
- The amount and timing of expected receipts and recoveries;
- The extent of other creditors' commitments ranking ahead of, or pari- passu with the Bank and the likelihood of other creditors continuing to support the company;
- The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- The realisable value of security (or other credit mitigants) and likelihood of successful repossession;
- The likely deduction of any costs involved in recovery of amounts outstanding;
- The ability of the borrower to obtain and make payments in the currency of the loan if not denominated in local currency; and
- The likely dividend available on liquidation or bankruptcy

3.4.6.4 Grouping financial assets measured on a collective basis

The Group calculates ECLs either on a collective or an individual basis. Asset classes where the Group calculates ECL on an individual basis include:

- All customers whose exposure is more than or equal to the internal threshold for classifying them as individually significant. However, if the customer is determined to be not impaired such customers are moved back to collective ECL calculation.
- The treasury, trading and interbank relationships (such as Due from banks, debt and other instruments at amortised cost/FVOCI)

For all other asset classes, the Group calculates ECL on a collective basis. The Group categorises these exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Industry of the borrower
- Whether the loan is restructured/ rescheduled

3.4.6.4(a) The internal rating and PD estimation process

The Bank and its' subsidiary, Siyapatha Finance PLC have their own internal rating models. These models incorporate both qualitative and quantitative information and, in addition to information specific to the borrower, utilise supplemental external information that could affect the borrower's behaviour. Although these PDs are used for regulatory purposes, the same is not used for PD estimation under SLFRS 9.

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PD estimation for loans and advances under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most banks in the country at present.

Accordingly, exposures are categorised among 5 groups based on the DPD as follows.

- Zero days past due
- 1 - 30 days past due
- 31 - 60 days past due
- 61 - 90 days past due
- Above 90 days past due

The movement of the customers into adverse DPD categories are tracked at each account level over the periods and it is used to estimate the amount of loans that will eventually be written off.

However, for loans granted to banks, debt & other financial instruments classified as amortised cost/FVOCI, the Group relies on external credit ratings in determining their respective PDs. Due to limited stage movements in loan portfolios under moratorium schemes, the Group has used additional assessments of SICR as explained in Note 3.4.6.1(b) to build an allowance for overlay to better reflect the portfolio position.

3.4.6.4(b) Exposure at default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a stage 1 loan, the Group assesses the possible default events within 12 months. However, if a stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to cure and subsequently default again, then all linked default events are considered. For stage 2 and stage 3 financial assets and credit impaired financial assets at origination, events over the lifetime of the instruments are considered. The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of Group's models.

3.4.6.4(c) Loss given default

LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD.

- Secured against cash/deposits held within the bank
- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against listed shares
- Secured against lease receivables

These LGD rates consider the expected EAD in comparison to the amount expected to be recovered or realised from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics (e.g. product type, collateral type) as well as borrower characteristics. Further, recent data and forward-looking economic scenarios are used in order to determine the LGD for each collateral type. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

For financial investments other than loans and advances, the Group uses the LGD rates specified by the regulator in the Basel III guidelines when calculating the ECL as per SLFRS 9.

3.4.6.5 Debt instruments measured at FVOCI

The ECLs for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the impairment that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognised in OCI is recycled to the profit and loss upon derecognition of the assets.

3.4.6.6 Credit cards and other revolving facilities

The Bank's product offering includes credit card facilities and other revolving products, in which the Bank has the right to cancel and/or reduce the facilities with a very short notice. The Bank does not limit its exposure to credit losses to the contractual notice period, but, instead calculates ECL over a period of 12 months to reflect the Bank's expectations of the customer behaviour, its likelihood of default and the Bank's future risk mitigation procedures, which could include reducing or cancelling the facilities.

3.4.6.7 Forward looking information

The COVID-19 pandemic has significantly impacted the local and global economies. The economic environment remains uncertain and future impairment charges may be impacted depending on the longevity of the pandemic and related containment measures.

In its ECL models, the Group relies on a broad range of forward-looking information as economic inputs. The inputs and models used for calculating ECLs may not always capture all characteristics of the market as at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

In 2021, the Group changed the values of the key macro-economic variables in the impairment calculation model including the GDP growth rate, unemployment rate, interest rate, exchange rate etc. These values have been determined based on the most recent forecasts available as at the date of the calculation.

To reflect these uncertainties in the calculation of expected credit losses, the Group also revisited the weightages assigned for multiple economic scenarios during the year. Weightages assigned for each scenario is given below along with the weightages used in 2020.

	2021	2020
Base Case	45%	50%
Best Case	5%	5%
Worst Case	50%	45%

To ensure completeness and accuracy, the Group obtains the above data primarily from the Central Bank of Sri Lanka (CBSL). Other third party sources such as World Bank and International Monetary Fund etc is also used when CBSL data is not available. The Bank's internal Research Unit reviews the inputs used and the weights attributed to multiple scenarios.

3.4.6.8 Collateral valuation

To mitigate its credit risks on financial assets, the Group seeks to use collateral, where possible.

The collateral comes in various forms, such as cash, securities, letter of credit/ guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral affects the calculation of ECLs. It is generally assessed, at a minimum, at inception and to fall in line with the CBSL directives.

To the extent possible, the Group uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuation specialists.

3.4.6.9 Collateral repossessed

The Group's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to the relevant asset category at the lower of the repossessed value or the carrying value of the original secured asset. The Bank did not transfer any repossessed assets to its property, plant and equipment during the years ended 31st December 2021 and 2020.

3.4.6.10 Write-offs

Financial assets are written off either partially or in their entirety only when the Group has stopped pursuing the recovery. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is past due for 7 years, based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery.

If the amount to be written off is greater than the accumulated impairment, the difference is first treated as an addition to the impairment that is then applied against the gross carrying amount. Any subsequent recoveries are credited to the statement of profit or loss.

3.4.6.11 Rescheduled and restructured loans

The Group sometimes makes concessions or modifications to the original terms of loans in response to the borrower's financial difficulties, rather than taking possession of the collateral. The Group considers a loan as rescheduled/restructured, when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Group would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Reschedulement/restructure may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms. It is the Group's policy to monitor rescheduled/ restructured loans to ensure that future payments are likely to occur. When the Group reschedule/restructure a loan facility of a customer, the entire portfolio of the customer is classified as minimum stage 2 at the modification date. The Group also considers whether such assets should be classified as stage 3. Rescheduled customers will remain in stage 3/stage 2 for at least one year even the rescheduled loan facility becomes a performing loan in terms of CBSL Directives. Restructured loans are upgraded to stage 1 by the Bank’s Risk Department based on their independent evaluation of the customers. If the upgraded rescheduled/restructured loans become past due (for more than 30 days) on a later date, loss allowance reverts to being measured at an amount equal to life time expected credit losses. Details of restructured/rescheduled loans are disclosed in Note 51.2.1(g). If modifications are substantial, the loan is derecognised, as explained in Note 3.4.5.1.

3.4.6.12 Relief Measures to Assist COVID-19 Affected Businesses and Individuals by CBSL

Central Bank of Sri Lanka provided financial assistance to disrupted industry sectors and the affected businesses/individuals in the form of a debt moratorium through licensed banks/financial institutions, since the inception of the pandemic. The Group actively involved in providing assistance to affected customers under these moratorium schemes. Accordingly, moratorium was extended for the customers who continued to experience cash flow difficulties during the year 2021. As per the 4th wave of the CBSL moratorium, capital and interest repayments were deferred until 30th June 2022 for the eligible borrowers in the tourism sector while for the other borrowers, capital and interest repayments were deferred until 31st December 2021. The Group concluded that these modifications were not substantial to derecognise the original loans and therefore it continued to recognise the original loans in its financial statements. The Group continued to recognise interest at the rate of one-year treasury bill rate + 1% on the deferred capital during the period of deferment. Accordingly, the Group did not require to recognise any modification losses during the year.

However, when calculating the expected credit losses, the Group classified all individually significant customers who were under moratorium for a prolonged period of time under stage 2 on a prudent basis. Furthermore, a case-by-case analysis has been conducted on the most significant exposures and have been classified as stage 3 when the circumstances demand so. Further, an additional provision has been recognised in the Financial Statements as at 31st December 2021 as an allowance for

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overlay on account of all customers eligible for the 4th phase of the CBSL moratorium, assuming some of these customers would subsequently move to stage 2 and stage 3 upon completion of the moratorium. This is over and above the impairment provisions derived from the Bank's impairment model after classifying these loans into stages as per the Bank's classification criteria for moratorium loans.

3.4.7 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position only when the Group has a legal right to set-off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under LKASs/SLFRSs or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

3.4.8 Hedge Accounting

The Group designates certain derivatives as either:

- Hedges of fair value of recognised assets, liabilities or firm commitments (fair value hedge);
- Hedges of highly probable future cash flows attributable to a recognised asset or liability, or a forecast transaction (cash flow hedge); or
- Hedges of net investments in foreign operations (net investment hedges)

Hedge accounting is used for derivatives designated in this way provided certain criteria are met. The Group documents, at the inception of the transaction, the relationship between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedge transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items.

The Group did not designate any derivative as a hedging instrument during the years ended 31st December 2021 and 2020

3.4.9 Amortised Cost Measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

3.4.10 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 01 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price - i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 01 valuation) nor based on a valuation technique that uses only data from observable markets (Level 02 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Group entity and the counterparty where appropriate. Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Group believes a third-party market participant would take them into account in pricing a transaction.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

A fair value measurement of a non-financial asset considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

3.5 Leases

At inception of a contract, the Group assesses whether the contract is, or contains a lease. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Group has right to obtain substantially all of the economic benefits from the use of the asset throughout the period of use; and
- The Group has right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either;
- The Group has the right to operate the asset; or
- The Group designed the asset in a way that predetermines how and for what purpose it will be used.

3.5.1 Group as the Lessee

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made on or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying assets or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right of use asset is subsequently depreciated using straight line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. The estimated useful lives of right of use assets are determined on the same basis as those of property plant and equipment and are in the range of 1 to 14 years.

In addition, the right of use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Groups' incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The lease liability is subsequently measured at amortised cost using the effective interest method. It is re-measured when there is a change in future lease payments such as Group changes its assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right of use asset, or is recorded in profit or loss if the carrying amount of the right of use asset has been reduced to zero.

The Group presents right of use assets under Note 31 to the financial statements while the corresponding lease liability is presented in Note 40, 'Other Liabilities'.

3.5.1.1 Short term leases and leases of low value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short term leases (that have a lease term of 12 months or less) and leases of low value assets. The Group recognises lease payments associated with these leases as an expense on a straight line basis over the lease term.

3.5.2 Group as the Lessor

When the Group acts as a lessor, it determines at least inception whether each lease is a finance lease or an operating lease. To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease. If not it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the assets.

When the Group is the lessor under a finance lease contract, the amounts due under the leases, after deduction of unearned interest income, are included in Note 25, 'Loans and advances'. Interest income receivable is recognised in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

The Group recognises lease payments received under operating leases as income on a straight line basis over the lease term as part of other income.

3.6 Fiduciary Assets

The Group provides fiduciary services that result in the holding of assets on behalf of its customers. Assets held in fiduciary capacity are not reported in the Financial Statements, as they are not assets of the Group.

3.7 Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

NOTES TO THE FINANCIAL STATEMENTS

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking in to account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured as the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract.

Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

3.8 Operational Risk Events

Provisions for operational risk events are recognised for losses incurred by the Group which do not relate directly to the amounts of principal outstanding for loans and advances. The amount recognised as a provision is the best estimate of the expenditure required to settle the present obligation as at the reporting date, taking into account the risks and uncertainties that surround the events and circumstances that affect the provision.

3.9 Impairment of Non-Financial Assets

The carrying amounts of the Group's non- financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre- tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

3.10 Other Taxes

3.10.1 Value Added Tax (VAT)

VAT on financial services is calculated in accordance with Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The base for the computation of value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments payable to employees including cash benefits, non-cash benefits & provisions relating to terminal benefits.

3.11 Regulatory Provisions

3.11.1 Deposit Insurance and Liquidity Support Scheme

All Licensed Commercial Banks were required to insure their deposit liabilities in the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" in terms of the Banking Act Direction No. 5 of 2010, issued on 27th September 2010. This was subsequently replaced by the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulations No. 2 of 2021, dated 06th August 2021. The Bank's total capital ratio as at 31st December 2020 exceeded 14% and accordingly the Bank paid a premium of 0.10% of the eligible deposits as deposit insurance premium, during the year ended 31st December 2021. Deposit insurance premium expense of the Bank/ Group is given in Note 15 to the Financial Statements.

3.11.2 Crop Insurance Levy

In terms of the Finance Act No. 12 of 2013, all institutions under the purview of Banking Act No. 30 of 1988, Finance Business Act No. 42 of 2011 and Regulation of Insurance Industry Act No. 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund effective from 1st April 2013.

4 NEW ACCOUNTING STANDARDS ISSUED DURING THE YEAR/CHANGES TO ALREADY EXISTING ACCOUNTING STANDARDS

The amendments to Sri Lanka Accounting Standard - SLFRS 16 (Leases): COVID-19 Related Rent Concessions, did not have a material impact on the Consolidated/ Separate Financial Statements of the Group/Bank.

Apart from the above there were no new accounting standards/amendments to existing accounting standards that became effective during the year. The Group has applied all relevant accounting standards which have been issued up to 31st December 2021 in the preparation of the Financial Statements for the year ended 31st December 2021.

5 ACCOUNTING STANDARDS/CBSL DIRECTIVES ISSUED BUT NOT YET EFFECTIVE AS AT 31ST DECEMBER 2021

5.1 Accounting Standards Issued by the Institute of Chartered Accountants of Sri Lanka

The following new Sri Lanka Accounting Standards/amendments which have been issued by the Institute of Chartered Accountants of Sri Lanka is effective for annual periods beginning on or after 1st January 2022/2023.

Accounting Standard	Description	Effective Date	Assessment of the Impact on the Group/Bank
Sri Lanka Accounting Standard - SLFRS 17 (Insurance Contracts)	SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 (Insurance Contracts).	1st January 2023	No material impact on the Financial Statements of the Bank/ Group
SLFRS 3 - Business Combinations	The amendment intends to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements.	1st January 2022	
LKAS 37 - Provisions, Contingent Liabilities and Contingent Assets	Amendment specifies the costs that an entity needs to include when assessing whether a contract is onerous or loss-making.	1st January 2022	
LKAS 16 - Property, Plant and Equipment	Amendment prohibits entities from deducting any proceeds from selling items produced, while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management, from the cost of an item of property, plant and equipment.	1st January 2022	

5.2 Banking Act Directions Issued by the Central Bank of Sri Lanka

The Central Bank of Sri Lanka issued the Banking Act Direction No. 13 of 2021 (Classification, recognition and measurement of credit facilities in Licensed Banks) and Banking Act Direction No. 14 of 2021 (Classification, recognition and measurement of Financial Assets other than credit facilities in Licensed Banks) with the intention of harmonizing regulatory reporting framework with the Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments) and establishing consistent and prudent practices in the banking industry. These Directives are effective from 1st January 2022.

The Bank carried out a detailed gap analysis on above Directives with the help of an external consultant. The Financial Statements of the Bank do not have a material impact with the implementation of the above Directives with effect from 1st January 2022.

NOTES TO THE FINANCIAL STATEMENTS

6 GROSS INCOME

ACCOUNTING POLICY

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Specific recognition criteria that must be met before recognising revenue is discussed under Note 7 - Net Interest Income, Note 8 - Net Fee and Commission Income, Note 9 - Net Gain/(Loss) from Trading and Note 10 - Net Gain on Derecognition of Financial Assets.

For the year ended 31st December	Note	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Interest income	7.1	85,986,952	88,628,336	92,427,928	94,647,361
Fee & commission income	8	13,239,648	9,775,379	14,236,984	10,270,563
Net gain from trading	9	399,243	24,787	399,243	24,787
Net gain on derecognition of financial assets	10	150,413	423,814	150,413	423,814
Net other operating income	11	4,794,047	3,486,660	5,860,575	3,841,439
		104,570,303	102,338,976	113,075,143	109,207,964

7 NET INTEREST INCOME

ACCOUNTING POLICY

Recognition of Interest Income

The Group recognises interest income for all financial instruments measured at amortised cost, interest-bearing financial assets measured at FVOCI and FVPL using the effective interest rate (EIR) method. The EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The EIR (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Group recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income. The adjustment is subsequently amortised through interest and similar income in the Income Statement.

When a financial asset becomes credit-impaired (as set out in Note 3.4.6.1(a)) and is, therefore, regarded as 'Stage 3', the Group calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial asset cures and is no longer credit-impaired, the Group reverts to calculating interest income on a gross basis.

7.1 Interest Income

For the year ended 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Placements with banks	194,059	512,843	194,059	512,843
Financial assets recognised through profit or loss - measured at fair value	431,623	928,897	431,623	928,897
Reverse repurchase agreements	269,627	227,168	386,956	410,752
Financial assets at amortised cost				
- loans & advances	61,008,589	69,397,299	67,313,779	75,216,599
- debt & other instruments	18,624,774	13,062,057	18,625,790	13,063,558
Interest income accrued on impaired loans & advances (Note 25.2)	3,009,971	3,333,638	3,027,412	3,348,278
Financial assets - fair value through other comprehensive income	2,448,309	1,166,434	2,448,309	1,166,434
	85,986,952	88,628,336	92,427,928	94,647,361

7.2 Interest Expense

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Due to banks	1,421,552	1,899,579	1,890,347	2,862,808
Securities sold under repurchase agreements (Note 7.3)	205,078	299,910	196,882	297,874
Financial liabilities at amortised cost				
-due to depositors	38,307,965	47,433,811	39,661,625	49,077,536
-due to other borrowers	491,523	440,208	491,523	440,208
-due to debt securities holders	3,637,408	4,260,675	4,352,565	4,845,661
Interest rate SWAP	70,400	-	70,400	-
Finance leases (Note 31.1)	183,835	470,735	246,386	295,941
	44,317,761	54,804,918	46,909,728	57,820,028
Net interest income	41,669,191	33,823,418	45,518,200	36,827,333

7.3 Net Interest Income from Sri Lanka Government Securities

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Interest income	21,095,759	14,676,961	21,214,104	14,862,046
Interest expense (Note 7.2)	(205,078)	(299,910)	(196,882)	(297,874)
Net interest income from government securities	20,890,681	14,377,051	21,017,222	14,564,172

8 NET FEE AND COMMISSION INCOME

ACCOUNTING POLICY

Fee Income Earned from Services that are Provided over a Certain Period of Time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include professional fees, trade service fees, commission income and asset management fees etc. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate of the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight-line basis.

Fee Income from Providing Transaction Services

Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of an acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised as the related services are performed.

Expenses on Account of Customer Loyalty Program

Award credits under customer loyalty program are accounted for as a separately identifiable component of the transaction in which they are granted. The fair value of the consideration received in respect of the initial sale is allocated between the award credits and the other components of the sale. Expense incurred for customer loyalty program is accounted under fee and commission expense.

Other Fee and Commission Expense

Other fee and commission expense relate mainly to transactions and services fees which are expensed as the services are received. Fee and commission expenses are recognised on an accrual basis.

NOTES TO THE FINANCIAL STATEMENTS

8 NET FEE AND COMMISSION INCOME CONTD.

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Fee & commission income	13,239,648	9,775,379	14,236,984	10,270,563
Fee & commission expense	(1,764,995)	(1,320,583)	(1,765,975)	(1,321,437)
Net fee & commission income	11,474,653	8,454,796	12,471,009	8,949,126
Comprising:				
Loans & advances	1,543,218	1,170,019	1,823,670	1,446,944
Credit & debit cards	3,473,342	2,776,083	3,473,342	2,776,083
Trade & remittances	3,458,994	2,046,731	3,458,994	2,046,731
Deposits	462,066	441,057	462,085	441,139
Guarantees	650,878	560,999	650,942	561,044
Other banking & financial services	1,886,155	1,459,907	2,601,976	1,677,185
Net fee & commission income	11,474,653	8,454,796	12,471,009	8,949,126

9 NET GAIN/(LOSS) FROM TRADING

ACCOUNTING POLICY

Net gain/(loss) from trading includes all the gains and losses from changes in fair value and dividend from financial assets measured at fair value through profit or loss. Dividend income is recognised when the Group's right to receive the payment is established. This category also includes foreign exchange differences arising from derivative contracts which are not designated as hedging instruments.

Bank & Group

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Derivative financial instruments		
Forward exchange contract revaluation gain/(loss)		
- Inter bank	1,813,164	(1,716,544)
- Others	(1,177,536)	1,613,427
Financial assets recognised through profit or loss – measured at fair value		
Government Securities		
Net mark to market (loss)/gain	(231,521)	136,750
Equity Securities		
Net mark to market loss	(6,805)	(13,605)
Dividend income	1,941	4,759
	399,243	24,787

10 NET GAIN ON DERECOGNITION OF FINANCIAL ASSETS

ACCOUNTING POLICY

Net gain/(loss) on derecognition of financial assets include realised gain/(loss) related to financial assets measured at fair value through profit or loss, debt instruments measured at FVOCI and financial instruments measured at amortised cost.

Bank & Group

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Recognised at:		
- fair value through profit or loss	114,418	243,977
- fair value through other comprehensive income	30,313	179,418
- amortised cost	5,682	419
	150,413	423,814

11 NET OTHER OPERATING INCOME

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Exchange income				
- Inter bank	(1,215,853)	889,973	(1,215,853)	889,973
- Others	5,428,990	2,005,125	5,428,990	2,005,125
Dividend income from financial assets at FVOCI	172,427	118,497	172,667	118,817
Dividend income from subsidiaries	157,699	201,926	-	-
Profit/(loss) on disposal of property, plant & equipment	2,007	(1,249)	3,459	31
Rental & other income	248,777	272,388	1,471,312	827,493
	4,794,047	3,486,660	5,860,575	3,841,439

11.1 Exchange income represents both revaluation gain/(loss) on the Bank's net open position and realised exchange gain/(loss) on foreign exchange contracts including the Bank's currency notes operation. Profit on forward exchange contracts amounting to Rs 636 Mn (2020: loss Rs 103 Mn) is reported under Note 9, 'Net gain/(loss) from trading' as required by the Sri Lanka Accounting Standard SLFRS 9 (Financial Instruments). Accordingly total exchange income of the Bank & the Group for the year ended 31st December 2021 amounted to Rs 4,849 Mn (2020: Rs 2,792 Mn).

12 IMPAIRMENT CHARGE/(REVERSAL)

ACCOUNTING POLICY

The accounting policies adopted in determining the impairment allowance for financial assets including loans and advances are given in Note 3.4.6 to the Financial Statements.

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Cash & cash equivalents (Note 20.2)				
Stage 1	61,817	22,625	61,822	22,629
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	61,817	22,625	61,822	22,629
Placements with banks (Note 22.2)				
Stage 1	(54)	(164)	(54)	(164)
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	(54)	(164)	(54)	(164)
Financial assets at amortised cost - loans & advances (Note 25.2)				
Stage 1	864,257	(158,801)	776,790	(130,139)
Stage 2	9,763,769	5,190,768	10,213,725	5,364,773
Stage 3	2,080,800	5,128,048	3,209,022	6,276,614
	12,708,826	10,160,015	14,199,537	11,511,248
Financial assets at amortised cost - debt & other instruments (Note 26.3)				
Stage 1	3,713,213	1,335,000	3,713,213	1,335,000
Stage 2	-	-	-	-
Stage 3	(7,529)	36,095	(7,529)	36,095
	3,705,684	1,371,095	3,705,684	1,371,095
Financial assets at fair value through other comprehensive income (Note 43.2)				
Stage 1	34,373	19,527	34,373	19,527
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	34,373	19,527	34,373	19,527
Credit related commitments & contingencies (Note 45.2)				
Stage 1	150,146	379,587	113,173	380,587
Stage 2	270,739	51,000	270,739	50,841
Stage 3	153,283	(162,009)	153,283	(162,009)
	574,168	268,578	537,195	269,419
Investment in subsidiaries (Note 28)	-	(58,975)	-	-
Others	-	-	20,643	7,172
	17,084,814	11,782,701	18,559,200	13,200,926

NOTES TO THE FINANCIAL STATEMENTS

12 IMPAIRMENT CHARGE/(REVERSAL) CONTD.

12.1 Impact of Covid-19 and the Measurement of Expected Credit Losses

The Bank evaluated the long term impact of COVID -19 on the economy when calculating the impairment provisions as at 31st December 2021. Accordingly, as mentioned in Note 3.4.6.1 (b), all individually significant unimpaired customers who were under moratorium for a prolonged period of time have been classified at least under stage 2 on a prudent basis. The exposures which are not individually significant have been moved to stage 2 based on the industry risk of the underlying borrowers. The Group has identified industries such as tourism, apparel, vehicle imports, construction (including condominiums), agriculture including agri-chemicals, transport and storing etc. as industries carrying an increased credit risk.

Further, as explained in Note 3.4.6.12 an additional provision has been recognised in the Financial Statements as at 31st December 2021 as an allowance for overlay on account of all customers eligible for the 4th phase of the CBSL moratorium, assuming some of these customers would subsequently move to stage 2 and stage 3 upon completion of the moratorium. This is over and above the impairment provisions derived from the Group’s impairment model, after classifying these loans into stages as per the Group's classification criteria for moratorium loans.

To reflect the pandemic related uncertainties in the calculation of expected credit losses, the Group also revisited the weightages assigned for multiple economic scenarios during the year. This has further explained in Note 3.4.6.7 while the impact of changing the probability weightages are disclosed in Note 51.2.1 (e).

The Group carefully evaluated its individually significant customers in the light of the pandemic and where necessary cash flows have been extended considering the possible delays in resurgence of the customers’ business model/security realisation process.

The Group increased the impairment provisions for other financial instruments, including government securities denominated in foreign currency, by adjusting the loss rate to reflect current market trends and other applicable macroeconomic factors.

13 PERSONNEL EXPENSES

ACCOUNTING POLICY

Short Term Employee Benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined Contribution Plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods, as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

The contribution payable by the employer to a defined contribution plan is in proportion to the services rendered to the Group by the employees and is recorded as an expense under ‘Personnel expenses’ as and when they become due. Unpaid contributions are recorded as a liability under ‘Other liabilities’ in Note 40.

The Group contributes 3% of the salary of each employee to the Employees’ Trust Fund. Further, the subsidiary companies contribute 12% on the salary of each employee to the Employees’ Provident Fund. The above expenses are identified as contributions to “Defined Contribution Plans” as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

Defined Benefit Plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. Accordingly, the pension fund, staff gratuity and the Employees’ Provident Fund of the Bank were considered as defined benefit plans as per Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

Pension Fund

The Bank has a pension fund for all members who joined the Bank for permanent employment before 1st June 2003. A member is eligible for a monthly pension after attainment of the retirement age and completion of 10 years uninterrupted service. The Bank measures the present value of the pension obligation, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit (PUC) method as required by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits). An actuarial valuation is carried out at every year end to ascertain the full liability under the Fund.

The Bank's obligation in respect of defined benefit pension plan is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods and discounting that benefit to determine its present value, then deducting the fair value of any plan assets to determine the net amount to be shown in the Statement of Financial Position. The value of any defined benefit asset is restricted to the present value of any economic benefits available in the form of refunds from the plan or reductions in the future contributions to the plan. In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements that apply to any plan in the Bank. An economic benefit is available to the Bank if it is realisable during the life of the plan, or on settlement of the plan liabilities.

The Bank determines the net interest expense/(income) on the net defined benefit liability/(asset) by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit liability/(asset) at the beginning of the annual period. The discount rate is the yield at the reporting date on government bonds (15 years) that have maturity dates approximating to the terms of the Bank's obligations.

The increase in the pension fund liabilities attributable to the services provided by employees, who are members of the Fund, during the year ended 31st December 2021 (current service cost) has been recognised in the Statement of Profit or Loss under 'Personnel expenses' together with the net interest income/expense. The Bank recognises the total actuarial gain/loss that arise in calculating the Bank's obligation in respect of a plan in other comprehensive income during the period in which it occurs. The Government increased the retirement age of the private sector employees via the "Minimum Retirement Age of Workers Act No. 28 of 2021" effective from 17th November 2021. The change in retirement age has been considered as a plan amendment as it affects the pension benefit payable to the employees by the fund.

The demographic assumptions underlying the valuation are early withdrawals from service and retirement on medical grounds, death before and after retirement etc.

The assets of the fund are held separately from those of the Bank's assets and are administered independently. The subsidiaries do not operate pension funds.

Gratuity

In compliance with the Gratuity Act No. 12 of 1983, provision is made in the accounts from the first year of service, for gratuity payable to employees who joined the Bank on or after 1st June 2003, as they are not in pensionable service of the Bank. Provision is not made in the accounts for gratuity payable to employees who joined prior to 1st June 2003 and completed five or more years of continuous service, as the Bank has its own non-contributory pension scheme in force. However, if employees who are eligible for pension resign before retirement age, the Bank is liable to pay gratuity to such employees.

An actuarial valuation is carried out at every year end to ascertain the full liability under gratuity.

The gratuity liability is not externally funded. All subsidiary companies too carry out actuarial valuations to ascertain their respective gratuity liabilities.

The Group determines the interest expense on this defined benefit liability by applying the discount rate used to measure the defined benefit liability at the beginning of the annual period to the defined benefit liability at the beginning of the annual period. The discount rate is the yield at the reporting date on government bonds (10 years) that have maturity dates approximating to the terms of the Group's obligations.

The increase in gratuity liabilities attributable to the services provided by employees during the year ended 31st December 2021 (current service cost) has been recognised in the Statement of Profit or Loss under 'Personnel expenses' together with the net interest expense. The Group recognises the total actuarial gain/loss that arise in calculating the Group's obligation in respect of gratuity in other comprehensive income during the period in which it occurs.

The demographic assumptions underlying the valuation are retirement age (60 years), early withdrawals from service and retirement on medical grounds etc.

NOTES TO THE FINANCIAL STATEMENTS

13 PERSONNEL EXPENSES CONTD.

Employees' Provident Fund - Bank

Employees' Provident Fund is an approved private provident fund which has been set up to meet the provident fund liabilities of the Bank to which the Bank and employees contribute 12% and 8% respectively on the salary of each employee. Employees who are members of the fund, entitle to receive interest at a guaranteed rate of National Savings Bank one-year fixed deposit rate (net of income tax) on their balance even if the fund earns a lower return from its investment in a given financial year. Accordingly, this obligation was treated as a defined benefit liability and an actuarial valuation was conducted to value the Bank's obligation on the same.

Unutilised Accumulated Leave

The Bank's liability towards the accumulated leave which is expected to be utilised beyond one year from the end of the reporting period is treated as other long-term employee benefits. The Bank's net obligation towards unutilised accumulated leave is calculated by discounting the amount of future benefit that employees have earned in return for their service in the current and prior periods to determine the present value of such benefits. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Bank's obligation. The calculation is performed using the Projected Unit Credit method. Net change in liability for unutilised accumulated leave including any actuarial gain/(loss) is recognised in the Statement of Profit or Loss under 'Personnel expenses' in the period in which they arise.

The Group's net obligation to pension fund, gratuity, EPF interest guarantee and unutilised accumulated annual leave is disclosed under Note 38 to the Financial Statements.

Share Based Payment Transactions

The Group does not have any share-based payment transactions in force as at 31st December 2021.

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Salaries & bonus	8,874,188	7,970,662	10,017,551	8,777,917
Contributions to EPF & ETF	859,815	776,074	949,501	855,372
Provision on gratuity (Note 38.1.2)	251,756	257,647	284,441	286,252
(Reversal)/charge on pension fund (Note 38.4.2)	(1,143,120)	569,615	(1,143,120)	569,615
Others	700,357	659,010	807,905	738,193
	9,542,996	10,233,008	10,916,278	11,227,349

13.1 The Bank has recognised a gain of Rs 1,959 Mn (Note 38.4.2) on account of pension fund during the year due to change in the retirement age from 55 to 60 years, in line with the "Minimum Retirement Age of Workers Act No. 28 of 2021".

As per Sri Lanka Accounting Standard-LKAS 19 (Employee Benefits), changes in the defined benefit obligation due to plan amendments shall be recognised in the Statement of Profit or Loss while the changes due to actuarial assumptions shall be recognised in the Statement of Other Comprehensive Income.

With the increase in the retirement age, the pension payment period is shortened by 5 years and has resulted in a reduction of the benefits payable by the pension fund. Accordingly, change in pension liability due to extension of retirement age has been considered as a plan amendment and the resultant gain has been recognised in the Statement of Profit or Loss.

14 DEPRECIATION AND AMORTISATION EXPENSES

ACCOUNTING POLICY

Depreciation of Property, Plant and Equipment

The Group provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates, on a straight-line basis, over the periods appropriate to the estimated useful lives, based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group.

Improvements to leasehold properties are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Freehold lands are not depreciated.

Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognised. Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

Asset Category	Depreciation Rate per Annum (%) 2021	2020
Freehold buildings	2.50	2.50
Improvements to leasehold properties	20.00	20.00
Computer equipment - Freehold	15.00 - 25.00	15.00 - 25.00
Motor vehicles	12.50 - 20.00	12.50 - 20.00
Office equipment	*5.00 - 20.00	10.00 - 25.00
Fixtures & fittings	**4.00 - 20.00	12.50 - 20.00

* Transformers, generators and mechanical ventilation & air conditioning system of Sampath Centre Limited are depreciated at 5% per annum.

** Fire protection system, elevators, escalators and puzzle parking system of Sampath Centre Limited are depreciated at 4%, 5%, 5% and 6.67% per annum respectively.

Amortisation of Intangible Assets

Intangible assets, except for goodwill, are amortised on a straight-line basis in the Statement of Profit or Loss from the date when the asset is available for use, over the best estimate of its useful economic life, based on a pattern in which the asset's economic benefits are consumed by the Group. The Group assumes that there is no residual value for its intangible assets.

Asset Category	Amortisation Rate per Annum (%) 2021	2020
Computer software	25.00	25.00
Licenses	5.00 - 33.33	5.00 - 33.33

Amortisation of Right-of-Use Assets

The right of use assets are depreciated using a straight-line method from the commencement date to the earlier of the end of the useful life of the right of use assets or the end of the lease term. The estimated useful lives of right of use assets are determined on the same basis as those of property plant and equipment and are in the range of 1 to 14 years.

Changes in Estimates

Depreciation/amortisation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate. During the year ended 31st December 2021, the Group conducted an operational efficiency review and estimates were revised accordingly.

NOTES TO THE FINANCIAL STATEMENTS

14 DEPRECIATION AND AMORTISATION EXPENSES CONTD.

For the year ended 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Depreciation of property, plant & equipment (Note 29)	767,104	812,854	1,190,237	1,245,729
Amortisation of intangible assets (Note 30)	390,304	440,811	415,758	465,582
Amortisation of right-of-use assets (Note 31)	1,296,963	1,200,440	885,345	807,142
	2,454,371	2,454,105	2,491,340	2,518,453

15 OTHER OPERATING EXPENSES

For the year ended 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Directors' fees & expenses	82,868	85,774	139,638	137,321
Auditors' remuneration (Note 15.1)	22,911	27,460	31,065	36,092
Professional & legal expenses	102,443	111,679	133,197	145,534
Deposit insurance premium	914,403	755,730	938,858	777,845
Donations	802	9,702	802	9,702
Operating lease expenses	108,044	89,792	136,086	101,447
Office administration expenses	2,637,892	2,424,932	2,670,724	2,465,208
Establishment expenses	1,392,027	1,278,293	1,552,608	1,389,752
Other overhead expenses (Note 15.2)	3,409,307	2,624,984	3,708,761	2,773,010
	8,670,697	7,408,346	9,311,739	7,835,911

15.1 Auditors' Remuneration

For the year ended 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Audit fees	12,595	11,660	15,682	14,513
Audit related fees & expenses	3,378	3,152	4,804	4,825
Non - audit expenses	6,938	12,648	10,579	16,754
	22,911	27,460	31,065	36,092

15.2 Other overhead expenses include advertising and business promotion expenses, credit card related expenses and other miscellaneous expenses incurred on day to day operations of the Bank/Group.

16 INCOME TAX EXPENSE

ACCOUNTING POLICY

As per Sri Lanka Accounting Standard - LKAS 12 (Income Taxes), tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Statement of Profit or Loss, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income. The Group applied IFRIC Interpretation 23 "Uncertainty over Income Tax Treatment" in the determination of taxable profit, tax bases, unused tax losses, unused tax credits and tax rates, when there is uncertainty over the income tax treatment. However, the application of IFRIC 23 did not have any significant impact on the Financial Statements of the Group to provide additional disclosures in the Financial Statements.

Current Taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantively enacted on the reporting date and any adjustment to tax payable in respect of prior years. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto at the rates specified in Note 16.1.1 and 16.1.2 to the Financial Statements.

Deferred Taxation

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes for all Group entities. Deferred tax liabilities are recognised for all taxable temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credits and unused tax losses (if any), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, carried forward unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary differences arising from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of deductible temporary differences associated with investments in subsidiaries, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is probable that sufficient taxable profit will be available to allow the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current and deferred tax assets and liabilities are offset only to the extent that they relate to income taxes imposed by the same taxation authority, there is a legal right and intentions to settle on a net basis and it is allowed under the tax law of the relevant jurisdiction. Details of current tax liabilities/(receivables) and deferred tax liabilities/(assets) are given in Note 39 and Note 32 to the Financial Statements respectively.

NOTES TO THE FINANCIAL STATEMENTS

16 INCOME TAX EXPENSE CONTD.

For the year ended 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Current tax expense				
Current tax based on profit for the year (Note 39.1)	7,224,162	4,137,004	8,270,591	4,485,988
Over provision in respect of previous years				
Due to rate reduction (Note 16.1.3)	(817,459)	-	(882,241)	-
Other (reversal)/charge including settlements	-	(490,640)	19,076	(601,050)
Total current tax expense	6,406,703	3,646,364	7,407,426	3,884,938
Deferred tax expense/(reversal)				
Due to rate reduction (Note 16.1.3)	724,646	-	678,048	-
Due to change in temporary differences	(2,754,902)	(499,624)	(3,116,829)	(437,875)
Total deferred tax reversal (Note 32.1)	(2,030,256)	(499,624)	(2,438,781)	(437,875)
Total income tax expense	4,376,447	3,146,740	4,968,645	3,447,063
Effective tax rate	25.9%	28.2%	26.4%	29.0%

16.1 Reconciliation of the Accounting Profit to Current Tax Expense

For the year ended 31st December	Bank 2021 %	Bank 2021 Rs 000	Bank 2020 %	Bank 2020 Rs 000	Group 2021 %	Group 2021 Rs 000	Group 2020 %	Group 2020 Rs 000
Profit before tax		16,833,944		11,171,887		18,825,106		11,889,579
Tax effect on accounting profit before tax	24.0	4,040,147	28.0	3,128,128	24.0	4,518,025	28.0	3,329,082
Tax effect on turnover liable for income tax	-	-	-	-	-	-	-	6,330
Tax effect on								
Disallowable expenses	26.1	4,389,686	18.9	2,111,638	27.7	5,204,107	26.2	3,112,064
Tax deductible expenses	(2.3)	(388,133)	(5.0)	(555,118)	(3.3)	(622,807)	(11.6)	(1,384,305)
Exempt income	(4.9)	(817,538)	(4.9)	(547,644)	(4.3)	(817,538)	(4.6)	(547,644)
Income from other sources	-	-	-	-	-	3,224	-	654
Elimination of profit liable for turnover based tax	-	-	-	-	-	-	-	1,038
Tax losses	-	-	-	-	(0.1)	(14,420)	(0.3)	(31,231)
Current tax based on profit for the year (Note 39.1)	42.9	7,224,162	37.0	4,137,004	44.0	8,270,591	37.7	4,485,988
Over provision in respect of previous years (Note 39.1)								
Due to rate reduction (Note 16.1.3)	(4.9)	(817,459)	-	-	(4.7)	(882,241)	-	-
Other (reversal)/charge including settlements	-	-	(4.4)	(490,640)	0.1	19,076	(5.0)	(601,050)
Deferred tax expense/(reversal)								
Due to rate reduction (Note 16.1.3)	4.3	724,646	-	-	3.6	678,048	-	-
Due to change in temporary differences	(16.4)	(2,754,902)	(4.4)	(499,624)	(16.6)	(3,116,829)	(3.7)	(437,875)
Total income tax expense	25.9	4,376,447	28.2	3,146,740	26.4	4,968,645	29.0	3,447,063

16.1.1 Applicable Income Tax Rates

Company	2021	2020
Sampath Bank PLC	24%	28%
S C Securities (Pvt) Ltd	24%	28%
Siyapatha Finance PLC	24%	28%
Sampath Information Technology Solutions Ltd	24%	28%

16.1.2 Income Tax on Sampath Centre Ltd

Sampath Centre Ltd is a company approved under BOI Law and was liable for income tax at the rate of 2% on its rental income up to the year of assessment 2020/2021. During that period, income generated from other sources was taxed at the normal corporate tax rate. However, with effect from 1st January 2021, the company became liable for income tax at normal tax rate (24%) on its taxable profit .

16.1.3 Change of the Income Tax Rate from 28% to 24% and Other Amendments

The Group applied the revised rate of 24% and other amendments in line with the Inland Revenue Amendment Act No. 10 of 2021 to calculate the income tax and deferred tax assets/liabilities as at 31st December 2021. Although these amendments were effective from 1st January 2020, both income tax and deferred tax assets/liabilities for the comparative period have been calculated at the rate of 28% and other amendments were not considered on the basis that they were not legally enacted in 2020.

16.1.4 Surcharge Tax

The Government of Sri Lanka in its Budget proposals 2022 has proposed a one-time tax, to be called as 'Surcharge Tax' at the rate of 25% to be imposed on companies earned a taxable income in excess of Rs 2,000 Mn for the Year of Assessment 2020/2021. If the aggregate taxable income of a group of companies exceeds Rs 2,000 Mn, each company of the group of companies will be liable for surcharge tax. The proposed tax shall be deemed to be an expenditure in the Financial Statements of 2020.

The Bill introducing the proposed tax was published on 7th February 2022. Accordingly, the proposed tax has not been substantively enacted by the end of the reporting period. Therefore, the Financial Statements have not been adjusted to reflect the consequences of this proposal.

17 EARNINGS PER SHARE

ACCOUNTING POLICY

The Group presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary equity shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any.

17.1 Earnings per Share: Basic/Diluted

	Bank		Group	
	2021	2020	2021	2020
Amount used as the numerator				
Profit after tax for the year attributable to equity holders (Rs)	12,457,497,152	8,025,147,152	13,856,460,848	8,442,516,452
No. of ordinary shares used as the denominator				
Weighted average number of ordinary shares (Note 17.1.1)	1,144,373,955	1,144,373,955	1,144,373,955	1,144,373,955
Basic/diluted earnings per ordinary share (Rs)	10.89	7.01	12.11	7.38

NOTES TO THE FINANCIAL STATEMENTS

17 EARNINGS PER SHARE CONTD.

17.1.1 Weighted Average Number of Ordinary Shares for Basic/Diluted EPS

Bank & Group

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2021	2020	2021	2020
Number of shares in issue as at 1st January	381,457,985	381,457,985	381,457,985	381,457,985
Add:				
Increase in number of shares due to sub-division of shares	762,915,970	-	762,915,970	762,915,970
Number of shares in issue/weighted average number of shares as at 31st December	1,144,373,955	381,457,985	1,144,373,955	1,144,373,955

18 DIVIDEND PAID AND PROPOSED

ACCOUNTING POLICY

Provision for final dividend and interim dividend (scrip) are recognised at the time the dividend is recommended and declared by the Board of Directors, and approved by the shareholders. However, interim cash dividend is recognised when the Board approves such dividend in accordance with Companies Act No. 7 of 2007.

	2021 Rs 000	2020 Rs 000
Final dividend paid for the years 2020 & 2019 respectively		
Out of dividend received	11,628	13,574
Out of normal profit	3,135,400	4,468,557
Cash dividend paid	3,147,028	4,482,131
Dividend per Ordinary Share (Rs)	2.75	3.92
Final dividend proposed for the years 2021 (Note 18.1) & 2020 respectively		
Out of dividend received	149,535	11,628
Out of normal profit	4,714,054	3,135,400
Cash dividend payable	4,863,589	3,147,028
Dividend per Ordinary Share (Rs)	4.25	2.75

Dividend per Ordinary Share for the comparative periods have been calculated based on the increased number of shares after the sub-division of shares took place in March 2021.

18.1 The Board of Directors of the Bank has recommended the payment of a final cash dividend of Rs 4.25 per share for the year ended 31st December 2021, a distribution of approximately Rs 4,864 Mn.

18.2 In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), above proposed final dividend has not been recognised as a liability as at the year end. Necessary disclosures have been made under Note 49 to the Financial Statements, "Events after reporting period" as required by the said standard.

19 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The Accounting Policies describe how each category of financial instruments is measured and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments) under headings of the Statement of Financial Position.

19.1 Analysis of Financial Instruments by Measurement Basis - Bank

	Note	As at 31st December 2021			
		Fair Value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Financial Assets					
Cash & cash equivalents	20	-	22,882,999	-	22,882,999
Balances with Central Bank of Sri Lanka	21	-	30,874,556	-	30,874,556
Placements with banks	22	-	2,739,514	-	2,739,514
Reverse repurchase agreements		-	2,752,011	-	2,752,011
Derivative financial instruments	23	1,399,119	-	-	1,399,119
Financial assets recognised through profit or loss - measured at fair value	24	3,907,704	-	-	3,907,704
Financial assets at amortised cost					
- loans & advances	25	-	762,588,294	-	762,588,294
- debt & other instruments	26	-	293,766,967	-	293,766,967
Financial assets - fair value through other comprehensive income	27	-	-	43,004,145	43,004,145
Other assets		-	10,645,606	-	10,645,606
Total Financial Assets		5,306,823	1,126,249,947	43,004,145	1,174,560,915
Financial Liabilities					
Due to banks	34	-	23,653,247		23,653,247
Derivative financial instruments	23	607,923	-		607,923
Securities sold under repurchase agreements		-	4,157,662		4,157,662
Financial liabilities at amortised cost					
- due to depositors	35	-	977,945,952		977,945,952
- due to other borrowers	36	-	14,434,115		14,434,115
- due to debt securities holders	37	-	31,006,592		31,006,592
Dividend payable		-	148,032		148,032
Other liabilities		-	14,807,819		14,807,819
Total Financial Liabilities		607,923	1,066,153,419		1,066,761,342

NOTES TO THE FINANCIAL STATEMENTS

19 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS CONTD.

19.2 Analysis of Financial Instruments by Measurement Basis - Bank

	Note	As at 31st December 2020 Fair Value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Financial Assets					
Cash & cash equivalents	20	-	29,053,585	-	29,053,585
Balances with Central Bank of Sri Lanka	21	-	13,335,178	-	13,335,178
Placements with banks	22	-	3,228,166	-	3,228,166
Reverse repurchase agreements		-	4,450,557	-	4,450,557
Derivative financial instruments	23	2,186,515	-	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	24	9,313,628	-	-	9,313,628
Financial assets at amortised cost					
- loans & advances	25	-	720,215,247	-	720,215,247
- debt & other instruments	26	-	275,091,572	-	275,091,572
Financial assets - fair value through other comprehensive income	27	-	-	24,237,803	24,237,803
Other assets		-	4,772,493	-	4,772,493
Total Financial Assets		11,500,143	1,050,146,798	24,237,803	1,085,884,744
Financial Liabilities					
Due to banks	34	-	35,085,204		35,085,204
Derivative financial instruments	23	2,030,947	-		2,030,947
Securities sold under repurchase agreements		-	3,399,896		3,399,896
Financial liabilities at amortised cost					
- due to depositors	35	-	885,724,901		885,724,901
- due to other borrowers	36	-	15,489,793		15,489,793
- due to debt securities holders	37	-	30,790,007		30,790,007
Dividend payable		-	121,270		121,270
Other liabilities		-	14,457,170		14,457,170
Total Financial Liabilities		2,030,947	985,068,241		987,099,188

19.3 Analysis of Financial Instruments by Measurement Basis - Group

	Note	As at 31st December 2021			
		Fair Value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Financial Assets					
Cash & cash equivalents	20	-	23,027,588	-	23,027,588
Balances with Central Bank of Sri Lanka	21	-	30,874,556	-	30,874,556
Placements with banks	22	-	2,739,514	-	2,739,514
Reverse repurchase agreements		-	4,861,922	-	4,861,922
Derivative financial instruments	23	1,399,119	-	-	1,399,119
Financial assets recognised through profit or loss - measured at fair value	24	3,907,704	-	-	3,907,704
Financial assets at amortised cost					
- loans & advances	25	-	795,804,353	-	795,804,353
- debt & other instruments	26	-	294,667,208	-	294,667,208
Financial assets - fair value through other comprehensive income	27	-	-	43,004,201	43,004,201
Other assets		-	11,587,129	-	11,587,129
Total Financial Assets		5,306,823	1,163,562,270	43,004,201	1,211,873,294
Financial Liabilities					
Due to banks	34	-	31,532,293		31,532,293
Derivative financial instruments	23	607,923	-		607,923
Securities sold under repurchase agreements		-	4,157,662		4,157,662
Financial liabilities at amortised cost					
- due to depositors	35	-	994,317,574		994,317,574
- due to other borrowers	36	-	14,434,115		14,434,115
- due to debt securities holders	37	-	37,274,207		37,274,207
Dividend payable		-	148,032		148,032
Other liabilities		-	15,628,436		15,628,436
Total Financial Liabilities		607,923	1,097,492,319		1,098,100,242

NOTES TO THE FINANCIAL STATEMENTS

19 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS CONTD.

19.4 Analysis of Financial Instruments by Measurement Basis - Group

	Note	As at 31st December 2020			
		Fair Value through Profit or Loss Rs 000	Amortised Cost Rs 000	Fair Value through Other Comprehensive Income Rs 000	Total Rs 000
Financial Assets					
Cash & cash equivalents	20	-	29,218,921	-	29,218,921
Balances with Central Bank of Sri Lanka	21	-	13,335,178	-	13,335,178
Placements with banks	22	-	3,228,166	-	3,228,166
Reverse repurchase agreements		-	6,231,719	-	6,231,719
Derivative financial instruments	23	2,186,515	-	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	24	9,313,628	-	-	9,313,628
Financial assets at amortised cost					
- loans & advances	25	-	752,437,782	-	752,437,782
- debt & other instruments	26	-	275,125,717	-	275,125,717
Financial assets - fair value through other comprehensive income	27	-	-	24,237,859	24,237,859
Other assets		-	5,383,794	-	5,383,794
Total Financial Assets		11,500,143	1,084,961,277	24,237,859	1,120,699,279
Financial Liabilities					
Due to banks	34	-	42,905,046		42,905,046
Derivative financial instruments	23	2,030,947	-		2,030,947
Securities sold under repurchase agreements		-	2,306,896		2,306,896
Financial liabilities at amortised cost					
- due to depositors	35	-	902,498,739		902,498,739
- due to other borrowers	36	-	15,489,793		15,489,793
- due to debt securities holders	37	-	37,078,483		37,078,483
Dividend payable		-	121,270		121,270
Other liabilities		-	14,678,824		14,678,824
Total Financial Liabilities		2,030,947	1,015,079,051		1,017,109,998

20 CASH AND CASH EQUIVALENTS

ACCOUNTING POLICY

Cash and cash equivalents comprise cash in hand, balances with banks, money at call and short notice that are subject to an insignificant risk of changes in their value. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position and used by the Group in the management of its short-term commitments. All cash and cash equivalent balances held by the Group entities were available for use by the Group.

For the purpose of the Statement of Cash Flows, cash and cash equivalents consist of cash and short term deposits as defined above, placements with banks (less than 3 months) (Note 22), net of unfavourable balances with local & foreign banks (Note 34.2).

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Local currency in hand	19,308,886	17,787,093	19,443,575	17,906,374
Foreign currency in hand	692,285	208,750	692,285	208,750
Balances with local banks	341,803	262,333	351,723	308,403
Balances with foreign banks	2,137,788	8,048,369	2,137,788	8,048,369
Money at call & short notice	500,418	2,783,404	500,418	2,783,404
Gross cash & cash equivalents	22,981,180	29,089,949	23,125,789	29,255,300
Impairment for expected credit losses (Note 20.2)	(98,181)	(36,364)	(98,201)	(36,379)
Net cash & cash equivalents	22,882,999	29,053,585	23,027,588	29,218,921

20.1 Analysis of Cash and Cash Equivalents based on Exposure to Credit Risk

Bank

As at 31st December	2021				2020
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Balances with local banks	341,803	-	-	341,803	262,333
Balances with foreign banks	2,137,788	-	-	2,137,788	8,048,369
Money at call & short notice	500,418	-	-	500,418	2,783,404
	2,980,009	-	-	2,980,009	11,094,106
Impairment for expected credit losses	(98,181)	-	-	(98,181)	(36,364)
	2,881,828	-	-	2,881,828	11,057,742

Group

As at 31st December	2021				2020
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Balances with local banks	351,723	-	-	351,723	308,403
Balances with foreign banks	2,137,788	-	-	2,137,788	8,048,369
Money at call & short notice	500,418	-	-	500,418	2,783,404
	2,989,929	-	-	2,989,929	11,140,176
Impairment for expected credit losses	(98,201)	-	-	(98,201)	(36,379)
	2,891,728	-	-	2,891,728	11,103,797

NOTES TO THE FINANCIAL STATEMENTS

20 CASH AND CASH EQUIVALENTS CONTD.

20.2 Impairment for Expected Credit Losses - Cash and Cash Equivalents

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Stage 1				
Balance as at 1st January	36,364	13,739	36,379	13,750
Net charge for the year (Note 12)	61,817	22,625	61,822	22,629
Amounts written off during the year	-	-	-	-
Other adjustments	-	-	-	-
Balance as at 31st December	98,181	36,364	98,201	36,379
Total				
Balance as at 1st January	36,364	13,739	36,379	13,750
Net charge for the year (Note 12)	61,817	22,625	61,822	22,629
Amounts written off during the year	-	-	-	-
Other adjustments	-	-	-	-
Balance as at 31st December	98,181	36,364	98,201	36,379

21 BALANCES WITH CENTRAL BANK OF SRI LANKA

ACCOUNTING POLICY

As required by the provisions of Section 93 of the Monetary Law Act, a cash balance is maintained with the Central Bank of Sri Lanka. As at 31st December 2021, the minimum cash reserve requirement was 4% (2020: 2%) of the rupee deposit liabilities. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit (DBU) and the deposit liabilities of the Foreign Currency Banking Unit (FCBU).

Balances with Central Bank of Sri Lanka are carried at amortised cost in the Statement of Financial Position.

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Statutory reserve requirement	30,874,556	13,335,178
	30,874,556	13,335,178

22 PLACEMENTS WITH BANKS

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Maturity less than three months		
Placements - in Sri Lanka	-	-
Placements - out side Sri Lanka	2,739,907	3,228,613
Gross placements with banks	2,739,907	3,228,613
Impairment for expected credit losses (Note 22.2)	(393)	(447)
Net placements with banks	2,739,514	3,228,166

22.1 Analysis of Placements with Banks based on Exposure to Credit Risk

Bank & Group

As at 31st December	2021				2020
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Placements - out side Sri Lanka	2,739,907	-	-	2,739,907	3,228,613
	2,739,907	-	-	2,739,907	3,228,613
Impairment for expected credit losses	(393)	-	-	(393)	(447)
	2,739,514	-	-	2,739,514	3,228,166

22.2 Impairment for Expected Credit Losses - Placements with Banks

Bank & Group

	2021 Rs 000	2020 Rs 000
Stage 1		
Balance as at 1st January	447	611
Net reversal for the year (Note 12)	(54)	(164)
Amounts written off during the year	-	-
Other adjustments	-	-
Balance as at 31st December	393	447
Total		
Balance as at 1st January	447	611
Net reversal for the year (Note 12)	(54)	(164)
Amounts written off during the year	-	-
Other adjustments	-	-
Balance as at 31st December	393	447

23 DERIVATIVE FINANCIAL INSTRUMENTS

ACCOUNTING POLICY

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rates etc. Derivatives are categorised as trading unless they are designated as hedging instruments. The accounting policies pertaining to "Derivative Financial Instruments" are given in Note 3.4.3.2 to the Financial Statements.

The table below shows the fair values of derivative financial instruments of the Bank/Group, recorded as assets or liabilities, together with their notional amounts. The notional amounts indicate the volume of transactions outstanding at the year end and are indicative of neither the market risk nor the credit risk.

Bank & Group

As at 31st December	2021			2020		
	Assets Rs 000	Liabilities Rs 000	Notional Amount Rs 000	Assets Rs 000	Liabilities Rs 000	Notional Amount Rs 000
Forward exchange contracts						
Sales	451,069	83	7,365,785	1,821,263	13,971	62,881,292
Purchases	91	3,478	793,084	10,785	38,785	4,912,359
Currency SWAPS						
Sales	860,295	17,296	18,779,942	214,256	57,962	35,520,725
Purchases	87,664	587,066	22,561,922	140,211	1,920,229	55,098,550
	1,399,119	607,923	49,500,733	2,186,515	2,030,947	158,412,926

NOTES TO THE FINANCIAL STATEMENTS

24 FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE

ACCOUNTING POLICY

The accounting policies pertaining to "Financial Assets Recognised through Profit or Loss - Measured at Fair Value" are given in Note 3.4.3.3 to the Financial Statements.

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Government Securities		
Treasury bills (Note 24.1)	2,248,848	5,216,543
Treasury bonds (Note 24.2)	1,609,730	4,035,014
Equity Securities		
Quoted equity securities (Note 24.3)	49,126	62,071
	3,907,704	9,313,628

24.1 Treasury Bills

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Amortised cost	2,251,305	5,214,932
Gain from mark to market valuation as at 1st January	1,611	7,529
Movement during the year	(4,068)	(5,918)
(Loss)/gain from mark to market valuation as at 31st December	(2,457)	1,611
Market value	2,248,848	5,216,543

24.2 Treasury Bonds

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Amortised cost	1,649,590	3,847,421
Gain from mark to market valuation as at 1st January	187,593	44,925
Movement during the year	(227,453)	142,668
(Loss)/gain from mark to market valuation as at 31st December	(39,860)	187,593
Market value	1,609,730	4,035,014

24.3 Quoted Equity Securities

Bank & Group

As at 31st December	2021			2020		
	No. of Ordinary Shares	Cost of Investment Rs 000	Market Value Rs 000	No. of Ordinary Shares	Cost of Investment Rs 000	Market Value Rs 000
Name of the company						
Banks, Finance & Insurance						
National Development Bank PLC	713,002	121,509	49,126	713,002	121,509	55,685
		121,509	49,126		121,509	55,685
Diversified Holdings						
Vallibel One PLC	-	-	-	245,600	6,140	6,386
		-	-		6,140	6,386
Total		121,509	49,126		127,649	62,071
Loss from mark to market valuation as at 1st January		(65,578)			(51,973)	
Movement during the year		(6,805)			(13,605)	
Loss from mark to market valuation as at 31st December		(72,383)			(65,578)	
Market value		49,126			62,071	

24.4 Analysis of Financial Assets Recognised through Profit or Loss - Measured at Fair Value

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
By collateralisation		
Pledged as collateral	-	-
Unencumbered	3,907,704	9,313,628
Gross total	3,907,704	9,313,628
By currency		
Sri Lankan Rupee	3,907,704	9,313,628
Other currency	-	-
Gross total	3,907,704	9,313,628

NOTES TO THE FINANCIAL STATEMENTS

25 LOANS AND ADVANCES

ACCOUNTING POLICY

The key accounting policies pertaining to financial instruments including "Loans and Advances" are given in Notes 3.4 to the Financial Statements.

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Gross loans & advances (Note 25.1)				
Stage 1	503,956,693	533,294,217	514,189,505	544,454,372
Stage 2	253,038,870	165,663,708	269,250,382	178,402,956
Stage 3	56,110,864	59,984,365	67,129,766	71,222,291
	813,106,427	758,942,290	850,569,653	794,079,619
Impairment for expected credit losses (Note 25.2)				
Stage 1	(4,543,545)	(3,679,288)	(4,577,037)	(3,800,247)
Stage 2	(20,471,275)	(10,707,506)	(21,221,066)	(11,007,341)
Stage 3	(25,503,313)	(24,340,249)	(28,967,197)	(26,834,249)
	(50,518,133)	(38,727,043)	(54,765,300)	(41,641,837)
Net loans & advances	762,588,294	720,215,247	795,804,353	752,437,782

25.1 Analysis of Loans & Advances

25.1.1 By Product

As at 31st December	Bank 2021 Rs 000	Bank Mix %	Bank 2020 Rs 000	Bank Mix %	Bank Growth %	Group 2021 Rs 000	Group Mix %	Group 2020 Rs 000	Group Mix %	Group Growth %
Bills of exchange	2,983,458	0.37	2,749,078	0.36	8.53	2,983,458	0.35	2,749,078	0.35	8.53
Leasing (Note 25.3)	34,074,028	4.19	35,467,037	4.67	(3.93)	65,814,123	7.74	66,155,491	8.33	(0.52)
Housing loans	52,274,587	6.43	46,871,439	6.17	11.53	52,274,587	6.14	46,871,439	5.91	11.53
Export loans	27,111,512	3.33	28,260,577	3.73	(4.07)	27,111,512	3.19	28,260,577	3.55	(4.07)
Import loans	55,534,539	6.83	53,175,396	7.01	4.44	55,534,539	6.53	53,175,396	6.70	4.44
Refinance loans	15,688,382	1.93	22,065,236	2.91	(28.90)	15,688,382	1.84	22,065,236	2.78	(28.90)
Term loans	430,565,945	52.94	383,385,456	50.52	12.31	429,524,951	50.50	382,044,827	48.10	12.43
Overdraft	89,152,981	10.97	87,324,339	11.50	2.09	89,121,223	10.48	87,086,765	10.96	2.34
Staff loans	10,717,624	1.32	9,272,970	1.22	15.58	10,886,326	1.28	9,416,997	1.19	15.60
Pawning & gold loans	44,033,535	5.42	36,524,159	4.81	20.56	49,840,602	5.86	41,304,635	5.20	20.67
Credit cards	18,850,357	2.32	15,799,837	2.08	19.31	18,850,357	2.22	15,799,837	1.99	19.31
Money market loans	29,930,693	3.68	35,733,782	4.71	(16.24)	29,930,693	3.52	35,733,782	4.50	(16.24)
Factoring	2,168,352	0.27	2,242,061	0.30	(3.29)	2,676,105	0.31	2,847,402	0.36	(6.02)
Others	20,434	-	70,923	0.01	(71.19)	332,795	0.04	568,157	0.08	(41.43)
Gross loans & advances	813,106,427	100.00	758,942,290	100.00	7.14	850,569,653	100.00	794,079,619	100.00	7.11

25.1.2 By Currency

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Sri Lankan Rupee	717,192,054	662,138,698	754,655,280	697,276,027
United States Dollar	89,459,595	87,550,225	89,459,595	87,550,225
Euro	5,139,388	7,640,801	5,139,388	7,640,801
Great Britain Pounds	1,220,102	1,511,990	1,220,102	1,511,990
Australian Dollar	90,781	93,768	90,781	93,768
Japanese Yen	2,374	3,922	2,374	3,922
New Zealand Dollar	2,133	2,886	2,133	2,886
Gross loans & advances	813,106,427	758,942,290	850,569,653	794,079,619

25.1.3 By Product and Currency

As at 31st December	Bank 2021 Rs 000	Bank 2021 %	Bank 2020 Rs 000	Bank 2020 %	Group 2021 Rs 000	Group 2021 %	Group 2020 Rs 000	Group 2020 %
Local Currency								
Bills of exchange	144,078	0.02	368,850	0.05	144,078	0.02	368,850	0.05
Leasing	34,074,028	4.19	35,467,037	4.67	65,814,123	7.74	66,155,491	8.33
Housing loans	51,568,427	6.34	45,860,707	6.04	51,568,427	6.06	45,860,707	5.78
Export loans	6,866,129	0.84	3,612,790	0.48	6,866,129	0.81	3,612,790	0.45
Import loans	49,043,107	6.03	45,157,585	5.95	49,043,107	5.77	45,157,585	5.69
Refinance loans	15,688,382	1.93	22,065,236	2.91	15,688,382	1.84	22,065,236	2.78
Term loans	370,518,058	45.56	329,157,287	43.37	369,477,064	43.44	327,816,658	41.27
Overdraft	83,578,967	10.28	80,856,724	10.65	83,547,209	9.82	80,619,150	10.15
Staff loans	10,717,624	1.32	9,272,970	1.22	10,886,326	1.28	9,416,997	1.19
Pawning & gold loans	44,033,535	5.42	36,524,159	4.81	49,840,602	5.86	41,304,635	5.20
Credit cards	18,850,357	2.32	15,799,837	2.08	18,850,357	2.22	15,799,837	1.99
Money market loans	29,930,693	3.68	35,733,782	4.71	29,930,693	3.52	35,733,782	4.50
Factoring	2,168,352	0.27	2,242,061	0.30	2,676,105	0.31	2,847,402	0.36
Others	10,317	-	19,673	-	322,678	0.04	516,907	0.07
Sub total	717,192,054	88.20	662,138,698	87.24	754,655,280	88.73	697,276,027	87.81
Foreign Currency								
Bills of exchange	2,839,380	0.35	2,380,228	0.31	2,839,380	0.33	2,380,228	0.30
Housing loans	706,160	0.09	1,010,732	0.13	706,160	0.08	1,010,732	0.13
Export loans	20,245,383	2.49	24,647,787	3.25	20,245,383	2.38	24,647,787	3.10
Import loans	6,491,432	0.80	8,017,811	1.06	6,491,432	0.76	8,017,811	1.01
Term loans	60,047,887	7.38	54,228,169	7.15	60,047,887	7.06	54,228,169	6.83
Overdraft	5,574,014	0.69	6,467,615	0.85	5,574,014	0.66	6,467,615	0.81
Others	10,117	-	51,250	0.01	10,117	-	51,250	0.01
Sub total	95,914,373	11.80	96,803,592	12.76	95,914,373	11.27	96,803,592	12.19
Gross loans & advances	813,106,427	100.00	758,942,290	100.00	850,569,653	100.00	794,079,619	100.00

NOTES TO THE FINANCIAL STATEMENTS

25 LOANS AND ADVANCES CONTD.

25.1.4 By Industry

As at 31st December	Bank				Group			
	2021 Rs 000	%	2020 Rs 000	%	2021 Rs 000	%	2020 Rs 000	%
Agriculture & related (Note 25.1.4.1)	81,614,848	10.04	62,563,669	8.24	85,593,249	10.06	65,928,176	8.30
Manufacturing	97,772,280	12.02	104,251,199	13.74	101,598,643	11.94	107,616,842	13.55
Tourism (Note 25.1.4.2)	72,678,610	8.94	63,164,745	8.32	73,870,156	8.68	64,717,506	8.15
Transport	10,082,774	1.24	10,044,870	1.32	13,586,221	1.60	13,111,306	1.65
Construction	111,911,734	13.76	123,580,570	16.29	112,704,490	13.25	124,884,085	15.73
Infrastructure	49,331,965	6.07	55,207,272	7.27	51,314,918	6.03	56,470,540	7.11
Traders	128,218,561	15.76	124,026,523	16.34	135,097,093	15.89	130,526,441	16.44
Financial & business services	69,974,326	8.61	53,978,652	7.11	68,264,453	8.03	52,530,755	6.62
Other services	72,011,672	8.86	58,244,777	7.67	81,284,851	9.56	67,401,789	8.49
Consumers	119,509,657	14.70	103,880,013	13.70	127,255,579	14.96	110,892,179	13.96
Gross loans & advances	813,106,427	100.00	758,942,290	100.00	850,569,653	100.00	794,079,619	100.00

25.1.4.1 As per the requirement of Central Bank of Sri Lanka (CBSL), a minimum of 10% of the loans and advances shall be granted to the agriculture sector. The Bank has complied with the said requirement as at 31st December 2021 and 31st December 2020. The computation method used to derive the industry-wise exposure in Note 25.1.4 above is different from the method used for CBSL minimum lending requirement calculation to agriculture sector.

25.1.4.2 Not all customers in the tourism sector have applied for the 4th phase of the COVID-19 moratorium.

25.2 Impairment for Expected Credit Losses - Loans and Advances

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Stage 1				
Balance as at 1st January	3,679,288	3,838,089	3,800,247	3,930,386
Net charge/(reversal) for the year (Note 12)	864,257	(158,801)	776,790	(130,139)
Write-off during the year	-	-	-	-
Interest income accrued on impaired loans & advances	-	-	-	-
Other movements	-	-	-	-
Balance as at 31st December	4,543,545	3,679,288	4,577,037	3,800,247
Stage 2				
Balance as at 1st January	10,707,506	5,516,738	11,007,341	5,642,568
Net charge for the year (Note 12)	9,763,769	5,190,768	10,213,725	5,364,773
Write-off during the year	-	-	-	-
Interest income accrued on impaired loans & advances	-	-	-	-
Other movements	-	-	-	-
Balance as at 31st December	20,471,275	10,707,506	21,221,066	11,007,341
Stage 3				
Balance as at 1st January	24,340,249	20,891,363	26,834,249	22,458,317
Net charge for the year (Note 12)	2,080,800	5,128,048	3,209,022	6,276,614
Write-off during the year	(350,619)	(439,226)	(497,652)	(655,989)
Interest income accrued on impaired loans & advances (Note 7.1)	(3,009,971)	(3,333,638)	(3,027,412)	(3,348,278)
Other movements	2,442,854	2,093,702	2,448,990	2,103,585
Balance as at 31st December	25,503,313	24,340,249	28,967,197	26,834,249
Total				
Balance as at 1st January	38,727,043	30,246,190	41,641,837	32,031,271
Net charge for the year (Note 12)	12,708,826	10,160,015	14,199,537	11,511,248
Write-off during the year	(350,619)	(439,226)	(497,652)	(655,989)
Interest income accrued on impaired loans & advances (Note 7.1)	(3,009,971)	(3,333,638)	(3,027,412)	(3,348,278)
Other movements	2,442,854	2,093,702	2,448,990	2,103,585
Balance as at 31st December	50,518,133	38,727,043	54,765,300	41,641,837

25.3 Leasing

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Total lease rentals receivable	39,867,497	42,689,814	80,174,601	82,331,172
Unearned lease interest income	(5,793,469)	(7,222,777)	(14,360,478)	(16,175,681)
Gross lease receivable	34,074,028	35,467,037	65,814,123	66,155,491
Impairment for expected credit losses	(1,327,324)	(1,102,784)	(3,988,545)	(2,775,751)
Net lease receivable	32,746,704	34,364,253	61,825,578	63,379,740
Gross lease receivable within one year (Note 25.3.1)	11,566,507	12,297,167	24,120,465	24,391,671
Gross lease receivable after one year (Note 25.3.2)	22,507,521	23,169,870	41,693,658	41,763,820
	34,074,028	35,467,037	65,814,123	66,155,491

25.3.1 Lease Receivable within One Year

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Total lease rentals receivable within one year from reporting date	15,180,877	16,140,832	31,702,506	32,392,956
Unearned lease interest income	(3,614,370)	(3,843,665)	(7,582,041)	(8,001,285)
Gross lease receivable within one year (Note 25.3)	11,566,507	12,297,167	24,120,465	24,391,671
Impairment for expected credit losses	(508,473)	(438,130)	(1,613,439)	(1,195,256)
Net lease receivable within one year	11,058,034	11,859,037	22,507,026	23,196,415

25.3.2 Lease Receivable after One Year

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Total lease rentals receivable after one year from reporting date	24,686,620	26,548,982	48,472,095	49,938,216
Unearned lease interest income	(2,179,099)	(3,379,112)	(6,778,437)	(8,174,396)
Gross lease receivable after one year (Note 25.3)	22,507,521	23,169,870	41,693,658	41,763,820
Impairment for expected credit losses	(818,851)	(664,654)	(2,375,106)	(1,580,495)
Net lease receivable after one year	21,688,670	22,505,216	39,318,552	40,183,325

25.4 The Impact of COVID-19

The Bank evaluated the long term impact of COVID -19 on the economy when calculating the impairment provisions as at 31st December 2021. This has been further elaborated under Note 12.1 to the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

26 DEBT AND OTHER INSTRUMENTS

ACCOUNTING POLICY

The accounting policies pertaining to financial instruments including "Debt and Other Instruments" are given in Note 3.4 to the Financial Statements.

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Government Securities				
Treasury bills	70,165,746	122,060,109	71,065,987	122,060,109
Treasury bonds	135,757,622	56,147,950	135,757,622	56,182,095
Sri Lanka Development Bonds	65,782,968	73,521,629	65,782,968	73,521,629
Sri Lanka International Sovereign Bonds	18,976,248	19,361,131	18,976,248	19,361,131
Other Instruments				
Debentures - quoted (Note 26.1)	5,355,316	911,485	5,355,316	911,485
Lease backed trust certificates (Note 26.2)	2,921,442	5,353,735	2,921,442	5,353,735
Corporate bond - LVL Energy Fund	777,776	-	777,776	-
Gross debt & other instruments	299,737,118	277,356,039	300,637,359	277,390,184
Impairment for expected credit losses (Note 26.3)	(5,970,151)	(2,264,467)	(5,970,151)	(2,264,467)
Net debt & other instruments	293,766,967	275,091,572	294,667,208	275,125,717

26.1 Debentures - Quoted

Bank & Group

As at 31st December	2021 Amortised Cost Rs 000	2020 Amortised Cost Rs 000
Name of the company		
Banks, Finance & Insurance		
Commercial Leasing & Finance PLC	513,833	512,022
Commercial Credit & Finance PLC	537,233	-
Nations Trust Bank PLC	335,455	-
Singer Finance PLC	108,584	108,584
People's Leasing & Finance PLC	1,049,771	-
National Savings Bank	2,036,345	-
	4,581,221	620,606
Constructions & Engineering		
MTD Walkers PLC	254,784	254,784
	254,784	254,784
Others		
Kotagala Plantations PLC	28,566	36,095
Ceylon Electricity Board	490,745	-
	519,311	36,095
	5,355,316	911,485

26.2 Lease Backed Trust Certificates

Bank & Group

As at 31st December	2021 Amortised Cost Rs 000	2020 Amortised Cost Rs 000
Associated Motor Finance Company PLC	188,510	400,899
Senkadagala Finance PLC	-	28,439
LB Finance PLC	1,125,719	2,775,385
Trade Finance & Investment PLC	47,844	478,678
Richard Pieris Finance Ltd	35,329	276,534
Singer Finance PLC	248,140	392,179
Commercial Credit & Finance PLC	773,538	1,001,621
Sarvodaya Development Finance Ltd	502,362	-
	2,921,442	5,353,735

26.3 Impairment for Expected Credit Losses - Debt and Other Instruments at Amortised Cost

Bank & Group

	2021 Rs 000	2020 Rs 000
Stage 1		
Balance as at 1st January	1,973,588	638,588
Net charge for the year (Note 12)	3,713,213	1,335,000
Amounts written off during the year	-	-
Other adjustments	-	-
Balance as at 31st December	5,686,801	1,973,588
Stage 3		
Balance as at 1st January	290,879	254,784
Net (reversal)/charge for the year (Note 12)	(7,529)	36,095
Amounts written off during the year	-	-
Other adjustments	-	-
Balance as at 31st December	283,350	290,879
Total		
Balance as at 1st January	2,264,467	893,372
Net charge for the year (Note 12)	3,705,684	1,371,095
Amounts written off during the year	-	-
Other adjustments	-	-
Balance as at 31st December	5,970,151	2,264,467

NOTES TO THE FINANCIAL STATEMENTS

26 DEBT AND OTHER INSTRUMENTS CONTD.

26.4 Analysis of Debt and Other Instruments based on Exposure to Credit Risk

Bank

As at 31st December	2021 Stage 1 Rs 000	2021 Stage 2 Rs 000	2021 Stage 3 Rs 000	2021 Total Rs 000	2020 Total Rs 000
Government Securities					
Treasury bills	70,165,746	-	-	70,165,746	122,060,109
Treasury bonds	135,757,622	-	-	135,757,622	56,147,950
Sri Lanka Development Bonds	65,782,968	-	-	65,782,968	73,521,629
Sri Lanka International Sovereign Bonds	18,976,248	-	-	18,976,248	19,361,131
Other Instruments					
Debentures - quoted	5,071,966	-	283,350	5,355,316	911,485
Lease backed trust certificates	2,921,442	-	-	2,921,442	5,353,735
Corporate bond - LVL Energy Fund	777,776	-	-	777,776	-
	299,453,768	-	283,350	299,737,118	277,356,039
Impairment for expected credit losses	(5,686,801)	-	(283,350)	(5,970,151)	(2,264,467)
	293,766,967	-	-	293,766,967	275,091,572

Group

As at 31st December	2021 Stage 1 Rs 000	2021 Stage 2 Rs 000	2021 Stage 3 Rs 000	2021 Total Rs 000	2020 Total Rs 000
Government Securities					
Treasury bills	71,065,987	-	-	71,065,987	122,060,109
Treasury bonds	135,757,622	-	-	135,757,622	56,182,095
Sri Lanka Development Bonds	65,782,968	-	-	65,782,968	73,521,629
Sri Lanka International Sovereign Bonds	18,976,248	-	-	18,976,248	19,361,131
Other Instruments					
Debentures - quoted	5,071,966	-	283,350	5,355,316	911,485
Lease backed trust certificates	2,921,442	-	-	2,921,442	5,353,735
Corporate bond - LVL Energy Fund	777,776	-	-	777,776	-
	300,354,009	-	283,350	300,637,359	277,390,184
Impairment for expected credit losses	(5,686,801)	-	(283,350)	(5,970,151)	(2,264,467)
	294,667,208	-	-	294,667,208	275,125,717

26.5 Analysis of Debt and Other Instruments

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
By collateralisation				
Pledged as collateral	4,382,447	3,670,810	4,382,447	2,521,756
Unencumbered	289,384,520	271,420,762	290,284,761	272,603,961
	293,766,967	275,091,572	294,667,208	275,125,717
By currency				
Sri Lankan Rupee	214,671,019	184,167,473	215,571,260	184,201,618
Other currency	79,095,948	90,924,099	79,095,948	90,924,099
	293,766,967	275,091,572	294,667,208	275,125,717

27 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

ACCOUNTING POLICY

The accounting policies pertaining to "Financial Assets – Fair Value Through Other Comprehensive Income" are given in Notes 3.4.3.5 & 3.4.3.6 to the Financial Statements.

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Government Securities				
Treasury bills (Note 27.1)	5,634,390	15,572,080	5,634,390	15,572,080
Treasury bonds (Note 27.2)	32,052,148	4,176,392	32,052,148	4,176,392
Sri Lanka Development Bonds (Note 27.3)	290,184	-	290,184	-
Sri Lanka International Sovereign Bonds (Note 27.4)	516,511	926,008	516,511	926,008
Equity Securities				
Quoted equity security (Note 27.5)	4,451,151	3,528,974	4,451,151	3,528,974
Unquoted equity securities (Note 27.6)	59,761	34,349	59,817	34,405
	43,004,145	24,237,803	43,004,201	24,237,859

27.1 Treasury Bills

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Amortised cost	5,638,129	15,565,806
Gain from mark to market valuation as at 1st January	6,274	29,229
Movement during the year		
Gross change in market value	(9,009)	47,854
Reclassification to profit or loss	(1,004)	(70,809)
(Loss)/gain from mark to market valuation as at 31st December	(3,739)	6,274
Market value	5,634,390	15,572,080

27.2 Treasury Bonds

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Amortised cost	33,295,879	4,161,722
Gain from mark to market valuation as at 1st January	14,670	1,080
Movement during the year		
Gross change in market value	(1,230,406)	122,199
Reclassification to profit or loss	(27,995)	(108,609)
(Loss)/gain from mark to market valuation as at 31st December	(1,243,731)	14,670
Market value	32,052,148	4,176,392

NOTES TO THE FINANCIAL STATEMENTS

27 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME CONTD.

27.3 Sri Lanka Development Bonds

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Amortised cost	290,176	-
Gain/(loss) from mark to market valuation as at 1st January	-	-
Movement during the year		
Gross change in market value	(19,381)	-
Impairment for expected credit losses	19,389	-
Gain from mark to market valuation as at 31st December	8	-
Market value	290,184	-

27.4 Sri Lanka International Sovereign Bonds

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Amortised cost	837,704	1,104,091
(Loss)/gain from mark to market valuation as at 1st January	(178,083)	-
Movement during the year		
Gross change in market value	(156,780)	(197,610)
Reclassification to profit or loss	(1,314)	-
Impairment for expected credit losses	14,984	19,527
Loss from mark to market valuation as at 31st December	(321,193)	(178,083)
Market value	516,511	926,008

27.5 Quoted Equity Security

Quoted equity security represents the investment in ordinary shares of LankaBangla Finance Ltd in Bangladesh.

Bank & Group

	2021		2020	
	No. of Ordinary Shares	Rs 000	No. of Ordinary Shares	Rs 000
Cost of the investment as at 1st January	51,036,605	1,092,702	48,606,291	1,016,121
Exchange gain		89,832		23,385
Scrip dividend received during the year	-	-	2,430,314	53,196
Cost of the investment as at 31st December	51,036,605	1,182,534	51,036,605	1,092,702
Gain from mark to market valuation as at 1st January		2,436,272		855,757
Movement during the year				
Gross change in market value		632,059		1,560,933
Exchange gain		200,286		19,582
Gain from mark to market valuation as at 31st December		3,268,617		2,436,272
Market value		4,451,151		3,528,974

27.6 Unquoted Equity Securities

As at 31st December	2021			2020		
	No. of Ordinary Shares	Cost of the Investment Rs 000	Market Value Rs 000	No. of Ordinary Shares	Cost of the Investment Rs 000	Market Value Rs 000
Bank						
Name of the company						
LankaBangla Securities Ltd	293,485	59,690	1,316	293,485	55,155	1,216
Credit Information Bureau	1,700	170	170	1,700	170	170
SWIFT	23	9,035	30,517	33	12,963	12,963
Lanka Clear (Pvt) Ltd	2,000,000	20,000	20,000	2,000,000	20,000	20,000
Lanka Financial Services Bureau Ltd	500,000	5,000	-	500,000	5,000	-
Lanka Rating Agency Ltd	9,449,707	15,516	7,758	1,241,263	15,516	-
		109,411	59,761		108,804	34,349
Loss from mark to market valuation as at 1st January		(74,455)			(68,248)	
Movement during the year						
Gross change in market value		38,580			(5,000)	
Realised gain transferred to retained earnings		(9,340)			-	
Exchange rate differences		(4,435)			(1,207)	
Loss from mark to market valuation as at 31st December		(49,650)			(74,455)	
Market value		59,761			34,349	
Group						
Name of the company						
LankaBangla Securities Ltd	293,485	59,690	1,316	293,485	55,155	1,216
Credit Information Bureau	1,800	226	226	1,800	226	226
SWIFT	23	9,035	30,517	33	12,963	12,963
Lanka Clear (Pvt) Ltd	2,000,000	20,000	20,000	2,000,000	20,000	20,000
Lanka Financial Services Bureau Ltd	500,000	5,000	-	500,000	5,000	-
Lanka Rating Agency Ltd	9,449,707	15,516	7,758	1,241,263	15,516	-
		109,467	59,817		108,860	34,405
Loss from mark to market valuation as at 1st January		(74,455)			(68,248)	
Movement during the year						
Gross change in market value		38,580			(5,000)	
Realised gain transferred to retained earnings		(9,340)			-	
Exchange rate differences		(4,435)			(1,207)	
Loss from mark to market valuation as at 31st December		(49,650)			(74,455)	
Market value		59,817			34,405	

NOTES TO THE FINANCIAL STATEMENTS

27 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME CONTD.

27.7 Analysis of Financial Assets - Fair Value through Other Comprehensive Income

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
By collateralisation				
Pledged as collateral	-	-	-	-
Unencumbered	43,004,145	24,237,803	43,004,201	24,237,859
	43,004,145	24,237,803	43,004,201	24,237,859
By currency				
Sri Lankan Rupee	37,714,466	19,768,642	37,714,522	19,768,698
Other currency	5,289,679	4,469,161	5,289,679	4,469,161
	43,004,145	24,237,803	43,004,201	24,237,859

28 INVESTMENT IN SUBSIDIARIES

ACCOUNTING POLICY

Subsidiaries are entities that are controlled by the Bank. The Bank is presumed to control an investee when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. At each reporting date, the Bank reassesses whether it controls an investee, if facts and circumstances indicate that there are changes to one or more elements of control mentioned above.

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the Bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the Bank's subsidiaries are prepared for the same reporting year as per the Bank, using consistent accounting policies.

The cost of acquisition of a subsidiary is measured as the fair value of the consideration, including contingent consideration, given on the date of transfer of title. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement, the Bank continues to recognise the investments in subsidiaries at cost.

The total assets and liabilities of the subsidiaries as at the reporting date are included in the Consolidated Statement of Financial Position. The total profit or loss for the year of the subsidiaries is included in the Consolidated Statement of Profit or Loss. The non-controlling interest is presented in the Consolidated Statement of Financial Position within equity, separately from the equity attributable to the equity holders of the Bank. Non-controlling interest in the profit or loss of the Group is disclosed in the Consolidated Statement of Comprehensive Income. Total comprehensive income is allocated to the owners of the parent and to the non-controlling interest even if this results in non- controlling interest having a deficit balance.

Intra-group balances and any income and expenses arising from intra-group transactions are eliminated when preparing the Consolidated Financial Statements. Unrealised losses are eliminated in the same way as unrealised gains, except that they are only eliminated to the extent that there is no evidence of impairment. When a subsidiary is acquired or sold during the year, operating results of such subsidiary is included from the date of acquisition or to the date of disposal. Upon the loss of control, the Group derecognise the assets and liabilities of the subsidiary, any non-controlling interest and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in the Statement of Changes in Equity.

If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date the control is lost. Subsequently it is accounted for as an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

The Group did not acquire/dispose any subsidiaries during the year ended 31st December 2021.

There are no significant restrictions on the ability of the subsidiaries to transfer funds to the Bank in the form of cash dividend or repayment of loans and advances.

All subsidiaries of the Bank have been incorporated in Sri Lanka.

Bank

As at 31st December Subsidiary	Principal Activities	2021 Ownership	2021 Cost Rs 000	2021 Directors' Valuation Rs 000	2020 Ownership	2020 Cost Rs 000	2020 Directors' Valuation Rs 000
Sampath Centre Ltd	Renting of commercial property	100%	674,163	5,651,419	100%	651,225	5,141,550
SC Securities (Pvt) Ltd	Stock broking	100%	185,345	553,381	100%	178,921	228,093
Siyapatha Finance PLC	Granting lease, hire purchase, factoring & other loan facilities & accepting deposits	100%	2,346,095	6,226,093	100%	2,222,881	5,125,964
Sampath Information Technology Solutions Ltd	Software development, renting of IT equipment, IT resource outsourcing & consultancy	100%	297,747	516,041	100%	297,747	408,415
			3,503,350			3,350,774	
Impairment provision as at 1st January			-			(58,975)	
Movement during the year (Note 12)			-			58,975	
Impairment provision as at 31st December			-			-	
Net investment in subsidiaries			3,503,350			3,350,774	

Subsidiaries are not quoted in the Colombo Stock Exchange except Siyapatha Finance PLC.

The Directors' valuation of investments in subsidiaries has been carried out on net asset basis as at 31st December 2021. Net asset values of all subsidiary companies have exceeded the cost of investment as at 31st December 2021 and accordingly no provisions have been recognised in the Financial Statements against investment in subsidiaries.

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT

ACCOUNTING POLICY

Recognition

Property, plant and equipment are tangible items that are held for use in the production or supply of services, for rental to others or for administrative purposes and are expected to be used during more than one period. The Group applies the requirements of the Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) in accounting for these assets. Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, replace part of an item of property, plant and equipment. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable for bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment. When parts of an item of property or equipment have different useful lives, they are accounted as separate items (major components) of property, plant and equipment.

Cost Model

The Group applies cost model to property, plant and equipment except for freehold land and buildings and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Revaluation Model

The Group applies the revaluation model to the entire class of freehold land and buildings. Such properties are carried at a revalued amount, being their fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Freehold land and buildings of the Group are revalued by independent professional valuers every three years or more frequently if the fair values are substantially different from carrying amounts, to ensure that the carrying amounts do not differ from the fair values as at the reporting date.

On revaluation of an asset, any increase in the carrying amount is recognised in 'Other comprehensive income' and accumulated in equity, under revaluation reserve or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the Statement of Profit or Loss. In this circumstance, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognised as an expense in the Statement of Profit or Loss or debited to the other comprehensive income to the extent of any credit balance existing in the revaluation reserve in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in equity under revaluation reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

The Group last revalued its freehold land and buildings as at 31st December 2019, the details of which are given in Note 29.3. The Group carried out an assessment of the fair values of its land and buildings as at 31st December 2021 and concluded that there is no material change in the fair values of its land and buildings as at the reporting date.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Group and its cost can be reliably measured. The costs of day to day servicing of property, plant and equipment are charged to the Statement of Profit or Loss as incurred.

Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of property, plant and equipment is included in the Statement of Profit or Loss when the item is derecognised. When replacement costs are recognised in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognised. Major inspection costs are capitalised. At each such capitalisation, the remaining carrying amount of the previous cost of inspection is derecognised.

Capital Work in Progress

These are expenses of capital nature directly incurred in the construction of buildings, major plant, machinery and system development, awaiting capitalisation. Capital work-in-progress would be transferred to the relevant asset when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

Borrowing Costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset have been capitalised as part of the cost of the asset in accordance with Sri Lanka Accounting Standard - LKAS 23 (Borrowing Costs). A qualifying asset is an asset which takes substantial period of time to get ready for its intended use or sale. Capitalisation of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use are completed. Other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Rates of depreciation for each category of property, plant and equipment are given in Note 14, 'Depreciation and Amortisation Expenses'.

29.1 Bank

	Freehold Land & Buildings Rs 000	Improvements to Lease Hold Properties Rs 000	Computer Equipment Rs 000	Office Equipment Rs 000	Fixtures & Fittings Rs 000	Motor Vehicles Rs 000	2021 Total Rs 000	2020 Total Rs 000
Cost/Valuation								
Balance as at 1st January	5,886,777	1,226,756	4,323,646	2,310,951	364,775	215,492	14,328,397	14,219,027
Additions & improvements	17,321	17,673	321,178	92,199	18,080	-	466,451	478,387
Disposals during the year	-	(2,708)	(7,125)	(6,336)	(75)	(18,700)	(34,944)	(364,056)
Written off during the year	-	-	-	-	(164)	-	(164)	(4,961)
Cost/valuation as at 31st December	5,904,098	1,241,721	4,637,699	2,396,814	382,616	196,792	14,759,740	14,328,397
Accumulated Depreciation								
Balance as at 1st January	45,813	1,146,383	2,758,975	1,816,491	259,301	175,149	6,202,112	5,752,661
Charge for the year (Note 14)	46,363	33,411	482,746	148,579	43,079	12,926	767,104	812,854
Disposals during the year	-	(2,708)	(6,318)	(6,274)	(75)	(11,860)	(27,235)	(359,342)
Written off during the year	-	-	-	-	(164)	-	(164)	(4,061)
Accumulated depreciation as at 31st December	92,176	1,177,086	3,235,403	1,958,796	302,141	176,215	6,941,817	6,202,112
Net book value as at 31st December 2021	5,811,922	64,635	1,402,296	438,018	80,475	20,577	7,817,923	
Net book value as at 31st December 2020	5,840,964	80,373	1,564,671	494,460	105,474	40,343		8,126,285

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT CONTD.

29.1(a) The carrying amount of Bank's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st December	2021			2020		
	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Freehold lands	906,309	-	906,309	906,309	-	906,309
Freehold buildings	1,225,182	312,715	912,467	1,207,861	282,207	925,654
Total	2,131,491	312,715	1,818,776	2,114,170	282,207	1,831,963

29.2 Group

	Freehold Land & Buildings	Improvements to Lease Hold Properties	Computer Equipment	Office Equipment	Fixtures & Fittings	Motor Vehicles	Capital Work-in Progress	2021 Total	2020 Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cost/Valuation									
Balance as at 1st January	10,441,126	1,226,756	6,046,654	2,673,057	657,044	224,948	2,571,167	23,840,752	22,819,652
Additions & improvements	17,321	17,673	573,577	99,523	29,918	7,300	934,498	1,679,810	1,441,076
Disposals during the year	(538)	(2,708)	(231,918)	(84,006)	(1,263)	(21,777)	-	(342,210)	(414,414)
Written off during the year	-	-	(4,487)	(2,303)	(1,375)	-	-	(8,165)	(5,562)
Transfers/adjustments	1,372,585	-	-	365,551	60,037	-	(1,798,173)	-	-
Cost/valuation as at 31st December	11,830,494	1,241,721	6,383,826	3,051,822	744,361	210,471	1,707,492	25,170,187	23,840,752
Accumulated Depreciation									
Balance as at 1st January	129,643	1,146,383	4,114,832	1,947,165	427,259	184,055	-	7,949,337	7,117,601
Charge for the year (Note 14)	164,486	33,411	694,775	204,430	77,737	15,398	-	1,190,237	1,245,729
Disposals during the year	(538)	(2,708)	(229,016)	(50,315)	(1,224)	(14,937)	-	(298,738)	(409,335)
Written off during the year	-	-	(4,487)	(2,303)	(1,375)	-	-	(8,165)	(4,658)
Accumulated depreciation as at 31st December	293,591	1,177,086	4,576,104	2,098,977	502,397	184,516	-	8,832,671	7,949,337
Net book value as at 31st December 2021	11,536,903	64,635	1,807,722	952,845	241,964	25,955	1,707,492	16,337,516	-
Net book value as at 31st December 2020	10,311,483	80,373	1,931,822	725,892	229,785	40,893	2,571,167		15,891,415

29.2(a) The carrying amount of Group's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st December	2021			2020		
	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation	Cost	Accumulated Depreciation	Cost Less Accumulated Depreciation
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Freehold lands	1,245,388	-	1,245,388	1,245,388	-	1,245,388
Freehold buildings	3,280,528	592,843	2,687,685	1,891,160	511,476	1,379,684
Total	4,525,916	592,843	3,933,073	3,136,548	511,476	2,625,072

29.3 Details of Bank's & Group's Land and Buildings Stated at Valuation

Valuer/Location	Date of Valuation*	Method of Valuation	Net Book Value before Revaluation		Revaluation Amount		Revaluation Gain/(Loss)			Revaluation Gain/ (Loss) Recognised in 2019	
			Land	Building	Land	Building	Land	Building	Total	Profit or Loss	OCI
			Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn
Bank											
Valuer - Mr P B Kalugalagedara											
No. 261, Galle Road, Ratmalana	31.12.2019	Market Comparable Method	30.00	21.14	49.00	21.00	19.00	(0.14)	18.86	-	18.86
Valuer - Mr C Wellappili											
No. 05, Wakwella Road, Galle	31.12.2019	Market Comparable Method	104.88	31.36	104.88	33.41	-	2.05	2.05	-	2.05
No. 42, Anguruwatota Road, Horana	31.12.2019	Market Comparable Method	41.50	-	51.87	-	10.37	-	10.37	-	10.37
No. 81 & 81 A, High Level Road, Maharagama	31.12.2019	Market Comparable Method	67.30	32.91	80.76	40.23	13.46	7.32	20.78	-	20.78
Valuer - Mr G M Gamage											
No. 69, Main Street, Deniyaya	31.12.2019	Market Comparable Method	21.90	23.79	35.04	27.15	13.14	3.36	16.50	3.36	13.14
No. 117, Hapugahawalawatta, Ihalagama Road, Deniyaya	31.12.2019	Market Comparable Method	0.60	-	1.50	-	0.90	-	0.90	0.33	0.57
No. 25-27, Main Street, Tissamaharama	31.12.2019	Market Comparable Method	17.76	31.09	27.75	41.25	9.99	10.16	20.15	-	20.15
Valuer - Mr Sarath Fernando											
No. 7/5, Giriulla Road, Alawwa	31.12.2019	Market Comparable Method	20.50	22.42	24.70	25.80	4.20	3.38	7.58	-	7.58
No. 150, Colombo Road, Gampaha	31.12.2019	Market Comparable Method	62.00	37.84	68.00	42.00	6.00	4.16	10.16	-	10.16
No. 312/A, Galle Road, Kalutara	31.12.2019	Market Comparable Method	75.00	63.22	82.00	71.00	7.00	7.78	14.78	-	14.78
No. 187, Madawala Road, Katugastota	31.12.2019	Market Comparable Method	69.60	61.56	81.00	65.00	11.40	3.44	14.84	-	14.84
No. 31 & 33, Negombo Road, Kurunegala	31.12.2019	Market Comparable Method	130.50	89.07	187.00	102.00	56.50	12.93	69.43	-	69.43
No. 475, Elvitigala Mawatha, Narahenpita	31.12.2019	Market Comparable Method	94.00	60.22	104.00	65.00	10.00	4.78	14.78	-	14.78
No. 408, Main Street, Negombo	31.12.2019	Market Comparable Method	103.75	126.71	124.00	128.00	20.25	1.29	21.54	-	21.54
No. 371, Old Moor St, Masangasweediya, Colombo 12	31.12.2019	Market Comparable Method	132.00	22.25	192.00	25.00	60.00	2.75	62.75	-	62.75
No. 373 A, Galle Road, Panadura	31.12.2019	Market Comparable Method	61.50	47.87	75.00	51.00	13.50	3.13	16.63	-	16.63
No. 85/87, Panchikawatta Road, Colombo 10	31.12.2019	Market Comparable Method	66.00	38.06	78.00	74.00	12.00	35.94	47.94	-	47.94
No. 180(part), Bodiraja Mawatha, Pettah	31.12.2019	Income Basis	-	61.27	-	103.00	-	41.73	41.73	-	41.73
No. 61A, Moratuwa Road, Piliyandala	31.12.2019	Market Comparable Method	65.00	32.28	75.00	42.00	10.00	9.72	19.72	-	19.72
No. 1/87, Victoria Range, Digana, Kandy	31.12.2019	Market Comparable Method	7.00	9.85	10.00	11.80	3.00	1.95	4.95	-	4.95
No. 256/1, Negombo Road, Wattala	31.12.2019	Market Comparable Method	89.00	37.84	106.00	43.00	17.00	5.16	22.16	1.74	20.42
No. 591, Galle Road, Wellawatta	31.12.2019	Market Comparable Method	118.00	55.14	139.00	57.00	21.00	1.86	22.86	-	22.86
Valuer - Messrs Prathap Chartered Valuation & Consultancy (Pvt) Ltd											
No. 1022, Maradana Road, Borella	31.12.2019	Market Comparable Method	246.80	89.49	296.16	91.29	49.36	1.80	51.16	-	51.16
"Nuwarawewakele", Maithreepala Senanayake Mw, Anuradhapura	31.12.2019	Market Comparable Method	171.70	65.54	175.74	64.74	4.04	(0.80)	3.24	(0.80)	4.04
No. 29, Cross Street, Kandy	31.12.2019	Market Comparable Method	257.00	92.11	282.70	94.33	25.70	2.22	27.92	-	27.92
No. 05, Hakmana Road, Matara	31.12.2019	Market Comparable Method	173.74	37.96	185.64	37.99	11.90	0.03	11.93	-	11.93
Valuer - Mr G W G Abeygunawaradana											
No. 103, Dharmapala Mawatha, Hunupitiya, Colombo 7	31.12.2019	Market Comparable Method	1,492.50	65.80	1,731.30	67.20	238.80	1.40	240.20	-	240.20
Valuer - Mr A A M Fathihu											
No.202, Main Road, Attidiya	31.12.2019	Market Comparable Method	50.38	27.08	50.76	27.29	0.38	0.21	0.59	-	0.59
Total - Bank			3,769.91	1,283.87	4,418.80	1,451.48	648.89	167.61	816.50	4.63	811.87

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT CONTD.

Valuer/Location	Date of Valuation*	Method of Valuation	Net Book Value before Revaluation		Revaluation Amount		Revaluation Gain/(Loss)			Revaluation Gain/(Loss) Recognised in 2019	
			Land	Building	Land	Building	Land	Building	Total	Profit or Loss	OCI
			Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn
Subsidiaries											
Valuer - Mr P B Kalugalagedara											
Sampath Centre - No. 110, Sir James Peiris Mawatha, Colombo 2	31.12.2019	Income basis	2,367.00	1,508.95	2,677.50	1,508.95	310.50	-	310.50	-	310.50
Valuer - Mr C Wellappili											
**Siyaptha Finance PLC - No. 534, Bauddhaloka Mawatha, Colombo 08	31.12.2019	Market Comparable Method	283.00	-	367.90	-	84.90	-	84.90	-	84.90
Total - Group			6,419.91	2,792.82	7,464.20	2,960.43	1,044.29	167.61	1,211.90	4.63	1,207.27

* The Group has not revalued its freehold land and buildings during this year for consolidated accounting purposes, on the basis that changes in property prices were not significant compared to the last revaluation date.

** Siyapatha building is under work-in-progress as at 31st December 2021. Cost incurred up to the reporting date on the building is included under capital work-in-progress of the Group.

29.4 Freehold Land and Buildings

	Location	Land Extent Perches	Buildings Sq.ft	No. of Buildings in the Location	Cost/ Revaluation of Land Rs 000	Cost/ Revaluation of Building Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	2021 Net Book Value Rs 000	As a % of Total NBV	2020 Net Book Value Rs 000
Bank											
1	**Alawwa** No. 7/5, Giriulla Road, Alawwa	20.7	8,190	1	24,700	26,089	50,789	2,882	47,907	0.4%	49,349
2	**Anuradhapura** "Nuwarawewakele", Maithreepala Senanayake Mw, Anuradhapura	40.4	8,929	1	175,740	64,735	240,475	4,188	236,287	2.0%	238,378
3	**Attidiya** No. 202, Main Road, Attidiya	12.7	6,064	1	50,760	27,288	78,048	1,261	76,787	0.7%	77,469
4	**Borella** No. 1022, Maradana Road, Borella	24.7	15,876	1	296,160	95,657	391,817	5,936	385,881	3.3%	384,491
5	**Deniyaya** No. 69, Main Street, Deniyaya	17.5	5,325	1	35,040	27,155	62,195	1,274	60,921	0.5%	61,600
6	**Deniyaya** No. 117, Hapugahawalawatta, Ihalagama Road, Deniyaya	40.0	BareLand	-	1,500	-	1,500	-	1,500	0.0%	1,500
7	**Dharmapala Mawatha** No. 103, Dharmapala Mawatha, Hunupitya, Colombo 07	119.4	7,300	1	1,731,300	68,377	1,799,677	3,778	1,795,899	15.7%	1,797,322
8	**Galle** No. 05, Wakwella Road, Galle	17.5	5,400	1	104,880	34,444	139,324	2,097	137,227	1.2%	137,247
9	**Gampaha** No. 150, Colombo Road, Gampaha	25.0	5,680	1	68,000	42,000	110,000	2,103	107,897	0.9%	108,947
10	**Horana** No. 42, Anguruwatota Road, Horana	20.8	BareLand	-	51,875	-	51,875	-	51,875	0.4%	51,875
11	**Kalutara** No. 312/A, Galle Road, Kalutara	30.0	8,715	1	82,000	71,562	153,562	3,762	149,800	1.3%	151,681
12	**Kandy Metro** No. 29, Cross Street, Kandy	25.7	17,398	1	282,700	94,331	377,031	6,744	370,287	3.2%	373,654
13	**Katugastota** No. 187, Madawala Road, Katugastota	23.2	7,811	1	81,000	65,000	146,000	3,424	142,576	1.2%	144,286
14	**Kurunegala** No. 31 & 33, Negombo Road, Kurunegala	37.4	16,202	1	187,000	102,101	289,101	5,844	283,257	2.5%	286,075
15	**Maharagama** No. 81 & 81 A, High Level Road, Maharagama	13.5	6,310	1	80,760	42,911	123,671	2,541	121,130	1.0%	119,728
16	**Matara** No. 05, Hakmana Road, Matara	47.6	11,431	2	185,640	43,629	229,269	2,745	226,524	2.0%	222,266
17	**Narahenpita** No. 475, Elvitigala Mawatha, Narahenpita	18.9	9,600	1	104,000	65,000	169,000	3,619	165,381	1.4%	167,188
18	**Negombo** No. 408, Main Street, Negombo	41.5	15,088	1	124,000	143,094	267,094	7,207	259,887	2.3%	261,001
19	**Old Moor Street** No. 371, Old Moor St, Masangasweediya, Colombo 12	24.0	10,180	1	192,000	25,000	217,000	5,005	211,995	1.8%	214,495
20	**Panadura** No. 373 A, Galle Road, Panadura	27.3	6,020	1	75,000	51,000	126,000	2,921	123,079	1.1%	124,537

NOTES TO THE FINANCIAL STATEMENTS

29 PROPERTY, PLANT AND EQUIPMENT CONTD.

	Location	Land Extent Perches	Buildings Sq.ft	No. of Buildings in the Location	Cost/ Revaluation of Land Rs 000	Cost/ Revaluation of Building Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	2021 Net Book Value Rs 000	As a % of Total NBV	2020 Net Book Value Rs 000
21	Panchikawatta	9.8	14,680	1	78,000	74,000	152,000	4,933	147,067	1.3%	149,531
	No. 85/87, Panchikawatta Road, Colombo 10										
22	Pettah	-	5,124	1	-	105,077	105,077	8,309	96,768	0.8%	100,512
	No. 180 (part), Bodiraja Mawatha, Pettah										
23	Piliyandala	37.5	8,138	1	75,000	42,575	117,575	2,431	115,144	1.0%	116,360
	No. 61A, Moratuwa Road, Piliyandala										
24	Ratmalana	10.9	5,520	1	49,000	21,000	70,000	1,203	68,797	0.6%	69,398
	No. 261, Galle Road, Ratmalana										
25	Tissamaharama	22.2	10,815	1	27,750	41,250	69,000	1,976	67,024	0.6%	68,055
	No. 25-27, Main Street, Tissamaharama										
26	Victoria Range	20.1	2,320	1	10,000	11,800	21,800	716	21,084	0.2%	21,442
	No. 1/87, Victoria Range, Digana, Kandy										
27	Wattala	42.5	5,314	1	106,000	43,000	149,000	2,265	146,735	1.3%	147,866
	No. 256/1, Negombo Road, Wattala										
28	Wellawatte	21.5	7,776	1	139,000	57,218	196,218	3,012	193,206	1.7%	194,711
	No. 591, Galle Road, Wellawatta										
	Total - Bank	792.3	231,206	27	4,418,805	1,485,293	5,904,098	92,176	5,811,922	50.4%	5,840,964
	Subsidiaries										
	Sampath Centre Ltd										
29	Slave Island	153.6	318,264	1	2,677,500	2,880,995	5,558,495	201,415	5,357,080	46.4%	4,102,618
	No. 110, Sir James Peiris Mawatha, Colombo 02										
	Siyapatha Finance PLC										
30	Borella	29.1	WIP	-	367,901	-	367,901	-	367,901	3.2%	367,901
	No. 534, Bauddhaloka Mawatha, Colombo 08										
	Total - Group	975.0	549,470	28	7,464,206	4,366,288	11,830,494	293,591	11,536,903	100.0%	10,311,483

29.5(a) Improvements to Leasehold Properties

Bank & Group

As at 31st December	2021			2020
	Cost of Buildings Rs 000	Accumulated Depreciation Rs 000	Net Book Value Rs 000	Net Book Value Rs 000
01 - 05 years	276,136	259,388	16,748	9,268
06 - 10 years	611,993	576,038	35,955	54,845
Above 10 years	353,592	341,660	11,932	16,260
Total	1,241,721	1,177,086	64,635	80,373

29.5(b) Fully Depreciated Property, Plant and Equipment

A class-wise analysis of the initial cost of fully depreciated property, plant and equipment of the Bank which are still in use as at reporting date is as follows.

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Asset class				
Improvements to leasehold properties	1,086,051	1,045,581	1,086,051	1,045,581
Computer equipment & software	3,641,524	2,620,794	3,965,876	2,797,055
Office equipment	1,435,174	1,187,775	1,468,220	1,211,319
Fixtures & fittings	172,739	142,263	301,434	228,931
Motor vehicles	109,844	108,889	115,257	117,379
Total	6,445,332	5,105,302	6,936,838	5,400,265

29.5(c) Temporarily Idle Property, Plant and Equipment - Bank & Group

The Bank holds Horana land worth of Rs 51.9 Mn with the intention of constructing a building. The Bank does not intend to construct a building in the bare land located in Deniyaya as it was severely earth slipped. Any future construction on this land is subjected to NBRO (National Building Research Organisation) certification.

29.5(d) Property, Plant and Equipment Retired from Active Use - Bank & Group

There were no property, plant and equipment retired from active use as at 31st December 2021 (2020: Bank - NIL, Group - Rs 8.6 Mn).

29.5(e) Title Restriction on Property, Plant and Equipment - Bank & Group

There were no restriction on the title of property, plant and equipment as at 31st December 2021 (2020: NIL).

29.5(f) Property, Plant and Equipment Pledged as Security against Liabilities - Bank & Group

There were no items of property, plant and equipment pledged as securities for liabilities (2020: NIL).

29.5(g) Compensation from Third Parties for Items of Property, Plant and Equipment - Bank & Group

There were no compensation received during the year from third parties for items of property, plant and equipment that were impaired, lost or given up (2020: NIL).

NOTES TO THE FINANCIAL STATEMENTS

30 INTANGIBLE ASSETS

ACCOUNTING POLICY

Recognition

An intangible asset is an identifiable non-monetary asset without physical substance, held for use in the production or supply of goods or services, for rental to others or for administrative purposes. An intangible asset is recognised if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably. An intangible asset is initially measured at cost. Expenditure incurred on an intangible item that was initially recognised as an expense by the Group in previous annual Financial Statements or interim Financial Statements are not recognised as part of the cost of an intangible asset at a later date.

Computer Software

Cost of purchased licenses and all computer software costs incurred, licensed for use by the Group, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category 'Intangible assets' and carried at cost less accumulated amortisation and any accumulated impairment losses.

Goodwill

Goodwill, if any that arises upon the acquisition of subsidiaries is included in intangible assets. Goodwill is measured at initial recognition in accordance with Note 3.2.

Subsequent Expenditure

Expenditure incurred on software is capitalised only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance and this expenditure can be measured and attributed to the asset reliably. All other expenditure is expensed as incurred. Goodwill is measured at cost less accumulated impairment losses.

Derecognition of Intangible Assets

The carrying amount of an item of intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss when the item is derecognised.

There were no restrictions on the title of the intangible assets as at the reporting date. Further, there were no items pledged as securities for liabilities.

Intangible assets of the Bank as at 31st December 2021 only include computer software and cost of licenses. Rates of amortisation for computer software and licenses are given in Note 14, 'Depreciation and Amortisation Expenses'.

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Cost				
Balance as at 1st January	3,019,995	2,833,784	3,231,884	3,043,032
Additions & improvements	181,605	199,307	191,750	201,948
Disposal/write off during the year	-	(13,096)	-	(13,096)
Cost as at 31st December	3,201,600	3,019,995	3,423,634	3,231,884
Accumulated Amortisation				
Balance as at 1st January	2,266,380	1,838,647	2,440,195	1,987,691
Charge for the year (Note 14)	390,304	440,811	415,758	465,582
Disposal/write off during the year	-	(13,078)	-	(13,078)
Accumulated amortisation as at 31st December	2,656,684	2,266,380	2,855,953	2,440,195
Net book value as at 31st December	544,916	753,615	567,681	791,689

31 RIGHT-OF-USE ASSETS

Set out below are the carrying amounts of right-of-use assets recognised and the movements during the year.

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Cost				
Balance as at 1st January	5,993,575	5,572,188	4,586,866	4,082,329
Additions & improvements	1,282,115	421,387	1,011,474	504,537
Cost as at 31st December	7,275,690	5,993,575	5,598,340	4,586,866
Accumulated Amortisation				
Balance as at 1st January	2,713,409	1,512,969	1,681,205	874,063
Charge for the year (Note 14)	1,296,963	1,200,440	885,345	807,142
Accumulated amortisation as at 31st December	4,010,372	2,713,409	2,566,550	1,681,205
Net book value as at 31st December	3,265,318	3,280,166	3,031,790	2,905,661

31.1 Lease Liability

Set out below are the carrying amounts of lease liabilities (included under "Other Liabilities" in Note 40) and the movements during the year.

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Balance as at 1st January	3,779,635	4,423,702	3,210,792	3,449,043
Additions	1,282,115	421,387	1,011,474	504,537
Accretion of interest (Note 7.2)	183,835	470,735	246,386	295,941
Payments	(1,518,974)	(1,536,189)	(975,004)	(1,038,729)
Balance as at 31st December (Note 40)	3,726,611	3,779,635	3,493,648	3,210,792

31.1.1 Maturity Analysis of Lease Liability

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Less than 1 year	1,856,649	1,690,636	1,446,333	1,372,370
1 to 5 years	1,540,128	1,755,902	1,643,037	1,469,309
More than 5 years	329,834	333,097	404,278	369,113
	3,726,611	3,779,635	3,493,648	3,210,792

31.2 Sensitivity of Right-of-Use Assets/Lease Liability to Key Assumptions

31.2.1 Sensitivity to Discount Rates

1% increase/(decrease) in discount rate as at 31st December 2021 would have (decreased)/increased the lease liability by approximately Rs 80 Mn with a similar (decrease)/increase in the right-of-use asset. Had the Bank increased/(decreased) the discount rate by 1%, the Bank's profit before tax for the year would have (decreased)/increased by approximately Rs 16 Mn.

31.2.2 Sensitivity to Lease Term

Had the lease term of all existing lease agreements been increased by further one year, lease liability of the Bank as at 31st December 2021 would have increased by Rs 1,402 Mn with a similar increase in the right-of-use assets. Further, this would reduce the profit before tax of the Bank by Rs 106 Mn.

The above sensitivities are given only for the Bank since the subsidiary leases do not have a material impact on the Financial Statements of the Group.

NOTES TO THE FINANCIAL STATEMENTS

32 DEFERRED TAX (ASSETS)/LIABILITIES

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Recognised under assets	(6,157,958)	(4,634,040)	(6,242,982)	(4,653,496)
Recognised under liabilities	-	-	979,815	1,485,302
	(6,157,958)	(4,634,040)	(5,263,167)	(3,168,194)

Net deferred tax (assets)/liabilities of one entity cannot be set-off against another entity's liabilities/(assets) since there is no legally enforceable right to set-off. Therefore, net deferred tax assets and liabilities of different entities are separately recognised in the Statement of Financial Position.

32.1 Movement in Deferred Tax (Assets)/Liabilities

Bank

	Accelerated Depreciation for Tax Purposes		Provision for Loan Losses	Revaluation on Land & Buildings	Retirement Benefit Obligation	Tax Losses on Leasing Operation	Gain/(Loss) on FVOCI Assets	Others	Total
	Property, Plant & Equipment Rs 000	Leased Assets Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2020	499,788	519,397	(5,097,422)	1,164,180	(1,022,460)	-	314,173	(115,168)	(3,737,512)
Profit or loss (Note 16)	(9,731)	(22,793)	(352,277)	-	(104,001)	-	-	(10,822)	(499,624)
Other comprehensive income	-	-	-	-	(797,586)	-	400,682	-	(396,904)
Balance as at 31st December 2020	490,057	496,604	(5,449,699)	1,164,180	(1,924,047)	-	714,855	(125,990)	(4,634,040)
Balance as at 1st January 2021	490,057	496,604	(5,449,699)	1,164,180	(1,924,047)	-	714,855	(125,990)	(4,634,040)
Profit or loss (Note 16)									
Due to rate reduction (Note 16.1.3)	(70,008)	(70,943)	778,528	-	69,070	-	-	17,999	724,646
Due to change in temporary differences	(36,766)	(238,811)	(2,843,501)	-	358,617	-	-	5,559	(2,754,902)
Other comprehensive income									
Due to rate reduction (Note 16.1.3)	-	-	-	(166,311)	205,792	-	(102,123)	-	(62,642)
Due to change in temporary differences	-	-	-	-	673,017	-	(101,795)	-	571,222
Transfer to current tax liability - Capital gain tax on sale of equity shares (Note 39.1)	-	-	-	-	-	-	(2,242)	-	(2,242)
Balance as at 31st December 2021	383,283	186,850	(7,514,672)	997,869	(617,552)	-	508,696	(102,432)	(6,157,958)

Group

	Accelerated Depreciation for Tax Purposes		Provision for Loan Losses	Revaluation on Land & Buildings	Retirement Benefit Obligation	Tax Losses on Leasing Operation	Gain/(Loss) on FVOCI Assets	Others	Total
	Property, Plant & Equipment Rs 000	Leased Assets Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2020	420,174	912,277	(5,133,504)	2,318,708	(1,047,698)	(36,412)	314,173	(80,214)	(2,332,496)
Profit or loss (Note 16)	111,565	(211,750)	(157,636)	-	(110,621)	18,486	-	(87,919)	(437,875)
Other comprehensive income	-	-	-	-	(798,505)	-	400,682	-	(397,823)
Balance as at 31st December 2020	531,739	700,527	(5,291,140)	2,318,708	(1,956,824)	(17,926)	714,855	(168,133)	(3,168,194)
Balance as at 1st January 2021	531,739	700,527	(5,291,140)	2,318,708	(1,956,824)	(17,926)	714,855	(168,133)	(3,168,194)
Profit or loss (Note 16)									
Due to rate reduction (Note 16.1.3)	(75,963)	(100,075)	755,877	-	71,629	2,561	-	24,019	678,048
Due to change in temporary differences	(42,720)	(322,466)	(3,097,031)	-	354,433	15,365	-	(24,410)	(3,116,829)
Other comprehensive income									-
Due to rate reduction (Note 16.1.3)	-	-	-	(331,244)	207,917	-	(102,123)	-	(225,450)
Due to change in temporary differences	-	-	-	-	673,295	-	(101,795)	-	571,500
Transfer to current tax liability - Capital gain tax on sale of equity shares (Note 39.1)	-	-	-	-	-	-	(2,242)	-	(2,242)
Balance as at 31st December 2021	413,056	277,986	(7,632,294)	1,987,464	(649,550)	-	508,695	(168,524)	(5,263,167)

33 OTHER ASSETS

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Pre-paid expenses	421,849	490,771	482,133	552,975
Reimbursement under special senior citizen deposit scheme	6,764,928	2,892,315	6,764,928	2,892,315
Other debtors	4,515,202	2,329,086	5,858,320	3,290,972
Pre-paid staff cost (Note 33.1)	2,949,373	3,227,200	2,972,598	3,243,617
Refundable deposits	12,589	11,575	39,680	41,874
Commission receivable on financial guarantees (Note 33.2)	44,680	63,046	44,680	63,046
	14,708,621	9,013,993	16,162,339	10,084,799

33.1 The Movement in the Pre-Paid Staff Cost

	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Balance as at 1st January	3,227,200	3,328,078	3,243,617	3,346,470
Add: Adjustment for new grants (net of settlements)	45,120	190,405	65,379	204,847
Charge to personnel expenses	(322,947)	(291,283)	(336,398)	(307,700)
Balance as at 31st December	2,949,373	3,227,200	2,972,598	3,243,617

33.2 Commission Receivable on Financial Guarantees

Bank & Group

	2021 Rs 000	2020 Rs 000
Balance as at 1st January	63,046	79,071
Interest income	4,691	6,145
Commission received	(23,057)	(22,170)
Balance as at 31st December	44,680	63,046

34 DUE TO BANKS

ACCOUNTING POLICY

The accounting policies pertaining to "Due to Banks" are given in Note 3.4.3.7 to the Financial Statements.

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Deposits (Note 34.1)	422,503	1,148,252	422,503	1,148,252
Borrowings (Note 34.2)	23,230,744	33,936,952	31,109,790	41,756,794
Total due to banks	23,653,247	35,085,204	31,532,293	42,905,046

NOTES TO THE FINANCIAL STATEMENTS

34 DUE TO BANKS CONTD.

34.1 Deposits

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Local Currency Deposits		
Demand deposits	11,533	58,539
Savings deposits	171,868	583
Term deposits	229,518	25,777
Margin deposits	9,494	-
Total local currency deposits	422,413	84,899
Foreign Currency Deposits		
Demand deposits	90	1,063,353
Total foreign currency deposits	90	1,063,353
Total deposits	422,503	1,148,252

34.2 Borrowings

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Call borrowings	4,500,736	-	4,500,736	-
Term borrowings	-	-	7,878,340	7,818,911
Foreign bank borrowings	18,164,209	33,562,802	18,164,209	33,562,802
Unfavourable balances with local & foreign banks	565,799	374,150	566,505	375,081
Total borrowings	23,230,744	33,936,952	31,109,790	41,756,794

The Bank/Group has not had any default of principal and interest with regard to any liability during 2020 and 2021.

35 DUE TO DEPOSITORS

ACCOUNTING POLICY

The accounting policies pertaining to "Due to Depositors" are given in Note 3.4.3.7 to the Financial Statements.

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Local Currency Deposits				
Demand deposits	58,918,844	49,024,743	58,817,154	49,004,248
Saving deposits	347,819,516	265,552,863	347,325,247	265,158,008
Call deposits	28,865	148,798	28,865	148,798
Term deposits	422,241,184	452,056,465	439,208,765	469,245,653
Certificates of deposits	13,266,157	13,758,250	13,266,157	13,758,250
Margin deposits	6,676,008	1,625,527	6,676,008	1,625,527
Total local currency deposits	848,950,574	782,166,646	865,322,196	798,940,484
Foreign Currency Deposits				
Demand deposits	6,419,632	4,940,470	6,419,632	4,940,470
Saving deposits	33,990,617	28,326,652	33,990,617	28,326,652
Term deposits	88,399,147	70,021,326	88,399,147	70,021,326
Margin deposits	185,982	269,807	185,982	269,807
Total foreign currency deposits	128,995,378	103,558,255	128,995,378	103,558,255
Total deposits	977,945,952	885,724,901	994,317,574	902,498,739

35.1 Analysis of Due to Depositors

35.1.1 By Product

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Demand deposits	65,338,476	53,965,213	65,236,786	53,944,718
Saving deposits	381,810,133	293,879,515	381,315,864	293,484,660
Call deposits	28,865	148,798	28,865	148,798
Term deposits	510,640,331	522,077,791	527,607,912	539,266,979
Certificates of deposits	13,266,157	13,758,250	13,266,157	13,758,250
Margin deposits	6,861,990	1,895,334	6,861,990	1,895,334
Total deposits	977,945,952	885,724,901	994,317,574	902,498,739

NOTES TO THE FINANCIAL STATEMENTS

35 DUE TO DEPOSITORS CONTD.

35.1.2 By Currency

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Sri Lankan Rupee	848,950,574	782,166,646	865,322,196	798,940,484
United States Dollar	118,965,520	94,474,411	118,965,520	94,474,411
Euro	2,716,417	2,194,242	2,716,417	2,194,242
Great Britain Pounds	3,119,970	2,430,053	3,119,970	2,430,053
Australian Dollar	2,516,583	2,568,032	2,516,583	2,568,032
Japanese Yen	216,015	862,037	216,015	862,037
New Zealand Dollar	506,512	474,983	506,512	474,983
Singapore Dollar	190,028	160,834	190,028	160,834
Others	764,333	393,663	764,333	393,663
Total deposits	977,945,952	885,724,901	994,317,574	902,498,739

35.1.3 Current Accounts and Savings Accounts (CASA)

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
CASA				
Local Currency Deposits				
-Due to banks	183,401	59,122	183,401	59,122
-Due to depositors	406,738,360	314,577,606	406,142,401	314,162,256
Total local currency deposits	406,921,761	314,636,728	406,325,802	314,221,378
Foreign Currency Deposits				
-Due to banks	90	1,063,353	90	1,063,353
-Due to depositors	40,410,249	33,267,122	40,410,249	33,267,122
Total foreign currency deposits	40,410,339	34,330,475	40,410,339	34,330,475
Total CASA deposits	447,332,100	348,967,203	446,736,141	348,551,853
Total Deposits				
Due to bank - Demand, savings, term & margin deposits (Note 34.1)	422,503	1,148,252	422,503	1,148,252
Due to depositors	977,945,952	885,724,901	994,317,574	902,498,739
	978,368,455	886,873,153	994,740,077	903,646,991
CASA as a percentage (%) of total deposits	45.7	39.3	44.9	38.6

36 DUE TO OTHER BORROWERS

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Foreign currency borrowings	-	287,959
Refinance borrowings	14,434,115	15,201,834
	14,434,115	15,489,793

The Bank/Group has not had any default of principal and interest with regard to any liability during 2020 and 2021.

37 DUE TO DEBT SECURITIES HOLDERS

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Redeemable debentures (Note 37.1)	27,996,119	28,031,975	34,263,734	33,872,527
Long term bond (Note 37.2)	3,010,473	2,758,032	3,010,473	2,758,032
Securitisation	-	-	-	447,924
Total	31,006,592	30,790,007	37,274,207	37,078,483
Due within 1 year	7,496,119	7,531,975	8,763,734	8,960,451
Due after 1 year	23,510,473	23,258,032	28,510,473	28,118,032
Total	31,006,592	30,790,007	37,274,207	37,078,483
Senior debt	-	-	2,109,726	3,229,202
Subordinated debt	31,006,592	30,790,007	35,164,481	33,849,281
Total	31,006,592	30,790,007	37,274,207	37,078,483

37.1 Redeemable Debentures

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Balance as at 1st January	28,031,975	35,115,290	33,872,527	38,844,827
Debentures issued	6,000,000	-	7,500,000	2,000,000
Debentures redeemed	(6,000,000)	(7,000,000)	(7,078,010)	(7,000,000)
	28,031,975	28,115,290	34,294,517	33,844,827
Interest accrued during the year	3,384,967	4,029,402	4,090,611	4,614,388
Interest paid	(3,420,823)	(4,112,717)	(4,121,394)	(4,586,688)
Balance as at 31st December	27,996,119	28,031,975	34,263,734	33,872,527

37 DUE TO DEBT SECURITIES HOLDERS CONTD.

37.1.1 Details of Debentures issued

Category	Colombo Stock Exchange Listing	No. of Debentures	Face Value Rs 000	Rate of Interest	Interest Payable Frequency	Tenor	Allotment Date	Maturity Date	Amortised Cost As at 31.12.2021 Rs 000	Amortised Cost As at 31.12.2020 Rs 000
Debentures issued by the Bank*										
Fixed Rate Debentures										
2016	Listed	59,526,500	5,952,650	12.75%	Annually	5 years	10-Jun-16	10-Jun-21	-	6,378,917
2017	Listed	60,000,000	6,000,000	12.50%	Semi - annually	5 years	21-Dec-17	21-Dec-22	6,022,603	6,022,603
2018	Listed	75,000,000	7,500,000	12.50%	Semi - annually	5 years	20-Mar-18	20-Mar-23	7,764,555	7,764,555
2019	Listed	70,000,000	7,000,000	13.90%	Annually	5 years	28-Feb-19	28-Feb-24	7,818,386	7,818,386
2021	Listed	60,000,000	6,000,000	9.00%	Annually	7 years	12-Apr-21	12-Apr-28	6,390,575	-
Floating Rate Debentures										
2016	Listed	473,500	47,350	Six months T - bill rate (gross) + 1.00 %	Semi - annually	5 years	10-Jun-16	10-Jun-21	-	47,514
Total debentures issued by the Bank									27,996,119	28,031,975
Debentures issued by the Subsidiary, Siyapatha Finance PLC**										
Fixed Rate Debentures										
2016	Listed	10,780,100	1,078,010	13.50%	Annually	5 years	20-Sep-16	20-Sep-21	-	1,119,476
2017	Listed	10,000,000	1,000,000	12.50%	Annually	5 years	4-Oct-17	4-Oct-22	1,030,479	1,030,822
2019	Listed	15,000,000	1,500,000	13.33%	Annually	5 years	8-Aug-19	8-Aug-24	1,579,980	1,580,528
2020	Listed	20,000,000	2,000,000	11.25%	Annually	3 years	7-Jul-20	7-Jul-23	2,109,726	2,109,726
2021	Listed	15,000,000	1,500,000	9.46%	Annually	5 Years	1-Sep-21	31-Aug-26	1,547,430	-
Total debentures issued by the Subsidiary									6,267,615	5,840,552
Total debentures issued by the Group									34,263,734	33,872,527

* Since 2017, the Bank has issued Basel III Tier II compliant listed rated unsecured subordinated redeemable debentures with a non-viability conversion at a par value of Rs 100/- each.

** Siyapatha Finance PLC has issued rated unsecured redeemable debentures at a par value of Rs 100/- each. The debentures issued in 2016 and 2020 are senior debentures whilst all others are subordinated debentures.

The Bank & Siyapatha Finance PLC have redeemed the debentures issued in 2016 on 10th June 2021 and 20th September 2021 respectively.

37.2 Long Term Bond

Bank & Group

In 2003, the Bank issued a 20-year redeemable zero coupon bond with a redemption value of Rs 3,458 Mn. This bond will mature on 1st August 2023.

	2021 Rs 000	2020 Rs 000
Balance as at 1st January	2,758,032	2,526,759
Interest accrued	252,441	231,273
Balance as at 31st December	3,010,473	2,758,032

38 RETIREMENT BENEFIT OBLIGATION

ACCOUNTING POLICY

The accounting policies pertaining to "Retirement Benefit Obligation" are given in Note 13 to the Financial Statements.

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Provision for gratuity (Note 38.1)	1,600,635	1,522,464	1,733,970	1,639,530
Leave accrual plan (Note 38.2)	278,946	285,940	278,946	285,940
EPF Interest guarantee plan (Note 38.3)	128,446	148,486	128,446	148,486
Liability for pension fund (Note 38.4)	565,100	4,914,702	565,100	4,914,702
	2,573,127	6,871,592	2,706,462	6,988,658

38.1 Provision for Gratuity

38.1.1 Movement of Defined Benefit Obligation during the year

	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Balance as at 1st January	1,522,464	1,199,928	1,639,530	1,290,067
Current service cost	140,616	135,254	164,110	154,500
Interest expenses	111,140	122,393	120,331	131,752
Benefits paid from plan	(48,007)	(38,122)	(57,908)	(43,081)
Actuarial gain due to changes in assumptions				
- Financial assumptions	(97,278)	(8,883)	(104,921)	(4,216)
- Demographic assumptions	(64,394)	-	(68,590)	-
Actuarial experience loss	36,094	111,894	41,418	110,508
Balance as at 31st December	1,600,635	1,522,464	1,733,970	1,639,530

NOTES TO THE FINANCIAL STATEMENTS

38 RETIREMENT BENEFIT OBLIGATION CONTD.

38.1.2 Amounts Recognised in Profit or Loss

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Current service cost	140,616	135,254	164,110	154,500
Interest expenses	111,140	122,393	120,331	131,752
Total amount recognised in profit or loss (Note 13)	251,756	257,647	284,441	286,252

38.1.3 Amounts Recognised in OCI

For the year ended 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Actuarial gain due to changes in assumptions*				
- Financial assumptions	(97,278)	(8,883)	(104,921)	(4,216)
- Demographic assumptions	(64,394)	-	(68,590)	-
Actuarial experience loss arising during the year	36,094	111,894	41,418	110,508
Total actuarial loss recognised in OCI	(125,578)	103,011	(132,093)	106,292

*Significant assumptions used for the actuarial valuation are given in Note 38.1.4

An Actuarial valuation of the gratuity fund of the Bank was carried out as at 31st December 2021 by Mr Piyal S Goonetilleke (Fellow of Society of Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

38.1.4 Actuarial Assumptions - Bank

As at 31st December	2021	2020
Financial assumptions*		
Discount rate	11.6%	7.3%
Future salary increment rate	10.8%	7.0%
Demographic assumptions		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table
Retirement age**	60 years	55 years

*Discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. Future salary increment rate too was revised to fall in line with the increase in market interest rates.

**As per the Minimum Retirement Age of Workers Act No. 28 of 2021, the minimum retirement age of private sector employees was extended to 60 years.

Expected average future working life of the active participants is 13.4 years (2020: 11.1 years).

38.1.5 Sensitivity of Assumptions Employed in Gratuity Valuation - Bank

Reasonably possible changes at the reporting date to one of the significant actuarial assumptions, holding other assumptions constant, would have affected the gratuity liability/Statement of Comprehensive Income by the amounts shown below.

Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	2021		2020	
		Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Gratuity Liability Increase/ (Decrease) in Liability Rs Mn	Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Gratuity Liability Increase/ (Decrease) in Liability Rs Mn
1%	-	158.3	(158.3)	179.5	(179.5)
(1%)	-	(190.2)	190.2	(215.4)	215.4
-	1%	(187.4)	187.4	(209.7)	209.7
-	(1%)	159.1	(159.1)	178.5	(178.5)

All subsidiaries of the Group carry out actuarial valuations to ascertain their respective gratuity liabilities. However assumptions and the sensitivity of the assumptions have been given only for the gratuity fund of the Bank since subsidiary gratuity liabilities do not have a material impact on the Group Financial Statements.

38.2 Leave Accrual Plan

38.2.1 Liability Recognised in the Statement of Financial Position

Bank & Group

	2021 Rs 000	2020 Rs 000
Balance as at 1st January	285,940	236,628
Provision made during the year	(6,994)	49,312
Balance as at 31st December	278,946	285,940

NOTES TO THE FINANCIAL STATEMENTS

38 RETIREMENT BENEFIT OBLIGATION CONTD.

38.3 EPF Interest Guarantee Plan

Employees' Provident Fund (EPF) is an approved private provident fund which has been set up to meet the provident fund liabilities of the Bank to which the Bank and employees contribute 12% and 8% respectively on the salary of each employee. Employees who are members of the fund are entitled to receive interest at a guaranteed rate of National Savings Bank's one year fixed deposit rate (net of income tax) on their balance even if the fund earns a lower return from its investment in a given financial year. As per Section 8 of the EPF Constitution, the Bank shall contribute any shortfall in the revenue account of the fund, after payment of interest at the said rate and other cost of administering the fund. Thus the Bank's obligation to EPF is not limited to 12% contribution referred to above and accordingly the fund was treated as a defined benefit liability as per Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits). An actuarial valuation was carried out by Mr Piyal S Goonetilleke (Fellow of Society of Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries to value the Bank's additional obligation arising from Section 8 of the EPF constitution as at 31st December 2021.

38.3.1 Movement of the Liability Recognised in the Statement of Financial Position

Bank & Group

	2021 Rs 000	2020 Rs 000
Balance as at 1st January	148,486	117,105
Current service cost and interest cost	21,733	20,977
Actuarial (gain)/loss	(41,773)	10,404
Balance as at 31st December	128,446	148,486

38.3.2 Amounts Recognised in Profit or Loss

Bank & Group

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Current service cost	10,892	9,069
Interest expense on defined benefit liability	10,841	11,908
Total amount recognised in profit or loss	21,733	20,977

38.3.3 Amounts Recognised in OCI

Bank & Group

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Actuarial (gain)/loss due to changes in assumptions*		
Financial assumptions	(69,456)	10,776
Demographic assumptions	40,405	-
Actuarial gain due to experience adjustments	(12,722)	(372)
Total amount recognised in OCI	(41,773)	10,404

* Significant assumptions used for the actuarial valuation are given in Note 38.3.4.

38.3.4 Actuarial Assumptions - Bank

	2021	2020
Financial assumptions*		
Discount rate	11.6%	7.3%
Future salary increment rate	10.8%	7.0%
Return from EPF investments	4.5%	4.5%
Long term guaranteed EPF interest rate (net of tax)	4.7%	4.7%
Demographic assumptions		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table

Expected average future working life of the active participants is 13.4 years (2020: 11.1 years)

* Discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. Future salary increment rate too was revised to fall in line with the increase in market interest rates.

38.3.5 Sensitivity of Assumptions Employed in EPF Interest Guarantee Plan Valuation

Reasonably possible changes at the reporting date to one of the significant actuarial assumptions, holding other assumptions constant, would have affected the EPF interest guarantee liability/Statement of Comprehensive Income by the amounts shown below.

Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	2021		2020	
		Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Liability Rs Mn	Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Liability Rs Mn
1%	-	13.3	(13.3)	16.5	(16.5)
(1%)	-	(15.6)	15.6	(19.5)	19.5
-	1%	(3.1)	3.1	(3.4)	3.4
-	(1%)	2.8	(2.8)	3.1	(3.1)

38.4 Pension Fund

38.4.1 Net Liability Recognised in the Statement of Financial Position

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Present value of funded obligations as at 31st December (Note 38.4.4)	9,012,682	12,661,904
Fair value of plan assets as at 31st December (Note 38.4.5)	(8,447,582)	(7,747,202)
Funded status	565,100	4,914,702
Present value of unfunded benefit obligation	-	-
Net liability recognised in the Statement of Financial Position	565,100	4,914,702

NOTES TO THE FINANCIAL STATEMENTS

38 RETIREMENT BENEFIT OBLIGATION CONTD.

38.4.2 Amounts Recognised in Profit or Loss

Bank & Group

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Current service cost	407,154	322,432
Net interest expense on the net defined benefit liability	408,515	247,183
Gain on plan amendments (Note 13.1)	(1,958,789)	-
Total amount recognised in profit or loss (Note 13)	(1,143,120)	569,615

38.4.3 Amounts Recognised in OCI

Bank & Group

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Actuarial (gain)/loss due to changes in assumptions*		
- Financial assumptions	(3,211,157)	2,386,548
- Demographic assumptions	-	-
Actuarial loss/(gain) due to experience adjustments	454,564	(1,798)
Actuarial loss from plan assets	119,711	350,356
Total amount recognised in OCI	(2,636,882)	2,735,106

* Significant assumptions used for the actuarial valuation are given in Note 38.4.6

38.4.4 Defined Benefit Obligation Reconciliation

Bank & Group

	2021 Rs 000	2020 Rs 000
Defined benefit obligation as at 1st January	12,661,904	9,216,234
Current service cost	407,154	322,432
Interest cost	1,012,952	1,013,786
Gain on plan amendments (Note 13.1)	(1,958,789)	-
Actual benefits paid from plan	(353,946)	(275,298)
Actuarial (gain)/loss due to changes in assumptions		
- Financial assumptions	(3,211,157)	2,386,548
- Demographic assumptions	-	-
Actuarial loss/(gain) due to experience adjustments	454,564	(1,798)
Defined benefit obligation as at 31st December	9,012,682	12,661,904

38.4.5 Fair Value of Plan Assets Reconciliation

Bank & Group

	2021 Rs 000	2020 Rs 000
Fair value of plan assets as at 1st January	7,747,202	7,118,253
Interest income on plan assets	604,437	766,603
Actual employer contributions	569,600	488,000
Actual benefits paid from plan	(353,946)	(275,298)
Actuarial loss from plan assets	(119,711)	(350,356)
Fair value of plan assets as at 31st December (Note 38.4.5 (a))	8,447,582	7,747,202

An actuarial valuation of the Pension Fund was carried out as at 31st December 2021 by Mr Piyal S Goonetilleke (Fellow of Society Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

38.4.5 (a) Fair Value of Plan Assets Consists of the Following

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Equity securities & debentures - quoted	1,410,580	676,908
Term deposits	5,922,265	6,405,731
Others	1,114,737	664,563
Fair value of plan assets	8,447,582	7,747,202

38.4.6 Actuarial Assumptions

Bank & Group

As at 31st December	2021	2020
Financial assumptions*		
Discount rate	11.8%	8.0%
Future salary increment rate	10.8%	7.0%
Expected return on assets	11.8%	8.0%
Demographic assumptions		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table

Expected average future life of the active and retired participants is 30.5 years (2020: 31.5 years).

The weighted average duration of the defined benefit obligation is 13.1 years (2020: 13.1 years).

* Discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. Future salary increment rate too was revised to fall in line with the increase in market interest rates.

NOTES TO THE FINANCIAL STATEMENTS

38 RETIREMENT BENEFIT OBLIGATION CONTD.

38.4.7 Sensitivity of Assumptions Employed in Pension Fund Valuation

Reasonably possible changes at the reporting date to one of the significant actuarial assumptions, holding other assumptions constant, would have affected the net pension liability/Statement of Comprehensive Income by the amounts shown below.

Increase/ (Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	2021		2020	
		Sensitivity Effect on Statement of Comprehensive Income Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Net Pension Liability Rs Mn	Sensitivity Effect on Statement of Comprehensive Income Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Net Pension Liability Rs Mn
1%	-	952.9	(952.9)	1,361.5	(1,361.5)
(1%)	-	(1,128.6)	1,128.6	(1,640.3)	1,640.3
-	1%	(532.3)	532.3	(518.9)	518.9
-	(1%)	486.7	(486.7)	483.4	(483.4)

39 CURRENT TAX LIABILITIES/(RECEIVABLES)

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Current tax liabilities	7,524,844	4,674,756	8,375,511	4,792,904
Current tax receivables	-	-	(4,177)	(42,883)
Net current tax liability (Note 39.1)	7,524,844	4,674,756	8,371,334	4,750,021

39.1 Current Tax Liabilities/(Receivables)

	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Balance as at 1st January	4,674,756	7,427,315	4,750,021	7,789,199
Current tax based on profit for the year (Note 16)	7,224,162	4,137,004	8,270,591	4,485,988
Over provision in respect of previous years (Note 16)				
Due to rate reduction	(817,459)	-	(882,241)	-
Other (reversal)/charge including settlements	-	(490,640)	19,076	(601,050)
Transferred from deferred tax - derecognition of equity instruments at FVOCI (Note 32.1)	2,242	-	2,242	-
Payment of tax	(3,558,857)	(6,398,923)	(3,788,355)	(6,924,116)
Balance as at 31st December	7,524,844	4,674,756	8,371,334	4,750,021

40 OTHER LIABILITIES

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Deposit insurance premium payable	243,607	206,184	245,723	208,191
Deferred income	406,434	488,814	406,434	488,814
Lease liability (Note 31.1)	3,726,611	3,779,635	3,493,648	3,210,792
Pay orders and drafts issued	1,209,797	1,678,585	1,209,797	1,678,585
Items in transit	4,594,357	3,987,671	4,594,357	3,987,671
Accrued expenses	3,826,035	3,709,857	3,969,311	3,823,710
Impairment provision for expected credit loss - credit related commitments & contingencies (Note 45.2)	2,259,974	1,685,806	2,224,118	1,686,923
Other payable (Note 40.1)	2,843,427	2,997,402	4,770,150	4,488,050
	19,110,242	18,533,954	20,913,538	19,572,736

40.1 Other payable includes amounts payable to credit/debit card merchants on account of point-of-sale transactions, amounts payable to vendors on account of finance lease transactions, unclaimed balances and other miscellaneous payable balances that have arisen in the ordinary course of business of the Bank/Group.

41 STATED CAPITAL

Bank & Group

	2021 Rs 000	2020 Rs 000
Balance as at 1st January	47,622,493	47,622,493
Rights issue	-	-
Scrip dividend	-	-
Balance as at 31st December	47,622,493	47,622,493

Rights, preferences and restrictions of classes of capital

The holders of ordinary shares have the right to receive dividend as declared from time to time and are entitled to one vote per share at the Annual General Meeting of the Bank.

41.1 Reconciliation of Number of Shares

Bank & Group

	2021	2020
Ordinary shares as at 1st January	381,457,985	381,457,985
Shares issued under sub-division	762,915,970	-
Ordinary shares as at 31st December	1,144,373,955	381,457,985

NOTES TO THE FINANCIAL STATEMENTS

42 STATUTORY RESERVE FUND

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Balance as at 1st January	4,450,000	4,040,000	4,635,000	4,204,000
Transfer during the year	625,000	410,000	680,000	431,000
Balance as at 31st December	5,075,000	4,450,000	5,315,000	4,635,000

The statutory reserve fund is maintained as required by the section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to not less than 5% of the profit after tax before any dividend is declared or any profits are transferred to elsewhere, should be transferred to above reserve until the reserve is equal to 50% of the Bank's stated capital. Thereafter, a further sum equivalent to 2% of such profits should be transferred to the statutory reserve fund until the amount of the said reserve fund is equal to the stated capital of the Bank.

Siyapatha Finance PLC too transfers 5% of its profit after tax, to the statutory reserve fund, as required by the Finance Companies (Capital Funds) Direction No. 01 of 2003.

43 OTHER RESERVES

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Revaluation reserve (Note 43.1)	3,159,910	2,993,599	6,293,636	5,962,392
Fair value through other comprehensive income reserve (Note 43.2)	1,618,637	1,838,203	1,618,637	1,838,203
General reserve (Note 43.3)	52,468,905	46,455,786	52,468,905	46,455,786
	57,247,452	51,287,588	60,381,178	54,256,381

43.1 Revaluation Reserve

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Balance as at 1st January	2,993,599	2,993,599	5,962,392	5,962,392
Revaluation surplus	-	-	-	-
Deferred tax effect on revaluation surplus due to rate change	166,311	-	331,244	-
Balance as at 31st December	3,159,910	2,993,599	6,293,636	5,962,392

43.2 Fair Value through Other Comprehensive Income Reserve

Bank & Group

	2021 Rs 000	2020 Rs 000
Balance as at 1st January	1,838,203	807,879
Loss on re-measurement - debt instruments at FVOCI	(1,381,203)	(8,030)
Reclassification to profit or loss - debt instruments at FVOCI	(30,313)	(179,418)
Changes in impairment for expected credit losses - debt instruments at FVOCI (Note 12)	34,373	19,527
Gain on re-measurement - equity instruments at FVOCI	670,639	1,555,933
Exchange differences - equity instruments at FVOCI	290,118	42,994
Deferred tax effect (Note 32.1)		
Due to rate reduction	102,123	-
Due to change in temporary differences	101,795	(400,682)
Realised gain (net of tax) from derecognition of equity instruments at FVOCI (Note 44)	(7,098)	-
Balance as at 31st December	1,618,637	1,838,203

43.3 General Reserve

The Board of Directors decides the amount to be transferred to general reserve from retained earnings after retaining a substantial amount to pay proposed dividend. The purpose of setting up the general reserve is to meet the potential future unknown commitments.

Bank & Group

	2021 Rs 000	2020 Rs 000
Balance as at 1st January	46,455,786	43,435,171
Unclaimed dividend adjustments	13,119	20,615
Transfer during the year	6,000,000	3,000,000
Balance as at 31st December	52,468,905	46,455,786

44 RETAINED EARNINGS

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Balance as at 1st January	4,188,723	6,106,642	7,900,780	9,424,692
Profit for the year	12,457,497	8,025,147	13,856,461	8,442,516
Actuarial gain/(loss) on defined benefit plans	2,804,233	(2,848,521)	2,810,748	(2,851,802)
Deferred tax effect including the effect of rate change on the opening balance	(878,809)	797,586	(881,212)	798,505
Final dividend for 2019: Cash	-	(4,482,131)	-	(4,482,131)
Final dividend for 2020: Cash	(3,147,028)	-	(3,147,028)	-
Realised gain (net of tax) from derecognition of equity instruments at FVOCI (Note 43.2)	7,098	-	7,098	-
Transfers to reserves during the year	(6,625,000)	(3,410,000)	(6,680,000)	(3,431,000)
Balance as at 31st December	8,806,714	4,188,723	13,866,847	7,900,780

NOTES TO THE FINANCIAL STATEMENTS

45 COMMITMENTS AND CONTINGENCIES

ACCOUNTING POLICY

The accounting policies pertaining to "Commitments and Contingencies" are given in Note 3.4.3.8 to the Financial Statements.

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Credit related commitments & contingencies				
Undrawn-direct credit facilities	143,494,436	159,176,139	140,198,530	153,070,089
Undrawn-indirect credit facilities	59,795,048	54,713,490	59,795,048	54,713,490
Acceptances	39,919,592	31,898,963	39,919,592	31,898,963
Documentary credit	43,802,445	24,813,773	43,802,445	24,813,773
Guarantees	56,775,326	53,735,658	56,781,526	53,742,158
	343,786,847	324,338,023	340,497,141	318,238,473
Other commitments & contingencies				
Capital commitments (Note 45.3)	1,010,914	1,299,104	2,029,715	2,961,541
Operating lease commitments - as lessee (Note 45.4)	41,162	41,502	41,162	41,502
Forward exchange contracts	8,158,869	67,793,651	8,158,869	67,793,651
Currency SWAPs	41,341,864	90,619,275	41,341,864	90,619,275
	50,552,809	159,753,532	51,571,610	161,415,969
Total gross commitments & contingencies	394,339,656	484,091,555	392,068,751	479,654,442
Impairment for expected credit losses-credit related commitments & contingencies (Note 45.2)	(2,259,974)	(1,685,806)	(2,224,118)	(1,686,923)
Commitments & contingencies - net of impairment for expected credit losses	392,079,682	482,405,749	389,844,633	477,967,519

45.1 Analysis of Credit Related Commitment and Contingencies based on the Exposure to Credit Risk

Bank

As at 31st December 2021	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Undrawn-direct credit facilities	125,728,863	17,762,843	2,730	143,494,436
Undrawn-indirect credit facilities	46,405,880	13,354,168	35,000	59,795,048
Acceptances	35,743,417	3,905,063	271,112	39,919,592
Documentary credit	38,945,289	4,581,030	276,126	43,802,445
Guarantees	42,432,518	13,731,625	611,183	56,775,326
Gross credit related commitments & contingencies	289,255,967	53,334,729	1,196,151	343,786,847
Impairment for expected credit losses	(1,305,597)	(618,862)	(335,515)	(2,259,974)
Net credit related commitments & contingencies	287,950,370	52,715,867	860,636	341,526,873

As at 31st December 2020	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Undrawn-direct credit facilities	150,889,460	7,675,919	610,760	159,176,139
Undrawn-indirect credit facilities	40,805,210	13,887,280	21,000	54,713,490
Acceptances	27,224,415	4,471,154	203,394	31,898,963
Documentary credit	19,387,522	5,374,061	52,190	24,813,773
Guarantees	40,056,611	12,555,693	1,123,354	53,735,658
Gross credit related commitments & contingencies	278,363,218	43,964,107	2,010,698	324,338,023
Impairment for expected credit losses	(1,155,451)	(348,123)	(182,232)	(1,685,806)
Net credit related commitments & contingencies	277,207,767	43,615,984	1,828,466	322,652,217

Group

As at 31st December 2021	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Undrawn-direct credit facilities	122,432,957	17,762,843	2,730	140,198,530
Undrawn-indirect credit facilities	46,405,880	13,354,168	35,000	59,795,048
Acceptances	35,743,417	3,905,063	271,112	39,919,592
Documentary credit	38,945,289	4,581,030	276,126	43,802,445
Guarantees	42,438,718	13,731,625	611,183	56,781,526
Gross credit related commitments & contingencies	285,966,261	53,334,729	1,196,151	340,497,141
Impairment for expected credit losses	(1,269,741)	(618,862)	(335,515)	(2,224,118)
Net credit related commitments & contingencies	284,696,520	52,715,867	860,636	338,273,023

As at 31st December 2020	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Undrawn-direct credit facilities	144,783,410	7,675,919	610,760	153,070,089
Undrawn-indirect credit facilities	40,805,210	13,887,280	21,000	54,713,490
Acceptances	27,224,415	4,471,154	203,394	31,898,963
Documentary credit	19,387,522	5,374,061	52,190	24,813,773
Guarantees	40,063,111	12,555,693	1,123,354	53,742,158
Gross credit related commitments & contingencies	272,263,668	43,964,107	2,010,698	318,238,473
Impairment for expected credit losses	(1,156,568)	(348,123)	(182,232)	(1,686,923)
Net credit related commitments & contingencies	271,107,100	43,615,984	1,828,466	316,551,550

45.2 Impairment for Expected Credit Losses- Credit Related Commitments and Contingencies

	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Stage 1				
Balance as at 1st January	1,155,451	775,864	1,156,568	775,981
Net charge for the year (Note 12)	150,146	379,587	113,173	380,587
Amounts written off during the year	-	-	-	-
Other adjustments	-	-	-	-
Balance as at 31st December	1,305,597	1,155,451	1,269,741	1,156,568
Stage 2				
Balance as at 1st January	348,123	297,123	348,123	297,282
Net charge for the year (Note 12)	270,739	51,000	270,739	50,841
Amounts written off during the year	-	-	-	-
Other adjustments	-	-	-	-
Balance as at 31st December	618,862	348,123	618,862	348,123
Stage 3				
Balance as at 1st January	182,232	344,241	182,232	344,241
Net charge/(reversal) for the year (Note 12)	153,283	(162,009)	153,283	(162,009)
Amounts written off during the year	-	-	-	-
Other adjustments	-	-	-	-
Balance as at 31st December	335,515	182,232	335,515	182,232
Total				
Balance as at 1st January	1,685,806	1,417,228	1,686,923	1,417,504
Net charge for the year (Note 12)	574,168	268,578	537,195	269,419
Amounts written off during the year	-	-	-	-
Other adjustments	-	-	-	-
Balance as at 31st December	2,259,974	1,685,806	2,224,118	1,686,923

NOTES TO THE FINANCIAL STATEMENTS

45 COMMITMENTS AND CONTINGENCIES CONTD.

45.3 Capital Commitments

Capital expenditure approved by the Board of Directors, for which provisions have not been made in the accounts are detailed below.

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Approved & contracted for	244,883	347,005	1,263,684	2,009,442
Approved but not contracted for	766,031	952,099	766,031	952,099
	1,010,914	1,299,104	2,029,715	2,961,541

45.4 Operating Lease Commitments - As Lessee

Bank & Group

As at 31st December	2021 Rs 000	2020 Rs 000
Less than 1 year	41,162	41,502
More than 1 year	-	-
	41,162	41,502

45.5 Other Contingent Liabilities

45.5.1 Litigation against the Bank

Litigation is a common occurrence in the banking industry due to the nature of its business and in that light, the Bank has formal controls and policies in place for managing and defending any legal actions instituted against it. Pursuant to obtaining professional advice and estimating any loss likely to be incurred by the Bank if any, adjustments are made to the accounts of the Bank in order to accommodate any adverse effects that such claims may have on its financial standing.

i. The following cases instituted against the Bank are currently being adjudicated before Court:

(a) Case No. DMR 1904/2012

The Plaintiff instituted this action against the Bank claiming a sum of Rs 2.5 Mn as damages on the purported basis that the Bank had illegally handed over the Certificate of Registration pertaining to the vehicle leased under the Lease Agreement No. L/0/16/SBL/Kuli, to the Plaintiff's spouse. The consent letter given by the Plaintiff in respect of such transfer is being challenged by the Plaintiff. While the District Court delivered judgment in favour of the Bank, the appeal preferred therefrom by the Plaintiff is currently pending before Civil Appellate Court.

(b) Case No. 7058/DMR

The Plaintiff instituted this action against the Bank, claiming a sum of Rs 20 Mn on the purported basis that the Bank has increased the rate of interest in respect of the housing loan obtained by the Plaintiff thereby causing loss to the Plaintiff. While the case is currently being adjudicated before the District Court, the Bank has been advised that the letter of offer given to the Plaintiff confirms that the Bank has the right to increase the rate of interest.

(c) DC Colombo Case No. 891/13

The above case was instituted against the Bank claiming damages for Rs 143 Mn on the purported basis that the Bank has unlawfully auctioned a property under the provisions of Act No. 4 of 1990. The Bank has taken up the position that it has at all times acted in strict conformity with the applicable law.

(d) CHC Colombo Case No. 29/13/MR

The Plaintiff has filed this action against the Bank claiming damages in a sum of Rs 40 Mn on the alleged basis that the Bank illegally suspended his credit balance of Rs 299,209.43 resulting in two cheques issued by him being dishonoured. Over Rs 3 Mn is due to the Bank from the said customer on a charge back created through the payment gateway, which was utilised by the customer. The Bank is defending this action on the basis of the right of set off recognised by law relating to banking facilities. Judgment has since been delivered in favour of the Bank.

An appeal was preferred to Supreme Court by the Plaintiff and the appeal is yet to be taken up for hearing.

(e) CHC Colombo Case No. 299/13/MR

The Plaintiff instituted the above action against the Bank claiming damages in a sum of Rs 250 Mn on the purported basis that the Bank has unlawfully suspended the operation of his current account and the payment gateway facility provided to him by the Bank.

A sum in excess of Rs 3 Mn is due to the Bank from the Plaintiff on a charge back created through the payment gateway, utilised by the Plaintiff. The Bank is defending this action on the basis that it has right in law, to set-off dues against other facilities granted to the Plaintiff by the Bank. Judgment has been delivered in favour of the Bank.

An appeal was preferred to Supreme Court by the Plaintiff and the appeal is yet to be taken up for hearing.

(f) CHC Colombo Case No. CHC/167/2020/MR and Case No. CHC/168/2020/MR

The Plaintiffs have filed the above actions against the Bank claiming a sum of Rs 250 Mn and Rs 100 Mn respectively, from inter-alia the Bank on the purported basis that the Bank has erroneously uplifted the deposits and transferred monies from Plaintiff's personal and corporate accounts without his consent and knowledge. The Bank is of the view that it has acted as per the provisions of law.

The interim orders of the above cases were delivered in favour of the Bank by dissolving the enjoining orders and refusing to grant the interim reliefs sought. The action for damages is as yet proceeding.

(g) Case No. CA/WRIT/205/2020

This writ application has been filed by the Plaintiffs of CHC/167/2020/MR & CHC/168/2020/MR on the almost identical grounds and Court of Appeal dismissed the application of the petitioners on 18th November 2020.

An appeal was preferred to the Supreme Court under SC/SPL/LA/258/2020 by the petitioners against the judgement delivered in favour of the Bank and the same is pending to date.

(h) Case No. SC/SPL/LA/22/2020 & SC/SPL/LA/23/2020

These applications were preferred by the Plaintiffs of CHC/167/2020/MR and CHC/168/2020/MR against the order delivered in favour of the Bank by dissolving the enjoining orders and refusing to grant the interim reliefs sought.

ii. In addition to the above cases, the following cases have also been filed against the Bank in order to prevent the Bank from enforcing the mortgages to recover its dues:

(a) Nine actions have been filed in Supreme Court

(b) Eight actions have been filed in Court of Appeal

(c) Three actions have been filed in Civil Appeal Court

(d) Sixty seven actions have been filed in Commercial High Court

(e) One hundred and thirty five actions have been filed in District Courts

45.5.2 Litigation on Employment and Industrial Relations

There are no material legal issues outstanding against the Bank and the Group on employment and industrial relations as at 31st December 2021 and 2020.

45.5.3 Litigation against the Group

Siyapatha Finance PLC

(a) D C Kandy Case No. DLM/213/2018

Previous owner of the customer's property has filed an action against the present owner and Siyapatha Finance PLC, challenging the Deed of Transfer between herself and the customer. Siyapatha Finance PLC has already filed action against the customer under case No. CHC/452/18/MR demanding a sum of Rs 19,363,739.24, which is fixed for trial on 28/02/2022.

The maximum possible loss to Siyapatha would be Rs 20 Mn in the event the judgement is delivered in favour of the Plaintiff.

Other than those disclosed above there is no case filed against the Group which would have material impact on the financial position of the Group.

NOTES TO THE FINANCIAL STATEMENTS

46 NET ASSET VALUE PER SHARE

As at 31st December	Bank 2021	Bank 2020	Group 2021	Group 2020
Amounts used as the numerator:				
Total equity attributable to equity holders of the Bank (Rs)	118,751,659,221	107,548,804,150	127,185,518,241	114,414,654,175
Number of ordinary shares used as the denominator:				
Total number of shares	1,144,373,955	1,144,373,955*	1,144,373,955	1,144,373,955*
Net assets value per share (Rs)	103.77	93.98	111.14	99.98

*Restated based on the increased number of shares after the sub-division.

47 RELATED PARTY DISCLOSURES

The Bank and the Group carry out transactions in the ordinary course of business with the parties who are defined as related parties in the Sri Lanka Accounting Standards - LKAS 24 (Related Party Disclosures), the details of which are reported below.

47.1 Terms and Conditions

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Bank and is comparable with what is applied to transactions between the Bank/Group and its unrelated customers with similar credit standing.

47.2 Parent and Ultimate Controlling Party

The Bank does not have an identifiable parent of its own.

47.3 Transactions with Key Management Personnel (KMP)

As per Sri Lanka Accounting Standard - LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition, a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity).

Accordingly, the Board of Directors of the Bank are considered as KMP of the Bank and the Group.

47.3.1 Compensation to KMP

For the year ended 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Short term employment benefits				
Directors' fees & expenses	82,868	85,774	87,216	89,811
Short term benefits	87,894	69,425	87,894	69,425
Post-employment benefits	8,030	5,745	8,030	5,745
Total	178,792	160,944	183,140	164,981

47.3.2 Transactions with KMP and their Close Family Members (CFM)

CFMs of the KMP are those family members who may be expected to influence the KMP or be influenced by that KMP in their dealings with the entity. They may include KMP's spouse, children, domestic partner, children of the KMP's spouse/domestic partner and dependents of the KMP, KMP's spouse/domestic partner. Aggregate value of the transactions with KMP and their CFMs are disclosed below.

As at 31st December	2021			2020		
	Limit Rs 000	Closing Balance Rs 000	Average Balance Rs 000	Limit Rs 000	Closing Balance Rs 000	Average Balance Rs 000
Loans & advances	61,572	54,399	54,801	41,508	31,226	31,896
Credit cards	9,220	6,013	2,027	13,520	4,048	2,425
Indirect facilities	80,000	-	-	-	-	-
Deposits		171,325	169,262		141,854	214,936
Debentures		5,000	13,307		22,000	11,361

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Interest & other income	4,012	3,245
Interest expense	10,056	12,729
Cash dividend paid	5,500	7,821

No losses have been recorded against loan balances outstanding with KMP during the period and no specific provisions have been made under impairment losses against such balances as at the reporting date.

47.4 Transactions with Subsidiaries

Details of the subsidiaries are given in Note 28. Aggregate value of transactions with subsidiaries are disclosed below.

Subsidiary Company	Nature of Facility/Transaction	2021			2020		
		Limit Rs 000	Average Balance Rs 000	31st December Balance Rs 000	Limit Rs 000	Average Balance Rs 000	31st December Balance Rs 000
Sampath Centre Ltd	As at						
	Loans & advances	1,125,000	919,047	1,026,477	1,200,000	840,689	902,066
	Other assets		62,754	62,754		62,754	62,754
	Deposits		265,321	324,775		302,035	284,408
	Other liabilities		72,302	71,491		58,778	55,986
	For the year ended						
	Dividend income			22,938			35,391
	Income & fees received			89,042			120,381
	Expenses & fees paid			442,619			331,894
SC Securities (Pvt) Ltd	As at						
	Loans & advances	404,050	135,276	35,805	247,028	106,130	247,028
	Deposits		35,742	38,891		23,336	19,622
	Other liabilities		118,600	-		45,800	93,000
	Indirect facilities	-	1,400	-	1,750	1,750	1,750
	For the year ended						
	Dividend income			6,424			-
	Income & fees received			11,992			14,320
	Expenses & fees paid			7,605			1,768

NOTES TO THE FINANCIAL STATEMENTS

47 RELATED PARTY DISCLOSURES CONTD.

Subsidiary Company	Nature of Facility/Transaction	2021 Limit Rs 000	2021 Average Balance Rs 000	2021 31st December Balance Rs 000	2020 Limit Rs 000	2020 Average Balance Rs 000	2020 31st December Balance Rs 000
Siyapatha Finance PLC	As at						
	Loans & advances	5,483,333	3,233,639	2,941,719	6,720,333	4,633,093	2,974,558
	Deposits		89,632	158,642		531,148	136,425
	Other liabilities		200,000	-		208,873	1,000,000
	Indirect facilities	400,000	-	-	400,000	-	-
	For the year ended						
	Dividend income			123,214			142,959
	Income & fees received			243,738			603,602
	Expenses & fees paid			2,961			5,991
Sampath Information Technology Solutions Ltd	As at						
	Loans & advances	450,500	51,285	20,534	121,350	125,371	91,473
	Deposits		96,939	220,992		37,840	65,321
	Other liabilities		185,407	128,511		146,914	220,694
	Indirect facilities	25,000	11,095	16,466	6,840	3,496	6,840
	For the year ended						
	Dividend income			5,123			23,575
	Income & fees received			4,510			13,969
	Expenses & fees paid excluding reimbursement of expenses			250,586			310,392
	Purchase of computer hardware & software			44,789			23,887

The Directors' valuation of investments in subsidiaries has been carried out on net asset basis as at 31st December 2021. The net asset value of all subsidiary companies exceeded carrying value of the investments as at 31st December 2021. Accordingly, the Bank has not made any specific provisions under impairment losses against its investment in subsidiary companies as at the reporting date.

47.5 Transactions with Other Related Parties

47.5.1 Transactions with Entities Controlled and/or Jointly Controlled by KMP or their CFMs

As at 31st December	2021 Limit Rs 000	2021 Average Balance Rs 000	2021 Closing Balance Rs 000	2020 Limit Rs 000	2020 Average Balance Rs 000	2020 Closing Balance Rs 000
Loans & advances	6,651,700	862,238	329,651	1,500,700	100,335	300,985
Indirect facilities	93,500	9,095	37,193	100,000	821,958	-
Deposits		77,914	48,815		309,738	315,190

For the year ended 31st December	2021 Rs 000	2020 Rs 000
Interest & other income	47,515	4,410
Interest expense	525	11,975
Cash dividend	3,176	-

No losses have been recorded against loan balances outstanding with the entities controlled/jointly controlled by KMP/CFMs of KMP during the period and no specific provisions have been made under impairment losses against such balances as at the reporting date.

47.5.2 Transactions with Post Employment Benefit Plans of the Bank

Name of the Post Employment Benefit Plan	Nature of Transactions	2021 Average Balance Rs 000	2021 31st December Balance Rs 000	2020 Average Balance Rs 000	2020 31st December Balance Rs 000
Sampath Bank Employees' Provident Fund	As at				
	Deposits	1,739,751	1,433,765	2,366,390	2,566,906
	Debentures	811,708	943,500	376,200	376,200
	Interest payable	131,995	197,928	81,728	93,336
	For the year ended				
	Interest expense		207,368		245,234
Sampath Bank Employees' Pension Fund	As at				
	Deposits	559,192	51,730	1,595,808	1,369,177
	Debentures	658,833	809,000	155,000	155,000
	Investment in Sampath Bank Shares - market value	625,524	601,580	515,654	521,908
	Interest payable	54,002	56,549	63,241	64,475
	Net liability in the Bank's Financial Statements (Note 38.4.1)		565,100		4,914,702
	For the year ended				
	Interest expense		102,285		156,401
	Dividend paid - Cash		31,753		45,224

NOTES TO THE FINANCIAL STATEMENTS

48 SEGMENT INFORMATION

ACCOUNTING POLICY

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For management purposes, the Group has identified four operating segments based on products and services, as follows:

- Corporate Banking
- Retail and Personal Banking
- Dealing/Investment
- Others

Retail and personal banking includes the activities of Siyapatha Finance PLC in addition to the retail and personal banking business of the Bank. Dealing/Investment involves activities such as stock broking, securities dealing, investment banking and foreign currency related services.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses, which in certain respects, are measured differently from operating profits or losses in the Consolidated Financial Statements. Taxes are managed at an entity level and are not allocated to operating segments.

Interest income is reported net as management primarily relies on net interest income as a performance measure, not the gross income and expense.

Revenue from transactions with a single external customer or counterparty did not exceed 10% or more of the Bank's total revenue in 2021 or 2020.

The following table presents income, profit, total assets, total liabilities & cash flows of the Group's operating segments.

For the year ended 31st December	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Net interest income	12,258,017	8,356,218	22,623,532	22,088,041	10,636,651	6,383,074	-	-	-	-	45,518,200	36,827,333
Net fee & commission income	2,975,792	1,762,666	8,777,936	6,969,821	717,281	216,639	-	-	-	-	12,471,009	8,949,126
Net gain from trading	-	-	-	-	399,243	24,787	-	-	-	-	399,243	24,787
Net gain on derecognition of financial assets	-	-	-	-	150,413	423,814	-	-	-	-	150,413	423,814
Net other operating income	142,822	113,256	1,507,970	898,887	2,341,422	2,340,482	96,613	51,596	1,771,748	437,218	5,860,575	3,841,439
Total revenue from external customers	15,376,631	10,232,140	32,909,438	29,956,749	14,245,010	9,388,796	96,613	51,596	1,771,748	437,218	64,399,440	50,066,499
Inter segment (expense)/income	(342,033)	(323,784)	428,745	461,574	-	-	595,838	486,656	(682,550)	(624,446)	-	-
Total operating income	15,034,598	9,908,356	33,338,183	30,418,323	14,245,010	9,388,796	692,451	538,252	1,089,198	(187,228)	64,399,440	50,066,499
Less: Impairment charge	6,903,761	4,046,726	8,063,356	7,756,406	3,740,198	1,390,671	285	7,123	(148,400)	-	18,559,200	13,200,926
Net operating income	8,130,837	5,861,630	25,274,827	22,661,917	10,504,812	7,998,125	692,166	531,129	1,237,598	(187,228)	45,840,240	36,865,573
Less: Total operating expenses	441,498	409,923	13,861,521	12,543,615	482,004	288,202	472,601	397,583	7,461,733	7,942,390	22,719,357	21,581,713
Segment result	7,689,339	5,451,707	11,413,306	10,118,302	10,022,808	7,709,923	219,565	133,546	(6,224,135)	(8,129,618)	23,120,883	15,283,860
Less: Value added tax on financial services											4,295,777	3,394,281
Less: Income tax expenses											4,968,645	3,447,063
Profit for the year											13,856,461	8,442,516
Non-controlling interest											-	-
Profit attributable to equity holders of the Bank											13,856,461	8,442,516

As at 31st December	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Segment assets	356,821,940	361,314,925	494,687,698	423,332,950	351,627,227	321,008,498	7,671,072	7,425,740	(9,082,433)	(9,314,984)	1,201,725,504	1,103,767,129
Unallocated assets	-	-	-	-	-	-	-	-	40,907,146	45,918,299	40,907,146	45,918,299
Total assets	356,821,940	361,314,925	494,687,698	423,332,950	351,627,227	321,008,498	7,671,072	7,425,740	31,824,713	36,603,315	1,242,632,650	1,149,685,428
Segment liabilities	33,058,145	38,517,227	964,379,516	875,200,440	22,987,301	15,567,353	2,664,129	2,744,594	(5,669,655)	(7,177,164)	1,017,419,436	924,852,450
Unallocated liabilities	-	-	-	-	-	-	-	-	98,027,696	110,418,324	98,027,696	110,418,324
Total liabilities	33,058,145	38,517,227	964,379,516	875,200,440	22,987,301	15,567,353	2,664,129	2,744,594	92,358,041	103,241,160	1,115,447,132	1,035,270,774

For the year ended 31st December	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Cash flows from operating activities	(6,832,893)	(27,829,287)	35,820,973	169,260,426	379,405	(93,780)	617,288	565,383	(5,622)	(1,913,495)	29,979,151	139,989,247
Cash flows from investing activities	-	-	-	-	(30,786,869)	(121,184,599)	(445,638)	(459,675)	(1,655,519)	(1,183,797)	(32,888,026)	(122,828,071)
Cash flows from financing activities	-	-	(141,317)	2,560,178	-	-	20,244	59,762	(3,779,693)	(12,397,749)	(3,900,766)	(9,777,809)
Capital expenditure	-	-	(711,109)	(404,402)	-	-	(1,983,288)	(572,948)	822,837	(665,674)	(1,871,560)	(1,643,024)

NOTES TO THE FINANCIAL STATEMENTS

49 EVENTS AFTER THE REPORTING PERIOD

ACCOUNTING POLICY

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements, other than those disclosed below.

49.1 Proposed Dividend

The Directors of the Bank have recommended a final cash dividend of Rs 4.25 per share for the financial year ended 31st December 2021. This dividend is to be approved by the shareholders at the Annual General Meeting to be held on 30th March 2022.

In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), this proposed final dividend has not been recognised as a liability as at 31st December 2021. As required by section 56 (2) of the Companies Act No. 7 of 2007, the Board of Directors has confirmed that the Bank has satisfied the 'solvency test' in accordance with section 57 of the Companies Act No. 7 of 2007, having obtained a certificate from the External Auditors, prior to recommending the final dividend for the year.

49.2 Surcharge Tax

The Government of Sri Lanka in its Budget proposals 2022 has proposed a one-time tax, to be called as 'Surcharge Tax' at the rate of 25% to be imposed on companies earned a taxable income in excess of Rs 2,000 Mn for the Year of Assessment 2020/2021. If the aggregate taxable income of a group of companies exceeds Rs 2,000 Mn, each company of the group of companies will be liable for surcharge tax. The proposed tax shall be deemed to be an expenditure in the Financial Statements of 2020.

The Bill introducing the proposed tax was published on 7th February 2022. Accordingly, the proposed tax has not been substantively enacted by the end of the reporting period. Therefore, the Financial Statements have not been adjusted to reflect the consequences of this proposal.

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements of the Bank/Group, other than those disclosed above.

50 FAIR VALUE OF ASSETS & LIABILITIES

50.1 Assets & Liabilities Recorded at Fair Value

The following is a description of how fair values are determined for assets and liabilities that are recorded at fair value. These incorporate the Bank’s estimate of assumptions that a market participant would make when valuing assets and liabilities.

Derivatives - Assets & Liabilities

Derivative products which consist of SWAPs, forward foreign exchange contracts and hedges are valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include forward foreign exchange spot and forward premiums.

Financial Assets - Fair Value through Other Comprehensive Income (FVOCI)

FVOCI financial assets primarily consist of quoted/unquoted equity securities and government securities. Treasury bills, treasury bonds and Sri Lanka Development Bonds are valued using the yield curve published by the Central Bank of Sri Lanka. Quoted equity securities and Sri Lanka International Sovereign Bonds are valued using quoted market prices in the active markets as at the reporting date.

Trading Assets Measured at Fair Value

Trading assets and other assets measured at fair value are the government securities and quoted equity securities. Government securities are valued using the yield curve published by the Central Bank of Sri Lanka. For quoted equity securities, the Bank uses quoted market prices in the active market as at the reporting date.

Property, Plant & Equipment

Freehold land and buildings are carried at revalued amount, being their fair value at the revaluation date less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

50.2 Valuation Model

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the Bank uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

Fair value of freehold land and buildings was determined by using Market Comparable Method or Income Basis. These valuations performed by the valuers are based on active market prices, significantly adjusted for difference in the nature, location or condition of the specific property. Management determined that freehold land and buildings constitute one class of asset under Sri Lanka Accounting Standard - SLFRS 13 (Fair Value Measurement), based on the nature, characteristics and risks of the property.

Fair values are determined according to the following hierarchy:

Level 1 – Quoted market price (unadjusted): quoted prices for identical assets and liabilities in active markets.

Level 2 – Valuation technique using observable inputs: quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in inactive markets and are valued using models where all significant inputs are observable.

Level 3 – Valuation technique with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

50.3 Valuation Framework

The Bank has an established control framework with respect to the measurement of fair values of trading and investment operations and all other significant assets and liabilities. Specific controls include:

- A review and approval process involving the Board Audit Committee for significant judgment and assumptions, new models, changes to existing judgments, assumptions and models.
- Periodic (at least quarterly) reviewing of fair value measurements against observable market data.
- Periodic (at least annually) reviewing of fair value measurement models against changes in market conditions, significant judgments and assumptions.
- Use of sophisticated software for fair value measurements of trading and investment securities and derivatives.
- Independent analysis and investigation of significant daily valuation movements in trading and investment securities and derivatives.
- A dual verification process for market data inputs to the fair value measurement software.

50.4 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of assets and liabilities recorded at fair value by level of the fair value hierarchy into which the fair value measurement is categorised. The amounts are based on the value recognised in the Statement of Financial Position.

50 FAIR VALUE OF ASSETS & LIABILITIES CONTD.

50.4.1 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

As at 31st December	Date of Valuation	2021 Fair Value Measurement Using Quoted Prices in Active Markets (Level 1) Rs 000	2021 Significant Observable Inputs (Level 2) Rs 000	2021 Significant Unobservable Inputs (Level 3) Rs 000	2021 Total Rs 000	2020 Fair Value Measurement Using Quoted Prices in Active Markets (Level 1) Rs 000	2020 Significant Observable Inputs (Level 2) Rs 000	2020 Significant Unobservable Inputs (Level 3) Rs 000	2020 Total Rs 000
Financial assets measured at fair value									
Derivative financial instruments	31st December								
Currency SWAPs		-	947,959	-	947,959	-	354,467	-	354,467
Forward exchange contracts		-	451,160	-	451,160	-	1,832,048	-	1,832,048
Sub Total		-	1,399,119	-	1,399,119	-	2,186,515	-	2,186,515
Financial assets-fair value through profit or loss	31st December								
Government securities -Treasury bills & bonds		3,858,578	-	-	3,858,578	9,251,557	-	-	9,251,557
Quoted equity securities		49,126	-	-	49,126	62,071	-	-	62,071
Sub Total		3,907,704	-	-	3,907,704	9,313,628	-	-	9,313,628
Financial assets-fair value through other comprehensive income	31st December								
Government securities									
Treasury bills & bonds		37,686,538	-	-	37,686,538	19,748,472	-	-	19,748,472
Sri Lanka Development Bonds		-	290,184	-	290,184	-	-	-	-
Sri Lanka International Sovereign Bonds		516,511	-	-	516,511	926,008	-	-	926,008
Equity security									
Quoted equity securities		4,451,151	-	-	4,451,151	3,528,974	-	-	3,528,974
Unquoted equity securities		-	30,517	29,244	59,761	-	-	34,349	34,349
Sub Total		42,654,200	320,701	29,244	43,004,145	24,203,454	-	34,349	24,237,803
Total financial assets measured at fair value		46,561,904	1,719,820	29,244	48,310,968	33,517,082	2,186,515	34,349	35,737,946
Non-financial assets measured at fair value	31st December								
Freehold land & buildings (included under property, plant & equipment)*		-	-	5,811,922	5,811,922	-	-	5,840,964	5,840,964
Total non-financial assets measured at fair value		-	-	5,811,922	5,811,922	-	-	5,840,964	5,840,964
Financial liabilities measured at fair value									
Derivative financial instruments	31st December								
Currency SWAPs		-	604,362	-	604,362	-	1,978,191	-	1,978,191
Forward exchange contracts		-	3,561	-	3,561	-	52,756	-	52,756
Total financial liabilities measured at fair value		-	607,923	-	607,923	-	2,030,947	-	2,030,947

There were no material transfers between levels of fair value hierarchy during 2021 and 2020.

* The fair value of the most recent valuation less subsequent accumulated depreciation and impairment losses is considered as the fair value as at 31st December 2021.

50.4.2 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy
Group

As at 31st December	Date of Valuation	2021 Fair Value Measurement Using Quoted Prices in Active Markets (Level 1) Rs 000	2021 Significant Observable Inputs (Level 2) Rs 000	2021 Significant Unobservable Inputs (Level 3) Rs 000	2021 Total Rs 000	2020 Fair Value Measurement Using Quoted Prices in Active Markets (Level 1) Rs 000	2020 Significant Observable Inputs (Level 2) Rs 000	2020 Significant Unobservable Inputs (Level 3) Rs 000	2020 Total Rs 000
Financial assets measured at fair value									
Derivative financial instruments	31st December								
Currency SWAPs		-	947,959	-	947,959	-	354,467	-	354,467
Forward exchange contracts		-	451,160	-	451,160	-	1,832,048	-	1,832,048
Sub Total		-	1,399,119	-	1,399,119	-	2,186,515	-	2,186,515
Financial assets-fair value through profit or loss	31st December								
Government securities -Treasury bills & bonds		3,858,578	-	-	3,858,578	9,251,557	-	-	9,251,557
Quoted equity securities		49,126	-	-	49,126	62,071	-	-	62,071
Sub Total		3,907,704	-	-	3,907,704	9,313,628	-	-	9,313,628
Financial assets-fair value through other comprehensive income	31st December								
Government securities									
Treasury bills & bonds		37,686,538	-	-	37,686,538	19,748,472	-	-	19,748,472
Sri Lanka Development Bonds		-	290,184	-	290,184	-	-	-	-
Sri Lanka International Sovereign Bonds		516,511	-	-	516,511	926,008	-	-	926,008
Equity security									
Quoted equity securities		4,451,151	-	-	4,451,151	3,528,974	-	-	3,528,974
Unquoted equity securities		-	30,517	29,300	59,817	-	-	34,405	34,405
Sub Total		42,654,200	320,701	29,300	43,004,201	24,203,454	-	34,405	24,237,859
Total financial assets measured at fair value		46,561,904	1,719,820	29,300	48,311,024	33,517,082	2,186,515	34,405	35,738,002
Non-financial assets measured at fair value	31st December								
Freehold land & buildings (included under property, plant & equipment)*		-	-	11,536,903	11,536,903	-	-	10,311,483	10,311,483
Total non-financial assets measured at fair value		-	-	11,536,903	11,536,903	-	-	10,311,483	10,311,483
Financial liabilities measured at fair value									
Derivative financial instruments	31st December								
Currency SWAPs		-	604,362	-	604,362	-	1,978,191	-	1,978,191
Forward exchange contracts		-	3,561	-	3,561	-	52,756	-	52,756
Total financial liabilities measured at fair value		-	607,923	-	607,923	-	2,030,947	-	2,030,947

There were no material transfers between levels of fair value hierarchy during 2021 and 2020.

* The fair value of the most recent valuation less subsequent accumulated depreciation and impairment losses is considered as the fair value as at 31st December 2021.

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50 FAIR VALUE OF ASSETS & LIABILITIES CONTD.

50.5 Level 3 Fair Value Measurement

50.5.1 Reconciliation

The following table shows a reconciliation from the beginning balances to the ending balances of fair value measurements in Level 3 of the fair value hierarchy.

	Bank Assets Measured at Level 3		Group Assets Measured at Level 3	
	Unquoted Equity Securities Rs 000	Freehold Land and Buildings Rs 000	Unquoted Equity Securities Rs 000	Freehold Land and Buildings Rs 000
Balance as at 1st January 2020	39,322	5,870,275	39,378	10,424,624
Additions	-	16,502	-	16,502
Gain/(loss) recognised in other comprehensive income:				
Loss from mark to market valuation (Note 27.6)	(5,000)	-	(5,000)	-
Exchange rate differences	27	-	27	-
Gain/(loss) recognised in profit or loss:	-	-	-	-
Depreciation of buildings	-	(45,813)	-	(129,643)
Balance as at 31st December 2020	34,349	5,840,964	34,405	10,311,483
Additions	-	17,321	-	17,321
Gain/(loss) recognised in other comprehensive income:				
Gain from mark to market valuation (Note 27.6)	38,580	-	38,580	-
Sale of equity shares in SWIFT	(13,268)	-	(13,268)	-
Exchange rate differences	100	-	100	-
Gain/(loss) recognised in profit or loss:				
Depreciation of buildings	-	(46,363)	-	(164,486)
Transfers from capital work in progress	-	-	-	1,372,585
Transfers to level 2	(30,517)	-	(30,517)	-
Balance as at 31st December 2021	29,244	5,811,922	29,300	11,536,903

50.5.2 Unobservable Inputs Used In Measuring Fair Value

The table below sets out information about significant unobservable inputs used in measuring fair value of the assets categorised under Level 3 of the fair value hierarchy.

Type of Asset	Assets Measured at Level 3 Bank Fair Value as at 31st December 2021 Rs 000	Group Fair Value as at 31st December 2021 Rs 000	Valuation Technique	Significant Unobservable Inputs	Weighted Average Range of Estimates for Unobservable Inputs	Fair Value Measurement Sensitivity to Unobservable Inputs
Property, plant & equipment						
- Freehold lands	4,418,805	7,464,206	Market comparable method	Estimated price per perch	Rs 37,500 - 17,000,000	*
- Freehold buildings	1,393,117	4,072,697	Market comparable method	Estimated price per sq.ft	Rs 2,455 - 20,102	*
			Income basis	Estimated rental value per sq.ft		
				Bank	Rs 100 - 250	
				Subsidiary	Rs 150 - 300	
				Expected market rental growth		
				Bank	1.0%	*
				Subsidiary	5.0%	*
				Discount rate		
				Bank	6.5%	**
				Subsidiary	5.8%	**

* Significant increases/(decreases) in any of these inputs in isolation would result in a significantly higher/(lower) fair value.

** Significant increases/(decreases) in this input in isolation would result in a significantly (lower)/higher fair value.

50.6 Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

The following describes the methodologies and assumptions used to determine fair values of those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets of which Fair Value Approximates Carrying Value

For financial assets and liabilities that have a short term maturity, it is assumed that the carrying amounts approximate their fair values. This assumption is also applied to demand deposits and savings deposits which do not have a specific maturity.

Fixed Rate Financial Instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing market interest rates for debts with similar credit risk and maturity. For quoted debt issued, the fair values are determined based on quoted market prices. For variable rate instruments with a fixed credit spread, an adjustment is made to reflect the change in credit spread since the instrument was first recognised.

Variable Rate Financial Instruments

Variable rate is a fair measure which reflects market movements. Hence the carrying value represents the fair value of the variable rate instruments.

Set out below is a comparison of the carrying amounts and fair values of the Bank's financial instruments by classes that are not carried at fair value in the Financial Statements. This table does not include the fair values of non-financial assets and non-financial liabilities.

50 FAIR VALUE OF ASSETS & LIABILITIES CONTD.

As at 31st December 2021

	Bank					Group				
	Fair Value				Carrying Value	Fair Value				Carrying Value
	Level 1	Level 2	Level 3	Total		Level 1	Level 2	Level 3	Total	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets										
Financial assets at amortised cost										
- loans & advances	-	762,671,754	-	762,671,754	762,588,294	-	801,145,883	-	801,145,883	795,804,353
- debt & other instruments	208,413,173	69,663,437	-	278,076,610	293,766,967	209,313,415	69,663,437	-	278,976,852	294,667,208
	208,413,173	832,335,191	-	1,040,748,364	1,056,355,261	209,313,415	870,809,320	-	1,080,122,735	1,090,471,561
Financial Liabilities										
Financial liabilities at amortised cost										
- due to banks	-	23,653,247	-	23,653,247	23,653,247	-	31,549,854	-	31,549,854	31,532,293
- due to depositors - fixed & certificate of deposits	-	525,516,892	-	525,516,892	523,906,488	-	543,001,881	-	543,001,881	540,874,069
- due to other borrowers	-	14,434,115	-	14,434,115	14,434,115	-	14,434,115	-	14,434,115	14,434,115
- due to debt securities holders	-	29,930,988	-	29,930,988	31,006,592	-	36,216,464	-	36,216,464	37,274,207
	-	593,535,242	-	593,535,242	593,000,442	-	625,202,314	-	625,202,314	624,114,684

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Dividend payable
Reverse repurchase agreements	Other financial liabilities
Other financial assets	

As at 31st December 2020

	Bank					Group				
	Fair Value				Carrying Value	Fair Value				Carrying Value
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	Rs 000	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	Rs 000
Financial Assets										
Financial assets at amortised cost										
- loans & advances	-	723,772,058	-	723,772,058	720,215,247	-	759,987,497	-	759,987,497	752,437,782
- debt & other instruments	195,385,320	77,786,548	-	273,171,868	275,091,572	195,419,929	77,786,548	-	273,206,477	275,125,717
	195,385,320	801,558,606	-	996,943,926	995,306,819	195,419,929	837,774,045	-	1,033,193,974	1,027,563,499
Financial Liabilities										
Financial liabilities at amortised cost										
- due to banks	-	35,085,204	-	35,085,204	35,085,204	-	42,918,691	-	42,918,691	42,905,046
- due to depositors - fixed & certificate of deposits	-	540,480,570	-	540,480,570	535,836,041	-	558,795,729	-	558,795,729	553,025,229
- due to other borrowers	-	15,489,793	-	15,489,793	15,489,793	-	15,489,793	-	15,489,793	15,489,793
- due to debt securities holders	-	32,810,449	-	32,810,449	30,790,007	-	39,551,242	-	39,551,242	37,078,483
	-	623,866,016	-	623,866,016	617,201,045	-	656,755,455	-	656,755,455	648,498,551

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Dividend payable
Reverse repurchase agreements	Other financial liabilities
Other financial assets	

50.7 Reclassification of Financial Assets

There were no reclassification of financial assets during 2021 & 2020.

NOTES TO THE FINANCIAL STATEMENTS

51 RISK MANAGEMENT

51.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring subject to risk limits and other controls. This process of risk management is critical to the Bank's continuous profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is mainly exposed to Credit Risk, Liquidity Risk, Market Risk and Operational Risk which has been disclosed in this note as summarised below:

Risk Management Framework

The Board of Directors has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has delegated its authority to Board Integrated Risk Management Committee (BIRMC) which is responsible for developing and monitoring Bank's risk management policies. The Committee comprises of Executive and Non - Executive Directors. Meetings of BIRMC are held regularly, and the Board of Directors are duly updated of its activities.

The Bank's risk management policies are established to identify and analyse the risks faced by the Bank, to set appropriate risk limits and controls and to monitor adherence to established limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Bank, through its training and management standards and procedures, continuously updates and maintains a disciplined and constructive control environment, in which all employees are assigned and made to understand their respective roles and responsibilities.

Integrated Risk Management Unit

The business units (i.e. Credit Departments, Branches, Regional Offices, Treasury etc.) have primary responsibility for Risk Management. The Integrated Risk Management Unit, which has no responsibility for profit or volume targets, acts as the 2nd line of defense and reports to the Group Chief Risk Officer (GCRO) who in turn directly reports to the BIRMC.

Asset/Liability Management Committee (ALCO)

ALCO is chaired by the Managing Director and has representatives from Treasury Department, Credit Departments, Marketing Department, Finance Department, Strategic Planning Department and Deposit Mobilisation Department. The Executive Director/Group Chief Financial Officer and the Group Chief Risk Officer are also members of the ALCO. The Committee meets regularly to monitor and manage the assets & liabilities of the Bank and overall liquidity position to keep the Bank's liquidity at healthy levels, whilst satisfying regulatory requirements.

Risk Measurement and Reporting

The Bank's risks are measured using appropriate techniques based on the type of risk and industry best practices. The Bank also carries out Stress Testing to identify the effect of extreme events/worst case scenarios in most of the major types of risks and the results are reported to Board Integrated Risk Management Committee (BIRMC) on a periodic basis. Monitoring and controlling risks are primarily performed based on policies, limits and thresholds established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept (Risk Appetite).

The Group's risk measurement and reporting functions were further strengthened during the year amidst the COVID-19 pandemic. The credit risk of the Group's loan book increased as the loan repayments were impacted by the lockdowns and movement restrictions imposed locally and globally from 2020. Similarly, market risk too increased due to significant volatility in financial markets locally as well as globally. The operational risks too increased owing to the work from home arrangements, conducting branch operations with limited staff, etc. during the lockdown periods.

In this back drop, the Bank took additional measures to ensure that the risks caused by the pandemic are adequately managed. Continuous reviews of the limits, policies and performance were carried out during the period. Some of these include;

- Reviewed risk elevated industries in the context of COVID-19 pandemic.
- Assessed the impact of the COVID-19 lockdowns and moratoriums (payment holidays) on the portfolio staging.
- Closely monitoring of the repayments of moratorium customers at the expiration of payment holidays.
- Used of a range of additional stress tests to assess the impact on Group's performance and capital.
- Strengthened Cyber Security Management in light of the increase in use of digital platforms.
- Ensured adequate liquidity resources were held to meet Group's obligations, given the uncertainties caused by the pandemic.

Risk Mitigation

As part of its overall risk management, the Bank obtains various types of collaterals to mitigate the risk. Details such as nature of the collateral that could be accepted, required security margin etc. are clearly defined in the Credit Policy of the Bank and any deviations require specific approval. However, respective approving authorities would take into account the availability of security only as the secondary source of repayment.

51.2 Credit Risk

Credit risk is the risk of financial loss to the Bank, if a borrower or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Bank's loans and advances and investments in debt securities. In addition to the credit risk from direct funding exposures, the Bank would also be exposed to indirect liabilities such as letters of credit, guarantees etc, which would carry credit risk.

The Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector concentration risks) to ensure stringent Credit Risk Management.

NOTES TO THE FINANCIAL STATEMENTS

51 RISK MANAGEMENT CONTD.

51.2.1 Assessment of Expected Credit Losses

51.2.1(a) Analysis of the total impairment for expected credit losses

Bank

As at 31st December	Note	2021 Stage 1 Rs 000	2021 Stage 2 Rs 000	2021 Stage 3 Rs 000	2021 Total Rs 000	2020 Total Rs 000
Cash & cash equivalents	20.2	98,181	-	-	98,181	36,364
Placements with banks	22.2	393	-	-	393	447
Financial assets at amortised cost						
- loans & advances	25.2	4,543,545	20,471,275	25,503,313	50,518,133	38,727,043
- debt & other instruments	26.3	5,686,801	-	283,350	5,970,151	2,264,467
Credit related commitments & contingencies	45.2	1,305,597	618,862	335,515	2,259,974	1,685,806
Total allowance for expected credit losses		11,634,517	21,090,137	26,122,178	58,846,832	42,714,127

Group

As at 31st December	Note	2021 Stage 1 Rs 000	2021 Stage 2 Rs 000	2021 Stage 3 Rs 000	2021 Total Rs 000	2020 Total Rs 000
Cash & cash equivalents	20.2	98,201	-	-	98,201	36,379
Placements with banks	22.2	393	-	-	393	447
Financial assets at amortised cost						
- loans & advances	25.2	4,577,037	21,221,066	28,967,197	54,765,300	41,641,837
- debt & other instruments	26.3	5,686,801	-	283,350	5,970,151	2,264,467
Credit related commitments & contingencies	45.2	1,269,741	618,862	335,515	2,224,118	1,686,923
Total allowance for expected credit losses		11,632,173	21,839,928	29,586,062	63,058,163	45,630,053

51.2.1(b) Movement of the total allowance for expected credit losses during the period

	Note	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Balance as at 1st January		42,714,127	32,571,140	45,630,053	34,356,508
Net charge for the year		17,050,441	11,822,149	18,504,184	13,174,227
Write-off during the year	25.2	(350,619)	(439,226)	(497,652)	(655,989)
Interest income accrued on impaired loans & advances	7.1	(3,009,971)	(3,333,638)	(3,027,412)	(3,348,278)
Other movements	25.2	2,442,854	2,093,702	2,448,990	2,103,585
Balance as at 31st December		58,846,832	42,714,127	63,058,163	45,630,053

The methodology used in the determination of expected credit losses is explained in Note 3.4.6 to financial statements. As explained in the said Note, the Group has made allowances for overlays where required to address the uncertainties and potential implications of COVID-19.

51.2.1(c) Sensitivity Analysis: Impact of extending the recovery cash flows by further one year for individually significant impaired loans

Had the Bank further extended the recovery cash flows by one year, only for instances where cash flow is forecasted based on collateral realisation, the cumulative impairment provision for individually significant impaired loans would have increased by Rs 1,986 Mn (2020: Rs 1,732 Mn).

51.2.1(d) Sensitivity Analysis: Impact of staging of loans and advances on collective impairment

- If all loans and advances currently in stage 2, were moved to stage 1, the ECL provision of the Bank/Group as at 31st December 2021 would have reduced by approximately 23% (2020 - 14%). The total loans and advances in stage 2 as at 31st December 2021 amounts to Rs 253 Bn & Rs 269 Bn for the Bank & the Group respectively.
- If all loans and advances currently in stage 1, were moved to stage 2, the ECL provision of the Bank/Group as at 31st December 2021 would have further increased by approximately 27% (2020 - 44%). The total loans and advances in stage 1 as at 31st December 2021 amounts to Rs 504 Bn & Rs 514 Bn for the Bank & the Group respectively. The management believes that a movement of the entire stage 1 loan portfolio to stage 2 is highly unlikely.

51.2.1(e) Sensitivity Analysis: Impact on collective impairment (loans & advances, credit related commitment & contingencies) due to changes in forward looking information

The Bank/Group calculates expected credit losses based on three probability-weighted scenarios. The weightages used by the Bank as at 31st December 2021 are disclosed in Note 3.4.6.7 along with the weightages used in 2020. During the year, due to the uncertainties created by COVID-19 pandemic, the Bank increased the weightage assigned to the worst case scenario by 5%, decreasing the weightage of the base case scenario by the same amount. Accordingly, the Bank's impairment provision increased by approximately Rs 80 Mn during the year.

A further 20% increase in the worst case scenario with a similar decrease in the base case scenario would have increased the collective impairment provision of the Bank/Group by approximately Rs 356 Mn as at 31st December 2021.

51.2.1(f) Breakdown of loans classified under stage 2

Loans classified under the stage 2 includes contractually past due loans and loans which have been shifted to stage 2 based on the criteria specified in the Note 3.4.6.1(b).

Bank

As at 31st December	2021				2020
	Not Contractually Past Due	Contractually Past Due		Total	Total
	0 - 30 Days	31 - 60 Days	61 - 90 Days		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Term loans	168,890,919	4,675,715	408,092	173,974,726	104,712,001
Overdraft	20,513,623	1,207,094	194,443	21,915,160	16,482,991
Import loans	14,868,021	2,291,140	30,966	17,190,127	11,193,204
Others	34,838,257	4,926,447	194,153	39,958,857	33,275,512
	239,110,820	13,100,396	827,654	253,038,870	165,663,708

Group

As at 31st December	2021				2020
	Not Contractually Past Due	Contractually Past Due		Total	Total
	0 - 30 Days	31 - 60 Days	61 - 90 Days		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Term loans	169,126,334	5,602,232	1,161,102	175,889,668	105,609,876
Overdraft	20,513,623	1,207,094	194,443	21,915,160	16,482,991
Import loans	14,868,021	2,291,140	30,966	17,190,127	11,193,204
Others	43,215,294	8,444,252	2,595,881	54,255,427	45,116,885
	247,723,272	17,544,718	3,982,392	269,250,382	178,402,956

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51 RISK MANAGEMENT CONTD.

51.2.1(g) Overview of rescheduled/restructured loans & advances

An analysis of rescheduled/restructured loans and advances of the Bank/Group which are in stage 2 and stage 3 is given below along with the impairment for ECL. This does not include individually significant impaired loans and advances for which ECLs have been derived by discounting future cash flows of such loans.

As at 31st December 2021

	Amortised Cost			Impairment for ECL			Net Carrying Value
	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Rs 000
Bank	67,248,643	14,316,482	81,565,125	4,396,887	5,179,407	9,576,294	71,988,831
Group	67,706,675	15,211,559	82,918,234	4,414,368	5,522,394	9,936,762	72,981,472

As at 31st December 2020

	Amortised Cost			Impairment for ECL			Net Carrying Value
	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Rs 000
Bank	82,172,171	9,255,700	91,427,871	3,080,491	3,057,339	6,137,830	85,290,041
Group	82,436,054	10,499,338	92,935,392	3,085,665	3,255,872	6,341,537	86,593,855

51.2.1(h) Overview of rescheduled/restructured loans & advances upgraded during the year

The Bank upgrades rescheduled/restructured loans from stage 3/stage 2 to stage 1 as per the upgrading policy described in Note 3.4.6.11 of the Financial Statements. During the year the Bank upgraded Rs 15.9 Bn worth of rescheduled/restructured loans to stage 1. Due to this upgrade, the impairment provision against these loans decreased from Rs 874 Mn as at 31st December 2020 to Rs 104 Mn as at 31st December 2021.

51.2.1(i) Loans & advances eligible for COVID-19 debt moratorium

The Bank made an additional provision of approximately Rs 4.0 Bn (2020: Rs 0.8 Bn) against moratorium loans by the way of an allowance for overlay. The Bank made this additional provision, anticipating that some of the moratorium loans would move from current classification to stage 2 and stage 3 once the moratorium lapses. The cumulative additional provision available against moratorium loans as at 31st December 2021 amounted to Rs 4.8 Bn.

The current moratorium for the tourism sector will continue until 30th June 2022. Meanwhile, moratorium for other sectors expired on 31st December 2021.

51.2.2 Risks on Credit–related Commitments

The Bank makes available to its customers, guarantees that may require the Bank to make payments on behalf of customers and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees are commitments to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Such commitments expose the Bank to risks similar to loans and are mitigated by the same control processes and policies.

51.2.3 Collateral and Other Credit Enhancements

51.2.3(a) Net exposure to credit risk

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are in place covering the acceptability and valuation of each type of collateral. The main types of collateral obtained are as follows:

For commercial lending: charges over real estate properties, cash, inventory and trade receivables, shares etc.

For retail lending: mortgages over residential properties, motor vehicles, gold etc.

The Bank also obtains guarantees from parent companies as securities against loans granted to their subsidiaries.

Management monitors the market value of collateral and will request additional collateral if the market values are not sufficient in accordance with the underlying agreement. It is the Bank's policy to dispose repossessed properties in an orderly manner. The proceeds are used to recover the outstanding claim.

There was no change in the Group's collateral policy during the year. Further, the Group did not observe any significant deterioration in the quality of the collaterals and other credit enhancements during the reporting period.

The Group does not provide for any allowances for ECL against financial assets secured by cash/deposits held within the Group. Further, no allowance for ECL has been recognised for government securities denominated in Sri Lankan rupees, other financial assets secured by government guarantees, treasury bills and treasury bonds. Except for the above, Group has recognised ECL for all other financial assets classified at amortised cost and debt instruments at FVOCI.

The following table shows the maximum exposure and net exposure (net of fair value of any collaterals held) to credit risk by class of financial asset, before netting off impairment for expected credit losses.

Bank

As at 31st December	Note	2021		2020	
		Maximum Exposure to Credit Risk Rs 000	Net Exposure Rs 000	Maximum Exposure to Credit Risk Rs 000	Net Exposure Rs 000
Financial Assets					
Cash & cash equivalents	20	22,981,180	2,980,009	29,089,949	11,094,106
Placements with banks	22	2,739,907	2,739,907	3,228,613	3,228,613
Reverse repurchase agreements		2,752,011	-	4,450,557	-
Derivative financial instruments	23	1,399,119	1,399,119	2,186,515	2,186,515
Financial assets recognised through profit or loss - measured at fair value	24	3,907,704	3,907,704	9,313,628	9,313,628
Financial assets at amortised cost					
- loans & advances *	25	813,106,427	298,739,345	758,942,290	297,408,763
- debt & other instruments	26	299,737,118	296,815,676	277,356,039	272,002,304
Financial assets - fair value through other comprehensive income	27	43,004,145	43,004,145	24,237,803	24,237,803
Other assets		10,645,606	10,645,606	4,772,493	4,772,493
		1,200,273,217	660,231,511	1,113,577,887	624,244,225
Credit related commitment and contingencies		343,786,847	330,796,025	324,338,023	310,716,110

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Group

As at 31st December	Note	2021 Maximum Exposure to Credit Risk Rs 000	2021 Net Exposure Rs 000	2020 Maximum Exposure to Credit Risk Rs 000	2020 Net Exposure Rs 000
Financial Assets					
Cash & cash equivalents	20	23,125,789	2,989,929	29,255,300	11,140,176
Placements with banks	22	2,739,907	2,739,907	3,228,613	3,228,613
Reverse repurchase agreements		4,861,922	-	6,231,719	-
Derivative financial instruments	23	1,399,119	1,399,119	2,186,515	2,186,515
Financial assets recognised through profit or loss - measured at fair value	24	3,907,704	3,907,704	9,313,628	9,313,628
Financial assets at amortised cost					
- loans & advances *	25	850,569,653	298,459,511	794,079,619	299,179,478
- debt & other instruments	26	300,637,359	297,715,917	277,390,184	272,036,449
Financial assets - fair value through other comprehensive income	27	43,004,201	43,004,201	24,237,859	24,237,859
Other assets		11,587,129	11,587,129	5,383,794	5,383,794
		1,241,832,783	661,803,417	1,151,307,231	626,706,512
Credit related commitment and contingencies		340,497,141	327,506,320	318,238,473	304,616,559

* Approximately 39% and 8% (2020: 40% and 7%) of the total loans & advances of the Bank/Group are secured against immovable property and cash/deposits held within the Bank/Group respectively. Further 16% (2020: 13%) of the loans & advances are secured against other securities including movable property, gold, lease receivables, etc. Approximately 65% (2020: 70%) of stage 3 loans & advances of the Bank/Group are secured against immovable property and cash/deposits held within the Bank/Group.

51.2.3(b) Offsetting financial assets & liabilities

Financial assets and financial liabilities are offset and the net amount is presented in the Statement of Financial Position when the Group has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

51.2.3(c) Financial assets & liabilities not subject to offsetting

Amounts that do not qualify for offsetting include netting arrangements that only permit outstanding transactions with the same counterparty to be offset in an event of default or occurrence of other predetermined events. Such netting arrangements include repurchase arrangements and other similar secured lending and borrowing arrangements.

The amount of the financial collateral received or pledged subject to netting arrangements but not qualified for offsetting are disclosed below:

Bank

As at 31st December	2021			2020		
	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000
Financial Assets						
Loans & advances	53,163,756	44,855,217	8,308,539	49,402,863	36,979,848	12,423,015
Financial Liabilities						
Securities sold under repurchase agreements	4,157,662	4,157,662	-	3,399,896	3,399,896	-

Group

As at 31st December	2021			2020		
	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000	Gross Amount Rs 000	Amount Subject to Netting but do not Qualify for Offsetting Rs 000	Net Amount Rs 000
Financial Assets						
Loans & advances	53,746,782	45,337,955	8,408,827	49,668,663	37,217,521	12,451,142
Financial Liabilities						
Securities sold under repurchase agreements	4,157,662	4,157,662	-	2,306,896	2,306,896	-

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51.2.4 Stage-wise movement of loans & advances and commitments & contingencies

51.2.4(a) Stage-wise movement of gross carrying values of loans and advances

Changes in the gross carrying amount of loans and advances during the period that contributed to the changes in impairment provision is given below:

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	532,475,516	133,212,160	53,936,018	719,623,694
Current stage of new financial assets originated	194,853,781	33,653,265	-	228,507,046
Changes in the gross carrying amount				
- Transfer to stage 1	25,684,129	(28,735,312)	(809,726)	(3,860,909)
- Transfer to stage 2	(56,185,716)	53,710,059	(2,558,848)	(5,034,505)
- Transfer to stage 3	(3,627,719)	(9,136,358)	12,343,373	(420,704)
Financial assets that have been derecognised	(159,905,774)	(32,981,936)	(5,496,098)	(198,383,808)
Write-off during the year	-	-	(439,226)	(439,226)
Changes to contractual cash flows due to modifications	-	15,941,830	3,008,872	18,950,702
Balance as at 31st December 2020	533,294,217	165,663,708	59,984,365	758,942,290
Balance as at 1st January 2021	533,294,217	165,663,708	59,984,365	758,942,290
Current stage of new financial assets originated	207,179,365	78,540,067	-	285,719,432
Changes in the gross carrying amount				
- Transfer to stage 1	20,131,596	(25,462,543)	(490,315)	(5,821,262)
- Transfer to stage 2	(90,462,991)	79,794,470	(3,439,872)	(14,108,393)
- Transfer to stage 3	(1,018,743)	(3,627,699)	3,983,403	(663,039)
Financial assets that have been derecognised	(165,166,751)	(56,155,811)	(7,731,146)	(229,053,708)
Write-off during the year	-	-	(350,619)	(350,619)
Changes to contractual cash flows due to modifications	-	14,286,678	4,155,048	18,441,726
Balance as at 31st December 2021	503,956,693	253,038,870	56,110,864	813,106,427

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	548,550,945	142,613,843	59,913,117	751,077,905
Current stage of new financial assets originated	208,263,899	41,365,767	-	249,629,666
Changes in the gross carrying amount				
- Transfer to stage 1	18,799,868	(24,404,950)	1,744,173	(3,860,909)
- Transfer to stage 2	(55,988,529)	53,653,494	(2,699,470)	(5,034,505)
- Transfer to stage 3	(3,813,455)	(12,164,590)	17,983,264	2,005,219
Financial assets that have been derecognised	(171,358,356)	(38,627,898)	(8,270,517)	(218,256,771)
Write-off during the year	-	-	(655,989)	(655,989)
Changes to contractual cash flows due to modifications	-	15,967,290	3,207,713	19,175,003
Balance as at 31st December 2020	544,454,372	178,402,956	71,222,291	794,079,619
Balance as at 1st January 2021	544,454,372	178,402,956	71,222,291	794,079,619
Current stage of new financial assets originated	217,171,054	88,741,333	-	305,912,387
Changes in the gross carrying amount				
- Transfer to stage 1	16,800,248	(22,981,474)	359,964	(5,821,262)
- Transfer to stage 2	(89,809,734)	76,713,300	(1,011,959)	(14,108,393)
- Transfer to stage 3	(1,003,441)	(3,156,015)	6,640,305	2,480,849
Financial assets that have been derecognised	(173,422,994)	(62,810,591)	(13,759,828)	(249,993,413)
Write-off during the year	-	-	(497,652)	(497,652)
Changes to contractual cash flows due to modifications	-	14,340,873	4,176,645	18,517,518
Balance as at 31st December 2021	514,189,505	269,250,382	67,129,766	850,569,653

51.2.4(b) Stage-wise movement of impairment for loans and advances

More information about the significant changes in the impairment for loans and advances during the period is provided in the tables below:

Bank

	Stage 1 12-month ECL Rs 000	Stage 2 Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	3,838,089	5,516,738	20,891,363	30,246,190
Net impairment charge for the year due to:				
New financial assets originated	1,322,495	1,665,812	-	2,988,307
Changes in the gross carrying amount				
- Transfer to stage 1	252,991	(842,441)	(247,606)	(837,056)
- Transfer to stage 2	(732,687)	2,310,574	(740,503)	837,384
- Transfer to stage 3	(34,715)	(735,817)	4,121,236	3,350,704
Net remeasurement of impairment	(1,203)	1,737,635	2,081,541	3,817,973
Financial assets that have been derecognised	(965,682)	(1,135,834)	(1,255,053)	(3,356,569)
Changes to contractual cash flows due to modifications	-	2,190,839	1,168,433	3,359,272
Write-off during the year	-	-	(439,226)	(439,226)
Interest accrued on impaired loans and advances	-	-	(3,333,638)	(3,333,638)
Other movements	-	-	2,093,702	2,093,702
Balance as at 31st December 2020	3,679,288	10,707,506	24,340,249	38,727,043
Balance as at 1st January 2021	3,679,288	10,707,506	24,340,249	38,727,043
Net impairment charge for the year due to:				
New financial assets originated	1,742,537	5,773,900	-	7,516,437
Changes in the gross carrying amount				
- Transfer to stage 1	332,655	(933,403)	(226,091)	(826,839)
- Transfer to stage 2	(788,258)	5,625,083	(988,019)	3,848,806
- Transfer to stage 3	(7,486)	(970,416)	1,636,193	658,291
Net remeasurement of impairment	572,093	1,010,729	2,498,051	4,080,873
Financial assets that have been derecognised	(987,284)	(1,929,919)	(2,517,195)	(5,434,398)
Changes to contractual cash flows due to modifications	-	1,187,795	1,677,861	2,865,656
Write-off during the year	-	-	(350,619)	(350,619)
Interest accrued on impaired loans and advances	-	-	(3,009,971)	(3,009,971)
Other movements	-	-	2,442,854	2,442,854
Balance as at 31st December 2021	4,543,545	20,471,275	25,503,313	50,518,133

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Group

	Stage 1 12-month ECL Rs 000	Stage 2 Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	3,930,386	5,642,568	22,458,317	32,031,271
Net impairment charge for the year due to:				
New financial assets originated	1,395,049	1,884,169	-	3,279,218
Changes in the gross carrying amount				
- Transfer to stage 1	231,082	(823,881)	(244,257)	(837,056)
- Transfer to stage 2	(733,394)	2,301,649	(730,871)	837,384
- Transfer to stage 3	(31,058)	(747,232)	5,149,089	4,370,799
Net remeasurement of impairment	6,282	1,741,570	2,325,108	4,072,960
Financial assets that have been derecognised	(998,100)	(1,182,859)	(1,479,834)	(3,660,793)
Changes to contractual cash flows due to modifications	-	2,191,357	1,257,379	3,448,736
Write-off during the year	-	-	(655,989)	(655,989)
Interest accrued on impaired loans and advances	-	-	(3,348,278)	(3,348,278)
Other movements	-	-	2,103,585	2,103,585
Balance as at 31st December 2020	3,800,247	11,007,341	26,834,249	41,641,837
Balance as at 1st January 2021	3,800,247	11,007,341	26,834,249	41,641,837
Net impairment charge for the year due to:				
New financial assets originated	1,724,821	6,263,150	-	7,987,971
Changes in the gross carrying amount				
- Transfer to stage 1	297,330	(906,886)	(217,283)	(826,839)
- Transfer to stage 2	(777,205)	5,552,155	(926,144)	3,848,806
- Transfer to stage 3	(7,400)	(946,413)	2,649,718	1,695,905
Net remeasurement of impairment	567,442	1,077,913	3,223,004	4,868,359
Financial assets that have been derecognised	(1,028,198)	(2,020,847)	(3,213,380)	(6,262,425)
Changes to contractual cash flows due to modifications	-	1,194,653	1,693,107	2,887,760
Write-off during the year	-	-	(497,652)	(497,652)
Interest accrued on impaired loans and advances	-	-	(3,027,412)	(3,027,412)
Other movements	-	-	2,448,990	2,448,990
Balance as at 31st December 2021	4,577,037	21,221,066	28,967,197	54,765,300

51.2.4(c) Stage-wise movement of gross carrying values of credit related commitments and contingencies

Changes in the gross carrying amount of credit related commitments and contingencies during the period that contributed to the changes in impairment provision, is given below:

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	246,917,262	26,573,766	2,249,240	275,740,268
Current stage of new commitments originated	72,721,230	11,086,760	-	83,807,990
Changes in the gross carrying amount				
- Transfer to stage 1	11,519,291	(9,675,894)	(62,285)	1,781,112
- Transfer to stage 2	(18,683,942)	24,106,194	(551,405)	4,870,847
- Transfer to stage 3	(791,882)	(455,169)	1,256,709	9,658
Amounts that have been derecognised	(33,318,741)	(7,671,550)	(881,561)	(41,871,852)
Balance as at 31st December 2020	278,363,218	43,964,107	2,010,698	324,338,023
Balance as at 1st January 2021	278,363,218	43,964,107	2,010,698	324,338,023
Current stage of new commitments originated	76,380,401	10,574,128	-	86,954,529
Changes in the gross carrying amount				
- Transfer to stage 1	10,589,196	(10,199,359)	(118,359)	271,478
- Transfer to stage 2	(19,109,842)	19,319,312	(163,903)	45,567
- Transfer to stage 3	(36,620)	(194,437)	791,552	560,495
Amounts that have been derecognised	(56,930,386)	(10,129,022)	(1,323,837)	(68,383,245)
Balance as at 31st December 2021	289,255,967	53,334,729	1,196,151	343,786,847

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	242,852,448	26,577,033	2,249,240	271,678,721
Current stage of new commitments originated	70,686,494	11,086,760	-	81,773,254
Changes in the gross carrying amount				
- Transfer to stage 1	11,519,291	(9,675,894)	(62,285)	1,781,112
- Transfer to stage 2	(18,683,942)	24,106,194	(551,405)	4,870,847
- Transfer to stage 3	(791,882)	(455,169)	1,256,709	9,658
Amounts that have been derecognised	(33,318,741)	(7,674,817)	(881,561)	(41,875,119)
Balance as at 31st December 2020	272,263,668	43,964,107	2,010,698	318,238,473
Balance as at 1st January 2021	272,263,668	43,964,107	2,010,698	318,238,473
Current stage of new commitments originated	76,380,401	10,574,128	-	86,954,529
Changes in the gross carrying amount				
- Transfer to stage 1	10,589,196	(10,199,359)	(118,359)	271,478
- Transfer to stage 2	(19,109,842)	19,319,312	(163,903)	45,567
- Transfer to stage 3	(36,620)	(194,437)	791,552	560,495
Amounts that have been derecognised	(54,120,542)	(10,129,022)	(1,323,837)	(65,573,401)
Balance as at 31st December 2021	285,966,261	53,334,729	1,196,151	340,497,141

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51.2.4(d) Stage-wise movement of impairment for credit related commitments and contingencies

More information about the significant changes in the impairment for credit related commitments and contingencies during the period is provided in the tables below:

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	775,864	297,123	344,241	1,417,228
Net impairment charge for the year due to:				
New commitments originated	157,861	65,167	-	223,028
Changes in the gross carrying amount				
- Transfer to stage 1	17,857	(67,014)	(17,483)	(66,640)
- Transfer to stage 2	(24,515)	90,497	(72,795)	(6,813)
- Transfer to stage 3	(388)	(5,307)	31,764	26,069
Net remeasurement of impairment	350,210	51,295	130,941	532,446
Amounts that have been derecognised	(121,438)	(83,638)	(234,436)	(439,512)
Balance as at 31st December 2020	1,155,451	348,123	182,232	1,685,806
Balance as at 1st January 2021	1,155,451	348,123	182,232	1,685,806
Net impairment charge for the year due to:				
New commitments originated	136,776	107,044	-	243,820
Changes in the gross carrying amount				
- Transfer to stage 1	6,947	(19,414)	-	(12,467)
- Transfer to stage 2	(42,717)	262,725	(12,888)	207,120
- Transfer to stage 3	(35)	-	15,578	15,543
Net remeasurement of impairment	323,906	29,961	169,937	523,804
Amounts that have been derecognised	(274,731)	(109,577)	(19,344)	(403,652)
Balance as at 31st December 2021	1,305,597	618,862	335,515	2,259,974

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2020	775,981	297,282	344,241	1,417,504
Net impairment charge for the year due to:				
New commitments originated	157,861	65,167	-	223,028
Changes in the gross carrying amount				
- Transfer to stage 1	17,857	(67,014)	(17,483)	(66,640)
- Transfer to stage 2	(24,515)	90,497	(72,795)	(6,813)
- Transfer to stage 3	(388)	(5,307)	31,764	26,069
Net remeasurement of impairment	350,210	51,298	130,941	532,449
Amounts that have been derecognised	(120,438)	(83,800)	(234,436)	(438,674)
Balance as at 31st December 2020	1,156,568	348,123	182,232	1,686,923
Balance as at 1st January 2021	1,156,568	348,123	182,232	1,686,923
Net impairment charge for the year due to:				
New commitments originated	136,776	107,044	-	243,820
Changes in the gross carrying amount				
- Transfer to stage 1	6,947	(19,414)	-	(12,467)
- Transfer to stage 2	(42,717)	262,725	(12,888)	207,120
- Transfer to stage 3	(35)	-	15,578	15,543
Net remeasurement of impairment	323,906	29,961	169,937	523,804
Amounts that have been derecognised	(311,704)	(109,577)	(19,344)	(440,625)
Balance as at 31st December 2021	1,269,741	618,862	335,515	2,224,118

51.2.4(e) Stage-wise movement of gross carrying values of other financial assets

The Bank did not obverse any significant stage movements in other financial assets, which includes cash and cash equivalents, placements with banks, debt and other instruments at amortised cost and debt instruments at fair value through other comprehensive income.

51.2.5 Analysis of Risk Concentration

The Concentration risk is monitored/managed through borrower/group, sector, product etc. Maximum exposure of both funded and non funded facilities to a company and a group as at the reporting date was Rs 14,500 Mn and Rs 34,206 Mn respectively. The following tables show the exposure to credit risk for the Financial Assets, including geography of counterparty and industry.

51.2.5.1 Geographical Distribution

(a) Bank

As at 31st December	2021			2020		
	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	20,549,533	2,333,466	22,882,999	20,837,545	8,216,040	29,053,585
Balances with Central Bank of Sri Lanka	30,874,556	-	30,874,556	13,335,178	-	13,335,178
Placements with banks	-	2,739,514	2,739,514	-	3,228,166	3,228,166
Reverse repurchase agreements	2,752,011	-	2,752,011	4,450,557	-	4,450,557
Derivative financial instruments	1,298,127	100,992	1,399,119	2,032,294	154,221	2,186,515
Financial assets recognised through profit or loss - measured at fair value	3,907,704	-	3,907,704	9,313,628	-	9,313,628
Financial assets at amortised cost						
- loans & advances *	736,177,173	26,411,121	762,588,294	694,668,624	25,546,623	720,215,247
- debt & other instruments	293,766,967	-	293,766,967	275,091,572	-	275,091,572
Financial assets - fair value through other comprehensive income	38,521,161	4,482,984	43,004,145	20,707,612	3,530,191	24,237,803
Other assets	10,338,262	307,344	10,645,606	4,029,958	742,535	4,772,493
Total	1,138,185,494	36,375,421	1,174,560,915	1,044,466,968	41,417,776	1,085,884,744

* Provincial breakdown for loans & advances within Sri Lanka

Province	Bank 2021 Rs 000	Bank 2020 Rs 000
Central	48,325,687	44,519,112
Eastern	15,882,634	14,281,891
North Central	17,605,488	15,890,068
North Western	35,612,843	34,048,336
Northern	13,007,687	12,848,305
Sabaragamuwa	15,927,258	14,796,880
Southern	33,081,532	29,339,104
Uva	13,900,383	12,519,739
Western	542,833,661	516,425,189
Total	736,177,173	694,668,624

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(b) Group

As at 31st December	2021			2020		
	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	20,694,122	2,333,466	23,027,588	21,002,881	8,216,040	29,218,921
Balances with Central Bank of Sri Lanka	30,874,556	-	30,874,556	13,335,178	-	13,335,178
Placements with banks	-	2,739,514	2,739,514	-	3,228,166	3,228,166
Reverse repurchase agreements	4,861,922	-	4,861,922	6,231,719	-	6,231,719
Derivative financial instruments	1,298,127	100,992	1,399,119	2,032,294	154,221	2,186,515
Financial assets recognised through profit or loss - measured at fair value	3,907,704	-	3,907,704	9,313,628	-	9,313,628
Financial assets at amortised cost						
- loans & advances *	769,393,232	26,411,121	795,804,353	726,891,159	25,546,623	752,437,782
- debt & other instruments	294,667,208	-	294,667,208	275,125,717	-	275,125,717
Financial assets - fair value through other comprehensive income	38,521,217	4,482,984	43,004,201	20,707,668	3,530,191	24,237,859
Other assets	11,279,785	307,344	11,587,129	4,641,259	742,535	5,383,794
Total	1,175,497,873	36,375,421	1,211,873,294	1,079,281,503	41,417,776	1,120,699,279

* Provincial breakdown for loans & advances within Sri Lanka

Province	Group	
	2021 Rs 000	2020 Rs 000
Central	53,295,484	49,104,471
Eastern	19,353,335	17,374,800
North Central	19,151,578	17,377,560
North Western	39,547,602	37,921,046
Northern	14,075,996	13,614,392
Sabaragamuwa	18,237,434	16,954,003
Southern	35,697,232	31,992,535
Uva	14,431,888	12,949,179
Western	555,602,683	529,603,173
Total	769,393,232	726,891,159

51.2.5.2 *Industry Analysis*

The following tables show the risk concentration by industry for the Financial Assets.

(a) Bank - as at 31st December 2021

	Agriculture & Related Rs 000	Manufacturing Rs 000	Tourism Rs 000	Transport Rs 000	Construction Rs 000	Infrastructure Rs 000	Traders Rs 000	Banks, Financial & Business Services Rs 000	Other Services Rs 000	Consumers Rs 000	Total Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	22,882,999	-	-	22,882,999
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	30,874,556	-	-	30,874,556
Placements with banks	-	-	-	-	-	-	-	2,739,514	-	-	2,739,514
Reverse repurchase agreements	-	-	-	-	-	-	-	2,752,011	-	-	2,752,011
Derivative financial instruments	-	-	-	-	-	-	-	948,847	450,272	-	1,399,119
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	3,907,704	-	-	3,907,704
Financial assets at amortised cost											
- loans & advances	77,833,246	89,875,576	64,477,696	9,446,659	99,048,382	47,658,393	119,928,804	69,195,294	68,897,472	116,226,772	762,588,294
- debt & other instruments	-	-	-	-	-	1,268,511	-	292,498,456	-	-	293,766,967
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	42,944,384	59,761	-	43,004,145
Other assets	-	-	-	-	-	-	-	10,013,784	631,822	-	10,645,606
Total	77,833,246	89,875,576	64,477,696	9,446,659	99,048,382	48,926,904	119,928,804	478,757,549	70,039,327	116,226,772	1,174,560,915

(b) Bank - as at 31st December 2020

	Agriculture & Related Rs 000	Manufacturing Rs 000	Tourism Rs 000	Transport Rs 000	Construction Rs 000	Infrastructure Rs 000	Traders Rs 000	Banks, Financial & Business Services Rs 000	Other Services Rs 000	Consumers Rs 000	Total Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	29,053,585	-	-	29,053,585
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	13,335,178	-	-	13,335,178
Placements with banks	-	-	-	-	-	-	-	3,228,166	-	-	3,228,166
Reverse repurchase agreements	-	-	-	-	-	-	-	4,450,557	-	-	4,450,557
Derivative financial instruments	1,319	-	-	-	-	-	164,372	2,011,926	8,898	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	9,307,242	6,386	-	9,313,628
Financial assets at amortised cost											
- loans & advances	58,803,015	97,271,888	59,644,673	9,540,881	112,075,819	53,839,328	117,530,524	53,574,174	56,536,642	101,398,303	720,215,247
- debt & other instruments	-	-	-	-	-	-	-	275,091,572	-	-	275,091,572
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	24,203,454	34,349	-	24,237,803
Other assets	-	-	-	-	-	-	-	4,593,426	179,067	-	4,772,493
Total	58,804,334	97,271,888	59,644,673	9,540,881	112,075,819	53,839,328	117,694,896	418,849,280	56,765,342	101,398,303	1,085,884,744

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(c) Group - as at 31st December 2021

	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Consumers	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	23,027,588	-	-	23,027,588
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	30,874,556	-	-	30,874,556
Placements with banks	-	-	-	-	-	-	-	2,739,514	-	-	2,739,514
Reverse repurchase agreements	-	-	-	-	-	-	-	4,861,922	-	-	4,861,922
Derivative financial instruments	-	-	-	-	-	-	-	948,847	450,272	-	1,399,119
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	3,907,704	-	-	3,907,704
Financial assets at amortised cost											
- loans & advances	81,315,811	92,977,594	65,509,095	12,560,822	99,553,955	49,448,434	125,660,552	67,470,830	77,483,028	123,824,232	795,804,353
- debt & other instruments	-	-	-	-	-	1,268,511	-	293,398,697	-	-	294,667,208
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	42,944,384	59,817	-	43,004,201
Other assets	-	-	-	-	-	-	-	10,013,784	1,573,345	-	11,587,129
Total	81,315,811	92,977,594	65,509,095	12,560,822	99,553,955	50,716,945	125,660,552	480,187,826	79,566,462	123,824,232	1,211,873,294

(d) Group - as at 31st December 2020

	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Consumers	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	29,218,921	-	-	29,218,921
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	13,335,178	-	-	13,335,178
Placements with banks	-	-	-	-	-	-	-	3,228,166	-	-	3,228,166
Reverse repurchase agreements	-	-	-	-	-	-	-	6,231,719	-	-	6,231,719
Derivative financial instruments	1,319	-	-	-	-	-	164,372	2,011,926	8,898	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	9,307,242	6,386	-	9,313,628
Financial assets at amortised cost											
- loans & advances	61,910,737	100,215,150	61,093,176	12,381,118	113,154,634	55,102,596	123,168,115	52,044,181	65,184,492	108,183,583	752,437,782
- debt & other instruments	-	-	-	-	-	-	-	275,125,717	-	-	275,125,717
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	24,203,454	34,405	-	24,237,859
Other assets	-	-	-	-	-	-	-	4,752,318	631,476	-	5,383,794
Total	61,912,056	100,215,150	61,093,176	12,381,118	113,154,634	55,102,596	123,332,487	419,458,822	65,865,657	108,183,583	1,120,699,279

51.2.6 Commitments and Contingencies

To meet the financial needs of customers, the Bank enters into various commitments and contingent liabilities. Even though these obligations may not be recognised in the Statement of Financial Position, they do contain credit risk and are, therefore, part of the overall risk of the Bank.

The maximum exposure to credit risk relating to a financial guarantee is the maximum amount the Bank should have to pay if the guarantee is called upon. The maximum exposure to credit risk relating to a loan commitment is the full amount of the commitment. In both cases, the maximum risk exposure is significantly greater than the amount recognised as a liability in the Statement of Financial Position. The Bank's maximum credit risk exposure for commitments and contingencies are disclosed in the Note No. 45.

51.3 Liquidity Risk and Funding Management

Liquidity risk is the risk that the Bank will encounter difficulties in meeting its financial commitments that are settled by delivering cash or another financial asset. Hence, the Bank may be unable to meet its payment obligations when they fall due under both normal and stress circumstances. To limit this risk, management has arranged diversified funding sources in addition to its core deposit base, and adopted a policy of continuously managing assets with liquidity in mind and monitoring future cash flows and liquidity on a daily basis. The Bank has developed internal control processes and contingency plans for managing liquidity risk. This incorporates an assessment of expected cash flows and the availability of high grade collateral which could be used to secure additional funding if required.

The Bank maintains a portfolio of highly marketable and diverse assets assumed to be easily liquidated in the event of an unforeseen interruption of expected cash flow. The Bank also has committed lines of credit that could be utilised to meet liquidity needs. Further, the Bank maintained a statutory deposit with the Central Bank of Sri Lanka equal to 4% (2% - 2020) of customer rupee deposits. In accordance with the Bank’s policy, the liquidity position is assessed and managed under a variety of scenarios, giving due consideration to stress factors relating to both the market in general and specific to the Bank. The most important of this is to maintain the required ratio of liquid assets to liabilities, to meet the regulatory requirement (20%). Liquid assets consist of cash, short–term bank deposits and liquid debt securities including government securities. Further the Statutory Liquid Assets Ratio of the Bank for the month of December 2021 is as follows.

51.3.1 Statutory Liquid Assets Ratio (SLAR)

For the month of December	2021 %	2020 %
Domestic Banking Unit (DBU)	32.47	34.98
Off-shore Banking Unit (OBU)	30.83	37.60

51.3.2 Loans & advances to Deposits (due to banks and due to depositors) Ratio

The Bank is aware of the importance of deposits as a source of funds for its lending operations. This is monitored using the following ratio, which compares loans & advances to deposits.

Loans & advances to deposits ratio as at 31st December 2021: 83.11% (2020: 85.58%)

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51.3.3 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The tables below summarise the maturity profile of the expected undiscounted cash flows of the Bank's financial assets and financial liabilities as at 31st December 2021. However, the Bank expects that many customers will not request repayment on the earliest date it could be required to pay and the tables do not reflect the expected cash flows indicated by its deposit retention history based on the behavioral pattern.

Contractual Maturities of Undiscounted Cash Flows of Financial Assets and Financial Liabilities

(a) Bank - as at 31st December 2021

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	22,883,166	-	-	-	-	22,883,166
Balances with Central Bank of Sri Lanka	19,208,558	9,026,174	1,556,203	621,339	462,282	30,874,556
Placements with banks	2,739,514	-	-	-	-	2,739,514
Reverse repurchase agreements	2,753,226	-	-	-	-	2,753,226
Derivative financial instruments	296,053	876,666	226,400	-	-	1,399,119
Financial assets recognised through profit or loss - measured at fair value	3,907,704	-	-	-	-	3,907,704
Financial assets at amortised cost						
- loans & advances	230,751,577	214,257,455	210,560,068	111,838,992	131,536,664	898,944,756
- debt & other instruments	80,355,326	62,534,766	110,144,016	59,013,347	29,739,266	341,786,721
Financial assets - fair value through other comprehensive income	4,776,171	5,031,906	28,192,064	-	5,004,004	43,004,145
Other assets	3,707,304	6,794,563	24,938	-	123,035	10,649,840
Total Financial Assets	371,378,599	298,521,530	350,703,689	171,473,678	166,865,251	1,358,942,747
Financial Liabilities						
Due to banks	18,626,793	3,880,134	1,381,511	-	-	23,888,438
Derivative financial instruments	184,479	423,444	-	-	-	607,923
Securities sold under repurchase agreements	4,060,239	115,323	-	-	-	4,175,562
Financial liabilities at amortised cost						
- due to depositors	593,215,711	320,324,492	49,728,297	21,342,533	13,911,514	998,522,547
- due to other borrowers	156,008	9,009,926	2,486,868	1,319,569	3,786,366	16,758,737
- due to debt securities holders	1,441,750	7,758,750	21,453,015	1,080,000	7,080,000	38,813,515
Dividend payable	148,032	-	-	-	-	148,032
Other liabilities	10,420,438	2,879,018	1,359,670	737,748	1,129,364	16,526,238
Total Financial Liabilities	628,253,450	344,391,087	76,409,361	24,479,850	25,907,244	1,099,440,992
Total Net Financial Assets/(Liabilities)	(256,874,851)	(45,869,557)	274,294,328	146,993,828	140,958,007	259,501,755

(b) Bank - as at 31st December 2020

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	29,053,585	-	-	-	-	29,053,585
Balances with Central Bank of Sri Lanka	7,640,147	3,868,434	1,268,863	392,591	165,143	13,335,178
Placements with banks	3,228,166	-	-	-	-	3,228,166
Reverse repurchase agreements	4,450,557	-	-	-	-	4,450,557
Derivative financial instruments	372,430	1,814,085	-	-	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	9,313,628	-	-	-	-	9,313,628
Financial assets at amortised cost						
- loans & advances	247,267,925	155,631,025	195,174,542	112,566,283	135,614,586	846,254,361
- debt & other instruments	39,906,342	132,467,738	94,317,633	21,951,934	20,271,936	308,915,583
Financial assets - fair value through other comprehensive income	108,124	16,456,959	3,081,910	492,287	4,098,523	24,237,803
Other assets	1,787,604	2,856,809	48,917	-	88,095	4,781,425
Total Financial Assets	343,128,508	313,095,050	293,891,865	135,403,095	160,238,283	1,245,756,801
Financial Liabilities						
Due to banks	10,515,386	15,125,357	10,300,091	-	-	35,940,834
Derivative financial instruments	241,802	1,789,145	-	-	-	2,030,947
Securities sold under repurchase agreements	3,318,754	90,740	-	-	-	3,409,494
Financial liabilities at amortised cost						
- due to depositors	508,356,662	272,259,332	95,238,350	26,971,578	9,838,956	912,664,878
- due to other borrowers	182,370	7,739,745	5,354,390	720,085	2,960,455	16,957,045
- due to debt securities holders	1,440,466	7,985,013	21,058,717	7,973,000	-	38,457,196
Dividend payable	121,270	-	-	-	-	121,270
Other liabilities	8,513,078	4,115,310	1,868,142	703,817	982,353	16,182,700
Total Financial Liabilities	532,689,788	309,104,642	133,819,690	36,368,480	13,781,764	1,025,764,364
Total Net Financial Assets/(Liabilities)	(189,561,280)	3,990,408	160,072,175	99,034,615	146,456,519	219,992,437

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(c) Group - as at 31st December 2021

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	23,027,757	-	-	-	-	23,027,757
Balances with Central Bank of Sri Lanka	19,208,558	9,026,174	1,556,203	621,339	462,282	30,874,556
Placements with banks	2,739,514	-	-	-	-	2,739,514
Reverse repurchase agreements	3,393,300	1,508,366	-	-	-	4,901,666
Derivative financial instruments	296,053	876,666	226,400	-	-	1,399,119
Financial assets recognised through profit or loss - measured at fair value	3,907,704	-	-	-	-	3,907,704
Financial assets at amortised cost						
- loans & advances	243,684,315	225,908,071	227,100,048	117,613,875	131,016,761	945,323,070
- debt & other instruments	80,355,326	63,452,766	110,144,016	59,013,347	29,739,266	342,704,721
Financial assets - fair value through other comprehensive income	4,776,171	5,031,906	28,192,064	-	5,004,060	43,004,201
Other assets	3,722,865	7,831,871	24,938	-	123,035	11,702,709
Total Financial Assets	385,111,563	313,635,820	367,243,669	177,248,561	166,345,404	1,409,585,017
Financial Liabilities						
Due to banks	23,403,299	4,929,043	3,594,497	317,784	11,442	32,256,065
Derivative financial instruments	184,479	423,444	-	-	-	607,923
Securities sold under repurchase agreements	4,060,239	115,323	-	-	-	4,175,562
Financial liabilities at amortised cost						
- due to depositors	598,489,576	330,695,775	51,528,831	21,835,337	13,913,439	1,016,462,958
- due to other borrowers	156,008	9,009,926	2,486,868	1,319,569	3,786,366	16,758,737
- due to debt securities holders	1,441,750	9,521,039	25,904,251	2,863,800	7,080,000	46,810,840
Dividend payable	148,032	-	-	-	-	148,032
Other liabilities	11,486,826	2,812,130	1,417,137	883,175	1,303,379	17,902,647
Total Financial Liabilities	639,370,209	357,506,680	84,931,584	27,219,665	26,094,626	1,135,122,764
Total Net Financial Assets/(Liabilities)	(254,258,646)	(43,870,860)	282,312,085	150,028,896	140,250,778	274,462,253

(d) Group - as at 31st December 2020

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	29,218,921	-	-	-	-	29,218,921
Balances with Central Bank of Sri Lanka	7,640,147	3,868,434	1,268,863	392,591	165,143	13,335,178
Placements with banks	3,228,166	-	-	-	-	3,228,166
Reverse repurchase agreements	5,225,483	1,058,498	-	-	-	6,283,981
Derivative financial instruments	372,430	1,814,085	-	-	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	9,313,628	-	-	-	-	9,313,628
Financial assets at amortised cost						
- loans & advances	257,543,078	168,014,751	211,757,388	117,366,170	135,648,153	890,329,540
- debt & other instruments	39,906,342	132,501,203	94,317,633	21,951,934	20,271,936	308,949,048
Financial assets - fair value through other comprehensive income	108,125	16,456,959	3,081,910	492,287	4,098,578	24,237,859
Other assets	2,533,399	2,935,604	255,444	-	88,095	5,812,542
Total Financial Assets	355,089,719	326,649,534	310,681,238	140,202,982	160,271,905	1,292,895,378
Financial Liabilities						
Due to banks	12,235,762	17,674,977	13,483,285	777,001	-	44,171,025
Derivative financial instruments	241,802	1,789,145	-	-	-	2,030,947
Securities sold under repurchase agreements	2,225,628	90,740	-	-	-	2,316,368
Financial liabilities at amortised cost						
- due to depositors	514,286,994	281,194,646	98,551,302	27,604,151	9,840,219	931,477,312
- due to other borrowers	182,370	7,739,745	5,354,390	720,085	2,960,455	16,957,045
- due to debt securities holders	1,474,968	9,646,455	25,453,683	9,661,013	-	46,236,119
Dividend payable	121,270	-	-	-	-	121,270
Other liabilities	9,188,643	4,028,148	1,464,447	727,186	1,018,866	16,427,290
Total Financial Liabilities	539,957,437	322,163,856	144,307,107	39,489,436	13,819,540	1,059,737,376
Total Net Financial Assets/(Liabilities)	(184,867,718)	4,485,678	166,374,131	100,713,546	146,452,365	233,158,002

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51.3.4 Remaining Contractual Maturities of Commitments and Contingencies

The tables below show the contractual expiry by remaining maturity of the Bank's contingent liabilities and commitments. Each undrawn loan commitment is included in the time band containing the earliest date it can be drawn down. For issued financial guarantee contracts, the maximum amount of the guarantee is allocated to the earliest period in which the guarantee could be called.

(a) Bank - as at 31st December 2021

	On Demand Rs 000	Less than 3 Months Rs 000	3 to 12 Months Rs 000	1 to 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn-direct credit facilities	143,494,436	-	-	-	-	143,494,436
Undrawn-indirect credit facilities	59,795,048	-	-	-	-	59,795,048
Acceptances	423,849	19,269,602	20,224,717	1,424	-	39,919,592
Documentary credit	3,684,876	25,019,316	15,098,253	-	-	43,802,445
Guarantees	5,069,076	15,625,044	28,493,954	7,583,904	3,348	56,775,326
	212,467,285	59,913,962	63,816,924	7,585,328	3,348	343,786,847
Other commitments & contingencies						
Capital Commitments	1,010,914	-	-	-	-	1,010,914
Operating lease commitments - as lessee	-	17,264	23,898	-	-	41,162
Forward & SWAPs contracts	-	35,308,463	12,776,683	1,415,587	-	49,500,733
	1,010,914	35,325,727	12,800,581	1,415,587	-	50,552,809
Total gross commitments & contingencies	213,478,199	95,239,689	76,617,505	9,000,915	3,348	394,339,656
Impairment for expected credit losses - credit related commitments & contingencies	(1,735,028)	(158,989)	(289,133)	(76,790)	(34)	(2,259,974)
Commitments & contingencies net of impairment for expected credit losses	211,743,171	95,080,700	76,328,372	8,924,125	3,314	392,079,682

(b) Bank - as at 31st December 2020

	On Demand Rs 000	Less than 3 Months Rs 000	3 to 12 Months Rs 000	1 to 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn-direct credit facilities	159,176,139	-	-	-	-	159,176,139
Undrawn-indirect credit facilities	54,713,490	-	-	-	-	54,713,490
Acceptances	181,279	22,828,749	8,804,294	84,641	-	31,898,963
Documentary credit	2,334,101	17,306,112	5,132,944	40,616	-	24,813,773
Guarantees	8,999,321	10,601,145	23,840,862	10,291,336	2,994	53,735,658
	225,404,330	50,736,006	37,778,100	10,416,593	2,994	324,338,023
Other commitments & contingencies						
Capital Commitments	1,299,104	-	-	-	-	1,299,104
Operating lease commitments - as lessee	-	17,516	23,986	-	-	41,502
Forward & SWAPs contracts	-	78,879,444	79,533,482	-	-	158,412,926
	1,299,104	78,896,960	79,557,468	-	-	159,753,532
Total gross commitments & contingencies	226,703,434	129,632,966	117,335,568	10,416,593	2,994	484,091,555
Impairment for expected credit losses - credit related commitments & contingencies	(1,067,230)	(317,223)	(236,205)	(65,129)	(19)	(1,685,806)
Commitments & contingencies net of impairment for expected credit losses	225,636,204	129,315,743	117,099,363	10,351,464	2,975	482,405,749

(c) Group - as at 31st December 2021

	On Demand Rs 000	Less than 3 Months Rs 000	3 to 12 Months Rs 000	1 to 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn-direct credit facilities	140,198,530	-	-	-	-	140,198,530
Undrawn-indirect credit facilities	59,795,048	-	-	-	-	59,795,048
Acceptances	423,849	19,269,602	20,224,717	1,424	-	39,919,592
Documentary credit	3,684,876	25,019,316	15,098,253	-	-	43,802,445
Guarantees	5,069,076	15,625,044	28,500,154	7,583,904	3,348	56,781,526
	209,171,379	59,913,962	63,823,124	7,585,328	3,348	340,497,141
Other commitments & contingencies						
Capital Commitments	967,610	167,128	894,977	-	-	2,029,715
Operating lease commitments - as lessee	-	17,264	23,898	-	-	41,162
Forward & SWAPs contracts	-	35,308,463	12,776,683	1,415,587	-	49,500,733
	967,610	35,492,855	13,695,558	1,415,587	-	51,571,610
Total gross commitments & contingencies	210,138,989	95,406,817	77,518,682	9,000,915	3,348	392,068,751
Impairment for expected credit losses - credit related commitments & contingencies	(1,699,172)	(158,989)	(289,133)	(76,790)	(34)	(2,224,118)
Commitments & contingencies net of impairment for expected credit losses	208,439,817	95,247,828	77,229,549	8,924,125	3,314	389,844,633

(d) Group - as at 31st December 2020

	On Demand Rs 000	Less than 3 Months Rs 000	3 to 12 Months Rs 000	1 to 5 Years Rs 000	Over 5 Years Rs 000	Total Rs 000
Credit related commitments & contingencies						
Undrawn-direct credit facilities	153,070,089	-	-	-	-	153,070,089
Undrawn-indirect credit facilities	54,713,490	-	-	-	-	54,713,490
Acceptances	181,279	22,828,749	8,804,294	84,641	-	31,898,963
Documentary credit	2,334,101	17,306,112	5,132,944	40,616	-	24,813,773
Guarantees	8,999,321	10,601,145	23,847,362	10,291,336	2,994	53,742,158
	219,298,280	50,736,006	37,784,600	10,416,593	2,994	318,238,473
Other commitments & contingencies						
Capital Commitments	1,299,104	348,755	1,313,682	-	-	2,961,541
Operating lease commitments - as lessee	-	17,516	23,986	-	-	41,502
Forward & SWAPs contracts	-	78,879,444	79,533,482	-	-	158,412,926
	1,299,104	79,245,715	80,871,150	-	-	161,415,969
Total gross commitments & contingencies	220,597,384	129,981,721	118,655,750	10,416,593	2,994	479,654,442
Impairment for expected credit losses - credit related commitments & contingencies	(1,068,348)	(317,223)	(236,205)	(65,128)	(19)	(1,686,923)
Commitments & contingencies net of impairment for expected credit losses	219,529,036	129,664,498	118,419,545	10,351,465	2,975	477,967,519

NOTES TO THE FINANCIAL STATEMENTS

51 RISK MANAGEMENT CONTD.

51.4 Market Risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, commodity prices and equity prices. The Bank classifies exposures to market risk into either trading or non–trading portfolios and manages each of those portfolios separately.

51.4.1 Interest Rate Risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. The Bank's policy is to continuously monitor positions on a daily basis and use periodic interest re-pricing strategies to ensure positions are maintained within prudential levels.

The following tables demonstrate the sensitivity of the Bank's Statement of Profit or Loss for the year ended 31st December 2021 and 31st December 2020 to a reasonable possible change in interest rates, with all other variables held constant.

The below computation is based on the rate sensitive assets and liabilities which are to be matured or re-priced within one year.

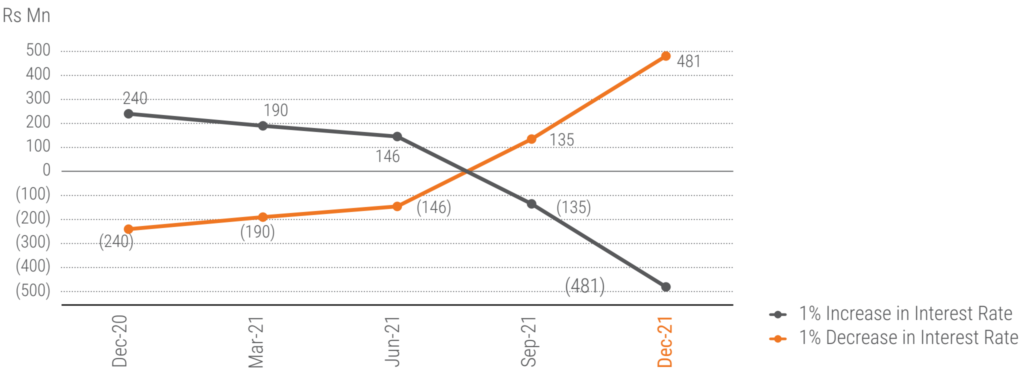
Rate Sensitive Assets (RSA) & Rate Sensitive Liabilities (RSL)

As at 31st December	2021 Rs 000	2020 Rs 000
Rate Sensitive Assets (RSA)	834,732,781	844,481,351
Rate Sensitive Liabilities (RSL)	911,858,379	801,660,800
GAP (RSA - RSL)	(77,125,598)	42,820,551

Impact on Statement of Profit or Loss due to Interest Rate Shocks

As at 31st December	2021 Rs 000	2020 Rs 000
Interest Rate Shock		
0.50%	(240,409)	120,126
1.00%	(480,819)	240,251
(0.50%)	240,409	(120,126)
(1.00%)	480,819	(240,251)

Impact on Statement of Profit or Loss due to interest rate shocks



Interest Rate Sensitivity Analysis

The tables below analyse the Bank's interest rate risk exposure on financial assets and liabilities. The Bank's assets and liabilities are included at carrying amount and categorised by the earlier of contractual re–pricing or maturity dates.

(a) Bank - as at 31st December 2021

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	500,418	-	-	-	-	22,382,581	22,882,999
Balances with Central Bank of Sri Lanka	-	-	-	-	-	30,874,556	30,874,556
Placements with banks	2,739,514	-	-	-	-	-	2,739,514
Reverse repurchase agreements	2,752,011	-	-	-	-	-	2,752,011
Derivative financial instruments	-	-	-	-	-	1,399,119	1,399,119
Financial assets recognised through profit or loss - measured at fair value	3,858,578	-	-	-	-	49,126	3,907,704
Financial assets at amortised cost							
- loans & advances	425,112,140	237,898,084	35,492,335	18,491,633	45,572,844	21,258	762,588,294
- debt & other instruments	92,599,406	59,464,553	72,426,323	47,122,582	22,154,103	-	293,766,967
Financial assets - fair value through other comprehensive income	4,776,171	5,031,906	28,192,064	-	493,092	4,510,912	43,004,145
Other assets	-	-	-	-	-	10,645,606	10,645,606
Total Financial Assets	532,338,238	302,394,543	136,110,722	65,614,215	68,220,039	69,883,158	1,174,560,915
Financial Liabilities							
Due to banks	22,637,684	428,647	-	-	-	586,916	23,653,247
Derivative financial instruments	-	-	-	-	-	607,923	607,923
Securities sold under repurchase agreements	4,047,295	110,367	-	-	-	-	4,157,662
Financial liabilities at amortised cost							
- due to depositors	548,578,184	321,787,833	33,298,718	3,979,477	-	70,301,740	977,945,952
- due to other borrowers	336,972	6,435,278	3,864,947	983,779	2,813,139	-	14,434,115
- due to debt securities holders	1,082,941	6,413,178	17,510,473	-	6,000,000	-	31,006,592
Dividend payable	-	-	-	-	-	148,032	148,032
Other liabilities	-	-	-	-	-	14,807,819	14,807,819
Total Financial Liabilities	576,683,076	335,175,303	54,674,138	4,963,256	8,813,139	86,452,430	1,066,761,342
Interest Rate Sensitivity Gap	(44,344,838)	(32,780,760)	81,436,584	60,650,959	59,406,900	(16,569,272)	107,799,573

51 RISK MANAGEMENT CONTD.

(b) Bank - as at 31st December 2020

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	2,781,418	-	-	-	-	26,272,167	29,053,585
Balances with Central Bank of Sri Lanka	-	-	-	-	-	13,335,178	13,335,178
Placements with banks	3,228,166	-	-	-	-	-	3,228,166
Reverse repurchase agreements	4,450,557	-	-	-	-	-	4,450,557
Derivative financial instruments	-	-	-	-	-	2,186,515	2,186,515
Financial assets recognised through profit or loss - measured at fair value	9,251,557	-	-	-	-	62,071	9,313,628
Financial assets at amortised cost							
- loans & advances	418,423,972	189,530,558	36,625,752	20,408,732	55,160,947	65,286	720,215,247
- debt & other instruments	66,498,257	133,751,781	46,375,558	16,150,902	12,315,074	-	275,091,572
Financial assets - fair value through other comprehensive income	108,126	16,456,959	3,081,910	492,287	535,198	3,563,323	24,237,803
Other assets	-	-	-	-	-	4,772,493	4,772,493
Total Financial Assets	504,742,053	339,739,298	86,083,220	37,051,921	68,011,219	50,257,033	1,085,884,744
Financial Liabilities							
Due to banks	26,659,596	6,929,566	-	-	-	1,496,042	35,085,204
Derivative financial instruments	-	-	-	-	-	2,030,947	2,030,947
Securities sold under repurchase agreements	3,311,755	88,141	-	-	-	-	3,399,896
Financial liabilities at amortised cost							
- due to depositors	474,154,226	275,459,858	73,492,591	6,742,068	-	55,876,158	885,724,901
- due to other borrowers	446,022	7,079,661	4,260,462	373,394	3,329,019	1,235	15,489,793
- due to debt securities holders	1,082,941	6,449,034	16,258,032	7,000,000	-	-	30,790,007
Dividend payable	-	-	-	-	-	121,270	121,270
Other liabilities	-	-	-	-	-	14,457,170	14,457,170
Total Financial Liabilities	505,654,540	296,006,260	94,011,085	14,115,462	3,329,019	73,982,822	987,099,188
Interest Rate Sensitivity Gap	(912,487)	43,733,038	(7,927,865)	22,936,459	64,682,200	(23,725,789)	98,785,556

(c) Group - as at 31st December 2021

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	500,418	-	-	-	-	22,527,170	23,027,588
Balances with Central Bank of Sri Lanka	-	-	-	-	-	30,874,556	30,874,556
Placements with banks	2,739,514	-	-	-	-	-	2,739,514
Reverse repurchase agreements	3,391,294	1,470,628	-	-	-	-	4,861,922
Derivative financial instruments	-	-	-	-	-	1,399,119	1,399,119
Financial assets recognised through profit or loss - measured at fair value	3,858,578	-	-	-	-	49,126	3,907,704
Financial assets at amortised cost							
- loans & advances	431,914,599	246,616,926	48,169,672	23,340,214	45,445,118	317,824	795,804,353
- debt & other instruments	92,599,406	60,364,794	72,426,323	47,122,582	22,154,103	-	294,667,208
Financial assets - fair value through other comprehensive income	4,776,171	5,031,906	28,192,064	-	493,092	4,510,968	43,004,201
Other assets	-	-	-	-	-	11,587,129	11,587,129
Total Financial Assets	539,779,980	313,484,254	148,788,059	70,462,796	68,092,313	71,265,892	1,211,873,294
Financial Liabilities							
Due to banks	30,050,063	503,647	200,000	191,667	-	586,916	31,532,293
Derivative financial instruments	-	-	-	-	-	607,923	607,923
Securities sold under repurchase agreements	4,047,295	110,367	-	-	-	-	4,157,662
Financial liabilities at amortised cost							
- due to depositors	553,564,770	331,296,689	34,819,868	4,434,272	1,925	70,200,050	994,317,574
- due to other borrowers	336,972	6,435,278	3,864,947	983,779	2,813,139	-	14,434,115
- due to debt securities holders	1,082,941	7,680,793	21,010,473	1,500,000	6,000,000	-	37,274,207
Dividend payable	-	-	-	-	-	148,032	148,032
Other liabilities	-	-	-	-	-	15,628,436	15,628,436
Total Financial Liabilities	589,082,041	346,026,774	59,895,288	7,109,718	8,815,064	87,171,357	1,098,100,242
Interest Rate Sensitivity Gap	(49,302,061)	(32,542,520)	88,892,771	63,353,078	59,277,249	(15,905,465)	113,773,052

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(d) Group - as at 31st December 2020

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	2,781,418	-	-	-	-	26,437,503	29,218,921
Balances with Central Bank of Sri Lanka	-	-	-	-	-	13,335,178	13,335,178
Placements with banks	3,228,166	-	-	-	-	-	3,228,166
Reverse repurchase agreements	5,224,437	1,007,282	-	-	-	-	6,231,719
Derivative financial instruments	-	-	-	-	-	2,186,515	2,186,515
Financial assets recognised through profit or loss - measured at fair value	9,251,557	-	-	-	-	62,071	9,313,628
Financial assets at amortised cost							
- loans & advances	423,704,994	198,848,000	49,771,151	24,891,562	55,156,789	65,286	752,437,782
- debt & other instruments	66,498,256	133,785,926	46,375,559	16,150,902	12,315,074	-	275,125,717
Financial assets - fair value through other comprehensive income	108,126	16,456,959	3,081,910	492,287	535,198	3,563,379	24,237,859
Other assets	-	-	-	-	-	5,383,794	5,383,794
Total Financial Assets	510,796,954	350,098,167	99,228,620	41,534,751	68,007,061	51,033,726	1,120,699,279
Financial Liabilities							
Due to banks	34,741,981	6,667,024	-	-	-	1,496,041	42,905,046
Derivative financial instruments	-	-	-	-	-	2,030,947	2,030,947
Securities sold under repurchase agreements	2,218,755	88,141	-	-	-	-	2,306,896
Financial liabilities at amortised cost							
- due to depositors	479,529,956	283,583,081	76,235,188	7,293,588	1,263	55,855,663	902,498,739
- due to other borrowers	446,022	7,079,661	4,260,462	373,394	3,329,019	1,235	15,489,793
- due to debt securities holders	1,103,365	7,857,086	19,618,032	8,500,000	-	-	37,078,483
Dividend payable	-	-	-	-	-	121,270	121,270
Other liabilities	-	-	-	-	-	14,678,824	14,678,824
Total Financial Liabilities	518,040,079	305,274,993	100,113,682	16,166,982	3,330,282	74,183,980	1,017,109,998
Interest Rate Sensitivity Gap	(7,243,125)	44,823,174	(885,062)	25,367,769	64,676,779	(23,150,254)	103,589,281

51.4.2 Currency Risk

Currency risk arises as a result of fluctuations in the value of a financial instrument due to changes in foreign exchange rates. The Bank's Board has set limits on positions by currency. In accordance with the Bank's policy, positions are monitored on a daily basis and hedging strategies are used to ensure positions are maintained within established limits.

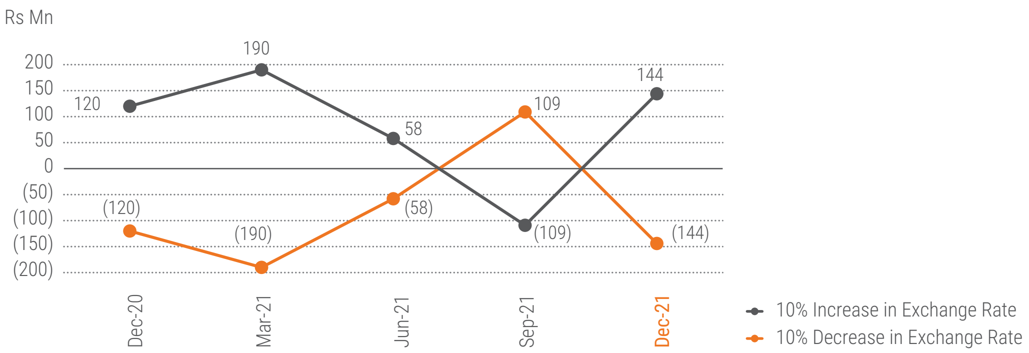
The tables below indicate the currencies to which the Bank had significant exposures as at 31st December 2021 and 31st December 2020 and the effect to the gains/losses in case of a market exchange rates increase/decrease by 5% and 10%. The analysis calculates the effect of a reasonably possible movement of the currency rate against the LKR, with all other variables held constant, on the Statement of Profit or Loss (due to the fair value of currency sensitive non trading financial assets and liabilities) and equity (due to change in fair value of currency swaps and forward exchange contracts used as cash flow hedges). A negative amount in the "Impact on Statement of Profit or Loss" column of the table reflects a potential net reduction in Statement of Profit or Loss or equity, while a positive amount reflects a net potential increase.

Foreign Exchange Position as at 31st December	2021		2020	
	Net Overall Long Rs 000	Net Overall Short Rs 000	Net Overall Long Rs 000	Net Overall Short Rs 000
Currency				
USD	1,069,557	-	1,025,405	-
GBP	20,272	-	10,101	-
EUR	91,090	-	82,699	-
JPY	28,822	-	1,022	-
AUD	4,529	-	-	35,383
CAD	8,987	-	1,924	-
CHF	18,568	-	13,542	-
SGD	7,689	-	5,106	-
HKD	7,407	-	6,237	-
Sub Total	1,256,921	-	1,146,036	35,383
Other Currencies	182,460	-	50,684	-
Grand Total	1,439,381	-	1,196,720	35,383
Higher of Long or Short	1,439,381	-	1,196,720	

Impact on Statement of Profit or Loss due to Exchange Rate Shocks

Exchange Rate Shocks	2021		2020	
	Net Open Position (after Rate Shocks) Rs 000	Impact on Statement of Profit or Loss for the period ended 31st December Rs 000	Net Open Position (after Rate Shocks) Rs 000	Impact on Statement of Profit or Loss for the period ended 31st December Rs 000
5%	1,511,350	71,969	1,256,556	59,836
10%	1,583,319	143,938	1,316,392	119,672
(5%)	1,367,412	(71,969)	1,136,884	(59,836)
(10%)	1,295,443	(143,938)	1,077,048	(119,672)

Impact on Statement of Profit or Loss due to increase/decrease in Exchange Rate by 10%



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51.4.3 Equity Price Risk

Equity price risk is the risk that the fair value of equities decreases as a result of changes in the level of equity indices and individual stocks. Investment Committee reviews and approves all equity investment decisions. Further the market value of the Bank's equity portfolio as of 31st December 2021 is Rs 49,125,838/- (2020: Rs 62,071,056/-).

51.5 Operational Risk

Operational risk is the risk of losses arising from failed internal processes, systems failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss. Strategic and Reputational Risks are not covered in Operational Risk.

Operational Risks of the Bank are mitigated and managed through a Board approved Operational Risk Management Policy control framework which consists of monitoring and responding to potential risks such as segregation of duties, access, authorisation and reconciliation procedures, staff education and assessment processes, Business Continuity Planning etc. Operational Risk Management Unit reports to Group Chief Risk Officer and the Board Integrated Risk Management Committee which maintains a high level overall supervision of managing Operational Risks of the Bank.

51.6 Capital Management

The Bank's capital management objectives can be summarised as follows:

- Maintain sufficient capital to meet minimum regulatory capital requirements
- Hold sufficient capital to support the Bank's risk appetite
- Provide additional capital to business segments of the Bank to achieve the overall strategic objectives
- Provide a "cushion" or "buffer" in absorbing potential losses arising from various risks and safeguarding the depositors' funds

Regulatory Capital

The Bank manages its capital considering the regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors capital requirements for licensed commercial banks in Sri Lanka based on the Basel framework. Accordingly the Bank needs to maintain minimum Total Tier I capital adequacy ratio (including capital buffers) of 8% and minimum total capital adequacy ratio of 12% as at 31st December 2021. The Bank has always maintained the Capital Adequacy Ratio above the minimum regulatory requirements.

52 MATURITY ANALYSIS

(a) Bank

As at 31st December	2021			2020		
	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000
Assets						
Cash & cash equivalents	22,882,999	-	22,882,999	29,053,585	-	29,053,585
Balances with Central Bank of Sri Lanka	28,234,732	2,639,824	30,874,556	11,508,580	1,826,598	13,335,178
Placements with banks	2,739,514	-	2,739,514	3,228,166	-	3,228,166
Reverse repurchase agreements	2,752,011	-	2,752,011	4,450,557	-	4,450,557
Derivative financial instruments	1,172,719	226,400	1,399,119	2,186,515	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	3,907,704	-	3,907,704	9,313,628	-	9,313,628
Financial assets at amortised cost						
- loans & advances	402,318,390	360,269,904	762,588,294	367,466,782	352,748,465	720,215,247
- debt & other instruments	131,291,473	162,475,494	293,766,967	162,717,414	112,374,158	275,091,572
Financial assets - fair value through other comprehensive income	9,808,077	33,196,068	43,004,145	16,565,084	7,672,719	24,237,803
Investment in subsidiaries	-	3,503,350	3,503,350	-	3,350,774	3,350,774
Property, plant & equipment	-	7,817,923	7,817,923	-	8,126,285	8,126,285
Intangible assets	-	544,916	544,916	-	753,615	753,615
Right-of-use assets	1,355,225	1,910,093	3,265,318	1,308,500	1,971,666	3,280,166
Current tax receivables	-	-	-	-	-	-
Deferred tax assets	-	6,157,958	6,157,958	-	4,634,040	4,634,040
Other assets	11,867,052	2,841,569	14,708,621	5,819,830	3,194,163	9,013,993
Total Assets	618,329,896	581,583,499	1,199,913,395	613,618,641	496,652,483	1,110,271,124
Liabilities						
Due to banks	22,283,128	1,370,119	23,653,247	25,045,017	10,040,187	35,085,204
Derivative financial instruments	607,923	-	607,923	2,030,947	-	2,030,947
Securities sold under repurchase agreements	4,157,662	-	4,157,662	3,399,896	-	3,399,896
Financial liabilities at amortised cost						
- due to depositors	899,596,741	78,349,211	977,945,952	767,256,931	118,467,970	885,724,901
- due to other borrowers	6,715,432	7,718,683	14,434,115	7,331,931	8,157,862	15,489,793
- due to debt securities holders	7,496,119	23,510,473	31,006,592	7,531,975	23,258,032	30,790,007
Retirement benefit obligation	-	2,573,127	2,573,127	-	6,871,592	6,871,592
Dividend payable	148,032	-	148,032	121,270	-	121,270
Current tax liabilities	7,524,844	-	7,524,844	4,674,756	-	4,674,756
Deferred tax liabilities	-	-	-	-	-	-
Other liabilities	16,777,439	2,332,803	19,110,242	16,156,739	2,377,215	18,533,954
Total Liabilities	965,307,320	115,854,416	1,081,161,736	833,549,462	169,172,858	1,002,722,320
Maturity Gap	(346,977,424)	465,729,083	118,751,659	(219,930,821)	327,479,625	107,548,804
Cumulative Gap	(346,977,424)	118,751,659	-	(219,930,821)	107,548,804	-

NOTES TO THE FINANCIAL STATEMENTS

52 MATURITY ANALYSIS CONTD.

(b) Group

As at 31st December	2021			2020		
	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000	Within 12 Months Rs 000	After 12 Months Rs 000	Total Rs 000
Assets						
Cash & cash equivalents	23,027,588	-	23,027,588	29,218,921	-	29,218,921
Balances with Central Bank of Sri Lanka	28,234,732	2,639,824	30,874,556	11,508,580	1,826,598	13,335,178
Placements with banks	2,739,514	-	2,739,514	3,228,166	-	3,228,166
Reverse repurchase agreements	4,861,922	-	4,861,922	6,231,719	-	6,231,719
Derivative financial instruments	1,172,719	226,400	1,399,119	2,186,515	-	2,186,515
Financial assets recognised through profit or loss - measured at fair value	3,907,704	-	3,907,704	9,313,628	-	9,313,628
Financial assets at amortised cost						
- loans & advances	419,715,661	376,088,692	795,804,353	383,946,424	368,491,358	752,437,782
- debt & other instruments	132,191,714	162,475,494	294,667,208	162,751,559	112,374,158	275,125,717
Financial assets - fair value through other comprehensive income	9,808,077	33,196,124	43,004,201	16,565,084	7,672,775	24,237,859
Investment in subsidiaries	-	-	-	-	-	-
Property, plant & equipment	-	16,337,516	16,337,516	-	15,891,415	15,891,415
Intangible assets	-	567,681	567,681	-	791,689	791,689
Right-of-use assets	1,288,591	1,743,199	3,031,790	1,077,298	1,828,363	2,905,661
Current tax receivables	4,177	-	4,177	42,883	-	42,883
Deferred tax assets	-	6,242,982	6,242,982	-	4,653,496	4,653,496
Other assets	12,160,894	4,001,445	16,162,339	6,091,200	3,993,599	10,084,799
Total Assets	639,113,293	603,519,357	1,242,632,650	632,161,977	517,523,451	1,149,685,428
Liabilities						
Due to banks	26,287,006	5,245,287	31,532,293	29,205,471	13,699,575	42,905,046
Derivative financial instruments	607,923	-	607,923	2,030,947	-	2,030,947
Securities sold under repurchase agreements	4,157,662	-	4,157,662	2,306,896	-	2,306,896
Financial liabilities at amortised cost						
- due to depositors	913,990,493	80,327,081	994,317,574	780,735,390	121,763,349	902,498,739
- due to other borrowers	6,715,432	7,718,683	14,434,115	7,331,931	8,157,862	15,489,793
- due to debt securities holders	8,763,734	28,510,473	37,274,207	8,960,451	28,118,032	37,078,483
Retirement benefit obligation	-	2,706,462	2,706,462	-	6,988,658	6,988,658
Dividend payable	148,032	-	148,032	121,270	-	121,270
Current tax liabilities	8,375,511	-	8,375,511	4,792,904	-	4,792,904
Deferred tax liabilities	-	979,815	979,815	-	1,485,302	1,485,302
Other liabilities	18,319,120	2,594,418	20,913,538	16,978,733	2,594,003	19,572,736
Total Liabilities	987,364,913	128,082,219	1,115,447,132	852,463,993	182,806,781	1,035,270,774
Maturity Gap	(348,251,620)	475,437,138	127,185,518	(220,302,016)	334,716,670	114,414,654
Cumulative Gap	(348,251,620)	127,185,518	-	(220,302,016)	114,414,654	-

53 COMPARATIVE INFORMATION

The comparative information has been reclassified wherever necessary to conform to the current year's presentation and details are given below.

53.1 Statement of Profit or Loss

There were no reclassifications during the year.

53.2 Statement of Financial Position

The following line items in the Statement of Financial Position as at 31st December 2020 were reclassified to conform to the current year's presentation.

	Note	Bank			Group		
		Reclassified	As reported in 2020	Adjustment	Reclassified	As reported in 2020	Adjustment
		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Due to banks	34	35,085,204	1,522,402	33,562,802	42,905,046	1,523,333	41,381,713
Due to other borrowers	36	15,489,793	49,052,595	(33,562,802)	15,489,793	56,871,506	(41,381,713)

53.2.1 Borrowings from banks which were previously reported under due to other borrowers have been reclassified under due to banks.

54 REPURCHASE AND REVERSE REPURCHASE TRANSACTIONS IN SCRIPLESS TREASURY BONDS AND SCRIPLESS TREASURY BILLS

Directive No. 1 of 2019, issued by the Central Bank of Sri Lanka, requires Licensed Banks/Primary Dealers to disclose following additional information on repurchase and reverse repurchase transactions in scripless treasury bonds and bills.

54.1 Carrying Value of Securities Allocated for Repurchase Transactions

As at 31st December 2021	Note	Bank		Group	
		Amortised Cost	Fair Value	Amortised Cost	Fair Value
		Rs 000	Rs 000	Rs 000	Rs 000
Financial assets at amortised cost - debt & other instruments	26.5	4,382,447	4,344,738	4,382,447	4,344,738

As at 31st December 2020	Note	Bank		Group	
		Amortised Cost	Fair Value	Amortised Cost	Fair Value
		Rs 000	Rs 000	Rs 000	Rs 000
Financial assets at amortised cost - debt & other instruments	26.5	3,670,810	3,721,909	2,521,756	2,572,855

NOTES TO THE FINANCIAL STATEMENTS

54 REPURCHASE AND REVERSE REPURCHASE TRANSACTIONS IN SCRIPLESS TREASURY BONDS AND SCRIPLESS TREASURY BILLS CONTD.

54.2 Market Value of Securities Received for Reverse Repurchase Transactions

Securities purchased under agreements to resell at a specified future date are not recognised in the statement of financial position. The consideration paid, including accrued interest, is recorded in the statement of financial position, within "reverse repurchase agreements".

	Bank		Group	
	Amortised Cost Rs 000	Fair Value of Securities Received Rs 000	Amortised Cost Rs 000	Fair Value of Securities Received Rs 000
As at 31st December 2021				
Reverse repurchase agreements	2,752,011	3,042,550	4,861,922	5,137,975
As at 31st December 2020				
Reverse repurchase agreements	4,450,557	5,102,293	6,231,719	7,238,098

54.3 Bank's Policy on Haircuts for Repurchase and Reverse Repurchase Transactions

According to the Bank's internal policies, minimum haircuts applicable for each maturity bucket as at 31st December 2021 is given below. The haircuts applied meet the minimum haircut requirements imposed by the Directive No. 1 of 2019.

Remaining Term to Maturity of the Eligible Security	Minimum Haircut (%)	
	Repurchase Transactions	Reverse Repurchase Transactions
Up to 1 year	5.00	4.00
More than 1 year and up to 3 years	6.00	6.00
More than 3 years and up to 5 years	8.00	8.00
More than 5 years and up to 8 years	10.00	10.00
More than 8 years	12.00	12.00

54.4 Penalties Imposed on the Bank/Group for Non-Compliance

No penalties have been imposed on the Group for non compliance with Directive No. 1 of 2019 during the years ended 31st December 2021 and 2020.

SUPPLEMENTARY INFORMATION

PERFORMING FOR SUCCESS

Over the years, our performance has been globally acknowledged for its business excellence and sustainability – inspiring an industry, our customers and shareholders to reach for greater heights in their journey towards their own success.

"A total commitment is paramount to reaching the ultimate performance".

STATEMENT OF PROFIT OR LOSS IN US$

For the year ended 31st December	Bank		Group	
	2021 US$ 000	2020 US$ 000	2021 US$ 000	2020 US$ 000
Gross income	520,899	551,693	563,263	588,723
Interest income	428,329	477,781	460,413	510,228
Less: Interest expense	220,761	295,444	233,672	311,698
Net interest income	207,568	182,337	226,741	198,530
Fee & commission income	65,951	52,697	70,919	55,367
Less: Fee & commission expense	8,792	7,119	8,797	7,124
Net fee & commission income	57,159	45,578	62,122	48,243
Net gain from trading	1,989	134	1,989	134
Net gain on derecognition of financial assets	749	2,285	749	2,285
Net other operating income	23,881	18,796	29,193	20,709
Total operating income	291,346	249,130	320,794	269,901
Less: Impairment charge	85,105	63,519	92,449	71,164
Net operating income	206,241	185,611	228,345	198,737
Less: Operating expenses				
Personnel expenses	47,537	55,164	54,377	60,525
Depreciation & amortisation expenses	12,226	13,230	12,410	13,577
Other operating expenses	43,192	39,937	46,385	42,242
Total operating expenses	102,955	108,331	113,172	116,344
Operating profit before taxes on financial services	103,286	77,280	115,173	82,393
Less: Value added tax on financial services	19,431	17,054	21,399	18,298
Profit before income tax	83,855	60,226	93,774	64,095
Less: Income tax expense	21,800	16,964	24,751	18,583
Profit for the year	62,055	43,262	69,023	45,512
Attributable to:				
Equity holders of the Bank	62,055	43,262	69,023	45,512
Non-controlling interest			-	-
	62,055	43,262	69,023	45,512
Earnings per share: Basic/Diluted (US$)	0.05	0.04	0.06	0.04
Dividend per share				
Dividend per share: Gross (US$)	0.02*	0.01		

Exchange rate of US$ was Rs 200.75 as at 31st December 2021 (Rs 185.50 as at 31st December 2020).

* Based on proposed dividend which is to be approved at the Annual General Meeting.

STATEMENT OF COMPREHENSIVE INCOME IN US$

For the year ended 31st December	Bank 2021 US$ 000	Bank 2020 US$ 000	Group 2021 US$ 000	Group 2020 US$ 000
Profit for the year	62,055	43,262	69,023	45,512
Other comprehensive income				
Items that will be reclassified to profit or loss:				
Debt instruments at fair value through other comprehensive income:				
Loss arising on re-measurement	(6,880)	(43)	(6,880)	(43)
Reclassification to profit or loss	(151)	(967)	(151)	(967)
Changes in impairment for expected credit losses	171	105	171	105
Deferred tax effect including the effect of rate change on the opening balance	1,619	253	1,619	253
Net other comprehensive income to be reclassified to profit or loss	(5,241)	(652)	(5,241)	(652)
Items that will not be reclassified to profit or loss:				
Equity instruments at fair value through other comprehensive income:				
Gain arising on re-measurement	3,341	8,388	3,341	8,388
Exchange difference in translation	1,445	232	1,445	232
Deferred tax effect including the effect of rate change on the opening balance	(603)	(2,413)	(603)	(2,413)
	4,183	6,207	4,183	6,207
Actuarial gain/(loss) on defined benefit plans	13,969	(15,356)	14,001	(15,373)
Deferred tax effect including the effect of rate change on the opening balance	(4,378)	4,300	(4,390)	4,304
	9,591	(11,056)	9,611	(11,069)
Deferred tax effect of rate change on the opening balance:				
Revaluation surplus on property, plant & equipment	828	-	1,650	-
	828	-	1,650	-
Net other comprehensive income not to be reclassified to profit or loss	14,602	(4,849)	15,444	(4,862)
Other comprehensive income net of tax	9,361	(5,501)	10,203	(5,514)
Total comprehensive income for the year net of tax	71,416	37,761	79,226	39,998
Attributable to:				
Equity holders of the Bank	71,416	37,761	79,226	39,998
Non-controlling interest			-	-
	71,416	37,761	79,226	39,998

Exchange rate of US$ was Rs 200.75 as at 31st December 2021 (Rs 185.50 as at 31st December 2020).

STATEMENT OF FINANCIAL POSITION IN US$

As at 31st December	Bank		Group	
	2021 US$ 000	2020 US$ 000	2021 US$ 000	2020 US$ 000
ASSETS				
Cash & cash equivalents	113,988	156,623	114,708	157,514
Balances with Central Bank of Sri Lanka	153,796	71,888	153,796	71,888
Placements with banks	13,646	17,403	13,646	17,403
Reverse repurchase agreements	13,709	23,992	24,219	33,594
Derivative financial instruments	6,969	11,787	6,969	11,787
Financial assets recognised through profit or loss - measured at fair value	19,466	50,208	19,466	50,208
Financial assets at amortised cost				
- loans & advances	3,798,696	3,882,562	3,964,156	4,056,269
- debt & other instruments	1,463,347	1,482,973	1,467,832	1,483,158
Financial assets - fair value through other comprehensive income	214,217	130,662	214,218	130,662
Investment in subsidiaries	17,451	18,063	-	-
Property, plant & equipment	38,944	43,807	81,382	85,668
Intangible assets	2,714	4,063	2,828	4,268
Right-of-use assets	16,266	17,683	15,102	15,664
Current tax receivables	-	-	21	231
Deferred tax assets	30,675	24,981	31,098	25,086
Other assets	73,269	48,594	80,510	54,366
Total Assets	5,977,153	5,985,289	6,189,951	6,197,766
LIABILITIES				
Due to banks	117,824	189,138	157,072	231,294
Derivative financial instruments	3,028	10,949	3,028	10,949
Securities sold under repurchase agreements	20,711	18,328	20,711	12,436
Financial liabilities at amortised cost				
- due to depositors	4,871,462	4,774,797	4,953,014	4,865,222
- due to other borrowers	71,901	83,503	71,901	83,503
- due to debt securities holders	154,454	165,984	185,675	199,884
Retirement benefit obligation	12,818	37,044	13,482	37,675
Dividend payable	737	654	737	654
Current tax liabilities	37,484	25,201	41,721	25,838
Deferred tax liabilities	-	-	4,881	8,007
Other liabilities	95,194	99,913	104,177	105,513
Total Liabilities	5,385,613	5,405,511	5,556,399	5,580,975
EQUITY				
Stated capital	237,223	256,725	237,223	256,725
Reserves				
Statutory reserve fund	25,280	23,989	26,476	24,987
Other reserves	285,168	276,483	300,778	292,487
Retained earnings	43,869	22,581	69,075	42,592
Total equity attributable to equity holders of the Bank	591,540	579,778	633,552	616,791
Non-controlling interest			-	-
Total Equity	591,540	579,778	633,552	616,791
Total Liabilities & Equity	5,977,153	5,985,289	6,189,951	6,197,766
Commitments & contingencies	1,953,074	2,600,570	1,941,941	2,576,644
Net asset value per share (US$)	0.52	0.51	0.55	0.54

Exchange rate of US$ was Rs 200.75 as at 31st December 2021 (Rs 185.50 as at 31st December 2020).

ECONOMIC VALUE ADDITION

ECONOMIC VALUE ADDITION - BANK

The economic value created by the Bank to its shareholders during the year is reflected in the below analysis.

For the year ended 31st December	2021 Rs Mn	2020 Rs Mn
Average shareholders' funds	113,150	106,277
Impairment provision	58,847	42,714
	171,997	148,991
Profit attributable to shareholders	12,457	8,025
Impairment charge	17,085	11,783
Amounts written off - loans & other losses	(351)	(439)
	29,191	19,369
Economic cost (12 months' average Treasury Bill rate plus 2% risk premium)	8.1%	8.2%
Economic cost	13,932	12,217
Economic value addition	15,259	7,152

DIRECT ECONOMIC VALUE GENERATED AND DISTRIBUTED - BANK

Information on the creation and distribution of economic value provides a basic indication of how the Bank has created wealth for stakeholders.

For the year ended 31st December	2021 Rs Mn	2020 Rs Mn
Direct Economic Value Generated		
Interest income	85,987	88,628
Exchange income	4,849	2,792
Commission income	13,240	9,775
Investment income	482	749
Other income	251	271
	104,809	102,215
Economic Value Distributed		
To Depositors and Lenders		
Interest expense	40,680	50,544
	40,680	50,544
Operating Costs		
Depreciation & amortisation	2,454	2,454
Fee & commission expense	1,765	1,321
Other operating expense	8,535	7,294
	12,754	11,069
To Employees		
Salaries	7,540	6,832
Other benefits	2,003	3,401
	9,543	10,233
Payments to Government		
Income tax expense	6,407	3,646
Taxes on financial services	3,901	3,163
Crop insurance levy	124	100
	10,432	6,909
To Community		
Social responsibility projects	11	5
Donations	1	10
	12	15
Payments to Providers of Capital		
Interest to debt securities holders	3,637	4,261
Dividend to shareholders	4,864	3,147
	8,501	7,408
Economic value distributed	81,922	86,178
Economic value retained (after payment of dividend to shareholders)	22,887	16,037
	104,809	102,215

TEN YEARS AT A GLANCE

For the year ended/As at 31st December	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Operating Results (Rs Mn)										
Gross income	38,796	47,509	44,597	47,032	67,585	92,590	115,310	118,855	102,339	104,570
Interest income	31,882	41,892	38,059	37,944	56,529	79,625	97,934	103,567	88,628	85,987
Interest expenses	20,269	26,556	22,335	20,542	33,776	51,261	59,880	61,992	54,805	44,318
Net interest income	11,613	15,336	15,724	17,402	22,754	28,363	38,054	41,575	33,823	41,669
Exchange income	2,154	520	1,283	2,466	2,589	3,132	5,491	2,793	2,792	4,849
Other income	4,105	4,901	4,387	5,421	7,002	8,484	10,198	10,809	9,598	11,969
Total operating income	17,872	20,757	21,394	25,288	32,344	39,979	53,743	55,177	46,213	58,488
Operating expenses	9,248	10,634	11,729	13,339	15,471	16,918	19,307	20,366	20,095	20,668
Impairment charge	65	4,736	1,401	944	1,460	2,376	11,223	12,573	11,783	17,085
Taxes on financial services	1,158	895	1,537	1,904	2,814	4,079	4,863	6,740	3,163	3,901
Profit before income tax	7,401	4,491	6,727	9,101	12,600	16,606	18,350	15,498	11,172	16,834
Income tax expense	2,170	1,061	1,813	2,967	3,475	4,502	6,207	4,347	3,147	4,376
Profit after tax	5,231	3,430	4,914	6,134	9,125	12,104	12,143	11,151	8,025	12,457
Assets (Rs Mn)										
Cash & cash equivalents including placements	19,220	10,094	13,348	18,781	25,814	25,494	27,799	25,040	32,282	25,623
Net loans & advances	209,000	260,040	302,370	377,348	458,831	562,884	650,014	689,378	720,215	762,588
Other interest earning assets	51,035	81,599	85,828	95,025	124,127	145,371	174,300	182,772	309,468	338,871
Investment in subsidiaries	1,060	1,060	1,060	1,080	1,228	1,356	2,320	2,395	3,351	3,503
Property, plant & equipment	4,560	5,135	5,142	5,313	5,972	7,270	7,918	8,466	8,126	7,818
Other assets	24,535	24,114	24,278	27,730	42,540	52,727	51,874	54,299	36,829	61,510
Total assets	309,410	382,042	432,026	525,277	658,512	795,102	914,225	962,350	1,110,271	1,199,913
Liabilities (Rs Mn)										
Deposits from banks and customers	243,575	302,429	341,946	409,411	516,273	630,442	698,085	718,301	886,873	978,368
Debt securities holders, borrowings from banks and others	29,206	39,194	36,846	57,347	72,446	76,215	91,143	93,765	80,217	68,671
Other liabilities	10,985	12,000	22,322	23,394	25,304	24,795	40,608	45,279	35,632	34,123
Total liabilities	283,766	353,623	401,114	490,152	614,023	731,452	829,836	857,345	1,002,722	1,081,162
Shareholders' Fund (Rs Mn)										
Stated capital	3,564	4,460	4,470	5,381	6,471	16,308	32,796	47,622	47,622	47,622
Reserves	22,080	23,958	26,442	29,744	38,018	47,342	51,593	57,384	59,927	71,130
Total equity	25,644	28,418	30,912	35,125	44,489	63,650	84,389	105,006	107,549	118,752
Total liabilities & equity	309,410	382,042	432,026	525,277	658,512	795,102	914,225	962,350	1,110,271	1,199,913
Investor Information										
Dividend paid/proposed (Rs Mn)	1,954.1	1,342.6	1,847.0	2,240.0	3,362.1	4,598.4	4,564.7	4,482.1	3,147.0	4,863.6
Dividend cover (times)	2.6	2.6	2.6	2.7	2.7	2.6	2.7	2.5	2.6	2.6
Net asset value per share (Rs)	152.96	169.37	179.39	198.47	238.94	293.02	300.42	275.27	93.98*	103.77
Market price per share (Rs) - High	216.00	242.00	252.00	279.90	268.70	352.20	335.50	245.00	170.00	250.00**
Market price per share (Rs) - Low	148.50	161.60	164.20	235.20	210.00	253.50	218.00	136.00	96.00	48.00
Market price as at 31st December (Rs)	200.50	171.90	236.30	248.00	260.40	315.70	235.00	162.40	135.60	52.10
Other Information										
Exchange rate (USD)	127.65	130.75	131.20	144.20	150.00	153.50	182.90	181.35	185.50	200.75
Number of staff	3,455	3,688	4,000	3,993	3,960	4,011	4,189	4,134	4,048	4,013
Number of branches	209	212	220	225	229	229	229	229	229	229
Number of ATMs	264	274	326	370	381	391	419	423	445	455
Number of Cash Deposit Machines	nil	nil	02	40	108	183	365	429	465	483
Number of MyBank agents	nil	nil	nil	nil	nil	nil	nil	170	203	206
Number of Virtual Teller Machines	nil	nil	nil	nil	nil	nil	01	02	05	05
Ratios										
Growth in income (%)	40.7	22.5	(6.1)	5.5	43.7	37.0	24.5	3.1	(13.9)	2.2
Cost to income ratio with taxes on financial services (%)	58.2	55.5	62.0	60.3	56.5	52.5	45.0	49.1	50.3	42.0
Cost to income ratio without taxes on financial services (%)	51.7	51.2	54.8	52.7	47.8	42.3	35.9	36.9	43.5	35.3
Growth in deposits (%)	24.3	24.2	13.1	19.7	26.1	22.1	10.7	2.9	23.5	10.3
Growth in net loans and advances (%)	22.9	24.4	16.3	24.8	21.6	22.7	15.5	6.1	4.5	5.9
Dividend per share (Rs)	12.00	8.00	11.00	13.00	18.75	17.20	16.25	11.75	2.75*	4.25
Return on average assets (before tax) (%)	2.66	1.29	1.69	1.90	2.14	2.29	2.13	1.66	1.09	1.44
Return on average assets (after tax) (%)	1.88	0.98	1.23	1.28	1.55	1.67	1.41	1.20	0.78	1.07
Return on average equity (after tax) (%)	22.26	12.88	16.35	18.42	23.47	23.35	16.02	11.78	7.58	11.05
Property, plant & equipment to shareholders' fund (%)	17.8	18.1	16.6	15.1	13.4	11.4	9.4	8.1	7.6	6.6
Total assets to shareholders' fund (Times)	12.1	13.4	14.0	15.0	14.8	12.5	10.8	9.2	10.3	10.1
Non-performing loan ratio - Gross (%)	2.07	2.68	1.93	1.64	1.61	1.64	3.69	6.37	6.30	5.09
Non-performing loan ratio - Net (%)	0.22	0.59	0.53	0.46	0.62	0.75	2.39	4.53	3.45	1.78
Liquid Assets Ratios										
- Domestic Banking Unit (%)	21.5	27.2	24.4	21.8	21.2	22.2	21.5	21.5	35.0	32.5
- Off-Shore Banking Unit (%)	23.7	30.4	23.8	27.2	33.4	24.9	25.8	26.9	37.6	30.8
(As specified in Banking Act No. 30 of 1988 & any subsequent amendments thereto)										
Liquidity Coverage Ratios										
- Rupee (%)	n/a	n/a	n/a	102.35	94.15	133.52	125.03	177.29	424.90	254.89
- All currency (%)	n/a	n/a	n/a	106.84	77.69	118.81	125.42	149.17	293.37	213.43
Net stable funding ratio (%)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	126.80	144.00	149.92
Capital Adequacy Ratios	Basel II	Basel II	Basel II	Basel II	Basel II	Basel III	Basel III	Basel III	Basel III	Basel III
- Common equity Tier I (%)	n/a	n/a	n/a	n/a	n/a	10.26	12.08	14.22	13.44	13.95
- Total Tier I (%)	11.80	10.08	8.83	7.90	8.31	10.26	12.08	14.22	13.44	13.95
- Total capital (Tier I + Tier II) (%)	13.61	14.22	13.62	12.26	12.87	14.41	15.73	18.12	16.41	17.02
Leverage ratio (%)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	8.12	6.94	7.80

n/a - not applicable

* The net asset value per share and the dividend per share of the Bank for the year 2020 have been adjusted to reflect the increased number of shares due to the sub-division.

** Highest share price of Rs 250.00 reported prior to the sub-division of shares.

QUARTERLY STATISTICS

As at	2021				2020			
	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn
Statement of Financial Position								
Total assets	1,199,913	1,183,404	1,171,262	1,151,730	1,110,271	1,067,711	1,005,322	983,155
Financial assets at amortised cost - loans & advances	762,588	759,766	750,394	739,671	720,215	713,801	711,268	710,528
Financial liabilities at amortised cost - due to depositors	977,946	957,113	944,008	913,628	885,725	845,087	787,861	748,016
Total equity	118,752	114,232	112,154	108,898	107,549	105,321	104,285	107,367

For the quarter ended	2021				2020			
	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn
Statement of Profit or Loss								
Net interest income	11,977	10,427	10,052	9,214	7,827	8,548	7,470	9,978
Net fee & commission income	3,634	2,784	2,458	2,599	2,463	2,204	1,544	2,244
Net gain/(loss) from trading	497	(145)	444	(398)	367	(236)	558	(664)
Net gain on derecognition of financial assets	34	23	26	68	50	287	48	39
Net other operating income	504	930	674	2,685	385	474	331	2,297
Total operating income	16,646	14,019	13,654	14,168	11,092	11,277	9,951	13,894
Less: Impairment charge	7,243	4,846	3,816	1,179	678	3,669	2,582	4,854
Net operating income	9,403	9,173	9,838	12,989	10,414	7,608	7,369	9,040
Less: Total operating expenses	4,096	5,579	5,486	5,506	5,221	5,293	4,432	5,149
Value added tax on financial services	795	819	932	1,355	1,007	653	665	839
Income tax expense	1,036	858	933	1,550	1,251	539	807	550
Profit for the period	3,476	1,917	2,487	4,578	2,935	1,123	1,465	2,502
Other comprehensive income for the period	1,044	161	756	(82)	(708)	(108)	(65)	(140)
Total comprehensive income for the period	4,520	2,078	3,243	4,496	2,227	1,015	1,400	2,362

QUARTERLY STATISTICS

For the quarter ended	2021				2020			
	31st December	30th September	30th June	31st March	31st December	30th September	30th June	31st March
Market price per share (Rs)								
Highest	59.30	56.50	56.80	250.00*	143.20	140.80	130.00	170.00
Lowest	51.20	49.60	48.00	50.00	117.00	109.20	96.00	117.70
Closing	52.10	52.00	52.60	53.80	135.60	132.00	126.40	119.00

*Prior to the sub-division of shares

As at	2021				2020			
	31st December	30th September	30th June	31st March	31st December	30th September	30th June	31st March
Profitability								
Interest margin (%)	3.61	3.46	3.42	3.35	3.30	3.46	3.57	4.13
Return on assets (before tax) (%)	1.44	1.42	1.67	2.19	1.09	0.93	1.09	1.26
Return on equity (after tax) (%)	11.05	10.76	12.91	16.97	7.58	6.45	7.56	9.47
Regulatory Capital								
Common Equity Tier 1 Capital Ratio (%) (Minimum Requirement: 6.5%)	13.95	12.32	12.45	12.94	13.44	13.07	13.30	13.65
Total Tier 1 Capital Ratio (%) (Minimum Requirement: 8.0%)	13.95	12.32	12.45	12.94	13.44	13.07	13.30	13.65
Total Capital Ratio (%) (Minimum Requirement: 12.0%)	17.02	15.56	15.83	15.76	16.41	16.03	16.77	17.16
Leverage Ratio (%) (Minimum Requirement: 3%)	7.80	7.04	7.00	6.69	6.94	6.81	7.42	8.30
Assets Quality								
Gross NPA ratio (%)	5.09	5.52	5.77	5.92	6.30	6.87	7.03	6.72
Net NPA ratio (%)	1.78	2.33	2.58	2.91	3.45	4.04	4.43	4.81
Impaired Loans (Stage 3) Ratio %*	3.20	3.34	n/a	n/a	3.95	n/a	n/a	n/a
Impairment (Stage 3) to Stage 3 Loans Ratio (%)*	45.45	42.96	n/a	n/a	40.22	n/a	n/a	n/a
Regulatory Liquidity								
Statutory Liquid Assets Ratio (Minimum Requirement: 20%)								
Domestic Banking Unit (%)	32.47	31.56	35.08	35.82	34.98	33.52	28.12	22.18
Off-Shore Banking Unit (%)	30.83	28.91	32.12	33.12	37.60	36.40	33.88	31.05
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement: 2021 - 100%, 2020 - 90%)	254.89	259.91	275.50	377.78	424.90	464.93	251.15	278.37
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement: 2021 - 100%, 2020 - 90%)	213.43	193.00	203.38	234.98	293.37	225.67	127.11	155.26
Net Stable Funding Ratio (%) (Minimum Requirement: 2021 - 100%, 2020 - 90%)	149.92	147.14	146.51	146.58	144.00	139.43	127.68	122.96

n/a - not available

*Subsequent to the issuance of the new Banking Act Direction No. 13 of 2021 on Classification, Recognition and Measurement of Credit Facilities in Licensed Banks, CBSL requested to publish these ratios in the Interim Financial Statements of the Bank with effect from 3rd quarter 2021.

CAPITAL ADEQUACY

Capital Adequacy is one of the key financial indicators which illustrates the soundness and the stability of a bank. It acts as a "cushion" or "buffer" in safeguarding the depositors' and lenders' funds by absorbing potential losses arising from key risks faced by the Bank. The Capital Adequacy Ratio is a measure used to determine whether the Bank has sufficient capital to withstand unexpected losses arising from various risks during the course of the business, such as credit risk, market risk, operational risk etc.

At present, Capital Adequacy Ratios of the licensed banks in Sri Lanka are computed based on the Banking Act Direction No. 1 of 2016 and subsequent amendments thereto issued by the Central Bank of Sri Lanka (CBSL). The above directions are based on the "Basel III Accord", a series of banking regulations set by the Basel Committee on Banking Supervision (BCBS) of the Bank for International Settlement (BIS) in December 2010 (Revised in June 2011).

Under the Basel III framework, banks are required to compute Capital Adequacy Ratios (CARs) in three tiers as mentioned below:

- Common Equity Tier I (CET I) Capital Ratio
- Total Tier I Capital Ratio
- Total Capital Ratio

TIER I CAPITAL

- Common Equity Tier I Capital (CET I) - the element of capital which has the highest quality and is therefore the most effective in absorbing losses. CET I typically includes stated capital, other capital reserves and revenue reserves.
- Additional Tier I Capital (AT I) - a supplementary form of Total Tier I Capital. AT I includes capital instruments other than the instruments included in CET I capital.

TIER II CAPITAL

Tier II capital consists of the revaluation reserve approved by CBSL, stage 1 impairment provision, 50% of stage 2 impairment provision as well as the subordinated debt securities approved by CBSL.

CAPITAL BUFFERS

All banks are required to hold additional capital buffers over & above the minimum CET I, Total Tier I & Total Capital Adequacy levels.

- Capital Conservation Buffer (CCB)
- High Loss Absorbency (HLA) requirement for Domestic Systemically Important Banks (D-SIBs)
- Countercyclical Buffer

RISK WEIGHTED ASSETS (RWA)

Risk Weighted Assets are a measure of the value of the bank's assets and off-balance sheet exposures, weighted in order of their risks, with each asset class assigned a different risk weightage.

THE THREE PILLARS UNDER THE BASEL III FRAMEWORK

The three pillars introduced under the Basel II regime continue to be applied in the Basel III regime as mentioned below:

Pillar 1 - Minimum Capital Requirement

Pillar 2 - Supervisory Review Process

Pillar 3 - Market Discipline

PILLAR 1 – MINIMUM CAPITAL REQUIREMENT

Pillar 1 deals with the maintenance of regulatory capital needed to support the Bank's three major risk categories, viz. credit risk, market risk and operational risk.

Pillar 1 capital requirements shall be maintained as a percentage of Risk Weighted Assets (RWA) calculated based on the following approaches:

- The Standardised Approach for Credit Risk
- The Standardised Measurement Method for Market Risk
- The Basic Indicator Approach, the Standardised Approach or the Alternative Standardised Approach (ASA) for Operational Risk

According to the latest regulatory requirements enforced by CBSL, the Bank is required to maintain the capital in 3 tiers as mentioned below.

	Minimum requirement
i. Common Equity Tier I (CET I) Capital	6.5%
ii. Total Tier I Capital	8.0%
iii. Total Capital	12.0%

PILLAR 2 – SUPERVISORY REVIEW PROCESS

Pillar 2 sets forth the framework for the Supervisory Review Process (SRP) to assess the bank's capital adequacy and to determine whether the particular bank should hold additional capital to cover risks that are either not covered or inadequately covered by the minimum capital requirements under Pillar I. The process encourages banks to;

- Utilise better risk management techniques
- Enhance the risk-based supervision in order to accurately assess the capital adequacy
- Continuously evaluate their Internal Capital Adequacy Assessment Process (ICAAP) to determine the level of capital to be maintained against all risks and ensure adequate capital is available to support all risks.

CAPITAL ADEQUACY

PILLAR 3 – MARKET DISCIPLINE

Pillar 3 presents a number of disclosure requirements aimed at raising the level of market discipline by increasing the level of transparency. Pillar 3 disclosures provide external stakeholders a better understanding of capital adequacy calculations by providing an insight into the internal computation procedures followed within the Bank. Disclosures under these requirements broadly include; the regulatory capital requirements & liquidity, risk weighted assets, linkages between financial statements & regulatory exposures and information on assessment of D-SIBs.

Shown below are the Basel III disclosures with regard to regulatory capital, liquidity and risk management linkages with the published financial statements along with comparative information (individual and consolidated).

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 1: KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

	Bank		Group	
As at 31st December	2021	2020	2021	2020
Regulatory Capital (Rs 000)				
Common Equity Tier I Capital	104,104,589	96,001,662	111,221,788	101,544,273
Total Tier I Capital	104,104,589	96,001,662	111,221,788	101,544,273
Total Capital	126,986,732	117,233,143	134,586,456	123,249,506
Regulatory Capital Ratios (%)				
Common Equity Tier I Capital Ratio (minimum requirement - 6.50%)	13.95	13.44	14.05	13.40
Total Tier I Capital Ratio (minimum requirement - 8.00%)	13.95	13.44	14.05	13.40
Total Capital Ratio (minimum requirement - 12.00%)	17.02	16.41	17.00	16.26
Leverage Ratio (minimum requirement - 3%)	7.80	6.94	8.08	7.13
Regulatory Liquidity				
Statutory Liquid Assets (Rs 000) - Bank	347,721,178	344,888,261	n/a	n/a
Statutory Liquid Assets Ratio (minimum requirement - 20%)				
Domestic Banking Unit (%)	32.47	34.98	n/a	n/a
Off-Shore Banking Unit (%)	30.83	37.60	n/a	n/a
Total Stock of High - Quality Liquid Assets (Rs 000)	271,499,215	240,115,531	n/a	n/a
Liquidity Coverage Ratio (%) – Rupee (minimum requirement: 2021 - 100%, 2020 - 90%)	254.89	424.90	n/a	n/a
Liquidity Coverage Ratio (%) – All currency (minimum requirement: 2021 - 100%, 2020 - 90%)	213.43	293.37	n/a	n/a
Net Stable Funding Ratio (%) (minimum requirement: 2021 - 100%, 2020 - 90%)	149.92	144.00	n/a	n/a

n/a - not applicable

TABLE - 2: BASEL III CAPITAL RATIOS

As at 31st December	Bank 2021 Rs 000	Bank 2020 Rs 000	Group 2021 Rs 000	Group 2020 Rs 000
Common Equity Tier I (CET I) Capital after adjustments	104,104,589	96,001,662	111,221,788	101,544,273
Common Equity Tier I (CET I) Capital	112,506,327	102,833,877	118,202,030	107,142,092
Stated capital	47,622,493	47,622,493	47,622,493	47,622,493
Statutory reserve fund	5,075,000	4,450,000	5,315,000	4,635,000
Published retained earnings/(Accumulated retained losses)	8,491,142	4,404,679	13,946,845	8,527,894
Published accumulated other comprehensive income (OCI)	(1,151,213)	(99,081)	(1,151,213)	(99,081)
General and other disclosed reserves	52,468,905	46,455,786	52,468,905	46,455,786
Unpublished current year's profit/loss and gains reflected in OCI	-	-	-	-
Ordinary shares issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to CET I Capital	8,401,738	6,832,215	6,980,242	5,597,819
Goodwill (net)	-	-	-	-
Intangible assets (net)	544,916	753,615	567,681	791,689
Deferred tax assets (net)	6,157,958	4,634,040	6,242,982	4,653,496
Others (Investments in the capital of banking & financial institutions)	1,698,864	1,444,560	169,579	152,634
Additional Tier I (AT I) Capital after adjustments	-	-	-	-
Additional Tier I (AT I) Capital	-	-	-	-
Qualifying Additional Tier I Capital instruments	-	-	-	-
Instruments issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to AT I Capital	-	-	-	-
Investment in own shares	-	-	-	-
Others	-	-	-	-
Tier II Capital after adjustments	22,882,143	21,231,481	23,364,668	21,705,233
Tier II Capital	22,882,143	21,231,481	23,364,668	21,705,233
Qualifying Tier II capital instruments	13,278,665	12,441,918	13,278,665	12,441,918
Revaluation gains	978,813	453,703	978,813	453,703
Stage 1 & 50% of stage 2 impairment provision	8,624,665	8,335,860	9,107,190	8,809,612
Instruments issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to Tier II	-	-	-	-
Investment in own shares	-	-	-	-
Others	-	-	-	-
CET I Capital	104,104,589	96,001,662	111,221,788	101,544,273
Total Tier I Capital	104,104,589	96,001,662	111,221,788	101,544,273
Total Capital	126,986,732	117,233,143	134,586,456	123,249,506
Total Risk Weighted Assets (RWA)	746,321,439	714,371,274	791,790,267	757,923,933
RWAs for Credit Risk (refer table No. 3)	689,973,167	666,868,826	728,575,228	704,768,984
RWAs for Operational Risk (refer table No. 5)	47,382,447	41,251,256	54,249,214	46,903,757
RWAs for Market Risk (refer table No. 6)	8,965,825	6,251,192	8,965,825	6,251,192
CET I Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & HLA requirement on D-SIBs) (%)	13.95	13.44	14.05	13.40
of which: Capital Conservation Buffer (%)	2.00	2.00	2.00	2.00
of which: Countercyclical Buffer (%)	-	-	-	-
of which: HLA requirement on D-SIBs (%)	-	-	-	-
Total Tier I Capital Ratio (%)	13.95	13.44	14.05	13.40
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & HLA requirement on D-SIBs) (%)	17.02	16.41	17.00	16.26
of which: Capital Conservation Buffer (%)	2.00	2.00	2.00	2.00
of which: Countercyclical Buffer (%)	-	-	-	-
of which: HLA requirement on D-SIBs (%)	-	-	-	-

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 3 (A) BANK: CREDIT RISK AS AT 31ST DECEMBER 2021 UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA density	
	On-balance sheet amount Rs 000	Off-balance sheet amount Rs 000	On-balance sheet amount Rs 000	Off-balance sheet amount Rs 000	RWA Rs 000	RWA density (%)
Claims on central government and CBSL	326,692,612	-	326,692,612	-	7,909,595	2
Claims on public sector entities	16,848,828	7,989,281	2,187,135	7,988,688	2,547,251	25
Claims on banks exposures	25,466,849	-	25,466,849	-	8,114,489	32
Claims on financial institutions	36,469,845	7,014	36,469,845	4,634	21,841,126	60
Claims on corporates	369,734,153	364,423,350	339,241,318	54,745,100	369,927,452	94
Retail claims	279,087,747	16,113,850	264,016,131	8,520,370	189,312,990	69
Claims secured by residential property	58,189,044	-	58,189,044	-	47,578,014	82
Non-performing assets	22,949,625	-	22,949,625	-	24,171,660	105
Higher-risk categories	1,058,035	-	1,058,035	-	2,645,088	250
Cash items and other assets	36,030,519	-	36,030,519	-	15,925,502	44
	1,172,527,257	388,533,495	1,112,301,113	71,258,792	689,973,167	58

TABLE - 3 (B) GROUP: CREDIT RISK AS AT 31ST DECEMBER 2021 UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA density	
	On-balance sheet amount Rs 000	Off-balance sheet amount Rs 000	On-balance sheet amount Rs 000	Off-balance sheet amount Rs 000	RWA Rs 000	RWA density (%)
Claims on central government and CBSL	329,702,765	-	329,702,765	-	7,909,595	2
Claims on public sector entities	16,848,828	7,989,281	2,187,135	7,988,688	2,547,251	25
Claims on banks exposures	25,478,907	-	25,478,907	-	8,117,542	32
Claims on financial institutions	33,585,842	7,014	33,585,842	4,634	20,425,995	61
Claims on corporates	368,093,658	362,140,045	337,182,672	54,738,900	367,862,606	94
Retail claims	314,248,214	16,113,850	299,163,386	8,520,370	218,893,232	71
Claims secured by residential property	58,189,044	-	58,189,044	-	47,578,014	82
Non-performing assets	26,829,333	-	26,829,333	-	29,486,511	110
Higher-risk categories	-	-	-	-	-	-
Cash items and other assets	45,994,188	-	45,994,188	-	25,754,482	56
	1,218,970,779	386,250,190	1,158,313,272	71,252,592	728,575,228	59

TABLE - 4 (A) BANK: CREDIT RISK AS AT 31ST DECEMBER 2021 (POST CCF & CRM) UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Asset Class / Risk Weight	0% Rs 000	10% Rs 000	20% Rs 000	50% Rs 000	60% Rs 000	75% Rs 000	100% Rs 000	150% Rs 000	>150% Rs 000	Total credit exposures amount Rs 000
Claims on central government and CBSL	247,596,664	79,095,948	-	-	-	-	-	-	-	326,692,612
Claims on public sector entities	-	-	9,535,715	-	-	-	640,108	-	-	10,175,823
Claims on banks exposures	-	-	19,826,042	3,276,701	-	-	2,070,458	293,648	-	25,466,849
Claims on financial institutions	-	-	429,307	29,552,436	-	-	5,520,114	972,622	-	36,474,479
Claims on corporates	-	-	17,848,824	19,970,179	-	-	355,757,049	410,366	-	393,986,418
Retail claims	10,642,311	-	33,095,187	-	18,346,755	155,065,392	55,386,856	-	-	272,536,501
Claims secured by residential property	-	-	-	16,324,662	-	-	41,864,382	-	-	58,189,044
Non-performing assets	-	-	-	891,452	-	-	18,722,651	3,335,522	-	22,949,625
Higher-risk categories	-	-	-	-	-	-	-	-	1,058,035	1,058,035
Cash items and other assets	20,001,171	-	129,808	-	-	-	15,899,540	-	-	36,030,519
	278,240,146	79,095,948	80,864,883	70,015,430	18,346,755	155,065,392	495,861,158	5,012,158	1,058,035	1,183,559,905

TABLE - 4 (B) GROUP: CREDIT RISK AS AT 31ST DECEMBER 2021 (POST CCF & CRM) UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Asset Class / Risk Weight	0% Rs 000	10% Rs 000	20% Rs 000	50% Rs 000	60% Rs 000	75% Rs 000	100% Rs 000	150% Rs 000	>150% Rs 000	Total credit exposures amount Rs 000
Claims on central government and CBSL	250,606,817	79,095,948	-	-	-	-	-	-	-	329,702,765
Claims on public sector entities	-	-	9,535,715	-	-	-	640,108	-	-	10,175,823
Claims on banks exposures	-	-	19,835,962	3,278,839	-	-	2,070,458	293,648	-	25,478,907
Claims on financial institutions	-	-	429,307	26,614,693	-	-	5,573,854	972,622	-	33,590,476
Claims on corporates	-	-	17,848,824	19,970,179	-	-	353,692,203	410,366	-	391,921,572
Retail claims	15,251,799	-	34,292,094	-	18,346,755	155,065,392	84,727,716	-	-	307,683,756
Claims secured by residential property	-	-	-	16,324,662	-	-	41,864,382	-	-	58,189,044
Non-performing assets	-	-	-	891,452	-	-	19,732,074	6,205,807	-	26,829,333
Higher-risk categories	-	-	-	-	-	-	-	-	-	-
Cash items and other assets	20,135,860	-	129,808	-	-	-	25,728,520	-	-	45,994,188
	285,994,476	79,095,948	82,071,710	67,079,825	18,346,755	155,065,392	534,029,315	7,882,443	-	1,229,565,864

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 5: OPERATIONAL RISK FOR THE PERIOD ENDED 31ST DECEMBER 2021 UNDER THE ALTERNATIVE STANDARDISED APPROACH

Business lines	Bank Capital charge factor	Bank Fixed factor	Bank Gross income/Average loans & advances 1st Year Rs 000	2nd Year Rs 000	3rd Year Rs 000	Group Capital charge factor	Group Fixed factor	Group Gross income/Average loans & advances 1st Year Rs 000	2nd Year Rs 000	3rd Year Rs 000
The Alternative Standardised Approach										
Corporate finance	18%		3,803,782	5,097,905	6,370,608	18%		3,803,782	5,097,905	6,370,608
Trading and sales	18%		5,622,259	5,250,359	10,196,242	18%		9,586,447	9,109,264	16,106,683
Payment and settlement	18%		6,979	5,764	8,235	18%		6,979	5,764	8,235
Agency services	15%		6,236	5,930	75	15%		6,236	5,930	75
Asset management	12%		-	-	-	12%		-	-	-
Retail brokerage	12%		-	-	-	12%		-	-	-
Retail banking	12%	3.50%	317,715,364	352,294,867	378,372,438	12%	3.50%	317,715,364	352,294,867	378,372,438
Commercial banking	15%	3.50%	303,191,434	338,241,315	364,645,599	15%	3.50%	303,191,434	338,241,315	364,645,599
Capital charge for Operational Risk (Rs 000)	5,685,894					6,509,906				
Risk Weighted Amount for Operational Risk (Rs 000)	47,382,447					54,249,214				

TABLE - 6: MARKET RISK AS AT 31ST DECEMBER 2021 UNDER STANDARDISED MEASUREMENT METHOD

Item	Bank Rs 000	Group Rs 000
(a) Capital charge for Interest Rate Risk	892,412	892,412
General interest rate risk	892,412	892,412
Net long or short position	892,412	892,412
Specific interest rate risk	-	-
(b) Capital charge for Equity	9,825	9,825
General equity risk	5,895	5,895
Specific equity risk	3,930	3,930
(c) Capital charge for foreign exchange & gold	173,662	173,662
(d) Capital charge for Market Risk (a) + (b) + (c)	1,075,899	1,075,899
Risk Weighted Amount for Market Risk (d) * 100/12	8,965,825	8,965,825

SUMMARY DISCUSSION ON ADEQUACY/ MEETING CURRENT AND FUTURE CAPITAL REQUIREMENTS

Overview

Having understood that proper "Capital Management" is vital in ensuring the long-term stability of the business, Sampath Bank has continued to maintain Capital Adequacy Ratios at healthy levels by keeping a significant margin over and above the regulatory minimum requirements.

Capital Allocation

Effective risk management framework would ensure the stability of the Bank, by protecting it against market, credit, liquidity, operational and reputational risk. The main protection provider is the Bank's capital. Determining the optimum capital structure would be one of the most important risk management goals in the Bank. This process involved evaluating how much risk each business unit contributes to the total risk of the Bank and also to the overall capital requirements. Further, it involves determining the capital charge to each business unit whose activities contributed to Bank's risk in order to induce the risk taking behavior by business units.

Capital Management Process

The timely implementation of the Capital Management comes under the purview of the "Board Capital Planning Committee" (BCPC) which consists of the most senior and experienced Directors of the Bank. The Capital Management Process is reviewed periodically by the BCPC.

In order to boost its capital levels, the Bank successfully raised Rs 6 Bn worth of Tier 2 capital via issuance of Basel III compliant, listed, rated, unsecured, subordinated, redeemable 7-year debentures with a non-viability conversion.

Moving Forward

The Bank is ready to execute identified medium term and long term strategies to improve Capital Adequacy Ratios in line with Basel III minimum regulatory requirements.

In addition, necessary actions would be identified to optimise the Risk Weighted Assets for the purpose of improving the capital allocation of the Bank.

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 7: BASEL III LIQUIDITY COVERAGE RATIO - ALL CURRENCY

As at 31st December	2021		2020	
	Total un-weighted value Rs 000	Total weighted value Rs 000	Total un-weighted value Rs 000	Total weighted value Rs 000
Total Stock of High-Quality Liquid Assets (HQLA)	271,568,230	271,499,215	240,118,724	240,115,531
Level 1 assets	271,108,130	271,108,130	240,112,338	240,112,338
Level 2A assets	460,100	391,085	-	-
Level 2B assets	-	-	6,386	3,193
Total Cash Outflows	1,182,967,961	210,391,845	1,147,076,441	200,814,094
Deposits	771,070,208	77,107,021	708,361,008	70,836,101
Unsecured wholesale funding	218,749,878	97,992,809	182,212,764	79,229,939
Secured funding transactions	3,225,782	-	2,761,807	-
Undrawn portion of committed (irrevocable) facilities and other contingent funding obligations	164,636,928	10,006,850	210,536,842	7,544,034
Additional requirements	25,285,165	25,285,165	43,204,020	43,204,020
Total Cash Inflows	92,692,468	83,182,811	135,037,325	118,966,688
Maturing secured lending transactions backed by collateral	43,245,762	39,378,828	62,253,419	57,556,614
Committed facilities	-	-	-	-
Other inflows by counterparty which are maturing within 30 days	21,713,007	18,501,721	21,177,370	18,053,570
Operational deposits	2,431,437	-	8,250,032	-
Other cash inflows	25,302,262	25,302,262	43,356,504	43,356,504
Total Net Cash Outflows	1,090,275,493	127,209,034	1,012,039,116	81,847,406
Liquidity Coverage Ratio (%) (Stock of High-Quality Liquid Assets/Total Net Cash Outflows) * 100		213.43		293.37

TABLE - 8: BASEL III LEVERAGE RATIO

As at 31st December	Bank		Group	
	2021 Rs 000	2020 Rs 000	2021 Rs 000	2020 Rs 000
Total Tier I Capital	104,104,589	96,001,662	111,221,788	101,544,273
Total Exposure	1,334,097,540	1,384,264,728	1,375,911,189	1,424,913,428
On-balance sheet exposure (excluding derivatives and securities financing Transactions, but including collateral)	1,188,759,646	1,098,988,352	1,230,790,486	1,137,855,890
Derivative exposure	69,917,805	223,991,968	69,917,805	223,991,968
Securities financing transaction exposure	5,193,779	4,450,557	4,982,788	6,231,719
Other off-balance sheet exposure	70,226,310	56,833,851	70,220,110	56,833,851
Basel III Leverage Ratio (%) (Total Tier I Capital/Total Exposure)	7.80%	6.94%	8.08%	7.13%

TABLE - 9: MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the capital instrument	Capital instruments issued by the Bank			
	2017-2022 Basel III Tier II compliant Listed Rated Unsecured Subordinated Redeemable Debentures	2018-2023 Basel III Tier II compliant Listed Rated Unsecured Subordinated Redeemable Debentures	2019-2024 Basel III Tier II compliant Listed Rated Unsecured Subordinated Redeemable Debentures	2021-2028 Basel III Tier II compliant Listed Rated Unsecured Subordinated Redeemable Debentures
Issuer	Sampath Bank PLC	Sampath Bank PLC	Sampath Bank PLC	Sampath Bank PLC
Unique identifier	D0426-LK0090D23893	D0427-LK0090D23901	D0452-LK0090D24156	D0510-LK0090D24743
Governing law(s) of the instrument	Companies Act No. 07 of 2007/CSE listing rules/Banking Act No. 30 of 1988/Securities Exchange Commission Act			
Original date of issuance	21st December 2017	20th March 2018	28th February 2019	12th April 2021
Par value of instrument (Per debenture)	Rs 100/-	Rs 100/-	Rs 100/-	Rs 100/-
Perpetual or dated	Dated	Dated	Dated	Dated
Original maturity date, if applicable	21st December 2022	20th March 2023	28th February 2024	12th April 2028
Amount recognised in regulatory capital (in Rs 000 as at the reporting date)	1,200,000	1,875,000	3,150,000	6,000,000
Accounting classification (Equity/Liability)	Liability	Liability	Liability	Liability
Issuer call subject to prior supervisory approval				
Optional call date, contingent call dates and redemption amount (Rs 000)	n/a	n/a	n/a	n/a
Subsequent call dates, if applicable	n/a	n/a	n/a	n/a
Coupon/Dividend				
Fixed or floating dividend/coupon	D0426-Fixed rate	D0427-Fixed Rate	D0452-Fixed Rate	D0510-Fixed Rate
Coupon rate and any related index	D0426-12.50% p.a.	D0427-12.50% p.a.	D0452-13.90% p.a.	D0510-9.00% p.a.
Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative
Convertible or Non-convertible	Convertible	Convertible	Convertible	Convertible
If convertible, conversion trigger (s)	*	*	*	*
If convertible, fully or partially	*	*	*	*
If convertible, mandatory or optional	*	*	*	*
If convertible, conversion rate	**	**	**	**

* In the event of an occurrence of a trigger event as determined at the sole discretion of the Central Bank of Sri Lanka, there would be a conversion of debentures to ordinary voting shares by the company without any requirement of approval by the debenture holders, in compliance with Basel III requirements. Upon the occurrence of a trigger event, the outstanding balance of the debentures including the total par value of the debentures and debenture interest accrued and unpaid as at that date will be permanently converted to ordinary voting shares at the conversion price.

** The conversion rate will be based on the simple average of the daily Volume Weighted Average Price (VWAP) of an ordinary voting share as published by the Colombo Stock Exchange during the three months (03) period, immediately preceding the date of the trigger event.

n/a - not applicable

BASEL III DISCLOSURE REQUIREMENTS

TABLE - 10 BANK: DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES AS AT 31ST DECEMBER 2021

Item	Carrying values as reported in published financial statements Rs 000	Carrying values under scope of regulatory reporting Rs 000	Subject to credit risk framework Rs 000	Subject to market risk framework Rs 000	Not subject to capital requirements or subject to deduction from capital Rs 000
Assets	1,199,913,395	1,223,708,970	1,175,727,490	41,835,915	29,034,694
Cash & cash equivalents	22,882,999	22,980,762	22,980,762	-	-
Balances with Central Bank of Sri Lanka	30,874,556	30,874,556	30,874,556	-	-
Placements with banks	2,739,514	2,739,907	2,739,907	-	-
Reverse repurchase agreements	2,752,011	2,750,000	2,750,000	-	-
Derivative financial instruments	1,399,119	-	-	-	-
Financial assets recognised through profit or loss - measured at fair value	3,907,704	3,874,134	-	3,874,134	-
Financial assets at amortised cost					
- loans & advances	762,588,294	785,122,183	793,620,333	-	20,632,956
- debt & other instruments	293,766,967	296,181,535	290,518,267	-	-
Financial assets - fair value through other comprehensive income	43,004,145	42,472,693	4,285,453	37,961,781	225,459
Investment in subsidiaries	3,503,350	3,503,350	2,029,945	-	1,473,405
Property, plant & equipment	7,817,923	7,817,923	7,817,923	-	-
Intangible assets	544,916	544,916	-	-	544,916
Right-of-use assets	3,265,318	3,265,318	3,265,318	-	-
Deferred tax assets	6,157,958	6,736,667	-	-	6,157,958
Other assets	14,708,621	14,845,026	14,845,026	-	-
Liabilities	1,081,161,736	1,076,915,030	-	-	-
Due to banks	23,653,247	23,057,591	-	-	-
Derivative financial instruments	607,923	-	-	-	-
Securities sold under repurchase agreements	4,157,662	4,139,456	-	-	-
Financial liabilities at amortised cost					
- due to depositors	977,945,952	957,543,281	-	-	-
- due to other borrowers	14,434,115	14,380,079	-	-	-
- due to debt securities holders	31,006,592	29,510,473	-	-	-
Retirement benefit obligation	2,573,127	2,573,127	-	-	-
Dividend payable	148,032	148,032	-	-	-
Current tax liabilities	7,524,844	8,544,968	-	-	-
Deferred tax liabilities	-	-	-	-	-
Other liabilities	19,110,242	37,018,023	-	-	-
Total gross off-balance sheet liabilities	394,339,656	394,339,656	394,339,656	-	-
Guarantees	56,775,326	56,775,326	56,775,326	-	-
Documentary credit	43,802,445	43,802,445	43,802,445	-	-
Acceptance	39,919,592	39,919,592	39,919,592	-	-
Other contingent items	49,500,733	49,500,733	49,500,733	-	-
Commitment for unutilised facilities	203,289,484	203,289,484	203,289,484	-	-
Other commitments	1,052,076	1,052,076	1,052,076	-	-
Shareholders' equity	118,751,659	146,793,940	-	-	-
Stated capital	47,622,493	47,622,493	-	-	-
of which amount eligible for CET I	47,622,493	47,622,493	-	-	-
of which amount eligible for AT I	-	-	-	-	-
Retained earnings	8,806,714	41,340,374	-	-	-
Accumulated other comprehensive income	1,618,637	-	-	-	-
Other reserves	60,703,815	57,831,073	-	-	-

TABLE - 11 GROUP: ASSESSMENT OF DOMESTIC SYSTEMICALLY IMPORTANT BANKS (D-SIBS) AS AT 31ST DECEMBER 2021

	Rs 000
Size Indicator	
Section 1 - Total exposure	
Total exposure measure	1,375,911,188
Interconnectedness Indicators	
Section 2 - Intra-financial system assets	
a. Funds deposited with or lent to other financial institutions	36,377,099
(i) Funds deposited	5,729,836
(ii) Lending	30,647,263
b. Holdings of securities issued by other financial institutions	12,062,757
c. Net positive current exposure of securities financing transactions (SFTs) with other financial institutions	242,992
d. Over the counter (OTC) derivatives with other financial institutions that have a net positive mark to market value	1,167,582
Intra-financial system assets	49,850,430
Section 3 - Intra-financial system liabilities	
a. Funds deposited by or borrowed from other financial institutions	53,268,013
(i) Funds deposited	4,713,635
(ii) Borrowings	48,554,378
b. Net negative current exposure of securities financing transactions with other financial institutions	513,192
c. Over the counter derivatives with other financial institutions that have a net negative mark to market value	803,719
Intra-financial system liabilities	54,584,924
Section 4 - Securities outstanding	
Securities outstanding	34,263,734
Substitutability/Financial Institution Infrastructure Indicators	
Section 5 - Payments made in the reporting year (excluding intra-group payments)	
Payments activity	5,389,399,546
Section 6 - Assets under custody	
Assets under custody	6,043,570
Section 7 - Underwritten transactions in debt and equity markets	
Underwriting activity	-
Section 8 - Trading volume	
a. Number of shares or securities	257,436
b. Value of the transactions	15,160
Complexity Indicators	
Section 9 - Notional amount of over the counter (OTC) derivatives	
OTC derivatives	49,500,733
Section 10 - Level 2 assets	
Level 2 assets	460,100
Section 11 - Financial assets recognised through profit or loss - measured at fair value & financial assets - fair value through other comprehensive income	
a. Debt instruments	42,351,811
b. Equity instruments	4,560,094
c. Derivatives	1,399,119
Section 12 - Cross jurisdictional liabilities	
Cross jurisdictional liabilities (excluding derivatives and intra-group liabilities)	9,795,983
Section 13 - Cross jurisdictional claims	
Cross jurisdictional claims (excluding derivatives and intra-group claims)	37,758,985

GRI CONTENT INDEX

GLOBAL REPORTING INITIATIVE (GRI) CONTENT INDEX – 'IN ACCORDANCE COMPREHENSIVE'

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Key:

PAR - Printed Annual Report

SR - Stakeholder Report (Online Version)

GRI 102: General Disclosures

GRI General Disclosures		Page Number(s)	Remarks
1. Organisational Profile			
102-1	Name of the organisation	PAR - 8, Inner Back Cover	
102-2	Activities, brands, products and services	PAR - 8,10-11	
102-3	Location of headquarters	Inner Back Cover	
102-4	Location of operations	PAR - 88	
102-5	Ownership and legal form	Inner Back Cover	
102-6	Markets served	PAR - 66-67 & SR - 42	
102-7	Scale of the organisation	PAR - 27,38,41 & SR - 12	
102-8	Information on other employees and other workers	PAR - 70 & SR - 60	
102-9	Supply chain	(Financial Inclusion Agenda) PAR - 30 & SR - 15,30-31	
102-10	Significant changes to the organisation and its supply chain	PAR - 48-54	There were no significant changes to the supply chain during the reporting period.
102-11	Precautionary principle or approach	(Customer Convenience & Environmental Protection and Conservation) PAR - 30,31 & SR - 15,16,26,36-37	
102-12	External initiatives	PAR - 4	
102-13	Membership of associations	PAR - 36 & SR - 6	
2. Strategy			
102-14	Statement from senior decision-maker	PAR - 44-47	
102-15	Key impacts, risks and opportunities	PAR - 102-112	
3. Ethics and Integrity			
102-16	Values, principles, standards and norms of behaviour	PAR - 9,142,146	
102-17	Mechanisms for advice and concerns about ethics	(Anti-Corruption Practices) PAR - 30,116 & SR - 15,25	
4. Governance			
102-18	Governance structure	PAR - 24-25,122-123 & SR - 9-10	
102-19	Delegating authority	PAR - 24-25,122-123 & SR - 9-10	
102-20	Executive level responsibility for economics, environmental and social topics	PAR - 24-25,122-123 & SR - 9-10	
102-21	Consulting stakeholders on economic, environmental and social topics	PAR - 24-25,126,137,146 & SR - 9-10	
102-22	Composition of the highest governance body and its committees	PAR - 14-17,117-118,120,128-130	
102-23	Chair of the highest governance body	PAR - 14,44-47,128	
102-24	Nominating and selecting the highest governance body	PAR - 117,133,171	
102-25	Conflicts of interest	PAR - 98,140,142,147,148,158,160, 175-176	
102-26	Role of highest governance body in setting purpose, values and strategy	PAR - 24,116,142,145,146 & SR - 9	
102-27	Measures taken to develop and enhance the collective knowledge of the highest governing body on economic, environmental and social topics	PAR - 24,126,128,133,145 & SR - 9	

GRI General Disclosures		Page Number(s)	Remarks
102-28	Processes and actions taken in response to evaluation of the performance of the highest governance body's in respect to governance of performance economic, environmental and social topics	PAR - 24,133,134,145 & SR - 9	
102-29	Identifying and managing economic, environmental, and social impacts	PAR - 24,31,126,140,145, & SR - 9,16,36-37,61,72	
102-30	Effectiveness of risk management processes	PAR - 102-112,125,126,140,145, 156-157,172-174	
102-31	Review of economic, environmental, and social topics	PAR - 24,31,126,140,145 & SR - 9,16,36-37,61,72	
102-32	Highest governance body's role in sustainability reporting	PAR - 126,140,145	
102-33	Communicating critical concerns	PAR - 24,32,137,146,168 & SR - 2,9,33,34	
102-34	Nature and total number of critical concerns	PAR - 162,168	Four (04) concerns were reported through Whistle Blowing. The reported cases were addressed in accordance with the Whistle Blowing Policy and initiated Audit Investigations. Findings and recommendations were reported to the Board Audit Committee, Board of Directors. The recommendations relating to process improvement/ internal controls were shared with the management and the report were sent to the disciplinary committee to take appropriate actions.
102-35	Remuneration policies	PAR - 135-136,155,160-161, 169-170	
102-36	Process for determining remuneration	PAR - 135-136,155,169-170	
102-37	Stakeholders' involvement in remuneration		*
102-38	Annual total compensation ratio of highest paid individual		*
102-39	Percentage increase in annual total compensation ratio of highest paid individual		*
5. Stakeholder engagement			
102-40	List of stakeholder groups	PAR - 32-35 & SR - 2-5	
102-41	Collective bargaining agreements		There is no collective bargaining agreement between the Bank & SBEA. However, the relationship between two parties remains cordial.
102-42	Identifying and selecting stakeholders	PAR - 32-35 & SR - 2-5	
102-43	Approach to stakeholder engagement	PAR - 32-35 & SR - 2-5	
102-44	Key topics and concerns raised	PAR - 32-35 & SR - 2-5	
6. Reporting practice			
102-45	Entities included in the consolidated financial statements	PAR - 91	
102-46	Defining report content and topic boundaries	PAR - 4,28-31 & SR - 13-16	
102-47	List of material topics	PAR - 28-31 & SR - 13-16	
102-48	Restatements of information	PAR - 4	There are no restatements with regard to sustainability reporting criteria.

* Information cannot be disclosed due to confidentiality reasons.

GRI CONTENT INDEX

GRI General Disclosures		Page Number(s)	Remarks
102-49	Changes in reporting	PAR - 5,29,30 & SR 14,15	Out of the 22 Material Topics for 2021, 21 remained unchanged from the previous year. The only new topic that became relevant in 2021 was "Employee Health and Safety".
102-50	Reporting period	PAR - 4	
102-51	Date of most recent report	PAR - 5	
102-52	Reporting cycle	PAR - 4	
102-53	Contact point for questions regarding the report	PAR - 6	
102-54	Claims of reporting in accordance with the GRI Standards	PAR - 4,5	This report has been prepared in accordance with the GRI Standards-Comprehensive option.
102-55	GRI content index	PAR - 360-366 & SR 79-85	
102-56	External assurance	PAR - 5,367-368	

GRI Specific Disclosures

GRI Specific Disclosures		Page number(s)	Remarks
Economic Topics			
GRI 201: Economic Performance			
103-1	Explain the material topics & its boundary	(Profitability and Financial Stability) PAR - 29 & SR - 14,17	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
201-1	Direct Economic Value generated and distributed	PAR - 345	
201-2	Financial implications and other risks and opportunities due to climate change		Being in the business of Banking, climate change does not have a significant impact on our business. Accordingly during the reporting period, no records were maintained to catalogue the effect of climate change on the business.
201-3	Defined benefit plan obligations and other retirement plans	PAR - 211,230-232	
201-4	Financial assistance received from government		As we are a private sector organisation, there is no direct or indirect financial assistance (grants) received from the government.
GRI 202: Market Presence			
103-1	Explain the material topics & its boundary	(Physical Channels) PAR - 29 & SR - 14,18	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
202-1	Ratios of standard entry level wage by gender compared to local minimum wage		Entry Level Wage refers to remuneration paid to new entrants joining the Bank as a Trainee Staff Assistant/Junior Executive I. The Bank does not distinguish based on gender and both males and females in these positions are entitled to a same entry level wage. There is no entry level wage rate imposed on banking sector. However, Sampath Bank's entry level wage is higher than the national minimum wage rate.
202-2	Proportion of senior management hired from the local community		At Sampath Bank, Senior Management refers to a designated authority in charge of a key business unit/function. All senior managers of the Bank are local hires.

GRI Specific Disclosures		Page number(s)	Remarks
GRI 203: Indirect Economic Impacts			
103-1	Explain the material topics & its boundary	(Profitability and Financial Stability) PAR - 29 & SR - 14,17	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
203-1	Infrastructure investments and services supported	PAR - 72-73 & SR - 65-71	
203-2	Significant indirect economic impacts	PAR - 72-73 & SR - 65-71	
GRI 205: Anti - Corruption			
103-1	Explain the material topics & its boundary	(Anti-Corruption Practices) PAR - 30 & SR - 15,25	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
205-1	Operations assessed for risks related to corruption	PAR - 30 & SR - 15,26	No fines were imposed by the regulators on the Bank pertaining to incidents of corruption in 2021.
205-2	Communication and training about anti-corruption policies and procedures		57% of employees and 59% of Senior Management have received training on anti-corruption.
205-3	Confirmed incidents of corruption and actions taken		No fines were imposed by the regulators on the Bank pertaining to incidents of corruption in 2021.
GRI 207: Tax			
103-1	Explain the material topics & its boundary	(Profitability and Financial Stability) PAR - 29 & SR - 14,17	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
207-1	Approach to tax		
207-2	Tax governance, control, and risk management		
207-3	The approach to stakeholder engagement and management of stakeholder concerns related to tax		
207-4	Country-by-country reporting: All tax jurisdictions where the entities included in the organisation's audited consolidated financial statements, or in the financial information filed on public record, are resident for tax purposes	PAR - 200-340	
Environmental Topics			
GRI 302: Energy			
103-1	Explain the material topics & its boundary	(Environmental Protection and Conservation) PAR - 31 & SR - 16,36-37	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
302-1	Energy consumption within the organisation	SR - 73	
302-2	Energy consumption outside the organisation	SR - 73	
302-3	Energy intensity	SR - 73	
302-4	Reduction of energy consumption	SR - 73	
302-5	Reduction of energy requirements of products and services		Energy reduction cannot be accurately calculated or measured in relation to specific products or services of the Bank. However, the Bank's solar migration project has seen rooftop solar installations at eight branches which has resulted in an overall reduction in the volume of grid electricity consumed by the respective branch in providing banking services to customers.

GRI CONTENT INDEX

GRI Specific Disclosures		Page number(s)	Remarks
GRI 305: Emissions			
103-1	Explain the material topics & its boundary	(Environmental Protection and Conservation) PAR - 31 & SR - 16,36-37	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
305-1	Direct (Scope 1) GHG emissions	PAR - 74 & SR - 75	
305-2	Energy indirect (Scope 2) GHG emissions	PAR - 74 & SR - 75	
305-3	Other indirect (Scope 3) GHG emissions	PAR - 74 & SR - 75	
305-4	GHG emissions intensity	PAR - 74 & SR - 75	
305-5	Reduction of GHG emissions	PAR - 74 & SR - 75	
305-6	Emissions of ozone-depleting substances (ODS)		Emissions of Ozone Depleting Substances (ODS) are insignificant, considering the nature of our business.
305-7	Nitrogen oxides (NOx), sulphur oxides (SOx) and other significant air emissions	PAR - 74 & SR - 75	
GRI 306: Effluents and Waste			
103-1	Explain the material topics & its boundary	(Environmental Protection and Conservation) PAR - 31 & SR - 16,36-37	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
306-1	Water discharge by quality and destination	SR - 74	
306-2	Waste by type and disposal method	PAR - 74 & SR - 74,77	
306-3	Significant spills		Not relevant to the business of Banking.
306-4	Transport of hazardous waste		Not relevant to the business of Banking.
306-5	Water bodies affected by water discharges and/ or runoff		No water bodies are affected by water discharges and/or runoff from the core business activities of the Bank.
Social Topics			
GRI 401: Employment			
103-1	Explain the material topics & its boundary	(Talent Acquisition and Management) PAR - 30 & SR - 15, 21	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
401-1	New employee hires and employee turnover	SR - 57	
401-2	Benefits provided to full-time employees that are not provided to temporary or part time employees	SR - 59	
401-3	Parental leave	SR - 57	
GRI 402: Labour/Management Relations			
103-1	Explain the material topics & its boundary	(Employee Relations) PAR - 30 & SR - 15,22-23	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
402-1	Minimum notice periods regarding operational changes		No collective agreement is in force, operational changes are informed in advance depending on the requirement.
GRI 403: Occupational Health and Safety			
103-1	Explain the material topics & its boundary	(Employee Health and Safety) PAR - 30 & SR - 15-24	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
403-1	Occupational health and safety management system		
403-2	Hazard identification risk assessment and incident investigation		
403-3	Occupational health services		
403-4	Worker participation, consultation, and communication on occupational health and safety		

GRI Specific Disclosures		Page number(s)	Remarks
403-5	Worker training on occupational health and safety		
403-6	Promotion of worker health		
403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships		
403-8	Workers covered by an occupational health and safety management system		
403-9	Work-related injuries		
403-10	Work-related ill health		
GRI 404: Training and Education			
103-1	Explain the material topics & its boundary	(Learning and Development) PAR - 30 & SR - 15,22	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
404-1	Average hours of training per year per employee	PAR - 70 & SR - 59	
404-2	Programmes for upgrading employee skills and transition assistance programmes	SR - 58	
404-3	Percentage of employees receiving regular performance and career development reviews	SR - 58	
GRI 405: Diversity and Equal Opportunity			
103-1	Explain the material topics & its boundary	(Talent Acquisition and Management) PAR - 30 & SR - 15,21	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
405-1	Diversity of governance bodies and employees	SR - 59	
405-2	Ratio of basic salary and remuneration of women to men	SR - 59	
GRI 413: Local Communities			
103-1	Explain the material topics & its boundary	(Community Development) PAR - 30 & SR - 15,32-33	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
413-1	Operations with local community engagement, impact assessments and development programmes	PAR - 23,72-73 & SR - 8,35,65-71,77-78	
413-2	Operations with significant actual and potential negative impacts on local communities		No incidents were reported during the reporting period.
GRI 416: Customer Health and Safety			
103-1	Explain the material topics & its boundary	(Customer Health and Safety) PAR - 30 & SR - 15,26	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
416-1	Assessment of the health and safety impacts of product and service categories		As a service organisation, health and safety impacts of our products and service categories cannot be assessed. However, the Bank's latest groundbreaking product - the "Touchless Cash Withdrawals" launched in response to the COVID-19 pandemic, which allows both Sampath Bank customers as well as customers of other banks to use the Sampath WePay digital wallet app to withdraw cash from any Sampath Bank ATM without having to physically touch the surface of the machine.
416-2	Incidents of non-compliance concerning the health and safety impacts of products and services		None.

GRI CONTENT INDEX

GRI Specific Disclosures		Page number(s)	Remarks
GRI 417: Marketing and Labelling			
103-1	Explain the material topics & its boundary	(Sales Promotions, Marketing Communication and Information Availability on Bank's Products and Services) PAR - 30 & SR - 15,27	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
417-1	Requirements for product and service information and labelling	SR - 27	Products and service information published on the Bank's corporate website (www.sampath.lk) and in marketing communication material, is done in all three languages (S/T/E).
417-2	Incidents of non-compliance concerning product and service information and labelling		ZERO incidents were reported during the reporting period.
417-3	Incidents of non-compliance concerning marketing communications		ZERO incidents were reported during the reporting period.
GRI 418: Customer Privacy			
103-1	Explain the material topics & its boundary	(Information Security, Customer Privacy & Complaint Management) PAR - 29,30 & SR - 14,15,20,28	
103-2	The Management Approach and its components		
103-3	Evaluation of the Management Approach		
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data		A total of 26 complaints were received in 2021, of these 24 were successfully resolved during the course of the year, while the other two remain under audit investigation as at 31st December 2021.

INDEPENDENT ASSURANCE REPORT TO THE SHAREHOLDERS OF SAMPATH BANK PLC

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Independent Assurance Report to the Board of Directors of Sampath Bank PLC on the Sustainability Reporting Criteria Presented in the Integrated Annual Report - 2021

Scope

We have been engaged by the management of Sampath Bank PLC ("the Bank") to perform an independent assurance engagement, as defined by the Sri Lankan Standard on Assurance Engagements, on the sustainability reporting criteria presented in the Integrated Annual Report for the year ended 31 December 2021 (the "Report").

- Reasonable assurance on the information on financial performance as specified on page 345 of the Report.
- Limited assurance on other information presented in the Report, prepared in accordance with the GRI Standards: Comprehensive option.

Criteria applied by Sampath Bank PLC

The sustainability reporting criteria presented in the Report has been prepared in accordance with The Global Reporting Initiative's (GRI) Sustainability Reporting Guidelines, publicly available at GRI's global website www.globalreporting.org.

This Report has been prepared in accordance with the GRI Standards: Comprehensive option (the "criteria").

Sampath Bank PLC's responsibilities

Sampath Bank PLC's management is responsible for selecting the criteria, and for presenting the Report in accordance with the said criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to support the sustainability reporting process of the Report, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Report in accordance with the GRI Standards: Comprehensive option based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard on Assurance Engagements SLSAE 3000: Assurance Engagements other than Audits or Reviews of Historical Financial Information (SLSAE 3000) issued by the Institute of Chartered Accountants of Sri Lanka and the terms of reference for this engagement as agreed with Sampath Bank PLC in the engagement letter dated 11th October 2021.

The standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Report in order for it to be in accordance with the criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our independent assurance conclusion.

Our Independence and Quality Control

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka and have the required competencies and experience to conduct this assurance engagement.

EY also applies Sri Lanka Standard on Quality Control (SLSQC 1), Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements, and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

We performed our procedures to provide an independent assurance engagement in accordance with SLSAE 3000.

Procedures performed in the reasonable assurance engagement depend on our judgement, including the assessment of the risks of material misstatement whether due to fraud or error. In making those risk assessments, we have considered internal control relevant to the preparation and presentation of the reasonable assurance Indicators in order to design the assurance procedures that are appropriate in the circumstances. Our procedures also included assessing the appropriateness of the reasonable assurance indicators, the suitability of the criteria in preparing

INDEPENDENT ASSURANCE REPORT TO THE SHAREHOLDERS OF SAMPATH BANK PLC

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and presenting the reasonable assurance indicators within the Report and obtaining an understanding of the compilation of the financial information to the sources from which it was obtained.

Procedures performed in the limited assurance engagement consisted of making inquiries, primarily of persons responsible for preparing the Report and related information and applying analytical and other appropriate procedures. These procedures vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

We also performed the below procedures as we considered necessary in the circumstances:

- Perform a comparison of the content of the Report against the Global Reporting Initiative (GRI) - GRI Standards guideline.
- Interviewing relevant organization's personnel to understand the process for collection, analysis, aggregation and presentation of data.
- Review and validation of the information contained in the Report.
- Check the calculations performed by the organization on a sample basis through recalculation.
- Advice, make recommendations and suggestions on the Sustainability Reporting indicators to improve the presentation standard.
- Independently review the content of the Report and request changes if required.
- Express an independent assurance conclusion on the performance indicators presented in the Sustainability Reporting criteria.

Emphasis of matter

Social, natural and intellectual capital management data/information are subjected to inherent limitations given their nature and the methods used for determining, calculating and estimating such data.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Report.

Restricted use

This report is intended solely for the information and use of Sampath Bank PLC and is not intended to be and should not be used by anyone other than the specified party.

Conclusion

Based on our procedures and the evidence obtained, we conclude that:

- The information on financial performance as specified on page 345 of the Report is properly derived from the audited financial statements of the (Bank) for the year ended 31 December 2021.
- Nothing has come to our attention that causes us to believe that other information presented in the Report are not fairly presented, in all material respects, in accordance with the (Bank)'s sustainability practices and policies some of which are derived from the GRI Standards: Comprehensive option.

Ernst & Young

15 February 2022
Colombo

GLOSSARY OF FINANCIAL AND BANKING TERMS

A

Acceptances
The signature on a Bill of Exchange indicates that the person on whom it is drawn accepts the conditions of the Bill. In other words a Bill of Exchange that has been accepted.

Accounting Policies
The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis
Recognition of the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalents.

Actuarial Assumptions
An entity's unbiased and mutually compatible best estimates of the demographic and financial variable that will determine the ultimate cost of providing post-employment benefits.

Additional Tier I (AT I) Capital
It is a supplementary form of Tier I capital.
AT I includes capital instruments other than the instruments included in CET I capital.

Amortisation
The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost
The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction (directly or through the use of an allowance account) for impairment or uncollectability.

Asset and Liability Committee (ALCO)
A risk-management committee in a bank that generally comprises the senior-management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, interest rate risk, operational risk and external events that may affect the bank's forecast and strategic balance sheet allocations.

Associate Company
An associate is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.

Average Weighted Deposit Rate (AWDR)
AWDR is calculated by the Central Bank monthly based on the weighted average of all outstanding interest bearing deposits of commercial banks and the corresponding interest rates.

Average Weighted Prime Lending Rate (AWPLR)
AWPLR is calculated by the Central Bank weekly based on commercial banks' lending rates offered to their prime customers during the week.

B

Basel II
The capital adequacy framework issued by the Basel Committee on Banking Supervision (BCBS) in the form of the 'International Convergence of Capital Measurement and Capital Standards'.

Basel III
The BCBS issued the Basel III rules, which presents the details of strengthened global regulatory standards on bank capital adequacy and liquidity.

Bills sent for Collection
A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

Capital Adequacy Ratio
The percentage of risk-adjusted assets supported by capital as defined under the framework of risk-based capital standards developed by the Bank for International Settlement (BIS) and as modified to suit local requirements by the Central Bank of Sri Lanka.

Capital Conservation Buffer (CCB)
It is designed to ensure that banks build up capital buffers outside periods of stress which can be drawn down as losses are incurred.

Cash Equivalents
Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash Flows
Cash flows are inflows and outflows of cash and cash equivalents.

Collectively Assessed Loan Impairment Provisions
Also known as portfolio impairment provisions. Impairment assessment on a collective basis for homogeneous groups of loans that are not considered individually significant and to cover losses that has been incurred but has not yet been identified at the reporting date. Typically assets within the consumer banking business (housing, personal, vehicle loans, credit cards etc) are assessed on a portfolio basis.

Commercial Paper (CP)
An unsecured, short-term debt instrument issued by a corporation, typically for the financing of accounts receivable, inventories and meeting short-term liabilities. The debt is usually issued at a discount, reflecting prevailing market interest rates.

Common Equity Tier I (CET I) Capital
Consists of stated capital, other capital and revenue reserves. CET I is the element of capital which has the highest quality and the most effective in absorbing losses.

Commitments
Credit facilities approved but not yet utilised by the clients as at the reporting date.

Consolidated Financial Statements
Consolidated financial statements are the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity.

Contingencies
A condition or situation, the ultimate outcome of which (gain or loss) will be confirmed only on the occurrence or non-occurrence of one or more uncertain future events.

Contract
An agreement between two or more parties that creates enforceable rights and obligations.

Control
An investor controls an investee when the investor is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Corporate Governance
The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and direction of entity, the supervision of executive actions and accountability to owners and others.

Correspondent Bank
A bank in a foreign country that offers banking facilities to the customers of a bank in another country.

Cost Method
A method of accounting whereby the investment is recorded at cost. The Income Statement reflects income from the investment only to the extent that the investor receives distributions from accumulated net profits of the investee arising subsequent to the date of acquisition.

Cost-Push Inflation
A continuous increase in average price levels due to an increase in production costs.

Cost to Income Ratio
Operating expenses excluding impairment charge for loans and other losses as a percentage of total operating income.

Country Risk
The risk that a foreign government will not fulfil its obligations or obstructs the remittance of funds by debtors, either for financial reasons (transfer risk) or for other reasons (political risk).

GLOSSARY OF FINANCIAL AND BANKING TERMS

Credit Rating
An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk
Credit risk is the risk of financial loss to the Bank if a customer or counter party to a financial instrument fails to meet its contractual obligations, and arises principally from the loans and advances to customers and other banks and investment debt securities.

Credit Risk Mitigation
A technique to reduce the credit risk associated with an exposure by application of credit risk mitigants such as collateral, guarantee and credit protection.

Currency Risk
The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Currency SWAPs
The simultaneous purchase of an amount of a currency for spot settlement and the sale of the same amount of the same currency for forward settlement.

Customer Deposits
Money deposited by account holders. Such funds are recorded as liabilities.

D

Deferred Tax
Sum set aside in the financial statements for taxation that may become payable/receivable in a financial year other than the current financial year. It arises because of temporary differences between tax rules and accounting conventions.

Delinquency
A debt or other financial obligation is considered to be in a state of delinquency when payments are overdue. Loans and advances are considered to be delinquent when consecutive payments are missed. Also known as 'Arrears'.

Depreciation
The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition
Derecognition is the removal of a previously recognised financial asset or financial liability from an entity's statement of financial position.

Derivatives
A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable (e.g. an interest rate), that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

Discount Rate
A rate used to place a current value on future cash flows. It is needed to reflect the fact that money has a time value.

Dividend Cover
Profit after tax divided by gross dividend. This ratio measures the number of times dividend is covered by the current year's distributable profits.

Dividend Yield
Dividend earned per share as a percentage of its market value.

Documentary Letters of Credit (LCs)
Written undertakings by a bank on behalf of its customers, authorising a third party to draw on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Domestic Systemically Important Banks (D-SIBs)
D-SIBs are defined by CBSL annually, according to the Banking Act direction No. 10 of 2019.

E

Earnings per Share (EPS)
The profit attributable to each ordinary share in the Bank, based on the profit for the period after tax and after deducting minority interest and preference share Dividend.

Economic Value Added (EVA)
A measure of productivity which takes into consideration cost of total invested equity.

Effective Interest Rate (EIR)
Rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instruments or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate (ETR)
Provision for taxation excluding deferred tax divided by the profit before taxation.

Equity Instrument
An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Equity Method
The equity method is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of net assets of the investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee.

ESOP (Employee Share Ownership Plan)
A method of giving employees shares in the business for which they work.

Events after the Reporting Period
Events after the reporting period are those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

Expected Credit Losses (ECLs)
ECLs are probability-weighted estimate of the present value of cash shortfalls (i.e. the weighted average credit losses, with respective risks of defaults occurring in a given time period used as the weights). ECL measurements are unbiased (i.e. neutral, not conservative and not biased towards optimism or pessimism) and are determined by evaluating a range of possible outcomes.

Exposure at Default (EAD)
This is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal & interest and expected drawdowns of committed facilities.

Exposure
A claim, contingent claim or position which carries a risk of financial loss.

F

Fair Value
Fair Value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Finance Lease
A finance lease is a lease that transfers substantially all the risks and rewards incidental to ownership of an asset. Title may or may not eventually be transferred.

Financial Guarantee Contract
A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instrument
Financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Firm Commitment
A firm commitment is a binding agreement for the exchange of a specified quantity of resources at a specified price on a specified future date or dates.

Foreign Exchange Income
The realised gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Forward Exchange Contract
Agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

Global Reporting Initiative (GRI)
GRI is a leading organisation in the sustainability field. GRI promotes the use of sustainability reporting as a way for organisations to become more sustainable and contribute to sustainable development.

Going Concern
The financial statements are normally prepared on the assumption that an entity is a going concern and will continue in operation for the foreseeable future. Hence, it is assumed that the entity has neither the intention nor the need to liquidate or curtail materially the scale of its operations.

Gross Dividend
The portion of profits distributed to the shareholders including the tax withheld.

Group
A group is a parent and its subsidiaries.

Guarantees
A promise made by a third party (guarantor), who is not a party to a contract between two others, that the guarantor will be liable if the guarantee fails to fulfil the contractual obligations.

H

Hedging
A strategy under which transactions are effected with the aim of providing cover against the risk of unfavourable price movements (interest rate, foreign exchange rate, commodity prices, etc)

High Loss Absorbency (HLA) Requirement
The additional capital buffer requirement for D-SIBs.

High Quality Liquid Assets (HQLA)
HQLA are assets that can be easily and immediately converted into cash at little or no loss of value, that can be readily sold or used as collateral to obtain funds in a range of stress scenarios and are unencumbered, i.e., without legal, regulatory or operational impediments.

I

Impaired Loans
Impaired loans are loans where the Group does not expect to collect all the contractual cash flows or expects to collect them later than they are contractually due.

Impairment
This occurs when recoverable amount of an asset is less than its carrying amount.

Impairment Provisions
Impairment provisions are provisions held on the Statement of Financial Position as a result of the raising of a charge against profit for the incurred loss.

Individually Significant Loan Impairment Provision (Specific Impairment Provision)
Impairment is measured individually for assets that are individually significant to the Group.

Intangible Asset
An intangible asset is an identifiable non-monetary asset without physical substance.

Interest Cover
A ratio showing the number of times interest charges is covered by earnings before interest and tax.

Interest Margin
Net interest income expressed as a percentage of average interest earning assets.

Interest Rate Risk
The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

Interest Rate SWAP
An agreement between two parties where one stream of future interest payments is exchanged for another stream of future interest payments based on a specified principal amount.

Interest Spread
This represents the difference between the average interest rate earned and the average interest rate paid on funds.

Investment Properties
Investment property is property (land or a building - or part of a building - or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both, rather than for use in the production or supply of goods or services or for administrative services; or sale in the ordinary course of business.

K

Key Management Personnel
Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity.

L

Leverage Ratio
The Leverage Ratio is a transparent, simple, non-risk-based ratio and is calculated by dividing Total Tier I capital from the Bank's total exposures of all assets and off balance sheet items.

Lifetime Expected Credit Losses
The expected credit losses that result from all possible default events over the expected life of a financial instrument.

Liquidity Coverage Ratio (LCR)
Banks are required to maintain an adequate level of unencumbered High Quality Liquid Assets (HQLA) that can be converted into cash to meet their liquidity needs for a 30 calendar day time horizon under a significantly severe liquidity stress scenario. LCR is computed by dividing the stock of HQLA by the total net cash outflows over the next 30 calendar days.

Liquid Assets
Assets that are held in cash or in a form that can be converted to cash readily, such as deposits with other banks, bills of exchange and treasury bills and bonds.

Liquidity Risk
The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities.

Loss Given Default (LGD)
LGD is the percentage of an exposure that a lender expects to lose in the event of obligor defaults. It is based on the difference between the contractual cash flows due and those that the lender would receive including any collateral.

M

Market Capitalisation
The value of a company obtained by multiplying the number of ordinary shares in issue by its market value as at a date.

Market Risk
Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's/ issuer's credit standing) will affect the Bank's income or the value of its holdings of financial instruments.

Materiality
The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of financial statements.

N

Net Asset Value Per Share
Shareholders' funds divided by the number of ordinary shares in issue.

Net-Interest Income (NII)
The difference between what a bank earns on assets such as loans and securities and what it pays on liabilities such as deposits, refinance funds and inter-bank borrowings.

Net Stable Funding Ratio (NSFR)
NSFR is defined as the amount of Available Stable Funding (ASF) relative to the amount of Required Stable Funding (RSF).

GLOSSARY OF FINANCIAL AND BANKING TERMS

Nostro Account
A bank account held in foreign country by a domestic bank, denominated in the currency of that country. Nostro accounts are used to facilitate the settlement of foreign exchange trade transactions.

Non-Controlling Interest
Non-controlling interest is the equity in a subsidiary not attributable, directly or indirectly to a parent.

O

Operational Risk
Operational risk refers to the losses arising from fraud, negligence, oversight, human error, process errors, system failures, external events, etc.

P

Parent
A parent is an entity that controls one or more entities.

Power
The Power is the existing rights that give the current ability to direct the relevant activities.

Price Earnings Ratio (P/E Ratio)
The current market price of the share is divided by the earnings per share of the Bank.

Probability of Default (PD)
PD is an estimate of likelihood of default over a given time horizon.

Projected Unit Credit Method (PUC)
An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.(sometimes known as the accrued benefit method pro-rated on service or as the benefit/ years of service method).

Prudence
Inclusion of a degree of caution in the exercise of judgment needed in making the estimates required under conditions of uncertainty, such that assets or income are not overstated and liabilities or expenses are not understated.

R

Repurchase Agreement
This is a contract to sell and subsequently repurchase government securities at a given price on a specified future date.

Return on Average Assets (ROA)
Profit after tax expressed as a percentage of average total assets, used along with ROE, as a measure of profitability and as a basis of intra-industry performance comparison.

Return on Average Equity (ROE)
Profit after tax less preferred share dividends if any, expressed as a percentage of average ordinary shareholders' equity.

Revenue Reserves
Reserves set aside for future distribution and investment.

Reverse Repurchase Agreement
Transaction involving the purchase of government securities by a bank or dealer and resale back to the seller at a given price on a specific future date.

Rights Issue
Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Right-of-use Asset (ROU)
ROU asset is a lessee's right to use an asset over the life of a lease. The asset is calculated as the initial amount of the lease liability, plus any lease payments made to the lessor before the lease commencement date, plus any initial direct costs incurred, minus any lease incentives received.

Risk-weighted Assets
Used in the calculation of risk-based capital ratios. The face amount of lower risk assets is discounted using risk weighting factors in order to reflect a comparable risk per rupee among all types of assets. The risk inherent in commitment & contingencies is also recognised, first by adjusting notional values to Statement of Financial Position (or credit) equivalents and then by applying appropriate risk weighting factors.

S

Segmental Analysis
Analysis of financial information by segments of an enterprise specifically, the different industries and the different geographical areas in which it operates.

Shareholders' Funds
Total of issued and fully paid share capital and capital and revenue reserves.

Single Borrower Limit
30% of capital base.

Statutory Reserve Fund
A capital reserve created as per the provisions of the Banking Act No. 30 of 1988.

Subsidiary
A Subsidiary is an entity that is controlled by another entity.

Substance over Form
The consideration that the accounting treatment and the presentation in financial statements of transactions and events should be governed by their substance and financial reality and not merely by legal form.

T

Total Tier I Capital
Total Tier I Capital consists of Common Equity Tier I Capital (CET I) and Additional Tier I Capital (AT I).

Total Capital (Capital Base)
Capital base is summation of the core capital (Tier I) and the supplementary capital (Tier II).

Twelve Month Expected Credit Losses
The portion of lifetime expected credit losses that represent the expected credit losses that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

U

Unit Trust
An undertaking formed to invest in securities under the terms of a trust deed.

Useful Life
Useful life is the period over which an asset is expected to be available for use by an entity or the number of production or similar units expected to be obtained from the asset by an entity.

V

Value Added
Wealth created by providing banking and other services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to government by way of taxes and retained for expansion and growth.

Vostro Account
A local currency account maintained by a local bank for a foreign (correspondent) bank. For the foreign bank, it is a Nostro account. The domestic bank acts as custodian or manages the account of a foreign counterpart.

Y

Yield to Maturity
Discount rate at which the present value of future payments would equal the security's current price.

NOTICE OF ANNUAL GENERAL MEETING

Notice is hereby given that the 36th Annual General Meeting of Sampath Bank PLC (the Company) will be held at the "Board Room" of the Bank on 4th Floor, Sampath Bank PLC, at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, to be convened through an "online virtual" platform by using "audio-visual" tools on 30th March 2022 at 9.00 a.m. for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company.
2. To receive and consider the Statement of Audited Accounts for the year ended 31st December 2021 with the Report of the Auditors thereon.
3. To approve the cash dividend of Rs 4.25 per share recommended by the Board of Directors as the first and final dividend for the financial year 2021.
4. To re-elect Mr Rushanka Silva who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
5. To re-elect Mr Dilip de S Wijeyeratne who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
6. To re-elect Mr Vajira Kulatilaka who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
7. To approve the donations and contributions made by the Directors during the year under review and to grant approval to the Board of Directors to make any donations or subscriptions as it may consider appropriate during the financial year 2022.
8. To re-appoint Messrs Ernst & Young, Chartered Accountants as Auditors of the Company for the ensuing year and to authorise the Directors to determine their remuneration.

By order of the Board,

R. L. S. Senaratne

LASANTHA SENARATNE
Company Secretary

Colombo, Sri Lanka
15th February 2022

Note:
A member is entitled to appoint a Proxy to participate and vote on his/her/its behalf and a Proxy need not be a member of the Company. A Form of Proxy is enclosed for this purpose. The completed Form of Proxy should be deposited at the Registered Office (Secretariat Department) of the Company at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, <u>not less than 48 hours before,</u> the appointed time for holding the Annual General Meeting.

NOTES

STAKEHOLDER FEEDBACK FORM

To request information or submit a comment/query to the Bank, please complete the following and return this page to:

COMPANY SECRETARY
Sampath Bank PLC
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka

E-mail: company_secretary@sampath.lk
Tel : +94 11 4730652/420/548
Fax : +94 11 2300924

We also appreciate your comments on this Annual Report.

WHICH STAKEHOLDER GROUP/S DO YOU BELONG TO? (YOU MAY TICK MORE THAN ONE)

Employee	☐	Public Authority	☐
Shareholder	☐	Regulatory Body	☐
Investor	☐	Student	☐
Customer	☐	Journalist	☐
Supplier	☐	NGO	☐
Service Provider	☐	Special Interest Group	☐
Community	☐	Other	☐

RATE YOUR OVERALL IMPRESSION OF THIS REPORT IN TERMS OF:

	Excellent	Good	Fair	Poor
CONTENT AND SCOPE				
Informative	☐	☐	☐	☐
Transparent	☐	☐	☐	☐
Trustworthy	☐	☐	☐	☐
Comprehensive	☐	☐	☐	☐
User Friendly	☐	☐	☐	☐
DESIGN AND LAYOUT	☐	☐	☐	☐

STAKEHOLDER FEEDBACK FORM

COMMENTS/QUERIES/SUGGESTIONS

....

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....

....

TICK THE APPROPRIATE BOX

	Yes	No
Would you like to receive Details/News of our Products/Services via e-mail mentioned below	☐	☐

YOUR DETAILS

Name : ....

Address : ....

....

....

CONTACT DETAILS

Telephone (Residence) : ....

Telephone (Office) : ....

Mobile : ....

Fax : ....

E-mail : ....

FORM OF PROXY

THIRTY SIXTH ANNUAL GENERAL MEETING

Sampath Bank PLC
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka.

I/We,...
bearing NIC No./Passport No./Company Reg. No. ....of...
....
being a member/members of Sampath Bank PLC (the Company) hereby appoint Mr/Mrs/Miss/Ven/Rev...
....
bearing NIC No./Passport No. .... of...
.... whom failing:

1	Mr Harsha Amarasekera	failing him
2	Mr Rushanka Silva	failing him
3	Mr Deshal de Mel	failing him
4	Mr Dilip de S Wijeyeratne	failing him
5	Ms Aroshi Nanayakkara	failing her
6	Dr Sanjiva Weerawarana	failing him
7	Mr Vajira Kulatilaka	failing him
8	Mrs Keshini Jayawardena	failing her
9	Mr Vinod Hirdaramani	failing him
10	Mr Nanda Fernando	failing him
11	Mr Ajantha de Vas Gunasekara	

as my/our proxy to participate and vote for me/us on my/our behalf at the Thirty Sixth Annual General Meeting of the Company to be held at the "Board Room" of the Bank on 4th Floor, Sampath Bank PLC, at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, to be convened through an "online virtual" platform by using "audio-visual" tools on 30th March 2022 at 9.00 a.m. and at any adjournment thereof.

Please mark your preference with "X"

		FOR	AGAINST
1.	To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company.		
2.	To receive and consider the Statement of Audited Accounts for the year ended 31st December 2021 with the Report of the Auditors thereon.		
3.	To approve the cash dividend of Rs 4.25 per share recommended by the Board of Directors as the first and final dividend for the financial year 2021 set out in the Notice convening the meeting.		
4.	To re-elect Mr Rushanka Silva who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.		
5.	To re-elect Mr Dilip de S Wijeyeratne who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.		
6.	To re-elect Mr Vajira Kulatilaka who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.		
7.	To approve the donations and contributions made by the Directors during the year under review and to grant approval to the Board of Directors to make any donations or subscriptions as it may consider appropriate during the financial year 2022.		
8.	To re-appoint Messrs Ernst & Young, Chartered Accountants as Auditors of the Company for the ensuing year and to authorise the Directors to determine their remuneration.		

Signed on this .... day of 2022

Signature/s ....

NIC/Passport/Company Reg. No. of Shareholder/s ....

Note: 1. Proxy need not be a member of the Company
2. Instructions as to completion of the Form of Proxy are given in the next page

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy, after filling in legibly your full name and address and by signing in the space provided.
2. The completed Form of Proxy should be deposited at the Registered Office (Secretariat Department) of the Company at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, not less than 48 hours before, the appointed time for holding the Annual General Meeting and **no registration of Proxies will be accommodated at the venue on the date of the Annual General Meeting.**
3. If you wish to appoint a person other than Chairman, Deputy Chairman or a Director of the Company as your Proxy, please insert the relevant details in the space provided before the names of the Board of Directors on the Form of Proxy.
4. Article No. 73 of the Articles of Association of the Company provides that: "Any corporation which is a member of the Company may by resolution of its directors or other governing body, authorise such person as it thinks fit to act as its representative at any meeting of the Company or of any class of members of the Company, and the person so authorised shall be entitled to exercise the same powers on behalf of such corporation as the corporation could exercise if it were an individual member of the Company".
5. Please mark your preference with "X" in the space provided, how your Proxy is to vote on each resolution. If no indication is given, the Proxy, at his/her discretion, will vote as he/she thinks fit.
6. Article No. 63 of the Articles of Association of the Company provides that: "In the case of joint-holders of a share, the senior who tenders a vote, whether in person or by proxy or by attorney or by representative shall be accepted to the exclusion of the votes of the other joint-holders, and for this purpose seniority shall be determined by the order in which the names stand in the Register of Members in respect of the joint holding".
7. In the case of a Company/Corporation, the Proxy must be under its **Common Seal** which should be affixed and/or attested in the manner prescribed by its Articles of Association.
8. In the case of a Proxy signed by an Attorney, the Power of Attorney must be deposited at the Registered Office of the Company for registration.

Name of Shareholder	: ....
NIC/Passport/Company Reg. No. of Shareholder	: ....
Membership No./Share Certificate No.	: ....
CDS Account No. [if applicable]	: ....
No. of Shares	: ....
Name of Proxyholder	: ....
NIC No./Passport No. of Proxyholder	: ....

CORPORATE INFORMATION

NAME OF COMPANY
Sampath Bank PLC

LEGAL FORM
A Public Limited Liability Company incorporated in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982 and listed on the Colombo Stock Exchange, re-registered on 28th April 2008 under the Companies Act No. 7 of 2007. A Licensed Commercial Bank under the Banking Act No. 30 of 1988.

COMPANY REGISTRATION NUMBER
PQ 144

HEAD OFFICE AND REGISTERED OFFICE
No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka

TELEPHONE
+94 11 2300260

+94 11 2358358

+94 11 4730630

+94 11 5331441

+94 11 5600600

FAX
+94 11 2303085

SWIFT CODE
BSAMLKLX

E-MAIL
mgr@oper.sampath.lk

info@sampath.lk

WEB PAGE
www.sampath.lk

AUDITORS
Messrs Ernst & Young

Chartered Accountants

LAWYERS
Messrs Nithya Partners
Attorneys-at-Law

Messrs Heritage Partners

Attorneys-at-Law

COMPANY SECRETARY
Mr Lasantha Senaratne

Attorney-at-Law

ASSISTANT COMPANY SECRETARY
Mr Muditha Walpola

Attorney-at-Law

STOCK EXCHANGE LISTINGS
1,144,373,955 Ordinary Shares

60,000,000 Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each - 2017/2022

75,000,000 Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each - 2018/2023

70,000,000 Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each - 2019/2024

60,000,000 Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each - 2021/2028

VAT REGISTRATION NUMBER
134001194 - 7000

CREDIT RATING
Fitch Rating: Fitch Ratings Lanka Limited has assigned National Long Term Rating of 'AA- (lka) with Stable outlook' to Sampath Bank PLC

BOARD OF DIRECTORS
Mr Harsha Amarasekera
Chairman/Non-Independent,
Non-Executive Director

Mr Rushanka Silva
Deputy Chairman/Non-Independent,
Non-Executive Director

Mr Deshal de Mel
Senior Independent Director,
Non-Executive Director

Mr Dilip de S Wijeyeratne
Independent, Non-Executive Director

Ms Aroshi Nanayakkara
Independent, Non-Executive Director

Dr Sanjiva Weerawarana
Independent, Non-Executive Director

Mr Vajira Kulatilaka
Independent, Non-Executive Director

Mrs Keshini Jayawardena
Independent, Non-Executive Director

Mr Vinod Hirdaramani
Independent, Non-Executive Director

Mr Nanda Fernando
Managing Director

Mr Ajantha de Vas Gunasekara
Executive Director/
Group Chief Financial Officer

SUBSIDIARY COMPANIES

Name of the Company	Holding %	Nature of Business
Sampath Centre Ltd	100.00	Renting of commercial property
SC Securities (Pvt) Ltd	100.00	Stock broking
Siyapatha Finance PLC	100.00	Granting lease, hire purchase, factoring & other loan facilities & accepting deposits
Sampath Information Technology Solutions Ltd	100.00	Software development, renting of IT equipment, IT resource outsourcing and consultancy

FOR INVESTOR RELATIONS AND CLARIFICATIONS ON THE REPORT, PLEASE CONTACT
The Company Secretary
Sampath Bank PLC
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka

E-mail : company_secretary@sampath.lk
Tel : +94 11 4730652/420/548

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Sampath Bank

WE PRESENT YOUR FUTURE

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